

CASES DECIDED

IN THE

COURT OF APPEALS

OF THE

STATE OF NEW YORK

[801 NE2d 395, 769 NYS2d 175]

JOHN M. BANSBACH, Appellant, v MICHAEL F. ZINN et al.,
Respondents.

Argued September 16, 2003; decided October 30, 2003

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered May 23, 2002. The Appellate Division modified, on the law, and, as modified, affirmed an order of the Supreme Court, Ulster County (John G. Connor, J.), which had granted plaintiff's cross motion for summary judgment with respect to the liability of defendant Michael F. Zinn, denied plaintiff's cross motion for summary judgment against the remaining defendants and for counsel fees, granted plaintiff's cross motion to substitute WOM, Inc. as a party defendant for Besicorp, Inc., and denied, in its entirety, defendants' motion for summary judgment. The modification consisted of reversing so much of the order as denied defendants' motion and partially granted plaintiff's cross motion for summary judgment, denying plaintiff's cross motion in its entirety, granting defendants' motion for summary judgment, and dismissing the complaint.

Bansbach v Zinn, 294 AD2d 762, modified.

HEADNOTES

Judgments — Collateral Estoppel — Dismissal of Previous Shareholder Derivative Action against Same Corporation

1. In a shareholder derivative action brought after a previous shareholder derivative action against the same corporation had been dismissed, plaintiff

was not collaterally estopped from litigating the issue of whether it would have been futile to first demand that the board initiate an action. In the first derivative action, the determination of three board members—who were not implicated in the wrongdoing alleged in that case and were not named as defendants—that continuation of the action was not in the best interest of the corporation was found to be the result of sound business judgment supported by a thorough investigation. Here, the same three board members were personally implicated in the alleged wrongdoing and were named as defendants. Their reliance on the proof they put before the court in the previous action did nothing to substantiate their claims that they acted here with integrity and independence.

Corporations — Shareholders’ Derivative Action — Futility of Demanding That Board Initiate Action

2. In a shareholder derivative action brought to recover damages allegedly suffered by the corporation as a result of illegal conduct by the chairperson of its board of directors, plaintiff was not required to first make a demand on the corporation’s board of directors to pursue the claim (*see* Business Corporation Law § 626 [c]). It would have been futile to ask the board, which was dominated and controlled by its chairperson and placed his interests above those of the corporation, to initiate an action. The board continued to pay his legal fees even after he admitted in open court to having implicated the corporation in his criminal conduct, and eventually sought only partial repayment of the fees in the form of a promissory note.

Corporations — Shareholders’ Derivative Action — Improper Indemnification of Officer

3. In a shareholder derivative action brought to recover damages allegedly suffered by the corporation as a result of illegal conduct by the chairperson of its board of directors, plaintiff was entitled to summary judgment as to the liability of the chairperson. His illegal scheme resulted in a five-count felony indictment against him and the corporation, and he admitted under oath in open court that he made company funds available to employees so that they might contribute to a congressional campaign in violation of the Federal Election Campaign Act, and that he was aware and intended that bonuses and advances to reimburse them would be deducted in the ordinary course of events on the corporation’s tax returns. His sworn admissions left no room for finding that he was entitled to indemnification by the corporation.

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AM JUR 2d, Corporations §§ 1902, 1903, 1907, 2250, 2259–2266, 2273, 2275, 2279, 2280, 2471, 2474; Judgments §§ 539–542.

CARMODY-WAIT 2d, Judgments §§ 63:461, 63:462; Actions and Proceedings By and Against Corporations, Their Officers, Directors, and Shareholders §§ 121:174–121:176, 121:186.

McKINNEY’S, Business Corporation Law § 626 (c).

NY JUR 2d, Business Relationships §§ 797, 1151, 1169–1171, 1176, 1188, 1190; Judgments §§ 337–341, 348.

SIEGEL, NY PRAC §§ 457, 462, 464.

ANNOTATION REFERENCE

Circumstances excusing demand upon other shareholders which is otherwise prerequisite to bringing of stockholder's derivative suit on behalf of corporation. 48 ALR3d 595.

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Database: NY-ORCS

Query: shareholder /4 derivative & 626 & "collateral estoppel"

POINTS OF COUNSEL

Harold B. Obstfeld, P.C., New York City (*Harold B. Obstfeld* of counsel), for appellant. I. The standard to be applied on a motion for summary judgment is stated in the following cases. (*Ugarrriza v Schmieder*, 46 NY2d 471; *Sillman v Twentieth Century-Fox Film Corp.*, 3 NY2d 395; *Zuckerman v City of New York*, 49 NY2d 557; *Kuehne & Nagel v Baiden*, 36 NY2d 539; *Merritt Hill Vineyards v Windy Hgts. Vineyard*, 61 NY2d 106; *Dampskibsselskabet Torm A/S v Thomas Paper Co.*, 26 AD2d 347; *Alvord & Swift v Muller Constr. Co.*, 46 NY2d 276; *Afco Time Payment v Security Ins. Co. of Hartford*, 111 AD2d 634.) II. Plaintiff was excused from making a demand on the Besicorp board under Business Corporation Law § 626 (c). (*Barr v Wackman*, 36 NY2d 371; *Marx v Akers*, 88 NY2d 189; *Auerbach v Bennett*, 47 NY2d 619; *Biondi v Beekman Hill House Apt. Corp.*, 94 NY2d 659; *Diamond v Diamond*, 307 NY 263; *People v Uran Min. Corp.*, 13 AD2d 419; *Broome v Biondi*, 17 F Supp 2d 211; *Pilipiak v Keyes*, 286 AD2d 231, 97 NY2d 653; *In re Landmark Land Co. v Cone*, 76 F3d 553; *People v Knapp*, 206 NY 373.) III. The Appellate Division erred in granting summary judgment dismissing this action. (*Schwartz v Public Adm'r of County of Bronx*, 24 NY2d 65.) IV. The Appellate Division erred in failing to grant summary judgment to plaintiff. (*Marx v Akers*, 88 NY2d 189; *Buggie v Cutler*, 222 AD2d 640, 88 NY2d 807; *Bellino v Bellino Constr. Co.*, 75 AD2d 630; *Howard v Carr*, 222 AD2d 843.) V. At the least, plaintiff should have been allowed to replead. (*Alvord & Swift v Muller Constr. Co.*, 46 NY2d 276; *Herrick v Second Cuthouse*, 64 NY2d 692; *Rossignol v Silvernail*, 185 AD2d 497; *Rainbow v Rosenberg*, 54 AD2d 1121; *Loudin v Mohawk Airlines*, 27 AD2d 517; *Hunsdorfer v West Side Structural Co.*, 284 App Div 1084; *Health-Loom Corp. v Soho Plaza Corp.*, 209 AD2d 197.)

Robinson Brog Leinwand Greene Genovese & Gluck PC., New York City (*David C. Burger* of counsel), for respondents. I. Bansbach is collaterally estopped not only on the issue of demand futility but also as to his challenge to the business judgment of the Besicorp directors. (*Alvarez v Prospect Hosp.*, 68 NY2d 320; *Amatulli v Delhi Constr. Corp.*, 77 NY2d 525; *Zuckerman v City of New York*, 49 NY2d 557; *Pinnacle Consultants v Leucadia Natl. Corp.*, 94 NY2d 426; *Auerbach v Bennett*, 47 NY2d 619; 40 W. 67th St. Corp. v Pullman, 100 NY2d 147.) II. Bansbach's appeal seeks to have this Court rewrite the Business Corporation Law. (*Biondi v Beekman Hill House Apt. Corp.*, 94 NY2d 659; *Pilipiak v Keyes*, 286 AD2d 231; *Haenel v Epstein*, 88 AD2d 652; *Diamond v Diamond*, 307 NY 263; *People v Uran Min. Corp.*, 13 AD2d 419; *Schmidt v Magnetic Head Corp.*, 97 AD2d 151.) III. Bansbach's postdecision request for leave to replead was properly denied, since the proposed amendment failed to add anything of substance to the dismissed complaint. (*Alvord & Swift v Muller Constr. Co.*, 46 NY2d 276; *Herrick v Second Cut-house*, 64 NY2d 692; *Rainbow v Rosenberg*, 54 AD2d 1121; *Loudin v Mohawk Airlines*, 27 AD2d 517; *Rossignol v Silvernail*, 185 AD2d 497; *Health-Loom Corp. v Soho Plaza Corp.*, 209 AD2d 197; *Hunsdorfer v West Side Structural Co.*, 284 App Div 1084.)

OPINION OF THE COURT

Chief Judge KAYE.

This is a shareholder derivative action brought to recover damages allegedly suffered by Besicorp Group Inc., a public company, as a result of illegal conduct by defendant Michael Zinn—its founder, majority stockholder, board chairman, chief executive officer and president.¹ Because a derivative action is brought on the corporation's behalf, the law generally requires that demand first be made on the board of directors to pursue the claim. Here, plaintiff made no prelitigation demand on the Besicorp board, contending that demand was futile both because the board was dominated and controlled by Zinn and because a decision to indemnify Zinn was so egregious it could not have been the product of the directors' business judgment. At issue in this appeal is whether a prior litigation collaterally estops plaintiff from raising futility; if not, whether demand was in

1. Since this action was initiated, Besicorp's rights regarding this action were assigned to WOM, Inc., Besicorp's successor-in-interest, and WOM was substituted as the real party in interest.

fact futile; and whether plaintiff is entitled to summary judgment.

I. Facts

In 1996, the federal government began a criminal investigation into defendant Zinn's involvement in the congressional campaign of Maurice Hinchey. The government issued subpoenas to Besicorp and others for documents and testimony before a grand jury concerning contributions by individuals associated with Besicorp in the 1992 and 1994 Hinchey campaigns and the use of Besicorp's assets in connection with those campaigns.

Defendant Zinn was finance chairman of the 1992 Hinchey campaign. In order to circumvent the Federal Election Campaign Act's prohibitions on corporate campaign contributions, Zinn allegedly arranged that he and certain Besicorp officers and employees would make contributions to the campaign and the company would reimburse them with raises or cash bonuses, deducted as business expenses by the corporation on its federal income tax returns; Zinn allegedly also solicited contributions from others and caused Besicorp to reimburse him by way of a bonus. On May 22, 1996, weeks after the subpoenas were issued, defendants Gerald A. Habib, Harold Harris and Richard E. Rosen convened a special board meeting and determined that the corporation would indemnify Zinn (and certain others) for legal fees and expenses in connection with the subpoenas, and that the corporation would be reimbursed if indemnification was unwarranted.² According to plaintiff, the corporation immediately began making substantial payments for legal fees and other charges associated with the government investigation.

One year later, on May 15, 1997, Zinn and Besicorp were indicted for their participation in the illegal scheme. The following month, they each agreed to plead guilty to aiding and abetting the submission of false statements to the Federal Election Commission; Besicorp agreed to plead guilty to the charge of making and signing a false corporate income tax return, and Zinn to aiding and abetting the preparation and presentation of a false federal income tax return. During the plea allocution on June 19, 1997, Zinn acknowledged in open court, under penalty

2. Habib, Harris and Rosen became directors in May 1994, after the campaign contributions were made. Harris resigned in November 1997 and defendant Michael J. Daley (chief financial officer) was elected to complete his term. The board during certain relevant times apparently consisted of three "outside" directors (Habib, Harris and Rosen), and two "inside" directors (Zinn and Daley).

of perjury, that he knowingly and willfully violated the law. In his words:

“I made funds available to certain employees of my company through bonuses and advances so that their contributions to the 1992 congressional campaign of Maurice Hinch[e]y were in fact contributions of Besicorp. I knew the campaign would be reporting those contributions to the Federal Election Commission and I intended the campaign not identify the true source of the contribution. I was also aware and intended that those bonuses and advances be deducted in the ordinary course of events on Besicorp’s tax return.”

Plaintiff complains that the board took no action at that time to seek reimbursement, but instead during June and July 1997 authorized additional payments by the corporation for Zinn’s legal fees and expenses.

On August 13, 1997, plaintiff commenced this derivative action alleging that defendants breached their fiduciary duties and wasted corporate assets by authorizing the use of Besicorp funds to pay legal costs in the federal investigation and by not seeking reimbursement from Zinn. On October 22, 1997, Zinn was sentenced to a six-month term of imprisonment with two years of supervised release, and fined \$36,673; Besicorp was fined \$36,400. As the sentencing court observed: “Mr. Zinn took advantage of the fact that he was the chief executive officer of a public corporation and he dipped into the corporate treasury to pay for his own political goals at the expense of the minority shareholders, many of whom did not share his political interest. . . . This is a case where in order to commit the election law violation, the person perpetrating the offense engaged in a fraud on his own shareholders and his own company and a breach of his duty of undivided loyalty and also in a tax fraud.” After October 22, Besicorp made no further payments for Zinn’s defense costs. Up to that time, Besicorp had allegedly advanced \$273,010.99 for Zinn’s defense, a fraction of the total legal costs the corporation incurred in connection with the illegal scheme.

Zinn resigned as an officer and director on November 11, 1997, and Daley succeeded him. On January 23, 1998—more than six months after Zinn pleaded guilty to knowingly violating the law and several months after plaintiff brought this lawsuit—the corporation’s Legal Defense Management Committee, which consisted of Daley, Habib and Rosen, sought partial

reimbursement from Zinn of the expenditures the corporation incurred on his behalf (\$186,000). The Committee (Daley abstaining) agreed to accept a \$161,000 seven percent interest-bearing promissory note from Zinn (crediting him with a \$25,000 bonus), payments to begin on June 1, 1998.

Defendants moved to dismiss plaintiff's action for failure to make a demand on the board of directors pursuant to section 626 (c) of the Business Corporation Law. In April 1998, Supreme Court granted defendants' motion and dismissed the action. With dismissal of the case in hand, on January 19, 1999 Besicorp's Legal Defense Management Committee—company counsel, officers and directors (including Habib, Rosen, Daley and Zinn)—met by telephone to continue their discussion regarding indemnification. By this time Zinn had been released from prison, and was reinstated as a Besicorp officer and director. The minutes recite that the Committee reviewed a report of independent counsel retained to advise whether the corporation could indemnify Zinn for his costs and expenses, and whether the corporation was obligated to seek reimbursement from him. That report is not part of the record before us. The minutes also reflect that Zinn attended virtually the entire meeting.

The Committee found that Zinn's conduct relating to the 1992 Hinchey campaign was "undertaken in good faith," that he "reasonably believed at the time to be in the best[] interests of the Company" and that he "had no reasonable cause to believe that his conduct was unlawful." The Committee unanimously voted that the corporation indemnify Zinn for all legal costs and expenses related to his defense, subsequent guilty plea, sentencing and incarceration, and also indemnify him for any covered costs he previously paid. As revealed in Besicorp's March 2, 1999 proxy statement, this action authorized payment of Zinn's \$36,673 fine, acknowledged that he had no further obligation on the \$141,000 balance remaining on the promissory note, and authorized repayment of approximately \$39,180 of legal fees and expenses incurred by third parties that Zinn had paid. The minutes of the board meeting do not reflect what consideration, if any, the board gave to Zinn's sworn admissions to having knowingly violated the law, thus exposing the corporation to criminal penalties and other harm.

Shortly after the Committee's action, the Appellate Division reversed Supreme Court's dismissal of plaintiff's complaint, concluding that for purposes of a CPLR 3211 (a) (7) motion, the allegations of business dealings among the board members indicating a lack of independence were sufficient to excuse

demand as futile. The Court rejected plaintiff's proffered alternative ground—that the conduct was so egregious that it could not have been the product of sound business judgment (258 AD2d 710 [3d Dept 1999]).

In April 2000, after obtaining dismissal of another derivative suit brought against the corporation, defendants moved for summary judgment dismissing plaintiff's derivative suit. Defendants argued that, based on *Lichtenberg v Zinn* (260 AD2d 741 [3d Dept 1999], *lv denied* 94 NY2d 754 [1999])—decided by the Appellate Division just after its reinstatement of plaintiff's complaint—plaintiff was collaterally estopped from claiming that demand on the corporation was excused by the directors' personal and business dealings. Plaintiff opposed defendants' motion and cross-moved for summary judgment. Supreme Court denied defendants summary judgment on collateral estoppel grounds, finding the *Lichtenberg* challenge different from the present complaint, and granted plaintiff summary judgment with respect to Zinn's liability based on his guilty plea admissions. The Appellate Division reversed and dismissed the action, concluding that “the precise issue” being litigated here was litigated in *Lichtenberg*, and that plaintiff could not rely on facts occurring after commencement of his action to excuse demand on the alternative ground (294 AD2d 762, 763 [3d Dept 2002]). In this posture the case now reaches us.

II. The Requirement of Demand

Central to this appeal is the requirement of demand, which is the starting point for our analysis.

Derivative actions brought by minority shareholders vindicate the corporation's rights (*Marx v Akers*, 88 NY2d 189, 193 [1996]). On the one hand, derivative actions are not favored in the law because they ask courts to second-guess the business judgment of the individuals charged with managing the company. On the other hand, derivative actions serve the important purpose of protecting corporations and minority shareholders against officers and directors who, in discharging their official responsibilities, place other interests ahead of those of the corporation.

A balance of these considerations is maintained by the requirement that a plaintiff shareholder set forth in the complaint—with particularity—an attempt to “secure the initiation of such action by the board or the reasons for not making such effort” (Business Corporation Law § 626 [c]). The demand requirement rests on “basic principles of corporate control—

that the management of the corporation is entrusted to its board of directors, who have primary responsibility for acting in the name of the corporation and who are often in a position to correct alleged abuses without resort to the courts” (*Barr v Wackman*, 36 NY2d 371, 378 [1975] [citation omitted]; see also *Auerbach v Bennett*, 47 NY2d 619, 630-631 [1979]). The demand requirement thus relieves courts of unduly intruding into matters of corporate governance by first allowing the directors themselves to address the alleged abuses. The requirement also provides boards with reasonable protection from harassment on matters clearly within their discretion, and it discourages “strike suits” commenced by shareholders for personal rather than corporate benefit (*Marx v Akers*, 88 NY2d at 194).

Demand is futile, and excused, when the directors are incapable of making an impartial decision as to whether to bring suit. That occurs in three circumstances:

“(1) Demand is excused because of futility when a complaint alleges with particularity that a majority of the board of directors is interested in the challenged transaction. Director interest may either be self-interest in the transaction at issue, or a loss of independence because a director with no direct interest in a transaction is ‘controlled’ by a self-interested director. (2) Demand is excused because of futility when a complaint alleges with particularity that the board of directors did not fully inform themselves about the challenged transaction to the extent reasonably appropriate under the circumstances. The ‘long-standing rule’ is that a director ‘does not exempt himself from liability by failing to do more than passively rubber-stamp the decisions of the active managers’. (3) Demand is excused because of futility when a complaint alleges with particularity that the challenged transaction was so egregious on its face that it could not have been the product of sound business judgment of the directors” (*Marx v Akers*, 88 NY2d at 200-201 [citations omitted]).

If demand is excused—as plaintiff alleges it should be, on the first and third grounds—it then becomes the court’s role to chart the course for the corporation which the directors should have selected (*id.* at 194).

III. Collateral Estoppel

Defendants argue that plaintiff is collaterally estopped from asserting that demand is futile because the issue has already been conclusively litigated in *Lichtenberg*. If *Lichtenberg* is determinative, this suit ends.

[1] Collateral estoppel rests on considerations of fairness and efficiency. Where a pending issue was raised, necessarily decided and material in a prior action, and where the party to be estopped had a full and fair opportunity to litigate the issue in the earlier action, fairness and efficiency dictate that the party should not be permitted to try the issue again (*Pinnacle Consultants v Leucadia Natl. Corp.*, 94 NY2d 426, 431-432 [2000]). Collateral estoppel is inapplicable here.

Lichtenberg v Zinn was a derivative action brought in 1993 on behalf of Besicorp against its board members, including Zinn, charging that they caused the corporation to grant board members substantial stock options and warrants for little or no consideration, thereby wasting Besicorp's assets, increasing their control of the company and diminishing the minority interest. Just after *Lichtenberg* was filed, in May 1994 Besicorp constituted a Special Litigation Committee made up of new board members Harris, Habib and Rosen, to determine if continuation of the action was in the best interest of the corporation. After a lengthy, comprehensive investigation—including the retention of independent legal counsel and three experts, document inspection and interviews summarized in a 24-page report to the board—the Committee concluded that defendants had acted reasonably, that there was no breach of fiduciary duty or waste of corporate assets and that continuation of the action was not in the best interest of the corporation. Harris, Habib and Rosen also separately submitted detailed affidavits in *Lichtenberg*, attesting to their independence from Zinn, their comprehensive investigation and their lengthy deliberative process.

Supreme Court dismissed *Lichtenberg*, and the Appellate Division affirmed, concluding that the Committee's determination was the result of sound business judgment, supported by a thorough investigation conducted by the defendant directors as well as independent counsel. The Court rejected the argument that the directors were "interested" by reason of prior personal relationships and prior business dealings with Zinn or Besicorp: "the record establishe[d] that neither Harris, Habib nor Rosen were named as defendants in the underlying action nor implicated in the alleged corporate wrongdoing and, further,

that they were not members of Besicorp's board of directors at the time that the challenged transactions [were] alleged to have occurred" (*id.* at 742). In the Appellate Division's view, each director demonstrated substantial relevant business experience and was not merely one of Zinn's "cronies" (*id.* at 743).

Defendants correctly observe that, like plaintiff in the present case, Lichtenberg challenged the "interest" of Harris, Habib and Rosen on grounds of personal and business connections to Zinn. That the Appellate Division in *Lichtenberg* concluded these defendants were not subject to Zinn's domination and control with respect to the stock options and warrants, however, does not for all time and in all circumstances insulate their conduct from similar claims. Significantly, in the present action Harris, Habib and Rosen were personally implicated in the alleged wrongdoing; they were board members at the time of the events in issue and they are named defendants in the suit, themselves subject to liability. Moreover, in *Lichtenberg* both Supreme Court and the Appellate Division had before them affidavits and other materials evidencing the directors' independence. Here, by contrast, the record before us contains no evidence of defendants' motivation, investigation or deliberative process with respect to indemnification and reimbursement, and no evidence of independent counsel's efforts apart from mention of a report. Defendants merely rely on the proof they put before the court in *Lichtenberg*, which does nothing to substantiate their claims that in this case they acted with integrity and independence, in the interest of the corporation rather than the interest of Zinn.

In short, there being no identity of issue, *Lichtenberg* does not estop plaintiff from litigating the futility of demand.

IV. Futility of Demand

As noted earlier, demand is futile when the board itself has an interest in the matter at issue and therefore cannot objectively determine if it should continue the suit (*see generally* Dennis J. Block et al., *The Business Judgment Rule: Fiduciary Duties of Corporate Directors*, at 1467-1468 [5th ed 1998]). As we recognized in *Marx v Akers*, director "interest" for this purpose may be either a director's self-interest in the matter or a loss of independence owing to domination and control by a self-interested director. A charge of interest must be made with particularity. Simply naming a majority of the board as defendants with conclusory allegations of wrongdoing or control is insufficient to circumvent the requirement of demand (*Barr v Wackman*, 36 NY2d 371, 379 [1975]).

In *Barr*, interest was found and demand excused where the board approved an offer less favorable to the company but more beneficial to board members personally (36 NY2d at 380). Similarly, in *Marx* self-interest was shown by allegations that the outside directors comprised a majority of the board and therefore received a personal benefit in fixing their own excessive compensation (88 NY2d at 202).

Here, the claim is different. Plaintiff alleges that the board was dominated and controlled by Zinn, who by reason of his position and associations with defendants caused them to place his interests above those of the corporation. That interest is exemplified by the board's immediate action covering Zinn's fees upon issuance of the subpoenas, yet delaying reimbursement—indeed, continuing to advance defense costs—after Zinn in open court admitted having implicated the corporation in his criminal conduct. Evidence of postlitigation events confirms plaintiff's assertions that demand on these directors was futile. When certain of the defendants ultimately decided to seek reimbursement from Zinn months later, they sought only partial repayment in the form of a promissory note. And after Supreme Court's dismissal of plaintiff's action (but before reinstatement by the Appellate Division), they voted to indemnify Zinn for all legal costs and expenses associated with his defense, plea bargain, sentencing and incarceration—including costs previously paid and the fine assessed against him.

[2] We agree with plaintiff that it was futile to ask this board to initiate action to recover the losses allegedly suffered by the corporation.³

V. Summary Judgment

[3] Plaintiff contends that he is entitled to summary judgment against all defendants because, in contravention of New York's indemnification laws, the board indemnified Zinn even after he pleaded guilty to knowing and willful criminal conduct implicating the corporation. We agree with Supreme Court that the motion should have been granted as to the liability of Zinn and otherwise denied.

New York's Business Corporation Law sets forth a "good faith" standard for indemnification. A corporation may indemnify an officer or director "if such director or officer acted, in good faith, for a purpose which he reasonably believed to be in

3. Because demand was excused on this ground, we need not address the egregiousness issue.

. . . the best interests of the corporation and, in criminal actions or proceedings, in addition, had no reasonable cause to believe that his conduct was unlawful” (Business Corporation Law § 722 [a]). Indemnification is prohibited, however, if a judgment or other final adjudication adverse to the director establishes that his acts were committed “in bad faith or were the result of active and deliberate dishonesty and were material to the cause of action so adjudicated, or that he personally gained in fact a financial profit or other advantage to which he was not legally entitled” (Business Corporation Law § 721). Termination of a legal proceeding by “judgment, settlement, conviction or upon a plea of nolo contendere, or its equivalent, shall not in itself create a presumption that any such director or officer did not act, in good faith, for a purpose which he reasonably believed to be in . . . the best interests of the corporation or that he had reasonable cause to believe that his conduct was unlawful” (Business Corporation Law § 722 [b]).

Here, Zinn’s illegal scheme resulted in a five-count felony indictment against him and the company. In his plea allocution, Zinn admitted under oath in open court that he made company funds available to employees so that they might contribute to a congressional campaign in violation of the Federal Election Campaign Act, and that he was aware and intended that bonuses and advances to reimburse them would be deducted in the ordinary course of events on Besicorp’s tax returns. When asked by the court if his acts were knowing and willful, Zinn answered, “Yes, Your Honor.” In response to the question, “Did you know it was a violation of law to do them?” Zinn stated, “I believe I did, Your Honor.” We cannot agree with defendants that the conduct at issue—punished with a sentence of fines and imprisonment—was little more than a “technical violation of an obscure *malum prohibitum* statute.” Zinn’s sworn admissions leave no room for finding that he was entitled to indemnification by Besicorp because he acted in good faith, for a purpose he reasonably believed to be in the best interest of the corporation and had no reasonable cause to believe that his conduct was unlawful (see *Biondi v Beekman Hill House Apt. Corp.*, 94 NY2d 659 [2000]; see also *Pilipiak v Keyes*, 286 AD2d 231 [1st Dept 2001]).

As to the remaining defendants we deny plaintiff’s motion for summary judgment. Factual issues remain as to the motivation for their actions, particularly in light of their failure to do more than note the existence of a report of independent legal counsel, upon which they place heavy reliance (see Business Corporation Law § 723 [b] [2] [A]).

Accordingly, the order of the Appellate Division should be modified, without costs, by reinstating the order of Supreme Court, Ulster County, and, as modified, affirmed.

Judges G.B. SMITH, CIPARICK, ROSENBLATT, GRAFFEO and READ concur.

Order modified, etc.

[801 NE2d 382, 769 NYS2d 162]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v JACQUE-
LINE MENDEZ, Appellant.

Argued September 17, 2003; decided October 23, 2003

SUMMARY

APPEAL, by permission of a Justice of the Appellate Division of the Supreme Court in the Second Judicial Department, from an order of that Court, entered August 5, 2002. The Appellate Division affirmed a judgment of the Westchester County Court (Peter M. Leavitt, J., at hearings; J. Kevin Mulroy, J., at trial), which had convicted defendant, after a nonjury trial, of manslaughter in the first degree and criminal possession of a weapon in the fourth degree.

People v Mendez, 297 AD2d 291, affirmed.

HEADNOTE

Crimes — Fitness to Proceed to Trial

In a criminal prosecution arising out of defendant's killing of her boyfriend with a kitchen knife, the prosecution carried its burden of proving defendant competent to stand trial (*see* CPL 730.10 [1]). Three psychiatrists found that defendant was adequately oriented, that she grasped the nature and thrust of the proceedings and that she could assist in her own defense. The psychiatric testimony did not support defendant's claim that her dissociative personality disorder rendered her incompetent to stand trial; this was not a case in which there was evidence that one personality would have to understand and defend charges arising out of an alleged crime committed by another personality.

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By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 93–97, 102, 103, 106, 109, 111, 114.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:1224, 172:1225, 172:1229, 172:1249, 172:1251, 172:1255–172:1258.

McKINNEY'S, CPL 730.10 (1).

NY JUR 2d, Criminal Law §§ 1647–1649, 1651, 1655, 1659.

ANNOTATION REFERENCE

Competency to stand trial of criminal defendant diagnosed as “schizophrenic”—modern state cases. 33 ALR4th 1062.

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logical /3 disorder illness & criminal

POINTS OF COUNSEL

Gerald E. Bodell, Westport, Connecticut, for appellant. I. The court below erred in ruling that defendant was competent to stand trial because she had a mental illness that caused her to disassociate her mind and person from a rational understanding of the proceedings against her and had no ability to recall facts relevant to time, place and circumstances and was unable to assist counsel. (*Bishop v United States*, 350 US 961; *Dusky v United States*, 362 US 402; *People v Francabandera*, 33 NY2d 429; *Pouncey v United States*, 349 F2d 699; *Wilson v United States*, 391 F2d 460; *People v Tortorici*, 249 AD2d 588, 92 NY2d 757.) II. The trial of defendant was a violation of her due process rights because she was tried without a jury without an understanding of what it meant because of her mental illness and the court failed to hear and determine or find that defendant could or did in fact receive a fair trial as required by law when the record shows that a fair trial was not given. (*Drope v Missouri*, 420 US 162; *Johnson v Keane*, 974 F Supp 225; *People v Vallen*, 128 Misc 2d 397; *Wilson v United States*, 391 F2d 460; *People v Francabandera*, 33 NY2d 429.) III. It was error to convict defendant of manslaughter in the first degree because the State did not prove that defendant had the requisite intent to commit that crime.

Jeanine Pirro, District Attorney, White Plains (*Lisa Colosi Florio*, *Richard Longworth Hecht* and *Richard E. Weill* of counsel), for respondent. I. The finding that defendant was competent, affirmed by the court below, is supported by uncontroverted hearing testimony, and is thus beyond further review by this Court; fit to proceed, defendant was necessarily fit to waive her right to a jury trial. (*Matter of Francis S.*, 87 NY2d 554; *Matter of George L.*, 85 NY2d 295; *People v Gensler*, 72 NY2d 239, 488 US 932; *People v Howard*, 87 NY2d 940; *People v Bleakley*, 69 NY2d 490; *People v Beasley*, 114 AD2d 415; *People v Santos*, 43 AD2d 73; *People v Miller*, 84 Misc 2d 310; *People v Bisnett*, 144 AD2d 567, 73 NY2d 889; *People v Ferguson*, 248 AD2d 725, 92 NY2d 981.) II. The thrust of the defense at trial was that defendant acted under extreme emotional disturbance, rendering untenable her present claim that the manslaughter verdict, which credited that defense, was unanticipated. Defendant's challenge to the proof of her intent to kill Cabrero

is unpreserved and flatly refuted by the record. (*People v Van Norstrand*, 85 NY2d 131; *People v Contes*, 60 NY2d 620; *People v Turriago*, 90 NY2d 77; *People v Gray*, 86 NY2d 10.)

OPINION OF THE COURT

ROSENBLATT, J.

After an argument, defendant killed her boyfriend with a kitchen knife, resulting in her conviction for manslaughter in the first degree and criminal possession of a weapon in the fourth degree. We are confronted with the question of her competency to stand trial, given her long history of mental illness and hospitalizations.

Supreme Court ordered competency examinations in which defendant was examined by three psychiatrists, all of whom declared defendant competent to undergo trial. After a hearing, the court ordered the case to trial, determining that the People had established defendant's competence by a preponderance of the evidence. The Appellate Division, with one Justice dissenting, affirmed defendant's conviction, holding that Supreme Court correctly determined that defendant was fit to stand trial. A Justice of the Appellate Division granted leave, and we affirm.

I.

On the morning of the crime, defendant telephoned 911, saying "I think I killed my boyfriend." She gave her address, an apartment house in Yonkers. When the police arrived at the scene, defendant directed them to her boyfriend, Gustavo Cabrero, who was lying in bed with a puncture wound in his chest. Defendant said, "I killed him, didn't I?" The authorities took Cabrero to a nearby hospital where he was later pronounced dead.

The police arrested defendant and took her statement after administering *Miranda* warnings. Defendant said that she was angered by what she felt was Cabrero's infidelity and his bad attitude toward her son. She said that after she and Cabrero returned to bed, she arose, went to the kitchen and got a serrated knife with a six-inch blade. As Cabrero lay in bed, defendant asked him if he was tired. He said he was, and defendant stated, "Don't worry about it because you are going to rest for a long time." She then stabbed him in the chest.

The police transcribed defendant's statement and asked her to sign it, but she refused, saying it contained mistakes. Defendant then gave another statement which differed only in

inconsequential detail as to the sequence of events that led to the stabbing. She refused to sign the second statement. “If you sign the papers,” she said, “you can get yourself into trouble.” Defendant then asked for a lawyer and the interview came to an end.

After a grand jury indicted defendant for murder, County Court ordered that she undergo a competency examination pursuant to Criminal Procedure Law § 730.30. The court and the parties received the results, by which defendant was found competent to stand trial. Several weeks later, when the case was called for conference, defendant made a written request for a change of counsel. When the court told her she needed a reason, she gave the court another writing explaining that her attorney had previously represented Gustavo Cabrero. The court at first denied the motion, but yielded after defendant persisted and claimed that her lawyer was interested only in getting her to plead guilty.

Based on the newly assigned attorney’s request, the court ordered another competency hearing to be performed by three certified psychiatrists. They reported defendant competent to stand trial. After granting defendant’s motion for a hearing (CPL 730.30 [2]), the court took testimony from Drs. Abraham Halpern, Norman Weiss and Alan Tuckman. All three testified that defendant was competent.

Dr. Halpern, a Board-certified psychiatrist, discussed the nature of dissociative personality disorder and observed that a person in defendant’s condition could have lapses of judgment. He maintained, however, that defendant was much improved since he last examined her and that she seemed generally in contact and oriented. He stressed that she was aware of the plea negotiations and appropriately sought a new attorney when she perceived that she was being pressured to plead guilty. Dr. Halpern stated that when examining defendant he did not encounter multiple personalities in her and had no reason to believe that she was speaking as another person.

Dr. Tuckman, a forensic psychiatrist, testified that during his examination defendant revealed another personality. Defendant told him that there were three people inside her: an adult woman named Jackie, a seven-year-old child and a teenager named Karla. During the examination, defendant was able to present herself as Karla and then revert to Jackie. Dr. Tuckman concluded that defendant was suffering from dissociative personality disorder, and acknowledged that her dissociative

episodes could take place during the trial. He added, however, that because defendant was aware of her other personalities, she had the ability to bring them out or “close them down.” He rejected the theory that defendant was acting as an alternate personality when she stabbed her boyfriend, basing this opinion, in part, on her detailed and accurate statements to the police.

Finally, Dr. Weiss testified that defendant was able to respond properly to questions about the role of the judge, jury, defense counsel and prosecutor. He added that defendant could relate the nature of the charges facing her.

Based on the hearing testimony, the court found defendant fit to stand trial. At the nonjury trial, defendant advanced the affirmative defense of extreme emotional disturbance (Penal Law § 125.25 [1] [a]), which, if credited, reduces murder to manslaughter in the first degree. The defense called Dr. Alan Goldstein, a clinical psychologist, who stated that defendant was overwhelmed by her emotions and that the defense of extreme emotional disturbance was consistent with her mental condition at the time of the crime.

The court found defendant guilty of manslaughter in the first degree.

II.

The test for competence is set forth in CPL 730.10 (1): “Incapacitated person means a defendant who as a result of mental disease or defect lacks capacity to understand the proceedings against him or to assist his own defense.” For purposes of due process, the United States Supreme Court has explained that the defendant must have “sufficient present ability to consult with his lawyer with a reasonable degree of rational understanding—and . . . a rational as well as factual understanding of the proceedings against him” (*Dusky v United States*, 362 US 402, 402 [1960]; see also Preiser, Practice Commentaries, McKinney’s Cons Laws of NY, Book 11A, CPL 730.10 at 442).

Article 730 makes no mention of who has the burden of proving or disproving competency and by what standard. We have concluded that the burden should be on the prosecution to establish the defendant’s competency by a preponderance of the evidence (see *People v Christopher*, 65 NY2d 417 [1985]), even though a state is free to place the burden on defendant to prove

incompetency by a preponderance of the evidence (*see Cooper v Oklahoma*, 517 US 348 [1996]).*

The dissenting Justice at the Appellate Division cogently pointed out the problems in prosecuting someone whose personalities are “walled off from each other” (297 AD2d 291, 293). There are, however, several reasons warranting affirmation.

Here, the prosecution has carried the burden by a preponderance. All three psychiatrists found defendant competent. Although their analyses and emphases varied, they reached the same conclusion, independently. In essence, they found that defendant was adequately oriented, that she grasped the nature and thrust of the proceedings and that she could assist in her own defense. Defendant points out, correctly, that a competency inquiry involves a legal and not a medical determination (*see People v Tortorici*, 92 NY2d 757 [1999]). While the court was empowered to override the psychiatric opinion, it found no basis to do so.

Nor do we. The Appellate Division majority concluded that the hearing court’s determination was correct. Under these circumstances, our review is limited, and defendant may prevail only if we conclude that she was incompetent as a matter of law. In *People v Jordan* (35 NY2d 577 [1974]), we made such a determination, but it was based on a record that included three judicial determinations and psychiatric testimony that defendant was unfit for trial. Here, by way of contrast, the expert testimony was unanimous, concluding that defendant was competent. Moreover, the trial court had the opportunity to observe defendant’s behavior and to evaluate the testimony of the psychiatrists in that context.

Critically, the psychiatric testimony does not support defendant’s claim that her dissociative personality disorder rendered her incompetent to stand trial. This is not a case in which there is evidence that one personality would have to understand and defend charges arising out of an alleged crime committed by another personality. The trial court concluded that defendant had sufficient insight and recall to understand the charges and assist in her defense. Were we to adopt defendant’s argument, we would have to hold that any defendant with dissociative disor-

* Some states have required the defense to establish defendant’s incompetency by a preponderance of the evidence (*see, e.g., City of Youngstown v Ortiz*, 153 Ohio App 3d 271, 793 NE2d 498 [2003]; *State v Leming*, 3 SW3d 7, 14 [Tenn Crim App 1998]; *State v Armstrong*, 82 NM 358, 482 P2d 61 [1971]).

der is incompetent as a matter of law. We are unwilling to lay down such a rule. In this case we have no cause to disturb the findings of the trial court and Appellate Division.

We have considered defendant's other contentions, and we find them to be without merit.

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, GRAFFEO and READ concur.

Order affirmed.

[801 NE2d 372, 769 NYS2d 152]

BEVERLY GARRICKS, Respondent, v CITY OF NEW YORK, Appellant.

Argued September 16, 2003; decided October 23, 2003

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered December 31, 2002. The Appellate Division, with two Justices dissenting, affirmed a judgment of the Supreme Court, Bronx County (Barry Salman, J.). The judgment, which was entered upon a jury verdict in favor of plaintiff, as reduced pursuant to plaintiff's stipulation, had awarded plaintiff damages in the principal sum of \$307,800.

Garricks v City of New York, 300 AD2d 247, reversed.

HEADNOTE

Municipal Corporations — Snow and Ice — Reasonableness of Response to Storm

In a negligence action arising from plaintiff's fall on an icy sidewalk two days after a snowstorm ended, defendant municipality was erroneously precluded from presenting evidence at trial regarding a municipal ordinance that imposed a duty on landowners to clear snow from sidewalks abutting their property. Defendant was not permitted to introduce testimony as to the existence of the ordinance, defendant's efforts to enforce the ordinance, or its reliance on property owners as part of its snow removal response plan. This was relevant evidence regarding the reasonableness of its response to the snowstorm and in determining whether defendant breached its duty.

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By the Publisher's Editorial Staff

AM JUR 2d, Highways, Streets, and Bridges §§ 530, 531, 535, 538, 544, 545; Municipal, County, School, and State Tort Liability §§ 99, 100, 107; Premises Liability §§ 708–710, 714.

NY JUR 2d, Government Tort Liability §§ 102, 120; Highways, Streets, and Bridges §§ 524, 526, 534.

NEW YORK PATTERN JURY INSTRUCTIONS—CIVIL, PJI 2:225A.

ANNOTATION REFERENCE

See ALR Index under Municipal Corporations; Sidewalks; Snow, Ice, Sleet, or Frost.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: ice icy /s sidewalk /p city municipal! /5 liable liability & abutting /5 ordinance

POINTS OF COUNSEL

Michael A. Cardozo, Corporation Counsel, New York City (Paul L. Herzfeld and Francis F. Caputo of counsel), for appellant. I. Plaintiff failed to present a prima facie case that the City failed to act reasonably in removing snow and ice under the circumstances. The record contained no evidence from which a rational jury could conclude that the City's actions were unreasonable. (*Valentine v City of New York*, 86 AD2d 381, 57 NY2d 932; *Mandel v City of New York*, 44 NY2d 1004; *Martinez v Columbia Presbyt. Hosp.*, 238 AD2d 286; *Rapoport v City of New York*, 281 App Div 33, 306 NY 636; *Reutlinger v City of New York*, 255 App Div 848, 281 NY 592; *Sing Ping Cheung v City of New York*, 234 AD2d 91; *Yonki v City of New York*, 276 App Div 407, 303 NY 852; *Taylor v City of Yonkers*, 105 NY 202; *Weiss v Fote*, 7 NY2d 579; *McCormack v City of New York*, 80 NY2d 808.) II. The trial court erred by not allowing the jury to be informed that under Administrative Code of the City of New York § 16-123, property owners have a duty to remove snow and ice from the sidewalk abutting their property. (*Valentine v City of New York*, 86 AD2d 381; *Kuci v Manhattan & Bronx Surface Tr. Operating Auth.*, 219 AD2d 486, 88 NY2d 923; *Marine Midland Bank v Russo Produce Co.*, 50 NY2d 31.)

Pollack, Pollack, Isaac & DeCicco, New York City (Brian J. Isaac and William Peterman of counsel), and Corpina, Piergrossi, Overzat & Klar, LLP, for respondent. The City did not, as a matter of law, on this record, comply with its nondelegable duty to maintain its roads and sidewalks in a reasonably safe condition; the City submitted no proof of budgetary constraints that would have prevented it from complying with this duty. (*Weiss v Fote*, 7 NY2d 579; *Annino v City of Utica*, 276 NY 192; *Lopes v Rostad*, 45 NY2d 617; *Pettengill v City of Yonkers*, 116 NY 558; *City of Rochester v Campbell*, 123 NY 405; *Conrad v Village of Ithaca*, 16 NY 158; *Harrington v City of Buffalo*, 121 NY 147; *Taylor v City of Yonkers*, 105 NY 202; *Williams v City of New York*, 214 NY 259; *Yonki v City of New York*, 276 App Div 407, 303 NY 852.)

J. Wade Beltramo, Albany, for New York State Conference of Mayors and Municipal Officials, amicus curiae. I. The Appellate Division erred in affirming the Supreme Court's decision

because plaintiff did not establish a prima facie case showing that defendant's snow removal plan was either inadequate or improperly carried out. (*Valentine v City of New York*, 86 AD2d 381, 57 NY2d 932; *Weiss v Fote*, 7 NY2d 579; *Tuchrello v State of New York*, 190 Misc 2d 664; *Yonki v City of New York*, 276 App Div 407, 303 NY 852; *Friedman v State of New York*, 67 NY2d 271.) II. The failure to require plaintiff to present a prima facie case essentially makes the City of New York the insurer for plaintiff's injuries. (*Tuchrello v State of New York*, 190 Misc 2d 664; *Tomassi v Town of Union*, 46 NY2d 91; *Brooks v New York State Thruway Auth.*, 73 AD2d 767, 51 NY2d 892.)

OPINION OF THE COURT

GRAFFEO, J.

In this negligence action arising from plaintiff's fall on an icy sidewalk, defendant City of New York appeals from an Appellate Division order that affirmed a jury verdict in plaintiff's favor. Because we conclude that the City was erroneously precluded from presenting relevant evidence regarding the reasonableness of its response to the snowstorm, we reverse and remit for a new trial.

Plaintiff Beverly Garricks was injured when she slipped and fell on an ice-covered sidewalk near her home in the Bronx. She commenced this personal injury action against the City and the owners of the property abutting the sidewalk where her accident occurred. After plaintiff obtained a default judgment against the property owners, the case against the City proceeded to trial.

Plaintiff presented evidence that at approximately 9:00 A.M. on February 6, 1995, she was walking on a sidewalk accompanied by her two children. Over 10 inches of snow had fallen on February 4, 1995 and, during the two days following the storm, average temperatures were below freezing with wind speeds averaging between 18 and 21 miles per hour. As plaintiff approached the curb to cross the street, she slipped and fell, fracturing her elbow. Plaintiff described the condition of the sidewalk where she fell as covered with hard, thick ice with no cleared path and no salt or sand on the surface.

The City contended at trial that its snow removal efforts following the February 4 storm were reasonable. In order to address public safety, traffic and commerce needs, the City claimed that it prioritized municipal snow removal efforts into three phases: main highways and arteries were cleared first, then

streets with bus stops and streets that connect residential areas with main roads and, finally, residential streets. Crosswalk cleaning, which involved the manual shoveling of crosswalks, hydrants and bus stops, was generally not undertaken until completion of snow removal from roadways.

The City offered testimony that its snow removal operations in response to the storm began on February 4 and continued through February 10, 1995. The snow removal district that encompassed the area where plaintiff fell included 308 miles of plow routes and 635 crosswalks. The sanitation supervisor who oversaw operations for this district stated that, during the three days from February 4 to February 6, the City deployed all available workers and equipment, including salt spreaders, plows and front-end loaders. In addition, temporary workers were hired for crosswalk clearing. Streets in all three phases had been cleared by the early morning hours of February 5 (at least 24 hours before plaintiff's sidewalk accident) and work on the crosswalks was ongoing.

When the City's counsel attempted to question the sanitation supervisor about Administrative Code of the City of New York § 16-123, which imposes a duty on landowners to clear snow from sidewalks abutting their property, Supreme Court sustained plaintiff's objection and a sidebar discussion ensued.¹ The court subsequently reiterated that it sustained the objection.

At the close of proof, the trial court reserved decision on the City's motions for dismissal of plaintiff's complaint and for a directed verdict. The City renewed its request to submit Administrative Code evidence at the charge conference, indicating that it had intended to elicit testimony to support its position that the ordinance and the City's necessary reliance on property owners were relevant facts for the jury to consider in assessing the reasonableness of the City's response. Because it had been unable to offer proof on this issue, the City asked the court to take judicial notice of section 16-123 and inform the jury of its existence. The City further urged that its sole purpose in seeking introduction of the evidence was related to the

1. Section 16-123 of the Administrative Code of the City of New York provides, in pertinent part, that "[e]very owner . . . or other person, having charge of any building or lot of ground in the city, abutting upon any street where the sidewalk is paved, shall, within four hours after the snow ceases to fall . . . remove the snow or ice . . . from the sidewalk and gutter, the time between nine post meridian and seven ante meridian not being included in the above period of four hours." (*Id.*, subd [a].)

reasonableness question and suggested that the court issue a limiting instruction to that effect. The court declined the City's request.

The jury returned a verdict finding the City negligent and awarding plaintiff \$50,000 for past pain and suffering, \$450,000 for future pain and suffering and \$7,800 for lost earnings. The court denied the City's motion to dismiss or to set aside the verdict as against the weight of the evidence, holding that the testimony presented a question of fact for jury determination as to the reasonableness of the City's response time and efforts. The court concluded, however, that the award was excessive and ordered a new trial on damages for future pain and suffering unless plaintiff stipulated to a reduction of those damages to \$250,000. Plaintiff so stipulated and judgment was entered. A divided Appellate Division affirmed and the City now appeals as of right based on a two-Justice dissent.

In this Court, the City argues that the trial court committed reversible error when it refused to permit the jury to consider the duty of property owners to remove snow and ice from abutting sidewalks in determining reasonableness. The City acknowledges that the Administrative Code provision does not extinguish its obligation to maintain the sidewalks but contends that its reliance on property owners' compliance with the ordinance was a relevant factor for the jury to weigh in assessing whether the City was liable.²

Courts have long recognized that where a municipality has enacted an ordinance requiring abutting landowners to remove snow from sidewalks "it may, before taking any action itself, wait a reasonable time for them to perform their legal duty" (*Valentine v City of New York*, 86 AD2d 381, 387 [1st Dept 1982],

2. On July 16, 2003, two new Administrative Code provisions were enacted into law that affect property owners' sidewalk maintenance obligations. One of the amendments, which apply to all residential property of more than three dwelling units, provides that "[i]t shall be the duty of the owner of real property abutting any sidewalk . . . to maintain such sidewalk in a reasonably safe condition. . . . Notwithstanding any other provision of law, the city shall not be liable for any injury to property or personal injury, including death, proximately caused by the failure to maintain sidewalks . . ." (*see* Local Law No. 49 [2003] of City of New York). Failure to maintain a sidewalk in reasonably safe condition includes "the negligent failure to remove snow, ice, dirt or other material from the sidewalk" (*see id.*). Another amendment requires owners of such properties to carry personal injury and property damage liability insurance to compensate for injuries caused by the failure to maintain sidewalks in reasonably safe condition (*see* Local Law No. 54 [2003] of City of New York § 1). The amendments took effect 60 days after approval and apply to accidents occurring on or after the effective date.

affd 57 NY2d 932 [1982]; *see Candelier v City of New York*, 129 AD2d 145 [1st Dept 1987]; *Taylor v City of Yonkers*, 105 NY 202 [1887]). Of course, such an ordinance does not relieve the municipality of its obligation to maintain sidewalks in a reasonably safe condition and, where property owners fail to comply with the ordinance within a reasonable time, the municipality must either enforce the ordinance or undertake the necessary work itself (*see Taylor*, 105 NY at 205-206; *see also Smith v City of New York*, 282 App Div 495 [1st Dept 1953], *affd* 307 NY 843 [1954]; *Yonki v City of New York*, 276 App Div 407 [1st Dept 1950], *appeal dismissed* 303 NY 852 [1952]). Evidence of a municipality's reliance on property owners to perform this duty and of its efforts to enforce the ordinance within a reasonable time is relevant in determining whether the municipality breached its duty (*see Smith*, 282 App Div at 496; *Yonki*, 276 App Div at 409-410; *see also* 1B NY PJI3d 1143 [2003] [municipality's efforts to enforce such a provision are relevant to determine whether it has acted with reasonable care]).

Here, the trial court precluded the City from introducing testimony as to the existence of the ordinance, the City's enforcement measures or its reliance on property owners as part of its snow removal response plan. Had such evidence been admitted, it would have been proper for the jury, charged with applying the standard of care and deciding whether the City was reasonable, to consider the ordinance and whatever efforts the City undertook in relation to the ordinance in reaching its verdict. In this case, such evidence, if offered in support of the City's theory that its response to the storm was reasonable, could have affected the outcome of the trial and exclusion of the evidence was not, therefore, harmless error (*see Marine Midland Bank v Russo Produce Co.*, 50 NY2d 31, 43 [1980]; *Kuci v Manhattan & Bronx Surface Tr. Operating Auth.*, 219 AD2d 486, 487 [1st Dept 1995], *affd* 88 NY2d 923 [1996]). Hence, reversal is warranted.

The City further contends that it was entitled to a directed verdict dismissing plaintiff's complaint. We disagree. On this record, we cannot say that plaintiff's evidence was insufficient to raise an issue of fact for the jury (*see Campbell v City of Elmira*, 84 NY2d 505, 509-510 [1994]; *Cohen v Hallmark Cards*, 45 NY2d 493, 499 [1978]).

Accordingly, the order of the Appellate Division should be reversed, with costs, and a new trial ordered.

Chief Judge KAYE and Judges G.B. SMITH, ROSENBLATT and
READ concur; Judge CIPARICK taking no part.

Order reversed, etc.

[801 NE2d 385, 769 NYS2d 165]

In the Matter of RICKY MURRAY, Respondent, v GLENN S. GOORD,
as Commissioner of the New York State Department of Cor-
rectional Services, et al., Appellants.

Argued September 10, 2003; decided October 28, 2003

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered October 1, 2002. The Appellate Division affirmed a judgment (denominated decision and order) of the Supreme Court, Bronx County (Norma Ruiz, J.), entered in a proceeding pursuant to CPLR article 78, which had granted the petition and directed that petitioner's sentences be served concurrently.

Matter of Murray v Goord, 298 AD2d 94, affirmed.

HEADNOTES

Crimes — Sentence — Concurrent and Consecutive Terms — Which Judge Determines

1. When there is a vacated judgment of conviction and subsequent resentencing of a defendant subject to an undischarged term of imprisonment, the last judge in the sentencing chain has the prerogative to decide whether the sentences should run consecutively or concurrently (*see* Penal Law § 70.25 [1]).

Crimes — Sentence — Concurrent and Consecutive Terms

2. *Matter of Muntaqim v Herbert* (277 AD2d 976 [2000]) is no longer good law and should not be followed.

Crimes — Sentence — Priority of Commitment Orders

3. Prison officials are conclusively bound by the contents of commitment papers accompanying a prisoner. Thus, where there was a vacated judgment of conviction and subsequent resentencing of a defendant subject to an undischarged term of imprisonment, and the directives in the respective commitment orders were inconsistent, the Department of Correctional Services was obliged to comply with the plain terms of the last commitment order received.

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By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 886, 889, 925.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:3897,
172:4089.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed), § 26.3.

McKINNEY'S, Penal Law § 70.25 (1).

NY JUR 2d, Criminal Law §§ 2851, 2858, 2862.

ANNOTATION REFERENCE

See ALR Index under Concurrent and Consecutive Sentences; Sentence and Punishment.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: concurrent! consecutive! /s sentence /s undis-
charged /2 term /p 70.25 & resentenc!

POINTS OF COUNSEL

Eliot Spitzer, Attorney General, Albany (Eric A. Johnson, Caitlin J. Halligan, Daniel Smirlock and Denise A. Hartman of counsel), for appellants. I. The prerogative to decide whether two sentences will run concurrently or consecutively belongs to the judge who imposes the second sentence. (*Matter of Muntaqim v Herbert*, 277 AD2d 976, 96 NY2d 704; *Mullen v State of New York*, 122 AD2d 300; *Rock v Reed-Prentice Div. of Package Mach. Co.*, 39 NY2d 34; *People v Young*, 94 NY2d 171; *North Carolina v Pearce*, 395 US 711; *People v Van Pelt*, 76 NY2d 156; *Matter of Oquendo v Quinones*, 291 AD2d 593; *Barnett v Carlson*, 744 F2d 1485; *People v Bell*, 138 AD2d 298, 73 NY2d 153.) II. The Department of Correctional Services did not exceed its authority when it decided which of the two inconsistent directives to implement. (*Matter of Muntaqim v Herbert*, 277 AD2d 976, 96 NY2d 704; *Mullen v State of New York*, 122 AD2d 300; *Soon Duck Kim v City of New York*, 90 NY2d 1.)

Legal Aid Society, Brooklyn (Andrew E. Abraham and Russell R. Neufeld of counsel), for respondent. The Appellate Division's affirmance of the Supreme Court's CPLR article 78 order directing the Department of Correctional Services to run petitioner's sentences concurrently should be affirmed. Once the Appellate Division vacated the original 1996 judgment under indictment No. 5174/94, the directive accompanying his 1997 conviction under indictment No. 121/96 that the sentence imposed should be consecutive to the 1996 judgment, became a nullity, and the subsequent directive when petitioner was sentenced in 2000 under indictment No. 5174/94, that that sentence should run concurrently with the sentence under indictment No. 121/96, was controlling. (*Matter of Muntaqim v Herbert*, 277 AD2d 976, 96 NY2d 704; *People v Bell*, 73 NY2d 153; *People v Tychanski*, 78 NY2d 909; *Parochial Bus Sys. v Board of Educ.*, 60 NY2d

539; *People v Robinson*, 95 NY2d 179; *People v Walker*, 81 NY2d 661; *People v Evans*, 94 NY2d 499; *People v Bilsky*, 95 NY2d 172; *People v Malizia*, 62 NY2d 755; *People v Leon*, 264 AD2d 784.)

OPINION OF THE COURT

READ, J.

In 1996, petitioner was convicted after a jury trial of both criminal possession of a controlled substance in the third degree and criminal sale of a controlled substance in the third degree. The trial judge sentenced him to concurrent indeterminate terms of imprisonment of 7½ to 15 years. The next year, a second trial judge sentenced petitioner, upon his plea of guilty to manslaughter in the first degree, to an indeterminate term of imprisonment of 7½ to 15 years. Consistent with the discretion afforded by Penal Law § 70.25 (1) and as provided in the negotiated plea,* the second trial judge specified that petitioner was to serve his sentence for manslaughter consecutively to the undischarged term of the sentence imposed on him the previous year for the unrelated controlled substance convictions.

Upon petitioner's appeal, the Appellate Division reversed the controlled substance convictions, and remitted for a new trial. The Appellate Division, however, found "no reason to reverse the unrelated judgment [of conviction for manslaughter], rendered upon [petitioner's] negotiated plea, where the sentence agreement provided for consecutive sentences" (268 AD2d 349, 350 [2000]).

In lieu of retrial, the People and petitioner negotiated a plea of guilty to criminal sale of a controlled substance in the third degree in exchange for a sentence of 4½ to 9 years, to be served concurrently with the sentence previously imposed for the manslaughter conviction. Yet a third trial judge sentenced petitioner in accordance with this plea agreement and issued the commitment order.

After his arrival at prison, petitioner asked the Department of Correctional Services (DOCS) to compute his parole eligibility

* Penal Law § 70.25 (1) provides, in relevant part, that

"when a person who is subject to [an] undischarged term of imprisonment imposed at a previous time by a court of this state is sentenced to an additional term of imprisonment, the sentence or sentences imposed by the court shall run either concurrently or consecutively with respect to each other and the undischarged term or terms in such manner as the court directs at the time of sentence."

date (the date when an inmate's minimum period or minimum aggregate period of imprisonment is satisfied). DOCS, he learned, was computing the time that he owed as though his two sentences were to run consecutively for an aggregate term of 12 to 24 years rather than concurrently for a term of 7¹/₂ to 15 years. Petitioner's attorney was subsequently advised of DOCS' position that the Appellate Division's decision in *Matter of Muntaqim v Herbert* (277 AD2d 976 [4th Dept 2000], *lv denied* 96 NY2d 704 [2001]) dictated that the relationship between petitioner's sentences remain consecutive because "so ordered" by the second judge in the sentencing chain. This CPLR article 78 proceeding ensued.

[1] The dispute here boils down to the question of whether, when there is a vacated judgment of conviction and subsequent resentencing of someone subject to an undischarged term of imprisonment, the prerogative to decide whether sentences should run consecutively or concurrently always remains with the second judge who acts in the sentencing sequence. We agree with the Appellate Division below that the sentencing discretion afforded by Penal Law § 70.25 (1) devolves upon the last judge in the sentencing chain, who was the third judge here. Penal Law § 70.30 (5) and CPL 430.10, when read together with Penal Law § 70.25 (1), do not require otherwise. Moreover, divesting the last sentencing judge of this discretion would, as an unwise subsidiary consequence, limit the parties' latitude in negotiating a plea.

[2] Two additional points merit comment. First, *Muntaqim*, which is indistinguishable from the facts of this case, is no longer good law and is not to be followed. Second, DOCS is not free to disregard a commitment order, as it did here.

[3] DOCS claims to have been forced to choose between inconsistent directives—Penal Law § 70.30 (5) as interpreted in *Muntaqim*, the sole appellate authority at the time, and the common-law rule of "last in time." At oral argument, DOCS' attorney, although expressing a preference for the *Muntaqim* rule, candidly asked us simply to establish either rule as the certain one going forward. While we appreciate DOCS' dilemma, "prison officials are *conclusively bound* by the contents of commitment papers accompanying a prisoner" (*Middleton v State of New York*, 54 AD2d 450, 452 [3d Dept 1976], *affd* 43 NY2d 678 [1977] *on op below* [emphasis added]). DOCS' only valid option in circumstances such as these is to comply with the plain terms of the last commitment order received.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSENBLATT and GRAFFEO concur.

Order affirmed, with costs.

[801 NE2d 404, 769 NYS2d 184]

CHRISTINE A. JEFFREYS, Appellant, v PATRICK H. GRIFFIN, Respondent.

Argued September 18, 2003; decided October 30, 2003

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered October 31, 2002. The Appellate Division affirmed an order of the Supreme Court, Bronx County (Barry Salman, J.), which had granted a motion by defendant to vacate a prior order of that court granting a motion by plaintiff for summary judgment as to liability on her first cause of action for assault and battery. The following question was certified by the Appellate Division: “Was the order of this Court, which affirmed the order of the Supreme Court, properly made?”

Jeffreys v Griffin, 301 AD2d 232, affirmed.

HEADNOTE

Administrative Law — Collateral Estoppel — Factual Determination of Professional Misconduct in Physician Disciplinary Proceeding

A finding by a hearing committee of the Board for Professional Medical Conduct that defendant physician engaged in sexual misconduct did not preclude defendant from contesting liability for assault and battery in a civil action arising from the same incident. The formal prerequisites for collateral estoppel were present here. The issue plaintiff sought to preclude was identical to a material issue necessarily decided by the committee, and physician disciplinary proceedings are “quasi-judicial” in the general sense required for application of the doctrine of collateral estoppel. Nevertheless, the doctrine should not have been applied here in light of the realities of the litigation. At the time of the committee’s nonunanimous determination of sexual misconduct, the members were aware that defendant had been convicted and sentenced as a sex offender based on plaintiff’s allegations. His conviction, however, was subsequently reversed, and because he was acquitted on retrial he should not have been precluded from contesting liability for assault and battery in plaintiff’s civil action.

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AM JUR 2d, Judgments §§ 539, 580; Physicians, Surgeons, and Other Healers §§ 65, 79, 82, 83, 314.

CARMODY-WAIT 2d, Judgments §§ 63:461, 63:506.

NY JUR 2d, Judgments §§ 337–342, 450; Malpractice §§ 320,

326; Physicians, Surgeons, and Other Healers §§ 22.1, 22.4.

SIEGEL, NEW YORK PRACTICE, §§ 457, 462, 464, 474.

ANNOTATION REFERENCE

See ALR Index under Collateral Estoppel; Discipline and Disciplinary Actions; Malpractice By Medical or Health Professions.

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Query: physician doctor /s disciplin! /p “collateral estoppel” /p misconduct

POINTS OF COUNSEL

Barry S. Gedan, Riverdale, for appellant. I. The Bronx County Supreme Court and the Appellate Division majority misapprehended the import of the Court of Appeals’ decision in *David v Biondo* (92 NY2d 318 [1998]). (*DeWitt v Hall*, 19 NY2d 141; *Schwartz v Public Adm’r of County of Bronx*, 24 NY2d 65; *Finkelstein v Cornell Univ. Med. Coll.*, 269 AD2d 114; *Johnson v Oval Pharm.*, 165 AD2d 587; *Reed v State of New York*, 78 NY2d 1.) II. Factual findings of administrative agencies, made after quasi-judicial hearings, are routinely accorded collateral estoppel effect. (*Ryan v New York Tel. Co.*, 62 NY2d 494; *Shepard v Blitman/Atlas Bldg. Corp.*, 288 AD2d 33; *Dailey v Tofel, Berelson, Saxl & Partners*, 273 AD2d 341; *Matter of Metro-North Commuter R.R. Co. v New York State Exec. Dept. Div. of Human Rights*, 271 AD2d 256; *Lee v Jones*, 230 AD2d 435, 91 NY2d 802; *Rosa v Quarry Crotona Homes*, 239 AD2d 273; *Vogel v Herk El. Co.*, 229 AD2d 331; *Wehringer v Brannigan*, 232 AD2d 206, 89 NY2d 980, 1087; *Matter of Camperlengo v Barell*, 78 NY2d 674; *Matter of Choi v State of New York*, 74 NY2d 933.) III. Former Doctor Griffin had a full and fair opportunity to contest the quasi-judicial hearing before the Board for Professional Medical Conduct Hearing Committee, which found squarely against him upon the identical issue raised in the summary judgment motion. (*Lee v Jones*, 230 AD2d 435; *Bastein v Sotto*, 299 AD2d 432; *Messina v Matarasso*, 284 AD2d 32; *Tower Ins. Co. of N.Y. v Old N. Blvd. Rest. Corp.*, 245 AD2d 241; *Rice v Massalone*, 160 AD2d 861; *A to Z Assoc. v Cooper*, 161 Misc 2d 283, 215 AD2d 161.) IV. Under the current state of the law, *Stevenson v Goomar* (148 AD2d 217 [1989]) has lost its precedential value. (*Staatsburg Water Co. v Staatsburg Fire Dist.*, 72

NY2d 147; *Gilberg v Barbieri*, 53 NY2d 285; *Rosa v Quarry Crotona Homes*, 239 AD2d 273; *Vogel v Herk El. Co.*, 229 AD2d 331; *Wehringer v Brannigan*, 232 AD2d 206; *A to Z Assoc. v Cooper*, 161 Misc 2d 283, 215 AD2d 161; *Parklane Hosiery Co. v Shore*, 439 US 322; *Clemens v Apple*, 65 NY2d 746; *Parker v Blauvelt Volunteer Fire Co.*, 93 NY2d 343; *Sanchez v Orozco*, 178 AD2d 391.) V. The holding of the Appellate Division majority, if broadly read, represents a substantial change in the law governing application of collateral estoppel to administrative adjudications, and, if simply representing a narrowly carved exemption, intrudes upon the legislative function. (*Horn v New York Times*, 100 NY2d 85; *Wieder v Skala*, 80 NY2d 628.) VI. It is constitutionally impermissible to insulate physicians from collateral estoppel, or to bar that doctrine's use by victims of physicians' sexual assaults. (*Stevenson v Goomar*, 148 AD2d 217; *Bush v Gore*, 531 US 98; *Hulin v Fibreboard Corp.*, 178 F3d 316; *Le Grand v Evan*, 702 F2d 415; *Matter of Benjamin L.*, 92 NY2d 660; *People v Koertge*, 182 Misc 2d 183; *Schwartz v Durning*, 104 Misc 2d 1018; *Judo, Inc. v Peet*, 68 Misc 2d 281; *Clark v Jeter*, 486 US 456; *Adsani v Miller*, 139 F3d 67, 525 US 875.) VII. The Board for Professional Medical Conduct adjudication, supported by findings independent of the reversed criminal conviction, cannot be collaterally attacked on this appeal. (*Cahill v Harter*, 277 AD2d 655; *Allied Chem. v Niagara Mohawk Power Corp.*, 129 AD2d 233, 72 NY2d 271, 488 US 1005; *Gild v Fried*, 298 AD2d 275; *Matter of Joseph v Roldan*, 289 AD2d 243; *Stone v Goldberg*, 215 AD2d 180; *Stevenson v Goomar*, 148 AD2d 217; *Ta-Chotani v Doubleclick, Inc.*, 276 AD2d 313.)

Michael C. Marcus, New York City, for respondent. I. This appeal should be dismissed since matters of fact and the exercise of discretion were inextricably woven into the determination appealed from. (*Staatsburg Water Co. v Staatsburg Fire Dist.*, 72 NY2d 147; *Patrician Plastic Corp. v Bernadel Realty Corp.*, 25 NY2d 599; *Rosemont Enters. v Irving*, 41 NY2d 829.) II. The offensive use of collateral estoppel to establish civil tort liability under the particular circumstances of this case contravenes the concept of fairness underlying the collateral estoppel doctrine. (*Ryan v New York Tel. Co.*, 62 NY2d 494; *Sheppard v Blitman/Atlas Bldg. Corp.*, 288 AD2d 33; *A to Z Assoc. v Cooper*, 161 Misc 2d 283, 215 AD2d 161; *David v Biondo*, 92 NY2d 318; *Stevenson v Goomar*, 148 AD2d 217; *D'Arata v New York Cent. Mut. Fire Ins. Co.*, 76 NY2d 659; *Gramatan Home Invs. Corp. v Lopez*, 46 NY2d 481; *Staatsburg Water Co. v Staatsburg Fire Dist.*, 72 NY2d 147; *Schwartz v Public Adm'r of County of Bronx*,

24 NY2d 65.) III. The equitable principles addressed by the Court of Appeals in *David v Biondo* (92 NY2d 318 [1998]) are not limited to the privity analysis therein. IV. The First Department's majority opinion does not intrude on a legislative function. (*Horn v New York Times*, 100 NY2d 85; *Wieder v Skala*, 80 NY2d 628.) V. There are no viable constitutional issues. VI. The inference that the Board for Professional Medical Conduct's factual finding was influenced by the criminal conviction was correctly considered by the Appellate Division. (*Chateau D'If Corp. v City of New York*, 219 AD2d 205, 88 NY2d 811; *Caldwell v 302 Convent Ave. Hous. Dev. Fund Corp.*, 272 AD2d 112.)

Donald R. Moy, Lake Success, for Medical Society of the State of New York, amicus curiae. The application of collateral estoppel against defendant-respondent would not comport with fundamental fairness. (*Staatsburg Water Co. v Staatsburg Fire Dist.*, 72 NY2d 147; *Gilberg v Barbieri*, 53 NY2d 285; *Stevenson v Goomar*, 148 AD2d 217, 74 NY2d 945; *David v Biondo*, 92 NY2d 318.)

OPINION OF THE COURT

READ, J.

This appeal calls upon us to decide whether a finding of sexual misconduct by a Hearing Committee of the New York State Department of Health's Board for Professional Medical Conduct precludes defendant physician from contesting liability for assault and battery in plaintiff patient's civil action to recover money damages. In light of the circumstances of this case and the flexible nature of the doctrine of collateral estoppel, we conclude that it does not.

I.

In December 1991, plaintiff Christine A. Jeffreys began treatment with defendant Dr. Patrick H. Griffin, a gastroenterologist, for stomach problems and depression, for which defendant prescribed antidepressants. Plaintiff had been evicted from her apartment in July 1991, and she blamed her ailments on stress caused by her landlord's supposedly oppressive conduct.

On January 13, 1995, plaintiff underwent a colonoscopy and an upper endoscopy, both of which require sedation, at defendant's office. She subsequently reported to the police that defendant had orally sodomized her at some point during the upper endoscopy. Law enforcement authorities supplied plaintiff with a tape recorder, which she secretly wore when she visited

defendant's office on April 27, 1995, ostensibly for medical follow-up. The tape recording captured defendant repeatedly denying the sodomy, but stating that he had kissed plaintiff immediately before or after performing the upper endoscopy.¹ Defendant later prepared an exculpatory chart entry documenting plaintiff's April 27th office visit.

Civil, criminal and administrative proceedings, all stemming from plaintiff's allegations of oral sodomy, quickly ensued. First, in October 1995, plaintiff commenced this civil action against defendant, alleging assault and battery and intentional infliction of emotional distress. Then on January 19, 1996, defendant was indicted on charges of first-degree sodomy, sexual abuse in the first degree and falsifying business records in the first degree. Finally, in March 1996, the New York State Department of Health's Board for Professional Medical Conduct brought disciplinary charges against defendant. Administrative hearings were held before a Hearing Committee of the Board on April 24, May 2 and 29, June 10, 13 and 27 and July 17 and 18, 1996.

Defendant's criminal trial also took place in the spring of 1996, and, on June 18, 1996, he was convicted by a jury of the crimes of first-degree sodomy and falsifying business records in the first degree. On September 6, 1996, defendant was sentenced to 3¹/₃ to 10 years in prison. On October 24, 1996, with knowledge of defendant's recent criminal conviction and sentencing, the Hearing Committee issued its determination and order revoking defendant's license to practice medicine. Two of the three Committee members found, by a preponderance of the evidence (*see* Public Health Law § 230 [10] [f]), that defendant had performed oral sex on plaintiff without her consent, and therefore had engaged in professional misconduct. All three resolved that defendant had engaged in professional misconduct by entering a false business record relating to plaintiff's office visit on April 27, 1995.

In April 1997, Supreme Court granted plaintiff's motion for summary judgment on liability in her cause of action for assault and battery, based solely on defendant's criminal conviction. After the Appellate Division, with two Justices dissenting, reversed his criminal conviction in April 1998 (242 AD2d 70 [1st Dept 1998], *appeal dismissed* 93 NY2d 955 [1999]), defendant

1. According to his attorney, defendant later denied kissing plaintiff, testifying that he had made this story up in his panic to persuade her that, because of the effects of the drugs administered during the colonoscopy and upper endoscopy, her memory was seriously faulty.

moved to vacate this order. In December 1998, Supreme Court granted defendant's motion and vacated its prior order. Relying on our decision in *David v Biondo* (92 NY2d 318 [1998]), Supreme Court held that the Committee's adverse factual determination did not preclude defendant from contesting his liability for assault and battery in plaintiff's civil action.

Defendant was subsequently retried and, in April 2000, a jury acquitted him of all charges. Then in October 2002, the Appellate Division, with one Justice dissenting, affirmed Supreme Court's order in plaintiff's civil action (301 AD2d 232 [1st Dept 2002]). In explaining its decision, the majority adverted to "[t]he crucial point . . . that notwithstanding the charges made and evidence proffered on retrial, defendant was acquitted of all criminal charges" (*id.* at 233). The Appellate Division subsequently certified the following question to us: "Was the order of [the Appellate Division], which affirmed the order of the Supreme Court, properly made?"

II.

Collateral estoppel, or issue preclusion, gives conclusive effect to an administrative agency's quasi-judicial determination when two basic conditions are met: (1) the issue sought to be precluded is identical to a material issue necessarily decided by the administrative agency in a prior proceeding; and (2) there was a full and fair opportunity to contest this issue in the administrative tribunal (*see Ryan v New York Tel. Co.*, 62 NY2d 494 [1984]; *see also Schwartz v Public Adm'r of County of Bronx*, 24 NY2d 65 [1969]). The proponent of collateral estoppel must show identity of the issue, while the opponent must demonstrate the absence of a full and fair opportunity to litigate. In three decisions handed down on the same day in 1988, we explored the boundaries of these basic conditions in three different kinds of administrative proceedings.

First, in *Staatsburg Water Co. v Staatsburg Fire Dist.* (72 NY2d 147 [1988]), plaintiff water company sought to use a determination by the Public Service Commission (PSC) to preclude the defendant from litigating its liability in the plaintiff's suit seeking back payment for services rendered. At the plaintiff's request, the PSC issued a decision which found, in essence, that plaintiff water company was entitled to payment from the defendant. We found collateral estoppel inapplicable because plaintiff water company initiated the PSC decision, the defendant was not a party to the proceeding and the PSC had no power to compel the defendant to take any action as a result of

its determination. In light of this absence of immediate consequences for the defendant, we concluded that the PSC's decision was an advisory opinion, which the defendant lacked a full and fair opportunity to contest.

Importantly, we also noted in *Staatsburg* that collateral estoppel is a flexible doctrine, such that

“[i]n the end, the fundamental inquiry is whether relitigation should be permitted in a particular case in light of what are often competing policy considerations, including fairness to the parties, conservation of the resources of the court and the litigants, and the societal interests in consistent and accurate results” (*id.* at 153 [citations omitted]).

Second, in *Allied Chem. v Niagara Mohawk Power Corp.* (72 NY2d 271 [1988]), we concluded that the party against whom collateral estoppel was sought had indeed enjoyed a full and fair opportunity to contest the issue before the PSC. There, Niagara Mohawk had filed a petition with the PSC and Allied Chemical had filed a counterpetition and complaint. The PSC ruled in Niagara Mohawk's favor, and Allied Chemical chose to file the action in Supreme Court rather than contest the PSC's determination in a CPLR article 78 proceeding. When Niagara Mohawk moved to dismiss the action based on the PSC's prior determination and the PSC, added as a party at the trial court's behest, moved for summary judgment on the same grounds, Supreme Court granted the motions.

We affirmed, holding that collateral estoppel properly barred Allied Chemical's action. In so doing, we again stressed the need to assess whether issue preclusion is fair in view of the realities in the particular administrative setting:

“While issue preclusion may arise from the determinations of administrative agencies, in that context the doctrine is applied more flexibly, and additional factors must be considered by the court. These additional requirements are often summed up in the beguilingly simple prerequisite that the administrative decision be ‘quasi-judicial’ in character” (*id.* at 276 [citations omitted]).

We noted that among the factors bearing on whether an administrative decision is “quasi-judicial” are “whether the procedures used in the administrative proceeding . . . were sufficient both quantitatively and qualitatively, so as to permit

confidence that the facts asserted were adequately tested, and that the issue was fully aired” (*id.* at 276-277).

Third, *Matter of Halyalkar v Board of Regents of State of N.Y.* (72 NY2d 261 [1988]) called upon us to decide whether the State Board of Regents, which prior to 1991 shared responsibility for physician discipline with the Department of Health, might find a physician guilty of willfully and knowingly filing false medical reports solely on the basis of a consent order negotiated by the physician with the New Jersey Board of Medical Examiners. We recognized that in light of the consent order, the issues were never litigated in New Jersey, and without litigation there could be no identity of issues. Further, whether to apply collateral estoppel in a particular case depends upon “general notions of fairness involving a practical inquiry into the realities of the litigation” (*id.* at 268; *see also Gilberg v Barbieri*, 53 NY2d 285, 291-292 [1981]; *People v Roselle*, 84 NY2d 350, 357 [1994] [“(C)ollateral estoppel, a flexible doctrine, should not be mechanically applied just because some of its formal prerequisites, like identity of parties, identity of issues, a final and valid prior judgment and a full and fair opportunity to litigate the prior determination, may be present”]).

III.

Applying the foregoing principles and precedents to these facts, we look first at whether plaintiff established the identity of a material issue necessarily decided by the administrative tribunal, and conclude that she did. She limited the relevant cause of action to assault and battery and did not, for example, also include a malpractice claim. The Hearing Committee specifically found that plaintiff awakened at some point after defendant had commenced the upper endoscopy and discovered him “administering oral sex” to her without her consent; therefore, identity of issue exists.²

Next, the Board for Professional Medical Conduct’s disciplinary hearings are among the most procedurally rigorous adminis-

2. The Pattern Jury Instructions provide that “[a] person who intentionally touches another person, without that person’s consent, and causes an offensive bodily contact commits a battery and is liable for all damages resulting from (his, her) act. Intent involves the state of mind with which an act is done. The intent required for battery is intent to cause a bodily contact that a reasonable person would find offensive. An offensive bodily contact is one that is done for the purpose of harming another or one that offends a reasonable sense of personal dignity, or one that is otherwise wrongful” (PJI2d 3:3 [2003]). Assault involves putting a person in fear of a battery (*see* PJI2d 3:2 [2003]).

trative proceedings in New York State (*see* Public Health Law § 230). These proceedings are “quasi-judicial” in the general sense required for application of the doctrine of collateral estoppel. This is so notwithstanding the differences between these proceedings and a civil trial, which were pointed out by the Appellate Division: the absence of juries, the absence of CPLR article 31 disclosure and the inapplicability of the rules of evidence followed in a civil trial. Moreover, as the dissenting Justice at the Appellate Division noted, a physician’s very livelihood—the continued ability to practice medicine—is at risk of loss in the Board for Professional Medical Conduct’s disciplinary proceedings. These stakes provide considerable incentive for the physician to litigate issues fully in this forum.

Further, *David v Biondo* does not foreclose a plaintiff from invoking collateral estoppel when a Hearing Committee disciplines a physician. Rather, a physician cannot interpose an exculpatory finding as a shield in a subsequent civil action. This is so because the plaintiff in the civil action is not a “legally recognized party in interest” in the Hearing Committee’s proceeding, and “enjoy[s] no legal or practical opportunity to litigate . . . civil law grievances within the framework of the [Hearing Committee’s] proceeding” (92 NY2d at 321). In effect, a plaintiff cannot be said to have lost when a physician achieves a favorable result in the Hearing Committee’s proceeding because the plaintiff never had a day in court. Contrariwise, when the physician loses in the Hearing Committee, assuming a full and fair opportunity to contest the identical issue, the physician has, indeed, had a day in court. Moreover, in *David* we were troubled by an additional factor not present when the physician loses before the Hearing Committee: the prospect that patients might refrain from reporting professional misconduct to the Office of Professional Discipline if, by so doing, they risked foreclosure of their civil actions for money damages.

Nonetheless, we conclude that the Appellate Division properly declined to apply the doctrine of collateral estoppel here in light of “the realities of the litigation” of this case, regardless of whether the formal prerequisites for collateral estoppel were present. When the Hearing Committee’s members voted to revoke defendant’s license, they were considering whether a recently convicted and sentenced sex offender should be allowed to practice medicine. Defendant’s conviction was subsequently reversed and, importantly, on retrial he was acquitted of all the criminal charges stemming from plaintiff’s allegations. There is no way to disentangle the Hearing Committee members’ nonu-

nanimous determination of sexual misconduct from their contemporaneous awareness of the outcome of defendant's first criminal trial.³ Because defendant was later acquitted after retrial, he should not be precluded from contesting liability for assault and battery in plaintiff's civil action.

Accordingly, the order of the Appellate Division should be affirmed, with costs; and the certified question answered in the affirmative.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSENBLATT and GRAFFEO concur.

Order affirmed, etc.

3. Plaintiff objects that the two majority members of the Hearing Committee expressly noted that "the outcome of [defendant's] criminal appeal would have no effect on the revocation of [defendant's] license" because the findings on those specifications unrelated to his criminal conviction were sufficient to warrant license revocation. Plaintiff also protests that defendant did not attack the validity of the Hearing Committee's factual determination in Supreme Court on the basis that his criminal conviction may have tainted the Committee's deliberations. The key consideration here, however, is not the outcome of defendant's criminal appeal alone, but his subsequent acquittal after retrial. The acquittal, which occurred after Supreme Court rendered its decision, was specifically cited by the Appellate Division majority as a basis for its decision, as were the Hearing Committee's split vote and the handing down of its decision shortly after defendant's sentencing.

[801 NE2d 376, 769 NYS2d 156]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v SEGUNDO JOSE VELASQUEZ, Appellant.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v RONALD FOSTER, Appellant.

Argued September 17, 2003; decided October 23, 2003

SUMMARY

APPEAL, in the first above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered October 28, 2002. The Appellate Division affirmed a judgment of the Supreme Court, Kings County (Anne G. Feldman, J.), which convicted defendant, upon a jury verdict, of murder in the second degree.

APPEAL, in the second above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered June 4, 2002. The Appellate Division affirmed a judgment of the Supreme Court, Bronx County (David Stadtmauer, J.), which convicted defendant, upon a jury verdict, of robbery in the first degree, robbery in the second degree and attempted robbery in the first degree.

People v Velasquez, 298 AD2d 608, affirmed.

People v Foster, 295 AD2d 107, affirmed.

HEADNOTES

Crimes — Right to be Present at Trial — Burden of Establishing Defendant's Absence from Sidebar Conference

1. Because defendant failed to meet his burden of coming forward with substantial evidence establishing his absence from a robing room conference with prospective jurors, his right to be present at a sidebar conference with prospective jurors was not violated. The court reporter's failure to note defendant's presence at the challenged conference, coupled with occasional references to his presence in other portions of the transcript, did not demonstrate that he must have been absent from the ancillary proceeding at issue. Without more, failure to record a defendant's presence is insufficient to meet the defendant's burden of rebutting the presumption of regularity that attaches to judicial proceedings. Nor was defendant's absence established by the trial court's failure to apprise the prospective jurors that defendant would be present with the attorneys in the robing room. Because defendant failed to provide substantial record evidence of his absence, a reconstruction hearing was not required.

Crimes — Right to be Present at Trial — Waiver of Right to be Present at Sidebar Conference

2. Defendant validly waived his right to be present at a sidebar conference with prospective jurors. It is plain from the record that defense counsel

informed the court at the bench that his client waived his right to be present at sidebar, and that the court then asked counsel to place this waiver on the record. While the better practice would have been to state the substance of the right being waived, nothing in the record calls into question the effectiveness of defendant's waiver as announced by counsel, as the waiver occurred in open court in the presence of defendant. Defendant has thus failed to rebut the presumption of regularity that the waiver was neither offered by defense counsel nor accepted by the trial court without first ascertaining that defendant voluntarily, knowingly and intelligently waived his right to be present at sidebar conferences.

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AM JUR 2d, Criminal Law §§ 111, 112, 1126, 1136.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:2805–172:2807, 172:2821.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed), § 24.2.

NY JUR 2d, Criminal Law §§ 2230, 2273.

ANNOTATION REFERENCE

Validity of jury selection as affected by accused's absence from conducting of procedures for selection and impaneling of final jury panel for specific cases. 33 ALR4th 429.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: defendant /5 present presence absent absence /p
prospective potential /2 juror /p robing

POINTS OF COUNSEL

Denise A. Cors, New York City, and *Lynn W.L. Fahey* for appellant in the first above-entitled action. Appellant did not knowingly, intelligently and voluntarily waive his right to be present at voir dire sidebars when the court merely announced, in his presence, “Antommarchi waived.” (*People v Antommarchi*, 80 NY2d 247; *People v Davidson*, 89 NY2d 881; *People v Morris*, 217 AD2d 561; *People v Golden*, 222 AD2d 696; *People v Marzug*, 270 AD2d 945; *People v Roman*, 88 NY2d 18; *People v Mitchell*, 80 NY2d 519; *People v Sloan*, 79 NY2d 386; *People v Williams*, 92 NY2d 993; *People v Vargas*, 88 NY2d 363.)

Charles J. Hynes, District Attorney, Brooklyn (*Phyllis Mintz* and *Leonard Joblove* of counsel), for respondent in the first above-entitled action. Defense counsel validly waived defendant's right to be present at sidebar conferences during voir

dire. However, if this Court deems the record inadequate to support that conclusion, then the proper remedy would be to remand the case for a reconstruction hearing. (*Snyder v Massachusetts*, 291 US 97; *People v Mitchell*, 80 NY2d 519; *People v Maher*, 89 NY2d 318; *People v Roman*, 88 NY2d 18; *People v Sprowal*, 84 NY2d 113; *People v Antommarchi*, 80 NY2d 247; *People v Kinchen*, 60 NY2d 772; *People v Vargas*, 88 NY2d 363; *People v Santorelli*, 95 NY2d 412; *People v Lebron*, 293 AD2d 689.)

Office of the Appellate Defender, New York City (Melissa Rothstein, Richard M. Greenberg and Daniel A. Warshawsky of counsel), for appellant in the second above-entitled action. Defendant is entitled to a new trial because the record establishes that he was excluded from bias-related robing room discussions with prospective jurors. (*People v Maher*, 89 NY2d 318; *People v Antommarchi*, 80 NY2d 247; *People v Camacho*, 90 NY2d 558; *People v Roman*, 88 NY2d 18; *People v Davidson*, 210 AD2d 76, 89 NY2d 881; *People v Madera*, 216 AD2d 89; *People v Michalek*, 82 NY2d 906.)

Robert T. Johnson, District Attorney, Bronx (Andrew N. Sacher, Joseph N. Ferdenzi and Karen Swiger of counsel), for respondent in the second above-entitled action. Defendant fails to present an adequate record for review. Alternatively, the factual finding of the court below that defendant was present for the relevant robing room discussion with venirepersons is supported by the record and therefore beyond the scope of this Court's review power. (*People v Maher*, 89 NY2d 318; *People v Antommarchi*, 80 NY2d 247; *People v Sloan*, 79 NY2d 386; *People v Childs*, 247 AD2d 319; *People v Roman*, 88 NY2d 18; *People v Davidson*, 89 NY2d 881; *People v Olivo*, 52 NY2d 309; *People v Charleston*, 54 NY2d 622; *People v Kinchen*, 60 NY2d 772; *People v Dokes*, 79 NY2d 656.)

OPINION OF THE COURT

Chief Judge KAYE.

In these appeals, we are asked to determine whether the right of defendants to be present at sidebar conferences with prospective jurors was violated. In each case, we conclude that it was not.

During jury selection in defendant Foster's robbery trial, as the record indicates, the court on February 4, 1999, informed prospective jurors that at the conclusion of its remarks, "I will step into the robing room with the attorneys and anyone who

feels that I have raised an issue that they need to discuss with us will be invited to come in one at a time and tell us about it. . . . No one will be asked to make any public statements.” The court then invited “counsel” into the robing room, where a number of jurors were questioned about their ability to be fair and impartial. The transcript of the robing room conference does not make particular note of defendant’s presence or absence, or anyone else’s. Presence was noted only as a person spoke, and at this conference there is no indication that defendant said anything.

Defendant Velasquez was tried for depraved indifference murder and possession of a weapon. The transcript reflects that on April 17, 2000, following a bench conference held after the conclusion of the *Sandoval* hearing, the court stated on the record, “Okay. Bring in the jury, please. Come up, counsel. While the jury is coming in, let’s talk about logistics.” At the close of another off-the-record bench conference, defense counsel announced in open court, “Waived,” to which the court responded, “Antommarchi waived.” During jury selection, a prospective juror—ultimately seated as the foreperson—was questioned about bias at a sidebar conference outside the presence of defendant.

Each defendant claims that the transcript of his trial establishes a violation of his right to be present during the questioning of prospective jurors. The Appellate Division affirmed both convictions, with two Justices dissenting in *Velasquez*. We also affirm.

CPL 260.20 provides that a defendant must be personally present during the trial of an indictment. This statutory right extends to all material stages of the trial, including ancillary proceedings in which defendants’ presence could have “a substantial effect on their ability to defend against the charges” (*People v Sloan*, 79 NY2d 386, 392 [1992]). Defendants thus have a right to be present at sidebar and robing room conferences with prospective jurors regarding possible bias or hostility because they may give counsel input “in making discretionary choices during jury selection, based on impressions gained from seeing and hearing the juror’s responses on voir dire” (*People v Roman*, 88 NY2d 18, 26 [1996]; see also *People v Antommarchi*, 80 NY2d 247 [1992]).

Although the right to be present at sidebar questioning need not be preserved by objection (see *Antommarchi*, 80 NY2d at

250; *People v Dokes*, 79 NY2d 656, 662 [1992]), a defendant alleging an *Antommarchi* violation must nevertheless present an adequate record for appellate review (see *People v Kinchen*, 60 NY2d 772 [1983]). Moreover, although the right is fundamental, it may be waived (see *People v Vargas*, 88 NY2d 363, 375-376 [1996]).

People v Foster

A presumption of regularity attaches to judicial proceedings (see *People v Harrison*, 85 NY2d 794, 796 [1995]). This presumption may be overcome only by substantial evidence (see *People v Richetti*, 302 NY 290, 298 [1951]; *People v Harris*, 61 NY2d 9, 16 [1983]).

[1] Defendant Foster has failed to meet his burden of coming forward with substantial evidence establishing his absence. We decline to speculate that the court reporter's failure to note defendant's presence at the challenged robing room conference, coupled with occasional references to his presence in other portions of the transcript, demonstrates that he must have been absent from the ancillary proceeding at issue. Without more, failure to record a defendant's presence is insufficient to meet the defendant's burden of rebutting the presumption of regularity.

Nor is defendant's absence established by the trial court's failure to apprise the prospective jurors that defendant would be present with the attorneys in the robing room. The court's assurance that "[n]o one will be asked to make any public statements" was indicative merely of its intention that the jurors would not be forced to discuss personal matters in open court, and did not reflect a promise that no one other than the court and the attorneys would be present in the room.* Indeed, defendant concedes that the court clerk and court reporter were present in the robing room, even though the court had not informed the jurors that they, too, would be there. And as with defendant, the presence of the court clerk is not noted in the transcript. Moreover, on at least one other occasion in which the trial court told the jurors that it was going to confer with "counsel" without also mentioning the defendant, it is beyond dispute that defendant, who spoke on the record, was in fact present.

* *People v Maher* (89 NY2d 318 [1996]) is not to the contrary. In *Maher*, we were asked to determine only whether the record established that those conferences at which defendants had been absent constituted the type of proceedings at which their right to be present obtained.

Because defendant has failed to provide substantial record evidence of his absence, a reconstruction hearing is not required. Reconstruction hearings may be appropriate where it is clear that a proceeding took place that was not transcribed (*see e.g. People v Michalek*, 82 NY2d 906 [1994] [reconstruction hearing ordered where *Sandoval* hearing held but not transcribed]); the trial court refused to record the proceedings (*see e.g. People v Davidson*, 89 NY2d 881 [1996] [trial court refused to record substantial portions of voir dire proceeding]); the minutes have been lost; or there is significant ambiguity in the record. Reconstruction hearings should not be routinely ordered where, as here, the record is simply insufficient to establish facts necessary to meet the defendant's burden of showing that he was absent from a material stage of the trial.

People v Velasquez

[2] Contrary to defendant Velasquez's contention, the record establishes that he validly waived his right to be present at sidebar.

In accepting an *Antommarchi* waiver offered by defense counsel on a defendant's behalf, a trial court need not engage the defendant in an on-the-record colloquy to ensure the requisite voluntary, knowing and intelligent nature of the waiver (*see People v Spotford*, 85 NY2d 593, 598 [1995]; *People v Epps*, 37 NY2d 343, 350-351 [1975]). "[T]here is no requirement that the Judge conduct a *pro forma* inquisition in each case on the off-chance that a defendant who is adequately represented by counsel . . . may nevertheless not know what he is doing" (*People v Francis*, 38 NY2d 150, 154 [1975]).

Here, it is plain from the record that defense counsel informed the court at the bench that his client waived his right to be present at sidebar, and that the court then asked counsel to place this waiver on the record. At the close of this bench conference, counsel announced in open court, "Waived," to which the court immediately responded, "Antommarchi waived." Unless counsel had informed the court of his client's decision during the bench conference held to discuss "logistics" (including whether and, if so, how the defendant would be brought to the bench during sidebar conferences), the court could not possibly have understood that counsel's on-the-record statement, "Waived," referred to *Antommarchi*. A reconstruction hearing is therefore not required.

While the better practice would have been to state the substance of the right being waived, nothing in the record calls

into question the effectiveness of defendant's waiver as announced by counsel, as the waiver occurred in open court in the presence of defendant (*see People v Keen*, 94 NY2d 533, 538 [2000]; *People v Santorelli*, 95 NY2d 412, 424-425 [2000]). Defendant has thus failed to rebut the presumption of regularity that the waiver was neither offered by defense counsel nor accepted by the trial court without first ascertaining that defendant voluntarily, knowingly and intelligently waived his right to be present at sidebar conferences.

Finally, while in both cases we conclude that defendants' rights were not violated, greater attentiveness to indicating defendants' presence, or absence, in the trial record would both protect defendants' *Antommarchi* rights and avoid protracted disputes years later.

Accordingly, the order of the Appellate Division in each case should be affirmed.

G.B. SMITH, J. (dissenting). The issue in both of these cases is whether the defendant validly waived his right to be present during questioning of prospective jurors concerning their ability to be fair and impartial. Because the record in each does not indicate that defendant was present or that the defendant made a voluntary, knowing and intelligent waiver of the defendant's right to be present, I would remand these cases to the trial court for an appropriate determination of whether the defendants were present or whether they made adequate waivers.

A defendant has a statutory right to be present during any questioning of a prospective juror about his or her impartiality (CPL 260.20; *People v Antommarchi*, 80 NY2d 247 [1992]; *People v Sloan*, 79 NY2d 386 [1992]). A defendant may waive the right to be present but the choice to do so must be "knowing and intelligent" (*People v Vargas*, 88 NY2d 363, 375-376 [1996]; *People v Spotford*, 85 NY2d 593 [1995]). In these cases the record does not indicate that there was a knowing and intelligent waiver of the defendants' right to be present during the questioning of prospective jurors.

Defendant Velasquez was convicted of murder in the second degree and sentenced to 25 years to life in prison. The evidence was that defendant killed a woman with whom he had checked into a hotel in Brooklyn, New York, on April 29, 1999.

In *Velasquez*, the record reveals only the following with respect to *Antommarchi*:

"THE COURT: Come up counsel. While the jury is coming in, let's talk about logistics.

(Bench conference off the record)

“DEFENSE COUNSEL: Waived.

“THE COURT: Antommarchi waived.”

Defendant contends that there was no knowing, intelligent and voluntary waiver of his right to be present at the sidebar questioning of prospective jurors. In his brief the defendant states:

“Nothing in this terse and cryptic exercise in ‘lawyerese’ suggested that appellant was aware of and understood the right he was giving up, or that he consented to this strategy. Nor was the slightest effort made to ensure that he understood the right he was relinquishing. The court failed to ask appellant a single question. It never inquired whether defense counsel had discussed the waiver with his client, and counsel made no representations that he had. Neither the court, the prosecutor, nor defense counsel articulated nor even alluded to the substance of the right, so as to alert appellant to the action taken on his behalf. Under these circumstances, there was no valid *Antommarchi* waiver.”

The People contend that the record is sufficient to conclude that there was a knowing and intelligent waiver of defendant’s right to be present but that if this Court disagrees, the matter should be remanded for a hearing. The Appellate Division majority concluded that the circumstances indicate that defendant made a knowing, intelligent and voluntary waiver of the right to be present. The dissenters, on the other hand, concluded that the record did not reveal that the defendant was made aware of his right to be present and a remand for a hearing was appropriate.

Defendant Foster was convicted of robbery in the first degree, attempted robbery in the first degree and robbery in the second degree and was sentenced to consecutive terms of 15, 10 and 10 years, respectively. The evidence was that on December 11, 1997, in Bronx County, defendant and another robbed a student of a chain and that on December 16, 1997, defendant attempted to rob the same complainant of his coat. On December 17, 1997, defendant and another robbed a different complainant of a chain.

In *Foster*, defendant argues that he is entitled to a new trial because he was excluded from robing room discussions with prospective jurors. The People argue that defendant has failed

to present a record that is adequate for review but that the Appellate Division's factual finding that defendant was present precludes further review by this Court. The Appellate Division concluded, "Review of defendant's claim that he was denied his right to be present at robing room discussions with prospective jurors is precluded by the lack of a record establishing his absence [citations omitted]. To the extent the record permits review, it indicates that defendant was present during the robing room conferences at issue." (295 AD2d 107, 107-108.)

As stated, defendant has a right to be present for the examination of a prospective juror's ability to serve impartially. The presumption of regularity, relied on by the majority, can be rebutted by an appropriate hearing by the trial court as to whether or not the defendant was present for questioning about the qualifications of jurors or knowingly and intelligently waived his right to be present. There is no evidence in these two records that the court reporter, judge, defense attorney, prosecutor or other court personnel are no longer available to give testimony.

The presumption of regularity has been used in a variety of cases including when an exhibit was lost (*People v Yavru-Sakuk*, 98 NY2d 56 [2002]); or when stenographic notes were lost (*People v Glass*, 43 NY2d 283 [1977]; *People v Strollo*, 191 NY 42 [1908]) and when there was an assertion that a judge may have issued a search warrant after taking testimony which had not been made a part of the record (*People v Dominique*, 90 NY2d 880 [1997]). The presumption of regularity should not be used as a substitute for the reconstruction of a record (*People v Harrison*, 85 NY2d 794 [1995]; *People v Glass*, *supra*). Thus, concluding from a rebuttable presumption, and without a hearing, that the defendant was present or that he voluntarily, intelligently and knowingly waived his right to be present for the questioning of jurors was inappropriate in this case.

Accordingly, I would remand both cases to the trial court for a hearing on defendants' *Antommarchi* rights.

Judges CIPARICK, ROSENBLATT, GRAFFEO and READ concur with Chief Judge KAYE; Judge G.B. SMITH dissents and votes to reverse in a separate opinion.

In each case: Order affirmed.

[801 NE2d 388, 769 NYS2d 168]

MICHAEL CIPRIANO, Appellant-Respondent, v GLEN COVE LODGE
#1458, B.P.O.E., et al., Respondents, and GASPER BUFFA,
Respondent-Appellant.

Argued September 11, 2003; decided October 28, 2003

SUMMARY

CROSS APPEALS, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered September 16, 2002. The Appellate Division (1) modified, on the law, a judgment of the Supreme Court, Nassau County (Joseph A. DeMaro, J.), and (2) affirmed, insofar as appealed from, an order of that court. The judgment had dismissed plaintiff's complaint and defendant Buffa's cross claim against the codefendants and cancelled plaintiff's notice of pendency. The Appellate Division modification consisted of adding a provision declaring that defendants Glen Cove Elks Lodge and Glen Cove Elks were entitled to retain plaintiff's down payment because they lawfully cancelled the contract. The order had granted that branch of defendants Lodge's and Elks' motion for summary judgment on their counterclaim for a judgment to declare that they were entitled to retain the plaintiff's down payment.

Cipriano v Glen Cove Lodge #1458, B.P.O.E., 297 AD2d 649, modified.

HEADNOTES

Vendor and Purchaser — Right of First Refusal — Failure to Extend Offer

1. Defendant seller's failure to inform the holder of a right of first refusal of its impending sale of the real property to plaintiff buyer, and its failure to make the contract subject to the holder's right, constituted a breach. The owner of land subject to a right of first refusal is obligated contractually to make an offer to the rightholder. Here, although defendant seller failed to extend an offer to the rightholder and denied him the opportunity to exercise his preemptive right to buy the property, neither specific performance nor damages provided a satisfactory remedy for the breach. There was little evidence that the rightholder was ready, willing, and able to buy the property, which had likely appreciated over the four years after the buyer and seller entered into their contract, rendering specific performance an unsatisfactory remedy. Nor was an award of damages warranted, as the rightholder can still invoke his right of first refusal against the offer of any future purchaser and may seek compensation from potential purchasers who want him to waive his right.

Vendor and Purchaser — Contract for Sale of Real Property — Failure to Produce Marketable Title

2. Defendant seller's failure to produce marketable title to real property subject to a right of first refusal barred it from holding plaintiff buyer in

default and retaining plaintiff's down payment upon his failure to attend the scheduled closing. Although a rider to the contract relieved defendant of any obligation to bring an action or incur any expense to render title marketable, it did not excuse defendant's failure to act in good faith in its efforts to convey title. Defendant contracted with plaintiff while misrepresenting the rightholder's readiness to waive his right of first refusal, and then handicapped plaintiff's efforts to clear title by ignoring the rightholder's repeated entreaties for a copy of the contract.

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By the Publisher's Editorial Staff

AM JUR 2d, Vendor and Purchaser §§ 33, 40, 58, 123, 138, 240, 549, 574, 575.

NY JUR 2d, Real Property Sales and Exchanges §§ 4, 20, 27, 65, 71, 113, 114, 167, 169.

NEW YORK REAL PROPERTY SERVICE, §§ 16:6, 25:30.

ANNOTATION REFERENCE

See ALR Index under First Refusal; Sale and Transfer of Property.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: "right of first refusal" /s enforce! & "specific performance"

POINTS OF COUNSEL

Sordi & Sordi, LLP, Glen Cove (*Michael Sordi* of counsel), for appellant-respondent. I. The courts below erred when they found that plaintiff was in breach of a contract to purchase real property where the seller defendant was unable to tender delivery of marketable title. (*Gargano v Rubin*, 200 AD2d 554.) II. The courts below erred when they failed to grant plaintiff a judgment for specific performance and/or to assess damages against defendants stemming from their breach of the covenant of good faith and fair dealing. (*Burwell v Jackson*, 9 NY 535; *Vought v Williams*, 120 NY 253; *BGW Dev. Corp. v Mount Kisco Lodge No. 1552 of Benevolent & Protective Order of Elks of U.S. of Am.*, 247 AD2d 565; *Progressive Solar Concepts v Gabes*, 161 AD2d 752; *Barnett v Star Mech. Corp.*, 171 AD2d 142; *S.E.S. Importers v Pappalardo*, 53 NY2d 455.) III. The courts below erred when they found, by implication, that defendant Buffa possessed a valid subsisting right of first refusal superior to plaintiff's contractual rights to purchase real property, while

still finding that plaintiff breached the contract to purchase the property.

Vincent P. Taranto, P.C., Glen Cove (*Vincent P. Taranto* of counsel), for respondent-appellant. I. A seller has an affirmative obligation to present an executed contract with a third party upon demand by a holder of a right of first refusal and not relegate the holder to divining the contract's terms upon learning of its existence. (*LIN Broadcasting Corp. v Metromedia, Inc.*, 74 NY2d 54; *Rome Sav. Bank v Husted & Son*, 171 AD2d 1048; *Yudell Trust I v API Westchester Assoc.*, 227 AD2d 471; *Metropolitan Transp. Auth. v Bruken Realty Corp.*, 67 NY2d 156.) II. A purchaser's default, as a result of his failure to appear at a closing, which was over a year after the closing date in the contract, does not extinguish the right of a holder of a right of first refusal, when the seller never informed the holder of the contract of sale or its terms although duly demanded. (*Yudell Trust I v API Westchester Assoc.*, 227 AD2d 471.) III. It is a condition precedent that a seller notify a holder of a right of first refusal of an offer to purchase prior to executing a contract of sale with a third party. (*LIN Broadcasting Corp. v Metromedia, Inc.*, 74 NY2d 54; *Rome Sav. Bank v Husted & Son*, 171 AD2d 1048; *Yudell Trust I v API Westchester Assoc.*, 227 AD2d 471; *Keator v State of New York*, 23 NY2d 337.) IV. The court below erred in considering failed settlement negotiations between plaintiff and defendant Buffa in its deliberations which resulted in the dismissal of defendant Buffa's cross claim.

Ryan, Brennan & Donnelly LLP, Floral Park (*John M. Donnelly* of counsel), for respondents. I. The decision to hold plaintiff in default was both warranted and proper. (*Gargano v Rubin*, 200 AD2d 554; *Progressive Solar Concepts v Gabes*, 161 AD2d 752; *Shapira v United Med. Serv.*, 15 NY2d 200.) II. At all times, the Lodge and Elks acted in good faith. (*BGW Dev. Corp. v Mount Kisco Lodge No. 1552 of Benevolent & Protective Order of Elks of U.S. of Am.*, 247 AD2d 565, 92 NY2d 813; *Progressive Solar Concepts v Gabes*, 161 AD2d 752; *Barnett v Star Mech. Corp.*, 171 AD2d 142; *Calligar v Fradkoff*, 154 AD2d 495; *Mancini-Ciolo, Inc. v Scaramellino*, 118 AD2d 761.) III. The determination of the court below with respect to Buffa's claims should be affirmed. (*LIN Broadcasting Corp. v Metromedia, Inc.*, 74 NY2d 54; *Yudell Trust I v API Westchester Assoc.*, 227 AD2d 471; *Rome Sav. Bank v Husted & Son*, 171 AD2d 1048; *Bloomer v Phillips*, 164 AD2d 52; *Cestone v Brown*, 163 AD2d 563, 76 NY2d 711; *Shapira v United Med. Serv.*, 15 NY2d 200.)

OPINION OF THE COURT

ROSENBLATT, J.

In this real property case, we are called upon to adjudicate the rights and remedies of the three parties before us: the holder of a right of first refusal, the buyer of the property and the seller.

I.

In June 1955, five trustees of the Benevolent and Protective Order of Elks, Glen Cove Lodge #1458 (Lodge) entered into a stipulation with Gasper Buffa—who was selling a parcel of land to the Lodge—that promised Buffa a “first option to repurchase” the property at fair market value in the event the Lodge offered the premises for sale.¹ For the first three decades following the grant of this right, the Lodge scrupulously honored its obligations to Buffa. In October 1995, after it had received a bona fide offer to purchase the property, the Lodge extended Buffa the opportunity to exercise his right. In a letter of October 28, 1995 (inadvertently dated 1996), Buffa declined, but said he wanted to keep his “options open” should the Lodge’s deal fall through. Again, in May 1996 and December 1996, the Lodge advised Buffa that it had received bona fide offers for the property and extended him the right of first refusal. In both instances, Buffa declined.

In 1997, the Lodge entered into negotiations with Michael Cipriano for the sale of the property, and on February 10, 1998, the Lodge sent Cipriano a proposed agreement. After substantial delay, the Lodge and Cipriano entered into a contract of sale on July 2, 1999. The agreement, however, was not made contingent on Buffa waiving his right of first refusal, nor did it disclose the existence of that right. Cipriano agreed to pay \$550,000 for the property, with \$55,000 down. The contract set August 2, 1999 as the closing date. A rider to the contract further provided that:

“In the event title is unmarketable, the sole remedy

1. Although the Lodge promised Buffa a right of first refusal in the June 1955 stipulation, the buyer, Michael Cipriano, maintains that Buffa does not in fact hold a valid right of first refusal. He argues that Buffa’s failure to reserve his right in his July 12, 1955 bargain and sale deed to the Lodge extinguished whatever preemptive rights he may have enjoyed. We do not reach this argument because it was not preserved for our review. For the purpose of this appeal, we will assume, as did the court below, that Buffa held a valid right of first refusal.

of the Purchaser will be to accept such title as the Seller shall be able to deliver without abatement in the purchase price, or in the alternative, to cancel this Agreement and receive a refund of the Contract down payment, together with the net charges actually charged to the Purchaser for the examination of title, without insurance . . . and cost of a survey. Upon such refund . . . the Seller shall not be liable for any other costs or damages whatsoever.”

When Cipriano and the Lodge entered into the contract, Cipriano evidently had notice of Buffa’s outstanding right of first refusal. Indeed, Buffa and Cipriano, as long-time members of the Lodge, were well acquainted with one another. Nevertheless, based on the Lodge’s representations, Cipriano was led to believe that Buffa had waived his right. In an August 3, 1999 letter, Cipriano asked the Lodge to confirm that it had Buffa’s written waiver, and to produce it. The Lodge, however, ignored the request. Two days later, Cipriano informed the Lodge that Buffa had not waived his right of first refusal, and, indeed, wanted a price for the waiver. On August 9, Cipriano wrote the Lodge, demanding “immediate clarification” concerning the status of Buffa’s right of first refusal.

Contrary to the Lodge’s representations to Cipriano, Buffa had never waived his right of first refusal. Indeed, the Lodge never extended Buffa the opportunity to exercise his right before or after it entered into its contract with Cipriano, even though Buffa advised the Lodge of his claim. In a September 2, 1999 letter to the Lodge, Buffa expressed his “sincere interest in exercising his ‘re-purchase right’ ” and asked for a copy of the executed contract for his review. The Lodge ignored this request as well. Instead, it demanded proof of Buffa’s right of first refusal. On September 20, Buffa forwarded the Lodge a copy of the 1955 agreement creating the right. He again asked the Lodge for a copy of the Lodge’s contract with Cipriano, and again the Lodge ignored the request.

On September 15, 1999, the Lodge wrote Cipriano to inform him that Buffa had not effected a waiver, and it furnished Cipriano a copy of Buffa’s “purported right of first refusal.” The Lodge also reminded Cipriano that it was “unwilling to bring any action or proceeding or to expend any money or expense with respect to this title issue” and asked him if he was willing to take title, subject to Buffa’s right. On September 24, 1999, Cipriano wrote the Lodge, asking it to clarify its position regard-

ing the status of Buffa's right of first refusal. When the Lodge failed to reply, Cipriano, by a letter dated October 4, 1999, again asked the Lodge to explain its position with respect to Buffa's rights. On October 5, in a letter to Cipriano, the Lodge reaffirmed the position it assumed in its September 15 letter: that Cipriano could take title, subject to Buffa's right of first refusal, but without abatement of the purchase price.

Meanwhile, Cipriano initiated negotiations with Buffa, with the goal of buying out Buffa's preemptive right. These discussions proved unavailing and delayed Cipriano's closing with the Lodge. Finally, in a letter to Cipriano dated December 28, 1999, the Lodge attempted to cancel its contract and returned Cipriano's down payment of \$55,000. On January 3, 2000, Cipriano sent the check back, rebuking the Lodge for its attempt at unilateral cancellation. The Lodge responded on January 13, instructing Cipriano to close on January 28. It warned that time was of the essence and that it would count Cipriano's failure to appear as a default entitling it to keep the down payment. On January 26, 2000, Cipriano informed the Lodge that he was initiating litigation to quiet title and that he did not intend to close on January 28. On January 27, the Lodge informed Cipriano that he had committed an anticipatory breach and that it would keep the down payment.

Cipriano brought this action against the Lodge and Buffa. He alleged that the Lodge could not and did not deliver marketable title to the property, and that the Lodge had interfered with his contractual right to the property. Cipriano sought specific performance and damages for breach of contract. In its answer, the Lodge denied Cipriano's allegations and argued that when Cipriano signed the contract he had notice of Buffa's claims to the property. The Lodge also counterclaimed against Cipriano for failing to attend the scheduled January 28, 2000 closing. This default, the Lodge asserted, entitled it to keep the down payment. In his answer, Buffa claimed that he held a valid right of first refusal, that the Lodge violated that right by contracting with Cipriano and that it had failed to extend him an offer to purchase the property or even furnish him with a copy of the contract. Buffa moved for dismissal of Cipriano's claim and filed a cross claim against the Lodge for damages or specific performance of his right of first refusal.

On the Lodge's motion for summary judgment, Supreme Court dismissed Cipriano's claim and Buffa's cross claim and granted summary judgment on the Lodge's counterclaim. It also

granted Buffa's motion for summary judgment on Cipriano's complaint against him. The court determined that the "Lodge was always ready, willing and able to honor its contractual obligations" and that Cipriano had received his bargained-for performance. As to Buffa's cross claim, the court held that Buffa could not exercise his right of first refusal because the Lodge "[was] not selling the property to plaintiff and indeed abandoned the transaction prior to its consummation."

Cipriano and Buffa appealed. The Appellate Division modified Supreme Court's judgment, upholding dismissal of Cipriano's complaint and Buffa's cross claim, but issuing a declaration in favor of the Lodge allowing it to keep the down payment. As to Buffa, the Court observed that he had "never exercised his right of repurchase." (297 AD2d 649, 653 [2002].) Finally, the Court affirmed Supreme Court's grant of summary judgment for the Lodge on its counterclaim against Cipriano. We granted Cipriano and Buffa leave to appeal, and we now modify.

II. Buffa's Right of First Refusal

This Court last addressed the enforceability of a right of first refusal in *LIN Broadcasting Corp. v Metromedia, Inc.* (74 NY2d 54 [1989]). All the parties claim that *LIN* supports their position. In *LIN*, we settled the question of "whether a contractual right of first refusal, which has been triggered by a contract to sell to a third party, may be exercised during the specified duration of the right but after the third-party transaction has been abandoned" (*id.* at 56-57). Stressing the difference between an option and a right of first refusal, we held that the grantor of a right of first refusal is obligated to give the holder of the right only an opportunity to buy the property. The grantor is not obligated to "render more than its promised performance . . . by keeping the offer open for the period specified in the first refusal clause" (*id.* at 62). The holder of a right of first refusal must be given the opportunity to exercise the preemptive right, but the right is extinguished when the contract with the third party expires or is abandoned.

In *Yudell Trust I v API Westchester Assoc.* (227 AD2d 471, 473 [2d Dept 1996]), the Appellate Division elaborated on our holding in *LIN* by concluding that someone who holds a right of first refusal may create a "binding contract" with the grantor by exercising the right before the third-party contract expires. The validity of this contract is not affected by "the subsequent expiration of the triggering event" (*id.*).

Had Buffa been given the opportunity to exercise his right of first refusal, this case would fall squarely under the settled authority of *LIN* or *Yudell Trust I*. One of two scenarios would result, assuming Buffa did not decline his right to buy the property: either (1) Buffa would have exercised his right of first refusal before the breakdown of the Lodge-Cipriano transaction, or (2) he would have attempted to do so after its abandonment. In the first scenario, Buffa's exercise would have created a binding offer and acceptance between him and the Lodge. In the second scenario, *LIN* would govern, and Buffa's ability to exercise his right would have evaporated.

The Lodge, however, never gave Buffa the opportunity to exercise his right of first refusal. In its earlier attempts to sell its property in 1995 and 1996, the Lodge honored an obligation to advise Buffa of any bona fide offers it received and to extend him the opportunity to buy the property on the same terms. Here, the Lodge took no steps to inform Buffa of its impending sale to Cipriano and did not make the contract subject to Buffa's right. Indeed, it ignored Buffa's repeated requests for a copy of its contract with Cipriano, as well as his written expressions of interest in exercising his right. The Lodge argues that its failure to respond to Buffa did not deny him a meaningful opportunity to exercise his right of first refusal because Buffa already knew that the Lodge had contracted to sell the property to Cipriano. Inasmuch as Buffa was apprised of the transaction, the argument goes, the Lodge was under no duty to answer his letters or inform him of the terms of its contract with Cipriano. We find this argument wholly unpersuasive.

[1] A right of first refusal is a right to receive an offer, and the grantor's failure or refusal to extend the holder the opportunity to exercise the right constitutes a breach. As we stated in *LIN*, "[t]he effect of a right of first refusal . . . is to bind the party who desires to sell *not to sell* without first giving the other party the opportunity to purchase the property at the price specified" (74 NY2d at 60). Likewise, in *Cortese v Connors* (1 NY2d 265 [1956]), the Court held that a landlord breached the "first option to purchase" term, i.e., right of first refusal term,² of a lease by failing to submit a third party's offer to purchase the leased premises to the tenants. (*Id.* at 269; *see also*

2. We note that a right of first refusal goes by other names, including "first option to buy," "first privilege of buying," "preemptive option," "preemptive right," "preemptive right to purchase," "right of preemption,"

3 Corbin, Contracts § 11.3, at 479-480 [rev ed 1996].) Thus, an owner of land subject to a right of first refusal is obligated contractually to make an offer to the rightholder. A rightholder may be familiar with the broad contours of the grantor's transaction with a third party, but may nevertheless be handicapped in exercising the right when there is no specific offer from the grantor.³

Rather than extending an offer to Buffa, the Lodge ignored his repeated requests for a copy of its contract with Cipriano, as well as his written affirmations of interest in exercising his right. Through its failure to act, the Lodge denied Buffa his bargained-for performance, that is, an opportunity to exercise his preemptive right to buy the property.

Although the Lodge breached its contractual obligations to Buffa, on the unique facts before us, neither specific performance nor damages provides a satisfactory remedy for the Lodge's default. Specific performance—the principal remedy which Buffa has sought—is inapt when the relations between two parties as to the transfer of an interest in land have yet to ripen into a binding contractual agreement. Specific performance may be granted only where the holder of the right of first refusal is shown to be “ready, willing, and able to purchase the property, not only when the right ripens, but also when specific performance is ordered” (25 Williston, Contracts § 67:85, at 504 [4th ed]). Notwithstanding Buffa's letters to the Lodge or his effort to vindicate his right of first refusal through litigation, there is little in the record to support his assertion that he was ready, willing, and able to buy the property. If anything, his readiness to negotiate with Cipriano and waive his right of first refusal suggests that Buffa was less interested in buying the property than he was in selling his right. Given the haze of uncertainty surrounding Buffa's actual intent in the summer and fall of 1999, as well as the likely appreciation of the Lodge's property over the past four years, a grant of specific

“first right of purchase,” “first-refusal-to-purchase option,” and “preferential right to purchase” (see 3 Corbin, Contracts § 11.3, at 469 n 1 [rev ed 1996]).

3. At least one prominent commentator maintains that a grantor breaches its obligations under a right of first refusal when it executes a contract with a third-party vendee before procuring a waiver from the rightholder (see 3 Corbin, Contracts § 11.3, at 480 [rev ed 1996]). This is not the law in New York. The grantor of a right of first refusal may enter into a contract with a third party for the sale of subject property, as long as the contract provides that the passage of title is contingent upon a waiver by the holder of the right of first refusal (see *LIN*, 74 NY2d at 59).

performance enabling Buffa to purchase the Lodge's property at the 1999 contract price could yield him a potential windfall.

As an alternative to specific performance, Buffa seeks damages against the Lodge for breach of his right of first refusal. We conclude that an award of damages is not warranted under the unusual facts before us. Although the Lodge wrongfully deprived Buffa of an opportunity to exercise his right, Buffa suffered no injury as a result of the Lodge's breach. Buffa continues to hold the same right he held at the outset of the Lodge's initial 1998 negotiations with Cipriano. As in the past, Buffa can still invoke his right of first refusal against the offer of any future prospective purchaser. Moreover, he will still cast a cloud over the Lodge's title, and may seek compensation from potential buyers who want him to waive his right. Because the Lodge caused no appreciable injury to Buffa, no damages can flow from its breach.

III. Cipriano's Down Payment

Affirming Supreme Court's grant of summary judgment for the Lodge, the Appellate Division found that the Lodge had fulfilled its contractual obligations to Cipriano and that Cipriano could have cancelled the contract and retained his down payment. The Court concluded that Cipriano had been "given more than a reasonable opportunity to perform under the contract of sale" but had failed to do so. (297 AD2d at 652.) The Lodge, the Court reasoned, was therefore entitled to hold Cipriano in default and keep the down payment.

[2] Cipriano maintains that the courts below erred in granting the Lodge summary judgment on its counterclaim. The Lodge's failure to produce marketable title, he argues, barred it from holding him in default and retaining his down payment. Under the circumstances of this case, we agree with Cipriano.

In *Maxton Bldrs. v Lo Galbo* (68 NY2d 373 [1986]), we reaffirmed a rule that has become axiomatic: a "vendee who defaults on a real estate contract without lawful excuse, cannot recover the down payment" (*id.* at 378). Cipriano had such a lawful excuse. Although Cipriano did not appear at the January 28, 2000 closing, his failure is at least matched by the Lodge's recalcitrant behavior. To the extent the Appellate Division found that the Lodge acted in good faith in its efforts to convey title, there is no evidence in the record to support this determination (*see Smirlock Realty Corp. v Title Guar. Co.*, 63 NY2d 955, 957-958 [1984]). First, the Lodge contracted with Cipriano while

misrepresenting Buffa's readiness to waive his right of first refusal. It then handicapped Cipriano's efforts to clear title by ignoring Buffa's repeated entreaties for a copy of the contract. After that, the Lodge tried to effect a unilateral cancellation of its contract with Cipriano. The Lodge maintains that Cipriano's refusal to accept this cancellation should, in effect, estop him from attacking its failure to deliver marketable title. We are not persuaded.

We acknowledge that a rider to the Cipriano-Lodge contract relieved the Lodge of any obligation "to bring any action or proceeding or to expend any sums of money or to incur any expense in order to render title marketable." Nevertheless, this clause does not excuse the Lodge's dereliction. Where a seller draws a prospective buyer into a transaction when it cannot possibly convey marketable title and then itself stymies the efforts of the buyer to remove the encumbrance, the seller may not rely on the language of the rider to keep the buyer's down payment. Because the Lodge was in material breach of its contractual obligations to Cipriano, we conclude that Cipriano had a lawful excuse for his failure to appear on the January 28 closing date. The Appellate Division's holding that the Lodge was entitled to retain Cipriano's down payment was therefore in error.

We have reviewed Cipriano's other arguments and find them to be without merit.

Accordingly, the order of the Appellate Division should be modified, without costs, consistent with this opinion and as so modified, affirmed.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, GRAFFEO and READ concur.

Order modified, etc.

[801 NE2d 835, 769 NYS2d 459]

FIRST FINANCIAL INSURANCE COMPANY, Respondent, v JETCO CONTRACTING CORP., Appellant, et al., Defendants. (And a Third-Party Action.)

Decided November 20, 2003

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 3 (B) (9) and Rules of the Court of Appeals (22 NYCRR) § 500.17, to review a question certified to the New York State Court of Appeals by the United States Court of Appeals for the Second Circuit. The following questions were certified by the United States Court of Appeals and accepted by the New York State Court of Appeals: “1. Under N.Y. Ins. Law § 3420(d), may an insurer who has discovered grounds for denying coverage wait to notify the insured of denial of coverage until after the insurer has conducted an investigation into alternate, third-party sources of insurance benefitting the insured, although the existence or non-existence of alternate insurance sources is not a factor in the insurer’s decision to deny coverage? 2. If an investigation into alternate sources of insurance is not a proper basis for delayed notification under N.Y. Ins. Law § 3420(d), is an unexcused delay in notification of 48 days unreasonable as a matter of law under § 3420(d)?”

HEADNOTES

Insurance — Disclaimer of Coverage

1. Under Insurance Law § 3420 (d), an insurer who has discovered grounds for denying coverage may not wait to notify the insured of denial of coverage until after the insurer has conducted an investigation into alternate, third-party sources of insurance benefitting the insured, the existence of which is not a factor in the insurer’s decision to deny coverage. Insofar as the statute requires that written notice of disclaimer of liability be given “as soon as is reasonably possible,” it was the intent of the Legislature to expedite the disclaimer process, thus enabling a policyholder to pursue other avenues expeditiously.

Insurance — Disclaimer of Coverage

2. The insurer’s unexcused 48-day delay in notifying its policyholder of denial of coverage was unreasonable as a matter of law under Insurance Law § 3420 (d), where the purpose of the delay was to investigate other, third-party sources of insurance, the existence of which was not a factor in the insurer’s decision to deny coverage.

TOTAL CLIENT-SERVICE LIBRARY® REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Insurance §§ 1384, 1385, 1638, 1639.

COUCH ON INSURANCE (3d ed) §§ 195:67, 198:47.
McKINNEY'S, Insurance Law § 3420 (d).
NY JUR 2d, Insurance §§ 1370, 1373, 1923, 1928, 1929.

ANNOTATION REFERENCE

See ALR Index under Insurance and Insurance Companies.

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POINTS OF COUNSEL

Goddard Ronan & Dineen, L.L.P., Garden City (*Joseph P. Dineen* of counsel), for appellant. I. Investigating possible alternate sources of insurance is not a valid excuse for an insurer's delayed notification of disclaimer under Insurance Law § 3420 (d). (*Matter of Firemen's Fund Ins. Co. of Newark v Hopkins*, 88 NY2d 836; *McGinnis v Mandracchia*, 291 AD2d 484; *City of New York v Northern Ins. Co.*, 284 AD2d 291.) II. First Financial's 48-day delay in disclaiming coverage based on late notice was unreasonable as a matter of law and precluded First Financial from denying coverage to Jetco. (*Hartford Ins. Co. v County of Nassau*, 46 NY2d 1028; *Wasserheit v New York Cent. Mut. Fire Ins. Co.*, 271 AD2d 439; *Matter of Nationwide Mut. Ins. Co. v Steiner*, 199 AD2d 507; *Matter of Colonial Penn Ins. Co. v Pevzner*, 266 AD2d 391; *West 16th St. Tenants Corp. v Public Serv. Mut. Ins. Co.*, 290 AD2d 278; *Squires v Robert Marini Bldrs.*, 293 AD2d 808.)

Ford Marrin Esposito Witmeyer & Gleser, L.L.P., New York City (*James M. Adrian* and *Rebecca J. Foote* of counsel), for respondent. I. Under New York Insurance Law § 3420 (d), an insurer may wait a reasonable period of time to notify the insured of denial of coverage until after the insurer has conducted an investigation into alternate, third-party sources of insurance benefitting the insured. (*Zappone v Home Ins. Co.*, 55 NY2d 131; *Excelsior Ins. Co. v Antretter Contr. Corp.*, 262 AD2d 124; *Allstate Ins. Co. v Gross*, 27 NY2d 263; *Hartford Ins. Co. v County of Nassau*, 46 NY2d 1028; *Matter of Firemen's Fund Ins. Co. of Newark v Hopkins*, 88 NY2d 836.) II. An unexcused delay in notification of 48 days is not unreasonable as a matter of law under Insurance Law § 3420 (d). (*Hartford Ins. Co. v*

County of Nassau, 46 NY2d 1028; *Reynolds Metal Co. v Aetna Cas. & Sur. Co.*, 259 AD2d 195; *General Acc. Ins. Group v Cirucci*, 46 NY2d 862; *TIG Ins. Co. v Town of Cheektowaga*, 142 F Supp 2d 343; *Mount Vernon Fire Ins. Co. v Harris*, 193 F Supp 2d 674; *Wilczak v Ruda & Capozzi*, 203 AD2d 944; *Allstate Ins. Co. v Gross*, 27 NY2d 263; *City of New York v Northern Ins. Co. of N.Y.*, 284 AD2d 291; *Matter of Colonial Penn Ins. Co. v Pevzner*, 266 AD2d 391; *McGinnis v Mandracchia*, 291 AD2d 484.)

OPINION OF THE COURT

Chief Judge KAYE.

The United States Court of Appeals for the Second Circuit, by two certified questions, has asked us to clarify whether an insurer's 48-day delay in notifying a policyholder of denial of coverage is unreasonable as a matter of law under Insurance Law § 3420 (d), where the purpose of the delay is to investigate the existence of other, third-party sources of insurance. The central issue is whether such delay is excusable, even though the existence of alternative sources is not a factor in the insurer's decision to deny coverage. We conclude that once the insurer has sufficient knowledge of facts entitling it to disclaim, or knows that it will disclaim coverage, it must notify the policyholder in writing as soon as is reasonably possible. Furthermore, an unexcused 48-day delay is unreasonable as a matter of law.

On July 9, 1998, falling scaffolding hit Gavin Hanna—an employee of Jetco's scaffolding subcontractor—while he was at work restoring the facade of a New York University (NYU) building. On January 6, 1999, Hanna brought suit in Bronx County Supreme Court against Jetco and NYU for negligence under various state statutes. Jetco's president and general manager learned of the accident the very day it occurred but failed to inform its commercial general liability insurer, First Financial Insurance Company, which learned of the accident from NYU on February 23, 1999. By letter dated March 2, 1999, First Financial's authorized agent advised the policyholder that this was "a late notice situation," and reserved its right to deny coverage because Jetco had failed to comply with the policy's provision requiring notice of an occurrence as soon as practicable. On March 30, 1999, First Financial confirmed that Jetco's president had known of the accident since the day it occurred. However, the insurer failed to notify Jetco of its decision to deny coverage until May 17, 1999—48 days after First

Financial's agent confirmed the grounds for disclaiming coverage. The insurer claims that this delay was excusable because it resulted from an investigation into other sources of insurance for Jetco.

First Financial sought a declaratory judgment from the United States District Court for the Southern District of New York that the policy did not cover Jetco for Hanna's suit. Whether the 48-day delay was reasonable as a matter of law became material because the insurer's failure to provide notice as soon as is reasonably possible precludes effective disclaimer, even though the policyholder's own notice of the incident to its insurer is untimely (*see Hartford Ins. Co. v County of Nassau*, 46 NY2d 1028, 1029 [1979]).

The District Court concluded that the insurer's 48-day delay was reasonable because its investigation into alternative sources of insurance was clearly for Jetco's benefit, which the court felt should be encouraged even though the insurer would itself have denied coverage regardless of the existence of any other insurance benefitting Jetco.¹ The District Court refused to read Insurance Law § 3420 (d) in a way that would prohibit an insurer from waiting to notify a policyholder of denial of coverage until after the insurer has conducted an alternative source investigation, because insurance companies would be forced to disclaim coverage before seeking additional sources of coverage.² In its appeal to the Second Circuit, Jetco challenged the District Court's finding that the insurer's delayed disclaimer was reasonable under Insurance Law § 3420 (d).

Concerned that New York law is unclear as to whether an insurer's investigation into other, third-party sources of insurance is a sufficient excuse for delay, and if not, whether an unexcused delay of 48 days could be unreasonable as a matter of law—both novel policy issues with wider implications—the Second Circuit certified two questions to this Court.

“1. Under N.Y. Ins. Law § 3420(d), may an insurer

1. Three witnesses testified at trial that First Financial's investigation into other sources of insurance did not affect insurer's decision to deny coverage. In the words of one witness: “Whether there is an additional insure[r] really has no bearing on whether it's late. If it's late, it's late and we will deny coverage.”

2. The court further noted that Jetco suffered no prejudice from the time it took First Financial to investigate additional sources of coverage—though correctly observing that prejudice is of no legal relevance here (*see Allstate Ins. Co. v Gross*, 27 NY2d 263, 269-270 [1970]).

who has discovered grounds for denying coverage wait to notify the insured of denial of coverage until after the insurer has conducted an investigation into alternate, third-party sources of insurance benefitting the insured, although the existence or non-existence of alternate insurance sources is not a factor in the insurer's decision to deny coverage?

"2. If an investigation into alternate sources of insurance is not a proper basis for delayed notification under N.Y. Ins. Law § 3420(d), is an unexcused delay in notification of 48 days unreasonable as a matter of law under § 3420(d)?" (322 F3d 750, 752 [2003].)

We now answer the first question in the negative, and the second in the affirmative.

Discussion

[1] New York Insurance Law § 3420 (d) provides:

"If under a liability policy delivered or issued for delivery in this state, an insurer shall disclaim liability or deny coverage for death or bodily injury arising out of a motor vehicle accident or any other type of accident occurring within this state, it shall give written notice as soon as is reasonably possible of such disclaimer of liability or denial of coverage to the insured and the injured person or any other claimant."

While the Legislature specified no particular period of time, its words "as soon as is reasonably possible" leave no doubt that it intended to expedite the disclaimer process, thus enabling a policyholder to pursue other avenues expeditiously. As the Legislature's 1975 Budget Report on the bill that ultimately became section 3420 (d) noted, the purpose "is to assist a consumer or claimant in obtaining an expeditious resolution to liability claims by requiring insurance companies to give prompt notification when a claim is being denied" (30-Day Budget Report on Bills, Bill Jacket, L 1975, ch 775).

That notice of disclaimer must be prompt, however, still leaves unresolved the questions of *when* promptness is to be measured from, and *whether* as a matter of law an insurer may delay notification in order to investigate other sources of insurance potentially available to its policyholder.

As we have made clear, "timeliness of an insurer's disclaimer is measured from the point in time when the insurer first learns

of the grounds for disclaimer of liability or denial of coverage” (*Matter of Allcity Ins. Co. [Jimenez]*, 78 NY2d 1054, 1056 [1991], citing *Hartford*, 46 NY2d at 1029). Moreover, an insurer’s explanation is insufficient as a matter of law where the basis for denying coverage was or should have been readily apparent before the onset of the delay (*Matter of Firemen’s Fund Ins. Co. of Newark v Hopkins*, 88 NY2d 836, 837-838 [1996]). Here, First Financial was aware that Jetco’s claim was untimely when the insurer learned of the accident on February 23, 1999 (as noted in its March 2 letter to Jetco), or at the latest on March 30 (when its agent confirmed that Jetco’s president had known of the accident since the day it occurred). For present purposes we assume that on March 30, 1999, the clock began to run on First Financial’s obligation to give written notice to Jetco disclaiming coverage.

An insurer who delays in giving written notice of disclaimer bears the burden of justifying the delay. While Insurance Law § 3420 (d) speaks only of giving notice “as soon as is reasonably possible,” investigation into issues affecting an insurer’s decision whether to disclaim coverage obviously may excuse delay in notifying the policyholder of a disclaimer (*see e.g. 2540 Assoc. v Assicurazioni Generali*, 271 AD2d 282, 284 [1st Dept 2000] [delay reasonable because of insurer’s need to conduct a “prompt, diligent and good faith investigation of the claim”]; *DeSantis Bros. v Allstate Ins. Co.*, 244 AD2d 183, 184 [1st Dept 1997] [delay reasonable because of need to review 500-page file and conduct legal research]; *Aetna Cas. & Sur. Co. v Brice*, 72 AD2d 927, 928-929 [4th Dept 1979] [delay reasonable due to insurer’s difficulty gathering evidence because all those involved in accident had been killed]).

We cannot accept, however, that delay simply to explore other sources of insurance for the policyholder—an excuse unrelated to the insurer’s own decision to disclaim—is permissible. While First Financial urges that, as a matter of policy, such inquiries should be encouraged because they are for the benefit of the insured, we note that they may also be in the insurer’s interest in reducing its ultimate risk, and further may detrimentally delay the policyholder’s own search for alternative coverage. When the insurer promptly disclaims coverage, the policyholder—perhaps with the aid of its own broker or insurance agent—is best motivated by its own interest to explore alternative avenues of protection.

Having concluded that investigation into possible other sources of insurance is not an acceptable reason for delayed

disclaimer, we reach the Second Circuit's second question: Is an unexcused delay of 48 days unreasonable as a matter of law?

On the one hand, we appreciate the desire for a fixed yardstick against which to measure the reasonableness, or unreasonableness, of an insurer's delay. In this respect we note that the Appellate Division several times has found fixed periods of less than 48 days unreasonable as a matter of law (*see e.g. West 16th St. Tenants Corp. v Public Serv. Mut. Ins. Co.*, 290 AD2d 278, 279 [1st Dept 2002] [30 days]; *Matter of Nationwide Mut. Ins. Co. v Steiner*, 199 AD2d 507, 508 [2d Dept 1993] [41 days]; *Matter of Colonial Penn Ins. Co. v Pevzner*, 266 AD2d 391 [2d Dept 1999] [41 days]; *Squires v Robert Marini Bldrs.*, 293 AD2d 808, 810 [3d Dept 2002] [42 days]). On the other hand, the difficulty with imposing a fixed time period—which the Legislature scrupulously avoided—is that most often the question whether a notice of disclaimer has been sent “as soon as is reasonably possible” will be a question of fact, dependent on all of the circumstances of a case that make it reasonable, or unreasonable, for an insurer to investigate coverage (*see Hartford*, 46 NY2d at 1030; *Allstate Ins. Co. v Gross*, 27 NY2d 263, 270 [1970]).

[2] One thing is clear: that it is the responsibility of the insurer to explain its delay. Where, in *Hartford*, the insurer gave absolutely no explanation for its delay, this Court concluded that a delay of 62 days was, as a matter of law, unreasonable. Clearly a delay of 48 days in those circumstances would have been as well. Here, we see no material difference between a delay that is *unexplained* and a delay that is *unexcused*, meaning the explanation is unsatisfactory. The insurer's 48-day delay in giving written notice, on the facts before us, was unreasonable as a matter of law.

Accordingly, certified question No. 1 should be answered in the negative and certified question No. 2 should be answered in the affirmative.

Judges G.B. SMITH, CIPARICK, ROSENBLATT, GRAFFEO and READ concur.

Following certification of questions by the United States Court of Appeals for the Second Circuit and acceptance of the questions by this Court pursuant to section 500.17 of the Rules of the Court of Appeals (22 NYCRR 500.17), and after hearing argument by counsel for the parties and consideration of the briefs and the record submitted, certified question No. 1

answered in the negative and certified question No. 2 answered
in the affirmative.

[801 NE2d 827, 769 NYS2d 451]

In the Matter of UNITED FEDERATION OF TEACHERS, LOCAL 2,
AFT, AFL-CIO, Appellant, v BOARD OF EDUCATION OF THE
CITY SCHOOL DISTRICT OF THE CITY OF NEW YORK, Respon-
dent.

Argued October 21, 2003; decided November 20, 2003

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered July 18, 2002. The Appellate Division (1) reversed, on the law, an order and judgment (one paper) of the Supreme Court, New York County (Bruce Allen, J.), which had granted petitioner's motion to confirm, and denied respondent's cross motion to vacate, an arbitration award, (2) denied petitioner's motion to confirm the award, and (3) granted respondent's cross motion to vacate the award.

Matter of United Fedn. of Teachers, Local 2, AFT, AFL-CIO v Board of Educ. of City School Dist. of City of N.Y., 298 AD2d 60, reversed.

HEADNOTES

Arbitration — Judicial Review — Arbitrability of Dispute

1. Respondent Board of Education, by failing to move for a stay and instead participating in the arbitration of a teacher's grievance, waived its right to seek vacatur of the award on the basis that the parties did not agree to arbitrate the issue involved in the grievance. Respondent did not, however, forfeit its right to seek vacatur of the award on public policy grounds.

Arbitration — Confirming or Vacating Award — Public Policy Exception as Basis for Vacatur — Selection of Teachers for After-School Program

2. In a teacher's contract grievance, an arbitration award that overruled as arbitrary and capricious respondent Board of Education's decision not to select the grievant to teach in an after-school program did not violate public policy. The award did not impinge upon the school's responsibility to appoint qualified teachers to positions in the school, inasmuch as the grievant was qualified for the position. The interest of maintaining adequate standards in the classroom does not prohibit an arbitrator from reviewing a school's selection from among qualified candidates.

Arbitration — Award in Excess of Arbitrator's Powers — Selection of Teachers for After-School Program

3. An arbitrator did not exceed the scope of her authority under a collective bargaining agreement when she overruled respondent Board of Education's decision not to select the grievant to teach in an after-school program because she found the selection process to be arbitrary and capricious. Having

determined that the selection process was encompassed within one article of the agreement, the arbitrator had the authority under another article to find that respondent's exercise of its discretion was arbitrary and capricious, and to fashion an appropriate remedy. Even though the arbitrator's interpretations and factual findings were debatable, a court may not examine the merits of the award and substitute its judgment.

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By the Publisher's Editorial Staff

AM JUR 2d, Alternative Dispute Resolution §§ 8, 9, 126, 234, 238, 243, 249; Labor and Labor Relations §§ 3382, 3435, 3442, 3474, 3480, 3496; Schools § 156.

CARMODY-WAIT 2d, Arbitration §§ 141:124, 141:129, 141:215, 141:220, 141:221, 141:229, 141:233.

NY JUR 2d, Arbitration and Award §§ 189, 191, 194, 199, 206, 209; Employment Relations §§ 574, 579, 585, 586, 590, 593; Schools, Universities, and Colleges §§ 147, 153, 218.

SIEGEL, NY PRAC § 602.

ANNOTATION REFERENCE

Participating in arbitration proceedings as waiver of objections to arbitrability under state law. 56 ALR5th 757.

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POINTS OF COUNSEL

Stroock & Stroock & Lavan LLP, New York City (*Charles G. Moerdler*, *Alan M. Klinger* and *Faith A. Kaminsky* of counsel), *James R. Sandner*, *Lena M. Ackerman* and *Carol L. Gerstl*, for appellant. I. The Appellate Division erred in vacating the arbitration award on public policy grounds. (*Matter of Jaidan Indus. v M.A. Angeliades, Inc.*, 97 NY2d 659; *Matter of Port Jefferson Sta. Teachers Assn. v Brookhaven-Comsewogue Union Free School Dist.*, 45 NY2d 898; *Matter of Middle Country Teachers Assn. v Middle Country Cent. School Dist.*, 231 AD2d 570, 89 NY2d 806; *Matter of New York City Tr. Auth. v Transport Workers Union of Am., Local 100, AFL-CIO*, 99 NY2d 1; *Matter of Three Vil. Teachers' Assn. v Three Vil. Cent. School Dist.*, 128 AD2d 626, 70 NY2d 608; *Matter of Riverhead Cent. School Dist. v Riverhead Cent. Faculty Assn.*, 140 AD2d 526, 72 NY2d 810; *Matter of Board of Educ. of Arlington Cent. School Dist. v Arlington Teachers Assn.*, 78 NY2d 33; *City of New York v*

Uniformed Firefighters Assn., Local 94, IAFF, AFL-CIO, 58 NY2d 957.) II. The Appellate Division erroneously substituted its own judgment for that of the arbitrator. (*United Steelworkers of Am. v Warrior & Gulf Nav. Co.*, 363 US 574; *Matter of Board of Educ., Commack Union Free School Dist. v Ambach*, 70 NY2d 501; *Matter of Board of Educ. of Yonkers City School Dist. v Yonkers Fedn. of Teachers*, 40 NY2d 268; *Matter of New York City Tr. Auth. v Transport Workers of Am., Local 100, AFL-CIO*, 99 NY2d 1; *Matter of Sprinzen*, 46 NY2d 623; *Board of Educ., Bellmore-Merrick Cent. High School Dist. v Bellmore-Merrick United Secondary Teachers*, 39 NY2d 167; *Board of Educ. of Union Free School Dist. No. 3 v Associated Teachers of Huntington*, 30 NY2d 122; *Associated Teachers of Huntington v Board of Educ. of Union Free School Dist. No. 3*, 33 NY2d 229.) III. The Appellate Division's holding that the arbitrator exceeded her authority is merely a determination that the arbitrator came to an erroneous conclusion and, as such, is an improper basis for vacating the award. (*Maross Constr. v Central N.Y. Regional Transp. Auth.*, 66 NY2d 341.)

Michael A. Cardozo, Corporation Counsel, New York City (Scott Shorr and Barry P. Schwartz of counsel), for respondent. I. Nothing in the United Federation of Teachers' brief erodes the strong public policy, which the Appellate Division properly applied, barring arbitral interference with the Board of Education's assessment of teacher qualifications. (*Matter of Cohoes City School Dist. v Cohoes Teachers Assn.*, 40 NY2d 774; *Honeoye Falls-Lima Cent. School Dist. v Honeoye Falls-Lima Educ. Assn.*, 49 NY2d 732; *Matter of Meehan v Nassau Community Coll.*, 152 AD2d 313; *Three Vil. Teachers' Assn. v Three Vil. Cent. School Dist.*, 128 AD2d 626, 70 NY2d 608; *Matter of Board of Educ. of Arlington Cent. School Dist. v Arlington Teachers Assn.*, 78 NY2d 33; *Matter of Riverhead Cent. School Dist. v Riverhead Cent. Faculty Assn.*, 140 AD2d 526, 72 NY2d 810; *Matter of Monroe-Woodbury Cent. School Dist. v Monroe-Woodbury Teachers Assn.*, 105 AD2d 786, 65 NY2d 604; *Matter of City of New York v Uniformed Fire Officers Assn., Local 854, IAFF, AFL-CIO*, 95 NY2d 273; *Matter of New York City Tr. Auth. v Transport Workers Union of Am., Local 100, AFL-CIO*, 99 NY2d 1; *Matter of Port Jefferson Sta. Teachers Assn. v Brookhaven-Comsewogue Union Free School Dist.*, 45 NY2d 898.) II. United Federation of Teachers has failed to undermine the Appellate Division's determination that the arbitrator violated public policy by replacing the Board of Education's teacher selection decision with her own. (*Three Vil. Teachers'*

Assn. v Three Vil. Cent. School Dist., 128 AD2d 626; *Matter of Riverhead Cent. School Dist. v Riverhead Cent. Faculty Assn.*, 140 AD2d 526; *Matter of Sprinzen*, 46 NY2d 623; *Maross Constr. v Central N.Y. Regional Transp. Auth.*, 66 NY2d 341; *Board of Educ., Bellmore-Merrick Cent. High School Dist. v Bellmore-Merrick United Secondary Teachers*, 39 NY2d 167.) III. United Federation of Teachers ignores the Appellate Division's rationale for concluding that the arbitrator also exceeded an express limitation on her authority. (*Sweeney v Herman Mgt.*, 85 AD2d 34; *Board of Educ. of Lakeland Cent. School Dist. of Shrub Oak v Barni*, 49 NY2d 311; *Kings Park Classroom Teachers Assn. v Kings Park Cent. School Dist.*, 100 AD2d 929; *Matter of City of New York v Davis*, 146 AD2d 480; *Matter of New York City Tr. Auth. v Patrolmen's Benevolent Assn. of N.Y. City Tr. Police Dept.*, 129 AD2d 708, 70 NY2d 719.)

OPINION OF THE COURT

READ, J.

In this appeal we are asked whether an arbitrator acted properly when she determined that respondent Board of Education of the City of New York (the Board) arbitrarily selected teachers for an after-school reading program, and ordered the Board to provide a position to a qualified applicant whom the principal had passed over. We conclude that the award did not violate public policy and the arbitrator did not exceed her authority under the collective bargaining agreement.

I.

In September 1998 New York City School District 26 posted an announcement for anticipated vacancies in the position of "Per Session Teacher—Project Read After-School Program" in its elementary schools. The announcement set forth selection criteria, including a preference for teachers holding "Early Childhood/Reading License[s]."

Linda Feil applied for this position. While she did not hold either of the preferred licenses, she did have a "common branch" license and 26 years of primary school teaching experience, most recently as a third-grade teacher at PS 173. In addition, she had taught as a substitute teacher in Project Read and another reading program at PS 173.

The principal of PS 173 filled six openings in Project Read from the pool of applicants who responded to the posting. He did not select Feil, instead offering her work as a "primary

substitute.” He also advised her that other district schools had inquired “if any of our excellent teachers would be available to teach Project Read in those schools.” He asked her to let him know right away if she was interested in this possibility. Of the six teachers whom the principal selected for a position in Project Read, two had the preferred licenses and less seniority than Feil. The remaining four did not have the preferred licenses; two had more seniority than Feil, two had less. The parties do not dispute that the six selected teachers are qualified; the parties do not dispute that Feil is qualified.

Feil’s union, appellant United Federation of Teachers (UFT), filed a grievance in Feil’s behalf under articles fifteen and twenty of the collective bargaining agreement (CBA). Article twenty-two of the CBA prescribes a four-stage grievance process, culminating in arbitration if the grievance is not otherwise resolved.

During a Step 2 grievance conference, UFT argued that Feil had been improperly denied a position in Project Read because she was qualified and more senior than two of the successful applicants. The principal replied that while he believed that Feil was a satisfactory teacher, the teachers he selected had, in his judgment and based on their applications, a greater level of specific teaching experience, which he detailed. He acknowledged that he took into consideration his personal observations of the various applicants in the classroom during his 15 years as principal. The deputy superintendent denied the grievance. He found that while satisfactory teaching and seniority were compelling selection criteria, they were not required by the posting and did not control the selection process for Project Read, a specialized program.

After a Step 3 hearing, the Chancellor’s representative found that the applicants were not equally qualified for the positions, and denied the grievance. UFT filed a demand for arbitration. The Board did not move to stay the arbitration, and so the grievance was submitted to an arbitrator jointly selected by UFT and the Board pursuant to the CBA.

The arbitrator accepted UFT’s formulation of the issue:

“Did the Board violate Articles Fifteen and Twenty of the 1995-2000 collective bargaining agreement when it denied Grievant Linda Feil, a teacher at P.S. 173, the per session position of After-School Project Teacher at P.S. 173? If so, what shall be the remedy?”

The arbitrator rejected UFT's argument that the Project Read selection process was governed by the seniority provisions in article fifteen of the CBA entitled "Rates of Pay and Working Conditions of Per Session Teachers." Instead, she found that the matter involved the application of article twenty of the CBA, entitled "Matters Not Covered."¹

The arbitrator also found that while the CBA contained no selection criteria for Project Read, "[t]he selection of teachers for positions in programs which are not covered by the Agreement [is] governed by managerial discretion." The arbitrator determined that her power to decide whether the Board's exercise of this discretion was arbitrary or capricious derived from article twenty-two (C) of the CBA.²

The arbitrator emphasized that Feil was well qualified for the position, and had more seniority than two of the teachers who were selected for the program. She recited testimony from another teacher who had been rejected for a position in Project Read the previous year because she was the most junior applicant. She discredited the principal's testimony that the

1. Article twenty provides that

"[w]ith respect to matters not covered by this Agreement which are proper subjects for collective bargaining, the Board agrees that it will make no changes without appropriate prior consultation and negotiation with the Union. . . .

"All existing determinations, authorizations, by-laws, regulations, rules, rulings, resolutions, certifications, orders, directives, and other actions, made, issued or entered into by the Board of Education governing or affecting salary and working conditions of the employees in the bargaining unit shall continue in force during the term of this Agreement, except insofar as change is commanded by law."

2. Article twenty-two provides that

"[g]rievances involving the exercise of Board discretion under any term of this Agreement may be submitted to arbitration to determine whether the provision was disregarded or applied in a discriminatory or arbitrary or capricious manner so as to constitute an abuse of discretion. . . .

"The arbitrator shall limit his decision strictly to the application and interpretation of the provisions of this Agreement and he shall be without power or authority to make any decision: . . .

"(2) Involving Board discretion under the provisions of this Agreement, . . . except that the arbitrator may decide in a particular case whether the provision was disregarded or applied in a discriminatory or arbitrary or capricious manner so as to constitute an abuse of discretion, namely whether the challenged judgment was based upon facts which justifiably could lead to the conclusion as opposed to merely capricious or whimsical preferences or the absence of supporting factual reasons."

preferred license was a governing factor because four of the successful applicants did not hold this license. She found that there was no documentary evidence supporting the principal's position that the successful applicants were better qualified for the positions than Feil, and concluded that the "selection process was arbitrary in nature."

The award, issued on August 9, 1999, found that the Board violated article twenty of the CBA by acting in an arbitrary manner when selecting teachers for positions in Project Read. The arbitrator directed the Board to place Feil in Project Read at PS 173 for the 1999-2000 school year, and to award her back pay.

The Board appointed Feil to the position, but resisted the back pay award. Pursuant to CPLR article 75, UFT moved in Supreme Court to confirm the award. The Board cross-moved to vacate under CPLR 7511 (b) (1) (iii), arguing that the arbitrator exceeded her authority. Supreme Court confirmed the award and denied the Board's cross motion. The Appellate Division unanimously reversed, vacating the award and holding that "this award violates public policy by impermissibly infringing on the nondelegable responsibility of the public school system to maintain educational standards" (298 AD2d 60, 61-62 [1st Dept 2002]). As an alternative basis for reversal, the Appellate Division found that the award "exceeded the arbitrator's power" under the CBA (*id.* at 62).

II.

[1] We begin our analysis by determining which of the parties' arguments are subject to our review. We conclude, as the Appellate Division did, that by failing to move to stay and participating in the arbitration, the Board waived its right to seek vacatur of the award on the basis that the parties did not agree to arbitrate disputes arising out of Project Read. We further conclude that the Board's actions did not forfeit its right to seek vacatur of the award on public policy grounds.

The role of public policy in restricting an arbitrator's power to resolve disputes arises at two distinct points on the arbitration continuum. It first appears as a ground for obtaining a stay of arbitration when a party challenges the arbitrability of a dispute. It reappears as a ground for vacating the award as being made in excess of the arbitrator's powers.

In *Matter of City of Johnstown (Johnstown Police Benevolent Assn.)* (99 NY2d 273 [2002]), we stated a two-part test for

determining the arbitrability of a dispute: the “did-they-agree-to-arbitrate” prong, which requires that we examine the agreement to determine what issues the parties agreed to submit to arbitration; and the “may-they-arbitrate” prong, which asks “whether there is any statutory, constitutional or public policy prohibition against arbitration of the grievance” (99 NY2d at 278 [citations omitted]).

Because arbitrability is a threshold question going to the arbitrator’s power to resolve the dispute, a party can seek judicial intervention to determine whether the dispute is arbitrable before consenting to arbitration. Moreover, the CPLR requires that in order to raise the “did-they-agree-to-arbitrate” prong of arbitrability in a motion to vacate, a party must move to stay before participating in arbitration (*compare* CPLR 7511 [b] [1] *with* CPLR 7511 [b] [2]). Of course, a party may choose not to move to stay arbitration for a variety of legitimate economic or tactical reasons. But with forbearance comes risk: a party that participates in the arbitration may not later seek to vacate the award by claiming it never agreed to arbitrate the dispute in the first place (*see Rochester City School Dist. v Rochester Teachers Assn.*, 41 NY2d 578, 583 [1977]).

By contrast, a party is not required to raise the “may-they-arbitrate” prong on a motion to stay, and may later seek to vacate an award as violative of public policy. Indeed, while public policy may be raised on a motion to stay, it can also be raised for the first time on a motion to vacate (*see Hirsch v Hirsch*, 37 NY2d 312, 315 [1975] [“(A) challenge to the arbitrability of an issue on public policy grounds may be made either on an application for a stay of arbitration . . . (or) on a motion to vacate the award” (citations omitted)]; *see also Matter of Professional, Clerical, Tech. Empls. Assn. [Buffalo Bd. of Educ.]*, 90 NY2d 364, 373 [1997]).

We next consider whether the award violates public policy and whether the arbitrator exceeded her powers under the CBA.

III.

An arbitration award may be vacated on three narrow grounds: “it violates a strong public policy, is irrational, or clearly exceeds a specifically enumerated limitation on the arbitrator’s power” (*Matter of Board of Educ. of Arlington Cent. School Dist. v Arlington Teachers Assn.*, 78 NY2d 33, 37 [1991] [citations omitted]). Only the public policy and enumerated powers grounds are disputed here.

As we recently stated, the scope of the public policy exception to an arbitrator's power to resolve disputes is extremely narrow (see *Matter of New York City Tr. Auth. v Transport Workers Union of Am., Local 100, AFL-CIO*, 99 NY2d 1, 6-7 [2002] ["(J)udicial intervention on public policy grounds constitutes a narrow exception to the otherwise broad power of parties to agree to arbitrate all of the disputes arising out of their juridical relationships, and the correlative, expansive power of arbitrators to fashion fair determinations of the parties' rights and remedies"]³).³ Moreover, "[j]udicial restraint under the public policy exception is particularly appropriate in arbitrations pursuant to public employment collective bargaining agreements" (*id.* at 7).

In *Transport Workers*, we established a two-prong test for determining whether an arbitration award violates public policy. First, where a court can conclude "without engaging in any extended factfinding or legal analysis" that a law "prohibit[s], in an absolute sense, [the] particular matters [to be] decided . . . by [arbitration]" (99 NY2d at 8, 9 [citations and emphasis omitted]), an arbitrator cannot act. Second, an arbitrator cannot issue an award where "the award itself 'violate[s] a well-defined constitutional, statutory or common law of this State' " (*id.* at 11 [citation omitted]).

Transport Workers spoke to whether two awards should be vacated on public policy grounds because they improperly infringed on the employer's statutory duty "[t]o exercise all requisite and necessary authority to manage, control and direct the maintenance and operation of transit facilities . . . for the convenience and safety of the public" (99 NY2d at 8, quoting Public Authorities Law § 1204 [15]). We upheld the awards, finding that Public Authorities Law § 1204 (15) contained only a general responsibility that did not prohibit delegation of the duty "in an absolute sense" (99 NY2d at 9), and that no other well-defined law or policy barred the awards.

Citing *Matter of Cohoes City School Dist. v Cohoes Teachers Assn.* (40 NY2d 774 [1976]), *Matter of Candor Cent. School Dist. (Candor Teachers Assn.)* (42 NY2d 266 [1977]) and *Honeoye Falls-Lima Cent. School Dist. v Honeoye Falls-Lima Educ. Assn.* (49 NY2d 732 [1980]), the Board argues that this award should be vacated because public policy prohibits it from bargaining

3. We note that our decision in *Transport Workers* postdates the Appellate Division's decision here.

away its vested responsibility to determine if a candidate is qualified for a teaching position. We have never held, however, that an award violates public policy if it affects teacher qualifications (see *Matter of Enlarged City School Dist. of Troy [Troy Teachers Assn.]*, 69 NY2d 905, 907 [1987] [“*Even assuming that the School District must remain the ultimate judge of an applicant’s qualifications . . .*” (emphasis added)]). Moreover, even if we had, this “policy” is not triggered by the facts here, as the award did not force the Board to hire or select a *nonqualified* candidate for a teaching position. Rather, the award overruled the Board’s decision not to select a particular qualified candidate where the arbitrator found the selection process arbitrary and capricious (see *Matter of Middle Country Teachers Assn. v Middle Country Cent. School Dist.*, 231 AD2d 570, 572 [2d Dept 1996], *lv denied* 89 NY2d 806 [1997] [declining to vacate award in favor of grievant as against public policy where grievant, the “weakest qualified applicant,” was nonetheless qualified]).

The Board further relies on *Honeoye* for the principle that public policy prohibits a school board from “surrender[ing] through collective bargaining a responsibility vested in the board *in the interest of maintaining adequate standards* in the classrooms” (49 NY2d at 734 [emphasis added]). We have never held, however, that the interest of “maintaining adequate standards” is, standing alone, sufficient to vacate an award as violative of public policy (see *Cohoes City School Dist.*, 40 NY2d at 775-778 [public policy bars delegation of tenure decisions]; *Candor Cent. School Dist.*, 42 NY2d at 271 [public policy bars delegation of right to terminate a probationary appointment at the close of the probationary period]; *Honeoye*, 49 NY2d at 733 [public policy bars delegation of responsibility for implementing layoffs]). This maintenance-of-adequate-standards principle is akin to the statute we reviewed in *Transport Workers*. It is a general responsibility and does not “prohibit, in an absolute sense,” an arbitrator from reviewing a school’s selection from among qualified candidates for an after-school position. It is only when the interest in maintaining adequate standards is attached to a well-defined law that public policy is implicated. The Board points to no such law applicable to the decision made here, and so cannot meet the second prong of the *Transport Workers* test.

Next, *Matter of Three Vil. Teachers’ Assn. v Three Vil. Cent. School Dist.* (128 AD2d 626 [2d Dept 1987], *lv denied* 70 NY2d 608 [1987]), relied on by the Appellate Division below, does not

control the outcome here. In *Three Village*, the Court found that the “school district’s ultimate responsibility to determine the qualifications required and preferred for a particular teaching position . . . and to determine whether a prospective applicant is possessed of those qualifications is a responsibility of the type that may not be bargained away, as it is central to the maintenance of adequate standards in the classroom” (128 AD2d at 627 [citation omitted]).

Importantly, the *Three Village* court found that the award violated Education Law § 2573 (9), which provides that no teacher “shall be appointed to the teaching force of a city who does not possess qualifications required under this chapter and under the regulations prescribed by the commissioner of education.” Here, the award does not impinge on the school’s responsibility to appoint qualified teachers to positions in the public schools, nor is Education Law § 2573 (9) even applicable. *Three Village* also involved a “past practice” that “permitted the school district a degree of discretion” in determining teacher qualifications (128 AD2d at 627).⁴

[2] Given the narrow scope of the public policy exception to an arbitrator’s powers, we decline to find that public policy has an interest in choosing from among qualified candidates for after-school teaching positions. The Board has provided no reason why public policy requires such a result. The question left open in *Enlarged City School Dist.* is not implicated on these facts, and so we leave its resolution for another day.

[3] Finally, we also disagree with the Appellate Division’s alternative conclusion that the arbitrator exceeded the scope of her authority under the CBA. “[I]t is not for the courts to interpret the substantive conditions of the contract or to

4. The other cases relied on by the Appellate Division are also distinguishable. *Matter of Riverhead Cent. School Dist. of Towns of Riverhead, Southampton & Brookhaven v Riverhead Cent. Faculty Assn.* (140 AD2d 526 [2d Dept 1988], *lv denied* 72 NY2d 810 [1988]) involved an appointment to a coaching position, and relied on *Enlarged City School Dist.*, without noting that this case left open the question of qualifications. *Matter of Board of Educ. of Port Jefferson Union Free School Dist. v Port Jefferson Teachers’ Assn.* (243 AD2d 468 [2d Dept 1997], *lv denied* 91 NY2d 814 [1998]), also involving a coaching position, found that the grievance was not arbitrable, and cited to *Riverhead* as an alternative basis for staying arbitration. In *Matter of Meehan v Nassau Community Coll.* (152 AD2d 313 [2d Dept 1989], *lv dismissed* 75 NY2d 1005 [1990]), leave to appeal was dismissed for nonfinality. Finally, *Matter of South Country Cent. School Dist. (Paul)* (103 AD2d 780 [2d Dept 1984]) relied on *Matter of Sweet Home Cent. School Dist. v Sweet Home Educ. Assn.* (58 NY2d 912, 914 [1983]), a case superseded by statute.

determine the merits of the dispute” (*Board of Educ., Lakeland Cent. School Dist. of Shrub Oak v Barni*, 51 NY2d 894, 895 [1980]). This is true “even where ‘the apparent, or even the plain, meaning of the words’ of the contract has been disregarded” (*Maross Constr. v Central N.Y. Regional Transp. Auth.*, 66 NY2d 341, 346 [1985] [citation omitted]). In *Matter of New York State Correctional Officers & Police Benevolent Assn. v State of New York* (94 NY2d 321 [1999]), we refused to disturb an award, cognizant of the fact that “[a] court cannot examine the merits of an arbitration award and substitute its judgment for that of the arbitrator simply because it believes its interpretation would be the better one. Indeed, *even in circumstances where an arbitrator makes errors of law or fact*, courts will not assume the role of overseers to conform the award to their sense of justice” (*id.* at 326 [citations omitted and emphasis added]).

The arbitrator determined that the dispute fell within the scope of article twenty of the CBA. She found that the principal’s decisionmaking process was arbitrary and capricious. These interpretations and factual findings appear highly debatable on this record; however, whether we agree with the arbitrator is beside the point. Further, the Board may not revive what is, in actuality, a challenge to arbitrability in another guise. By submitting to arbitration, the Board ran the risk that the arbitrator would find Project Read covered under *some* provision of the CBA, as she did, notwithstanding the Board’s position that Project Read positions were outside the agreement’s scope.

Having determined that the selection process for Project Read was encompassed within article twenty, the arbitrator had the authority under article twenty-two to find that the Board’s exercise of its discretion under this provision was arbitrary and capricious, and to fashion an appropriate remedy. In finding that the arbitrator had “couched her analysis of the case in procedural terms” but that her decision was really “directed at the substantive grounds on which the selection was made” (298 AD2d at 66), the Appellate Division went beyond the face of the award and substituted its judgment for the arbitrator’s. This was error.

Accordingly, the order of the Appellate Division should be reversed, with costs, and the order and judgment of Supreme Court reinstated.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSEN-
BLATT and GRAFFEO concur.

Order reversed, etc.

[801 NE2d 840, 769 NYS2d 464]

In the Matter of EDWARD A. ZELINSKY et al., Appellants, v TAX
APPEALS TRIBUNAL OF THE STATE OF NEW YORK et al.,
Respondents.

Argued October 15, 2003; decided November 24, 2003

SUMMARY

APPEAL, on constitutional grounds, from a judgment of the Appellate Division of the Supreme Court in the Third Judicial Department, entered December 5, 2002 in a proceeding pursuant to CPLR article 78. The Appellate Division (1) confirmed a determination of respondent Tax Appeals Tribunal which sustained notices of deficiency with respect to personal income taxes and denied petitioners' refund request, and (2) dismissed the petition.

Matter of Zelinsky v Tax Appeals Trib. of State of N.Y., 301 AD2d 42, affirmed.

HEADNOTES

**Taxation — Personal Income Tax — Earnings of Nonresidents —
Constitutionality of “Convenience of Employer” Test — Commerce Clause**

1. Respondent's allocation to New York for state personal income tax purposes of the entire salary earned by the nonresident petitioner as a New York law school professor under the “convenience of the employer” test for apportioning the income of nonresidents for work conducted outside New York (20 NYCRR 132.18 [a]) did not violate the Commerce Clause of the United States Constitution. Although petitioner worked part of the time from his home in Connecticut, he did so for his own convenience and not because he was required to do so by his employer. The work he chose to do at home was inextricably intertwined with the law school's business, and did not convert his employer's New York business into an interstate one so as to implicate the Commerce Clause. Even if it were implicated, New York's tax on petitioner's income was fairly apportioned because his entire law school salary was derived from New York sources, and New York provided a host of tangible and intangible protections, benefits, and values to petitioner and his employer. The double taxation on petitioner's income by Connecticut and New York, created by Connecticut's refusal to credit petitioner with all of the nonresident income tax paid to New York, did not invalidate the fairly apportioned New York tax.

**Taxation — Personal Income Tax — Earnings of Nonresidents —
Constitutionality of “Convenience of Employer” Test — Due Process**

2. Respondent's allocation to New York for state personal income tax purposes of the entire salary earned by the nonresident petitioner as a New York law school professor under the “convenience of the employer” test for

apportioning the income of nonresidents for work conducted outside New York (20 NYCRR 132.18 [a]) did not violate the Due Process Clause of the United States Constitution. Although petitioner worked part of the time from his home in Connecticut, he did so for his own convenience and not because he was required to do so by his employer. He had a minimum connection to New York by virtue of his employment at a law school in the state sufficient to justify the tax, and the income attributed to New York was rationally related to the protections, opportunities and benefits conferred on him by New York.

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By the Publisher's Editorial Staff

AM JUR 2d, State and Local Taxation §§ 408, 428, 507–509.

20 NYCRR 132.18 (a).

NY JUR 2d, Taxation and Assessment §§ 1186–1188, 1190.

ANNOTATION REFERENCE

Validity of municipal ordinance imposing income tax or license upon nonresidents employed in taxing jurisdiction (commuter tax). 48 ALR3d 343.

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POINTS OF COUNSEL

Edward A. Zelinsky, New Haven, Connecticut, and *Doris Zelinsky*, appellants pro se. I. On the facts of this case, the “convenience of the employer” doctrine caused double taxation in violation of both the Commerce Clause’s fair apportionment requirement and the due process prohibition on extraterritorial taxation. (*Complete Auto Tr., Inc. v Brady*, 430 US 274; *Central Greyhound Lines, Inc. v Mealey*, 334 US 653; *Oklahoma Tax Commn. v Jefferson Lines, Inc.*, 514 US 175; *Goldberg v Sweet*, 488 US 252; *Tennessee Gas Pipeline Co. v Urbach*, 96 NY2d 124; *City of New York v State of New York*, 94 NY2d 577; *Allied-Signal, Inc. v Director, Div. of Taxation*, 504 US 768; *Container Corp. of Am. v Franchise Tax Bd.*, 463 US 159; *Asarco Inc. v Idaho State Tax Commn.*, 458 US 307; *Oklahoma Tax Commn. v Chickasaw Nation*, 515 US 450.) II. In sustaining the double tax assessed against petitioner under the employer convenience doctrine, the court below misapplied and disregarded the relevant constitutional decisions. (*Tennessee Gas Pipeline Co. v Urbach*, 96 NY2d 124; *Oklahoma Tax Commn. v Jefferson Lines, Inc.*, 514 US 175; *Matter of Speno v Gallman*, 35 NY2d 256; *Central Greyhound Lines, Inc. v Mealey*, 334 US 653; *Goldberg v*

Sweet, 488 US 252; *Moorman Mfg. Co. v Bair*, 437 US 267; *Curry v McCanless*, 307 US 357; *Matter of Colleary v Tully*, 69 AD2d 922.) III. New York's income tax treatment of nonresident athletes confirms the validity of the taxpayers' constitutional argument and belies the analysis of the court below including the benefits theory. (*Matter of Speno v Gallman*, 35 NY2d 256.) IV. As a matter of policy, the employer convenience doctrine is historically obsolete and economically self-destructive.

Eliot Spitzer, Attorney General, Albany (Julie S. Mereson, Caitlin J. Halligan and Andrew D. Bing of counsel), for Commissioner of Taxation and Finance, respondent. New York's taxation of all of petitioner's income from his New York City law professorship pursuant to the convenience of the employer rule is consistent with the Commerce Clause and the Due Process Clause. (*Brady v State of New York*, 80 NY2d 596, 509 US 905; *New York ex rel. Cohn v Graves*, 300 US 308; *Lawrence v State Tax Commn.*, 286 US 276; *Shaffer v Carter*, 252 US 37; *Oklahoma Tax Commn. v Chickasaw Nation*, 515 US 450; *International Harvester Co. v Wisconsin Dept. of Taxation*, 322 US 435; *Travis v Yale & Towne Mfg. Co.*, 252 US 60; *Curry v McCanless*, 307 US 357; *Matter of Speno v Gallman*, 35 NY2d 256; *Matter of Phillips v New York State Dept. of Taxation & Fin.*, 267 AD2d 927, 94 NY2d 763.)

Michael A. Cardozo, Corporation Counsel, New York City (Rita D. Dumain and Robert J. Firestone of counsel), for City of New York, amicus curiae. The State can tax all of petitioner's salary derived from his employment at Cardozo Law School, regardless of whether he takes work home for his personal convenience. (*Armco, Inc. v Hardesty*, 467 US 638; *Austin v New Hampshire*, 420 US 656; *Oklahoma Tax Commn. v Chickasaw Nation*, 514 US 450; *Quill Corp. v North Dakota*, 504 US 298; *Moorman Mfg. Co. v Bair*, 437 US 267; *Hans Rees' Sons v North Carolina ex rel. Maxwell*, 283 US 123; *Wisconsin v J.C. Penney Co.*, 311 US 435; *American Trucking Assns., Inc. v Scheiner*, 483 US 266; *West Lynn Creamery, Inc. v Healy*, 512 US 186.)

Richard Blumenthal, Attorney General, Hartford, Connecticut (Jonathon L. Ensign of counsel), for Richard Blumenthal, Attorney General of the State of Connecticut, amicus curiae. I. As a constitutional matter, Connecticut, the state of residence, has primary and plenary taxing authority over the income earned by its residents from services performed by them in Connecticut. II. The Commerce Clause requires that income taxes be

fairly apportioned so as to avoid multiple taxation. (*Central Greyhound Lines, Inc. v Mealey*, 334 US 653; *Commonwealth Edison Co. v Montana*, 453 US 609; *Complete Auto Tr., Inc. v Brady*, 430 US 274.) III. The Due Process Clause requires that income taxes be fairly apportioned to prevent the extraterritorial taxation of nonresidents on income earned outside the borders of the taxing state. (*Allied-Signal, Inc. v Director, Div. of Taxation*, 504 US 768; *Container Corp. of Am. v Franchise Tax Bd.*, 463 US 159; *Asarco Inc. v Idaho State Tax Commn.*, 458 US 307.)

McDermott, Will & Emery, New York City (Peter L. Faber of counsel), for The Partnership for New York City, amicus curiae. I. The convenience of the employer test makes employment tax withholding for nonresident workers impossible, because a single day in New York can result in 100% New York taxation, regardless of where services are actually performed. (*Shaffer v Carter*, 252 US 37; *Matter of Burke v Bragalini*, 10 AD2d 654; *Matter of Burke v Murphy*, 33 AD2d 581; *Matter of Carpenter v Chapman*, 276 App Div 634; *Matter of Fass v Tax Commn. of State of N.Y.*, 68 AD2d 977, 50 NY2d 932; *Matter of Kitman v State Tax Commn.*, 92 AD2d 1018; *Matter of Simms v Procaccino*, 47 AD2d 149; *Matter of Tuohy v Procaccino*, 51 AD2d 630; *Matter of Speno v Gallman*, 35 NY2d 256.) II. Applying the convenience of the employer test to nonresidents with a principal place of business outside New York may result in taxing income out of all proportion to the worker's contacts with, and benefits from, New York State in violation of the United States Constitution. (*Shaffer v Carter*, 252 US 37; *Hans Rees' Sons v North Carolina ex rel. Maxwell*, 283 US 123; *Matter of British Land [Md.] v Tax Appeals Trib. of State of N.Y.*, 85 NY2d 139; *Matter of Linsley v Gallman*, 38 AD2d 367; *Harrah Ind. School Dist. v Martin*, 440 US 194; *Matter of Colleary v Tully*, 69 AD2d 922.)

OPINION OF THE COURT

Chief Judge KAYE.

The taxpayer, a professor at Cardozo School of Law in New York City, contends that New York State may not constitutionally tax the entirety of his income because he performed some of his work at his home in Connecticut. We disagree and uphold the challenged tax.

I.

During the academic semesters in 1994 and 1995, petitioner-taxpayer commuted to New York three days each work week to

teach his classes and meet with students. On the other two days, he stayed at home, where he prepared examinations, wrote student recommendations, and conducted scholarly research and writing. When school was not in session, and during his sabbatical leave in the fall semester of 1995, he worked exclusively at home.

On the 1994 and 1995 New York State nonresident income tax returns filed jointly by the taxpayer and his wife,¹ he apportioned to New York the percentage of his total salary that reflected the number of days he commuted to the law school, allocating the remainder to Connecticut. The New York State Department of Taxation and Finance issued notices of deficiency for both years, maintaining that the entire law school salary was subject to taxation by New York. Applying the “convenience of the employer” test, the Department determined that the days that the taxpayer worked at his Connecticut residences should be counted as New York work days because he stayed at home for his own convenience and was not obligated by his employer to work outside New York. The portion of his salary that he allocated to the days he worked at home was also taxed by Connecticut, which did not provide a credit for the taxes assessed by New York.

Petitioner contested the deficiencies and also sought a refund for taxes paid on salary earned during his sabbatical leave, which he had forgotten to allocate to Connecticut. He claimed, as he does now, that application of the convenience of the employer test to him, resulting in New York’s taxation of salary earned on the days he worked at home, violates the Commerce and Due Process Clauses of the Federal Constitution. An Administrative Law Judge rejected those constitutional challenges, as did the Tax Appeals Tribunal. The taxpayer then commenced an article 78 proceeding in the Appellate Division, pursuant to Tax Law § 2016. The Appellate Division confirmed the administrative determination and dismissed the petition. We now affirm.

II.

Although a state may tax all the income of its residents, even income earned outside the taxing jurisdiction, it may constitutionally tax nonresidents only on their income derived from

1. Because of the joint return, she too is named as a petitioner in this proceeding, but her income is not relevant to this appeal.

sources within the state (*see Shaffer v Carter*, 252 US 37, 57 [1920]). In New York, the income of nonresidents is thus taxed by the State if it is “derived from or connected with New York sources” (*see* Tax Law § 601 [e] [1]; § 631 [a] [1]).² New York source income includes income attributable to a business, trade, profession or occupation carried on in this state (*see* Tax Law § 631 [b] [1] [B]). When a nonresident works partly in New York and partly in another state, the New York source income must be determined by apportionment and allocation according to regulations of the Commissioner of Taxation and Finance (*see* Tax Law § 631 [c]).

The Commissioner’s regulations generally provide that if a nonresident employee performs services for an employer both within and without New York State, the portion of his or her income derived from New York sources, and thus apportioned and allocated to New York, consists of the ratio of total days worked in New York to total days worked both in and out of the state (*see* 20 NYCRR 132.18 [a]). Such apportionment and allocation, however, are limited by the convenience of the employer test, which states that “any allowance claimed for days worked outside New York State must be based upon the performance of services which of necessity, as distinguished from convenience, obligate the employee to out-of-state duties in the service of his employer” (20 NYCRR 132.18 [a]).³ Accordingly, nonresidents employed in New York who work at home when not required to do so by their employers must treat those days as if they had been present at their workstation in New York, resulting in New York source income. That is the proposition being tested by the present appeal.

III.

Although the dormant Commerce Clause limits the power of states to erect barriers against interstate trade, a challenged tax will generally satisfy constitutional requirements if it “is applied to an activity with a substantial nexus with the taxing State, is fairly apportioned, does not discriminate against interstate commerce, and is fairly related to the services provided by the State” (*Complete Auto Tr., Inc. v Brady*, 430 US 274, 279 [1977]).

2. New York residents, by contrast, are taxed on their worldwide income (*see* Tax Law § 611 [a]; § 612 [a]; Internal Revenue Code [26 USC] § 61 [a]; § 62 [a]).

3. The “convenience of the employer” would therefore more aptly be called the “necessity of the employer” test.

Here, the taxpayer challenges only the second prong of this four-part test—that the tax be fairly apportioned—conceding that the remaining three criteria are met. The central purposes of the fair apportionment requirement are “to ensure that each State taxes only its fair share of an interstate transaction” (*Goldberg v Sweet*, 488 US 252, 260-261 [1989]) and to “minimize the likelihood that an interstate transaction will be improperly burdened by multiple taxation” (*Tennessee Gas Pipeline Co. v Urbach*, 96 NY2d 124, 133 [2001]).

A tax is fairly apportioned if it is both internally and externally consistent. To be internally consistent, the tax must be structured so that if every state were to impose an identical tax, no multiple taxation would result. Here, the taxpayer concedes that if Connecticut were to adopt the convenience of the employer test, he would not be subject to double taxation, because in that case Connecticut, after initially taxing the worldwide income of its resident, would provide a credit for the taxes paid to New York for the days he worked at home for his own convenience. His sole claim, therefore, is that the challenged tax is not externally consistent.

External consistency looks “to the economic justification for the State’s claim upon the value taxed, to discover whether a State’s tax reaches beyond that portion of value that is fairly attributable to economic activity within the taxing State. . . . [T]he threat of real multiple taxation . . . may indicate a State’s impermissible overreaching” (*Oklahoma Tax Commn. v Jefferson Lines, Inc.*, 514 US 175, 185 [1995] [internal citations omitted]). External consistency is “essentially a practical inquiry” (*Goldberg*, 488 US at 264) for determining “whether the State has taxed only that portion of the revenues from the interstate activity which reasonably reflects the in-state component of the activity being taxed” (*id.* at 262). No particular apportionment formula or method need be used to satisfy constitutional requirements, “and when a State has chosen one, an objecting taxpayer has the burden to demonstrate ‘by clear and cogent evidence’ that ‘the income attributed to the State is in fact out of all appropriate proportions to the business transacted . . . in that State, or has led to a grossly distorted result’ ” (*Jefferson Lines*, 514 US at 195, quoting *Moorman Mfg. Co. v Bair*, 437 US 267, 274 [1978] [other internal quotation marks omitted]).

IV.

In applying these principles, we need decide only whether the convenience of the employer test is constitutional as applied to the facts of this case.

The convenience test was originally adopted to prevent abuses arising from commuters who spent an hour working at home every Saturday and Sunday and then claimed that two sevenths of their work days were non-New York days and that two sevenths of their income was thus non-New York income, and either free of tax (if the state of their residence had no income tax) or subject to a lower rate than New York's.⁴ In the present case, the taxpayer's efforts to reduce the amount of tax owed to New York on his New York source income earned during the work week raise similar concerns.⁵

We note at the outset that many busy professionals, at the conclusion of a full day, routinely bring work home for the evenings or weekends. Even when undertaken by an out-of-state commuter such as petitioner, this work cannot transform employment that takes place wholly within New York into an interstate business activity subject to the Commerce Clause. Cardozo Law School provides educational services to its students in New York City, which is where the taxpayer performs the primary duties of his occupation—teaching classes and meeting with students. The work he chooses to do at home is thus inextricably intertwined with the business of his New York law school, and cannot convert his employer's New York business into an interstate one when Cardozo did not employ him to carry out any of the school's business activities in Connecticut.

The taxpayer's reliance on *City of New York v State of New York* (94 NY2d 577 [2000]) is therefore misplaced. In that case, we rejected the claim that a tax on out-of-state commuters did

4. Of course, in the absence of the convenience test, opportunities for fraud are great and administrative difficulties in verifying whether an employee has actually performed a full day's work while at home are readily apparent.

5. We reject his claim that the convenience test no longer has any justifiable basis because Connecticut has since 1991 imposed an income tax. Insofar as the test "serves to protect the integrity of the apportionment scheme by including income as taxable" when the income results from services derived from New York sources but performed out-of-state "to effect a subterfuge" (*Matter of Colleary v Tully*, 69 AD2d 922, 923 [3d Dept 1979]), the same incentive for tax avoidance exists when, as here, a neighboring state imposes tax at a lower rate than New York as when the state imposes no income tax at all.

not implicate the Commerce Clause, explaining that the commute of tens of thousands of out-of-state residents “into New York City on a daily basis, earning and spending part of their income in New York City, while paying the commuter tax” clearly impacted interstate commerce (94 NY2d at 597). The critical distinction between *City of New York* and the instant case, however, is that in *City of New York*, the tax at issue was imposed on the activity of commuting, not on the individual as a commuter. Here, the tax is imposed on income derived from the activity of teaching, not on the individual who is reading in his study in Connecticut.⁶

Nor can petitioner’s circumstances be likened to the bus in *Central Greyhound Lines of N.Y. v Mealey* (334 US 653 [1948]), where the Supreme Court struck down an unapportioned gross receipts tax imposed on the sale of transportation services between points within New York because the bus traveled in large part over routes using out-of-state highways. In *Central Greyhound*, the risk of multiple taxation imposed by each of the various states through which the bus of necessity passed unfairly burdened interstate commerce, which was clearly impacted by the interstate travel of the bus. Here, by contrast, all of petitioner’s teaching is accomplished in New York and his voluntary choice to bring auxiliary work home to Connecticut cannot transform him into an interstate actor.

[1] “The dormant Commerce Clause protects markets and participants in markets, not taxpayers as such” (*General Motors Corp. v Tracy*, 519 US 278, 300 [1997]). The taxpayer’s crossing of state lines to do his work at home simply does not impact upon any interstate market in which residents and

6. The taxpayer also maintains that he is a “telecommuter” who, pursuant to *Matter of Allen v Commissioner of Labor* (100 NY2d 282 [2003]), may be taxed only according to the location in which he is physically present on any given day. *Allen*, however, involved neither taxes, nor the Commerce Clause, nor apportionment. Rather, in *Allen* we analyzed whether an employee physically present in Florida who “telecommuted” to New York by linking her laptop computer to her employer’s Internet connection over telephone lines was “localized” in New York within the meaning of the Unemployment Insurance Law. In concluding that she was not, we emphasized that the relevant uniform statute contained a definition of “employment” that served in part to advance the purpose of allocating all the employment of an individual to one state and not to divide it “among the several States in which he might perform services” (*Matter of Mallia*, 299 NY 232, 238 [1949]; see also Labor Law § 511). Here, by contrast, the Commerce Clause requires that the tax be fairly apportioned among the various states from which one’s income is derived.

nonresidents compete so as to implicate the Commerce Clause. On these facts, the convenience of the employer test neither unfairly burdens interstate commerce nor discriminates against the free flow of goods in the marketplace. Nor does it result in differential treatment benefitting in-state interests at the expense of out-of-state interests. Rather, the convenience test serves merely to equalize tax obligations among residents and nonresidents, preventing nonresidents from manipulating their New York tax liability by choice of auxiliary work location in a manner unavailable to similarly situated New York resident employees. Since a New York resident would not be entitled to any special tax benefits for similar work performed at home, neither should a nonresident (*see Matter of Speno v Gallman*, 35 NY2d 256, 259 [1974]).

Allowing this taxpayer to allocate his income to Connecticut when he stays home to do his work in connection with his teaching activity would enable him to avoid paying taxes that his colleagues who do that work at home in New York—or at the law school—pay. The Constitution does not require that a nonresident who does not opt for the personal convenience of taking work home rather than traveling into work every day be taxed at a higher effective tax rate than one who does. The State need not subsidize such personal convenience, while at the same time discouraging commuting into New York City and facilitating erosion of the tax base.

Even presuming that petitioner's work at home sufficiently impacts upon interstate business activity as to implicate the Commerce Clause, because the entirety of the taxpayer's salary is derived from New York sources, New York's tax on his nonresident income is fairly apportioned. As a law professor, the taxpayer is primarily engaged in the business of teaching. It is for this that Cardozo hired him and for this that he is paid. It is thus readily apparent that he is not paid his salary in exchange for working five days per week, or three, or seven. Nor is he paid an hourly or daily wage. As long as his work is completed, he receives his full salary, whether he completes his work during the three days he comes to the office, or at home, or on the weekend. If he finishes all his work during the three days he commutes to the law school, and stays home without working on the other two days, he is paid no less. And if he ends up working five days a week in addition to every weekend, he is paid no more. From the perspective of his employer, as long as he performs his teaching responsibilities as scheduled, it matters not when or where he performs his ancillary functions.

The taxpayer is able to earn his salary—all of it—because of the benefits he receives every day from New York. He benefits directly from an employment opportunity and an office here. He benefits from a salary on every day that he works, which he is able to earn entirely within this state if he so chooses. As the Appellate Division noted, even his scholarly writings, drafted at home, attach prominence to his position as a professor at Cardozo Law School. New York thus provides a host of tangible and intangible protections, benefits and values to the taxpayer and his employer, including police, fire and emergency health services, and public utilities. Petitioner’s election to absent himself from the locus of his New York employment does not diminish what New York provides in order to enable him to earn that income. New York may require contributions from him because he thus “realiz[ed] current pecuniary benefits under the protection of the government” (*Shaffer v Carter*, 252 US 37, 51 [1920]), and the tax imposed need not “bear an exact relation to the services actually provided to the individual taxpayer” (*Matter of Tamagni v Tax Appeals Trib.*, 91 NY2d 530, 544 [1998]).

Nevertheless, petitioner maintains that a constitutional violation is evident because his income has been taxed by two jurisdictions. But the mere potential for or actual existence of double taxation does not automatically transgress the Commerce Clause if, as here, the challenged tax is in fact fairly apportioned. For as the Tax Appeals Tribunal recognized, it was his own choice to allocate his income that created the threat of double taxation, not the convenience rule.

In *Tamagni*, we upheld the application of New York’s resident income tax to statutory residents of this state who, as domiciliaries of New Jersey, were subject to resident income tax in New Jersey on certain income also taxed by New York. Since each tax was permissibly imposed under a different theory—New York validly taxed its statutory residents and New Jersey validly taxed its domiciliaries—the New York tax did not violate the Commerce Clause, even though its effect was double taxation. Similarly, in the instant case, New York has validly taxed the income of a nonresident derived from New York sources, while Connecticut has, as it may, taxed the income of its resi-

dent.⁷ “The multiple taxation placed upon interstate commerce by such a confluence of taxes is not a structural evil that flows from either tax individually, but it is rather the accidental incident of interstate commerce being subject to two different taxing jurisdictions” (*Jefferson Lines*, 514 US at 192 [citations and internal quotation marks omitted]).

Since the New York tax is fairly apportioned, the resultant double taxation does not serve to invalidate the tax. For while a state may indeed constitutionally tax the worldwide income of its residents, it will typically provide a credit for income tax paid to another state—as New York does. Here, it is Connecticut’s refusal to provide a credit to its resident for all of the nonresident income tax that the taxpayer paid to New York that has created the threat of double taxation. It is not, however, the “purpose of the Commerce Clause to protect state residents from their own state taxes” (*Goldberg*, 488 US at 266).

Since the New York tax imposed did not “reach[] beyond that portion of value . . . fairly attributable to economic activity within the taxing State” (*Jefferson Lines*, 514 US at 185), the taxpayer has failed to demonstrate by clear and cogent evidence that the income attributed to New York was in fact out of all appropriate proportion to the business transacted here or has led to a grossly distorted result (*see id.* at 195).

V.

The Due Process Clause places two restrictions on a state’s power to tax income generated by interstate activities. First, it “requires some definite link, some minimum connection, between a state and the person, property or transaction it seeks to tax” (*Quill Corp. v North Dakota*, 504 US 298, 306 [1992] [citation omitted]). Second, the “income attributed to the State for tax purposes must be rationally related to values connected with the taxing State” (*Moorman*, 437 US at 273 [citation and internal quotation marks omitted]). A state, therefore, may not tax value earned outside its borders (*see e.g. Allied-Signal, Inc. v Director, Div. of Taxation*, 504 US 768, 777 [1992]). Rather, the tax imposed must “bear[] fiscal relation” to “opportunities which [the state] has given, to protection which it has afforded, to benefits which it has conferred by the fact of being an orderly,

7. Connecticut may and does tax petitioner’s income because he is its resident, not because two out of five of his work days were allegedly sourced in Connecticut.

civilized society. . . . The simple but controlling question is whether the state has given anything for which it can ask return” (*Wisconsin v J.C. Penney Co.*, 311 US 435, 444 [1940]).

[2] Here, petitioner—both because of his physical presence in New York and because he has “purposefully avail[ed] [him]self of the benefits of an economic market in the forum State” (*Quill*, 504 US at 307)—clearly has a “minimum connection” to New York by virtue of his employment at Cardozo School of Law. Moreover, based on the same protections, opportunities and benefits conferred on him by New York as to satisfy the Commerce Clause, the convenience of the employer test as applied here does not tax “extraterritorial values” (*Container Corp. of Am. v Franchise Tax Bd.*, 463 US 159, 164 [1983] [internal quotation marks omitted]). Rather, as the Appellate Division recognized, an ample foundation to justify the tax is provided by the host of tangible and intangible benefits flowing directly and indirectly to petitioner from New York, the location of the law school that supplies his total relevant income.

Accordingly, the judgment of the Appellate Division should be affirmed, with costs.

Judges G.B. SMITH, CIPARICK, ROSENBLATT, GRAFFEO and READ concur.

Judgment affirmed, with costs.

[801 NE2d 821, 769 NYS2d 445]

TWIN LAKES DEVELOPMENT CORP., Appellant, v TOWN OF MONROE, Respondent.

Argued October 21, 2003; decided November 20, 2003

SUMMARY

APPEAL, on constitutional grounds, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered December 23, 2002. The Appellate Division (1) affirmed an order of the Supreme Court, Orange County (John K. McGuirk, J.), which had granted defendant's motion for summary judgment dismissing the complaint and denied plaintiff's cross motion for summary judgment, and (2) remanded the matter to Supreme Court for the entry of a judgment declaring that Local Law No. 3 (2000) and Local Law No. 7 (1991) of the Town of Monroe are legal and constitutional.

Twin Lakes Dev. Corp. v Town of Monroe, 300 AD2d 573, affirmed.

HEADNOTES

Municipal Corporations — Zoning — Application for Subdivision Approval — Constitutionality of Fee in Lieu of Parkland Dedication

1. The requirement of Monroe Town Code § 26B-2 (A) (7) that certain subdivision applicants pay a set fee per subdivision lot in lieu of dedicating a portion of their property for recreational purposes did not equate to an unconstitutional taking of property without just compensation (*see* US Const 5th Amend) with respect to plaintiff's residential subdivision project. When enacting the current fees, defendant Town made explicit findings that the demand for recreational facilities exceeded existing resources and that continued subdivision development, paired with the increasing cost of land, would exacerbate the problem. The fees were required to be deposited into a trust fund used strictly for recreational purposes (*see* Town Law § 277 [4] [c]). An essential nexus existed between the stated purpose of the condition and the fee. Moreover, defendant's findings regarding plaintiff's subdivision application reflected an individualized consideration of the proposed subdivision's impact, and satisfied Town Law § 277 (4) (c) requirements for determining whether parkland dedication is appropriate.

Municipal Corporations — Zoning — Application for Subdivision Approval — Constitutionality of Fee in Lieu of Parkland Dedication

2. Plaintiff developer's due process rights were not violated by the imposition of per-lot recreation fees in connection with its residential subdivision project under Monroe Town Code § 26B-2 (A) (7) without a hearing to review the reasonableness of the fee amount. The Town Code provision requires that certain subdivision applicants pay a set fee per subdivision lot in lieu of

dedicating a portion of their property for recreational purposes. The per-lot fee was neither a special assessment nor a tax, but rather was generally applicable to any property owner seeking to divide his or her property. Defendant adopted the local law through a legislative process, and revisited the fee schedule on a yearly basis, at which time concerned property owners could voice objections.

Municipal Corporations — Zoning — Application for Subdivision Approval — Constitutionality of Consultant Fee Payment Requirement

3. The requirement of Monroe Town Code § 26B-2 (A) (11) (a) that certain subdivision applicants pay the consulting fees incurred by defendant Town in processing their residential subdivision applications did not violate due process in connection with plaintiff developer's application on the ground that no opportunity existed to challenge the reasonableness of the fees. Under the Town Code provision, applicants are required to reimburse defendant only for fees actually expended. The Code provision expressly limits the fees to those that are reasonable, and defendant interprets the fees as subject to the audit provisions of Town Law §§ 118 and 119. Moreover, plaintiff did not allege that the fees were, in fact, unreasonable.

TOTAL CLIENT-SERVICE LIBRARY® REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Constitutional Law § 588; Dedication §§ 10, 18, 26, 28, 29; State and Local Taxation § 117.

McKINNEY'S, Town Law § 277 (4) (c).

NY JUR 2d, Buildings, Zoning, and Land Controls §§ 59, 73, 75, 81, 89-91; Constitutional Law § 420; Dedication § 42; Taxation and Assessment §§ 730, 731, 968.

NEW YORK REAL PROPERTY SERVICE §§ 46:41, 46:48.

ANNOTATION REFERENCE

See ALR Index under Dedication; Subdivisions; Taxes; Zoning.

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POINTS OF COUNSEL

James G. Sweeney, P.C., Goshen (*James G. Sweeney* of counsel), for appellant. I. The Town has no statutory power to impose a generic parkland or recreation "fee." (*Gulest Assoc. v Town of Newburgh*, 25 Misc 2d 1004, 15 AD2d 815; *Jenad, Inc. v Village of Scarsdale*, 23 AD2d 784, 18 NY2d 78; *Matter of Bays-*

water Realty & Capital Corp. v Planning Bd. of Town of Lewisboro, 76 NY2d 460.) II. The Town's local law violates the "rough proportionality" test of *Dolan v City of Tigard* (512 US 374 [1994]). (*Weingarten v Town of Lewisboro*, 144 Misc 2d 849, 160 AD2d 668, 77 NY2d 926; *Nollan v California Coastal Commn.*, 483 US 825.) III. The legislative versus administrative distinction as affecting *Dolan's* reach is explained away. (*Parking Assn. of Ga., Inc. v City of Atlanta*, 515 US 1116; *Jenad, Inc. v Village of Scarsdale*, 18 NY2d 78.) IV. The traditional presumption of constitutionality does not shield Local Law No. 3 (2000) of the Town of Monroe. The courts below erroneously thought it did. (*Village of Euclid v Ambler Realty Co.*, 272 US 365; *Dolan v City of Tigard*, 512 US 374.) V. Local Law No. 3 (2000) of the Town of Monroe violates notions of procedural due process and is consequently unconstitutional. (*Stuart v Palmer*, 74 NY 183; *Central of Ga. Ry. Co. v Wright*, 207 US 127; *Garden Homes Woodlands Co. v Town of Dover*, 95 NY2d 516; *Roosevelt Hosp. v Mayor, Alderman & Commonalty of City of N.Y.*, 84 NY 108; *Dolan v City of Tigard*, 512 US 374; *Board of Regents of State Colls. v Roth*, 408 US 564; *Perry v Sindermann*, 408 US 593; *RRI Realty Corp. v Incorporated Vil. of Southampton*, 870 F2d 911; *AA&M Carting Serv. v Town of Hempstead*, 183 AD2d 738; *People v Brooklyn Garden Apts.*, 283 NY 373.) VI. Local Law No. 7 (1991) of the Town of Monroe is illegal as being an unconstitutional denial of due process in violation of the Fourteenth Amendment. (*Jewish Reconstructionist Synagogue of N. Shore v Incorporated Vil. of Roslyn Harbor*, 40 NY2d 158; *Home Bldrs. Assn. of Cent. N.Y. v Town of Onondaga*, 267 AD2d 973; *Matter of Wright v Town of La Grange*, 181 Misc 2d 625; *Compañía Gen. de Tabacos de Filipinas v Collector of Internal Revenue*, 275 US 87.) VII. The "audit" provisions of Town Law §§ 118 and 119 do not rescue Local Law No. 7 (1991) of the Town of Monroe from illegality. (*Matter of Wildlife Assoc. v Town Bd. of Town of Southampton*, 141 AD2d 651; *Bradford v County of Suffolk*, 257 App Div 777, 283 NY 503; *Bloom v Mayor of City of N.Y.*, 35 AD2d 92, 28 NY2d 952.)

Drake, Sommers, Loeb, Tarshis, Catania & Liberth, PLLC, Newburgh (*Stephen J. Gaba* of counsel), for respondent. I. A town board may establish the amount to be paid in lieu of parkland under Town Law § 277 (4) through a schedule of fixed perlot charges. (*Jenad, Inc. v Village of Scarsdale*, 18 NY2d 78; *Matter of Bayswater Realty & Capital Corp. v Planning Bd. of Town of Lewisboro*, 76 NY2d 460; *Weingarten v Town of Lewisboro*, 144 Misc 2d 849, 160 AD2d 668, 77 NY2d 926; *Dolan v*

City of Tigard, 512 US 374.) II. The charge of \$1,500 per lot imposed upon plaintiff in lieu of parkland did not constitute an unconstitutional taking of plaintiff's property without just compensation nor did it violate due process. (*Manocherian v Lenox Hill Hosp.*, 84 NY2d 385; *Jenad, Inc. v Village of Scarsdale*, 18 NY2d 78; *Matter of Bayswater Realty & Capital Corp. v Planning Bd. of Town of Lewisboro*, 76 NY2d 460; *Briarcliff Assoc. v Town of Cortlandt*, 272 AD2d 488; *Bonnie Briar Syndicate v Town of Mamaroneck*, 94 NY2d 96; *Nollan v California Coastal Commn.*, 483 US 825; *Dolan v City of Tigard*, 512 US 374; *Weingarten v Town of Lewisboro*, 144 Misc 2d 849, 160 AD2d 668, 77 NY2d 926; *Friends of Animals v Associated Fur Mfrs.*, 46 NY2d 1065; *AA&M Carting Serv. v Town of Hempstead*, 183 AD2d 738.) III. A municipality may require applicants for subdivision approval to reimburse it for consultants' fees incurred by the planning board in the course of processing the subdivision application. (*Jewish Reconstructionist Synagogue of N. Shore v Incorporated Vil. of Roslyn Harbor*, 40 NY2d 158; *Matter of Coates v Planning Bd. of Inc. Vil. of Bayville*, 58 NY2d 800; *Suffolk County Bldrs. Assn. v County of Suffolk*, 46 NY2d 613; *Home Bldrs. Assn. of Cent. N.Y. v Town of Onondaga*, 267 AD2d 973; *Matter of Wildlife Assoc. v Town Bd. of Town of Southampton*, 141 AD2d 651; *Consolidated Edison Co. of N.Y. v Town of Red Hook*, 90 AD2d 803, 60 NY2d 99.)

OPINION OF THE COURT

GRAFFEO, J.

The Town of Monroe requires applicants for residential subdivision permits to pay fees in lieu of dedicating a portion of their property for recreational purposes and to reimburse the Town for consulting costs incurred in processing the application. In this declaratory judgment action, plaintiff claims that these requirements equated to a taking of its property without just compensation and violated due process. Because plaintiff has failed to establish any constitutional infirmities, we affirm the Appellate Division order granting defendant summary judgment dismissing the complaint.

Plaintiff Twin Lakes Development Corp. is a real estate developer and the owner of a 28-acre parcel in the Town of Monroe. In March 1999, plaintiff applied to the Town Planning Board for approval to subdivide its property into 22 residential lots. The Board considered the application, undertaking a State Environmental Quality Review Act analysis that culminated in a final environmental impact statement. As required by Monroe

Town Code § 26B-2 (A) (11), plaintiff periodically deposited funds into an escrow account from which the Town paid consulting costs it incurred in conjunction with the application.

When the review was completed, the Board adopted a “Resolution of Conditional Final Approval,” imposing several conditions on plaintiff. In particular, citing section 277 of the Town Law, the Board mandated a “payment in lieu of parkland dedication to the Town of Monroe” for each of the lots created and reimbursement for any outstanding consulting fees. The “in lieu of” payments are set forth in Monroe Town Code § 26B-2 (A) (7), which establishes a \$1,500 per-lot fee for proposed subdivisions of five or more lots where the Board has determined parkland dedication is not appropriate.

To obtain the necessary approvals to proceed with its project, plaintiff paid \$33,000 for “in lieu of parkland” fees ($\$1,500 \times 22$ lots) and a total of \$22,000 in consulting costs, all apparently “under protest.” However, plaintiff did not bring a proceeding challenging the Board’s determination that the project fell within the parkland dedication provision or request an audit of the consulting fees the Town contended it had incurred. Instead, in February 2001, plaintiff commenced this declaratory judgment action seeking to invalidate the two fee provisions on constitutional grounds and to obtain a refund of the fees it paid, as well as attorney’s fees. The Town moved, and plaintiff cross-moved, for summary judgment. Supreme Court granted the Town’s motion, dismissing the complaint, and the Appellate Division affirmed. Plaintiff now appeals as of right (CPLR 5601 [b] [1]) and we also affirm.

Per-Lot Recreation Fee

Town Law § 277 (4) permits a town planning board, where it has made necessary preliminary findings, to require that developers of residential subdivisions include in their plans land for parks or other recreational purposes. “The section represents a legislative reaction to the threatened loss of open land available for park and recreational purposes resulting from the process of development in suburban areas and the continuing demands of the growing populations in such areas for additional park and recreational facilities” (*Matter of Bayswater Realty & Capital Corp. v Planning Bd. of Town of Lewisboro*, 76 NY2d 460, 468 [1990] [discussing earlier version of statute]). Specifically, the statute conditions a town’s power to mandate a parkland set-aside on

“a finding [by the planning board] that a proper case exists for requiring that a park or parks be suitably located for playgrounds or other recreational purposes within the town. Such findings shall include an evaluation of the present and anticipated future needs for park and recreational facilities in the town based on projected future population growth to which the particular subdivision plat will contribute” (Town Law § 277 [4] [b]).

The statute also provides that a planning board may require a monetary payment in an amount to be established by the town board if the planning board determines that, although the subdivision is a “proper case” for requiring park dedication, “a suitable park or parks of adequate size to meet the requirement cannot be properly located on such subdivision plat” (*id.* ¶ [c]). The town must deposit any monies paid “in lieu of” a parkland set-aside into a trust fund for use exclusively for recreational purposes (*see id.*).

As previously noted, the Monroe Town Code currently sets the “in lieu of” fee at \$1,500 per lot for subdivisions consisting of five or more lots (*see* Monroe Town Code § 26B-2 [A] [7] [b]). The Town’s graduated fee schedule was fixed by a 2000 amendment to the Code that increased the fees based, in part, on the “rapid growth” in the Town’s population over the previous 15 years (Local Law No. 3 [2000] of Town of Monroe § 1). The Town Board justified the fee increase by explaining that “existing facilities for active recreation are severely limited and are inadequate to accommodate the needs of its residents,” and that the Board’s efforts to address increased demand for recreational facilities resulting from the population growth were “hampered by the constraints of the unavailability of suitable lands and upward-spiraling land costs” (*id.*). The additional fee income would enable the Town to “plan for the recreational needs of the residents in these new subdivisions and site plans and ameliorate the additional strain these new residents place on the already limited park and recreational facilities of the Town” (*id.*).

Plaintiff argues that the \$1,500 per-lot recreation fee constitutes an unconstitutional taking because the amount of the fee is not based on an “individuated assessment” of the recreational needs generated by its subdivision plan and thus is not roughly proportional to those needs. Plaintiff further contends that the Code violates procedural due process because applicants cannot

challenge the amount of the fee as excessive in relation to a particular subdivision plan. Plaintiff therefore challenges the Town's authority to impose a fixed, per-lot recreation fee on developers in lieu of requiring developers to set aside dedicated parkland.

The Takings Clause of the Fifth Amendment of the United States Constitution—applicable to states through the Fourteenth Amendment—provides, “nor shall private property be taken for public use, without just compensation” (*see Dolan v City of Tigard*, 512 US 374, 383-384 [1994]). We have observed that the “[e]lementary and strong constitutional principles protect[ing] private property rights . . . evolved to bar Government from forcing some people alone to bear public burdens which, in all fairness and justice, should be borne by the public as a whole” (*Manocherian v Lenox Hill Hosp.*, 84 NY2d 385, 391 [1994], *cert denied* 514 US 1109 [1995] [quoting *Penn Cent. Transp. Co. v City of New York*, 438 US 104, 123 (1978) (internal quotation marks omitted)]).

The United States Supreme Court has developed a standard for evaluating takings claims arising in the “context of exactions—land-use decisions conditioning approval of development on the dedication of property to public use” (*City of Monterey v Del Monte Dunes at Monterey, Ltd.*, 526 US 687, 702 [1999]). A reviewing court must assess whether an “essential nexus” exists between the “legitimate state interest” advanced as the justification for the restriction and the condition imposed on the property owner (*see Dolan*, 512 US at 386 [quoting *Nollan v California Coastal Commn.*, 483 US 825, 837 (1987)]; *Bonnie Briar Syndicate v Town of Mamaroneck*, 94 NY2d 96, 105-106 [1999], *cert denied* 529 US 1094 [2000]). Where such a nexus is present, the “degree of the exactions demanded” must have “the required relationship to the projected impact of [the applicant’s] proposed development” (*Dolan*, 512 US at 388).

In *Dolan*, the Supreme Court analyzed whether a municipality made sufficient findings to support its decision to condition the applicant’s expansion permit on a dedication of property for flood control and recreational purposes. After considering the various standards adopted by states, the Court determined that a “rough proportionality” test would “best encapsulate[] what we hold to be the requirement of the Fifth Amendment” (*id.* at

391).^{*} Thus, although “[n]o precise mathematical calculation is required,” the dedication must be “related both in nature and extent to the impact of the proposed development” (*id.*).

[1] Here, plaintiff failed to demonstrate that the Town’s \$1,500 per-lot fee constitutes a taking. When enacting the current fees, the Town made explicit findings that the demand for recreational facilities exceeded existing resources and that continued subdivision development, paired with the “upward-spiraling land costs,” would exacerbate the problem. Additionally, the statute authorizing the Town to impose recreation fees mandates that fees collected in lieu of parkland set-asides be deposited into a trust fund to be used strictly for recreational purposes (*see* Town Law § 277 [4] [c]). Taken together, these factors clearly establish the essential nexus between the stated purpose of the condition and the fee (*cf. Nollan*, 483 US at 837).

With respect to plaintiff’s application, the Town concluded:

“based on the present and anticipated future need for park and recreational opportunities in the town, and to which the future population of this subdivision will contribute, that parklands should be created as a condition of approval of this subdivision. However, because the lot area and ownership patterns do not suit it to the development of a park suitable to meet the requirements of the site, pursuant to Section 277 of [the] Town Law, the Planning Board requires that the applicant deliver payment in lieu of parkland dedication”

These findings satisfy the requirements of Town Law § 277 (4) (c) and reflect the individualized consideration of the project’s impact contemplated by *Dolan*. Plaintiff identifies no proof in the record to support a contrary conclusion that the \$1,500 per-

^{*} The Supreme Court has recently clarified the reach of the “rough proportionality” standard and concluded that the standard is not applicable to “questions arising where . . . the landowner’s challenge is based not on excessive exactions but on denial of development” (*Del Monte Dunes*, 526 US at 703 [municipality denied a development plan outright]). Here, the parties agree that plaintiff’s challenge to the Town’s per-lot recreation fee exacted in lieu of parkland dedication is governed by *Dolan*’s rough proportionality test. In this case, which involves placing conditions on development as opposed to an outright denial of a subdivision application, applying rough proportionality analysis is consistent with the reasoning of the Supreme Court in *Del Monte Dunes* and with our interpretation of that precedent (*see Bonnie Briar Syndicate*, 94 NY2d at 106-107 [discussing *Del Monte Dunes*’s limitation of the *Dolan* standard to exaction cases]).

lot fee is not roughly proportional to the impact its development would have on the recreational needs of the Town. Moreover, we are unpersuaded that *Dolan* precludes municipalities from establishing fixed fees to ensure that adequate recreational facilities can be provided. In light of plaintiff's heavy burden to rebut the presumption of constitutionality of this law (see e.g. *de St. Aubin v Flacke*, 68 NY2d 66, 76 [1986]; *Lighthouse Shores v Town of Islip*, 41 NY2d 7, 11 [1976]), plaintiff's unsubstantiated claims are insufficient to establish that the fee constitutes a taking.

Plaintiff further cites our holding in *Garden Homes Woodlands Co. v Town of Dover* (95 NY2d 516 [2000]) to support the argument that its due process rights were violated by the imposition of the per-lot recreation fees without a hearing to review the reasonableness of the fee amount. In *Garden Homes*, two municipalities undertook a joint street improvement project and imposed a series of special assessments on property owners within the improvement district to pay for the project. The plaintiff property owner did not receive notice of the proposed assessment and, therefore, did not object to the assessment. When the plaintiff learned that it faced a \$44,800 special assessment, it brought an action that included a challenge to the adequacy of the notice-by-publication method used by one of the municipalities. We held that the municipality's compliance with the notice-by-publication provision of Town Law § 239, which governs the filing of assessment rolls, was insufficient to protect the property owner's right to contest the special assessment before it was imposed (*id.* at 519-520).

Relying on *Jenad, Inc. v Village of Scarsdale* (18 NY2d 78 [1966])—involving another recreation fee—plaintiff reasons that, because an “in lieu of” exaction is not a “general tax,” such an exaction is the equivalent of the special assessment in *Garden Homes*. *Jenad* does not support plaintiff's position. In *Jenad*, which has been partially abrogated by *Dolan* (see 512 US at 389 [declining to adopt *Jenad*'s standard for measuring the sufficiency of the nexus]), we went further than holding that the “in lieu of” fee was not a “general tax” to conclude:

“[t]his is not a tax at all but a reasonable form of village planning for the general community good. . . . This was merely a kind of zoning, like set-back and side-yard regulations, minimum size of lots, etc., and akin also to other reasonable requirements for necessary sewers, water mains, lights, sidewalks,

etc. If the developers did not provide for parks and playgrounds in their own tracts, the municipality would have to do it since it would now be required for the benefit of all the inhabitants” (18 NY2d at 84).

[2] Similarly, the per-lot fee at issue here is neither a special assessment nor a tax. The requirement that developers pay the recreation fee is generally applicable to any Town property owner seeking to divide its property. Furthermore, unlike the property owner in *Garden Homes*, plaintiff can make no claim that it lacked notice of the “in lieu of” fee—a generally applicable land-use law adopted after a public hearing and appearing in the Monroe Town Code. Not only was the law adopted through a public legislative process but also the Town revisits the fee schedule on a yearly basis, at which time concerned property owners can voice objections. Additionally, the Town’s recreation fees were not imposed against an unsuspecting property owner who could be divested of title for failing to pay, but upon a knowing property owner who willingly subjected itself to the fees by instigating the subdivision application process. For all of these reasons, *Garden Homes* is inapposite.

Consulting Fees

The power of the Town to charge “some amount” associated with the consideration of a land-use application is not disputed in this case (see *Suffolk County Bldrs. Assn. v County of Suffolk*, 46 NY2d 613, 619 [1979]). This Court has repeatedly observed that this power is limited by the requirement “that the fees charged be reasonably necessary to the accomplishment of the regulatory program” (*id.* [citing *Jewish Reconstructionist Synagogue of N. Shore v Incorporated Vil. of Roslyn Harbor*, 40 NY2d 158, 163 (1976)]). Plaintiff argues that its due process rights were violated by the requirement that it pay the consulting fees incurred in conjunction with its application, asserting that no opportunity existed to challenge the reasonableness of those fees.

Section 26B-2 (A) (11) (a) of the Monroe Town Code requires an applicant to deposit an escrow with the Town Clerk “to cover the costs being incurred by the town for all consultant services, including but not limited to engineering, planning and legal as well as clerical costs incurred in the processing and reviewing of such application.” The Code further provides that “[t]he Planning Board, in consultation with the applicant, shall compute

the amount of the escrow to be posted with the town. Such amount shall be reasonably related to the costs attendant to the town's review of the application" (§ 26B-2 [A] [11] [i] [1]). Thus, under the challenged provisions, the applicant is required only to reimburse the Town for fees actually expended.

Plaintiff accurately observes that the consulting fee provisions do not include an express audit component providing an applicant with the opportunity to review the fee assessment but cites no authority for the proposition that such a mechanism must be contained within the fee provisions themselves as opposed to elsewhere in the statutory or regulatory scheme. The Code, however, expressly limits the fees that can be exacted to those that are "reasonable" (*see* Monroe Town Code § 26B-2 [A] [11] [a], [i] [1]) and the Town interprets the fees as subject to the audit provisions of Town Law §§ 118 and 119. In addition, uncontradicted proof in the record establishes that (1) the Town pays the same rate for consulting services as it charges applicants; (2) the Planning Board audits vouchers submitted by consultants in the first instance and rejects any excessive or unnecessary charges; and, (3) applicants may inspect consultants' invoices upon request.

[3] Here, plaintiff apparently paid the fees "under protest" but the record contains no indication of the nature of that protest and plaintiff did not request an audit of the fees. Indeed, although plaintiff complains that it has been deprived of an opportunity to contest the consulting fees, it has not alleged that the fees were, in fact, unreasonable. Under these circumstances, plaintiff has failed to establish a due process violation.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSENBLATT and READ concur.

Order affirmed, with costs.

[802 NE2d 131, 769 NYS2d 781]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v BRUCE
McDONALD, Appellant.

Argued October 15, 2003; decided November 24, 2003

SUMMARY

APPEAL, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered July 18, 2002. The Appellate Division affirmed (1) a judgment of the Tompkins County Court (William C. Barrett, J.), which had convicted defendant, upon his plea of guilty, of criminal sale of marihuana in the third degree and criminal possession of a controlled substance in the third degree, and (2) an order of that court which had denied defendant's motion to vacate the judgment of conviction and sentence without a hearing.

People v McDonald, 296 AD2d 13, affirmed.

HEADNOTE

Crimes — Right to Counsel — Effective Representation — Erroneous Advice Regarding Deportation Consequences of Plea

A defense counsel's erroneous advice as to the deportation consequences of a plea agreement may constitute ineffective assistance of counsel under the Federal Constitution, provided there is a reasonable probability that, but for counsel's error, the defendant would not have pleaded guilty and would have insisted on going to trial. Here, however, defendant failed to show that he was prejudiced by his counsel's incorrect advice that, as a long-term United States citizen whose three children were born in the United States, he would not be deported if he pleaded guilty to felony drug charges. In his motion to vacate his judgment of conviction, defendant did not make any factual allegations that he would not have pleaded guilty but for his counsel's error.

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By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 1223–1227.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:1832,
172:1833, 172:1836, 172:1898.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 11:7,
11:10.

NY JUR 2d, Criminal Law §§ 815–818, 824.5, 829.

ANNOTATION REFERENCE

Ineffective assistance of counsel: misrepresentation, or

failure to advise, of immigration consequences of guilty plea—state cases. 65 ALR4th 719.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: effective ineffective /4 attorney counsel /p plea /p deport! immigration

POINTS OF COUNSEL

New York State Defenders Association, Albany (*Alfred O'Connor* of counsel), for appellant. Because defense counsel admittedly told appellant that he faced no risk of deportation by pleading guilty to felony charges when, in fact, the resulting convictions exposed him to mandatory deportation, appellant alleged a legal basis for relief on the ground of ineffective assistance of counsel. As neither the People nor the motion court identified a legitimate factual deficiency in his motion papers concerning the prejudice component of this constitutional claim, appellant has a right to a hearing to prove that his guilty plea was involuntarily induced by his lawyer's ineffective representation. (*United States v Amador-Leal*, 276 F3d 511; *United States v Graham*, 927 F Supp 619; *McMann v Richardson*, 397 US 759; *People v Claudio*, 83 NY2d 76; *Boria v Keane*, 99 F3d 492; *People v Droz*, 39 NY2d 457; *Boykin v Alabama*, 395 US 238; *North Carolina v Alford*, 400 US 25; *Hill v Lockhart*, 474 US 52; *Tollett v Henderson*, 411 US 258.)

George M. Dentes, District Attorney, Ithaca, for respondent. I. Defendant rests this appeal solely on federal constitutional grounds. (*People v Freeland*, 68 NY2d 699.) II. Having submitted no affidavit of his own in support of the postjudgment motion, and having failed to provide any sworn allegations of fact to demonstrate that he would not have pleaded guilty had he known the deportation consequences of his guilty plea, defendant failed to make even a prima facie showing of prejudice, thus justifying county court's summary denial of the motion. (*People v Brown*, 56 NY2d 242; *People v Satterfield*, 66 NY2d 796; *People v Crimmins*, 38 NY2d 407; *People v Friedgood*, 58 NY2d 467; *Strickland v Washington*, 466 US 668; *Hill v Lockhart*, 474 US 52; *People v Mendoza*, 82 NY2d 415; *People v Jones*, 95 NY2d 721; *People v Jackson*, 240 AD2d 946, 90 NY2d 940; *People v Herring*, 83 NY2d 780.) III. The court below applied the appropriate standard. (*Hill v Lockhart*, 474 US 52.) IV. The People preserved their argument concerning lack of prejudice,

but in any event, the rule of preservation does not apply against the People in the present procedural posture. Defendant, on the other hand, has failed to preserve his argument for appeal. (*Strickland v Washington*, 466 US 668; *People v Nieves*, 67 NY2d 125; *Sega v State of New York*, 60 NY2d 183; *Hill v Lockhart*, 474 US 52; *People v Baldi*, 54 NY2d 137; *People v Ford*, 86 NY2d 397.) V. If defendant prevails in his arguments, the matter should be remanded for an evidentiary hearing. (*People v Krawitz*, 151 AD2d 850.)

OPINION OF THE COURT

CIPARICK, J.

This appeal raises the question whether, under certain circumstances, a defense counsel's incorrect advice as to deportation consequences of a plea may constitute ineffective assistance of counsel. We answer in the affirmative but conclude that in the instant case—where defendant has failed to make the requisite showing of prejudice due to counsel's incorrect advice—defendant was not deprived of the effective assistance of counsel under the Federal Constitution.

I.

Defendant Bruce McDonald came to the United States from Jamaica and has apparently been a lawful permanent resident of the United States for over 20 years. While in the United States, defendant had three children, all American citizens by birth. His wife is also an American citizen.

In April 1999, an undercover officer of the New York State Police made two controlled buys of marihuana from defendant at a university cafeteria where he was employed. On May 4, 1999, a sealed indictment was filed against defendant in connection with those transactions and he was arrested the following day. During the execution of a search warrant, the police discovered one-third ounce of cocaine, 9.4 ounces of marihuana and an electric scale in defendant's apartment. Thereafter, a superseding eight count indictment was filed against defendant for criminal sale of marihuana in the third degree and criminal possession of marihuana in the fifth degree on both April 26, 1999 and April 28, 1999, and criminal possession of a controlled substance in the third and fourth degrees, criminal use of drug paraphernalia in the second degree and criminal possession of marihuana in the third degree on May 5, 1999.

With the advice of counsel, defendant pleaded guilty to criminal sale of marihuana in the third degree and criminal posses-

sion of a controlled substance in the third degree in full satisfaction of all charges. He was sentenced, in accordance with his plea agreement, to concurrent indeterminate prison terms of 1 to 3 years.¹ The next day, the United States Immigration and Naturalization Service (INS) served defendant with a notice of hearing of deportation based on his conviction for aggravated felonies pursuant to, among other statutory provisions, 8 USC §§ 1101 (a) (43) (B), 1227 (a) (2) (A) (iii) and 1229 (b).

Approximately seven weeks later, defendant's trial counsel moved on defendant's behalf to vacate the judgment of conviction under CPL 440.10 (1) (h), contending that defendant had been denied effective assistance of counsel. In a supporting affirmation, trial counsel admitted that he incorrectly advised defendant that his guilty plea "would *not* result in deportation because of the Defendant's lengthy residence in the United States and the fact [*sic*] his three children were born and reside in the United States" (emphasis in original). Counsel further admitted that his advice was "plainly in error" as defendant was actually at risk of mandatory deportation upon conviction of any of the felonies charged.

Alleging that, during plea negotiations, the District Attorney made essentially the same erroneous representations about deportation consequences, counsel admitted that he advised defendant of the prosecutor's representations prior to the guilty plea. Counsel contended that, while defendant had "maintained his innocence" before the grand jury, he entered the guilty plea "in reliance on" counsel's "affirmative misstatements and legal errors" and, therefore, the plea was constitutionally invalid.

The People opposed defendant's motion to vacate the judgment of conviction and sentence. Among other things, the District Attorney denied that he ever told counsel that defendant would not be deported if convicted of the felonies charged, but stated only that he knew very little about immigration matters and that generally long-term residents of the United States had better chances of resisting deportation than short-term residents. According to the People, the District Attorney also recommended that counsel contact INS to discuss the matter. In addition, the People argued that defendant's ineffective assistance of counsel claim should fail because defendant did not

1. Defendant's maximum exposure, had he gone to trial, would have been a sentence of 25 years imprisonment if convicted as charged of the class B felonies (*see* Penal Law § 70.00 [2] [b]) with the potential for consecutive sentences on the two sale counts (Penal Law § 70.25).

make the requisite showing of prejudice as a result of counsel's erroneous advice. Specifically, the People contended that defendant failed to allege that the outcome of the trial would have been any different had defendant not pleaded guilty.

County Court denied defendant's motion without a hearing for the reasons set forth in the People's response. The Appellate Division affirmed, holding that

“defendant has not demonstrated that he was prejudiced by counsel's misadvice, i.e., that it was reasonably probable that he would have forgone the plea deal and instead insisted on going to trial had he been correctly advised regarding the deportation consequences of the proposed guilty plea, or that, had he rejected the plea bargain, the outcome of the proceeding likely would have changed and, thus, we cannot conclude that he was deprived of the effective assistance of counsel under either the State or Federal Constitution” (296 AD2d 13, 21 [2002] [citations omitted]). A Judge of this Court granted leave to appeal and we now affirm.

II.

The right to effective assistance of counsel is guaranteed by the Federal and State Constitutions (US Const 6th Amend; NY Const, art I, § 6). Under the Federal Constitution, the “long-standing test for determining the validity of a guilty plea is whether the plea represents a voluntary and intelligent choice among the alternative courses of action open to the defendant” (*Hill v Lockhart*, 474 US 52, 56 [1985] [internal quotation marks and citations omitted]). Defendants who seek to challenge the voluntary and intelligent character of their guilty pleas on the ground of ineffective assistance of counsel must establish that defense counsel's advice was not within the standard set forth in *Strickland v Washington* (466 US 668 [1984]) (see *Hill*, 474 US at 58).

In *Strickland*, the Supreme Court adopted a two-part test for evaluating claims of ineffective assistance of counsel generally. A “defendant must show that counsel's performance was deficient,” and “that the deficient performance prejudiced the defense” (*Strickland*, 466 US at 687). The first prong of the *Strickland* test is essentially a restatement of attorney competence, which requires a showing that counsel's representation fell below an objective standard of reasonableness (*Hill*, 474 US

at 58). The second prong, also known as the prejudice prong, “focuses on whether counsel’s constitutionally ineffective performance affected the outcome of the plea process” (*Hill*, 474 US at 59). In order to satisfy this prong, a “defendant must show that there is a reasonable probability that, but for counsel’s errors, he would not have pleaded guilty and would have insisted on going to trial” (*Hill*, 474 US at 59).

Under certain circumstances, the prejudice inquiry, in a case where a defendant has entered a guilty plea, will require a prediction of the outcome of possible litigation, which “will closely resemble the inquiry engaged in by courts reviewing ineffective-assistance challenges to convictions obtained through a trial” (*Hill*, 474 US at 59). The United States Supreme Court’s examples of circumstances requiring a prediction analysis are the following: (1) “where the alleged error of counsel is a failure to investigate or discover potentially exculpatory evidence” and (2) “where the alleged error of counsel is a failure to advise the defendant of a potential affirmative defense to the crime charged” (*Hill*, 474 US at 59). The prejudice assessment, in each of these examples, would necessarily turn on whether the evidence, had it been put before the factfinder, “likely would have changed the outcome of a trial” (*Hill*, 474 US at 59).

Relying solely on federal constitutional law, defendant argues that his counsel’s incorrect advice about the consequences of his guilty plea constitutes ineffective assistance of counsel.² The mere failure to advise a defendant of the possibility of deportation does not constitute ineffective assistance of counsel (see *People v Ford*, 86 NY2d 397, 404 [1995]; see also *United States v Del Rosario*, 902 F2d 55, 59 [DC Cir 1990], *cert denied* 498 US 942 [1990]). However, governed by *Strickland*, some federal courts have held that affirmative misstatements by defense counsel may, under certain circumstances, constitute ineffective assistance of counsel (see *United States v Couto*, 311 F3d 179, 188 [2d Cir 2002]; see also *United States v Campbell*, 778 F2d 764, 768-769 [11th Cir 1985]; *Downs-Morgan v United States*, 765 F2d 1534, 1540-1541 [11th Cir 1985]).

Applying the rule as articulated by the federal circuits, defendant has met the first prong of the *Strickland* test in that trial counsel admits that he incorrectly advised his client about the

2. As a matter of state constitutional law, this Court has consistently applied our “meaningful representation” standard to ineffective assistance of counsel claims (see *People v Henry*, 95 NY2d 563, 565 [2000]; see also *People v Benevento*, 91 NY2d 708, 713 [1998]; *People v Baldi*, 54 NY2d 137, 147 [1981]).

consequences of the plea. Specifically, counsel misinformed defendant by telling him that he would not be subject to deportation because he was a long-term resident of the United States and his three children were American citizens by birth and live in the United States. We hold that this type of affirmative misrepresentation falls below an objective standard of reasonableness (*see Couto*, 311 F3d at 188).

Hence, the success of defendant's ineffective assistance of counsel claim rests on whether his allegations meet the second requirement of *Strickland*—the requisite showing of prejudice. Contrary to the People's contention, and the Appellate Division's holding below, the prejudice inquiry here does not necessitate a prediction analysis as to the likely outcome of the proceeding. Defendant does not allege errors concerning the failure to investigate or discover potentially exculpatory evidence or the failure of counsel to advise him as to affirmative defenses. To establish ineffective assistance of counsel, defendant's allegations must be sufficient to "show that there is a reasonable probability that, but for counsel's errors, he would not have pleaded guilty and would have insisted on going to trial" (*Hill*, 474 US at 59).

The sufficiency of defendant's factual allegations as to prejudice should be evaluated with reference to the face of the pleadings, the context of the motion and defendant's access to information (*see People v Mendoza*, 82 NY2d 415, 426 [1993]). Here, the supporting affirmation annexed to defendant's motion to vacate the judgment of conviction was made by trial counsel (*see* CPL 440.30 [1]). It merely states that counsel misinformed defendant as to the deportation consequences of his guilty plea and that defendant relied on the incorrect advice when entering the plea. The affirmation makes no factual allegation that, but for counsel's error, defendant would not have pleaded guilty.

Given that this is not an instance where defendant's lack of access to information precluded more specific factual allegations, defendant was required to allege necessary facts to support his motion to vacate the judgment of conviction (*see Mendoza*, 82 NY2d at 429). Because he failed to make a prima facie showing of prejudice, the Appellate Division did not err in denying his motion to vacate the judgment of conviction without a hearing.

Accordingly, the Appellate Division order should be affirmed.

Chief Judge KAYE and Judges G.B. SMITH, ROSENBLATT,
GRAFFEO and READ concur.

Order affirmed.

[802 NE2d 135, 769 NYS2d 785]

DOMEN HOLDING CO., Appellant, v IRENE S. ARANOVICH, Respondent, et al., Defendants.

Argued October 23, 2003; decided November 24, 2003

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered January 7, 2003. The Appellate Division, with two Justices dissenting, insofar as appealed from, affirmed an order of the Supreme Court, New York County (Alice Schlesinger, J.), which had denied plaintiff's motion for summary judgment, and had granted defendant Irene S. Aranovich's cross motion for summary judgment dismissing the complaint.

Domen Holding Co. v Aranovich, 302 AD2d 132, modified.

HEADNOTE

Landlord and Tenant — Rent Regulation — Termination of Tenancy — Nuisance

In an action seeking an order evicting defendant rent-stabilized tenants for permitting a nuisance, dismissal of the complaint was not warranted as a matter of law. The notice of termination provided that nuisance was the ground upon which plaintiff relied, and it set forth facts necessary to establish that ground, including specific examples of the objectionable conduct of one of the occupants of the apartment (*see* Rent Stabilization Code [9 NYCRR] § 2524.2 [a], [b]; § 2524.3 [b]). There was an issue of fact as to whether the occupant's presence in the building had resulted in a recurring or continuing pattern of objectionable conduct threatening the comfort and safety of others in the building sufficient to constitute a nuisance.

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AM JUR 2d, Landlord and Tenant §§ 306, 1070.

DOLAN, RASCH'S NEW YORK LANDLORD AND TENANT INCLUDING SUMMARY PROCEEDINGS (4th ed) § 29:15.

9 NYCRR 2524.2 (a), (b); 2524.3 (b).

NY JUR 2d, Landlord and Tenant §§ 463, 464.

NEW YORK REAL PROPERTY SERVICE §§ 79:4, 79:40.

ANNOTATION REFERENCE

See ALR Index under Ejectment, Eviction, and Ouster; Landlord and Tenant.

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Query: evict! /s nuisance & rent /2 stabiliz!

POINTS OF COUNSEL

Greer & Associates, P.C., New York City (*Ida Rae Greer, Melinda P. Lisanti* and *Stephanie H. Goodman* of counsel), for appellant. I. The dismissal of appellant's complaint seeking an order of ejectment based upon a nuisance was reversible error. (*Frank v Park Summit Realty Corp.*, 175 AD2d 33, 79 NY2d 789; *Novak v Fischbein, Olivieri, Rozenholc & Badillo*, 151 AD2d 296; *Valley Cts. v Newton*, 47 Misc 2d 1028; *Copart Indus. v Consolidated Edison Co. of N.Y.*, 41 NY2d 564, 42 NY2d 1102; *Hughes v Lenox Hill Hosp.*, 226 AD2d 4, 90 NY2d 829; *Avon Bard Co. v Aquarian Found.*, 260 AD2d 207, 93 NY2d 998; 190 *Riverside Dr. v Nosei*, 185 Misc 2d 696; *D.K. Prop. v Mekong Rest. Corp.*, 187 Misc 2d 610; *Carriage Ct. Inn v Rains*, 138 Misc 2d 444; *Chinatown Apts. v Chu Cho Lam*, 51 NY2d 786.) II. The lower court erred by denying appellant's motion for summary judgment as no triable issues of fact exist with respect to appellant's proof of its nuisance claim. (601 W. 160 *Realty Corp. v Henry*, 183 Misc 2d 666, 189 Misc 2d 352; *Walentas v Johnes*, 257 AD2d 352, 93 NY2d 958; *Sun Yau Ko v Lincoln Sav. Bank*, 99 AD2d 943, 62 NY2d 938; *Andre v Pomeroy*, 35 NY2d 361; *Metropolitan Life Ins. Co. v Carroll*, 43 Misc 2d 639; *Winegrad v New York Univ. Med. Ctr.*, 64 NY2d 851; *Alvarez v Prospect Hosp.*, 68 NY2d 320; *Pastoriza v State of New York*, 108 AD2d 605; *Poluliah v Fidelity High Income Fund*, 102 AD2d 720; *Friends of Animals v Associated Fur Mfrs.*, 46 NY2d 1065.) III. The majority's decision articulated public policy considerations which seemingly require urban dwellers to tolerate uncivilized behavior and discriminatory conduct otherwise proscribed by state and federal law. (*People v Diaz*, 188 Misc 2d 341.) IV. The same articulated public policy considerations foreclose an owner from meaningfully fulfilling a duty to protect its tenants, its staff and its property from foreseeable harm. (*Mason v U.E.S.S. Leasing Corp.*, 96 NY2d 875; *Jacqueline S. v City of New York*, 81 NY2d 288; *Burgos v Aqueduct Realty Corp.*, 92 NY2d 544; *Harris v Forklift Sys.*, 510 US 17; *Danna v New York Tel. Co.*, 752 F Supp 594; *Carrero v New York City Hous. Auth.*, 890 F2d 569; *Department of Hous. & Urban Dev. v Rucker*, 535 US 125.)

MFY Legal Services, Inc., New York City (*Adele Bartlett, Lynn M. Kelly, Andrew Goldberg* and *Jeanette Zelhof* of counsel), for respondent. I. The decision of the Appellate Division that the al-

legations in the notice of termination were insufficient to constitute nuisance warranting eviction of respondent was correct. (*Braschi v Stahl Assoc. Co.*, 74 NY2d 201; *Berkeley Assoc. Co. v Camlakides*, 173 AD2d 193; *Chinatown Apts. v Chu Cho Lam*, 51 NY2d 786; *Kaycee W. 113th St. Corp. v Diakoff*, 160 AD2d 573; *Luxottica Group S.p.A. v Bausch & Lomb*, 160 F Supp 2d 545; *40 W. 67th St. v Pullman*, 100 NY2d 147; *People v Garland*, 69 NY2d 144; *42 W. 15th St. Corp. v Friedman*, 208 Misc 123; *Truncali v Kusstatscher*, 61 Misc 2d 500; *Metropolitan Life Ins. Co. v Moldoff*, 187 Misc 458, 272 App Div 1039.) II. Appellant has made improper representations to this Court. (*Equal Empl. Opportunity Commn. v Sam & Sons Produce Co.*, 872 F Supp 29; *Meritor Sav. Bank v Vinson*, 477 US 57; *Harris v Forklift Sys.*, 510 US 17.)

Borah, Goldstein, Altschuler, Schwartz & Nahins, P.C., New York City (*Jeffrey R. Metz* of counsel), for Rent Stabilization Association of N.Y.C., Inc., amicus curiae. I. In order to protect its innocent tenants, its staff, and itself, a landlord should be permitted to abate the nuisance of a physically threatening and verbally abusive occupant. (*Copart Indus. v Consolidated Edison Co. of N.Y.*, 41 NY2d 564; *Frank v Park Summit Realty Corp.*, 175 AD2d 33, 79 NY2d 789; *Basso v Miller*, 40 NY2d 233; *Smith v Arbaugh's Rest.*, 469 F2d 97, 412 US 939; *Burgos v Aqueduct Realty Corp.*, 92 NY2d 544; *Miller v State of New York*, 62 NY2d 506; *Firpi v New York City Hous. Auth.*, 175 AD2d 858; *Acorn Realty v Torres*, 169 Misc 2d 670; *Harris v Forklift Sys.*, 510 US 17; *Equal Empl. Opportunity Commn. v Sam & Sons Produce Co.*, 872 F Supp 29.)

Brooklyn Legal Services Corp. B., Brooklyn (*John C. Gray* and *Jennifer Levy* of counsel), for Legal Aid Society and another, amici curiae. I. A notice purporting to terminate a rent-stabilized tenancy must state facts sufficient to establish grounds for eviction. (*Berkeley Assoc. Co. v Camlakides*, 173 AD2d 193, 78 NY2d 1098; *First Sterling Corp. v Zurkowski*, 142 Misc 2d 978; *Stribula v Wien*, 107 Misc 2d 114; *Caiado v Bischoff*, 140 Misc 2d 1014; *New York Univ. v Farkas*, 121 Misc 2d 643; *City of New York v Valera*, 216 AD2d 237; *Giannini v Stuart*, 6 AD2d 418; *Jewish Theol. Seminary of Am. v Fitzer*, 258 AD2d 337; *Hughes v Lenox Hill Hosp.*, 226 AD2d 4, 90 NY2d 829; *Kaycee W. 113th St. Corp. v Diakoff*, 160 AD2d 573.) II. The notice served herein failed to state facts sufficient to establish a cause of action for nuisance. (*Town of Hempstead v Zara & Sons Contr. Co.*, 173 AD2d 536; *301 E. 69th St. Assoc. v Eskin*,

156 Misc 2d 122; *Metropolitan Life Ins. Co. v Moldoff*, 187 Misc 458, 272 App Div 1039; *Vukovic v Wilson*, 245 AD2d 1; *Pamac Realty Corp. v Bush*, 101 Misc 2d 101; *Frank v Park Summit Realty Corp.*, 175 AD2d 33, 79 NY2d 789; *Acorn Realty v Torres*, 169 Misc 2d 670.) III. Plaintiff-appellant must be held to the facts stated in the notice of termination. (*Chinatown Apts. v Chu Cho Lam*, 51 NY2d 786; *Carriage Ct. Inn v Rains*, 138 Misc 2d 444; *Federal v Ortiz*, 139 Misc 2d 274; *Matter of 89 Christopher v Joy*, 35 NY2d 213; *144 Woodruff Corp. v Lacrete*, 154 Misc 2d 301.)

OPINION OF THE COURT

CIPARICK, J.

Plaintiff, Domen Holding Co., is the owner and landlord of a residential building in Manhattan. Pursuant to a written apartment lease dated August 26, 1991 and subsequent renewal, defendants Irene S. Aranovich and her brother Jorge Aranovich are named tenants of a rent-stabilized apartment in that building. Mr. Aranovich no longer lives in the apartment. However, at some point during the tenancy, defendant Geoffrey Warren Sanders moved in with Ms. Aranovich. Since at least 1995, the landlord has received a number of complaints stemming from incidents involving Sanders. On more than one occasion, plaintiff provided Ms. Aranovich with written notice of the complaints and reminded her of her responsibility for the behavior of her guests.

In October 2000, plaintiff served a notice of termination upon the Aranovich tenants alleging that they were condoning and had failed to curtail Sanders' "persistent pattern of antisocial and outrageous behavior," which endangered the building's tenants and staff. The notice alleged that Sanders' behavior included, but was not limited to, the following:

"(a) . . . (1) On or about the evening of August 30, 2000, Sanders was involved in an altercation with Wayne Ellis, one of the Owner's doormen at the building, which altercation entailed Sanders' use of profanity and racial epithets toward Mr. Ellis, and threatening physical injury to him. The police were called to the building and a complaint report number (10831) assigned.

"(2) On or about June 7, 1997, Sanders was involved in an altercation with Thomas DeRosa, who is the

visually impaired tenant of the apartment directly above the Subject Premises. Said incident involved Sanders going to Mr. DeRosa's apartment to complain to Mr. DeRosa of alleged noise emanating from Mr. DeRosa's apartment, resulting in Sanders' subsequent verbal abuse and threats to physically assault Mr. DeRosa. The police were called to the building and Mr. DeRosa filed a criminal harassment complaint against Sanders with the New York Police Department

"(3) On or about November 8, 1995, an incident occurred between Sanders and the building superintendent wherein the police were called to the building and a complaint was issued against Sanders.

"(b) Sanders' conduct in persistently instigating arguments and altercations with others at the building, and his frequent and persistent use of profanity and racial slurs to and verbal intimidation of others at the building, is interfering with the other tenants' and/or occupants' comfort and rights to quiet enjoyment of their apartments.

"(c) Sanders' aggressively antagonistic conduct continues to occur and is likely to occur again in the future."

Ms. Aranovich and Sanders remained in possession of the apartment beyond October 16, 2000, the termination date set forth in the notice, and plaintiff commenced this action seeking an order of ejectment. Ms. Aranovich answered, interposing a counterclaim for breach of warranty of habitability.¹ Plaintiff then moved for summary judgment. In support of its motion, plaintiff submitted the affidavits of Wayne Ellis, Thomas DeRosa and Vincent Giffuni, a partner in plaintiff partnership.

Ellis' affidavit recounted the August 2000 incident, which allegedly began after Sanders slammed his fist against a building door. The affidavit continued that in response to Ellis' question—"why he had hit the door"—Sanders used a racial slur and made similarly offensive comments, telling Ellis he "should speak to white people more respectfully." Sanders also asked Ellis to "step outside." Ellis further alleged that, since the service of the notice of termination, Sanders has confronted him, stat-

1. Jorge Aranovich and Geoffrey Sanders appeared pro se and interposed general denials.

ing that he had a problem with Ellis and that he had a “nice crew for [him].” According to Ellis, “[a]s a doorman at the building, it is impossible for me to avoid Sanders as he enters and exits the building. I continue to fear that Sanders will one day carry out his threats.”

DeRosa witnessed the August 2000 incident and his affidavit corroborated Ellis’ affidavit in that regard. In addition, DeRosa described the June 1997 encounter, wherein Sanders allegedly complained that DeRosa’s dog made too much noise and Sanders had threatened to physically harm DeRosa. The police report relating to this incident stated that Sanders specifically threatened DeRosa, saying “I would stomp in your head the way you stomp on the floor.”

The affidavit of Vincent Giffuni alleged that the November 1995 incident between Sanders and the then-building superintendent involved Sanders shoving and shouting profanities at the superintendent. In addition, plaintiff submitted a copy of a letter written to Ms. Aranovich addressing that altercation and noting that it was not the first involving Sanders. Additional correspondence between the landlord and Ms. Aranovich and police complaints referencing the above incidents were also submitted.

Ms. Aranovich cross-moved for summary judgment dismissing the complaint, contending that plaintiff failed to state a cause of action for nuisance. Specifically, she argued that the three incidents alleged in the notice of termination did not endanger other tenants or staff and were too remote in time to constitute a nuisance.

Supreme Court denied plaintiff’s motion for summary judgment and granted the cross motion for summary judgment dismissing the complaint.² The court held that the “three isolated instances” of Sanders’ conduct were insufficient as a matter of law to state a claim for nuisance and that, although the notice and affidavits referred to other instances of antisocial conduct, no record evidence existed to support those allegations. The Appellate Division, with two Justices dissenting, affirmed. Explicitly limiting its review to the allegations set forth in the notice of termination, the Court held that, as a matter of law,

2. Ms. Aranovich’s sole counterclaim for breach of warranty of habitability was severed and transferred to Civil Court. Plaintiff’s request for use and occupancy was denied without prejudice to plaintiff’s bringing an action in Civil Court.

the three instances, to the extent they were documented in the notice, were insufficient to establish an actionable claim for nuisance warranting eviction. The two dissenting Justices opined that an issue of fact was presented whether Sanders' conduct constituted a nuisance. Plaintiff appeals as of right pursuant to CPLR 5601 (a). We agree with the dissenting Justices and hold that the Appellate Division order should be modified to deny Ms. Aranovich's cross motion for summary judgment, reinstate the complaint and remit to Supreme Court for a trial on the issues.

Analysis

The Rent Stabilization Code provides that no tenant shall be evicted "unless and until the owner [gives] written notice to such tenant . . . [which states] [1] the ground under section 2524.3 . . . upon which the owner relies for removal or eviction of the tenant, [2] the facts necessary to establish the existence of such ground, and [3] the date when the tenant is required to surrender possession" (9 NYCRR 2524.2 [a], [b]).³ Section 2524.3 includes as a ground for eviction circumstances where "[t]he tenant is committing or permitting a nuisance in such housing accommodation or the building containing such housing accommodation" (9 NYCRR 2524.3 [b]). Therefore, rent-stabilized tenants may be subject to eviction for the nuisance created by other occupants or guests on tenant's premises.

To constitute a nuisance the use of property must interfere with a person's interest in the use and enjoyment of land (*see* Restatement [Second] of Torts § 821D; *see also Copart Indus. v Consolidated Edison Co. of N.Y.*, 41 NY2d 564, 568 [1977]). The term "use and enjoyment" encompasses the pleasure and

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3. The relevant subdivisions of 9 NYCRR 2524.2 provide in full:
- "(a) Except where the ground for removal or eviction of a tenant is nonpayment of rent, no tenant shall be removed or evicted from a housing accommodation by court process, and no action or proceeding shall be commenced for such purpose upon any of the grounds permitted in section 2524.3 or 2524.4 of [this] Part, unless and until the owner shall have given written notice to such tenant as hereinafter provided.
- "(b) Every notice to a tenant to vacate or surrender possession of a housing accommodation shall state the ground under section 2524.3 or 2524.4 of this Part, upon which the owner relies for removal or eviction of the tenant, the facts necessary to establish the existence of such ground, and the date when the tenant is required to surrender possession."

comfort derived from the occupancy of land and the freedom from annoyance (*see* Restatement [Second] of Torts § 821D, Comment *b*; *see also* *Nussbaum v Lacopo*, 27 NY2d 311, 315 [1970]). However, not every annoyance will constitute a nuisance (*see* 2 Dolan, *Rasch's Landlord and Tenant—Summary Proceedings* § 30:60, at 465 [4th ed]). Nuisance imports a continuous invasion of rights—“a pattern of continuity or recurrence of objectionable conduct” (*Frank v Park Summit Realty Corp.*, 175 AD2d 33, 34 [1st Dept 1991], *mod on other grounds* 79 NY2d 789 [1991]).

Here, Ms. Aranovich argues that, in reviewing the sufficiency of plaintiff's nuisance claim, we are strictly limited to the factual allegations as set forth in the notice of termination. Relying on *Chinatown Apts. v Chu Cho Lam* (51 NY2d 786 [1980]), she contends that the “deficiency” in the notice cannot be retroactively cured through the pleadings and affidavits submitted in support of plaintiff's motion for summary judgment. The notice of termination at issue here, however, is adequate and the subsequent submissions were not an attempt to cure a defect in the notice. Rather, they are an elaboration of incidents alleged and provide evidence of ongoing nuisance in support of plaintiff's motion for summary judgment.

While surely a high threshold of proof would be required for eviction, we cannot conclude as a matter of law, as the courts below did, that dismissal of the complaint was warranted. The notice clearly provides that nuisance is the ground upon which plaintiff relies for tenants' eviction and sets forth the facts necessary to establish that ground (*see* 9 NYCRR 2524.2 [a], [b]; 2524.3 [b]). The notice provides fact-specific examples of Sanders' outrageous conduct and details his use of profanity, racial epithets and threats of violence against Ellis, his threats to physically harm DeRosa and his actual use of violence against the superintendent. It includes names, dates, a description of the misconduct and police complaint numbers. The notice further alleges that Sanders' behavior was not limited to the three listed instances and generally provides that Sanders persistently instigates arguments and altercations with others in the building.

These allegations of Sanders' conduct are of the type that may render the enjoyment of the building especially uncomfortable—indeed, they may even be threatening and frightening—for other tenants and building staff. While the incidents detailed in the notice occurred over a five-year period, their severity and

the circumstances under which they allegedly took place tend to support plaintiff's contention that Sanders displays intolerance and aggression toward those living and working within the building. The allegations further may suggest that Sanders is easily incensed and prone to violent outbursts from time to time and, therefore, that his continued residency in the building places the comfort and health of others in the building at a constant risk. These are matters yet to be established.

The notice of termination, however, adequately apprised defendants as to the grounds upon which it was based, allowing them to prepare a legal defense. It further advised as to the date the tenancy would be terminated and tenants would be required to surrender possession of the apartment. We conclude that the notice of termination here constitutes a proper predicate for the ejectment proceeding based on the tenants' wrongful acts pursuant to the Rent Stabilization Code (*see* 9 NYCRR 2524.2 [a], [b]; 2524.3 [b]).

Plaintiff, however, seeks summary judgment in its favor, contending that the record demonstrates that there exists no triable issue of fact as to its nuisance claim, that defendants have failed to controvert the allegations of misconduct and that defendants have further failed to assert meritorious defenses. We agree with the dissenting Justices that there is an issue of fact as to whether "Sanders' presence in the building has resulted in a recurring or continuing pattern of objectionable conduct threatening the comfort and safety of others in the building sufficient to constitute a nuisance" (302 AD2d 132, 139 [2003]). It may well be that a "recurring or continuing pattern" lies here, but such determination should be made upon a trial of the facts and is not proper for summary disposition.

Accordingly, the order of the Appellate Division, insofar as appealed from, should be modified, without costs, to deny the cross motion for summary judgment dismissing the complaint and, as so modified, affirmed.

Chief Judge KAYE and Judges G.B. SMITH, ROSENBLATT, GRAFFEO and READ concur.

Order, insofar as appealed from, modified, etc.

[802 NE2d 141, 769 NYS2d 791]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v JUAN
CARLOS PICHARDO, Appellant.

Argued October 23, 2003; decided December 2, 2003

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered October 1, 2002. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, Bronx County (Robert Harold Straus, J.), which had granted defendant's motion to vacate a judgment of that court convicting defendant, upon his plea of guilty, of criminal sale of a controlled substance in the third degree, (2) denied the motion, and (3) reinstated the judgment of conviction.

People v Pichardo, 298 AD2d 101, reversed.

HEADNOTE

**Crimes — Plea of Guilty — Vacatur of Plea — Sentence Running
Concurrently with Sentence for Conviction Subsequently Over-
turned**

Defendant's guilty plea to criminal sale of a controlled substance, for which he received a 1-to-3-year sentence to run concurrently with the sentence he was already serving for a murder conviction, was properly vacated after defendant's murder conviction was overturned. When a guilty plea is induced by the court's explicit promise that the defendant will receive a lesser sentence to run concurrently with a sentence in another case, and that conviction is overturned, the defendant may withdraw his plea and face the indictment, since the promise cannot be kept. Here, the court handling defendant's drug plea clearly promised a sentence concurrent with the murder sentence, and defendant may not have accepted the plea had it not been for the murder conviction. It was irrelevant that defendant had already completed his drug sentence at the time he sought to vacate his plea.

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By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 739–747.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:1600,
172:1601, 172:1610, 172:1614.

LAFAYE, ET AL., CRIMINAL PROCEDURE (3d ed) § 21.5.

NY JUR 2d, Criminal Law §§ 1355, 1356, 1361, 1388, 1396,
1401.5.**ANNOTATION REFERENCE**

See ALR Index under Guilty Plea; Concurrent and Con-
secutive Sentences.

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POINTS OF COUNSEL

Legal Aid Society Criminal Appeals Bureau, New York City (Deepa Rajan and Andrew C. Fine of counsel), for appellant. Defendant's guilty plea should be vacated because he pleaded guilty in exchange for the express promise of a lesser sentence concurrent with the sentence on a judgment of conviction that has since been vacated. (*People v Clark*, 45 NY2d 432; *People v Lowrance*, 41 NY2d 303; *People v Taylor*, 80 NY2d 1; *People v Boston*, 75 NY2d 585; *People v Fuggazzatto*, 96 AD2d 538, 62 NY2d 862; *People v Rogers*, 48 NY2d 167; *People v Coles*, 62 NY2d 908; *People v Rolston*, 50 NY2d 1048; *People v Harris*, 48 NY2d 208; *People v Riale*, 274 AD2d 971.)

Robert T. Johnson, District Attorney, Bronx (Cynthia J. Pree and Joseph N. Ferdenzi of counsel), for respondent. Defendant's conviction for criminal sale of a controlled substance in the third degree should not be vacated, where the state's sentencing promise made to defendant, a term of 1 to 3 years running concurrent to an unrelated conviction, has been kept. (*People v Lowrance*, 50 AD2d 769, 41 NY2d 303; *People v Clark*, 45 NY2d 432; *People v Fuggazzatto*, 96 AD2d 538, 62 NY2d 862; *People v Rogers*, 63 AD2d 867, 48 NY2d 167; *People v Boston*, 75 NY2d 585; *People v Taylor*, 174 AD2d 430, 80 NY2d 1; *People v Huer-tas*, 85 NY2d 898; *People v Hood*, 62 NY2d 863; *People v Oliv-ero*, 272 AD2d 174; *People v Walker*, 224 AD2d 781.)

OPINION OF THE COURT

Chief Judge KAYE.

On November 14, 1994, in Supreme Court, New York County, defendant was sentenced to 20 years to life imprisonment after having been found guilty of murder in the second degree. On that day, defendant filed a notice of his intent to appeal.¹ Precisely one week later defendant was produced in Supreme Court, Bronx County, in connection with an indictment for criminal sale of a controlled substance in the third degree (one count)

1. On October 11, 1995, Daniel L. Greenberg, Esq. was assigned as counsel for defendant for purposes of the appeal (see *People v Pichardo*, 1st Dept, Oct. 11, 1995, M-4651, Indictment No. 1883/94).

and criminal possession of a controlled substance in the third degree (two counts), carrying a possible maximum sentence of 8¹/₃ to 25 years; these were defendant's only arrests.

In Bronx County, defendant agreed to plead guilty to the top count of the indictment in exchange for a sentence of 1 to 3 years to run concurrently with the murder sentence. Defendant pleaded guilty to criminal sale of a controlled substance in the third degree, admitting that on January 5, 1994, he sold one bag of cocaine to an undercover officer in exchange for \$20; he was subsequently sentenced to 1-to-3 years' imprisonment.

On June 24, 1998, defendant's appellate attorney moved to vacate his murder conviction, arguing that he had been denied effective assistance of trial counsel.² On January 11, 2000, the Judge who had presided over the trial vacated defendant's murder conviction and ordered a new trial, concluding that he had not received reasonably competent representation and that counsel's errors seriously compromised defendant's right to a fair trial.³ The court noted that counsel seemed to be unfamiliar with important *Rosario* material in his possession, failing to impeach the People's primary witness—the only witness connecting defendant to the shooting—and never calling potentially exculpatory witnesses to challenge that identification. In vacating the murder conviction, the Trial Judge coupled these failures with defense counsel's "regrettable ignorance of basic principles of criminal law, his failure to recognize the appropriate scope of cross-examination of his client before putting him on the witness stand, and his failure to effectively challenge the People's identification evidence, misidentification being a defense entirely compatible with and ordinarily accompanying the defense of alibi."

On June 15, 2000 defendant was retried and acquitted of the murder. By this time, he had fully served the 1-to-3-year drug sentence.

Days after his acquittal, defendant brought a CPL 440.10 motion to vacate his Bronx County conviction on the ground that

2. In a letter to the 440 motion court, dated June 7, 1999, defendant's appellate attorney explained that he had "not yet filed a brief on appeal because resolution of the CPL 440.10 motion is integral to resolution of the appeal." The court subsequently held a hearing on defendant's motion.

3. Defendant also claimed that *Brady* material was wrongfully withheld by the People. While the court agreed the People failed to turn over this material—inadvertently—it held that the failure to recognize or explore the potential of this material was defense counsel's alone, and another example of his ineffectiveness.

his plea had been induced by the promise that his sentence would run concurrently with the New York County sentence, since set aside. Supreme Court granted defendant's motion, finding that the "appellate court consistently vacated guilty pleas which were induced by a promise of a concurrent sentence following the reversal of the original conviction without noting whether the later sentence had already been served" (internal citations omitted).

The Appellate Division reversed and reinstated defendant's Bronx conviction based on the "totality of these circumstances," citing unrelated indictments in different counties before different judges (298 AD2d 101, 102 [1st Dept 2002]). The Appellate Division further noted that when defendant pleaded guilty in Bronx County the court stated that the sentence would be concurrent "with any other sentence being served," which on its face appeared to promise a concurrent sentence only if there was another sentence to be served (*id.*). We now reverse and reinstate the order of Supreme Court, Bronx County, vacating the plea.

Discussion

This Court on several occasions has concluded that when a guilty plea is induced by the court's explicit promise that the defendant will receive a lesser sentence to run concurrently with a sentence in another case, and that conviction is overturned, the defendant may withdraw his plea and face the indictment, since the promise cannot be kept (*see People v Taylor*, 80 NY2d 1 [1992]; *People v Boston*, 75 NY2d 585 [1990]; *People v Fuggazzatto*, 62 NY2d 862 [1984]; *People v Rogers*, 48 NY2d 167 [1979]; *People v Clark*, 45 NY2d 432 [1978]). In all of these cases, defendants raised no challenge to the validity of their pleas—concededly they had admitted their guilt before the court, including factual details of the crimes charged. What was in issue was the fundamentally changed condition that induced their admission of guilt: a sentencing promise based on an explicit understanding that, by virtue of the plea, there would be no additional prison time.

When it is unclear that such a promise was made, vacatur of the plea is unwarranted (*see People v Lowrance*, 41 NY2d 303, 304 [1977]). Were the Appellate Division correct in suggesting ambiguity in the plea arrangement now before us, the result might well be otherwise. Here, however, the Bronx court was crystal-clear in promising a sentence concurrent with the New

York County sentence. As the Judge told defendant in imposing a 1-to-3-year sentence, “that sentence runs concurrent or together with the sentence you are now serving.” Indeed, the Judge himself several times underscored that point.

In our Court, the People’s argument centers on the fact that, having completed his drug sentence concurrently with time being served for murder, defendant actually received what he bargained for; thus, the promise was in fact fulfilled. But the fortuity of timing cannot be determinative of the issue, as it was not in *Boston* or *Fuggazzato*, where defendants also had served out their lesser sentences by the time they sought vacatur of their pleas. It cannot be that, in these circumstances, a plea may be vacated if defendant happens still to be serving the lesser sentence, and otherwise not.⁴

What changed essentially here were the facts that induced defendant’s plea. In effect, when the murder conviction was vacated, defendant’s “concurrent” time became a nullity—in the eyes of the law, it is as if he served no time at all on the murder, and his sentence on the drug charge stood alone, based on an unfulfilled and unfulfillable promise. On this record, we cannot say that defendant would have foregone pretrial and trial rights and pleaded guilty to the top count of the Bronx County indictment—based on the sale of a \$20 bag of cocaine to an undercover officer—had it not been for the New York County conviction for murder, of which he now stands acquitted.

Finally, for the future, we note that a better practice might be for the parties in similar circumstances to spell out, on the record, the consequences that will follow upon vacatur of the conviction (*see People v Rivera*, 195 AD2d 389, 390 [1st Dept 1993]).

Accordingly, the order of the Appellate Division should be reversed and the order of Supreme Court, Bronx County, vacating the plea reinstated.

GRAFFEO, J. (dissenting). We respectfully dissent because we do not believe that the Appellate Division erred in concluding that defendant was not entitled to vacatur of his conviction of criminal sale of a controlled substance in the third degree. We

4. It would, for example, be wholly arbitrary to permit a defendant with days or weeks remaining on a sentence to seek vacatur of his conviction, but to deny that remedy to a defendant whose sentence had just been completed. CPL 440.10 (1) expressly permits the filing of a motion to vacate “[a]t any time after the entry of a judgment” (emphasis added).

would therefore affirm the Appellate Division's determination to reinstate the drug-sale conviction.

In November 1994, defendant pleaded guilty to selling cocaine in return for a 1-to- 3-year prison sentence that would run concurrently with a previously imposed sentence for a second-degree murder conviction. After defendant completed the term of imprisonment for the drug sale, his murder conviction was vacated and, in June 2000, he was acquitted on retrial of all charges pertaining to the homicide. Supreme Court subsequently vacated the drug conviction, concluding that it had been induced by the promise of a sentence that would be concurrent to the overturned murder conviction.

We agree with the majority that this Court has permitted plea vacatur where a guilty plea was induced by a promise to allow a defendant to receive a lesser sentence intended to run concurrently with a sentence imposed for another crime and that prior conviction is later vacated (*see e.g. People v Taylor*, 80 NY2d 1, 15 [1992]). In this case, however, we believe that vacatur is unwarranted because the lesser sentence was completed while defendant was serving a concurrent sentence and it is not manifestly unjust to hold defendant to his negotiated plea.

In *People v Fuggazzatto* (62 NY2d 862 [1984]), two indictments were filed simultaneously and were therefore subject to identical time periods for the People to announce their readiness for trial under CPL 30.30. The defendant's CPL 30.30 motion to dismiss the indictments for untimely prosecution was denied and he elected to proceed to trial on the first indictment. After being convicted, the defendant pleaded guilty to the second indictment in exchange for a sentence that "would run concurrently with and not exceed the first." On appeal of the first conviction, the Appellate Division reversed, concluding that the People failed to comply with CPL 30.30. This Court agreed. Having entered a guilty plea to the second indictment, however, the defendant had waived his right to raise the CPL 30.30 issue with respect to that conviction on appeal (*see People v Savage*, 54 NY2d 697, 698 [1981]). Because it would have been manifestly unjust to deprive the defendant of that relief, this Court concluded that vacatur of the plea was appropriate even though the concurrent sentence had been completed.

People v Boston (75 NY2d 585 [1990]) similarly illustrates circumstances under which it would be unfair to allow a plea to stand. The defendant in *Boston*—a 15-year-old boy—was indicted for attempted intentional murder in the second degree,

first-degree assault and criminal possession of a weapon in the fourth degree. With the defendant's consent, the People filed a superior court information charging one count of attempted depraved indifference murder based on the same criminal incident. After consolidation of the superior court information and the indictment, the defendant pleaded guilty to attempted depraved indifference murder and first-degree assault in return for two concurrent indeterminate prison terms. This Court overturned the attempted murder conviction on the ground that the defendant's waiver of indictment was not in accord with CPL 195.10. The assault conviction was vacated as well because the assault was inextricably related to the murder, both having stemmed from the same criminal incident.

The same cannot be said in this case. Defendant pleaded guilty to a crime that was completely unrelated to the murder charge. He knowingly and voluntarily admitted that he sold cocaine and, in exchange, received the most lenient sentence allowed by law—1 to 3 years of imprisonment—rather than the 8¹/₃ to 25-year maximum sentence that could have been imposed. The prison term ran concurrently with the sentence imposed for the prior murder conviction, as defendant was promised, and he completed the drug-sale sentence well before the murder conviction was overturned (*cf. People v Hooper*, 302 AD2d 894, 895 [4th Dept 2003]). In other words, defendant received the full benefit of his negotiated bargain. Because the drug and murder prosecutions stemmed from unrelated incidents, the charges did not share any common defenses or procedural avenues of relief, and the concurrent murder sentence remained in full force until defendant completed his drug-sale sentence, there is nothing manifestly unfair about allowing the drug conviction to stand. In addition, it has now been almost a decade since defendant's plea allocution, and this lapse of time will undoubtably impede the People's ability to retry defendant.

Finally, there was no showing in the record that defendant would not have pleaded guilty and accepted the People's offer if he had not been convicted of murder. The evidence against defendant was compelling, he received the most advantageous sentence possible and, most significantly, neither defendant nor his counsel suggested that defendant did not, in fact, sell the cocaine. In his motion to vacate the plea, defendant did not assert that he had a meritorious defense or contend that he would not have pleaded guilty if not for the murder conviction (*see*

generally People v McDonald, 1 NY3d 109, 115 [2003]). Under the circumstances of this case, because defendant received the full benefit of his bargain and it would not be manifestly unfair to allow the plea to stand, we conclude that the Appellate Division did not abuse its discretion in finding insufficient justification to grant defendant's motion.

Judges CIPARICK, ROSENBLATT and READ concur with Chief Judge KAYE; Judge GRAFFEO dissents and votes to affirm in a separate opinion in which Judge G.B. SMITH concurs.

Order reversed, etc.

[802 NE2d 616, 770 NYS2d 277]

COUNTY OF NASSAU, Appellant, v MICHAELE K. CANAVAN, Respondent.

Argued October 21, 2003; decided November 24, 2003

SUMMARY

APPEAL, on constitutional grounds, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered March 3, 2003. The Appellate Division (1) reversed, on the law, so much of an order of the Supreme Court, Nassau County (Robert Roberto, Jr., J.; op 2001 NY Slip Op 40215[U]), as had denied defendant's motion for summary judgment dismissing the complaint and granted plaintiff's cross motion for summary judgment, (2) denied plaintiff's cross motion, and (3) granted defendant's motion.

County of Nassau v Canavan, 303 AD2d 355, affirmed.

HEADNOTES**Forfeitures and Penalties — Forfeiture of Proceeds or Instrumentality of Crime — Constitutionality of Nassau County Administrative Code Civil Forfeiture Provision**

1. Nassau County Administrative Code § 8-7.0 (g) (3), which authorizes civil actions for forfeiture of proceeds or instrumentalities of crimes seized incident to arrest or upon conviction for misdemeanors or petty offenses, is not unconstitutionally vague. It makes clear that the commission of any misdemeanor or petty offense—all of which are particularly defined in the Penal Law and the CPL and provide fair notice of the conduct that is proscribed—may lead to forfeiture.

Forfeitures and Penalties — Forfeiture of Proceeds or Instrumentality of Crime — Vehicle Seized Incident to Driving While Intoxicated Arrest — Constitutionality of Nassau County Administrative Code Civil Forfeiture Provision

2. The forfeiture pursuant to Nassau County Administrative Code § 8-7.0 (g) (3) of defendant's vehicle, seized incident to her arrest for driving while intoxicated, did not constitute a violation of the Excessive Fines Clause (US Const 8th Amend; NY Const, art I, § 5). The forfeiture was not at all disproportionate to the gravity of her offense.

Forfeitures and Penalties — Forfeiture of Proceeds or Instrumentality of Crime — Constitutionality of Nassau County Administrative Code Civil Forfeiture Provision

3. Nassau County Administrative Code § 8-7.0 (g) (3), which authorizes civil actions for forfeiture of proceeds or instrumentalities of crimes seized incident to arrest or upon conviction for misdemeanors or petty offenses, risks violation of the Excessive Fines Clause (US Const 8th Amend; NY Const, art I, § 5). The potential for disproportionality is great, as every conceivable of-

fense—however minor—may be subject to forfeiture, limited only by the discretion of County officials in determining whether to invoke it.

Forfeitures and Penalties — Forfeiture of Proceeds or Instrumentality of Crime — Constitutionality of Nassau County Administrative Code Civil Forfeiture Provision

4. Defendant's due process rights were violated by plaintiff County's failure to hold a prompt post-seizure hearing after her vehicle was seized incident to her arrest for driving while intoxicated. The statute pursuant to which plaintiff sought forfeiture of defendant's vehicle, Nassau County Administrative Code § 8-7.0 (g) (3), failed to provide for such hearings. In the context of lawful arrests for driving while intoxicated, immediate seizure of the vehicle is warranted, but a prompt post-seizure hearing must be held. At that hearing the County must establish that probable cause existed for the defendant's initial warrantless arrest, that it is likely to succeed on the merits of the forfeiture action, and that retention is necessary to preserve the vehicle from destruction or sale during the pendency of the proceeding.

Forfeitures and Penalties — Forfeiture of Proceeds or Instrumentality of Crime — Constitutionality of Nassau County Administrative Code Civil Forfeiture Provision

5. The failure of defendant County's statute authorizing civil forfeiture actions, Nassau County Administrative Code § 8-7.0 (g) (3), to include a limitation of forfeiture liability for innocent owners, violates due process. In the context of an arrest for driving while intoxicated, the risk of erroneous deprivation of a vehicle seized as an instrumentality of the crime is heightened when the driver is not the owner or sole user of the seized vehicle.

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By the Publisher's Editorial Staff

AM JUR 2d, Automobiles and Highway Traffic §§ 357, 358;
Constitutional Law §§ 945, 950; Forfeitures and Penalties
§§ 8–10, 14–17, 20, 23–25, 31, 36, 41.
CARMODY-WAIT 2d, Action for a Penalty or Forfeiture or on
a Recognizance §§ 135:40, 135:43.
McKINNEY'S, NY Const, art I, § 5.
NY JUR 2d, Automobiles and Other Vehicles §§ 830, 839;
Constitutional Law §§ 398, 399, 406, 418; Forfeitures and
Penalties §§ 24–28.
US Const 8th Amend.

ANNOTATION REFERENCE

Validity, construction, and application of statute permitting forfeiture of motor vehicle for operation of vehicle while intoxicated. 89 ALR5th 539.

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POINTS OF COUNSEL

Lorna B. Goodman, County Attorney, Mineola (Dennis J. Saffran and David B. Goldin of counsel), for appellant. I. Section 8-7.0 (g) of the Nassau County Administrative Code is not unconstitutionally vague, either facially or as applied to driving while intoxicated offenders. Indeed, the vagueness doctrine does not apply at all, because section 8-7.0 (g) creates no new prohibitions or rules of conduct, but merely provides another sanction for existing crimes. (*People v Nelson*, 69 NY2d 302; *City of Chicago v Morales*, 527 US 41; *Kolender v Lawson*, 461 US 352; *Village of Hoffman Estates v Flipside, Hoffman Estates, Inc.*, 455 US 489; *Smith v Goguen*, 415 US 566; *Ulster Home Care v Vacco*, 96 NY2d 505; *People v Cruz*, 48 NY2d 419, 446 US 901; *Connally v General Constr. Co.*, 269 US 385; *Coates v City of Cincinnati*, 402 US 611; *Lanzetta v New Jersey*, 306 US 451.) II. The seizure and forfeiture of defendant's car under Nassau County Administrative Code § 8-7.0 (g) following her arrest for driving while intoxicated was not an excessive fine in violation of the Federal or State Constitutions. (*Grinberg v Safir*, 181 Misc 2d 444, 266 AD2d 43; *United States v Bajakajian*, 524 US 321; *Solem v Helm*, 463 US 277; *Austin v United States*, 509 US 602; *United States v Myers*, 21 F3d 826; *United States v Chandler*, 36 F3d 358, 514 US 1082; *United States v Milbrand*, 58 F3d 841; *Matter of Attorney-General of State of N.Y. v One Green 1993 Four Door Chrysler*, 217 AD2d 342; *United States v Certain Real Prop. & Premises Known as 38 Whalers Cove Dr.*, 954 F2d 29, cert denied sub nom. *Levin v United States*, 506 US 815; *Rochin v California*, 342 US 165.) III. Defendant was not entitled to a hearing prior to the seizure of her car incident to her driving while intoxicated arrest. Nor did the seizure and forfeiture of her car in any other way violate her right to due process. (*People v Saffore*, 18 NY2d 101; *People v P.J. Video*, 68 NY2d 296; *Calero-Toledo v Pearson Yacht Leasing Co.*, 416 US 663, 417 US 977; *Grinberg v Safir*, 181 Misc 2d 444; *United States v James Daniel Good Real Prop.*, 510 US 43; *Mathews v Eldridge*, 424 US 319; *Krimstock v Kelly*, 306 F3d 40; *Fuentes v Shevin*, 407 US 67.)

Michael A. Montesano, P.C., Glen Cove (Michael A. Montesano and Theresa Vazquez of counsel), for respondent. I. The Appellate Division was correct when it held that the Nassau County Administrative Code violates due process in that it is vague and does not provide the public with sufficient notice of what offending conduct will result in the forfeiture. (*United States v*

Schneiderman, 968 F2d 1564, 507 US 921; *Grayned v City of Rockford*, 408 US 104; *Giaccio v State of Pennsylvania*, 382 US 399; *Bennis v Michigan*, 516 US 442.) II. The Appellate Division was correct when it held that the Nassau County Administrative Code violates due process in that it is vague. The provision fails to provide safeguards for the interim deprivation between the time of the warrantless seizure and the final disposition and, thus, it is constitutionally infirm. (*Lee v Thornton*, 538 F2d 27; *Krimstock v Kelly*, 306 F3d 40; *United States v James Daniel Good Real Prop.*, 510 US 43.) III. Due process under the Fourteenth Amendment of the United States Constitution and/or its parallel in the New York State Constitution, article I (§ 6), was violated by the county's application of the Administrative Code provision. (*Krimstock v Kelly*, 306 F3d 40; *Mathews v Eldridge*, 424 US 319; *Joint Anti-Fascist Refugee Comm. v McGrath*, 341 US 123; *Tedeschi v Blackwood*, 410 F Supp 34; *Lee v Thornton*, 538 F2d 27.) IV. Protections afforded by due process, under the Fourteenth Amendment of the United States Constitution and/or its parallel in the New York State Constitution, article I (§ 6), are violated by the inconsistent results in the court's application of the forfeiture laws. (*Bennis v Michigan*, 516 US 442; *Pringle v Wolfe*, 88 NY2d 426.) V. Civil forfeiture of a vehicle as applied under the Nassau County Administrative Code violates the Eighth Amendment and/or its parallel, article I (§ 5) of the New York State Constitution. (*Austin v United States*, 509 US 602; *Grinberg v Safir*, 181 Misc 2d 444; *United States v Bajakajian*, 524 US 321; *United States v Milbrand*, 58 F3d 841; *Matter of Attorney-General of State of N.Y. v One Green 1993 Four Door Chrysler*, 217 AD2d 342.)

OPINION OF THE COURT

Chief Judge KAYE.

We are asked to consider the validity of Nassau County's civil forfeiture statute, pursuant to which defendant's car was seized.

On September 6, 2000, defendant was arrested and charged with driving while intoxicated, speeding and failure to signal. The 1995 Saturn automobile she had been driving, valued at \$6,500, was seized incident to her arrest, and defendant was given notice of the possibility that the car might be forfeited to the County of Nassau. The car was impounded, where it remained throughout the pendency of defendant's criminal case.

In November 2000, defendant pleaded guilty to the traffic infractions of speeding and driving while impaired by alcohol

and was sentenced to a \$400 fine, completion of a drinking-driver program and suspension of her license. The following month, after defendant demanded the return of her car, the County commenced a civil forfeiture action under Nassau County Administrative Code § 8-7.0 (g) (3). Supreme Court granted summary judgment to the County and the Appellate Division reversed, holding that the ordinance under which defendant's car had been seized was unconstitutionally vague.

We note at the outset that, when implemented pursuant to a carefully drafted statute, civil forfeiture of automobiles can be an extremely effective tool in the battle against drunk driving. In the 34-month period following Nassau County's institution of a program in which the County routinely sought the forfeiture of automobiles used for intoxicated driving, drunk driving accidents decreased by 26%. Driving while intoxicated poses a grave risk of injury or death to innocent motorists and pedestrians. Nevertheless, because we conclude that the ordinance adopted by Nassau County did not satisfy constitutional requirements, we now affirm the order of the Appellate Division, which reached the same conclusion, albeit for different reasons.

I.

Administrative Code § 8-7.0 (g) (3) provides:

“The County of Nassau may commence a civil action for forfeiture to the County of Nassau of the proceeds of a crime, substituted proceeds of a crime or instrumentality of a crime seized incident to an arrest for a misdemeanor crime or petty offense or upon a conviction for such misdemeanor crime or petty offense against any person having an interest in such property.”

The ordinance defines an “instrumentality of a crime” as “any property, other than real property and any buildings, fixtures, appurtenances, and improvements thereon, whose use contributes directly and materially to the commission of any offense” (Administrative Code § 8-7.0 [g] [1] [d]).

The prohibition against vagueness mandates that a criminal statute provide fair notice of the conduct that is proscribed and that it not permit or encourage arbitrary and discriminatory enforcement (*see e.g. People v Bright*, 71 NY2d 376, 382 [1988]). Of primary importance is “the requirement that a legislature establish minimal guidelines to govern law enforcement” (*Koender v Lawson*, 461 US 352, 358 [1983] [citation omitted]).

[1] Since the Nassau County ordinance makes clear what conduct may lead to forfeiture of an instrumentality of a crime—the commission of any misdemeanor or petty offense, including any traffic infraction, all of which are particularly defined and all of which provide fair notice of the conduct that is proscribed—the Appellate Division erred when it concluded that the statute was unconstitutionally vague. The ordinance “may be stringent and harsh but it is not vague. . . . The discretion left to enforcing officers is not one of defining the offense. It is merely that of matching the measure of the discipline to the specific case” (*Barsky v Board of Regents of Univ.*, 347 US 442, 448 [1954], *affg* 305 NY 89 [1953]).

Misdemeanors are defined in the Penal Law, and petty offenses, in the Criminal Procedure Law.¹ Defendant’s automobile was seized upon an arrest for an offense clearly defined by statute. We therefore hold that the ordinance is not unconstitutionally vague.

II.

Both the Federal and State Constitutions prohibit the imposition of excessive fines (*see* US Const 8th Amend; NY Const, art I, § 5). The Excessive Fines Clause thus “limits the government’s power to extract payments, whether in cash or in kind, as ‘punishment for some offense’ ” (*Austin v United States*, 509 US 602, 609-610 [1993] [citation omitted]). Forfeitures—payments in kind—are “fines” if they constitute punishment for an offense (*see United States v Bajakajian*, 524 US 321, 328 [1998]). As the County concedes, the civil forfeiture at issue here serves,

1. A petty offense “means a violation or a traffic infraction” (CPL 1.20 [39]). A traffic infraction, in turn, is defined by Penal Law § 10.00 (2) as any offense defined as “traffic infraction” by section 155 of the Vehicle and Traffic Law, which includes “[t]he violation of any provision of [the Vehicle and Traffic Law] except articles forty-seven and forty-eight [concerning registration of snowmobiles and vessels], or of any law, ordinance, order, rule or regulation regulating traffic which is not declared by [the Vehicle and Traffic Law] or other law of this state to be a misdemeanor or a felony.” A violation “means an offense, other than a ‘traffic infraction,’ for which a sentence to a term of imprisonment in excess of fifteen days cannot be imposed” (Penal Law § 10.00 [3]). A misdemeanor is “an offense, other than a ‘traffic infraction,’ for which a sentence to a term of imprisonment in excess of fifteen days may be imposed, but for which a sentence to a term of imprisonment in excess of one year cannot be imposed” (Penal Law § 10.00 [4]). Finally, an “offense” is “conduct for which a sentence to a term of imprisonment or to a fine is provided by any law of this state or by any law, local law or ordinance of a political subdivision of this state, or by any order, rule or regulation of any governmental instrumentality authorized by law to adopt the same” (Penal Law § 10.00 [1]).

at least in part, deterrent and retributive purposes and is thus punitive and subject to the Excessive Fines Clause (*see Austin*, 509 US at 619-622; *Bajakajian*, 524 US at 328-329).

[2] Inasmuch as a punitive forfeiture of an instrumentality of a crime “violates the Excessive Fines Clause if it is grossly disproportional to the gravity of a defendant’s offense” (*Bajakajian*, 524 US at 334), we reject defendant’s claim that the forfeiture of her car constituted an excessive fine. In determining gross disproportionality, we consider such factors as the seriousness of the offense, the severity of the harm caused and of the potential harm had the defendant not been caught, the relative value of the forfeited property and the maximum punishment to which defendant could have been subject for the crimes charged, and the economic circumstances of the defendant.

On the facts of this case, we conclude that the forfeiture of defendant’s car was not at all disproportionate to the gravity of her offense. The offense with which she was originally charged—driving while intoxicated—is a very serious crime. Grievous harm to innocent victims could have been caused by defendant’s driving with a blood alcohol level of .15% while speeding and weaving in and out of lanes, had she not been caught and stopped. Given the gravity of the crime of drunk driving, it is difficult to imagine that forfeiture of an automobile for such a crime could ever be excessive. Surely it was not so here.

We note, however, that since, pursuant to the ordinance, *every* conceivable offense—however minor—may be subject to forfeiture, limited only by the discretion of county officials in determining whether to invoke it, the potential for disproportionality is great. Moreover, without clear notice to the public that a particular punishment may be imposed for a particular offense, the deterrent effect of the penalty may be lost. In any event, the forfeiture of an automobile for a minor traffic infraction such as driving with a broken taillight or failing to signal would surely be “grossly disproportional to the gravity of a defendant’s offense” (*Bajakajian*, 524 US at 334).

[3] Although the County has, as a matter of policy, decided to focus its enforcement efforts on drunk driving arrests, the ordinance by its terms permits forfeiture for *any* offense. Moreover, the County advises us that the challenged Code provision is utilized to seek forfeiture in non-drunk driving cases as well. The statute itself is thus devoid of standards as to which petty

offenses will result in the implementation of the forfeiture provision, thereby enhancing the opportunity for disproportionate enforcement. Indeed, the County's unilateral decision to invoke the ordinance's nearly limitless application in certain instances and not in others highlights the infirmity inherent in the statute itself. By encompassing many minor and technical violations that could not justify forfeiture, the ordinance, as enacted, risks violation of the Excessive Fines Clause.²

III.

[4] Defendant contends that by not affording her a hearing prior to the initial seizure of her car, the Administrative Code provision deprived her of property without due process of law. While we disagree that due process mandates a hearing *prior* to the initial seizure, we conclude that a prompt post-seizure hearing is required in all cases.

As a general rule, “individuals must receive notice and an opportunity to be heard before the Government deprives them of property” (*United States v James Daniel Good Real Prop.*, 510 US 43, 48 [1993]). In limited circumstances, however,

“immediate seizure of a property interest, without an opportunity for prior hearing, is constitutionally permissible. Such circumstances are those in which ‘the seizure has been directly necessary to secure an important governmental or general public interest. Second, there has been a special need for very prompt action. Third, the State has kept strict control over its monopoly of legitimate force: the person initiating the seizure has been a government official responsible for determining, under the standards of a narrowly drawn statute, that it was necessary and justified in the particular instance’ ” (*Calero-Toledo v Pearson Yacht Leasing Co.*, 416 US 663, 678 [1974], quoting *Fuentes v Shevin*, 407 US 67, 91 [1972]).

When the forfeited property consists of a vehicle, the property's mobility creates “a special need for very prompt action that justifie[s] the postponement of notice and hearing until after

2. During the course of this appeal, the County added a provision to its Administrative Code explicitly making civil forfeiture available as a sanction for alcohol-related driving offenses. We do not pass upon the amended statute, which also continues the provision now under review.

the seizure” (*James Daniel Good*, 510 US at 52 [citation and internal quotation marks omitted]).

In the context of lawful arrests for driving while intoxicated, immediate seizure by the police of a defendant’s car—the instrumentality of the crime of drunk driving—helps to secure important public and governmental interests in ensuring both safety on the roads and the enforceability of any subsequent forfeiture order. Here, inasmuch as she had been arrested for driving while intoxicated, defendant was both legally and physically incapable of driving. No one else was present with her in the car. In addition, an immediate seizure of the automobile—which could easily be removed to another jurisdiction, destroyed or concealed—was necessary to enable the County to assert jurisdiction over it in anticipation of a later forfeiture proceeding. A pre-seizure hearing was therefore not required.

After the County took initial possession of the vehicle, however, due process required that a prompt retention hearing be provided. Pursuant to the Nassau County Administrative Code, a civil action seeking forfeiture need not be commenced until 120 days have passed after the initial seizure (*see* Administrative Code § 8-7.0 [g] [5]). Once commenced, the action may not be finally resolved for many months or years, particularly because upon motion of either the defendant or the County, the action must be stayed during the pendency of the underlying criminal case (*see id.*).

In *Mathews v Eldridge* (424 US 319, 335 [1976]), the Supreme Court set forth three factors to weigh in determining whether due process is satisfied when the government seeks to maintain possession of property before a final judgment is rendered: (1) the private interest affected; (2) the risk of erroneous deprivation through the procedures used and the probable value of other procedural safeguards; and (3) the government’s interest. “These factors should be used to evaluate the adequacy of process offered in post-seizure, pre-judgment deprivations of property in civil forfeiture proceedings” (*Krimstock v Kelly*, 306 F3d 40, 60 [2d Cir 2002]; *see also Morgenthau v Citisource, Inc.*, 68 NY2d 211, 221 [1986]).

A balancing of these factors mandates that post-seizure hearings be routinely provided. Especially in light of the potential length of the deprivation before a final determination on the merits, the private interest affected by the deprivation of an automobile may be significant. When cars are owned by others or shared among household members, for example, seizure may

affect not only a culpable defendant, but also other innocent parties. Moreover, automobiles are often an essential form of transportation and, in some cases, critical to life necessities, earning a livelihood and obtaining an education. Nor is the importance of defendants' possessory interest diminished by the likelihood that they might lose and the County might eventually prevail in forfeiture proceedings. "Fair procedures are not confined to the innocent. The question before us is the legality of the seizure, not the strength of the Government's case" (*James Daniel Good*, 510 US at 62).

A prompt post-seizure hearing will minimize the risk of erroneous deprivation. Of course, it may well be that the County will be able to establish at such hearings its entitlement to seize and retain the vehicles of most defendants arrested without a warrant for driving while intoxicated. The right to be heard, however, "does not depend upon an advance showing that one will surely prevail at the hearing" (*Fuentes*, 407 US at 87). Moreover, greater procedural safeguards are of particular importance where, as here, "the Government has a direct pecuniary interest in the outcome of the proceeding" (*James Daniel Good*, 510 US at 56).

In addition, even if the County is able to show easily that it had probable cause to believe that the driver of the seized vehicle had been driving while intoxicated, the risk of erroneous deprivation is heightened when the driver is not the owner or sole user of the seized vehicle. Although the Nassau County Police Department has adopted procedures whereby it attempts to limit forfeitures to vehicles not subject to a defense of innocent ownership, the statute itself contains no such limitation. "A statute that authorizes the police to seize property to which the government has not established a legal right or claim, and that on its face contains no limitation of forfeiture liability for innocent owners, raises substantial constitutional concerns" (*Krimstock*, 306 F3d at 57).

[5] The absence of such a limitation in the challenged Code provision therefore renders the ordinance, as written, unconstitutional on that ground as well (*cf.* CPLR 1311 [3] [b] [iv] [state forfeiture statute applicable to felonies requires the claiming authority to prove by a preponderance of the evidence that an owner who is not a criminal defendant either "knew that the instrumentality was or would be used in the commission of a crime or . . . knowingly obtained his or her interest in the instrumentality to avoid forfeiture"]]). In any event, even were

the statute to limit forfeiture liability to seizures of automobiles not involving innocent owners, a hearing would be required to ensure that such innocent owners are not deprived for months or years of cars ultimately proved not to be subject to forfeiture.

The final factor to consider in determining the process that is due is the government's interest in retaining cars post-seizure and pre-judgment. Of course, retention of an intoxicated driver's car pending resolution of the forfeiture action advances the public interest in preventing the vehicle from being used for repeated drunk driving. Nevertheless, while retention of a car indeed prevents a defendant from again driving that particular car drunk, it does little to prevent the person from driving another car drunk. The County asserts, though, that—while not a perfect solution as to all defendants—retention of seized vehicles will at least prevent *some* defendants, who have no access to other cars, from driving while intoxicated. We agree that retention is a rational means of protecting the public from an increased risk of drunk drivers. We hold only that due process requires that the County establish its right to such justifiable retention after affording the defendant an opportunity to be heard.

The County also has an interest in preventing the vehicle from being sold or destroyed before judgment is rendered in a future forfeiture proceeding. Continued retention of the car throughout the pendency of the forfeiture action, however, is not the only means available to accomplish this goal. The County could, for example, require that a defendant post a bond or seek a preliminary injunction or temporary restraining order prohibiting the sale or destruction of the property.

We therefore conclude, after balancing these considerations, that due process requires that a prompt post-seizure retention hearing before a neutral magistrate be afforded, with adequate notice, to all defendants whose cars are seized and held for possible forfeiture. At such a hearing, the County must establish that probable cause existed for the defendant's initial warrantless arrest, that it is likely to succeed on the merits of the forfeiture action,³ and that retention is necessary to preserve the ve-

3. “[D]ue process is afforded only by the kinds of notice and hearing that are aimed at establishing the validity, or at least the probable validity, of the underlying claim” against the defendant before he or she can be deprived of property (*Fuentes*, 407 US at 97 [citations and internal quotation marks omitted]).

hicle from destruction or sale during the pendency of the proceeding (*see Krimstock*, 306 F3d at 67).

We note that although no provision for post-seizure hearings is contained in the challenged ordinance, Nassau County has nevertheless been affording such hearings to defendants who affirmatively request them. In *County of Nassau v Bigler* (2001 NY Slip Op 50144[U] [Sup Ct, Nassau County, Roberto, J.]), Nassau County Supreme Court held, as a matter of due process, that if a defendant affirmatively challenged the adequacy of a forfeiture action, the County could not retain a seized vehicle without moving for and obtaining either summary judgment or a provisional order of attachment pending the conclusion of the action. The court held, however, that, in the absence of any such challenge by the owner, the County had no burden to prove entitlement to the retention of the vehicle. In the wake of *Bigler*, the County has been routinely affording prompt judicial review to defendants who challenge the pre-conviction seizures of their vehicles.⁴ We hold today that due process requires that prompt post-seizure hearings be provided to all defendants whose vehicles are seized and held for forfeiture, not merely those who request them.

Finally, we recognize that the County—in adding provisions to its ordinance during the course of this appeal—has already taken steps to address some of the issues we identify here today. Nevertheless, because the statute suffers from a variety of procedural defects, the County would perhaps be well served by rewriting the ordinance—originally enacted in 1939—in its entirety.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Judges G.B. SMITH, CIPARICK, ROSENBLATT, GRAFFEO and READ concur.

Order affirmed, with costs.

4. In its recent amendment to the forfeiture ordinance, the County codified the rule imposed in *Bigler*. Specifically, the ordinance now provides that a person from whom property is seized may, within 15 days after mandatory notification that the property is subject to forfeiture, “request review of the probable validity of the continued retention of the property pending the completion of the civil forfeiture proceeding” (Administrative Code § 8-7.0 [g] [4] [a]). Within 15 days after receipt of such a request for review, the Police Department must either return the property or apply to the court for a prompt hearing (Administrative Code § 8-7.0 [g] [4] [b]).

[802 NE2d 610, 770 NYS2d 271]

TODD B. MARSH, Individually and on Behalf of all Others
Similarly Situated, Appellant, v PRUDENTIAL SECURITIES
INCORPORATED, Respondent.

Argued October 15, 2003; decided November 24, 2003

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 3 (b) (9) and Rules of the Court of Appeals (22 NYCRR) § 500.17, to review a question certified to the New York State Court of Appeals by the United States Court of Appeals for the Third Circuit. The following question was certified by the United States Court of Appeals and accepted by the New York State Court of Appeals: “Whether New York Labor Law § 193 permits an employer, with an employee’s written and informed authorization, to enable that employee to defer wage taxes by making wage deductions and denying the employee any interest in those deducted wages for three months, and then investing the deducted wages in Standard & Poor’s 500-mirroring index fund shares that, while beneficially owned by the employee, are temporarily non-transferrable and forfeitable to the employer if the employee quits or is terminated for cause.”

HEADNOTE**Employment Relationships — Wages — Deduction from Wages for Investment Plan**

The optional investment plan offered by defendant to its professional investment advisor employees, which was funded by wage deductions authorized in writing by the employees and subject to a deferral period and the possibility of forfeiture in exchange for the deferral of income taxes and the ability to purchase shares of a stock index fund at a substantial discount, did not violate the prohibition against wage deductions other than for the benefit of an employee contained in Labor Law § 193. The statute allows employees to divert part of their earnings into investment plans, but the plan must be examined in its entirety, giving due weight to the existence of a forfeiture provision, in order to determine whether a wage deduction is for the employee’s benefit. Here, the plan documents contained full disclosure of the possibility of forfeiture of the account proceeds, and plaintiff, an experienced securities broker, voluntarily opted to participate. The disclosed risks did not negate the multiple benefits, both immediate and future, that the participating employees received.

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By the Publisher’s Editorial Staff

AM JUR 2d, Employment Relationship §§ 63, 119.

McKINNEY'S, Labor Law § 193.

NY JUR 2d, Employment Relations § 120.

ANNOTATION REFERENCE

See ALR Index under Compensation; Labor and Employment.

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Query: deduction /3 wage /s labor /3 193 /p benefit

POINTS OF COUNSEL

Fredric J. Gross Law Firm, Mount Ephraim, New Jersey (*Fredric J. Gross, Susan E. Babb and Jacqueline Bittner* of counsel), and *Crowley & Crowley*, Morristown, New Jersey (*Noel C. Crowley and Michael C. Crowley* of counsel), for appellant. To effectuate its remedial purpose, Labor Law § 193's general rule against wage withholding must be liberally construed, while enumerated exemptions must be strictly construed. (*D'Amato v Morgan Stanley Dean Witter Discover & Co.*, 268 AD2d 392; *Hall v United Parcel Serv. of Am.*, 76 NY2d 27; *Weiner v Diebold Group*, 173 AD2d 166; *Matter of Hudacs v Frito-Lay, Inc.*, 90 NY2d 342; *Jacobs v Macy's E.*, 262 AD2d 607; *Edlitz v Nipkow & Kobelt*, 264 AD2d 437; *Matter of La France*, 173 AD2d 989; *Matter of Brookdale Hosp. Ctr. Tenants Assn. v Goldman*, 99 AD2d 702; *Greenwald v Chiarella*, 271 App Div 213; *Tuttle v Geo. McQuesten Co.*, 227 AD2d 754.)

Cahill Gordon & Reindel LLP, New York City (*Thomas J. Kavalier, Nicholas S. Goldin and Tammy L. Roy* of counsel), for respondent. I. As a threshold matter, elections to enroll in MasterShare are not subject to Labor Law § 193 because there is no "deduction" from already earned wages. (*Truelove v Northeast Capital & Advisory*, 95 NY2d 220; *Engstrom v Kinney Sys.*, 241 AD2d 420; *Matter of Dean Witter Reynolds v Ross*, 75 AD2d 373; *Matter of Hudacs v Frito-Lay, Inc.*, 90 NY2d 342.) II. In any event, the text of Labor Law § 193 (1) (b) expressly authorizes voluntary written elections to enroll in MasterShare. (*Leader v Maroney, Ponzini & Spencer*, 97 NY2d 95; *Criscione v City of New York*, 97 NY2d 152; *Matter of Sutka v Conners*, 73 NY2d 395; *Apfel v Prudential-Bache Sec.*, 81 NY2d 470; *Rownd v New York State Guernsey Breeders' Coop.*, 194 Misc 701; *Sanders v Winship*, 57 NY2d 391; *People v Gaskins*, 171 AD2d 272; *Williams v Taylor*, 529 US 362; *Matter of Rodriguez v Perales*, 86

NY2d 361; *Cohen v Lord, Day & Lord*, 75 NY2d 95.) III. The surrounding circumstances underscore the validity of voluntary written elections to participate in MasterShare. (*Ferres v City of New Rochelle*, 68 NY2d 446; *Matter of Sutka v Conners*, 73 NY2d 395; *Matter of Hudacs v Frito-Lay, Inc.*, 90 NY2d 342; *Greenwald v Chiarella*, 271 App Div 213; *Matter of Theurer [Trustees of Columbia Univ. in City of N.Y.—Ross]*, 59 AD2d 196; *Arbegas v Board of Educ.*, 65 NY2d 161; *B & F Bldg. Corp. v Liebig*, 76 NY2d 689; *Matter of Caroline*, 218 AD2d 388; *People v Keyes*, 141 AD2d 227; *Weiner v Diebold Group*, 173 AD2d 166.) IV. None of MasterShare's other structural features vitiates the legality of voluntary written elections to participate in the plan. (*Rownd v New York State Guernsey Breeders' Coop.*, 194 Misc 701; *Hall v United Parcel Serv. of Am.*, 76 NY2d 27; *Kristt v Whelan*, 4 AD2d 195, 5 NY2d 807; *D'Amato v Morgan Stanley Dean Witter Discover & Co.*, 268 AD2d 392; *Cray v Nationwide Mut. Ins. Co.*, 136 F Supp 2d 171; *Diakoff v American Re-Insurance Co.*, 492 F Supp 1115; *International Bus. Machs. Corp. v Martson*, 37 F Supp 2d 613.) V. None of the other issues pending in the Third Circuit has been certified to this Court or bears on the certified question of pure New York labor law. (*Tunick v Safir*, 94 NY2d 709.)

Eliot Spitzer, Attorney General, New York City (*Seth Kupferberg, Caitlin Halligan, Daniel Smirlock and M. Patricia Smith* of counsel), for New York State Commissioner of Labor, amicus curiae. I. Labor Law § 193 prohibits deductions that may be forfeited to the employer. (*Matter of Hudacs v Frito-Lay, Inc.*, 90 NY2d 342; *New York Cent. & Hudson Riv. R.R. Co. v Williams*, 199 NY 108, *affd sub nom. Erie R.R. Co. v Williams*, 233 US 685; *Greenwald v Chiarella*, 271 App Div 213; *Hughes Aircraft Co. v Jacobson*, 525 US 432; *Lockheed Corp. v Spink*, 517 US 882; *Weiner v Diebold Group*, 173 AD2d 166; *Watson v Prentice-Hall, Inc.*, 50 AD2d 1077; *Matter of Wright Metal*, 257 App Div 453, 283 NY 47.) II. The Department of Labor's interpretation of Labor Law § 193 further establishes the impermissibility of deductions that may be forfeited. (*Public Loan Co. v Hyde*, 47 NY2d 182; *DiLucia v Mandelker*, 110 AD2d 260, 68 NY2d 844; *Matter of Memorial Hosp. v Axelrod*, 68 NY2d 958; *Rownd v New York State Guernsey Breeders' Coop.*, 194 Misc 701; *Matter of Hudacs v Frito-Lay, Inc.*, 90 NY2d 342; *Truelove v Northeast Capital & Advisory*, 95 NY2d 220; *Matter of Dean Witter Reynolds v Ross*, 75 AD2d 373; *Hall v United Parcel Serv. of Am.*, 76 NY2d 27; *D'Amato v Morgan Stanley Dean Witter Discover & Co.*, 268 AD2d 392; *Cray v Nationwide Mut. Ins. Co.*, 136 F

Supp 2d 171.) III. Prudential's predictions of dire consequences if deductions under its plan are found illegal are illusory.

Paul, Weiss, Rifkind, Wharton & Garrison LLP, New York City (*Brad S. Karp, Daniel J. Toal* and *Daniel R. Garodnick* of counsel), for Securities Industry Association, amicus curiae. I. Incentive compensation does not constitute "wages" within the meaning of New York's Labor Law and may be subject to forfeiture consistent with the governing compensation agreements. (*Engstrom v Kinney Sys.*, 241 AD2d 420; *Truelove v Northeast Capital & Advisory*, 95 NY2d 220; *International Bus. Machs. Corp. v Martson*, 37 F Supp 2d 613; *Rosenberg v Salomon, Inc.*, 992 F Supp 513; *International Paper Co. v Suwyn*, 978 F Supp 506; *Canet v Gooch Ware Travelstead*, 917 F Supp 969; *Tischmann v ITT/Sheraton Corp.*, 882 F Supp 1358, 145 F3d 561, 525 US 963; *Matter of Dean Witter Reynolds v Ross*, 75 AD2d 373; *Hall v United Parcel Serv. of Am.*, 76 NY2d 27; *RKO-Keith-Orpheum Theatres v City of New York*, 308 NY 493.) II. Prospective agreements concerning compensation cannot effect a deduction from "wages" and therefore are not subject to Labor Law § 193. (*Engstrom v Kinney Sys.*, 241 AD2d 420; *Hanlon v Macfadden Pubs.*, 302 NY 502; *Matter of Hudacs v Frito-Lay, Inc.*, 90 NY2d 342.) III. In all events, even deductions from wages for restricted stock programs like MasterShare would be permissible under section 193 of the Labor Law because such deductions are for the benefit of the employee.

OPINION OF THE COURT

GRAFFEO, J.

Defendant Prudential Securities Incorporated offers an optional investment benefit to a special class of its employees—financial advisors—that is designed to defer taxes on a portion of their income. Periodic contributions from the earnings of these employees are used to purchase shares in a public stock index fund. The question in this case, certified to us by the United States Court of Appeals for the Third Circuit, is whether this plan violates New York Labor Law § 193. We conclude that it does not.

In 1999, Prudential offered its professional financial advisors the opportunity to participate in a new investment program referred to as the MasterShare Plan. There are two primary benefits for employees who opt into the Plan—deferral of income taxes and the ability to purchase shares of a stock index fund at a substantial discount. An employee elects to join the Plan by

executing an irrevocable written authorization for Prudential to deduct between 5% and 25% of the employee's gross pay for one calendar year for Plan purposes. The deduction authorization remains in effect for subsequent years unless the employee cancels it or changes the amount of earnings to be deducted during the annual enrollment period.

The withheld compensation is placed in a "deferral account" for up to three months, during which time the employee surrenders control over the funds and receives no interest. At the end of the deferral period, the accumulated funds in the account are used to purchase Class Z shares of the Prudential Stock Index Fund, a public mutual fund, which mirrors the performance of the Standard & Poor's 500 stock index. The price of shares is the average of the month-end value for an index fund share during the three-month deferral period, with a 25% discount provided by Prudential. The purchased shares are then transferred to the employee's MasterShare account, where they must remain for at least three years.

Although the employee is the beneficial owner of the shares, and therefore has the right to dividends and to participate in shareholder votes, the employee is unable to transfer or sell any shares during this time frame. In addition, the Plan provides that if an employee decides to discontinue employment with Prudential or is terminated for cause during the three-year period, the entire balance of the employee's MasterShare account is forfeited to Prudential. On expiration of the three-year period, the participant can renew the account or cash in the shares and pay income taxes on the proceeds.

Plaintiff was employed by Prudential as a securities broker for almost two decades. He chose to participate in the Plan and authorized Prudential to withhold the maximum 25% deduction from his gross earnings. In December 2000, Prudential terminated his employment due to an alleged loss of confidence in his investment activities, which "were deemed in retrospect by [customers] to have entailed an unacceptable degree of risk."¹ Prudential then acquired all of the holdings in plaintiff's MasterShare account—approximately \$165,000—of which about \$145,000 was attributable to plaintiff's contributions. The bal-

1. Documentation submitted by Prudential to the Securities and Exchange Commission indicates that plaintiff was permitted to resign. The parties appear to agree, however, that his employment was involuntarily terminated, although plaintiff disputes that his dismissal was justified. This issue is not before us.

ance of the proceeds in the account represented Prudential's contributions to the share purchases.²

Plaintiff, a New Jersey resident, initiated a proposed class action against Prudential in a New Jersey state court but Prudential removed the case to Federal District Court. In his amended complaint in District Court, plaintiff asserted 10 causes of action, one of which claimed that the MasterShare Plan was illegal because New York Labor Law § 193 does not permit wage deductions to be invested in index funds.³ He further contended that the Plan's initial, three-month deferral period, as well as its forfeiture provision, violate the statute's "benefit of the employee" requirement. Prudential moved to dismiss the Labor Law § 193 claim and both parties sought summary judgment.

The District Court granted Prudential's motion for summary judgment and dismissed the New York Labor Law cause of action. The court determined that a payroll deduction that is invested in stock is similar to the deductions that are enumerated in Labor Law § 193 (1) (b) because the investment program benefits the employee and the withholdings provide the employee with favorable income tax consequences. The court further explained that the forfeiture provision does not violate the statute's requirement that deductions must be "for the benefit of the employee."

The United States Court of Appeals for the Third Circuit, finding no definitive judicial interpretation of Labor Law § 193, and noting that the decision could affect a number of similar employee investment plans, certified the following question to this Court:

"Whether New York Labor Law § 193 permits an employer, with an employee's written and informed authorization, to enable that employee to defer wage taxes by making wage deductions and denying the employee any interest in those deducted wages for three months, and then investing the deducted wages in Standard & Poor's 500-mirroring index

2. Plaintiff seeks to recover only his personal contributions to the account, not the additional value attributable to the 25% discount on the purchase price of the fund shares provided by Prudential.

3. The New York statute is implicated because the Plan documents state that "[t]he Plan shall be governed by, and construed and enforced in accordance with the substantive and procedural laws of the State of New York."

fund shares that, while beneficially owned by the employee, are temporarily non-transferable and forfeitable to the employer if the employee quits or is terminated for cause.”

We accepted certification (99 NY2d 624 [2003]) and now answer that question in the affirmative.

Labor Law § 193 permits an employer to deduct a portion of an employee’s wages if the deduction is “expressly authorized” by and “for the benefit of the employee” (Labor Law § 193 [1] [b]). The statute authorizes specific categories of wage withholdings that an employee may consent to: “payments for insurance premiums, pension or health and welfare benefits, contributions to charitable organizations, payments for United States bonds, payments for dues or assessments to a labor organization, and similar payments for the benefit of the employee” (*id.*).

Plaintiff argues that the Plan violates this provision because the payroll deduction here is not solely for the benefit of a participating employee and is not sufficiently “similar” to the types of withholdings that are approved in section 193. He further contends that the Plan does not qualify under the statute because the initial, three-month deferral period amounts to an interest-free loan to Prudential and the forfeiture provision operates exclusively for the benefit of the employer.

Prudential counters that the Plan is comparable to wage deductions used to fund pension plans or the purchase of United States bonds. Prudential views the “freeze” period as an administrative necessity that, like the forfeiture provision, is required in order to gain the favorable income tax benefits available under Internal Revenue Code (26 USC) § 83.⁴ Asserting that all aspects of the Plan must be evaluated in considering whether it is designed “for the benefit of the employee,” Prudential asserts that the mere inclusion of a forfeiture clause does not equate to a per se violation of the statute.

Our first task is to determine whether MasterShare payments are “similar” to the various types of deductions that are specifically authorized by Labor Law § 193 (1) (b), an issue that cannot be resolved without considering the history of that provi-

4. The Plan documents advised employees that “it is anticipated that a Participant generally will not be subject to income tax on amounts deferred under the Plan . . . unless and until Shares are distributed to [the employee] free of restrictions, at which time the [value] of the Shares would be taxable as ordinary income.”

sion. The statute was derived from former sections 10-13 of the Labor Law (L 1909, ch 36, §§ 10-13), which required employers to “full[y] and prompt[ly]” pay earned wages (*Matter of Hudacs v Frito-Lay, Inc.*, 90 NY2d 342, 347 [1997]). That mandate was interpreted as a prohibition against compelled wage deductions that were subject to forfeiture in the event of resignation by the employee without proper notice to the employer (*see* 1913 Ops Atty Gen [vol 2] 165, 167). Former sections 10-13 were eventually recodified, and outlawed the transfer of “future wages” (Labor Law former §§ 195-197, as added by L 1921, ch 50) in a statutory scheme that was intended to “prohibit[] deductions from wages for the benefit of the employer” (*Matter of Hudacs*, 90 NY2d at 347). The 1921 statutes were interpreted by the Attorney General to draw a distinction between deductions that benefit the employer (*see* 1930 Ops Atty Gen 399, 399-400) and voluntary deductions for investment purposes where the employee can withdraw the savings at any time (*see* 1930 Ops Atty Gen 402; 48 St Dept Rep 414, 416 [1933]).

During recodification of the Labor Law in 1966, a new section 193 was added, in language identical to the current statute in all relevant respects (L 1966, ch 548, § 2). It required that deductions be made “for the benefit of the employee,” and limited permissible deductions to payments for insurance premiums, pension plans, health and welfare benefits, charitable contributions, union dues, the purchase of United States bonds and “similar payments for the benefit of the employee” (Labor Law § 193 [1] [b]).

The legislative history of the 1966 statute demonstrates that this provision was intended to codify opinions issued by the Attorney General regarding wage deductions (*see* Mem of Dept of Labor, Off of Indus Commr, Bill Jacket, L 1966, ch 548, at 4). At the time of enactment, the Attorney General had long determined that the Labor Law did not prohibit “voluntary [wage] deductions” for “an employees’ stock buying plan” (1930 Ops Atty Gen 402; *see* 48 St Dept Rep 416). Furthermore, the agency charged with oversight—the Department of Labor—recognized that the phrase “similar payments” encompassed wage deductions for investments (*see* 1974 Ops Commr Labor, Inf Op to EF Hutton & Co. Inc. [June 18, 1974]).

Against this historical backdrop—most especially the legislative authorization of deductions for pensions and bonds, and the absence of any evidence that the Legislature intended to restrict employees from voluntarily investing a portion of their

wages—we conclude that Labor Law § 193 allows employees to divert part of their earnings into investment plans.

We now turn to plaintiff’s argument that the Plan does not satisfy section 193’s “benefit of the employee” provision because the possibility of forfeiture and the deferral period serve only Prudential’s interests. Plaintiff urges us to declare the Plan invalid because an employee’s accumulated withholdings, purchased shares and any growth in value may be subject to forfeiture if an employee resigns or is terminated for cause. Although we have approved of similar “golden handcuffs” arrangements in the past, in those situations the forfeited funds were in the nature of incentive compensation—such as a bonus—which category of compensation is not included in the definition of “wages” under Labor Law § 190 (1) (*see e.g. Truelove v Northeast Capital & Advisory*, 95 NY2d 220, 224 [2000]). That term is defined, in part, as “the earnings of an employee for labor or services rendered, regardless of whether the amount of earnings is determined on a time, piece, commission or other basis” (Labor Law § 190 [1]). Here, despite the assertion of Prudential and amicus Securities Industries Association that such investment contributions are not deductions from wages, it is clear that plaintiff authorized periodic withholdings from his compensation to finance the eventual purchase of fund shares.⁵

Plaintiff, joined by the Commissioner of Labor, advocates that this Court adopt a per se rule that the possibility of forfeiture violates Labor Law § 193 (1) (b). But this would preclude courts from assessing the purpose of a forfeiture provision—i.e., whether it was intended solely to penalize workers or was designed to provide an investment vehicle with tax-deferral benefits to its employees and concomitantly encourage employee longevity. Although the provision in this case is clearly a “golden handcuff,” nothing in the record before us suggests that em-

5. Prudential’s motion to dismiss and cross motion for summary judgment in the District Court, to the extent they appear in the record, do not raise this issue. Moreover, the District Court did not address the “wages” issue; the court analyzed only two other arguments that Prudential now asserts—whether MasterShare deductions are similar to the categories of payments that are specifically listed in Labor Law § 193 (1) (b) and whether the Plan is not for “the benefit of the employee” because of the potential for forfeiture of the account funds. Before the Third Circuit, Prudential characterized the Plan as a “pre-tax wages” investment opportunity. Based on these assertions, the certified question presumes that the income here qualifies as “wages” under the Labor Law. We also presume the income is “wages” and do not address that issue on this appeal.

ployee participation was induced by purposeful misrepresentations regarding the purported tax benefits of the Plan. Rather than adopt a per se rule, we believe that whether a wage deduction for investment is “for the benefit of the employee” can be determined only by examining the investment plan in its entirety, giving due weight to the existence of a forfeiture provision.

As a threshold matter, we must assess whether the affected employee received appropriate notice of potential forfeiture. The Plan documents in this case include numerous warnings that forfeiture could occur. In fact, a section of the Plan contract is prominently entitled “Termination of Employment.” This provision unequivocally explains that if a participant quits or is fired for “Cause” (as that term is defined in the document) before the expiration of the three-year restricted period, the employee “forfeit[s] all amounts then credited to [the] Deferral Account and/or MasterShare Account. Such forfeited amounts will revert to Prudential Securities.” Thus, the Plan documents contain full disclosure of the possibility of forfeiture and plaintiff voluntarily opted to participate, taking the maximum payroll deduction.⁶

Also relevant to our inquiry is the type of employees who participate and the nature of the benefit conferred by the investment program. In this case, the MasterShare Plan was offered only to a segment of Prudential’s work force with significant knowledge and expertise in assessing investment risks. Sophisticated financial advisors such as plaintiff could reasonably believe that the benefits and potential rewards of Plan participation outweighed the likelihood of loss for several reasons. The Plan purports to provide an immediate benefit by allowing eligible employees to defer taxes on the compensation that is withheld.⁷ In addition, once the monies in a deferral account are used to purchase index fund shares at a discount, an employee becomes the beneficial owner of the shares, and is entitled to receive any dividends and exercise shareholder voting rights

6. Plaintiff alleges that his compensation during the final year of employment was the highest of his career, having generated over \$400,000 in commissions.

7. Plan documents indicate that it was structured to satisfy the requirements of section 83 of the Internal Revenue Code in order to provide employees with a voluntary tax-deferral investment program. Because of the Third Circuit’s formulation of the certified question, it is unnecessary for us to decide whether that Plan actually complies with the requirements of that statute, nor would it be appropriate for us to address this federal tax law issue.

during the three-year restricted period. Because the Plan confers these benefits on a participant even before the non-transferability period elapses, providing the opportunity for financial growth in an account, it is readily distinguishable from wage deductions and forfeitures designed to benefit the employer alone (see e.g. *Edlitz v Nipkow & Kobelt*, 264 AD2d 437 [2d Dept 1999]; *Jacobs v Macy's E.*, 262 AD2d 607 [2d Dept 1999]; *Tuttle v Geo. McQuesten Co.*, 227 AD2d 754 [3d Dept 1996]; 12 NYCRR 142-2.10 [a] [1]-[3] [prohibiting deductions for “spoilage or breakage” and “cash shortages or losses,” as well as “fines or penalties for lateness, misconduct or quitting by an employee without notice”]). Hence, the disclosed risks do not negate the multiple benefits that these knowledgeable employees receive from their voluntary participation in the program, such as the opportunity to invest in securities, the ability to purchase shares at a substantial discount, the deferral of income taxes on compensation and the beneficial rights of stock ownership.⁸

Nor are those benefits negated by the three-month deferral period. Although plaintiff correctly notes that Prudential is free to use the funds in a deferral account during that time, income taxes on the diverted compensation are immediately deferred. Furthermore, the employee receives a 25% price discount at the end of the deferral period, which is effectively a one-third matching contribution from the employer on the average index share price over the period of deferral.

After examining the MasterShare Plan in its totality—the manner in which it functions, its governing documents, the immediate benefits and potential rewards of participation weighed against the risk of loss, the purposes of the forfeiture provision, the clarity of the notice that forfeiture was possible and the voluntariness of plaintiff's decision to participate—we conclude that the possibility of forfeiture on these facts does not warrant ineligibility under section 193. The wage deductions directed into the investment plan in this case qualify as “payments for

8. Although the Department of Labor has informally opined that a plan like MasterShare violates Labor Law § 193 (1) because of the risk of forfeiture, that conclusion was based on the presumption that a per se rule exists and the belief that the only benefit a participant receives is the discount on the purchase price of the securities (see 2002 Ops Commr Labor, Inf Op to Jonathan P. Arfa, at 3 [Aug. 29, 2002]). This stance appears to conflict with other departmental opinions that approve of wage deductions despite the possibility that the withheld funds could be forfeited (see 1991 Ops Commr Labor, Inf Op to Beverly Gross, at 1-2 [July 24, 1991]).

the benefit of the employee,” which are “similar” to the types of wage withholdings specifically authorized by the statute (Labor Law § 193 [1] [b]). The Plan, therefore, does not violate Labor Law § 193 (1).

Plaintiff’s remaining arguments fall outside the scope of the issue the Third Circuit certified to this Court.

Accordingly, the certified question should be answered in the affirmative.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSENBLATT and READ concur.

Following certification of a question by the United States Court of Appeals for the Third Circuit and acceptance of the question by this Court pursuant to section 500.17 of the Rules of the Court of Appeals (22 NYCRR 500.17), and after hearing argument by counsel for the parties and consideration of the briefs and the record submitted, certified question answered in the affirmative.

[802 NE2d 1084, 770 NYS2d 686]

STEVENS AND THOMPSON PAPER COMPANY, INC., Appellant, v NI-
AGARA MOHAWK POWER CORPORATION, Respondent.

Argued October 16, 2003; decided November 25, 2003

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered November 7, 2002. The Appellate Division affirmed an order of the Supreme Court, Washington County (G. Thomas Moynihan, Jr., J.), which had partially granted plaintiff's motion for summary judgment, partially granted defendant's cross motion for summary judgment, and determined the obligations of the parties under a power purchase agreement.

Stevens & Thompson Paper Co. v Niagara Mohawk Power Corp., 299 AD2d 628, affirmed.

HEADNOTE**Public Utilities — Alternative Energy Producers — Applicability of Six Cent Minimum Rate to Power Purchase Agreement**

The 1987 power purchase agreement (PPA) between plaintiff producer of electricity and defendant utility, which set defendant's avoided cost as the payment rate for plaintiff's "new" capacity electricity during the 2001-2008 and 2009-2016 time periods covered by the PPA, was not subject to the grandfathering provisions of Public Service Law § 66-c (2) (a) (ii). Thus, the PPA was not subject to the six cent per kilowatt hour minimum rate for the 7.5 megawatts of "new" capacity generated by plaintiff for those time periods, and the appropriate payment rate for the "new" capacity was defendant's actual avoided cost. Although the PPA was signed and filed prior to the 1992 effective date set forth in the grandfathering provision, that did not automatically entitle plaintiff to the six cent minimum. The statute further specifies that the six cent minimum will continue to apply provided it is implemented in accordance with the policies and conditions established by the Public Service Commission. An order issued by the Commission prior to the execution of the PPA set forth a policy for this particular PPA that plaintiff would only be entitled to avoided costs for its new capacity in the relevant time periods of the PPA.

TOTAL CLIENT-SERVICE LIBRARY® REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Energy and Power Sources §§ 1, 60, 61, 120,
189.

McKINNEY'S, Public Service Law § 66-c (2) (a) (ii).

NY JUR 2d, Energy §§ 11, 161, 164, 165, 273.

ANNOTATION REFERENCE

See ALR Index under Energy; Utilities.

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Query: alternative /3 energy & “new capacity”

POINTS OF COUNSEL

Read and Laniado, LLP, Albany (*Howard J. Read* and *Steven D. Wilson* of counsel), for appellant. I. The Stevens and Thompson Paper Company power purchase agreement is grandfathered under the 1992 amendment to Public Service Law § 66-c and is entitled to the six cents minimum rate for the remainder of the contract term. (*Matter of Consolidated Edison Co. v Public Serv. Commn.*, 63 NY2d 424; *Federal Deposit Ins. Corp. v Niagara Mohawk Power Corp.*, 102 F3d 671.) II. The court below ignored both the requirements of Public Service Law § 66-c and established Commission policy. (*Matter of Long Lake Energy Corp. v Public Serv. Commn.*, 148 AD2d 84; *Matter of Consolidated Edison Co. v Public Serv. Commn.*, 63 NY2d 424; *Niagara Mohawk Power Corp. v Federal Energy Regulatory Commn.*, 162 F Supp 2d 107, 306 F3d 1264.)

Kevin P. Glasheen, Albany, and *Hiscock & Barclay, LLP* (*Michael J. Smith* of counsel), for respondent. I. The Appellate Division decision is not adverse to the legislative goals associated with the 1992 amendment to Public Service Law § 66-c. (*Matter of Consolidated Edison Co. v Public Serv. Commn.*, 63 NY2d 424, 470 US 1075; *Norcon Power Partners v Niagara Mohawk Power Corp.*, 92 NY2d 458; *Federal Deposit Ins. Corp. v Niagara Mohawk Power Corp.*, 102 F3d 671; *Matter of Coastal Power Prod. Co. v New York State Pub. Serv. Commn.*, 153 AD2d 235.) II. The Appellate Division correctly determined that the grandfathering provisions of Public Service Law § 66-c (2) were not applicable to the 7.5 megawatts of new capacity at the Stevens and Thompson Paper Company plant. (*Matter of F.W.E. Stapenhorst, Inc. v Public Serv. Commn.*, 75 NY2d 577.) III. The Appellate Division decision is not adverse to Public Service Commission policies. (*American Cyanamid Co. [Lederele Labs. Div.] v Public Serv. Commn.*, 88 AD2d 1063; *Matter of New York Tel. Co. v Public Serv. Commn.*, 179 Misc 2d 301; *Matter of Campo Corp. v Feinberg*, 279 App Div 302, 303 NY 995; *Matter of Niagara Power Corp. v Public Serv. Commn.*, 69 NY2d 365; *Matter of Central Hudson Gas & Elec. Corp. v Public Serv.*

Commn., 108 AD2d 266; *Matter of Rochester Gas & Elec. Corp. v Public Serv. Commn.*, 135 AD2d 4; *Matter of Long Lake Energy Corp. v Public Serv. Commn.*, 148 AD2d 84; *Matter of Xiox Corp. v Public Serv. Commn.*, 190 AD2d 350; *Matter of Long. Is. Light. Co. v Public Serv. Commn.*, 199 AD2d 831; *Matter of F.W.E. Stappenhorst, Inc. v Public Serv. Commn.*, 75 NY2d 577.)

OPINION OF THE COURT

CIPARICK, J.

This appeal requires us to determine whether a power purchase agreement (PPA) between a utility, Niagara Mohawk (NIMO), and a generator of electricity, Stevens and Thompson (S&T), is subject to the grandfathering provisions of Public Service Law § 66-c (2) (a) (ii), and thus subject to the six cent per kilowatt hour minimum rate for the 7.5 megawatts of “new” capacity generated by S&T for the remainder of the agreement. We conclude that the grandfathering provision is not applicable to this PPA and that the appropriate payment rate for the “new” capacity is NIMO’s actual avoided cost.¹

Congress enacted the Public Utility Regulatory Policies Act of 1978 (PURPA) (Pub L 95-617) in order to help foster the development of alternative sources of energy (*see Matter of Consolidated Edison Co. v Public Serv. Commn.*, 63 NY2d 424, 431 [1984]). New York Public Service Law § 66-c was enacted soon thereafter to fulfill the same purposes at the state level (Public Service Law § 66-c [1]). It provided for a minimum sales price of six cents per kilowatt hour for electricity purchased from qualifying facilities by utilities. The provision requiring the six cent minimum was removed from section 66-c (1) in 1992 and section 66-c (2) was added (L 1992, ch 519, §§ 3, 4).

Section 66-c (2) is a grandfathering provision allowing certain agreements to continue to function under the six cent minimum rate if the agreement was executed by the parties and filed with the Public Service Commission by June 26, 1992, and the agreement “provid[es] for the purchase of electricity at a utility tariff rate referencing a statutory minimum sales price . . . provided, however, that such minimum sales price shall be implemented

1. Avoided cost, also termed “incremental cost of alternative electric energy,” is defined as what the cost would have been to the utility to either produce or purchase from a different source the energy generated by the qualifying facility (*Matter of Consolidated Edison Co. v Public Serv. Commn.*, 63 NY2d 424, 431 n 2 [1984], quoting 16 USC § 82a-3 [d]; 18 CFR 292.101 [b] [6]).

in accordance with the policies and conditions established by the commission” (Public Service Law § 66-c [2] [a]). The six cent minimum rate was apparently repealed because the rate turned out to be an overestimate of the cost of production of electricity by the qualifying facilities, resulting in the imposition of overpayments on the utilities and their customers. The Governor’s Approval Memorandum in support of the repeal and the grandfathering provision stated “[c]onsumers are thereby relieved of the outdated minimum sales price while reasonable protection is provided to producers who relied on this minimum price provision” (Governor’s Mem approving L 1992, ch 519, 1992 McKinney’s Session Laws of NY, at 2898).

S&T owns and operates a small hydroelectric generating facility that had an original capacity of three megawatts (MW)—referred to as “old” capacity. The facility was replaced in 1986, increasing its capacity by an additional 7.5 MW of “new” capacity, for a total existing output of 10.5 MW. S&T and NIMO entered into a PPA pursuant to Public Service Law § 66-c (1) (a) in January 1987 whereby NIMO was required to purchase the entire 10.5 MW capacity of electricity generated by S&T.

The PPA was divided into three time periods—the first period ending December 31, 2000, the second December 31, 2008, and the third December 31, 2016. For purposes of this appeal, the only contract provisions at issue are those that relate to the rate that must be paid for the “new” capacity during the second and third periods.² The PPA states that for the second period, in consideration for a longer contract term, NIMO will pay S&T 90% of its avoided cost and recognizes that the discount may result in payments that are below any applicable minimum rate.³ The PPA goes on to define avoided cost as

“such actual cost of electric production . . . avoided by reason of this AGREEMENT, as defined in Service Classification No. 6 of PSC No. 207 Electricity as the same may be from time to time changed, amended and/or supplemented, the tariff duly approved by the COMMISSION applicable for payments to qualifying on-site generation suppliers whose

2. With respect to the 3 MW of “old” capacity, NIMO is required to continue to pay S&T at the Service Classification No. 6 tariff rate, subject to the six cent minimum for the balance of the agreement.

3. This 90% discount provision was later eliminated from the PPA by a December 1986 order of the Commission (*see* Pub Serv Commn Case No. 29448, issued Dec. 3, 1986).

sales of capacity and energy to NIAGARA are made under the terms of such tariff.”

For the third period, NIMO would pay S&T 80% of its avoided cost at “the rate contained in Service Classification No. 6.”⁴

NIMO’s tariff, Service Classification No. 6 (SC No. 6), sets forth a formula to be applied for determining the rate to be paid by NIMO to qualifying facilities. The tariff provides “[t]o the extent that a minimum unit rate applied under Section 66-c of the Public Service Law . . . the rate to be paid under this service classification shall be no less than 6.0 cents per kWh.”

Before the parties executed the PPA, the Commission issued an order directing certain terms (*see* Pub Serv Commn Case No. 29448, issued Dec. 3, 1986). The Commission determined that mere agreement between the parties to extend the PPA for longer than 15 years was insufficient consideration to allow NIMO to purchase the electricity at a discounted rate (*see* Pub Serv Commn Case No. 29448, issued Dec. 3, 1986).⁵ The Commission also

“direct[ed] Niagara Mohawk to enter into a [30]-year contract that provides for payment at the settlement rates for the increase in capacity resulting from the proposed facility through the year 2000 and thereafter through the end of the [30]-year term at full avoided costs. With respect to the 3 MW representing existing capacity, the payment rate will be tariff-based avoided costs, subject to the statutory minimum, throughout the [30]-year term of the contract” (Pub Serv Commn Case No. 29448, issued Dec. 3, 1986).⁶

S&T commenced this action in May 2001 after the expiration of the first payment period because, as of February 2001, NIMO stopped paying S&T at the six cent minimum rate for the entire

4. The 80% discount provision was similarly eliminated from the PPA by the December 1986 Commission order (*see* Pub Serv Commn Case No. 29448, issued Dec. 3, 1986).

5. Although the PPA was never amended to reflect the changes directed by the December 1986 order, the parties have apparently abided by the terms of the order as if the PPA had been amended. As a result, it is necessary to look to the December 1986 order to ascertain the “final” agreement between the parties.

6. The agreement incorrectly stated that the term of the contract would be 40 years. An errata notice was later issued to clarify that the term of the contract would be 30 years (*see* Pub Serv Commn Case No. 29448, Errata Notice, issued Jan. 7, 1987).

capacity—instead paying only NIMO’s avoided costs. S&T sought declarations that the PPA was within the grandfathering provisions of section 66-c, and thus subject to the six cent minimum, and that NIMO could not legally pay S&T at a rate below the six cent minimum. S&T also sought damages for the difference between the rate it was actually paid—NIMO’s avoided costs—and the six cent rate, with interest, and further, to enjoin NIMO from paying it at a rate less than six cents per kilowatt hour. The parties cross-moved for summary judgment pursuant to CPLR 3212.

Supreme Court granted each party’s motion in part, finding the PPA was grandfathered because it was in effect prior to June 26, 1992, the effective date of the amendment, and incorporated the six cent minimum through the SC No. 6 tariff. The court then determined that, for the second and third periods, NIMO must pay its actual avoided costs for the “new” capacity and the tariff-based avoided costs subject to the six cent minimum for the “old” capacity. The court based its decision, in part, on the language in the Commission’s December 1986 order differentiating between “full avoided costs” for the “new” capacity—without mentioning the six cent minimum—and “tariff-based avoided costs, subject to the statutory minimum” for the “old” capacity.

The Appellate Division affirmed for different reasons. That Court found the PPA was not grandfathered because, while NIMO’s tariff did refer to the six cent minimum, the reference was not in the context of the definition of avoided cost, and thus the PPA did not explicitly provide that the purchase of electricity would be at the utility tariff rate (299 AD2d 628, 630 [2002]). The former six cent statutory minimum was not applicable to the electric production for the 7.5 MW of “new” capacity. This Court granted S&T leave to appeal and we now affirm.

There is no dispute that the PPA at issue was signed by the parties and filed with the Commission prior to June 26, 1992, the effective date of the amendment. This fact alone does not result in automatic entitlement to the six cent minimum. The pertinent question here is whether the PPA “provid[es] for the purchase of electricity at a utility tariff rate referencing a statutory minimum sales price” (Public Service Law § 66-c [2] [a] [ii]). The PPA provides that S&T will be paid at NIMO’s “avoided cost,” which is described as the cost of the production of electricity NIMO would have incurred in the absence of the PPA, as defined in SC No. 6. NIMO’s tariff, SC No. 6, clearly

references the six cent minimum as part of a section entitled “RATE TO BE PAID BY COMPANY.” Although the PPA appears to fit within the grandfathering provision, the inquiry does not end there. The statute further specifies that the six cent minimum will continue to apply “provided, however, that such minimum sales price shall be implemented in accordance with the policies and conditions established by the commission” (Public Service Law § 66-c [2] [a]).

The Public Service Commission has not interpreted the “avoided cost” language at issue here since the six cent minimum was repealed and the grandfathering provision was enacted. In fact, the Commission has specifically declined to do so, stating

“[w]hile, under PURPA and PSL § 66-c, we supervise the . . . contract formation process, we have avoided involvement in contract disputes between utilities and [qualifying facilities] over the meaning of contract terms, arising after contract formation. Such contract disputes are better resolved according to commercial law principles, through negotiation, arbitration, or the courts” (Pub Serv Commn Case No. 02-E-0891, *Orange and Rockland Utilities, Inc.—Tariff Filing to Update its Rates for Buyback Service Under S.C. No. 15*, issued Dec. 20, 2002; see also Pub Serv Commn Case No. 01-E-0193, *Niagara Mohawk Power Corporation—Tariff Filing to Clarify the Applicability of the 6 [Cent] Rate for Contracts with Independent Power Producers*, issued June 6, 2001).

However, the Commission interpreted this specific PPA and the language at issue in its December 1986 order prior to the January 1987 execution of the agreement.⁷ That order, representing the “final” agreement between the parties, directed NIMO to pay S&T “full avoided costs” for its “new” capacity for the second and third periods of the agreement and to pay “tariff-based avoided costs, subject to the statutory minimum” for the “old” capacity for the entire term of the agreement. As such, the order drew a distinction between avoided costs and the tariff-based avoided costs subject to the six cent minimum. This policy interpretation was established by the Commission

7. S&T did not seek review by CPLR article 78 of the Commission’s December 1986 order or the denial of its petition for rehearing.

for this particular agreement. As the agency charged with the administration of the Public Service Law, the Commission's interpretation of the agreement in this highly technical area of law is entitled to deference (*see Matter of New York Tel. Co. v Public Serv. Commn.*, 95 NY2d 40, 48-49 [2000]; *see also Matter of Niagara Mohawk Power Corp. v Public Serv. Commn.*, 69 NY2d 365, 369 [1987] [noting that the Public Service Commission "has been granted 'the very broadest of powers' " in its rate-setting authority]). Thus, the "new" capacity is not entitled to the benefit of the grandfathering clause because, "in accordance with the policies and conditions established by the commission" (Public Service Law § 66-c [2] [a]), the December 1986 order reveals a policy that S&T would only be entitled to avoided costs for that capacity during the second and third periods of the PPA.

We reject S&T's arguments that full avoided costs include the six cent minimum or that the Commission's policy was to use the six cent minimum as a base price for the tariffs, in light of the Commission's December 1986 order—the operative order—addressing this particular PPA. In addition, any argument that the parties contemplated the six cent minimum at the time of the agreement negates the purpose of the grandfathering clause, which limits application of the six cent minimum to those contracts that expressly provide for it. This PPA never did. The contractual pricing provisions conveyed an intent to base the price for the 7.5 MW of "new" capacity during the second and third periods on NIMO's full avoided costs.

The parties' remaining contentions are without merit.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge KAYE and Judges G.B. SMITH, ROSENBLATT and GRAFFEO concur; Judge READ taking no part.

Order affirmed, with costs.

[802 NE2d 1100, 770 NYS2d 702]

In the Matter of GARY SALINO, Respondent, v ROBERT J. CIMINO,
as County Attorney of the County of Suffolk, et al., Appel-
lants.

Argued November 18, 2003; decided December 18, 2003

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered October 28, 2002. The Appellate Division (1) reversed, on the law, a judgment of the Supreme Court, Suffolk County (Howard Berler, J.), entered in a proceeding pursuant to CPLR article 78, which had denied the petition to review a determination of respondent Suffolk County Attorney denying petitioner's request for a legal defense in an underlying federal civil rights action and dismissed the proceeding, (2) granted the petition, (3) annulled the determination, and (4) directed respondent Suffolk County Attorney to defend petitioner in the underlying action.

Matter of Salino v Cimino, 298 AD2d 589, reversed.

HEADNOTES

Counties — Defense and Indemnification of Employee

1. Respondent County Attorney's denial of petitioner police officer's request pursuant to Suffolk County Code § 35-3 (A) for a legal defense in an underlying federal civil rights action, on the ground that petitioner was not acting within the scope of employment in connection with the incidents that formed the basis of complaint, was not arbitrary or capricious. Suffolk County Code § 35-3 (A) was enacted to provide for the defense of its employees who may be charged in civil actions with violating the law "in the performance of their duties" (Suffolk County Code § 35-1), and provides that the County Attorney is to determine "in the first instance" whether an employee was acting within the scope of employment. The factual record supports the County Attorney's determination that petitioner's alleged acts of wrongdoing were the consequence of his private interest as a property owner, not his public responsibility as a police officer.

Appeal — Raising Issue for First Time on Appeal

2. On an appeal from an Appellate Division order, which reversed Supreme Court's judgment dismissing a CPLR article 78 proceeding to review respondent's determination that denied petitioner's request for a legal defense pursuant to Suffolk County Code § 35-3 (A) in an underlying federal civil rights action, petitioner's argument that Suffolk County Code § 35-3 (A) was preempted by General Municipal Law § 50-m was not preserved for review by the Court of Appeals. Preemption was not addressed by either court below, since it was raised for first time in petitioner's motion for reargument and/or renewal, which Supreme Court denied.

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By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review § 690; Mandamus §§ 46, 47, 51, 122, 123; Public Officers and Employees § 407.
CARMODY-WAIT 2d, Actions By and Against Public Bodies and Public Officers §§ 145:89, 145:162, 145:163.
NY JUR 2d, Article 78 and Related Proceedings §§ 51–55, 72–74, 102, 111, 252, 260, 263; Civil Servants and Other Public Officers and Employees § 214.
SIEGEL, NY PRAC § 558.

ANNOTATION REFERENCE

See ALR Index under Mandamus; Public Officers and Employees.

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POINTS OF COUNSEL

Robert J. Cimino, County Attorney, Hauppauge (Theodore D. Sklar of counsel), for appellants. Suffolk County Code § 35-3 (A) impresses the County Attorney with the duty to make a factual determination “in the first instance” whether or not an employee must be provided with a defense in a civil action, and the County Attorney is not bound by the allegations in the complaint when making that determination. (Corning v Village of Laurel Hollow, 48 NY2d 348; Matter of Williams v City of New York, 64 NY2d 800; Bestafka v County of Suffolk, 121 AD2d 670, 68 NY2d 610; Matter of Vitucci v City of New York, 272 AD2d 620; Frontier Ins. Co. v State of New York, 87 NY2d 864; Mathis v State of New York, 140 Misc 2d 333; Sanchez v New York City Tr. Auth., 254 AD2d 345; Matter of DeRespiris v New York City Tr. Auth., 251 AD2d 503; Matter of Bolusi v City of New York, 249 AD2d 134; Weitman v City of New York, 222 AD2d 316, 87 NY2d 1055.)

O'Brien & O'Brien, LLP, Nesconset (Stephen L. O'Brien and Daniel P. O'Brien of counsel), for respondent. I. Suffolk County Code § 35-3 (A) is inconsistent with General Municipal Law § 50-m and cannot be relied on to support the County Attorney's capricious determination. (Consolidated Edison Co. of N.Y. v

Town of Red Hook, 60 NY2d 99; *Gregory v Town of Cambria*, 69 NY2d 655; *Walker v Town of Hempstead*, 84 NY2d 360; *Rooney v City of Long Beach*, 42 AD2d 34; *Matter of Board of Educ. of City School Dist. of City of N.Y. v Mills*, 250 AD2d 122; *Bloom v Town Bd. of Town of Yorktown*, 80 AD2d 823; *Board of Coop. Educ. Servs., Nassau County v Goldin*, 38 AD2d 267; *Ba Mar, Inc. v County of Rockland*, 164 AD2d 605; *Matter of Penny Lane/E. Hampton v County of Suffolk*, 191 AD2d 19; *Reinhart v Troy Parking Auth.*, 36 AD2d 654.) II. Petitioner is entitled to legal defense at the expense of the County of Suffolk. (*Frontier Ins. Co. v State of New York*, 87 NY2d 864; *Matter of LoRusso v New York State Off. of Ct. Admin.*, 229 AD2d 995; *Matter of Spitz v Abrams*, 123 Misc 2d 446, 105 AD2d 904; *Matter of Shannon v Introne*, 80 AD2d 834, 53 NY2d 929; *Matter of Hunt v Hamilton County*, 235 AD2d 758; *Mathis v State of New York*, 140 Misc 2d 333; *Hassan v Fraccola*, 851 F2d 602; *Matter of Williams v City of New York*, 64 NY2d 800; *Matter of Bigger v County of Orange*, 293 AD2d 746; *Beare v Byrne*, 103 AD2d 814.)

OPINION OF THE COURT

Chief Judge KAYE.

Suffolk County Code § 35-3 (A) obligates the County to provide a defense to its employees in any civil action “arising out of any alleged act or omission which occurred or is alleged in the complaint to have occurred while the employee was acting, or in good faith purporting to act, within the scope of his public employment or duties or which is brought to enforce any provisions of Sections 1981 through 1988 of Title 42 of the United States Code.” The County Code further provides that “[t]he determination of an issue of whether or not an employee was acting within the scope of his public employment or duties at the time of the occurrence, act or omission giving rise to a claim shall be made in the first instance by the County Attorney.” (*Id.*)

In this CPLR article 78 proceeding brought by a Suffolk County police officer, the issue is whether the County Attorney’s denial of petitioner’s request for a legal defense under Suffolk County Code § 35-3 (A)—on the ground that he was not acting within the scope of employment in connection with the incidents that formed the basis of the complaint—was arbitrary or capricious. We conclude, as did the trial court, that the County Attorney’s decision was not arbitrary or capricious.

The action for which petitioner seeks a taxpayer-paid defense grew out of a long feud between petitioner and his neighbor, Co-

rey Kay, over Kay's use of his property. Brought in the United States District Court for the Eastern District of New York under 42 USC §§ 1983, 1985 and 1986, Kay's complaint,¹ served in March 2000, was lodged against the County of Suffolk, and against petitioner and a fellow Suffolk County police officer, personally and in their official capacity. According to the complaint, in July 1996 Kay purchased property next door to petitioner in Mt. Sinai, New York, and leased two cottages on the premises for year-round occupancy to recipients of social services—to which petitioner objected. Kay charged that petitioner, who himself had attempted to purchase the property for similar purposes, persistently complained to town authorities and to the District Attorney that documents relating to year-round use of the cottages were forged or illegal, resulting in the arrest of Joan Van Middelem, the realtor on Kay's purchase of the property.

After the realtor's acquittal, and again at petitioner's behest—the complaint continues—a warrant was issued for Kay's arrest on similar charges; those charges also were dismissed. Kay alleged that the arrests were based on false statements provided by petitioner, and that as a police officer petitioner used his position and contacts to harass, annoy and alarm Kay and to “cause a reign of terror upon” him, including proceedings instituted before town boards and Supreme Court over use of his property. Kay asserted that petitioner's actions constituted a deprivation of constitutional rights, malicious prosecution and false arrest, and other wrongdoing.

Kay's lawsuit actually followed by months a similar action filed in the same court by the realtor (*see Joan Van Middelem v County of Suffolk*, Civil Action No. 99-2707). Shortly after the *Van Middelem* action was instituted, petitioner requested a taxpayer-paid defense under Suffolk County Code § 35-3 (A). After investigation by his Defense Evaluation Committee, the County Attorney concluded that petitioner had not acted in his capacity as a police officer in the alleged wrongdoing and denied his request for a defense. As the Committee reported:

“[T]he facts as presently known to the committee show that [petitioner] did not act in his capacity as a police officer in pursuing this matter. Rather, he acted as a concerned homeowner, and utilized re-

1. Winfield Properties, Ltd., is also a named plaintiff. Kay is its sole shareholder.

sources, including FOIL, available to any private citizen, in bringing this matter to the attention of responsible authorities. Stated differently, [petitioner] did not act in the scope of his duties or authority as a police officer. He sought to protect his private interests as a homeowner in engaging in the course of conduct.”

The Committee noted its reliance on a Police Department Internal Affairs report which explained that, through his own FOIL requests, petitioner learned that there had been no zoning change for the cottages from summer to year-round occupancy, and that the Town’s certificate of zoning compliance had been based on affidavits (allegedly false) secured by the broker from two elderly neighbors. Petitioner’s persistence included commencing administrative proceedings and litigation.² According to the Internal Affairs report, petitioner took the information he had learned to his codefendant fellow officer. Based in part on petitioner’s deposition, which did not indicate in any way that he was acting in an official capacity, that officer swore out a criminal complaint against the broker; those charges were dismissed on the death of one of the affiants. Other Internal Affairs documents, which are part of the record before us, include a variety of Kay and Van Middlelem reports about petitioner to the Police Department reflecting escalating acrimony between the parties, such as petitioner’s alleged obscene gestures, inappropriate traffic stop and operation of an unlicensed business.³

Petitioner did not pursue the County Attorney’s denial of his request for a legal defense in the *Van Middlelem* action.

After Kay commenced his federal court action, petitioner asked that the County provide for his defense in that case because the Kay complaint alleges that he was acting as a police officer, and because Department directives required all off-duty officers to report suspected or observed unlawful activities to

2. (See e.g. *Matter of Gary Salino v Town of Brookhaven Bd. of Zoning Appeals et al.*, Sup Ct, Suffolk County, June 10, 1999, Seidell, J., Index No. 24221/98 [remitting the matter to the Town’s Zoning Board of Appeals for further hearing and findings of fact to determine the nonconforming status of the property].)

3. Though these complaints were for the most part ultimately found unsubstantiated, petitioner was relocated because of ongoing disputes with civilians in his patrol area. The Internal Affairs documents also show that petitioner and the arresting officer were exonerated by the Department for the arrests of Kay and Van Middlelem, which were found to have been supported by probable cause.

on-duty police personnel. Again the County Attorney denied petitioner's request for a County-funded defense, finding that petitioner was not acting within the scope of employment in connection with the incidents that formed the basis of Kay's complaint. Again the County Attorney relied on a Defense Evaluation Committee report, which rested in part on its earlier findings and concluded that

“[n]otwithstanding the boilerplate allegations in the complaint, the operative facts, as distinguished from the legal conclusions asserted in the complaint do not establish that [petitioner] was acting within the scope of his employment. For example, the complaint recites [petitioner's] private litigation, which was clearly not brought by him in his official capacity.”

Petitioner then instituted this article 78 proceeding arguing that a plain reading of Suffolk County Code § 35-3 (A) obligates the County to provide him with a defense. Supreme Court agreed with the County's determination that the acts attributed to petitioner were not committed while he was acting in furtherance of his public employment. The Appellate Division, however, reversed and found that the “clear and unambiguous language” contained in the legislation obligated the County to afford petitioner a defense because “[s]ome of the acts asserted in the complaint in the underlying federal civil rights action were alleged by the plaintiff to have been performed by the petitioner in his capacity as an employee of the County of Suffolk” (298 AD2d 589, 590 [2d Dept 2002]). We now reverse and reinstate Supreme Court's dismissal of the petition.

Discussion

Suffolk County Code § 35-3 (A) was enacted in 1981 to provide for the defense of County employees who may be charged in civil actions with violating the law “in the performance of their duties” (Suffolk County Code § 35-1). The Legislature viewed the provision as a way to encourage qualified applicants to accept employment with the County, without burdening them with legal expenses incurred in defense of allegations of misconduct “in office” (*id.*).

As the Appellate Division noted, the Code provides for a defense, in clear and unambiguous language, for acts alleged in the complaint to have occurred while the employee was acting within the scope of his public employment, or actions brought

to enforce any provisions of 42 USC §§ 1981-1988. But that is not the end of the matter, or the section. The Code goes on to provide, in equally clear and unambiguous language, that the County Attorney is to determine “in the first instance” whether an employee was acting within the scope of employment.⁴

[1] While the two provisions of section 35-3 (A) are seemingly at odds with each other, in fact they are fully reconcilable. Clearly, the Suffolk County Legislature by this provision did not commit public funds to an employee’s defense based solely on the words chosen by a plaintiff in framing a complaint. Allowing a plaintiff to dictate whether Suffolk County must provide an employee with a defense would indeed be an unintended result of section 35-3 (A) (*see Bestafka v County of Suffolk*, 121 AD2d 670, 671 [2d Dept 1986], *lv denied* 68 NY2d 610 [1986]). The reconciling principle between the provision for a public defense protecting employees, and the provision for review by the County Attorney, is that the action of the County Attorney must not be arbitrary or capricious, or it will be set aside (*see Matter of Williams v City of New York*, 64 NY2d 800, 802 [1985]).⁵

Here, the factual record supports the County Attorney’s determination that petitioner’s alleged acts of wrongdoing against Kay were the consequence of his private interest as a property owner, not his public responsibility as a police officer.⁶ That he was acting to protect and advance his private self-interest is demonstrated, for example, by his individual FOIL requests, by his statements submitted as a long-time community member, not as a police officer, in support of criminal charges against Kay, and by the proceedings in his name challenging Kay’s use of the property. Plainly, the County Attorney’s determination denying him a defense was neither arbitrary nor capricious.

[2] Finally, we do not reach petitioner’s alternative argument that Suffolk County Code § 35-3 (A) is preempted by General

4. Similar “first instance” clauses are found elsewhere (*see e.g.* General Municipal Law § 50-k [2] [as determined by Corporation Counsel]; Code of City of Buffalo § 35-28 [same]; Code of City of Albany § 38-7 [A] [same]).

5. So long as the County Attorney’s determination has a factual basis, it will be sustained. As counsel recognized at oral argument, however, should the factfinder in the federal action ultimately determine that petitioner was indeed acting within the scope of his public employment, as Kay alleges, an issue regarding petitioner’s right to indemnification might arise (*see Jeffreys v Grif-fin*, 1 NY3d 34 [2003] [collateral estoppel is a flexible doctrine]).

6. According to petitioner’s Memorandum of Law submitted in Supreme Court, his fellow officer was advised that Suffolk County would provide for his defense in the federal litigation.

Municipal Law § 50-m. Preemption was not raised in the petition, or before Supreme Court. Petitioner raised preemption for the first time in his motion for “reargument and/or renewal,” which Supreme Court denied. Neither court below having addressed preemption, we will not be the first to do so (*see Bingham v New York City Tr. Auth.*, 99 NY2d 355, 359-360 [2003]).

Accordingly, the order of the Appellate Division should be reversed, with costs, and the judgment of Supreme Court, dismissing the petition, reinstated.

Judges G.B. SMITH, CIPARICK, ROSENBLATT, GRAFFEO and READ concur.

Order reversed, etc.

[802 NE2d 1109, 770 NYS2d 711]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v DAVON
TAYLOR, Appellant.

Argued November 20, 2003; decided December 23, 2003

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered October 1, 2002. The Appellate Division affirmed a judgment of the Supreme Court, Bronx County (Ira R. Globerman, J.), which had convicted defendant, upon a jury verdict, of murder in the second degree.

People v Taylor, 298 AD2d 112, affirmed.

HEADNOTE**Crimes — Right to Counsel — Effective Representation**

Defendant received effective assistance of trial counsel pursuant to the State and Federal Constitutions (US Const 6th Amend; NY Const, art I, § 6). Under the circumstances, defense counsel's actions were within the reasonably objective range of performance, and she provided defendant with meaningful representation. Although defendant claimed that his attorney failed to object to certain questions that the prosecutor asked when cross-examining the alibi witness, and also failed to object to part of the prosecutor's summation, defense counsel cross-examined key prosecution witnesses, presented an alibi defense, and gave a detailed summation highlighting potential infirmities in the People's evidence. Further, while the prosecutor's conduct was indefensible, defendant failed to demonstrate the absence of strategic or other legitimate explanations for counsel's alleged shortcomings.

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AM JUR 2d, Criminal Law §§ 1223–1227.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:1923–
172:1924, 172:1938, 172:1941.

LAFAYE, ET AL., CRIMINAL PROCEDURE (3d ed) § 11.10.

MCKINNEY'S, NY Const, art I, § 6.

NY JUR 2d, Criminal Law §§ 815–818, 824, 858, 860.

US Const 6th Amend.

ANNOTATION REFERENCE

See ALR Index under Arguments of Counsel; Attorney or
Assistance of Attorney.

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Database: NY-ORCS

Query: attorney counsel /4 effective ineffective /p object!
/s fail! /s summation /p cross-examin!

POINTS OF COUNSEL

Gould Fishbein Reimer & Gottfried, LLP, New York City (Susan J. Walsh and Norman L. Reimer of counsel), for appellant. Defendant was deprived of his constitutional right to the effective assistance of counsel by virtue of his counsel's failure to object to, cure or preserve the error of manifest prosecutorial misconduct during the course of the summation and the cross-examination of the defense witness and by her failure to adequately challenge the sufficiency of the evidence. (*McMann v Richardson*, 397 US 759; *Strickland v Washington*, 466 US 668; *People v Benevento*, 91 NY2d 708; *United States v Cronin*, 466 US 648; *People v Claudio*, 83 NY2d 76; *People v Hobot*, 84 NY2d 1021; *People v Flores*, 84 NY2d 184; *Murray v Carrier*, 477 US 478; *Kimmelman v Morrison*, 477 US 365; *People v Lauderdale*, 295 AD2d 539.)

Robert T. Johnson, District Attorney, Bronx (Lynetta M. St. Clair, Joseph N. Ferdenzi and Karen Swiger of counsel), for respondent. Defendant received the effective assistance of counsel, who provided him with a vigorous defense, made appropriate objections, and obtained curative relief from the trial court. (*People v Baldi*, 54 NY2d 137; *People v Henry*, 95 NY2d 563; *Strickland v Washington*, 466 US 668; *Lockhart v Fretwell*, 506 US 364; *People v Rivera*, 71 NY2d 705; *People v Benn*, 68 NY2d 941; *People v Benevento*, 91 NY2d 708; *People v Flores*, 84 NY2d 184, petition for habeas corpus granted sub nom. *Flores v Demskie*, 215 F3d 293; *People v Bennett*, 29 NY2d 462; *People v Olivo*, 52 NY2d 309.)

OPINION OF THE COURT

READ, J.

A jury convicted defendant of intentional second-degree murder (Penal Law § 125.25 [1]) for his role in the killing of a rival drug dealer. Defendant now claims that he received ineffective assistance of trial counsel in contravention of the State and Federal Constitutions (US Const 6th Amend; NY Const, art I, § 6). We conclude that the constitutional standard has been met because, in light of the circumstances of this particular case, defense counsel's actions were within the reasonably objective range of performance (*see Strickland v Washington*, 466 US

668, 687-688 [1984]), and she provided defendant with meaningful representation (*People v Baldi*, 54 NY2d 137, 147 [1981]).

At trial, the People relied primarily upon the testimony of defendant's cousin, who informed the jury that she overheard defendant and his partner plan the murder; saw them carry it out; and was present when they discussed the crime immediately afterward. Defendant produced one alibi witness, the mother of his daughter. Choosing to believe the cousin rather than the alibi witness, the jury convicted defendant. The Appellate Division affirmed, and a Judge of this Court granted defendant leave to appeal.

Defendant claims ineffective assistance of counsel because his attorney failed to object to certain questions that the prosecutor asked when cross-examining the alibi witness, and also failed to object to part of the prosecutor's summation. The record discloses, however, that "[d]efense counsel cross-examined key prosecution witnesses, presented . . . an alibi defense, and gave a detailed summation highlighting potential infirmities in the People's evidence" (*People v Ryan*, 90 NY2d 822, 823 [1997]). Further, while the prosecutor's conduct was indefensible, defendant has failed " 'to demonstrate the absence of strategic or other legitimate explanations' for counsel's alleged shortcomings" (*People v Benevento*, 91 NY2d 708, 712 [1998], quoting *People v Rivera*, 71 NY2d 705, 709 [1988]; see also *People v Tonge*, 93 NY2d 838, 840 [1999]).*

Defense counsel presented a coherent, cogent defense. In her opening remarks, she told the jury that the People's main witness (defendant's cousin) was not to be believed because she

* One of the bases of defendant's complaint is that, prior to the testimony of the sole defense witness, the prosecutor, knowingly and falsely, told defense counsel that the witness had prior convictions for prostitution. Defense counsel later learned the truth, but only after the testimony of the witness, who had been upset by the prosecutor's supposed revelation. The prosecutor attempted to pass his false statement off as a "joke," explaining that he and defense counsel had a history of playing pranks on each other. The prosecutor then spent many pages of the trial transcript repeatedly berating defense counsel for having complained of the incident to the trial court. As the trial court aptly stated, such levity has no place in a murder trial. Nevertheless, the record does not indicate that the prosecutor's "joke" affected counsel's performance. Defendant also complains of the prosecutor's summation remark that the witness had been "bought and paid for." In the context of the entire summation, it is clear that the prosecutor was referring to the fact that the witness was receiving financial support from the defendant's family for her child, the offspring of defendant. The choice of words was unfortunate and if taken literally, would violate the rule that a prosecutor's comments must stay within the four corners of the evidence (*People v Ashwal*, 39 NY2d 105, 109 [1976]).

came forward more than three years after the murder and solely to curry favor with the police on an unrelated charge that had been lodged against her. Defense counsel carried this theme forward, cross-examining the witness so as to highlight her bad behavior and prior bad acts; she reprised the cousin's suggested motive to lie on summation. Moreover, defense counsel participated actively in jury selection, consulting with defendant at various points; objected vigorously, and often successfully, during the testimony of all the People's witnesses; cross-examined the People's witnesses thoroughly; participated intelligently in numerous bench conferences and the jury charge conference; and made numerous objections during the prosecutor's summation.

Defense counsel was not ineffective just because her efforts to discredit defendant's cousin proved futile. "An attorney who presents a well-grounded but unsuccessful defense will not later be held to have provided ineffective assistance of counsel, and thus a defendant will not be entitled to a vacatur of his conviction on such basis" (*People v Baldi*, 54 NY2d at 140). In addition, "when viewed in light of the trial as a whole, the actions of defense counsel of which defendant now complains [the failure to raise objections] could be attributed to tactical trial decisions" (*People v Ryan*, 93 NY2d at 823-824). The decision not to object to prosecutorial actions may simply "reflect 'a reasonable and legitimate strategy under the circumstances and evidence presented' " (*People v Tonge*, 90 NY2d at 840, quoting *People v Benevento*, 91 NY2d at 713). Defense counsel objected almost 50 times during the prosecutor's cross-examination of the alibi witness. She may have concluded that further objections would serve only to annoy the trial court or—more importantly—the jury; perhaps she did not wish to risk focusing the jury's attention further on unhelpful evidence. Additionally, to the extent the trial prosecutor's acts were as offensive as defendant now claims (and some were), defense counsel might have reasonably calculated that, if allowed sufficient latitude, he would alienate the jury.

As we have repeatedly stated, "[t]o prevail on a claim of ineffective assistance of counsel, it is incumbent on defendant to demonstrate the absence of strategic or other legitimate explanations for counsel's [supposed] failure[s]" (*People v Rivera*, 71 NY2d at 709). As defendant here has failed to carry his burden, "it will be presumed that counsel acted in a competent manner and exercised professional judgment" (*id.*)

by not lodging objections at the points where defendant now claims they should have been raised.

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSENBLATT and GRAFFEO concur.

Order affirmed.

[802 NE2d 1071, 770 NYS2d 673]

MAUREEN O'CONNELL, Respondent, v ELLEN CORCORAN, as Exec-
utrix of JOHN J. O'CONNELL, Deceased, Appellant.

Argued September 11, 2003; decided November 20, 2003

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered January 17, 2002. The Appellate Division affirmed a judgment of the Supreme Court, Albany County (Stephen A. Ferradino, J.), entered after a nonjury trial, which had ordered equitable distribution of the parties' marital property. The appeal brings up for review a prior nonfinal order of that Appellate Division, entered April 18, 1996, which affirmed an order of the Supreme Court, Albany County (Harold J. Hughes, J.). The Supreme Court order had denied defendant's decedent's motion to dismiss the complaint as barred by the doctrines of res judicata and collateral estoppel.

O'Connell v O'Connell, 290 AD2d 774, reversed.

HEADNOTE

Husband and Wife — Equitable Distribution — Res Judicata Effect of Sister State Divorce Decree

Plaintiff, having failed to seek a distribution of the parties' marital property at the time she brought her successful Vermont divorce action, was barred by the doctrine of res judicata from seeking equitable distribution in a separate action subsequently commenced in New York. Domestic Relations Law § 236 (B) (2) and (5) (a), which are broadly worded to permit parties to obtain equitable distribution of marital property following a foreign divorce, extend only as far as the Full Faith and Credit Clause permits. Under Vermont law, the court deciding plaintiff's divorce action could have distributed the marital property at that time, and plaintiff was barred from seeking such relief in a subsequent action in Vermont. Where a divorced spouse would be precluded from commencing a separate action for distribution of marital property within the sister state granting the divorce decree, New York must also preclude a subsequent action for equitable distribution of marital property.

TOTAL CLIENT-SERVICE LIBRARY® REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Constitutional Law §§ 973-975; Divorce and Separation §§ 484, 595, 596, 1156, 1157, 1185.
CARMODY-WAIT 2d, Divorce §§ 114:277, 114:278, 114:280, 114:312, 114:330; Spousal Support, Counsel Fees, Child Support, and Property Distribution in Matrimonial Actions §§ 118:211, 118:213.

LAW AND THE FAMILY NEW YORK (2d ed) §§ 3-6:16, 3-6:21, 3-6:26.

McKINNEY'S, Domestic Relations Law § 236 (B) (2), (5) (a).
NY JUR 2d, Constitutional Law §§ 429, 430; Domestic Relations §§ 2344, 2469, 2518, 2519, 2599.

SIEGEL, NY PRAC §§ 447, 471.

ANNOTATION REFERENCE

See ALR Index under Divorce and Separation; Equitable Distribution; Full Faith and Credit.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: "equitable distribution" & "res judicata" & "full faith"

POINTS OF COUNSEL

Matthew J. Clyne, Albany, for appellant. I. The instant action is barred by principles of res judicata and collateral estoppel. (*O'Connell v O'Connell*, 226 AD2d 950; *Matter of Reilly v Reid*, 45 NY2d 24; *O'Brien v City of Syracuse*, 54 NY2d 353; *Brooklyn Welding Corp. v City of New York*, 198 AD2d 189; *Boronow v Boronow*, 71 NY2d 284; *Viviano v Allard*, 197 AD2d 210; *Nikrooz v Nikrooz*, 167 AD2d 334; *Miller v Miller*, 183 AD2d 395; *Mahoney v Mahoney*, 131 AD2d 822.) II. The court below applied an erroneous valuation date to the marital assets. (*Anglin v Anglin*, 80 NY2d 553; *Majauskas v Majauskas*, 61 NY2d 481.) III. Defendant's decedent was not properly credited with his individual contributions toward the marital residence. (*Heine v Heine*, 176 AD2d 77; *Cleary v Cleary*, 171 AD2d 1076.) IV. The courts below erroneously failed to balance the equities by failing to adequately consider the length of the parties' separation. (*Michalek v Michalek*, 114 AD2d 655.) V. Defendant's decedent's monthly disability payment from INA Life Insurance Company of New York is not subject to equitable distribution since it reflects compensation for personal injury. (*Dolan v Dolan*, 78 NY2d 463; *Amara v Amara*, 243 AD2d 433.)

Friedman and Molinsek, P.C., Delmar (*Michael P. Friedman* of counsel), for respondent. I. Plaintiff-respondent's claim is not barred by res judicata. (*Nikrooz v Nikrooz*, 167 AD2d 334; *Braunstein v Braunstein*, 114 AD2d 46; *Mahoney v Mahoney*, 131 AD2d 822; *Erhart v Erhart*, 226 AD2d 26.) II. The court appropriately set forth the factors it considered in reaching its de-

termination. (*Monette v Monette*, 177 AD2d 802; *Du Jack v Du Jack*, 221 AD2d 712.) III. Supreme Court appropriately utilized the commencement of the action as the cutoff date for equitable distribution of plaintiff's pension. (*Anglin v Anglin*, 80 NY2d 553; *McMahon v McMahon*, 187 Misc 2d 364; *Sullivan v Sullivan*, 201 AD2d 417; *Matter of Nicit v Nicit*, 217 AD2d 1006, 86 NY2d 883.) IV. The court appropriately distributed the marital property in spite of the length of the parties' separation given the fact of the circumstances of the parties' marriage. (*Bisca v Bisca*, 108 AD2d 773, 66 NY2d 741; *Rizzuto v Rizzuto*, 250 AD2d 829; *Price v Price*, 69 NY2d 8; *Burns v Burns*, 84 NY2d 369; *Judson v Judson*, 255 AD2d 656; *Walasek v Walasek*, 243 AD2d 851; *Seidman v Seidman*, 226 AD2d 1011.) V. The court correctly determined that defendant's decedent's disability payment is marital property subject to equitable distribution. (*Dolan v Dolan*, 78 NY2d 463; *Allwell v Allwell*, 277 AD2d 789; *Palazzolo v Palazzolo*, 242 AD2d 688; *Carney v Carney*, 236 AD2d 574; *Parrish v Parrish*, 213 AD2d 928; *Ferrugiari v Ferrugiari*, 226 AD2d 498.)

OPINION OF THE COURT

CIPARICK, J.

In 1959, plaintiff Maureen O'Connell and now-deceased John J. O'Connell were married in New York.¹ Eight children were born of the marriage, all currently emancipated. In 1982, plaintiff moved out of the marital residence and commenced a New York divorce action based on cruel and inhuman treatment. After trial, Supreme Court dismissed the action for failure of proof and the Appellate Division affirmed (116 AD2d 823 [3d Dept 1986]). Thereafter, plaintiff and decedent continued to reside separately. The children lived with plaintiff, and decedent paid child support.

In 1993, plaintiff established residence in Vermont. Thereafter, in 1994, she commenced a divorce action in the Family Court of Vermont pursuant to Vermont's no-fault divorce law, which permits divorce when "a married person has lived apart from his or her spouse for six consecutive months and the court finds that the resumption of marital relations is not reasonably probable" (Vt Stat Ann, tit 15, § 551 [7]). Decedent was served with a complaint seeking divorce, and by letter answer opposed the

1. During the pendency of his motion for leave to appeal to this Court, John O'Connell died. Ellen Corcoran, as executrix of his estate, was substituted as the party defendant in this action.

divorce. A final hearing was scheduled for December 21, 1994. Decedent received notice from the Vermont court, requesting that he appear at the hearing on the divorce and motion for property division. Decedent appeared pro se, although New York counsel accompanied him and was available in the courtroom.

During the hearing, plaintiff's counsel informed the Vermont court that plaintiff was seeking only a divorce. When the court inquired about property division, counsel explained that all of the parties' marital assets were located in New York State and the Vermont court lacked jurisdiction to distribute the property. Neither the trial judge nor decedent contested plaintiff's statement. Decedent argued only that plaintiff's previous divorce action in New York barred her from maintaining a divorce action in Vermont. At the close of the hearing, the court rejected decedent's argument and granted plaintiff a final judgment of divorce. It made no property distribution.

In 1995, plaintiff commenced this New York action against decedent seeking equitable distribution of the marital property, pursuant to Domestic Relations Law § 236 (B) (5) (a), which authorizes New York courts to distribute marital property subsequent to a foreign judgment of divorce. Decedent moved for dismissal on the ground that the complaint was barred by res judicata. He argued that, because Vermont Family Court had personal jurisdiction over both parties, the court could have rendered a judgment directing equitable distribution of their marital assets. He contended that plaintiff's failure to seek equitable distribution in the Vermont divorce action barred her from seeking subsequent equitable distribution in Vermont and, therefore, under the Full Faith and Credit Clause of the United States Constitution, New York was required to dismiss plaintiff's complaint.

Supreme Court denied decedent's motion and the Appellate Division affirmed (226 AD2d 950 [3d Dept 1996], *lv dismissed* 88 NY2d 963 [1996]). Noting that Domestic Relations Law § 236 (B) (5) (a) expressly permits parties to obtain equitable distribution following a foreign judgment of divorce, the Appellate Division concluded that the statute entitled plaintiff to proceed in this action. Additionally, the Court concluded that the Vermont divorce decree did not have res judicata effect in New York because the issue of equitable distribution was not resolved, addressed or litigated in the Vermont divorce proceeding, and it remitted the matter to Supreme Court for trial.

Following a bench trial, Supreme Court awarded plaintiff a distributive award of \$186,670, representing approximately half of the marital estate, and directed decedent to pay \$5,000 toward plaintiff's counsel fees. The Appellate Division affirmed (290 AD2d 774 [3d Dept 2002]) and this Court granted defendant leave to appeal, bringing up for review the prior Appellate Division order that denied defendant's motion to dismiss the complaint. We now reverse.

Domestic Relations Law § 236 permits a New York proceeding to obtain the distribution of marital property following a foreign judgment of divorce.² Lower courts differ as to whether a bilateral sister state divorce decree—one in which the sister state could have, but did not, distribute marital property—precludes a subsequent New York proceeding to obtain equitable distribution pursuant to section 236 (B) (2) and (5) (a) (*compare* 226 AD2d 950 [3d Dept 1996], *lv dismissed* 88 NY2d 963 [1996], *with Erhart v Erhart*, 226 AD2d 26 [4th Dept 1996]; *see also* Scheinkman, Practice Commentaries, McKinney's Cons Laws of NY, Book 14, Domestic Relations Law C236B:3, at 247-248). *Erhart* held that the Full Faith and Credit Clause requires the courts of this state to give the same effect to a properly obtained sister state divorce decree that the sister state would give the decree. Therefore, where a divorced spouse would be precluded from commencing a separate action for distribution of marital property within the sister state granting the divorce decree, New York must also preclude a subsequent action for equitable distribution of marital property (*see Erhart*, 226 AD2d at 31). This approach is consistent with the requirements of full faith and credit and our own application of res judicata in matrimonial actions.

While section 236 (B) (2) and (5) (a) are broadly worded to permit parties to obtain postdivorce equitable distribution fol-

2. Section 236 (B) provides in relevant part:

"2. Matrimonial actions. Except as provided in subdivision five of this part, the provisions of this part shall be applicable to . . . proceedings to obtain maintenance or a distribution of marital property following a foreign judgment of divorce, commenced on and after the effective date of this part [July 19, 1980]. . . .

"5. Disposition of property in certain matrimonial actions. a. Except where the parties have provided in an agreement for the disposition of their property . . . the court, . . . in proceedings to obtain a distribution of marital property following a foreign judgment of divorce, shall determine the respective rights of the parties in their separate or marital property, and shall provide for the disposition thereof in the final judgment."

lowing a foreign divorce—with no mention of whether such a divorce results from either an ex parte or bilateral divorce proceeding—the statute should be interpreted to extend only as far as the Constitution permits. In accordance with the Full Faith and Credit Clause, a “judgment of a state court should have the same credit, validity, and effect, in every other court of the United States, which it had in the state where it was pronounced” (*Underwriters Natl. Assur. Co. v North Carolina Life & Acc. & Health Ins. Guar. Assn.*, 455 US 691, 704 [1982], quoting *Hampton v McConnel*, 3 Wheat [16 US] 234, 235 [1818]; see also *Vanderbilt v Vanderbilt*, 354 US 416, 418 [1957]; *Matter of Luna v Dobson*, 97 NY2d 178, 183 [2001]). Thus, where a foreign divorce decree would serve as a bar to a subsequent action for equitable distribution brought in the courts of the decree-rendering state, the decree also has that effect in New York.

Giving a foreign divorce decree the same conclusive effect in New York as it would have in the decree-rendering state is consistent with our own application of res judicata in matrimonial actions (see *Boronow v Boronow*, 71 NY2d 284 [1988]). The decree-rendering state here being Vermont, we now turn to a review of its law.

Vermont Statutes Annotated, title 15, § 751 (a) provides that,

“[u]pon motion of either party to a [divorce] proceeding . . . the court shall settle the rights of the parties to their property, by including in its judgment provisions which equitably divide and assign the property. *All property owned* by either or both of the parties, however and whenever acquired, shall be subject to the jurisdiction of the court” (emphasis supplied).

Here, despite the erroneous statement of plaintiff’s Vermont counsel, there is no question that the Vermont court had personal jurisdiction over both plaintiff and decedent and could have distributed the marital property, wherever situated. We reject plaintiff’s contention and the dissent’s conclusion that decedent’s appearance was limited only to contesting the divorce and that the Vermont court had rendered itself powerless to decide the property issue (see dissenting op at 190).

In Vermont, as in New York, the common-law doctrine of res judicata “bars the litigation of a claim or defense if there exists a final judgment in former litigation in which the ‘parties,

subject matter and causes of action are identical or substantially identical' ” (*Berlin Convalescent Ctr., Inc. v Stoneman*, 159 Vt 53, 56, 615 A2d 141, 143 [1992]). This “doctrine covers claims that were actually litigated, as well as those which could have been litigated” in a previous action (*Roddy v Roddy*, 168 Vt 343, 347 n 2, 721 A2d 124, 127 n 2 [1998]).

Applying the principles of full faith and credit, plaintiff's divorce action has the same conclusive effect in New York as it does in Vermont. We, therefore, hold that, notwithstanding Domestic Relations Law § 236 (B) (2) and (5) (a), this action is barred in New York. Public policy in New York and Vermont frowns upon forum shopping and the bifurcation of divorce and equitable distribution proceedings. In *Boronow*, this Court held that a party in a divorce action, who had a full and fair opportunity to contest title to the former marital home, was barred from raising the issue of title in a subsequent action (*see* 71 NY2d at 286). Applying a transactional analysis, we explained that, in a divorce action,

“questions pertaining to important ancillary issues like title to marital property are certainly intertwined and constitute issues which generally can be fairly and efficiently resolved with the core issue. The courts and the parties should ordinarily be able to plan for the resolution of all issues relating to the marriage relationship in the single action” (*id.* at 290).

The Vermont Supreme Court similarly has recognized a preference for a single action. As the court noted in *Roddy v Roddy*, “[n]o one is entitled to break a case down into a myriad of single issue actions to obtain the desired judgment. Judicial time schedules and fairness to one's opponent prohibit this practice” (*Roddy*, 168 Vt at 347, 721 A2d at 127, quoting *B & E Corp. v Bessery*, 130 Vt 597, 601, 298 A2d 544, 546 [1972]).³ Thus, a party—who had a full and fair opportunity to litigate property issues in another state—would be precluded from litigating such issues in New York.

Finally, we do not agree with the dissent that the Vermont court “expressly declined to adjudicate the issue of equitable

3. The dissent's reliance on *Ford v Franklin* (129 Vt 114, 118, 274 A2d 461, 463 [1971]) is misplaced as the plaintiff in that case had obtained an ex parte Nevada divorce decree, defendant having defaulted and “being neither present in person nor by attorney.” (*Id.*)

distribution” (dissenting op at 186). There is no language severing issues of property distribution, and nothing in the court’s order to indicate an intention to do so. The dissent rests entirely on a colloquy with counsel (quoted at 187-188), when counsel erroneously advised that the court lacked jurisdiction to divide New York assets. The court responded “All right. Mr. O’Connell, is there anything that you wish to put to the Court at this time?” This in no way constitutes a severance. Indeed, in a 12-page transcript of the Vermont hearing, the court used the words “All right” eight times, clearly as a means of moving the parties along.

Nor can we, as a court of law, agree with the dissent’s closing observation that, if equitable distribution is denied, plaintiff will receive nothing from a long term marriage. In fact, we do not know the true equities here, and must be guided by the law and the parties’ arguments to us.⁴

Having determined that plaintiff’s action for equitable distribution is barred, we need not address defendant’s remaining contentions as they are academic.

Accordingly, the order of the Appellate Division should be reversed, the motion granted and the complaint dismissed with costs.

G.B. SMITH, J. (dissenting). Because the Vermont court expressly declined to adjudicate the issue of equitable distribution, I would affirm the order of the Appellate Division.

Plaintiff Maureen O’Connell and defendant John J. O’Connell were married in 1959. She was a nurse and he was, as he described, a laborer at a beer brewing company. When the company closed in the early 1960s, defendant was vice-president of the company. Defendant then went to work for an energy company where he remained until his retirement in 1994.¹ Plaintiff, by contrast, became a homemaker about a year after the marriage, raising the first of eight children. All the children were raised in a two-story five-bedroom colonial home constructed in 1968 and 1969. While defendant was primarily responsible for building the home, plaintiff maintained it. Plaintiff’s parents financed significant improvement of the home’s garage.

4. It bears noting that the dissent is predicated on an argument that is not being asserted by plaintiff.

1. Defendant died recently and the preliminary executrix proceeded with this action.

In 1982, the two separated. By then plaintiff had resumed her vocation as a nurse. Plaintiff moved to another home with all the children except for one who was away in school. Plaintiff's action for divorce that same year, based on cruel and inhuman treatment, was unsuccessful (*O'Connell v O'Connell*, 116 AD2d 823 [1986]). When plaintiff left with the children, she essentially took no marital property with her.

About a decade later, in December 1994, plaintiff succeeded in obtaining a divorce in Vermont where she was not required to establish that defendant was at fault. It was enough that they had been living apart for more than six months and reconciliation was unlikely. The defendant appeared at the court in Vermont to contest the divorce proceeding. The Vermont court would not allow his attorney, who was not admitted in Vermont, to participate in the proceeding. Defendant proceeded pro se and protested the proceeding only on the grounds of the prior New York divorce. The Vermont court stated that it would take defendant's opposition to be an objection to the jurisdiction of the court, and it denied defendant's assertion that the New York proceeding was determinative.

During the divorce proceeding in Vermont, the following discussion took place between plaintiff's counsel and the court after plaintiff testified:

"COURT: . . . am I to understand then, that questions of property division are conceded by you as to not appropriately being before this court?

"[COUNSEL]: As far as I understand all of the property—

"COURT: You're only asking at this point for a decree of divorce—

"[COUNSEL]: Correct.

"COURT:—nothing ancillary to that?

"[COUNSEL]: That's it. Correct.

"COURT: And will you explain to the court why that is?

"[COUNSEL]: Because as far as I know if any marital property exists, it exists in the State of New York and I don't believe this court would have jurisdic-

tion to make orders with regard to the division of marital property assets in the State of New York.

“COURT: All right.”

Plaintiff then commenced this action in New York Supreme Court seeking equitable distribution. Plaintiff relied on New York Domestic Relations Law § 236, which provides, as relevant, that “in proceedings to obtain a distribution of marital property following a foreign judgment of divorce,” the court “shall determine the respective rights of the parties in their separate or marital property, and shall provide for the disposition thereof in the final judgment.” (§ 236 [B] [5] [a].) Defendant moved to dismiss the action on the ground of res judicata and collateral estoppel. The trial court denied the motion and the Appellate Division affirmed, concluding, that in the Vermont action, “[n]o provision . . . was made for the distribution of marital property nor was the issue litigated or alluded to in any way” (226 AD2d 950, 951 [1996]). This Court dismissed the defendant’s motion for leave to appeal (88 NY2d 963 [1996]).

Thereafter, the court awarded plaintiff approximately one half of the marital estate, including a share of the marital residence, defendant’s pension benefits, and various money accounts. The Appellate Division once again affirmed (290 AD2d 774 [2002]). The Appellate Division noted that the parties were both 62 years old at the time of the trial and that “defendant challenged and successfully defeated the 1982 divorce action, and subsequently failed to demonstrate any unfairness in permitting plaintiff to share in property acquired in the ensuing years” (290 AD2d at 777). This appeal ensued.

By specifically granting courts the authority to make equitable distribution awards “following a foreign judgment of divorce,” section 236 contemplates that a party can obtain a divorce in one state while having property equitably distributed in New York. Nevertheless, section 236 is subject to article IV, § 1 of the United States Constitution, which provides that “Full Faith and Credit shall be given in each State to the public Acts, Records, and judicial Proceedings of every other State” (*see generally Matter of Luna v Dobson*, 97 NY2d 178, 182-183 [2001]).

Although defendant references res judicata and collateral estoppel, collateral estoppel or issue preclusion is not applicable in this case because only the issue of divorce was resolved by a final judgment on the merits (*see Farrell v Mountain Folk, Inc.*, 169 Vt 568, 568-569, 730 A2d 597, 598 [1999]). The Vermont

court did not resolve the issue of equitable distribution. There is no doubt that the Vermont court could have resolved that issue. Vermont Statutes Annotated, title 15, § 751 (a) reads in part, “Upon motion of either party to a proceeding under this chapter, the court shall settle the rights of the parties to their property, by including in its judgment provisions which equitably divide and assign the property.”

The doctrine of res judicata, as articulated by the Vermont Supreme Court, “bars the litigation of a claim or defense if there exists a final judgment in former litigation in which the ‘parties, subject matter and causes of action are identical or substantially identical’ ” (*Berlin Convalescent Ctr., Inc. v Stoneman*, 159 Vt 53, 56, 615 A2d 141, 143 [1992], quoting *Berisha v Hardy*, 144 Vt 136, 138, 474 A2d 90, 91 [1984]). Unlike issue preclusion, “[i]t bars not only issues actually litigated but also those which ‘should have been raised in previous litigation’ ” (159 Vt at 56, 615 A2d at 143-144, quoting *American Trucking Assns., Inc. v Conway*, 152 Vt 363, 370, 566 A2d 1323, 1328 [1989]). The purpose of the judicially crafted rule is to “protect the courts and the parties against the burden of relitigation, encourage reliance on judicial decisions, prevent vexatious litigation and decrease the chances of inconsistent adjudication” (159 Vt at 57, 615 A2d at 144).

In *Roddy v Roddy* (168 Vt 343, 721 A2d 124 [1998]), the court precluded a mother from seeking supplemental maintenance after entry of divorce and maintenance and child support orders without having to show a change of circumstances. The court found that the mother “could have, and should have, sought the maintenance supplement in connection with the original divorce and child support proceeding” (168 Vt at 347, 721 A2d at 127).

In *Grant v Grant* (136 Vt 9, 383 A2d 627 [1978]), the parties appeared before the District Court of the Virgin Islands, which granted a divorce but did not award alimony although the decree provided the court would determine alimony upon motion. The former wife then commenced an action in Vermont seeking to modify the decree to provide for alimony although she did not allege a change of circumstances. The court noted that the record did not indicate why alimony was not awarded. It was clear, however, that “the failure to award alimony was not the result of a lack of power to do so; and secondly, all the evidence plaintiff presented to the Vermont trial court could have been presented to the Virgin Islands court” (136 Vt at 13, 383 A2d at 629).

It does not necessarily follow that the Vermont Supreme Court would reach the same result in this case as it did in *Roddy* and *Grant*. Plaintiff's counsel did not fail to raise the issue of equitable distribution in the Vermont proceeding. Rather, counsel contended that the court lacked jurisdiction over property located in New York. The argument went directly to the court's power and counsel's ability to raise the issue in Vermont. What is clear is that there was no litigation on the merits of any equitable distribution claims in Vermont and, in fact, the Vermont court specifically concluded that it would not address such claims.

In *Ford v Franklin* (129 Vt 114, 274 A2d 461 [1971]) a Nevada court with personal jurisdiction over the parties had granted a divorce decree which did not, among other things, dispose of jointly owned property located in Vermont.² The court held that upon motion by either party, a Vermont court could distribute the property, which "was, and is located in Vermont, and under Vermont jurisdiction" (129 Vt at 122, 274 A2d at 466; cf. *Poston v Poston*, 161 Vt 591, 657 A2d 1076 [1993]; *Avery v Bender*, 124 Vt 309, 204 A2d 314 [1964]).

In this case, the issue of equitable distribution of property was raised in the Vermont proceeding and neither the Vermont trial court nor the defendant challenged the assertion of the plaintiff's attorney that the court lacked jurisdiction over property located in New York. By using the term "[a]ll right," without more, the court placed its seal of approval on the argument of plaintiff's counsel. Whether the court did so because it genuinely believed in the merits of the argument or "to move the parties along" is irrelevant. When the defendant argued that the court should not exercise jurisdiction because of the New York divorce judgment, the court responded with the term "[a]ll right," but immediately ruled as follows:

"The court will treat your opposition which was filed by letter and your recitation today as a motion to dismiss for lack of jurisdiction. The court will deny the motion on the following grounds"

2. The majority asserts that reliance on this case is misplaced, quoting language from the opinion stating that neither defendant nor his attorney appeared at the proceedings. However, the sentence following the quoted language states that "Defendant was duly and regularly served with process in this action, and that more than twenty days have elapsed since the said service of Summons, and the default for said Defendant having failed to appear and answer having been duly and regularly entered herein" (129 Vt at 118, 274 A2d at 463).

In contrast, when plaintiff's counsel argued that the court lacked jurisdiction, the court stated only "[a]ll right," and did not otherwise challenge the assertion as it did when defendant objected to the court's jurisdiction. Had the court disagreed with counsel's statement, then it could be argued that plaintiff should have raised the issue in Vermont. In light of the court's ruling, it cannot be said that plaintiff could have brought an equitable distribution claim in Vermont. Despite the expansive language of section 751, the court rendered itself powerless to decide the issue.

The majority is troubled by the fact that plaintiff engaged in so-called forum shopping by going to Vermont after unsuccessfully seeking a divorce in New York. There is no New York statute, however, prohibiting plaintiff's conduct. There is no statute that provides that a plaintiff who was unsuccessful in seeking a divorce in New York may not come back to New York to litigate any related issues after obtaining a divorce in a foreign jurisdiction. In fact, the opposite is true. Similarly, there is no statute prohibiting a plaintiff who failed to obtain a divorce in New York from trying to do so in another state.

The holding of the majority will do little to discourage another plaintiff who fails to obtain a divorce in New York from going to another state like Vermont. What it will do is ensure that plaintiffs will either seek equitable distribution of property in the foreign state (assuming the court has personal jurisdiction over the spouse), or make it clearer than the plaintiff did in this case that the court did not wish to exercise jurisdiction over the marital property.

Separately, while the Vermont Supreme Court applied *res judicata* in *Grant* and in *Roddy*, the court has recognized that the judge-made doctrine is flexible and should not be applied mechanically (see *Tudhope v Riehle*, 167 Vt 174, 179, 704 A2d 765, 768 [1997], citing *Delahunty v Massachusetts Mut. Life Ins. Co.*, 236 Conn 582, 591, 674 A2d 1290, 1295 [1996]; see also *Jones v Murphy*, 172 Vt 86, 772 A2d 502 [2001]). Although the issue of equitable distribution was not adjudicated, this was not due to plaintiff's desire to engage in piecemeal and vexatious litigation. It is also not the case that plaintiff wished to avail herself of the equitable distribution statute in New York, rather than the one in Vermont. Rather, the issue was not adjudicated out of a belief, accepted by the court, that the issue could not be resolved in Vermont.

Vermont's broadly worded equitable distribution statute evinces the importance Vermont attaches to ensuring that a for-

mer spouse receives his or her fair share of the marital property. A party may choose to forgo that right, but that is not what occurred here. This case would be different had the court instructed plaintiff to raise the issue of equitable distribution rather than failing to challenge the statement by plaintiff's counsel that the court did not have jurisdiction.

Roddy involved supplemental maintenance, which was pegged to the need of the children. The former wife would have had a remedy in Vermont if she could have shown a change of circumstances. *Grant* involved alimony, and the former spouse would also have had a remedy in Vermont upon proof of a change of circumstances. In addition, she could have commenced an action in the Virgin Islands since the court there retained jurisdiction over alimony.

This case involves the outright disposition of property. If plaintiff is precluded from seeking her fair share of marital property, then she will receive no marital property from a long term marriage (she took almost no marital property when she left the marriage) in which she was primarily responsible for rearing eight children and maintaining the marital home. Plaintiff will not receive what the lower courts found she was entitled to—equal distribution of marital assets, including the marital home, defendant's various investments and bank accounts, and his pension.

The Full Faith and Credit Clause should not preclude the current action seeking equitable distribution.

Accordingly, I would affirm the order of the Appellate Division.

Chief Judge KAYE and Judges ROSENBLATT, GRAFFEO and READ concur with Judge CIPARICK; Judge G.B. SMITH dissents and votes to affirm in a separate opinion.

Order reversed, etc.

[802 NE2d 1090, 770 NYS2d 692]

SHYRON BYNOG et al., Appellants-Respondents, v CIPRIANI GROUP, INC., et al., Respondents-Appellants, et al., Defendants. (And Another Action.)

Argued October 21, 2003; decided December 2, 2003

SUMMARY

CROSS APPEALS, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered October 8, 2002. The Appellate Division modified, on the law, an order of the Supreme Court, New York County (Ira Gammerman, J.), which had granted the motion of defendants Cipriani Group, Inc., Cipriani USA, Inc., Cipriani 42nd Street, LLC, Cipriani Fifth Avenue, LLC, and Cipriani 55 Wall, LLC, for summary judgment dismissing the claims against them. The modification consisted of reinstating the claims under Labor Law §§ 191 and 198. The Appellate Division affirmed the order as modified. The Appellate Division also affirmed an order of the same Supreme Court in a second action between the same parties which had granted the Cipriani defendants' motion for summary judgment dismissing the complaint, and had denied plaintiffs' motion for leave to amend the complaint and for class action certification. The following question was certified by the Appellate Division: "Was the order of this Court which modified the order of the Supreme Court entered on or about March 18, 2002 and which affirmed the order of the Supreme Court also entered on or about March 18, 2002, properly made?"

Bynog v Cipriani Group, 298 AD2d 164, modified.

HEADNOTES

Employment Relationships — Existence of Employer-Employee Relationship — Action to Recover Wages

1. Plaintiffs, professional banquet waiters hired through an employment agency as temporary workers at defendants' banquet facilities, were independent contractors and not defendants' employees. Plaintiffs worked at their own discretion, worked for other caterers, including defendants' competitors, without restriction, and were under the exclusive direction and control of the temporary service agency that interviewed, hired, compensated, and provided federal 1099 tax forms to them. Accordingly, plaintiffs were not entitled to recover, pursuant to Labor Law § 196-d, alleged gratuity payments made as part of catering contracts, or to recover for other alleged violations of the Labor Law.

Employment Relationships — Existence of Employer-Employee Relationship — Special Employees

2. Plaintiffs, professional banquet waiters hired through an employment agency as temporary workers at defendants' banquet facilities, were not special

employees of defendants. Defendants did not exert sufficient control over plaintiffs' performance of their work to render them the special employer of plaintiffs. Their only involvement with the plaintiffs was to meet with them on the day of the banquet to discuss the menu and timing of the courses. Accordingly, plaintiffs were not entitled to recover, pursuant to Labor Law § 196-d, alleged gratuity payments made as part of catering contracts, or to recover for other alleged violations of the Labor Law.

TOTAL CLIENT-SERVICE LIBRARY® REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Employment Relationship §§ 1, 2, 6, 10, 462.
McKINNEY'S, Labor Law § 196-d.
NY JUR 2d, Employment Relations §§ 3-5, 7, 118, 126.

ANNOTATION REFERENCE

See ALR Index under Independent Contractors; Labor and Employment.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: 196-d /3 labor /p employee

POINTS OF COUNSEL

Robert K. Erlanger, New York City, for appellants-respondents. I. Labor Law § 196-d applies, without qualification, to tips and any charges purported to be tips. (*Matter of Auerbach v Board of Educ.*, 86 NY2d 198; *Truelove v Northeast Capital & Advisory*, 95 NY2d 220; *Matter of Field Delivery Serv. v Roberts*, 66 NY2d 516; *New Amsterdam Cas. Co. v Stecker*, 3 NY2d 1; *Daley v Related Cos.*, 179 AD2d 55; *Lorillard Tobacco Co. v Roth*, 99 NY2d 316; *Matter of Richardson v Commissioner of N.Y. City Dept. of Social Servs.*, 88 NY2d 35; *Matter of American Broadcasting Cos. v Roberts*, 61 NY2d 244.) II. The Appellate Division abused its discretion by making factual findings on Cipriani's CPLR 3213 motions. (*Sillman v Twentieth Century-Fox Film Corp.*, 3 NY2d 395; *Myers v Fir Cab Corp.*, 64 NY2d 806.)

Robinson Brog Leinwand Greene Genovese & Gluck P.C., New York City (*Christy L. Reuter*, *John D. D'Ercole* and *Marshall E. Bernstein* of counsel), for respondents-appellants. I. The mandatory service charge is not a gratuity under Labor Law § 196-d. (*Matter of Fineway Supermarkets v State Liq. Auth.*, 48 NY2d 464; *State of New York v GTE Valeron Corp.*, 155 AD2d 166; *Mechmet v Four Seasons Hotels, Ltd.*, 825 F2d 1173; *Patrolmen's*

Benevolent Assn. of City of N.Y. v City of New York, 41 NY2d 205; *Matter of Orens v Novello*, 99 NY2d 180; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Matter of Auerbach v Board of Educ.*, 86 NY2d 198; *Williams v Williams*, 23 NY2d 592; *Matter of Pell v Coveney*, 37 NY2d 494; *Matter of La Cascade, Inc. v State Tax Commn.*, 91 AD2d 784.) II. The temporary waiters waived any right under Labor Law § 196-d to be paid any portion of the mandatory service charge. (*Matter of American Broadcasting Cos. v Roberts*, 61 NY2d 244.) III. The temporary waiters are not Cipriani's employees. (*Akgul v Prime Time Transp.*, 293 AD2d 631; *Bhanti v Brookhaven Mem. Hosp. Med. Ctr.*, 260 AD2d 334; *Kirsch v Fleet St., Ltd.*, 148 F3d 149; *Lazo v Mak's Trading Co.*, 84 NY2d 896; *Matter of Ted Is Back Corp. [Roberts]*, 64 NY2d 725; *Matter of Doner v Comptroller of State of N.Y.*, 262 AD2d 750; *Koren v Zazo*, 262 AD2d 287; *Matter of Cromer [Transworld Sys.—Sweeney]*, 248 AD2d 773; *Matter of Monti Moving & Stor. [Sweeney]*, 241 AD2d 734; *Irrutia v Terrero*, 227 AD2d 380.)

Proskauer Rose LLP, New York City (*Stephen Rackow Kaye* and *Aaron J. Schindel* of counsel), for The Fireman Group-Café Concepts, Inc., amicus curiae. I. Decisions of the New York Industrial Board of Appeals specifically hold that banquet service charges are not “gratuities.” II. Federal regulations and the Wage-Hour Administrator also authoritatively state that service charges belong to the employer. III. The position advanced by the Attorney General is wrong. (*Federal Sec. Adm'r v Quaker Oats Co.*, 318 US 218; *United States v 306 Cases Containing Sandford Tomato Catsup with Preservative*, 55 F Supp 725, *affd sub nom. Libby, McNeill & Libby v United States*, 148 F2d 71; *United States v McGuire*, 64 F2d 485.)

Eliot Spitzer, Attorney General, New York City (*Caitlin J. Halligan*, *Michelle Aronowitz*, *M. Patricia Smith*, *Jean Lin* and *Seth Kupferberg* of counsel), and *Jerome Tracy*, Albany, for State of New York, amicus curiae. I. Plaintiffs were “employed” by Cipriani within the meaning of the Labor Law, even if they were also employees of the staffing agency. (*People ex rel. Price v Sheffield Farms-Slawson-Decker Co.*, 225 NY 25; *Miller v North Hudson Contr. Co.*, 166 App Div 348; *Rutherford Food Corp. v McComb*, 331 US 722; *Antenor v D & S Farms*, 88 F3d 925; *Lorillard, Div. of Lowes's Theaters, Inc. v Pons*, 434 US 575; *Ansoumana v Gristede's Operating Corp.*, 255 F Supp 2d 184; *Gustafson v Bell Atl. Corp.*, 171 F Supp 2d 311; *Lopez v Silverman*, 14 F Supp 2d 405; *Nationwide Mut. Ins. Co. v Darden*,

503 US 318; *Walling v Portland Term. Co.*, 330 US 148.) II. Labor Law § 196-d covers more than “voluntary gratuities.” (*Federal Sec. Adm’r v Quaker Oats Co.*, 318 US 218; *United States v 306 Cases Containing Sandford Tomato Catsup with Preservative*, 55 F Supp 725, *affd sub nom. Libby, McNeill & Libby v United States*, 148 F2d 71; *United States v McGuire*, 64 F2d 485; *Davis v United States Govt.*, 742 F2d 171; *Matter of La Cascade, Inc. v State Tax Commn.*, 91 AD2d 784.) III. Rights conferred by the Labor Law cannot be implicitly waived. (*Matter of American Broadcasting Cos. v Roberts*, 61 NY2d 244; *Matter of Consolidated Rail Corp. v Hudacs*, 223 AD2d 289, 90 NY2d 958; *Matter of Scotto v Giuliani*, 243 AD2d 388.)

OPINION OF THE COURT

G.B. SMITH, J.

The primary issue before this Court is whether plaintiffs, professional banquet waiters, are entitled to recover, pursuant to Labor Law § 196-d, certain payments, alleged to be gratuities, made as part of catering contracts. We conclude that because plaintiffs were independent contractors and not employees of the defendants, they are not entitled to recover the payments. Accordingly, we modify the order of the Appellate Division insofar as it concludes that plaintiffs are employees of the Cipriani defendants, and thus dismiss the cause of action under Labor Law § 191 and the associated claim under Labor Law § 198.

Plaintiffs allege that they are professional banquet waiters employed by the Cipriani defendants at various catering facilities in New York City and that the Alexander defendants (M.J. Alexander & Co., Inc. [MJA] and Michael J. Alexander, individually) were the disclosed agents of the Cipriani defendants. Plaintiffs allege that as employees, they were entitled to receive, pursuant to Labor Law § 196-d, a mandatory 22% service charge paid by Cipriani’s customers under various banquet contracts, in addition to the \$20-28 flat hourly rate paid by the Alexander defendants.¹

Plaintiffs also allege a violation of Labor Law § 191 in that they were not paid within seven days after work was performed

1. Subsequent to the filing of an individual action, Bynog filed a putative class action complaint against Cipriani and MJA asserting the identical Labor Law § 196-d claims. The Supreme Court dismissed the class action. The Appellate Division affirmed and granted leave to appeal to this Court. The principles above govern this action as well.

and a violation of Labor Law § 193 in that the defendants improperly withheld a portion of their pay for workers' compensation premiums.

Cipriani Fifth Avenue, LLC owns and operates both a banquet facility and two restaurants at 30 Rockefeller Plaza in New York City known as the "Rainbow Room." Cipriani 42nd Street, LLC owns and operates a banquet facility in New York City known as "Cipriani 42nd Street." Cipriani 55 Wall Street, LLC owned and operated a banquet facility in New York City known as "Cipriani 55 Wall" but is no longer in business.

In contrast to plaintiffs who are temporary workers pursuant to catering contracts, the Rainbow Room employs a unionized permanent wait staff pursuant to a negotiated collective bargaining agreement. Union waiters are comprised of two groups, union banquet waiters and union restaurant waiters. All unionized waiters are permanent employees of the Rainbow Room and work exclusively for them. Under their collective bargaining agreement, the union banquet waiters receive a salary plus a portion of the catering food and beverage contract charge as a gratuity.

At the Rainbow Room, banquet service is provided by the union banquet waiters. If business needs require, the collective bargaining agreement expressly permits the Rainbow Room to supplement the banquet staff, first by using union restaurant waiters, and then by hiring outside temporary banquet waiters. The Rainbow Room paid MJA \$20 per hour for each temporary waiter, plus a \$15 fee for each waiter regardless of the number of hours worked. Cipriani 42nd Street paid \$20-22 per hour for each waiter and \$28 per hour for each captain plus a \$15 fee for each waiter or captain regardless of the number of hours worked. The Cipriani defendants never took deductions, including payroll taxes, from the amounts invoiced by MJA.

Cipriani 42nd Street is not bound by the collective bargaining agreement and does not have a unionized wait staff. For banquets there, Cipriani 42nd Street hires outside temporary banquet waiters.

One of the places from which the Cipriani defendants obtain temporary waiters is MJA, a temporary personnel agency. When the defendants have a particular need, they contact MJA with the time and location of the need, as well as the number of waiters needed.

The Cipriani defendants moved for summary judgment. Supreme Court granted the motion on the ground that the

plaintiffs were independent contractors. The court also dismissed the plaintiffs' Labor Law §§ 196-d and 191 claims against Alexander, individually.²

The Appellate Division modified Supreme Court's order, on the law, by reinstating the plaintiffs' Labor Law §§ 191 and 198 claims against the Cipriani defendants, holding that summary judgment should not have been granted "on the ground that plaintiffs were not employees of" the Cipriani defendants. (298 AD2d 164, 165 [2002].) The Appellate Division affirmed the dismissal of the Labor Law § 196-d claims, holding that the contractual 22% service charge was not "in the nature of a voluntary gratuity presented by the customer in recognition of the waiter's service, and therefore need not be distributed to the waiters pursuant to Labor Law § 196-d, notwithstanding that the customer might believe that the charge is meant to be so distributed." (*Id.*) The Appellate Division granted the separate motions of the plaintiffs and defendants for leave to appeal to this Court and certified the question of whether the Appellate Division order was "properly made."

[1] On this appeal plaintiffs, supported by the New York State Attorney General, continue to argue that they were employees of the Cipriani defendants and therefore entitled to the relief sued for. We disagree.

Article 6 of the Labor Law governs employers' payment of wages and benefits to employees. The parties agree that the critical inquiry in determining whether an employment relationship exists pertains to the degree of control exercised by the purported employer over the results produced or the means used to achieve the results (*see Matter of Ted Is Back Corp. [Roberts]*, 64 NY2d 725, 726 [1984]; *Matter of 12 Cornelia St. [Ross]*, 56 NY2d 895, 897 [1982]; *see also Matter of Morton*, 284 NY 167 [1940]). Factors relevant to assessing control include whether the worker (1) worked at his own convenience, (2) was free to engage in other employment, (3) received fringe benefits, (4) was on the employer's payroll and (5) was on a fixed schedule (*see Lazo v Mak's Trading Co.*, 84 NY2d 896, 897 [1994] [applying standard in tort context]; *see also Bhanti v Brookhaven Mem. Hosp. Med. Ctr.*, 260 AD2d 334, 335 [2d Dept 1999]).

As stated by Supreme Court, plaintiffs were not employees of the Cipriani defendants because they (1) worked at their own

2. The claim against MJA was withdrawn prior to a decision by the Supreme Court on the motion for summary judgment.

discretion, (2) worked for other caterers, including Cipriani's competitors, without restriction, and (3) were under the exclusive direction and control of MJA, the temporary service agency that interviewed, hired and compensated the plaintiffs and from whom the plaintiffs received federal tax form 1099.³ The Cipriani defendants did not provide uniforms (tuxedos) or any other necessary apparatus (wine bottle openers, etc.) to the temporary waiters from MJA.

Based upon the undisputed facts before us, MJA conducts interviews and hires temporary professional waiters. MJA furnishes each person it hires with an MJA handbook which tells them how they are to conduct themselves. Additionally, MJA provides any needed training of the individuals it hires. MJA pays each waiter directly and furnishes 1099's for tax purposes.

In most cases Alexander attends the banquets and supervises the temporary waiters personally. If he is not in attendance, one of the temporary waiter captains supervises the others.

If a problem does arise, the MJA handbook states that the temporary waiter should inform either Michael Alexander, if he is present, one of his appointed captains if he is not, or simply wait until after the event and report the problems to Alexander. The handbook instructs the temporary waiters not to contact the "client" directly.

After the banquets, MJA sends an invoice to the Cipriani defendants for services rendered. The Cipriani defendants would not pay any of the temporary waiters directly. Instead, they would send a check to MJA, payable to MJA, to settle the accounts.

The only involvement that the Cipriani defendants have with the waiters is to meet with them on the day of the banquet to discuss the particular customer menu and the timing of the various courses being served. In sum, it is clear the plaintiffs, temporary waiters, were not employed by the Cipriani defendants but were independent contractors.⁴

3. Form 1099 reports to the Internal Revenue Service amounts paid as compensation to persons such as independent contractors when withholding tax is not applicable.

4. Although we hold that the MJA waiters were not Cipriani employees, we reserve judgment as to whether those waiters would be entitled to a share of Cipriani's service charge under Labor Law § 196-d if they were employees.

[2] We also reject plaintiffs' attempt to cast themselves as special employees of the Ciprianis. Even if we were to conclude that the special employment doctrine is applicable in this context and that plaintiffs were the general employees of MJA, the fact remains that the Ciprianis did not exert sufficient control over plaintiffs' performance of their work to render them the special employer of plaintiffs (*see Thompson v Grumman Aerospace Corp.*, 78 NY2d 553, 557 [1991]).

Accordingly, the order of the Appellate Division should be modified, with costs to defendants, in accordance with this opinion and, as so modified, affirmed. The certified question should be answered in the negative.

Judges CIPARICK, ROSENBLATT, GRAFFEO and READ concur; Chief Judge KAYE taking no part.

Order modified, etc.

[802 NE2d 1094, 770 NYS2d 696]

RICHARD T. LEPKOWSKI et al., Appellants, v STATE OF NEW YORK,
Respondent.

Argued October 16, 2003; decided December 18, 2003

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered February 20, 2003. The Appellate Division, with two Justices dissenting, (1) reversed, on the law, an order of the Court of Claims (Francis T. Collins, J.), which had denied, except as specifically noted otherwise, defendant's motion to dismiss claims seeking overtime compensation pursuant to the Fair Labor Standards Act of 1938 (*see* 29 USC § 201 *et seq.*), and (2) dismissed the claims.

Lepkowski v State of New York, 302 AD2d 765, affirmed.

HEADNOTES

State — Claim against State — Sufficiency of Pleadings

1. Claimants, public employees who sought overtime compensation pursuant to the Fair Labor Standards Act of 1938 (*see* 29 USC § 201 *et seq.*), failed to comply with the substantive pleading requirements of section 11 (b) of the Court of Claims Act with respect to the times when and the place where the claims arose, any items of damage or the total sum claimed. As for "the time when" the claims accrued, all that the State may have guessed from claimants' allegations was that some or all of the claimants worked some number of hours in excess of 40 in some or all of the work weeks over many months and years. This was insufficiently definite to enable the State to investigate the claims promptly and to ascertain its liability. Claimants' assertion that "the place where" their claims arose was their various work locations was insufficient to particularize where any claim arose. Finally, as for "the items of damage or injuries" and the "total sum" sought, the claims were similarly silent.

Pleading — Verification — Claim against State

2. The State must follow the steps in CPLR 3022 in order to preserve any objection that a claim or notice of intention does not comply with the verification requirement in section 11 (b) of the Court of Claims Act. Section 11 (b) requires the claim and notice of intention to be verified "*in the same manner* as a complaint in an action in the [S]upreme [C]ourt" (emphasis added). Because the Legislature has mandated that verification "take[] place" in the Court of Claims following the same "method of action" or "mode of procedure" employed for an action in Supreme Court, there is no basis for treating an unverified or defectively verified claim or notice of intention any differently than an unverified or defectively verified complaint is treated under the CPLR in Supreme Court.

TOTAL CLIENT-SERVICE LIBRARY® REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Employment Relationship § 61; Labor and

Labor Relations §§ 4260, 4541, 4570–4573; Pleading §§ 130–134, 888, 889, 894, 898; Public Officers and Employees § 433.

CARMODY-WAIT 2d, General Rules of Pleading §§ 27:81, 27:86; Actions in the Court of Claims §§ 120:31, 120:32, 120:35, 120:40.

McKINNEY'S, Court of Claims Act § 11 (b); CPLR 3022.

NY JUR 2d, Article 78 and Related Proceedings §§ 259, 260, 279, 286, 290; Employment Relations §§ 157, 170–173; Government Tort Liability §§ 261, 262, 266; Pleading §§ 58, 61.

SIEGEL, NY PRAC §§ 208, 235.

29 USCA § 201 *et seq.*

ANNOTATION REFERENCE

See ALR Index under Fair Labor Standards Act; Overtime; Pleadings; Public Officers and Employees.

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Database: NY-ORCS

Query: over-time /2 compensation pay /s federal u.s.c. & “court of claims”

POINTS OF COUNSEL

Lisa M. King, Albany, and *William P. Seamon* for appellants.

I. The claim, which sets forth the nature of the claim, date and place of the claim and method of calculating damages, meets all the pleading requirements of Court of Claims Act § 11 (b). (*Finnerty v New York State Thruway Auth.*, 75 NY2d 721; *Heisler v State of New York*, 78 AD2d 767; *Lurie v State of New York*, 73 AD2d 1006; *Buckles v State of New York*, 221 NY 418; *De Marco v State of New York*, 43 AD2d 786, 37 NY2d 735; *Brown v State of New York*, 89 NY2d 172; *Cobin v State of New York*, 234 AD2d 498; *Harper v State of New York*, 34 AD2d 865; *Bowles v State of New York*, 208 AD2d 440; *Santos v State of New York*, 291 AD2d 851.) II. The claim was properly verified. (*Martin v State of New York*, 185 Misc 2d 799; *Betzler v Carey*, 109 Misc 2d 881; *Matter of Maniscalco v Power*, 4 AD2d 479, 3 NY2d 918; *Hood v State of New York*, 113 Misc 404; *SLG Graybar v Hannaway Law Offs.*, 182 Misc 2d 217; *Air N.Y. v Alphonse Hotel Corp.*, 86 AD2d 932; *Matter of Ames Dept. Stores v Assessor of Town of Concord*, 102 AD2d 9.) III. The Appellate Division committed several reversible errors in reaching its conclusion that the State could not investigate this claim. (*Leon*

v Martinez, 84 NY2d 83; *Goshen v Mutual Life Ins. Co.*, 98 NY2d 314; *Taylor v State of New York*, 36 AD2d 878; *Loeb v Tanenbaum*, 124 AD2d 941; *Rosenman Colin Freund Lewis & Cohen v Edelman*, 165 AD2d 533; *Cannon v State of New York*, 163 Misc 2d 623; *Mobil Health v State of New York*, 149 Misc 2d 784; *Vicidomini v State of New York*, 21 AD2d 837; *Calco v State of New York*, 165 AD2d 117.)

Eliot Spitzer, Attorney General, Albany (Kathleen M. Treasure, Caitlin J. Halligan and Daniel Smirlock of counsel), for respondent. The claims must be dismissed because claimants have not complied with the pleading requirements of the Court of Claims Act. (*Alston v State of New York*, 97 NY2d 159; *Finnerty v New York State Thruway Auth.*, 75 NY2d 721; *Buckles v State of New York*, 221 NY 418; *Glassman v Glassman*, 309 NY 436; *Lichtenstein v State of New York*, 93 NY2d 911; *Dreger v New York State Thruway Auth.*, 81 NY2d 721; *Thomann v City of Rochester*, 256 NY 165; *Ponsrok v City of Yonkers*, 254 NY 91; *Swierkiewicz v Sorema N.A.*, 534 US 506; *Conley v Gibson*, 355 US 41.)

OPINION OF THE COURT

READ, J.

We are asked whether the claims in this consolidated action comply with the substantive pleading requirements of section 11 (b) of the Court of Claims Act. We conclude that the claims do not comply because they fail to allege the times when and the place where the claims arose, any items of damage or the total sum claimed. We further conclude that the State must follow the steps in CPLR 3022 in order to preserve any objection that a claim or notice of intention does not comply with the verification requirement in section 11 (b).

I.

Claimants are public employees working in executive branch agencies in civil service titles allocated salary grade 23 or higher. They are all included within the Professional, Scientific and Technical Services Unit (PS&T), which is represented by the Public Employees Federation (PEF) for purposes of collective bargaining with the State of New York.

On July 21, 1994, the *Lepkowski* claimants and other PS&T employees sued the State in federal court, seeking unpaid overtime pay, liquidated damages and reasonable attorneys' fees, to all of which they claimed entitlement under the federal Fair Labor Standards Act (FLSA). In February 1996, the

plaintiff employees moved for partial summary judgment on liability and the State cross-moved for summary judgment to dismiss. The State contended, among other things, that the Eleventh Amendment guarantee of state sovereign immunity deprived the federal courts of subject matter jurisdiction. The United States District Court for the Northern District of New York rejected the argument, and held that the State was liable for overtime compensation to certain of these employees on account of “a minor aspect of one of [the State’s] policies” (*Close v State of New York*, 1996 WL 67979, *11, 1996 US Dist LEXIS 1748, *34 [ND NY, Feb. 13, 1996]).¹

While the case was pending in District Court, however, the United States Supreme Court handed down *Seminole Tribe of Fla. v Florida* (517 US 44 [1996]), which significantly altered prior understandings of Congress’ authority to abrogate the states’ Eleventh Amendment immunity. In light of *Seminole*, the State succeeded when it again sought dismissal on Eleventh Amendment grounds (1996 WL 481550, 1996 US Dist LEXIS 12330 [ND NY, Aug. 19, 1996]), and the United States Court of Appeals for the Second Circuit affirmed (125 F3d 31 [1997]).

On January 22, 1998, roughly five months after the Second Circuit’s decision, the *Lepkowski* claim was filed in the Court of Claims. The claim, which mimics the dismissed federal FLSA complaint, alleges that the employees worked over 40 hours in unspecified work weeks from July 1992 to the present; it does not identify where the claims arose, itemize damages or indicate the total sum sought. One individual claimant verified the claim,

1. Pursuant to the collective bargaining agreement between the State and PEF as well as the Rules of the Comptroller, employees holding positions allocated salary grade 23 or higher were not paid overtime compensation for hours worked over 40 in a given work week. Although these employees were considered salaried and therefore ineligible for overtime compensation, their pay was nonetheless potentially subject to deductions for minor disciplinary infractions, court appearances as a party to an action, military service and absences less than one day. The employees argued that as a result, the State violated the FLSA’s salary basis test for determining whether an employee qualifies as a bona fide executive, administrative or professional employee exempt from the FLSA’s overtime provisions; and was required to compensate them for overtime hours worked. The District Court Judge held that the partial-day docking, court appearance and military service provisions of the salary basis test were invalid in the public sector, but that the disciplinary penalties provision applied. He accordingly determined that the State’s policy to dock these employees’ pay for minor disciplinary infractions removed them from the FLSA overtime exemption unless they were lawyers, physicians or certain computer operators.

to which is attached a list of 377 claimants with their home addresses.

On February 19, 1997, claimants in *Abelson* served the Attorney General with a notice of intention to file an FLSA claim in the Court of Claims on behalf of 390 PS&T employees. The *Abelson* claim, filed on January 21, 1998, alleges that claimants worked more than 40 hours in unspecified work weeks since April 1994, and does not identify where the claims arose, itemize damages or indicate the total sum sought. One individual claimant verified *Abelson* on behalf of all claimants, who listed their home addresses and identified the state agencies for which they worked.

By order filed on January 28, 1999, the Court of Claims consolidated *Abelson* into *Lepkowski*, finding that consolidation would allow for more efficient discovery since 148 of the claimants were included in both cases. In June 2001, the State moved to dismiss on various grounds, including failure to comply with both the substantive pleading and the verification requirements of Court of Claims Act § 11 (b). This provision prescribes in relevant part that

“[t]he claim *shall state* the time when and place where such claim arose, the nature of same, and the items of damage or injuries claimed to have been sustained and the total sum claimed . . . The claim and notice of intention to file a claim shall be verified in the same manner as a complaint in an action in the supreme court” (emphasis added).

In a decision and order filed on September 14, 2001, the Court of Claims denied the State’s motion to dismiss on section 11 (b) grounds, concluding that both claims were sufficiently detailed to fulfill section 11 (b)’s substantive pleading requirements, and were properly verified within the meaning of CPLR 3020 (d) because the verifiers had knowledge of the facts and were united in interest with the other claimants. On the State’s cross appeal,² the Appellate Division, with two Justices dissenting, reversed and granted the State’s motion to dismiss (302 AD2d 765 [3d Dept 2003]).

2. The Court of Claims granted the State’s motion to the extent of dismissing those portions of the *Lepkowski* and *Abelson* claims which sought declaratory and CPLR article 78 relief; and dismissing as untimely those *Lepkowski* claims accruing more than six months before the claim’s filing, and those *Abelson* claims accruing more than six months before service of the notice of intention. Claimants appealed so much of the court’s decision and order as applied the six-month statute of limitations in Court of Claims Act § 10 (4). They

(n. cont’d)

In the Appellate Division's view, "[w]hile the claims . . . satisfactorily state the nature of the relief sought by claimants, they completely fail to provide the times when and the place where such claims arose, any items of damage or the total sum claimed" as required by section 11 (b) (302 AD2d at 766). These omissions were not remedied by any access that the State might have to this information from its own records because "the sufficiency of a claim rests solely upon the assertions contained therein, and [the State] is not required to go beyond the claim in order to investigate" (*id.*). Further, the record before the Court "belie[d] a claim that claimants' work hours were a matter of public record readily ascertainable by [the State]" (*id.* at 766-767). Finally, the Appellate Division concluded that while the claimants might be united in interest, "there is no evidence that the two claimants who verified the claims are acquainted with the factual premises for the remaining . . . claimants' entitlement to overtime compensation" (*id.* at 767).

In the opinion of the two dissenting Justices, however, claimants complied with the substantive pleading requirements of section 11 (b) by alleging the "proverbial where, when and how" of their claims in enough detail for the State to "conduct a meaningful investigation regarding its potential liability" (*id.* at 768); and the State waived any objection to defective verification by virtue of its failure to take timely action under CPLR 3022 (*id.* at 769). Claimants now appeal to us as of right (CPLR 5601 [a]).

II.

The State's waiver of immunity from suits for money damages is not absolute, but rather is contingent upon a claimant's compliance with specific conditions placed on the waiver by the Legislature (*see* Court of Claims Act § 8 [specifying that the State waives its immunity from liability and action "provided the claimant complies with the limitations" of article II of the Court of Claims Act, which includes section 11]; *see also Alston v State of New York*, 97 NY2d at 163). Further, "[b]ecause suits against the State are allowed only by the State's waiver of sovereign immunity and in derogation of the common law, statu-

withdrew this appeal following our decision in *Alston v State of New York* (97 NY2d 159 [2001] [holding that under the terms of the waiver of sovereign immunity in Court of Claims Act § 8, the State retained its immunity as to claims not complying with the time limitations in Court of Claims Act § 10 (4), upon which the waiver was conditioned]).

tory requirements conditioning suit must be strictly construed” (*Lichtenstein v State of New York*, 93 NY2d 911, 913 [1999], quoting *Dreger v New York State Thruway Auth.*, 81 NY2d 721, 724 [1992]). As relevant here, section 11 (b) places five specific substantive conditions upon the State’s waiver of sovereign immunity by requiring the claim to specify (1) “the nature of [the claim]”; (2) “the time when” it arose; (3) the “place where” it arose; (4) “the items of damage or injuries claimed to have been sustained”; and (5) “the total sum claimed.”³

[1] Claimants fulfilled section 11 (b)’s requirement to specify “the nature of [the claim].” They asserted that each named claimant was a past or present state employee; was in the PS&T bargaining unit; was assigned to a civil service title allocated grade 23 or higher; had worked overtime; was required to be paid overtime compensation pursuant to the FLSA; and was not paid this overtime compensation. They did not, however, adequately allege the remaining elements required by section 11 (b).

As for “the time when” the claims accrued, the *Lepkowski* claimants specified July 1992 and continuing to the present, and the *Abelson* claimants specified April 1994 and continuing to the present.⁴ All that the State may guess from these allegations is that some or all of the 377 *Lepkowski* and 390 *Abelson* claimants worked some number of hours in excess of 40 in some or all of the work weeks over many months and years. This is insufficiently definite “to enable the State . . . to investigate the claim[s] promptly and to ascertain its liability under the circumstances,” which is the guiding principle informing section 11 (b) (*Heisler v State of New York*, 78 AD2d 767, 767 [4th Dept 1980]).

Claimants assert in their brief that the “place where” their claims arose is their various work locations. These are not specified. *Lepkowski* includes the claimants’ names and home ad-

3. By contrast, while CPLR 3017 (a) requires a complaint to contain a demand for the relief sought, CPLR 3017 (c) for many years has provided that the complaint in a medical or dental malpractice suit or in an action against a municipality shall *not* state the amount of money damages sought. Just recently, the Legislature amended section 3017 (c), which now prohibits the complaint in a personal injury or wrongful death action from setting forth the amount of money damages sought (*see* L 2003, ch 694, § 1, eff Nov. 27, 2003).

4. As noted earlier, the Court of Claims dismissed as untimely those claims accruing more than six months before the *Lepkowski* claim was filed (i.e., before July 23, 1997) and more than six months before the notice of intention was served in *Abelson* (i.e., before August 19, 1996).

dressess, but does not identify the state agency or department for which each claimant worked or in any other way particularize where any claim arose. In addition to names and home addresses, *Abelson* identifies the agency or department for which each claimant worked, but not a primary work location. For those claimants employed in agencies or departments that maintain offices in multiple locations, *Abelson* reveals little more than that their claims arose somewhere within the state's borders.

As for “the items of damage or injuries” and the “total sum” sought, the claims are similarly silent. Claimants allege only that they “seek recovery of all unpaid overtime compensation for all hours worked over 40 hours in a work week and not compensated at one and one-half times the regular rate.”

Claimants contend that the State can easily ascertain from its personnel records exactly when and where each claim arose and how much their claims are worth; however, this is not the State's burden. The Court of Claims Act does not require the State to ferret out or assemble information that section 11 (b) obligates the claimant to allege (*Cobin v State of New York*, 234 AD2d 498, 499 [2d Dept 1996]). Moreover, we agree with the Appellate Division that, as a matter of fact, the record does not establish that the State possesses detailed time records for claimants for the time periods covered by this litigation. State employees holding positions allocated salary grade 23 or higher were not required to record actual hours worked on their time sheets until the 1999-2003 collective bargaining agreement between the State and PEF took effect.

As noted earlier, claimants first pressed their FLSA claims in federal court; however, the substantive pleading requirements in the Court of Claims differ substantially from the rules for pleading a complaint in federal court (*see* Fed Rules Civ Pro rule 8 [a] [“A pleading which sets forth a claim for relief . . . shall contain (1) a short and plain statement of (jurisdictional grounds), (2) a short and plain statement of the claim showing that the pleader is entitled to relief, and (3) a demand for judgment for the relief the pleader seeks”]). Here, claimants have recycled their federal complaint into a claim without refashioning its elements to conform with section 11 (b)'s substantive pleading requirements, which condition the State's waiver of sovereign immunity. These claims were required, at the very least, to specify the state agency or department for which each claimant worked; the primary work location for each claimant;

those work weeks in which each claimant worked overtime; the actual number of hours of overtime worked by each claimant during these work weeks; and the total sum of damages sought by each claimant as unpaid overtime as of the date of filing.

Since these claims are jurisdictionally defective for nonconformity with section 11 (b)'s substantive pleading requirements, we need not reach the questions raised by the parties regarding verification. In light of the proliferating Court of Claims cases on the subject of section 11 (b)'s verification requirement, however, we consider it advisable to dispel the gathering confusion about whether or under what circumstances CPLR 3022 bears on the matter.⁵

5. See *Martin v State of New York* (185 Misc 2d 799 [Ct Cl 2000] [holding generally that section 11 (b) makes verification a nonwaivable jurisdictional predicate for suit in Court of Claims]); *Vogel v State of New York* (187 Misc 2d 186 [Ct Cl 2000] [distinguishing *Martin* and holding that objection to claim as untimely because of an unverified notice of intention is waived unless raised with particularity as provided for in Court of Claims Act § 11 (c)]); *Jacobs v State of New York* (193 Misc 2d 413 [Ct Cl 2002] [suggesting that while an unverified claim must be dismissed, inadequate or improper verification is not similarly fatal]); *Price v State of New York* (2003 NY Slip Op 51086[U] [Ct Cl, May 15, 2003] [disagreeing generally with *Martin* and reviewing relevant case law and legislative history of 1990 amendment of section 11, but nonetheless dismissing unverified claim because of Appellate Division decisions in *Graham v Goord* (301 AD2d 882 [3d Dept 2003] [affirming dismissal of an unverified claim reviewed upon claimant's application for filing fee reduction]) and *Lepkowski*]); and *Turner v State of New York* (2 Misc 3d 370 [Ct Cl 2003] [endorsing distinction between absent and defective verification and suggesting that defective verification of claim is waived if defendant fails to comply with CPLR 3022, but that this provision may not apply to defective notice of intention because a notice is not a pleading]). The Court of Claims' on-line database of decisions includes at least another half-dozen recent opinions exploring various implications of treating section 11 (b)'s verification requirement as a nonwaivable jurisdictional prerequisite of the court's subject matter jurisdiction (see <www.nyscourtofclaims.state.ny.us>). This spate of decisions has not gone unnoticed (*Court Laments Rigidity of Verification Requirements But Deems Itself Bound and Dismisses Claim Though State Suffered No Prejudice Whatever*, 138 Siegel's Practice Review, at 3 [Aug. 2003]; *When State Attempts to Avoid Its Own Promise to Disregard Minor Verification Mistake, Court's Patience Is Exhausted and State Gets Estopped*, 138 Siegel's Practice Review, at 3 [Aug. 2003]; *Failure to Verify Claim Proper Brings Dismissal in Court of Claims Even Though Notice of Intention Was Verified*, 107 Siegel's Practice Review, at 3 [Apr. 2001]). The shift in historic Court of Claims practice is not entirely uniform either, however, which further confuses matters for the practicing bar and pro se claimants (see e.g. *Rivera v State of New York* [Ct Cl, Nov. 26, 2001, Motion No. M-64077, McNamara, J.] [rejecting argument that verification is nonwaivable jurisdictional requirement and finding CPLR 3022 procedure applicable]).

Pursuant to CPLR 3022, “when a pleading is required to be verified, the recipient of an unverified or defectively verified pleading may treat it as a nullity provided that the recipient ‘with due diligence’ returns the [pleading] with notification of the reason(s) for deeming the verification defective” (*Matter of Miller v Board of Assessors*, 91 NY2d 82, 86 [1997]). We have never specified a uniform time period by which to measure due diligence (*id.* n 3). A defendant who does not notify the adverse party’s attorney with due diligence waives any objection to an absent or defective verification.

[2] Section 11 (b) requires the claim and notice of intention to be verified “*in the same manner* as a complaint in an action in the [S]upreme [C]ourt” (emphasis added). “Manner” is commonly understood to mean “[t]he way in which something is done or takes place; method of action; mode of procedure” (9 Oxford English Dictionary 324 [2d ed 1989]). Because the Legislature has mandated that verification “take[] place” in the Court of Claims following the same “method of action” or “mode of procedure” employed for an action in Supreme Court, there is no basis for treating an unverified or defectively verified claim or notice of intention any differently than an unverified or defectively verified complaint is treated under the CPLR in Supreme Court. Section 11 (b) therefore embraces CPLR 3022’s remedy for lapses in verification.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSENBLATT and GRAFFEO concur.

Order affirmed, with costs.

[802 NE2d 1105, 770 NYS2d 707]

SEAN FULLAN et al., Respondents, v 142 EAST 27TH STREET ASSOCIATES et al., Defendants, and 27 REALTY, LLC, et al., Appellants.

Argued November 19, 2003; decided December 22, 2003

SUMMARY

APPEAL, by permission of the Court of Appeals, from a stipulation (treated as a judgment) of the Supreme Court, New York County, dated February 24, 2003. The stipulation discontinued any claims remaining after plaintiffs were awarded summary judgment as to liability as against defendant 27 Realty, LLC for the underlying fair market rent appeal (FMRA) award. The appeal brings up for review a prior nonfinal order of the Appellate Division of the Supreme Court in the First Judicial Department, entered April 12, 2001. The Appellate Division had modified, on the law, an order of that Supreme Court (Sherry Klein Heitler, J.), which denied the motion of defendants 27 Realty, LLC and BMH Realty Ltd., doing business as Heller Realty, for summary judgment dismissing the complaint as against them, and, following a search of the record, denied plaintiffs' request for summary judgment. The modification consisted of granting plaintiffs summary judgment as to liability as against defendant 27 Realty, LLC for the underlying FMRA award and for plaintiffs' attorneys' fees in connection therewith, and remanding the matter for further proceedings.

Fullan v 142 E. 27th St. Assoc., 282 AD2d 275, reversed.

HEADNOTE

Landlord and Tenant — Rent Regulation — Fair Market Rent Appeal Award — Liability of Successor Landlord

The current owner of a building cannot be held liable for a fair market rent appeal (FMRA) award for excess rents collected by the previous owner, where the current owner was not a party to the FMRA and did not have an opportunity to participate in the FMRA process. The language of the applicable FMRA provision, Rent Stabilization Code (9 NYCRR) § 2522.3 (d) (1), requires the "affected" owner to make the refund to the tenant. It does not direct, or even create a presumption, that the current owner will be liable for the entire FMRA award. Moreover, under the applicable Division of Housing and Community Renewal policy statement, only current owners who had an opportunity to participate in the FMRA process are subject to joint and several liability for excess rents charged by previous owners.

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AM JUR 2d, Landlord and Tenant §§ 1072, 1073.

9 NYCRR 2522.3 (d) (1).

NY JUR 2d, Landlord and Tenant §§ 431, 432.

NEW YORK REAL PROPERTY SERVICE §§ 74:180, 74:181.

ANNOTATION REFERENCE

See ALR Index under Landlord and Tenant; Rent.

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Database: NY-ORCS

Query: "fair market rent appeal" fmra /3 award & successor /s liab!

POINTS OF COUNSEL

Kaufman Friedman Plotnicki & Grun, LLP, New York City (*Howard Grun* of counsel), for appellants. Appellants are not liable to respondents for the fair market rent appeal (FMRA) award under the FMRA provisions of the Rent Stabilization Code, the Division of Housing and Community Renewal's policy statement and opinion letter, and decisional law. (*Polanco v Higgins*, 175 AD2d 729; *Matter of New York State Assn. of Life Underwriters v New York State Banking Dept.*, 83 NY2d 353; *Spivak v Madison-54th Realty Co.*, 60 Misc 2d 483; *Matter of Gaines v New York State Div. of Hous. & Community Renewal*, 90 NY2d 545; *Matter of Greenberg Real Estate v Division of Hous. & Community Renewal*, 258 AD2d 313.)

Law Offices of Mitchell Merlis, New York City (*Mitchell Merlis* of counsel), for respondents. The tenants (plaintiffs/respondents) may enforce their fair market rent appeal (FMRA) award against the current owners (defendants/appellants) in a plenary action in Supreme Court. The Division of Housing and Community Renewal's Policy Statement 93-1 and opinion letter, dated August 10, 1999, are inapplicable to such a plenary proceeding. (*Polanco v Higgins*, 175 AD2d 729; *Green v Santa Fe Indus.*, 70 NY2d 244; *Gramatan Home Invs. Corp. v Lopez*, 46 NY2d 481; *Watts v Swiss Bank Corp.*, 27 NY2d 270; *D'Arata v New York Cent. Mut. Fire Ins. Co.*, 76 NY2d 659; *Matter of Greenberg Real Estate v Division of Hous. & Community Renewal*, 258 AD2d 313; *Coulston v Singer*, 86 Misc 2d 1001; *Matter of Greenthal Co. v State Div. of Hous. & Community Renewal*, 126 Misc 2d 795; *Matter of Gaines v New York State Div. of Hous. & Community Renewal*, 230 AD2d 631; *Turner*, 308 Realty v Spear, 134 Misc 2d 733.)

OPINION OF THE COURT

CIPARICK, J.

This appeal requires us to determine whether a current owner

may be held liable for a fair market rent appeal (FMRA) award for excess rents collected by a previous owner, where the current owner was not a party to the FMRA and did not have an opportunity to participate in the FMRA process. We conclude that, under these circumstances, a current owner cannot be held liable for the FMRA award.

Plaintiffs Sean Fullan and Peggy Bates are tenants in a rent stabilized apartment in a building currently owned by defendant 27 Realty, LLC. When plaintiffs signed their lease in 1985—setting the monthly rent at \$775—the property was owned by Dobro Corporation. In 1991, plaintiffs filed an FMRA with the Division of Housing and Community Renewal (DHCR), alleging that their monthly rent was in excess of fair market value. Two years later, DHCR issued an order determining that the fair market rent for the subject apartment was \$434.34 per month, rather than \$775, and adjusting the initial regulated rent to reflect that amount. As a result, DHCR found that a refund in the amount of \$37,480.05 was due plaintiffs.

In October 1993, Dobro filed a petition for administrative review (PAR), appealing the FMRA award. However, DHCR did not issue its order denying the PAR until January 1997.¹ At no time was a lien recorded against the building in connection with this award. In 1995, while the PAR was pending, Dobro transferred the building to 142 East 27th Street Associates (Associates). Approximately a month after the PAR was denied, Associates conveyed the building to the present owner without providing notice of the FMRA award. Neither Dobro nor Associates refunded or credited any of the excess rent due to plaintiffs as directed by DHCR.

Plaintiffs then commenced this plenary action in December 1998 against the current owner and its managing agent (27 Realty), as well as Associates, its managing agent and individual partners, to collect a money judgment in the amount of the FMRA award with interest and attorneys' fees. 27 Realty moved for summary judgment dismissing the complaint against it on the ground that it was not a party to the FMRA and thus as a matter of law could not be held liable for the excess rent. Plaintiffs asked Supreme Court to search the record and grant summary judgment in their favor.

1. It is lamentable that the DHCR process from the initial filing of the FMRA to the conclusion of the PAR took six years, especially where plaintiffs prevailed, at least in part, because the landlord failed to submit the appropriate rental comparability data.

Supreme Court denied 27 Realty's motion and determined that, although plaintiffs established their entitlement to recover the excess rents from 27 Realty, they were not entitled to summary judgment at that time since 27 Realty would likely prevail on their cross claims against Associates at trial.² The Appellate Division modified by granting plaintiffs summary judgment against 27 Realty on the issue of liability for the FMRA award and attorneys' fees, and remanding for additional proceedings. The Court found plaintiffs were entitled to summary judgment because "a current successor landlord is generally liable for overcharges collected by a predecessor landlord . . ." (282 AD2d 275, 275 [2001]). In addition, the Court found that 27 Realty could have avoided liability through the exercise of due diligence. On remand, Supreme Court determined that plaintiffs were entitled to the FMRA award with interest, attorneys' fees, costs and disbursements and entered a judgment in the amount of \$95,158.90. We now reverse.

Discussion

Two types of DHCR proceedings are relevant to this appeal—fair market rent appeals and rent overcharge cases. A fair market rent appeal to determine the proper initial rent is generally available only to the first tenant to occupy the premises as of April 1, 1984, and is governed by section 2522.3 of the Rent Stabilization Code (9 NYCRR). A rent overcharge case, governed by section 2526.1 of the Rent Stabilization Code, is not limited to the first tenant and is brought to recover rents charged by owners that exceed the legal regulated rent.³ Here, plaintiffs, as the first tenants after the apartment became rent stabilized, properly brought an FMRA proceeding.

The Rent Stabilization Code allows for "an appeal of the initial rent on the ground that it exceeds the fair market rent for the housing accommodation" (9 NYCRR 2522.3 [a]). The section further provides that when an appeal has been decided, "[t]he order shall direct the *affected* owner to make the refund of any excess rent to the tenant . . . and to the extent the present owner is liable for all or any part of the refund, such present owner may credit such refund against future rents . . ."

2. The parties entered into a stipulation in February 2003 discontinuing any and all claims and cross claims against Associates.

3. At the time of commencement of this proceeding, the May 1987 versions of both 9 NYCRR 2522.3 and 9 NYCRR 2526.1 were in effect. Both provisions were amended December 20, 2000.

(Rent Stabilization Code [9 NYCRR] § 2522.3 [d] [1] [emphasis added])). The language of the provision does not direct, or even create a presumption, that the current owner will be liable for the entire FMRA.

In *Polanco v Higgins* (175 AD2d 729 [1st Dept 1991]), the Appellate Division determined that a DHCR decision to apportion liability for an FMRA between current and former owners was irrational where the current owner was aware of the FMRA and had submitted an answer in the proceeding. In response to that decision, DHCR issued Policy Statement 93-1 concerning a current owner's liability for excess rent determined by an FMRA (see DHCR Policy Statement 93-1, issued Aug. 20, 1993, reissued July 1995). The Policy Statement lists the three situations in which a current owner will be deemed a party to an FMRA: (1) if the current owner was served with a copy of the FMRA by DHCR and had a chance to submit an answer, (2) if the current owner actually answered, or (3) if the current owner failed to provide DHCR with notice of the change of ownership and DHCR sends a copy of the FMRA to the previous owner (see DHCR Policy Statement 93-1). The Policy Statement "modifie[d] DHCR's prior practice of ordering the current owner to refund only the excess rent that the current owner actually collected" (DHCR Policy Statement 93-1). As a result, current owners who had an opportunity to participate in the FMRA process are subject to joint and several liability for excess rents charged by previous owners (see DHCR Policy Statement 93-1).

Here, 27 Realty did not have an opportunity to participate in the FMRA. The current owner purchased the property a month after the PAR was decided and was apparently unaware of the existence of the FMRA award. Nor was the FMRA award reduced to judgment—in which case a lien could have been filed that would have appeared on a title search. Further, 27 Realty has charged plaintiffs rent at the legal rate and has not collected any excess rent. Thus, there is no basis under either the Rent Stabilization Code or DHCR policy for holding 27 Realty liable for the excess rent charged by previous owners. Additionally, a purchaser does not have a statutory obligation of due diligence to investigate the potential existence of FMRA awards.

Contrary to plaintiffs' argument, cases such as *Matter of Gaines v New York State Div. of Hous. & Community Renewal* (90 NY2d 545 [1997]) are inapposite. *Gaines* addressed a current owner's liability for rent overcharges by previous owners, which is governed by section 2526.1 of the Rent Stabilization

Code, rather than section 2522.3—the FMRA provision. Section 2526.1 provides that “[f]or overcharge complaints filed or overcharges collected on or after April 1, 1984, a current owner shall be responsible for all overcharge penalties, including penalties based upon overcharges collected by any prior owner” (9 NYCRR 2526.1 [f] [2] [i]). However, the rent overcharge section also specifically states that “[t]he provisions of this section shall not apply to a proceeding pursuant to section 2522.3 of this Title” (9 NYCRR 2526.1 [g]). The Code clearly imposes a different and much greater level of liability upon a current owner in the context of rent overcharges—that of total liability for the overcharges of a predecessor landlord—than in the context of FMRAs. The two concepts should not be combined to impose liability upon 27 Realty in the situation presented here.

Plaintiffs also argue that since this is a plenary action, rather than a DHCR proceeding, liability should be imposed upon 27 Realty because they were parties to the proceeding by virtue of the concept of privity and successors in interest to Dobro and Associates. Plaintiffs, however, offer no support for the proposition that merely commencing a plenary action can subject a party to liability that the party would not otherwise face in an FMRA proceeding before the DHCR. Under the Rent Stabilization Code and DHCR policy, a current owner who did not have an opportunity to participate in the proceedings is not liable for an FMRA award for excess rents charged by prior owners, and a tenant cannot enforce nonexistent liability against the successor owner in a plenary action.

Finally, there is no evidence that the transfers here were anything other than arm’s length transactions or that they were entered into for the purpose of evading liability for excess rent charges. No fraud cause of action was pleaded. Plaintiffs simply sought to enforce the DHCR award against a current owner not a party to the FMRA proceeding. That 27 Realty took title before the running of the statute of limitations for a CPLR article 78 proceeding is also of no import. For liability to attach, the current owner had to have an opportunity to participate in the FMRA process; 27 Realty had no such opportunity.

Accordingly, the judgment appealed from and the order of the Appellate Division brought up for review should be reversed, with costs, and the appellants’ motion for summary judgment dismissing the complaint should be granted.

Chief Judge KAYE and Judges G.B. SMITH, ROSENBLATT, GRAFFEO and READ concur.

FULLAN v 142 E 27TH ST ASSOC [1 NY3d 211] 217

Opinion by CIPARICK, J.

Judgment appealed from and order of the Appellate Division
brought up for review reversed, etc.

[803 NE2d 361, 771 NYS2d 40]

STOP-THE-BARGE, by Its President KATHLEEN GILRAIN, et al.,
Appellants, v JOHN P. CAHILL, as Commissioner of the New
York State Department of Environmental Conservation, et
al., Respondents.

Argued October 15, 2003; decided December 2, 2003

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered October 31, 2002. The Appellate Division order, insofar as appealed from, affirmed a judgment of the Supreme Court, Albany County (Joseph Cannizzaro, J.; op 189 Misc 2d 45), to the extent that it had granted respondent New York City Department of Environmental Protection's motion to dismiss the petition as against it.

Stop-The-Barge v Cahill, 298 AD2d 817, affirmed.

HEADNOTE

Limitation of Actions — Four-Month Statute of Limitations — Finality of Agency Action

In a proceeding to set aside the issuance by the New York City Department of Environmental Protection (DEP) of a conditioned negative declaration (CND) regarding the installation of a power generator on a floating barge, the four-month statute of limitations began to run when the CND became final, and not 10 months later when the New York State Department of Environmental Conservation issued an air permit for the project. For purposes of judicial review, an agency action is final when the decisionmaker arrives at a definitive position on the issue that inflicts an actual, concrete injury. DEP arrived at a definitive position on the environmental impact issue at the point the CND became final, which is when DEP's State Environmental Quality Review Act review ended. The issuance of the CND resulted in actual concrete injury to petitioners because the declaration allowed the developer to proceed with the project without preparing an environmental impact statement. Moreover, it would have been unreasonable to have allowed petitioners to postpone their challenge to the CND until the issuance of the air permit 10 months later.

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AM JUR 2d, Limitation of Actions §§ 74, 90; Pollution Control § 146.

CARMODY-WAIT 2d, Limitation of Actions §§ 13:32, 13:186, 13:190.

NY JUR 2d, Environmental Rights and Remedies § 89; Limitations and Laches §§ 51, 56, 59, 194.

SIEGEL, NY PRAC § 35.

ANNOTATION REFERENCE

See ALR Index under Environmental Law; Limitation of Actions.

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Query: “conditioned negative declaration” /p limitation

POINTS OF COUNSEL

Young, Sommer, Ward, Ritzenberg, Baker & Moore, LLC, Albany (*Douglas H. Ward* and *Jeffrey S. Baker* of counsel), for appellants. Appellants’ State Environmental Quality Review Act claims are timely because they were brought within the time to challenge the first final substantive approval of the project—issuance of the Department of Environmental Conservation air permit. (*Matter of Sour Mtn. Realty v New York State Dept. of Envtl. Conservation*, 260 AD2d 920, 93 NY2d 815; *Matter of PVS Chems. v New York State Dept. of Envtl. Conservation*, 256 AD2d 1241; *Matter of Young v Board of Trustees of Vil. of Blasdell*, 221 AD2d 975, 89 NY2d 846; *Matter of Town of Yorktown v New York State Dept. of Mental Hygiene*, 92 AD2d 897, 59 NY2d 999; *Matter of Save the Pine Bush v Planning Bd. of City of Albany*, 83 AD2d 741; *Ecology Action v Van Cort*, 99 Misc 2d 664; *Matter of Long Is. Pine Barrens Socy. v Planning Bd. of Town of Brookhaven*, 78 NY2d 608; *Matter of Essex County v Zagata*, 91 NY2d 447; *Church of St. Paul & St. Andrew v Barwick*, 67 NY2d 510, 479 US 985; *Matter of Haggerty v Planning Bd. of Town of Sand Lake*, 166 AD2d 791, 79 NY2d 784.)

Eliot Spitzer, Attorney General, Albany (*Joseph Koczaja*, *Caitlin J. Halligan*, *Daniel Smirlock*, *Peter H. Schiff* and *Lisa M. Burianek* of counsel), for John P. Cahill and another, respondents. The negative declaration did not start the running of any statute of limitations. (*Matter of Essex County v Zagata*, 91 NY2d 447; *Church of St. Paul & St. Andrew v Barwick*, 67 NY2d 510, 479 US 985; *Matter of Zagata v Freshwater Wetland Appeals Bd.*, 244 AD2d 343, 91 NY2d 813, 95 NY2d 792; *Matter of Ogden Citizens for Responsible Land Use v Planning Bd. of Town of Ogden*, 224 AD2d 921; *Matter of Group for S. Fork v Wines*, 190 AD2d 794; *Matter of Haggerty v Planning Bd. of Town of Sand Lake*, 166 AD2d 791, 79 NY2d 784; *Matter of City*

of *Schenectady v Flacke*, 100 AD2d 349, 63 NY2d 603; *Matter of Town of Yorktown v New York State Dept. of Mental Hygiene*, 92 AD2d 897, 59 NY2d 999; *Matter of Gordon v Rush*, 100 NY2d 236; *Matter of Sour Mtn. Realty v New York State Dept. of Envtl. Conservation*, 260 AD2d 920, 93 NY2d 815.)

Michael A. Cardozo, Corporation Counsel, New York City (*Grace Goodman* and *Larry A. Sonnenshein* of counsel), for New York City Department of Environmental Protection, respondent. Appellants' challenge to the State Environmental Quality Review Act (SEQRA) review conducted by the Department of Environmental Protection (DEP) as lead agency was untimely, since it was not brought within four months after DEP issued the negative declaration which was the final step in its SEQRA review process. (*Matter of Save the Pine Bush v City of Albany*, 70 NY2d 193; *Matter of Young v Board of Trustees of Vil. of Blasdel*, 89 NY2d 846; *Matter of Monteiro v Town of Colonie*, 158 AD2d 246; *Matter of Village of Wesbury v Department of Transp. of State of N.Y.*, 75 NY2d 62; *Matter of Cathedral Church of St. John Divine v Dormitory Auth. of State of N.Y.*, 224 AD2d 95, 89 NY2d 802; *Matter of Wertheim v Albertson Water Dist.*, 207 AD2d 896; *Matter of Mule v Hawthorne Cedar Knolls Union Free School Dist.*, 290 AD2d 698; *Matter of Long Is. Pine Barrens Socy. v Planning Bd. of Town of Brookhaven*, 78 NY2d 608; *Church of St. Paul & St. Andrew v Barwick*, 67 NY2d 510, 479 US 985; *Matter of Sour Mtn. Realty v New York State Dept. of Envtl. Conservation*, 260 AD2d 920, 93 NY2d 815.)

Cohen, Dax & Koenig, P.C., Albany (*John W. Dax* and *Susan L. Taylor* of counsel), for NYC Energy LLC, respondent. I. Stop-The-Barge's CPLR article 78 petition was untimely pursuant to CPLR 217. (*Matter of Essex County v Zagata*, 91 NY2d 447; *Church of St. Paul & St. Andrew v Barwick*, 67 NY2d 510; *Matter of Monteiro v Town of Colonie*, 158 AD2d 246; *Matter of Long Is. Pine Barrens Socy. v Planning Bd. of Town of Brookhaven*, 78 NY2d 608; *Matter of Gordon v Rush*, 100 NY2d 236; *Matter of Sour Mtn. Realty v New York State Dept. of Envtl. Conservation*, 260 AD2d 920, 93 NY2d 815; *Matter of Young v Board of Trustees of Vil. of Blasdel*, 221 AD2d 975, 89 NY2d 846; *Matter of Town of Yorktown v New York State Dept. of Mental Hygiene*, 92 AD2d 897, 59 NY2d 999; *Matter of McNeill v Town Bd. of Town of Ithaca*, 260 AD2d 829, 93 NY2d 812; *Matter of City of Saratoga Springs v Zoning Bd. of Appeals of Town of Wilton*, 279 AD2d 756.) II. Appellant's claims were

untimely pursuant to the special statute of limitations applicable to air permit challenges. (*People v Mobil Oil Corp.*, 48 NY2d 192; *Matter of Brown v Wing*, 93 NY2d 517; *People v Jeanty*, 94 NY2d 507; *People v Lawrence*, 64 NY2d 200; *Ling Ling Yung v County of Nassau*, 77 NY2d 568; *Matter of MacDonald v Reid*, 85 Misc 2d 291.)

OPINION OF THE COURT

G.B. SMITH, J.

In this CPLR article 78 proceeding where petitioners seek to set aside action taken by the New York State Department of Environmental Conservation (DEC) and the New York City Department of Environmental Protection (DEP), we must determine which agency action triggers the statute of limitations. Like the Appellate Division, we conclude that on these facts the statute of limitations began to run when the conditioned negative declaration (CND) issued by DEP became final.

In the fall of 1996, the predecessor of respondent New York City Energy (NYCE) submitted an environmental assessment statement to DEP in order to obtain permits to install a power generator on a floating barge in Brooklyn, New York. The barge was to be anchored on the west side of the Wallabout Channel at the Brooklyn Navy Yard. Upon receipt of the statement, DEP became the lead agency for purposes of conducting a coordinated environmental review of the project pursuant to the State Environmental Quality Review Act (SEQRA). In August 1997, DEP issued the first of three CND's, concluding that the project posed no significant adverse impact to the environment and therefore required no environmental impact statement. Following subsequent project modifications, DEP issued two revised CND's, the last on January 10, 2000. On January 19, 2000, the declaration was published for a 30-day public comment period as required by 6 NYCRR 617.7 (d) (1) (iv). During that period, petitioners offered no comments regarding the CND. The declaration became final on February 18, 2000, thereby concluding SEQRA review of the proposed project.

Simultaneously, when NYCE further modified the proposal in 1999, NYCE applied to the DEC for an air permit pursuant to Environmental Conservation Law article 19. DEC determined that the impacts of air emissions from the proposed facility would not contravene the standards imposed by the Environmental Protection Agency and on August 9, 2000, tentatively approved an air permit for the facility. Following this tentative

determination, DEC issued a public notice stating that it would accept public comment for a 30-day period, to end on September 8, 2000. Given public opposition to the proposal, DEC held a legislative hearing on December 12, 2000. Petitioners and others submitted extensive written objections to the proposal on grounds of inadequate SEQRA review. DEC determined that an adjudicatory hearing was unnecessary and, on December 18, 2000, issued an air permit for NYCE's facility.

On February 20, 2001—one year after the CND became final, and two months after the air permit was issued—petitioners commenced this CPLR article 78 proceeding contending that the DEP's issuance of the CND and DEC's issuance of the air permit were arbitrary and capricious in violation of SEQRA, ECL 3-0301, and ECL article 19. Respondents moved to dismiss the petition as time-barred.

DEC claimed the challenge to the air permit—issued on December 18, 2000—was time-barred under ECL 19-0511 (2) (b) because the agency was not served within two months after the air permit was issued. DEP argued that the challenge to the CND—issued on January 10, 2000—was time-barred under CPLR 217 (1) because the action was not brought within four months after the CND was issued. NYCE answered and sought dismissal under both statutes of limitations.

Supreme Court dismissed the action as time-barred, concluding that ECL 19-0511 (2) (b) barred petitioners' challenges because they failed to serve respondents within two months of the issuance of the air permit—the final agency action. The court held that the project could not have had any effect on the environment until the air permit was issued, and therefore petitioners did not sustain an actual injury until the issuance of the air permit. The Appellate Division modified, applying the four-month statute of limitations in CPLR 217 (1), not the two-month statute of limitations in ECL 19-0511 (2) (b). In the Appellate Division's view, the action against DEC challenging the air permit was timely because petitioners commenced the proceeding on February 20, 2001—within four months of DEC's determination on December 18, 2000. The Appellate Division, however, upheld dismissal of the suit against DEP challenging the issuance of the CND, holding that the issuance of the CND was a final agency action triggering the statute of limitations.

On this appeal, petitioners as well as respondent DEC argue that the four-month period of limitations commenced on

December 18, 2000, when DEC issued the air permit. Petitioners and DEC claim that the CND was merely a preliminary step in the decisionmaking process and that no sufficient predicate for judicial review existed until a permit or approval was issued for the project. DEP and NYCE argue that the period of limitations began to run when the CND was issued, or at the latest, when the 30-day comment period after issuance of the declaration was complete.

We agree with DEP, NYCE and the Appellate Division that under the circumstances presented here, the CND was a final agency action for purposes of judicial review of petitioners' SEQRA claim.

In *Matter of Essex County v Zagata*, we concluded that an agency action is final when the decisionmaker arrives at a "definitive position on the issue that inflicts an actual, concrete injury" (91 NY2d 447, 453 [1998]). We stated:

"[A] determination will not be deemed final because it stands as the agency's last word on a discrete legal issue that arises during an administrative proceeding. There must additionally be a finding that the injury purportedly inflicted by the agency may not be prevented or significantly ameliorated by further administrative action or by steps available to the complaining party. If further agency proceedings might render the disputed issue moot or academic, then the agency position cannot be considered definitive or the injury actual or concrete" (*id.* at 453-454 [internal quotation marks and citations omitted]; see also *Matter of Gordon v Rush*, 100 NY2d 236, 242-243 [2003]).

Here, the agency reached a definitive position on February 18, 2000, when the public comment period ended, because, at that point, its SEQRA review ended. DEP conducted no further SEQRA investigation, and issued no further SEQRA declaration on the project. Petitioners had an opportunity to comment but failed to alert DEP to the concerns they subsequently raised with regard to the SEQRA review. Thus, to the extent that petitioners challenge the conclusions reached by DEP from its SEQRA review, the period of limitations must be measured at the latest from the time that the CND became final, on February 18, 2000. Additionally, the issuance of the CND resulted in actual concrete injury to petitioners because the declaration essentially gave the developer the ability to proceed with the proj-

ect without the need to prepare an environmental impact statement.

Moreover, to allow petitioners to postpone their challenge to the CND until the issuance of the air permit would be particularly unreasonable here, since the declaration had been final for 10 months before the permit was issued. Given these circumstances, commencing the period of limitations from the finality of the CND is consistent with the policy of resolving environmental issues and determining whether an environmental impact statement will be required at the early stages of project planning (see *e.g. Matter of Long Is. Pine Barrens Socy. v Planning Bd. of Town of Brookhaven*, 78 NY2d 608 [1991]).

Accordingly, the order of the Appellate Division, insofar as appealed from, should be affirmed, with costs.

Chief Judge KAYE and Judges CIPARICK, ROSENBLATT, GRAFFEO and READ concur.

Order, insofar as appealed from, affirmed, with costs.

[803 NE2d 370, 771 NYS2d 49]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v BRUCE
BIGGS, Appellant.

Argued October 22, 2003; decided December 2, 2003

SUMMARY

APPEAL, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered October 7, 2002. The Appellate Division affirmed a judgment of the Supreme Court, Kings County (Alan D. Marrus, J.), which had convicted defendant, upon a jury verdict, of manslaughter in the first degree (two counts).

People v Biggs, 298 AD2d 398, reversed.

HEADNOTES

Crimes — Double Jeopardy — Withdrawal of Counts from Jury for Insufficient Evidence Constitutes Acquittal

1. Supreme Court's withdrawal of the intentional murder counts from the jury's consideration at defendant's first trial on the ground that there was insufficient evidence to support those charges constituted an acquittal for purposes of the Double Jeopardy Clauses of both the Federal and New York State Constitutions (US Const 5th Amend; NY Const, art I, § 6). Although defendant never sought a trial order of dismissal of the intentional murder charges, the judge repeatedly stated that they were unsupportable, and the parties apparently believed that those charges had been dismissed and that defendant could not be prosecuted for them in any subsequent indictment.

Crimes — Double Jeopardy — Acquittal of Second Degree Intentional Murder Precludes Further Prosecution for First Degree Manslaughter

2. First degree manslaughter (Penal Law § 125.20 [1]) is the same offense as second degree intentional murder (Penal Law § 125.25 [1]) for constitutional double jeopardy purposes such that defendant's acquittal of the greater offense at his first trial precluded his subsequent indictment and prosecution for the lesser offense (US Const 5th Amend; NY Const, art I, § 6). First degree manslaughter does not require any additional proof beyond that required to sustain a conviction of second degree intentional murder. It is impossible to intend "to cause the death" of a person, as required by Penal Law § 125.25 (1), without simultaneously intending "to cause serious physical injury" to that person, as required by Penal Law § 125.20 (1).

Crimes — Appeal — Preservation of Issue for Review — Double Jeopardy

3. A statutory double jeopardy claim under CPL 40.20 (2) is not reviewable when it is not properly preserved below. Here, defendant's statutory double jeopardy claim was not adequately preserved for review.

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AM JUR 2d, Appellate Review §§ 239, 614, 690, 691, 702,

704; Criminal Law §§ 322–325, 336, 343, 347, 348, 365, 366; Homicide §§ 37, 38, 45–47, 179.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:1958, 172:1959, 172:1967, 172:1989, 172:2018, 172:2038; 172:4470, 172:4471, 172:4490.

LaFAVE, et al., CRIMINAL PROCEDURE (3d ed) § 25.3.

McKINNEY'S, CPL 40.20 (2); Penal Law § 125.20 (1); § 125.25 (1); NY Const, art I, § 6.

NY JUR 2d, Criminal Law §§ 1763–1767, 1795, 1799, 3231, 3286, 3291, 3778, 3787, 3790, 3823, 3824, 3853.

US Const 5th Amend.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Criminal Procedure Rules; Double Jeopardy; Homicide; Manslaughter.

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POINTS OF COUNSEL

Reyna E. Marder, New York City, *Lynn W.L. Fahey* and *Barry S. Stendig* for appellant. Defendant's prosecution for the lesser included offense of intentional manslaughter violated the federal and state prohibition against double jeopardy when intentional murder counts had been dismissed for insufficiency at a prior trial. (*Burks v United States*, 437 US 1; *Hudson v Louisiana*, 450 US 40; *People v Mayo*, 48 NY2d 245; *Sanabria v United States*, 437 US 54; *Blockburger v United States*, 284 US 299; *People v Wood*, 95 NY2d 509; *North Carolina v Pearce*, 395 US 711; *People v Glover*, 57 NY2d 61; *Brown v Ohio*, 432 US 161; *People v Owens*, 227 AD2d 256.)

Charles J. Hynes, District Attorney, Brooklyn (*Victor Barall* and *Leonard Joblove* of counsel), for respondent. Defendant's prosecution for two counts of manslaughter in the first degree at his second trial did not deprive him of his constitutional double jeopardy rights. Moreover, defendant's statutory double jeopardy claim is unpreserved for appellate review and without merit. (*People v Latham*, 83 NY2d 233; *People v P.J. Video*, 68 NY2d 296; *Green v United States*, 355 US 184; *United States v DiFrancesco*, 449 US 117; *North Carolina v Pearce*, 395 US 711; *Arizona v Washington*, 434 US 497; *Matter of Davis v Brown*, 87 NY2d 626; *United States v Martin Linen Supply Co.*, 430 US

564; *People v Prescott*, 66 NY2d 216, 475 US 1150; *Sanabria v United States*, 437 US 54.)

OPINION OF THE COURT

CIPARICK, J.

This appeal presents two questions for our review. The threshold question is whether Supreme Court’s withdrawal of the intentional murder counts from the jury’s consideration on the ground that there was insufficient evidence to support those charges constituted an acquittal for purposes of the Double Jeopardy Clauses of both the Federal and New York State Constitutions (US Const 5th Amend; NY Const, art I, § 6). If so, we turn to whether first degree manslaughter is the same offense as intentional murder for constitutional double jeopardy purposes such that an acquittal of the greater offense precludes further prosecution for the lesser offense. We conclude that defendant was acquitted of the intentional murder charges, and that his subsequent prosecution for manslaughter in the first degree violated the Double Jeopardy Clauses of the Federal and State Constitutions.

In February 1999, defendant shot and killed two people, an adult male and a 14-year-old female. The original indictment charged defendant with two counts of murder in the first degree (Penal Law § 125.27 [1] [a] [viii]), four counts of murder in the second degree—consisting of two counts of intentional murder and two counts of depraved indifference murder—(Penal Law § 125.25 [1], [2]), and one count of criminal possession of a weapon in the second and third degrees (Penal Law § 265.03 [2]; § 265.02 [4]). Before the case was submitted to the jury, the court repeatedly advised the parties that there was insufficient evidence of intentional murder. For example, at a preliminary charge conference before the close of the People’s proof, the Judge informed the parties that he did not intend to submit the counts of intentional murder to the jury, stating “[t]here’s no evidence for me [to] submit to the jury that the defendant intended to kill these two people . . . [s]o I don’t believe there is evidence to support intentional murder[] in a case where two individuals were randomly shot and killed.” When the People attempted to argue at a later charge conference that the jury should be permitted to consider intentional murder, the Judge indicated that he had previously ruled on the matter, that there was insufficient evidence to support intentional murder and that the evidence was consistent with a depraved act. The only

charges submitted to the jury were two counts of second degree depraved indifference murder (Penal Law § 125.25 [2]) and two counts of second degree manslaughter (Penal Law § 125.15 [1]) as a lesser included offense. The defendant did not move to dismiss the intentional murder charges at any point.

After two and a half days' deliberation, the jury found the defendant not guilty of the murder charges, but was unable to reach a verdict on the manslaughter charges. While the jury deliberated, the Judge discussed the options with counsel, including the possibility that defendant enter into a plea agreement. The court advised defendant that he could never be retried for murder, but that he could be retried for the manslaughter charges and face sentence exposure consistent with the maximum for a second violent felony offender guilty of second degree manslaughter. Defendant did not accept the plea, and at defense counsel's request the Judge gave the jury an *Allen* charge. After further deliberation, the jury was still unable to reach a verdict on the second degree manslaughter charges and the Judge declared a mistrial.

Defendant was subsequently indicted for two counts of manslaughter in the first degree (Penal Law § 125.20 [1]) and two counts of manslaughter in the second degree. He moved to dismiss the second indictment arguing that it was unauthorized under CPL 310.70 and that double jeopardy precluded his retrial for first degree manslaughter as a lesser included offense of intentional second degree murder. Supreme Court denied defendant's motion to dismiss, finding that the evidence was legally sufficient to support the charges in the second indictment and, specifically, that the indictment for manslaughter in the first degree was proper, as that charge was not considered by the first jury or contained in the original indictment.

After a second jury trial, defendant was convicted of two counts of manslaughter in the first degree. The jury had been advised not to consider manslaughter in the second degree if they returned a guilty verdict of manslaughter in the first degree. The Appellate Division affirmed, finding that double jeopardy did not prevent defendant from being tried for first degree manslaughter (298 AD2d 398 [2002]). We now reverse.

Analysis

The Double Jeopardy Clause contains three separate guarantees: First, "[i]t protects against a second prosecution for the same offense after acquittal. [Second,] [i]t protects against a

second prosecution for the same offense after conviction. And [third] it protects against multiple punishments for the same offense” (*North Carolina v Pearce*, 395 US 711, 717 [1969] [footnotes omitted], *overruled in part on other grounds Alabama v Smith*, 490 US 794 [1989]). The case before us falls within the first category as defendant alleges it involves an acquittal and a second prosecution for the same offense.

First, we need to examine whether the defendant was acquitted of the intentional murder charges. It is settled that dismissal of a count due to insufficient evidence is tantamount to an acquittal for purposes of double jeopardy and protects a defendant against additional prosecution for such count (*see Smailis v Pennsylvania*, 476 US 140, 142 [1986]; *Burks v United States*, 437 US 1, 18 [1978]; *People v Mayo*, 48 NY2d 245, 249 [1979]). Here, defendant never sought a trial order of dismissal. Nor did the Judge specifically state that he was dismissing the counts. However, “what constitutes an ‘acquittal’ is not to be controlled by the form of the judge’s action. . . . Rather, we must determine whether the ruling of the judge, whatever its label, actually represents a resolution, correct or not, of some or all of the factual elements of the offense charged” (*United States v Martin Linen Supply Co.*, 430 US 564, 571 [1977] [citations omitted]).

[1] Under the facts of this case, Supreme Court clearly dismissed the intentional murder counts due to insufficient evidence. The Judge repeatedly stated that the intentional murder count was unsupportable. It was also apparent from the colloquy while the jury was deadlocked that the parties believed the intentional murder charges had been dismissed and that defendant could only be prosecuted for second degree manslaughter in any subsequent indictment. It is unquestionably the better practice for defense counsel to move for a trial order of dismissal when the People have rested or at the close of proof (*see* CPL 290.10). However, under these facts and circumstances, the Judge’s decision not to submit the intentional murder counts to the jury was a dismissal of the charges for insufficient evidence constituting a resolution of those charges, and thus the equivalent of an acquittal for double jeopardy purposes.

Since the defendant was acquitted of intentional murder, we next must determine whether first degree manslaughter is the same offense as second degree murder for double jeopardy

purposes,¹ so that his acquittal of the murder charges barred subsequent prosecution for first degree manslaughter. The Double Jeopardy Clause precludes consecutive prosecutions for greater and lesser included offenses where, “the lesser offense . . . requires no proof beyond that which is required for conviction of the greater” (see *Brown v Ohio*, 432 US 161, 168 [1977]; *People v Wood*, 95 NY2d 509, 514 [2000]). “The applicable rule is that, where the same act or transaction constitutes a violation of two distinct statutory provisions, the test to be applied to determine whether there are two offenses or only one is whether each provision requires proof of an additional fact which the other does not” (*Blockburger v United States*, 284 US 299, 304 [1932] [citations omitted]).

A person is guilty of second degree murder when “[w]ith intent to cause the death of another person, he causes the death of such person or of a third person” (Penal Law § 125.25 [1]). First degree manslaughter is established when “[w]ith intent to cause serious physical injury to another person, he causes the death of such person or of a third person” (Penal Law § 125.20 [1]).²

[2] Under the *Blockburger* test, these two crimes are the “same” offense. If second degree intentional murder has been proven, there is no additional fact that must be shown to establish first degree manslaughter. There can be no doubt that it is impossible to intend to kill a person without simultaneously intending to seriously physically injure that person. Thus, the lesser offense does not require any proof beyond that required to sustain a conviction of the greater offense. “The greater offense is therefore by definition the ‘same’ for purposes of double jeopardy as any lesser offense included in it” (*Brown*, 432 US at 168 [holding that joyriding and auto theft were the “same” offense for double jeopardy purposes where joyriding required no proof beyond that necessary to establish auto theft]). For double jeopardy purposes, intentional murder in the second degree and manslaughter in the first degree should be considered the same

1. Although defendant was acquitted of both first degree intentional murder and second degree intentional murder, for the purposes of this appeal we address only whether first degree manslaughter is the same offense as second degree intentional murder.

2. Serious physical injury is further defined as “physical injury which creates a substantial risk of death, or which causes death or serious and protracted disfigurement, protracted impairment of health or protracted loss or impairment of the function of any bodily organ” (Penal Law § 10.00 [10]).

offense as no additional element of proof is required to sustain a conviction of first degree manslaughter beyond that which is required for second degree murder.

Consequently, since defendant was acquitted of the intentional murder charges at his first trial, and manslaughter in the first degree is the same offense as murder in the second degree under *Blockburger*, the Double Jeopardy Clauses of both the Federal and State Constitutions precluded defendant's subsequent indictment and prosecution for first degree manslaughter.

[3] Although a defendant's state and federal constitutional double jeopardy claims are reviewable even when they are not properly preserved below (*see People v Michael*, 48 NY2d 1, 7 [1979]), the same is not true of a statutory double jeopardy claim under Criminal Procedure Law § 40.20 (2). "A statutory claim that one may not be separately prosecuted for two offenses based on the same act or criminal transaction . . . must be duly preserved if there is to be appellate review" (*People v Dodson*, 48 NY2d 36, 38 [1979]; *see also People v Gonzalez*, 99 NY2d 76, 82-83 [2002] [holding that a constitutional double jeopardy claim as to whether multiple punishments for the same offense were appropriate was a statutory interpretation question that must be preserved for review]). Here, contrary to defendant's contention, the statutory double jeopardy claim under CPL 40.20 (2) was not adequately preserved for our review.

The parties' remaining contentions are without merit.

Accordingly, the order of the Appellate Division should be reversed, the counts of the indictment charging defendant with manslaughter in the first degree dismissed and a new trial ordered on the counts of the indictment charging defendant with manslaughter in the second degree.

Chief Judge KAYE and Judges G.B. SMITH, ROSENBLATT, GRAFFEO and READ concur.

Order reversed, etc.

[803 NE2d 364, 771 NYS2d 43]

In the Matter of DENISE M. THEROUX et al., Appellants, v EDWARD REILLY, as Nassau County Sheriff, et al., Respondents.

In the Matter of DAVID WAGMAN, Appellant, v JOHN A. KAPICA, as Chief of the Town of Greenburgh Police Department, et al., Respondents.

In the Matter of LOREN S. JAMES, Appellant, v COUNTY OF YATES SHERIFF'S DEPARTMENT et al., Respondents.

Argued October 22, 2003; decided December 2, 2003

SUMMARY

APPEAL, in the first above-entitled proceeding, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered August 26, 2002. The Appellate Division (1) reversed, on the law, a judgment of the Supreme Court, Nassau County (Daniel Martin, J.; op 187 Misc 2d 723), entered in a proceeding pursuant to CPLR article 78, which had granted the petition with respect to petitioners Denise M. Theroux, Patrick T. Guiheen, William R. Drake, and Walter M. Krute, reversed and annulled the determinations as to those petitioners, and declared them eligible for General Municipal Law § 207-c benefits, (2) denied the petition as to petitioners Theroux, Guiheen, Drake and Krute, and (3) dismissed the proceeding as to those petitioners.

APPEAL, in the second above-entitled proceeding, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Department, entered December 9, 2002. The Appellate Division affirmed a judgment of the Supreme Court, Westchester County (Peter M. Leavitt, J.), entered in a proceeding pursuant to CPLR article 78, which had (1) denied the petition to review a determination of the Chief of Police of the Police Department of the Town of Greenburgh denying petitioner benefits pursuant to General Municipal Law § 207-c, (2) dismissed the proceeding, and (3) confirmed the determination.

APPEAL, in the third above-entitled proceeding, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered December 30, 2002. The Appellate Division (1) reversed,

on the law, a judgment of the Supreme Court, Yates County (Dennis F. Bender, J.), entered in a proceeding pursuant to CPLR article 78, which had granted the petition seeking to compel payment of General Municipal Law § 207-c benefits, and (2) dismissed the petition.

Matter of Theroux v Reilly, 297 AD2d 384, reversed.

Matter of Wagman v Kapica, 300 AD2d 406, reversed.

Matter of James v County of Yates Sheriff's Dept., 300 AD2d 989, reversed.

HEADNOTE

Civil Service — Police — General Municipal Law § 207-c Benefits

Eligibility for benefits under General Municipal Law § 207-c, which provides for the payment of the full amount of regular salary or wages to a police officer or other covered municipal employee who is injured “in the performance of his duties” or is taken ill “as a result of the performance of his duties,” is not contingent upon the municipal employee’s demonstrating an injury sustained in the performance of special work related to the heightened risks and duties inherent in law enforcement. The statutory text does not suggest any legislative intent to create a “heightened risk” standard, and such interpretation is consistent with legislative history. The Legislature has pointed to “heightened risk” as the rationale for selecting additional classes of municipal employees for inclusion within section 207-c, not as the standard for determining eligibility for section 207-c benefits.

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AM JUR 2d, Pensions and Retirement Funds §§ 1207, 1211, 1214.

McKINNEY’S, General Municipal Law § 207-c.

NY JUR 2d, Civil Servants and Other Public Officers and Employees § 426; Counties, Towns, and Municipal Corporations § 862.

ANNOTATION REFERENCE

Determination whether peace officer’s disability is service-connected for disability pension purposes. 12 ALR4th 1158.

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POINTS OF COUNSEL

Certilman Balin Adler & Hyman, East Meadow (Wayne J. Schaefer of counsel), for appellants in the first above-entitled

proceeding. I. Since petitioners were injured in the performance of their respective duties, the court below erred when it held that respondents' denial of General Municipal Law § 207-c benefits was not arbitrary and capricious, an abuse of discretion or affected by error of law. (*Matter of Curley v Dilworth*, 96 AD2d 903; *Matter of Mashnouk v Miles*, 55 NY2d 80; *Matter of Collins v City of Yonkers*, 207 AD2d 830; *Matter of Crawford v Sheriff's Dept., Putnam County*, 152 AD2d 382, 76 NY2d 704; *Glasser v Price*, 35 AD2d 98; *Matter of Laudico v Netzel*, 254 AD2d 811; *Matter of White v County of Cortland*, 97 NY2d 336; *Matter of Clements v Panzarella*, 297 AD2d 4; *Santangelo v State of New York*, 71 NY2d 393; *Cooper v City of New York*, 81 NY2d 584.) II. The holding of this Court in *Matter of Balcerak v County of Nassau* (94 NY2d 253 [1999]) did not alter the requirements for obtaining General Municipal Law § 207-c benefits. (*Matter of Crawford v Sheriff's Dept., Putnam County*, 152 AD2d 382.) III. The remedial purpose of General Municipal Law § 207-c would be contravened by the ambiguous and subjective "heightened risk and duties" standard relied on by the court below.

Lorna B. Goodman, County Attorney, Mineola (*Dennis J. Saffran* and *David B. Goldin* of counsel), for respondents in the first above-entitled proceeding. I. *Matter of Balcerak v County of Nassau* (94 NY2d 253 [1999]) established a "heightened risks and duties" standard of eligibility for General Municipal Law § 207-c benefits, and the routine workplace injuries incurred by petitioners did not meet this standard. (*Matter of Ertner v County of Chenango*, 280 AD2d 851; *Kaufman v Eli Lilly & Co.*, 65 NY2d 449; *Ryan v New York Tel. Co.*, 62 NY2d 494; *Matter of James v County of Yates Sheriff's Dept.*, 300 AD2d 989; *Matter of Clements v Panzarella*, 297 AD2d 4; *Matter of Bonkoski v Village of Suffern*, 296 AD2d 404; *Matter of Dobbartin v Town of Chester*, 292 AD2d 382, 98 NY2d 605; *Matter of Travison v County of Albany*, 291 AD2d 705, 98 NY2d 605; *Youngs v Village of Penn Yan*, 291 AD2d 852; *Matter of Sutherland v Village of Suffern*, 289 AD2d 582, 97 NY2d 613.) II. *Matter of Balcerak v County of Nassau* (94 NY2d 253 [1999]) should not be overruled less than four years after it was handed down. (*Eastern Consol. Props. v Adelaide Realty Corp.*, 95 NY2d 785; *Cenven, Inc. v Bethlehem Steel Corp.*, 41 NY2d 842; *City of Buffalo v Cargill, Inc.*, 44 NY2d 7; *People v Hobson*, 39 NY2d 479; *People v Damiano*, 87 NY2d 477; *Burnet v Coronado Oil & Gas Co.*, 285 US 393; *Planned Parenthood of Southeastern Pa. v Casey*, 505 US 833; *People v Bing*, 76 NY2d 331; *People v Bartolomeo*, 53 NY2d 225.)

Donna M.C. Giliberto, Albany, for New York State Conference of Mayors and Municipal Officials, amicus curiae, in the first above-entitled proceeding. I. The legislative history surrounding the enactment of General Municipal Law § 207-c and its amendments clearly warrants the limitation of its benefits to those law enforcement personnel injured or taken ill while performing the dangerous tasks for which they were hired. II. The statutory language of General Municipal Law § 207-c contemplates the granting of benefits only for injuries and illnesses incurred in the performance of the dangerous work which a police officer was hired to perform. (*Matter of White v County of Cortland*, 97 NY2d 336; *Matter of DePoalo v County of Schenectady*, 85 NY2d 527; *Matter of Ramsden v Regan*, 91 AD2d 773; *Matter of Martinson v Regan*, 176 AD2d 1121; *Matter of Robinson v New York State & Local Police & Fire Retirement Sys.*, 192 AD2d 951; *Matter of Curtis v New York State Comptroller*, 281 AD2d 780.) III. The standard used to determine eligibility for General Municipal Law § 207-c benefits is neither ambiguous nor subjective. (*Jacobellis v Ohio*, 378 US 184; *Matter of Ertner v County of Chenango*, 280 AD2d 851; *Matter of Sutherland v Village of Suffern*, 289 AD2d 582; *Matter of Wynne v Town of Ramapo*, 286 AD2d 338; *Youngs v Village of Penn Yan*, 291 AD2d 852; *Matter of Travison v County of Albany*, 291 AD2d 705; *Matter of Sills v Livingston*, 294 AD2d 922; *Matter of Clements v Panzarella*, 297 AD2d 4; *Matter of Bonkoski v Village of Suffern*, 296 AD2d 404.) IV. This Court's reference to heightened risk injuries as warranting an award of General Municipal Law § 207-c benefits was correct. (*Matter of Balcerak v County of Nassau*, 94 NY2d 253.)

Richard A. Glickel, West Nyack, for Town of Clarkstown and others, amici curiae, in the first above-entitled proceeding. I. There is no entitlement to General Municipal Law § 207-c benefits for injuries not incurred in the performance of special work related to the nature of heightened risks and duties inherent to the covered employment. (*Matter of DePoalo v County of Schenectady*, 85 NY2d 527; *Matter of Balcerak v County of Nassau*, 94 NY2d 253; *Matter of City of Watertown v State of New York Pub. Empl. Relations Bd.*, 95 NY2d 73; *Matter of Crawford v Sheriff's Dept., Putnam County*, 152 AD2d 382, 76 NY2d 704; *Matter of Maresco v Rozzi*, 162 AD2d 534; *Matter of Fedorczak v Dolce*, 202 AD2d 668; *Matter of De John v Town of Frankfort*, 209 AD2d 938; *Matter of Hamilton v City of Schenectady*, 210 AD2d 843; *Matter of Furch v Bucci*, 254 AD2d 642; *Matter of Clements v Panzarella*, 297 AD2d 4.) II. The court below cor-

rectly ruled that a rational basis existed for respondents' administrative determinations denying appellants General Municipal Law § 207-c benefits. (*Matter of Uniform Firefighters of Cohoes v City of Cohoes*, 94 NY2d 686; *Matter of DePoalo v County of Schenectady*, 85 NY2d 527; *Matter of City of Watertown v State of New York Pub. Empl. Relations Bd.*, 95 NY2d 73; *Matter of Balcerak v County of Nassau*, 94 NY2d 253; *Matter of Arrocha v Board of Educ.*, 93 NY2d 361; *Matter of Pell v Board of Educ.*, 34 NY2d 222; *Matter of Schenectady Police Benevolent Assn. v New York State Pub. Empl. Relations Bd.*, 85 NY2d 480; *Matter of Conlon v Commissioner of Civ. Serv. of County of Suffolk*, 225 AD2d 766; *Matter of Collins v City of Yonkers*, 207 AD2d 830; *Matter of Sutherland v Village of Suffern*, 289 AD2d 582, 97 NY2d 613.)

Freedman, Wagner, Tabakman & Weiss, New City (David MacRae Wagner of counsel), for appellant in the second above-entitled proceeding. I. It is highly unlikely that this Court intended to change over 40 years of substantive law, in a case involving only a procedural issue, without clearly expressing such intent. (*Matter of Balcerak v County of Nassau*, 94 NY2d 253; *Matter of White v County of Cortland*, 97 NY2d 336; *Matter of Mashnouk v Miles*, 55 NY2d 80; *Matter of Theroux v Reilly*, 187 Misc 2d 723; *Matter of James v County of Yates Sheriff's Dept.*, 300 AD2d 989.) II. Any police officer injured in the performance of his duties is entitled to General Municipal Law § 207-c benefits. (*McCluskey v Cromwell*, 11 NY 593; *Matter of Theroux v Reilly*, 187 Misc 2d 723; *Matter of Erie County Agric. Socy. v Cluchey*, 40 NY2d 194; *Matter of Laudico v Netzel*, 254 AD2d 811; *Pajak v Pajak*, 56 NY2d 394.)

Law Office of Vincent Toomey, Lake Success (Vincent Toomey and Christine A. Gaeta of counsel), for respondents in the second above-entitled proceeding. I. In *Matter of Balcerak v County of Nassau* (94 NY2d 253 [1999]), this Court established that in order for police officers to be eligible for General Municipal Law § 207-c benefits, their injuries must have been incurred in the performance of special work related to the nature of heightened risks and duties. (*Matter of Balcerak v County of Nassau*, 94 NY2d 253; *Matter of Sutka v Conners*, 73 NY2d 395; *Matter of Clements v Panzarella*, 297 AD2d 4; *Matter of Theroux v Reilly*, 187 Misc 2d 723, 297 AD2d 384, 99 NY2d 503; *Matter of White v County of Cortland*, 97 NY2d 336; *Matter of Gallante v Reilly*, 303 AD2d 503; *Matter of Schafer v Reilly*, 302 AD2d 394; *Matter of James v County of Yates Sheriff's Dept.*, 300 AD2d 989, 100

NY2d 504; *Matter of Stalter v Scarpato*, 297 AD2d 382; *Matter of Bonkoski v Village of Suffern*, 296 AD2d 404.) II. The court below properly applied the eligibility standard for General Municipal Law § 207-c benefits set forth by this Court in *Matter of Balcerak v County of Nassau* (94 NY2d 253 [1999]) to correctly hold that the administrative determination denying petitioner General Municipal Law § 207-c benefits was not arbitrary or capricious. (*Matter of White v County of Cortland*, 97 NY2d 336.)

Trevett, Lenweaver & Salzer, P.C., Rochester (*Katherine Piccola* and *Lawrence J. Andolina* of counsel), for appellant in the third above-entitled proceeding. I. Deputy James is entitled to General Municipal Law § 207-c benefits because he was injured while in the performance of special work related to the nature of heightened risks and duties unique to the criminal justice process. (*Matter of Dobbartin v Town of Chester*, 292 AD2d 382, 98 NY2d 605; *Brady v City of New Rochelle*, 296 AD2d 365; *Matter of Balcerak v County of Nassau*, 94 NY2d 253; *Matter of Ertner v County of Chenango*, 280 AD2d 851; *Matter of Dembowski v Hanna*, 245 AD2d 1039, 91 NY2d 813; *Matter of Gernemski v Department of Fire of City of Syracuse*, 72 Misc 2d 166, 42 AD2d 1050, 33 NY2d 521; *Matter of Theroux v Reilly*, 297 AD2d 384; *Matter of Wagman v Kapcia*, 300 AD2d 406; *Matter of Clements v Panzarella*, 297 AD2d 4; *Matter of Bonkoski v Village of Suffern*, 296 AD2d 404.) II. General Municipal Law § 207-c benefits are not contingent upon the alleged heightened risks and duties standard. (*Matter of Theroux v Reilly*, 297 AD2d 384, 99 NY2d 503; *McCluskey v Cromwell*, 11 NY 593; *Matter of Erie County Agric. Socy. v Cluchey*, 40 NY2d 194; *Matter of White v County of Nassau*, 97 NY2d 336; *Matter of Curley v Dilworth*, 96 AD2d 903, 63 NY2d 770; *Matter of Laudico v Netzel*, 254 AD2d 811; *People v Bryant*, 92 NY2d 216; *Matter of Mashnouk v Miles*, 55 NY2d 80; *Matter of Balcerak v County of Nassau*, 274 AD2d 580; *Matter of Dobbartin v Town of Chester*, 292 AD2d 382.)

Hancock & Estabrook, LLP, Syracuse (*Janet D. Callahan* and *John F. Corcoran* of counsel), for respondents in the third above-entitled proceeding. I. The “heightened risks and duties” standard of *Matter of Balcerak v County of Nassau* (94 NY2d 253 [1999]) is consistent with both the letter and spirit of General Municipal Law § 207-c. (*Matter of DePoalo v County of Schenectady*, 85 NY2d 527; *Matter of Clements v Panzarella*, 297 AD2d 4; *Matter of White v County of Cortland*, 97 NY2d 336;

Matter of Laudico v Netzel, 254 AD2d 811.) II. *Matter of Balcerak v County of Nassau* (94 NY2d 253 [1999]) established a “heightened risks and duties” standard for entitlement to benefits under General Municipal Law § 207-c and petitioner did not meet that standard. (*Matter of White v County of Cortland*, 97 NY2d 336; *Matter of Clements v Panzarella*, 297 AD2d 4; *Matter of Stalter v Scarpato*, 297 AD2d 382; *Matter of Bonkoski v Village of Suffern*, 296 AD2d 404; *Matter of Sills v Livingston*, 294 AD2d 922; *Matter of Travison v County of Albany*, 291 AD2d 705, 98 NY2d 605; *Matter of Sutherland v Village of Suffern*, 289 AD2d 582, 97 NY2d 613; *Matter of Dobbartin v Town of Chester*, 292 AD2d 382, 98 NY2d 605; *Youngs v Village of Penn Yan*, 291 AD2d 852.)

Law Office of James B. Tuttle, Albany (*James B. Tuttle* of counsel), for Police Conference of New York, Inc., amicus curiae, in the three above-entitled proceedings. There is no legal requirement that a police officer be injured while engaged in duties specifically involving “heightened risks” in order to receive benefits under section 207-c of the General Municipal Law. (*Matter of Crawford v Sheriff’s Dept., Putnam County*, 152 AD2d 382; *Matter of Curley v Dilworth*, 96 AD2d 903; *Matter of Ross v Town Bd. of Town of Ramapo*, 78 AD2d 656; *Matter of De John v Town of Frankfort*, 209 AD2d 938; *Matter of Maresco v Rozzi*, 162 AD2d 534; *Youngs v Village of Penn Yan*, 180 Misc 2d 190; *Matter of Fedorczak v Dolce*, 202 AD2d 668; *Langdon v WEN Mgt. Co.*, 147 AD2d 450; *Lee v Jones*, 230 AD2d 435.)

Gleason, Dunn, Walsh & O’Shea, Albany (*Ronald G. Dunn* and *Michael K. Barrett* of counsel), for New York State Deputies Association, Inc., amicus curiae, in the three above-entitled proceedings. I. Lower courts have improperly interpreted the dicta in *Matter of Balcerak v County of Nassau* (94 NY2d 253 [1999]) as creating a new higher standard for the administration of General Municipal Law § 207-c benefits. (*Matter of Bonkoski v Village of Suffern*, 296 AD2d 404; *Matter of Travison v County of Albany*, 291 AD2d 705; *Matter of Sills v Livingston*, 294 AD2d 922; *Youngs v Village of Penn Yan*, 291 AD2d 852; *Matter of Stalter v Scarpato*, 297 AD2d 382; *Matter of Clements v Panzarella*, 297 AD2d 4; *Matter of Sutherland v Village of Suffern*, 289 AD2d 582; *Matter of Ertner v County of Chenango*, 280 AD2d 851; *Bright Homes v Wright*, 8 NY2d 157; *Matter of Metropolitan Life Ins. Co. v Boland*, 281 NY 357.) II. Injury or illness while performing official duties is the only requirement for General Municipal Law § 207-c benefits. (*Matter of Balcerak v*

County of Nassau, 94 NY2d 253; *People v Bryant*, 92 NY2d 216.) III. *Matter of Balcerak v County of Nassau* (94 NY2d 253 [1999]) should be rectified in light of *Matter of White v County of Cortland* (97 NY2d 336 [2002]). (*Fasanaro v County of Rockland*, 166 Misc 2d 152, 237 AD2d 436, 90 NY2d 913; *Matter of Meyers v Loughren*, 228 AD2d 927; *Glens Falls Portland Cement Co. v Van Wirt Constr. Co.*, 132 Misc 95; *Harbeck v Pupin*, 123 NY 115; *Matter of Mlodozieniec v Worthington Corp.*, 9 AD2d 21, 8 NY2d 918; *Matter of Uniform Firefighters of Cohoes v City of Cohoes*, 258 AD2d 24; *Matter of Mashnouk v Miles*, 55 NY2d 80.) IV. Decisions prior to *Matter of Balcerak v County of Nassau* (94 NY2d 253 [1999]) established a bright-line test for granting benefits under the statute. (*Fasanaro v County of Rockland*, 166 Misc 2d 152.)

OPINION OF THE COURT

READ, J.

At issue in this appeal is whether eligibility for benefits under General Municipal Law § 207-c is contingent upon the municipal employee's demonstrating an injury sustained in the performance of special work related to the heightened risks and duties inherent in law enforcement. We conclude that section 207-c does not require such a "heightened risk" standard.

I.

Originally enacted in 1961, General Municipal Law § 207-c provides for the payment of the full amount of regular salary or wages to a police officer or other covered municipal employee who is injured "in the performance of his duties" or is taken ill "as a result of the performance of his duties" (§ 207-c [1]). These payments continue until the disability has ceased, or the disabled employee is granted a disability retirement. The payments stop if the employee either performs, or refuses to perform, light-duty work. The municipality is also liable for all medical treatment and hospital care necessitated by the injury or illness. Payments for these medical expenses continue after the employee's retirement, and are bestowed in addition to any retirement allowance or pension.

When interpreting a statute, we turn first to the text as the best evidence of the Legislature's intent. "As a general rule, unambiguous language of a statute is alone determinative" (*Riley v County of Broome*, 95 NY2d 455, 463 [2000] [citation omitted]). Here, the text does not suggest any legislative intent to

create a “heightened risk” standard. Section 207-c affords eligibility to those covered municipal employees who are “injured in the performance of [their] duties,” not to those who are “injured in the performance of duties entailing the heightened risk of law enforcement,” or words to similar effect. If the Legislature had intended to restrict section 207-c eligibility to employees injured when performing specialized tasks, it easily could have and surely would have written the statute to say so. We may not create a limitation that the Legislature did not enact. Further, a statute’s plain meaning must be discerned “without resort to forced or unnatural interpretations” (*Castro v United Container Mach. Group*, 96 NY2d 398, 401 [2001], citing McKinney’s Cons Laws of NY, Book 1, Statutes § 232). Reading section 207-c in an unforced and natural manner, we conclude that the word “duties” encompasses the full range of a covered municipal employee’s job duties.

Our interpretation is consistent not only with the statute’s words, but also with legislative history. While repeatedly amending section 207-c to extend its benefits to additional classes of municipal employees,¹ the Legislature routinely referred to the important, often dangerous and stressful, work these employees perform day in and day out.² The Legislature thus pointed to “heightened risk” as the rationale for selecting additional classes of municipal employees for inclusion within section

1. In 1980, the Legislature amended section 207-c to add sheriffs, under-sheriffs and sheriff’s department corrections officers to the list of covered employees. In 1985, 1990, 1991, 1993, 1996 (twice) and 1997, the Legislature extended section 207-c to additional classes of municipal employees; specifically, detective-investigators in the district attorney’s office (L 1985, ch 696), Erie County corrections officers (L 1990, ch 885), Long Island Rail Road police officers (L 1991, ch 628), certain investigators in the office of a county’s district attorney (L 1993, ch 565), Nassau County advanced ambulance medical technicians (L 1996, ch 476), certain Nassau County fire inspectors and fire marshals (L 1996, ch 621) and Nassau County probation officers (L 1997, ch 675).

2. For example, advanced ambulance medical technicians “are assigned to many of the same hazardous situations and potentially life-threatening duties” as police officers, and often respond to “life-threatening police assignments such as riots, hostage or barricade situations” (Senate Mem in Support of L 1996, ch 476, 1996 McKinney’s Session Laws of NY, at 2418). Similarly, Nassau County probation officers “find themselves performing many of the functions performed by their counterparts in the police and corrections services,” and “are exposed on a daily basis to the risks and dangers involved in managing an increasingly violent criminal population. In addition, they are regularly exposed to significant amounts of stress and aggravation, not to mention a high possibility of bodily injury that may result from the performance of their duties” (Senate Mem in Support of L 1997, ch 675, 1997 McKinney’s Session Laws of NY, at 2648).

207-c, not as the standard for determining eligibility for section 207-c benefits.

Finally, the Legislature enacted section 207-c to create parity between police officers and firefighters, who had been eligible for the same benefits since 1938 under General Municipal Law § 207-a and its predecessor (*see* L 1961, ch 920; L 1938, ch 562, § 1). While section 207-a served as the template for section 207-c, Governor Nelson A. Rockefeller approved the bill enacting section 207-c at a price of the Legislature's fixing the "substantial problems" that had arisen in section 207-a's administration (*see* Governor's Mem approving L 1961, ch 920, 1961 McKinney's Session Laws of NY, at 2141). Notably, these "substantial problems" did not include the standard for determining eligibility. Thus, sections 207-a and 207-c share the identical operative phrase regarding eligibility—"in the performance of his duties."

There is every indication that municipalities have always awarded section 207-a benefits to firefighters without reference to whether the specific injury-causing activity was one entailing the "heightened risk" of firefighting (*see e.g. Matter of Robida v Mirrington*, 1 Misc 2d 968 [Sup Ct 1956] [firefighter injured while performing duties as master mechanic of the department]; *Matter of Adam v Farbo*, 16 Misc 2d 614 [Sup Ct 1959] [firefighter injured when he slipped during demonstration of new fire fighting technique]; *Matter of Kirley v Department of Fire, City of Oneida*, 138 AD2d 842 [3d Dept 1988] [firefighter injured when cleaning a firetruck]). Until very recently, municipalities seem to have likewise routinely awarded section 207-c benefits without regard to any "heightened risk" posed by the task that the employee was carrying out when injured (*see e.g. O'Dette v Parton*, 190 AD2d 1074, 1074 [4th Dept 1993] [deputy sheriff "was injured while on routine patrol in a sheriff's patrol vehicle"]); or the courts have thwarted municipalities seeking to impose this kind of limitation, regarding it as "'out of harmony with the statute'" (*Matter of Laudico v Netzel*, 254 AD2d 811, 812 [4th Dept 1998] [citation omitted] [Court rejected municipality's rule to limit section 207-c eligibility to injuries occurring "as a direct result of contact with an inmate"])). What dramatically altered this picture was our decision in *Matter of Balcerak v County of Nassau* (94 NY2d 253 [1999]), to which we now turn.

II.

In *Balcerak*, a Nassau County corrections officer applied for workers' compensation and section 207-c benefits following his injury while driving home from a special assignment. The officer received workers' compensation benefits, but the County denied him section 207-c benefits. The officer commenced an article 78 proceeding, arguing that he was entitled to section 207-c benefits because the County was bound, under collateral estoppel principles, by the Workers' Compensation Board's finding that he had been injured while on duty. We rejected his argument, noting that these two statutory benefit schemes "follow paths of differential interpretation and application" (*Balcerak*, 94 NY2d at 258). In fact, the Legislature chose different eligibility standards—"arising out of and in the course of employment" for workers' compensation benefits; "in the performance of his duties" for section 207-c benefits (*id.* at 258-259).

We compared the legislative rationale for enacting the two different benefit regimes:

"General Municipal Law § 207-c benefits were meant to fulfill a narrow and important purpose. The goal is to compensate specified municipal employees for injuries incurred in the performance of special work related to the nature of heightened risks and duties. These functions are keyed to 'the criminal justice process, including investigations, presentencing, criminal supervision, treatment and other preventative corrective services' " (*id.* at 259, quoting Senate Mem in Support of L 1997, ch 675, 1997 NY Legis Ann, at 458 [adding Nassau County probation officers to section 207-c]).

By contrast, the Workers' Compensation Law "is the State's most general and comprehensive social program, enacted to provide all injured employees with some scheduled compensation and medical expenses, regardless of fault for ordinary and unqualified employment duties" (*id.* [citation omitted]).

We concluded that an officer might qualify for workers' compensation, but not for section 207-c benefits, offering this illustration:

"[A] police officer may be entitled to Workers' Compensation benefits as a result of an injury during a Police Department team basketball practice

because the nature of the activities may allow the injury to be considered as ‘arising out of and in the course’ of the employment. That kind of injury, however, is not the heightened risk type intended to be deemed automatically as arising during the ‘performance’ of duties related to ‘the criminal justice process’ ” (*id.* at 260 [quoted citation omitted]).

Knitting together this illustration and our discussion of the Legislature’s stated rationale for selecting the classes of municipal employees covered by section 207-c, the Appellate Divisions in the cases before us read *Balcerak* to create a “‘heightened risk” standard. Under this standard, benefit eligibility turns on the nature of the specific task being performed by the employee at the time of injury; the employee is eligible for section 207-c benefits only if performing a task that entails a “‘heightened risk” peculiar to law enforcement work. The only question before us in *Balcerak*, however, was “whether a determination by the Workers’ Compensation Board that an injury is work-related should, by operation of collateral estoppel, automatically entitle an injured employee to General Municipal Law § 207-c benefits” (*Balcerak*, 94 NY2d at 256). We did not set out to interpret the phrase “in the performance of his duties.” Indeed, we remitted the case to the Appellate Division to address whether the officer was injured in the performance of his duties without specifying any standard for making this determination.³

Moreover, in *Matter of White v County of Cortland* (97 NY2d 336 [2002]) we rejected a “heightened standard of proof” to establish eligibility for section 207-c benefits (*id.* at 339). There, we stated that “[s]ection 207-c provides benefits to officers who are disabled ‘in the performance of’ or ‘as a result of’ their job duties and does not require that they additionally demonstrate that their disability is related in a substantial degree to their job duties” (*id.*). Consistent with *White*, we hold that in order to be eligible for section 207-c benefits, a covered municipal em-

3. Interestingly, on remand the Appellate Division held that Supreme Court had erred in concluding that the County did not have a rational basis for its decision because “[t]he [officer] had been relieved of his post, had left the hospital property [where he had been stationed], and was en route home in his own car when he was injured. Thus, the [County’s] determination that the [officer] was not injured in the performance of his duties was a rational one” (*Matter of Balcerak v County of Nassau*, 274 AD2d 580, 581 [2d Dept 2000]). In other words, the officer was off duty and so was necessarily no longer performing his job duties when he was injured. There was no discussion of “heightened risk.”

ployee need only prove a “direct causal relationship between job duties and the resulting illness or injury” (*id.* at 340 [citations omitted]). The word “duties” in section 207-c encompasses the full range of a covered employee’s job duties.

III.

In each of these three article 78 proceedings, the Appellate Division upheld the municipality’s denial of section 207-c benefits to municipal employees based on erroneous application of a “heightened risk” standard to determine eligibility. Although we acknowledge that there are competing financial and policy considerations on both sides of this issue, “legislative intent is the great and controlling principle” (*Council of City of N.Y. v Giuliani*, 93 NY2d 60, 69 [1999]). The Legislature expressed its intent in the language of section 207-c, which manifestly does not restrict eligibility for its benefits in the manner advocated by the municipal respondents.

Accordingly, in *Theroux*, the order of the Appellate Division should be reversed, with costs, and the order of Supreme Court reinstated; in *Wagman*, the order of the Appellate Division should be reversed, with costs, and the case remitted to Supreme Court for further proceedings in accordance with this opinion; and in *James*, the order of the Appellate Division should be reversed, with costs, and the judgment of Supreme Court reinstated.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSENBLATT and GRAFFEO concur.

In *Matter of Theroux v Reilly*: Order reversed, etc.

In *Matter of Wagman v Kapica*: Order reversed, etc.

In *Matter of James v County of Yates Sheriff’s Dept.*: Order reversed, etc.

[803 NE2d 375, 771 NYS2d 54]

N.Y.A.A.D., INC., Doing Business as AUTOMOTIVE RECYCLERS' ASSOCIATION OF NEW YORK, et al., Appellants, v STATE OF NEW YORK et al., Respondents.

Argued November 18, 2003; decided December 18, 2003

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered October 24, 2002. The Appellate Division (1) reversed, on the law, a judgment (denominated decision and order) of the Supreme Court, Albany County (Joseph Teresi, J.), which had denied defendants' motion for summary judgment, granted plaintiffs' cross motion for summary judgment, and declared chapter 161 of the Laws of 1996 to be a nullity, (2) denied plaintiffs' cross motion for summary judgment, (3) granted defendants' motion for summary judgment, and (4) dismissed the complaint.

N.Y.A.A.D., Inc. v State of New York, 298 AD2d 741, modified.

HEADNOTE

Motor Vehicles — Airbags — Validity of Airbag Safety and Anti-Theft Act

The Airbag Safety and Anti-theft Act (L 1996, ch 161), requiring that activated or stolen airbags be replaced with only new airbags or salvaged airbags "certified according to standards established by a nationally recognized testing, engineering and research body" (Vehicle and Traffic Law § 398-d [6] [e]), is valid even though the current lack of a certification process effectively prohibits the sale of salvaged airbags. The Legislature's intent was to ensure public safety by permitting the sale of salvaged airbags only if enumerated conditions were met. The failure of the Commissioner of Motor Vehicles to promulgate regulations pertaining to the use of salvaged airbags did not render the act invalid.

TOTAL CLIENT-SERVICE LIBRARY® REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Automobiles and Highway Traffic § 216;
Statutes §§ 164, 243.

McKINNEY'S, Vehicle and Traffic Law § 398-d (6) (e).

NY JUR 2d, Automobiles and Other Vehicles §§ 6, 990;
Consumer and Borrower Protection § 366.5; Statutes
§§ 218, 219.

ANNOTATION REFERENCE

See ALR Index under Automobiles and Highway Traffic;
Statutes.

FIND SIMILAR CASES ON WESTLAW®

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POINTS OF COUNSEL

DeGraff, Foy, Kunz & Devine, LLP, Albany (George J. Szary, Robert E. Biggerstaff, Douglas R. Kemp and Lori A. Sievers of counsel), for appellants. I. The Appellate Division's decision should be reversed because chapter 161 of the Laws of 1996 contained a proviso such that failure to implement regulations as required by the proviso rendered chapter 161 void. (*Matter of Livingston*, 14 AD2d 264; *Matter of Second Ave. M.E. Church*, 66 NY 395; *Farmers' Bank of Fayetteville v Hale*, 59 NY 53.) II. The Appellate Division's decision should be reversed because the Commissioner impermissibly usurped legislative authority. (*New York State Assn. of Nurse Anesthetists v Novello*, 189 Misc 2d 564; *State Div. of Human Rights [Valdemarsen] v Genesee Hosp.*, 50 NY2d 113; *Boreali v Axelrod*, 71 NY2d 1; *Matter of Health Ins. Assn. of Am. v Corcoran*, 154 AD2d 61, 76 NY2d 995.)

Eliot Spitzer, Attorney General, Albany (Julie S. Mereson, Caitlin J. Halligan and Daniel Smirlock of counsel), for respondents. I. Rather than invalidating the Airbag Safety and Anti-theft Act, the Commissioner's failure to approve organizations to certify the safety of salvaged airbags comports with the Legislature's intent in enacting the statute. (*Matter of Ellis Ctr. for Long Term Care v DeBuono*, 261 AD2d 791, 93 NY2d 1037; *Bingham v New York City Tr. Auth.*, 99 NY2d 355.) II. The effectiveness of the Airbag Safety and Anti-theft Act is not in any event conditioned upon the Commissioner's adoption of regulations. (*Matter of Campagna v Shaffer*, 73 NY2d 237.)

OPINION OF THE COURT

G.B. SMITH, J.

Appellants (collectively NYAAD), vehicle dismantlers and recyclers engaged in the sale of salvaged airbags, commenced this declaratory judgment action against the State and the Commissioner of Motor Vehicles challenging the validity of the Airbag Safety and Anti-theft Act and the Commissioner's action—or, more precisely, inaction—with respect to the Act. The issue before this Court is whether the Act, which imposes new requirements on the sale of salvaged airbags, is a nullity because

the Commissioner has failed to promulgate regulations necessary to implement the Act. We modify the order of the Appellate Division to declare the Act valid and otherwise affirm.

I.

In 1996, the State Legislature passed the Airbag Safety and Anti-theft Act (L 1996, ch 161), adding subdivisions (6) and (7) to Vehicle and Traffic Law § 398-d. The new subdivisions provided that an airbag (inflatable restraint system) “activated in a crash or stolen” should be replaced only by a newly manufactured restraint system or a salvaged airbag “certified according to standards established by a nationally recognized testing, engineering and research body as provided for in subdivision two of section four hundred fifteen-c of this chapter” (Vehicle and Traffic Law § 398-d [6] [b], [e], as added by L 1996, ch 161, § 5). The new section 415-c (2) of the Vehicle and Traffic Law stated that, effective March 1, 1998, “prior to offering any salvaged inflatable restraint system for sale such . . . system shall be certified according to standards established by a nationally recognized testing, engineering and research body approved by the commissioner [of Motor Vehicles] in consultation with the superintendent of insurance.”

Section 11 of the 1996 Act states:

“This act shall take effect immediately, provided, that subdivision 7 of section 398-d of the vehicle and traffic law . . . shall take effect January 1, 1997, provided, further, the commissioner of motor vehicles shall promulgate such rules and regulations as are necessary to implement the provisions of this act on or before January 1, 1997.”

At the time the Act was passed, no “standards established by a nationally recognized testing, engineering and research body” existed. Although the Legislature eventually extended the implementing deadline to March 1999, still no such standards were created. The Legislature did not extend the deadline further.

In December 1999, the Commissioner notified “All Repair Shops,” that “effective March 6, 2000, only NEW airbags [would] be allowed to be installed where the original had been deployed” (capitalization in original). The Commissioner explained that, because section 415-c (2) of the Vehicle and Traffic Law allowed only for installation of “certified salvage

airbags” and no certification procedure was yet in place, the “only acceptable replacement bag at this time is a new one.”

Thereafter, NYAAD continued to engage in the sale of salvaged airbags, but commenced this declaratory judgment action challenging the Commissioner’s interpretation of the Act and the validity of his directive. NYAAD alleged that the Commissioner had a duty to promulgate regulations concerning certification standards for salvaged airbags and his failure to promulgate such regulations was an unsatisfied condition precedent, rendering the Act a nullity. In March 2000, NYAAD moved to preliminarily enjoin enforcement of the Commissioner’s directive. Defendants cross-moved to dismiss on standing grounds. Supreme Court granted NYAAD’s motion and denied defendants’ cross motion.

In March 2001, defendants moved for summary judgment. In support of their motion, defendants presented evidence that (1) the first two drafts of the Act did not contain a provision allowing the use of salvaged airbags, but the final version did only after lobbying pressure from automobile dismantlers and recyclers; (2) in order to gain the exclusive ability to sell salvaged airbags, the dismantlers agreed to find a certifying procedure for salvaged airbags; and (3) the Act’s original sponsor, Assembly Member Audrey Hochberg, stated that, if no approved system for certifying safety of salvaged airbags was found, the statute would only allow for the use of new airbags and the Act did not require the Commissioner to promulgate certifying standards. NYAAD cross-moved for summary judgment, offering evidence demonstrating the safety of salvaged airbags.

Supreme Court denied defendants’ motion, granted NYAAD’s cross motion and declared the Act a nullity. Reiterating its prior holding that “the Legislature intended to allow New York consumers access to salvaged airbags,” the court held the Commissioner’s failure to promulgate regulations was “fatal” to the Act “as it was a condition precedent” to its validity. The court reasoned that “Section 11 of Chapter 161 of the laws of 1996 was indeed a proviso as maintained by [NYAAD]. The effect of a proviso which is not satisfied is to restrain the enacting clause of the legislation.” Defendants appealed.

The Appellate Division reversed on the law, denied plaintiffs’ cross motion for summary judgment, granted defendants’ motion for summary judgment and dismissed the complaint. The Court noted that the Act’s plain language expressed the

Legislature's intent that either new or salvaged airbags certified by a nationally recognized testing body be installed as replacement systems, fulfilling the Act's "primary purpose of discouraging airbag theft and repair shop fraud." (298 AD2d 741, 742 [2002].)

The Court held that Supreme Court improperly

"construed the effective date clause to also require 'the promulgation of rules or regulations to implement the certification standards described in section 8.' The effective date clause, however, includes no such provision, requiring only that the Commissioner 'promulgate such rules and regulations as are necessary to implement the provisions of this [A]ct.' Since the requirement inferred by Supreme Court was not 'expressed clearly and unequivocally,' we conclude that the Act's effective date clause should not be read to make such regulations a condition precedent, thereby eviscerating the statute's intent" (*id.* at 743 [citations omitted]).

This Court granted leave to appeal.

On this appeal NYAAD continues to argue that the legislative intent behind the Act was to provide access to salvaged airbags to New York State consumers, and that the Commissioner's failure to establish a certifying body voids the Act. We disagree.

II.

To evaluate the impact of the Commissioner's failure to promulgate regulations pertaining to the use of salvaged airbags on the validity of the Act, we must ascertain and give effect to the intention of the Legislature, as evidenced both by the language of the statute and its legislative history (*see Riley v County of Broome*, 95 NY2d 455, 463 [2000]).

Apparent from the language of the statute is the intent to permit the sale of salvaged airbags only if enumerated conditions are met. If the conditions are not met, only new airbags are permitted. The statute expressly provides, for example, that "in no case shall any inflatable restraint system be replaced with anything other than a newly manufactured inflatable restraint system or a salvaged inflatable restraint system certified according to standards established by a nationally recognized testing, engineering and research body" (Vehicle and Traffic Law § 398-d [6] [e], as added by L 1996, ch 161, § 5).

The legislative history additionally manifests that intent. As stated in a memorandum in support of the legislation, for example, the Act “sets up criteria for replacement of airbag systems, first with newly manufactured replacements, but also with salvaged replacement systems which conform to requirements set forth in the bill . . . It further provides that, after March 1, 1998, only salvage[d] systems which have been certified as safe and appropriate for reinstallation may be sold according to the requirements set forth in the bill” (Senate Mem in Support of L 1996, ch 161, 1996 McKinney’s Session Laws of NY, at 2141). Similarly, when the effective date of the Act was postponed, “[t]he intent was to ensure the safety of the public when airbags which were previously installed in another car were used to replace stolen or deployed airbags. Presently, the auto manufacturers and other industry groups do not recommend the use of any airbags, other than new airbags, for replacement” (Senate Mem in Support of L 1998, ch 78, 1998 McKinney’s Session Laws of NY, at 1560).

Finally, the record contains later statements from individuals involved in the passage of the legislation that further confirm this conclusion.

As Assembly Member Hochberg testified at her deposition in this action, her interest in airbags resulted from a rash of thefts of airbags from automobile dealerships in the area she represented. In recounting the rest of the legislation, she stated that the original draft of the bill required that only newly manufactured airbags be used as replacements, and that after the bill passed all Assembly and Senate committees—but before it was submitted to a final vote—Assembly Member Bragman complained that the bill did not allow for the sale of salvaged airbags. Thereafter, Hochberg consulted with lobbyists from the dismantling industry and Nationwide Insurance, who suggested that salvaged airbags be sold subject to certification of their safety and verification that they were not stolen, and she modified the bill accordingly. Hochberg’s modified bill gave the dismantling industry a monopoly on the sale of salvaged airbags. In return, the industry was to create a certification process and identify nationally recognized bodies that could establish standards; if the Commissioner of Motor Vehicles was unable to approve an agency or the certification process, only newly manufactured airbags could be sold.

John Frederick, who worked with Assembly Member Hochberg in drafting chapter 161, in an affidavit described the legisla-

tion as retaining the ban on salvaged airbags except under certain conditions. In Frederick's view, the effectiveness of the law was not meant to be contingent on the promulgation of regulations. Ernest Kitchen, the Director of Consumer Protection and Auto Business Regulation at the Department of Motor Vehicles, in his affidavit explained that he oversees the Department's administrative functions regarding the sale and installation of salvaged airbags and was involved in the negotiations resulting in the enactment of chapter 161. According to Kitchen, the compromise permitted unregulated sales of salvaged airbags until January 1, 1997, on and after which salvaged airbags could be used only after they were checked against an anti-theft index. On and after March 1, 1998, salvaged airbags could be sold only if certified for safety by a nationally recognized testing, engineering and research body approved by the Commissioner in consultation with the Superintendent of Insurance.

To further illustrate the intent of the Legislature, Hochberg considered a second bill once the first bill encountered difficulties. The second bill repealed the safety and anti-theft certification process and replaced it with the requirement that salvaged airbags conform to original equipment manufacturers' standards. Although Hochberg initially agreed to sponsor this bill, she had a change of heart after further study and put a sponsor's hold on it. She withdrew her support because the amendment removed from the legislation reasonable and necessary safeguards against theft and unsafe salvaged airbags that were in the original legislation.

Accordingly, the order of the Appellate Division should be modified, with costs to the defendants, by declaring valid chapter 161 of the Laws of 1996 and, as so modified, affirmed.

Chief Judge KAYE and Judges CIPARICK, ROSENBLATT, GRAFFEO and READ concur.

Order modified, with costs to defendants, by declaring valid chapter 161 of the Laws of 1996 and, as so modified, affirmed.

[803 NE2d 385, 771 NYS2d 64]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v JAMES
JOHNSON, Appellant.

Argued November 20, 2003; decided December 22, 2003

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered October 24, 2002. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, New York County (Jeffrey Atlas, J.), which had granted defendant's motion to suppress certain physical evidence and a statement made to the police, (2) denied the motion to suppress, and (3) remanded to Supreme Court for further proceedings.

People v Johnson, 298 AD2d 281, reversed.

HEADNOTE

Crimes — Unlawful Search and Seizure — Inventory Search

Because the seizure of a loaded gun from the glove compartment in defendant's vehicle following his arrest for driving with a suspended license did not take place pursuant to a valid inventory search, defendant's motion to suppress should have been granted and the indictment against him dismissed. The objectives of an inventory search are to protect the property of the defendant, to protect the police against any claim of lost property, and to protect police personnel and others from any dangerous instruments. Such a search should be conducted pursuant to an established procedure clearly limiting the conduct of individual officers that assures that the searches are carried out consistently and reasonably. Here, the People offered no evidence to establish the existence of any departmental policy regarding inventory searches. Even assuming such a policy existed, the People failed to produce evidence that the procedure itself was rationally designed to meet the objectives that justify inventory searches in the first place, or that the arresting officer conducted the search properly and in compliance with established procedures. Moreover, the officer did not fill out the hallmark of an inventory search: a meaningful inventory list.

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AM JUR 2d, Searches and Seizures §§ 162, 163, 258, 282.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:414,
172:416.

LAFAYE, et al., CRIMINAL PROCEDURE (3d ed) § 3.7.

NY JUR 2d, Criminal Law § 514.

ANNOTATION REFERENCE

Lawfulness of “inventory search” of vehicle impounded by police. 48 ALR3d 537.

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Database: NY-ORCS

Query: inventory /2 search /s arrest /p glove /2 compartment box

POINTS OF COUNSEL

Legal Aid Society Criminal Appeals Bureau, New York City (*Richard Joselson*, *Laura R. Johnson* and *Judith Stern* of counsel), for appellant. Because the People presented absolutely no evidence establishing that the officer searched appellant’s glove compartment pursuant to established police department procedures, the handgun recovered during the search, as well as appellant’s postarrest statements, must be suppressed as the fruits of an unlawful inventory search. (*Florida v Wells*, 495 US 1; *South Dakota v Opperman*, 428 AD2d 364; *People v Galak*, 80 NY2d 715; *Colorado v Bertine*, 479 US 367; *Illinois v Lafayette*, 462 US 640; *People v Robinson*, 97 NY2d 341; *United States v Thompson*, 29 F3d 62; *United States v Arango-Correa*, 851 F2d 54; *People v Lewis*, 217 AD2d 591; *People v Minto*, 272 AD2d 558.)

Robert M. Morgenthau, *District Attorney*, New York City (*Donald J. Siewert* and *Mark Dwyer* of counsel), for respondent. The officer properly searched the glove compartment of defendant’s car and found a loaded gun as part of a limited and preliminary inventory search. Defendant’s admission that he carried the gun for his own protection was not the fruit of unlawful police conduct. (*People v Richardson*, 41 NY2d 886; *People v Bleakley*, 69 NY2d 490; *People v Albrow*, 52 NY2d 619; *People v Galak*, 80 NY2d 715; *People v Gonzalez*, 62 NY2d 386; *South Dakota v Opperman*, 428 US 364; *Cady v Dombrowski*, 413 US 433; *Colorado v Bertine*, 479 US 367; *Florida v Wells*, 495 US 1; *United States v Flores*, 122 F Supp 2d 491.)

OPINION OF THE COURT

G.B. SMITH, J.

Following an arrest for driving with a suspended license, the police recovered a loaded gun in defendant’s vehicle. The issue in this case is whether the evidence was seized pursuant to a

valid inventory search. We agree with the suppression court and the defendant that the evidence adduced at the hearing was insufficient to establish that the alleged inventory search was valid, and therefore reverse the Appellate Division.

I.

Defendant James Johnson was indicted for multiple counts of criminal possession of a weapon. At the suppression hearing, the arresting officer testified that on October 2, 1999, he and his partner were patrolling an area of Harlem in an unmarked car and in plainclothes. The officers were part of the Manhattan North Street Crime Unit which focused on “aggressive crimes,” including removing guns from the streets. The arresting officer had been a member of the Unit for about six or seven months and this was his third or fourth arrest. His partner was a sergeant.

The arrest took place around 7:10 P.M. at 133rd Street and Seventh Avenue (Adam Clayton Powell, Jr. Boulevard). About eight minutes earlier, the officers had observed defendant’s vehicle, a black Isuzu Trooper with Virginia license plates, “traveling at a high rate of speed cutting across lanes” without always signaling. The officers had initially stopped behind defendant’s vehicle at a red light at 133rd Street and Seventh Avenue. The officers learned that the car was a rental after radioing another vehicle for a plate check.

The officers followed the vehicle as it made a left turn on 135th Street heading west to Eighth Avenue (Frederick Douglass Boulevard), then a right turn heading north until 145th Street, then another right heading east to Seventh Avenue and another right heading south until returning to 133rd and Seventh Avenue. During the pursuit, the officer observed that other cars in front of the vehicle were forced to move out of its way and pedestrians were “jumping back on the sidewalks.”

As the officer exited his vehicle, he observed defendant reach for the glove compartment, open it, and then close it. When the officer reached the driver’s side of the vehicle, the officer told defendant that he had been pulled over for “driving kind of reckless.” When asked for his driver’s license and registration, defendant offered his license and stated that the car was a rental, but that he did not have the rental agreement with him. The officer then asked him to look in the glove compartment, but defendant stated that the agreement was not there. When the officer radioed another vehicle for a license check, the license

came back suspended. The officer then told defendant to step out of the vehicle, conducted a pat-down search, and directed him to the back of the vehicle. Although the officer had yet to inform defendant, defendant was under arrest for driving with a suspended license.

While defendant remained at the back of his car with the officer's partner, the officer—suspecting that there might be something illegal in the glove compartment—walked to the passenger side of the vehicle and opened the glove compartment, finding a loaded handgun. The officer left the gun in the compartment, approached the defendant and handcuffed him. While in the police vehicle and at the precinct, defendant stated that he was a bodyguard and the gun was for his protection.

The officer testified that the search of the glove compartment was undertaken pursuant to an inventory search. The officer further testified that the objectives of such a search were to make the car safe for the precinct personnel who would be transporting the vehicle and to protect against claims that items were missing. The officer did not complete any inventory forms at the scene, or at the precinct, and did not produce one at the suppression hearing. He did, however, complete a stop and frisk report, noting that he recovered a loaded firearm during a search incident to arrest. The vehicle was transported to the 32nd Precinct, where it was returned to defendant's wife upon production of the rental agreement. The car was never vouchered.

The hearing court granted defendant's motion to suppress the gun and the incriminating statement, rejecting the People's argument that the gun was recovered pursuant to a proper inventory search. The court found that the People offered no evidence with respect to procedures officers must follow during inventory searches. The Appellate Division reversed, finding that the officer had conducted a "valid preliminary and limited inventory search at the scene" (298 AD2d 281, 282). We now reverse.

II.

Following a lawful arrest of the driver of an automobile that must then be impounded, the police may conduct an inventory search of the vehicle. Defendant does not challenge the stop. Rather, he argues that the People failed to show that the search of the glove compartment box was a proper inventory search. We agree.

An inventory search is exactly what its name suggests, a search designed to properly catalogue the contents of the item searched. The specific objectives of an inventory search, particularly in the context of a vehicle, are to protect the property of the defendant, to protect the police against any claim of lost property, and to protect police personnel and others from any dangerous instruments (*Florida v Wells*, 495 US 1, 4 [1990]). As the Supreme Court has stated, “an inventory search must not be a ruse for a general rummaging in order to discover incriminating evidence” (*id.*). To guard against this danger, an inventory search should be conducted pursuant to “an established procedure clearly limiting the conduct of individual officers that assures that the searches are carried out consistently and reasonably” (*People v Galak*, 80 NY2d 715, 719 [1993]). The procedure must be standardized so as to “limit the discretion of the officer in the field” (*id.*). While incriminating evidence may be a consequence of an inventory search, it should not be its purpose.

Here, the evidence adduced at the hearing was clearly insufficient to satisfy the prosecutor’s initial burden of establishing a valid inventory search. Although the officer testified that he knew of the general objectives of an inventory search, and declared that his search of the glove compartment box fulfilled those objectives, the People offered no evidence to establish the existence of any departmental policy regarding inventory searches. Even assuming such a policy existed, the People failed to produce evidence demonstrating either that the procedure itself was “rationally designed to meet the objectives that justify inventory searches in the first place” (*id.* at 719), or that this particular officer conducted this search properly and in compliance with established procedures. Indeed, if any policy did exist here that was properly designed to meet the goals of accounting for the contents of the vehicle and to protect others from harm, and that properly limited an officer’s discretion, it can hardly be said that the officer in this case followed the policy by conducting a search that included only the glove compartment, and upon finding a gun, leaving it in place.

Moreover, while the officer filled out a stop and frisk report in which he stated that the search here had been conducted incident to an arrest, he did not fill out the hallmark of an inventory search: a meaningful inventory list. “The policy or practice governing inventory searches should be designed to produce an inventory” (*Wells*, 495 US at 4; *see also Galak*, 80

NY2d at 720 [inventory search must “create a usable inventory”]).

In addition to finding lack of proof that the inventory search was proper, the hearing court also concluded the claim that the search was an inventory search was “less than a believable claim and it appears to be merely a pretext to cover for what was the officer’s desire in the first place, to see what the defendant was up to and to somehow get into the interior of his car to see if the defendant was in possession of contraband or the weapon.”

In reversing as a matter of law, the Appellate Division, citing *People v Robinson* (97 NY2d 341, 348-349 [2001]), which was decided after the trial court’s decision in this case, found that the search was a proper inventory search. In *Robinson*, this Court adopted as a matter of state law the holding of the Supreme Court in *Whren v United States* (517 US 806 [1996]) “that where a police officer has probable cause to detain a person temporarily for a traffic violation, that seizure does not violate the Fourth Amendment to the United States Constitution even though the underlying reason for the stop might have been to investigate some other matter” (97 NY2d at 348). Relying on *Robinson*, the Appellate Division found that the officer’s motives for conducting the inventory search did not matter as long as the stop and the arrest were lawful. In other words, the Appellate Division improperly applied the law governing pretext stops to inventory searches.

Accordingly, the order of the Appellate Division should be reversed, the defendant’s motion to suppress granted and the indictment dismissed.

Chief Judge KAYE and Judges CIPARICK, ROSENBLATT, GRAFFEO and READ concur.

Order reversed, etc.

[803 NE2d 379, 771 NYS2d 58]

In the Matter of JAMES A. LOSURDO, Appellant, v ASBESTOS FREE, INC., Respondent. WORKERS' COMPENSATION BOARD, Respondent.

Argued November 18, 2003; decided December 22, 2003

In the Matter of FLORENCIA MACHADO, Appellant, v PLEASANTVILLE FORD, INC., et al., Respondents. WORKERS' COMPENSATION BOARD, Respondent.

Decided December 22, 2003

SUMMARY

APPEAL, in the first above-entitled proceeding, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered February 13, 2003. The Appellate Division affirmed a decision of the Workers' Compensation Board, which had ruled that claimant violated Workers' Compensation Law § 114-a and was disqualified from receiving additional wage replacement benefits.

APPEAL, in the second above-entitled proceeding, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered May 1, 2003. The Appellate Division affirmed a decision of the Workers' Compensation Board, which had ruled that claimant violated Workers' Compensation Law § 114-a and was disqualified from receiving workers' compensation benefits subsequent to September 26, 1996.

Matter of Losurdo v Asbestos Free, 302 AD2d 703, reversed.

Matter of Machado v Pleasantville Ford, 305 AD2d 704, reversed.

HEADNOTES

Workers' Compensation — Disqualification for False Representation

1. Workers' Compensation Law § 114-a (1) authorizes the Workers' Compensation Board, in its discretion, to disqualify a claimant who makes a false statement or representation as to a material fact from receiving wage replacement benefits even though the forfeited compensation is not "directly attributable" to the false statement or representation. A fact is material for purposes of the statute so long as it is significant or essential to the issue or matter at hand, and therefore a false statement need not affect the dollar value of an award to be material within the meaning of the statute. The statute does not limit disqualification to cases where the false statement or repre-

sensation negates the existence of a compensable injury, but rather allows for penalties to be imposed where a compensable injury exists. This discretionary penalty is in addition the mandatory penalty provided for under the statute for compensation directly attributable to false statements or representations.

Workers' Compensation — Judicial Review — Penalty Imposed for False Representation

2. In order for a reviewing court to assess whether Workers' Compensation Law § 114-a (1) has been properly applied in the imposition of a penalty upon a claimant for making a false statement or representation concerning a material fact, the administrative record must, at a minimum, reflect whether a mandatory or discretionary penalty was imposed. If mandatory, the record must demonstrate a link between the false statement or representation and the forfeited compensation to show that the compensation was "directly attributable" to the false statement or representation. If discretionary, the record must reflect that the additional penalty does not exceed the mandatory penalty, or, in the case of disqualification, provide some basis for appellate review.

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AM JUR 2d, Workers' Compensation §§ 368, 369.

McKINNEY'S, Workers' Compensation Law § 114-a (1).

NY JUR 2d, Workers' Compensation §§ 47, 771-774, 778, 1113.

ANNOTATION REFERENCE

Eligibility for workers' compensation as affected by claimant's misrepresentation of health or physical condition at time of hiring. 12 ALR5th 658.

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POINTS OF COUNSEL

Olinsky & DiMartino, Oswego (*Howard D. Olinsky* and *Jaya Shurtliff* of counsel), for appellant in the first above-entitled proceeding. I. There could be no violation of Workers' Compensation Law § 114-a (1) when the fact concealed was not material, in that it did not allow appellant to obtain benefits to which he would not otherwise have been entitled. (*Matter of Flow v Mark IV Constr. Co.*, 288 AD2d 779; *People v Hunter*, 34 NY2d 432; *People v Starks*, 238 AD2d 621; *Matter of Krebs v Town of Ithaca*, 293 AD2d 883.) II. The penalty imposed was excessive and not permitted by statute because it was not related to

amounts received as a direct result of the false statement. (*Matter of Post v Burger & Gohlke*, 216 NY 544; *Matter of Johannesen v New York City Dept. of Hous. Preserv. & Dev.*, 84 NY2d 129; *Matter of Esposito v Petruzzi*, 278 AD2d 698; *Matter of Lashlee v Pepsi-Cola Newburgh Bottling*, 301 AD2d 879.)

Wood & Richmond, LLP, North Syracuse (*John I. Hvozda* of counsel), for Asbestos Free, Inc., respondent in the first above-entitled proceeding. I. The order of the Appellate Division, Third Department affirming the findings of fraud pursuant to section 114-a of the Workers' Compensation Law was correct as a matter of law when the fraudulent statement proffered by appellant was material within the meaning of section 114-a. (*Matter of Flow v Mark IV Constr. Co.*, 288 AD2d 779.) II. The order of the Appellate Division, Third Department affirming the finding of the Workers' Compensation Board disqualifying appellant from benefits was correct as a matter of law. (*Matter of Post v Burger & Gohlke*, 216 NY 544; *Matter of Johannesen v New York City Dept. of Hous. Preserv. & Dev.*, 84 NY2d 129; *Matter of Esposito v Petruzzi*, 278 AD2d 698; *Matter of Lashlee v Pepsi-Cola Newburgh Bottling*, 301 AD2d 879.)

Hoffman, Wachtell, Koster & Maier, White Plains (*Lee A. Hoffman, Jr.*, of counsel), for appellant in the second above-entitled proceeding. I. As a matter of law, the question asked of appellant was ambiguous and appellant did not knowingly make a false statement or representation. (*Van Wagner Adv. Corp. v S & M Enters.*, 67 NY2d 186.) II. As a matter of law, a penalty pursuant to Workers' Compensation Law § 114-a cannot be imposed for any period prior to the effective date of the statute or for any period prior to the first false statement or representation. III. As a matter of law, appellant neither received nor claimed workers' compensation benefits directly attributable to any alleged false statement or representation. IV. As a matter of law, the Workers' Compensation Board improperly rescinded the Workers' Compensation Law Judge's finding that claimant had a permanent partial disability. V. As a matter of law, the determination of respondent Workers' Compensation Board that appellant should be disqualified from all compensation payments subsequent to September 26, 1996 was arbitrary and capricious and an abuse of discretion. (*Matter of Phelps v Phelps*, 277 AD2d 736; *Matter of Flow v Mark IV Constr. Co.*, 288 AD2d 779; *Matter of Stolz v Board of Regents*, 4 AD2d 361.) VI. There is no evidence in the record, and thus no substantial evidence in the record, to support the decision of the Workers' Compensation Board.

Opinion by READ, J.

Alison Kent-Friedman, New York City, and *James P. O'Connor* for respondents in the second above-entitled proceeding. I. Notwithstanding the effective date of Workers' Compensation Law § 114-a, a finding of no compensable lost time for the period prior to the effective date of the statute is entirely appropriate and within the Workers' Compensation Board's discretion. (*State Farm Fire & Cas. Co. v LiMauro*, 103 AD2d 514, 65 NY2d 369; *Allstate Ins. Co. v Farmers Ins. Group*, 108 AD2d 284, 65 NY2d 1050, 67 NY2d 924; *Matter of Richardson v Fiedler Roofing*, 67 NY2d 246.) II. Application of Workers' Compensation Law § 114-a as amended to prospectively disqualify claimant is permissible notwithstanding the occurrence of work activity prior to the effective date of the statute. (*Matter of Kass v Club Mart of Am.*, 160 AD2d 1148; *Matter of St. Vincent's Hosp. & Med. Ctr. v New York State Div. of Hous. & Community Renewal*, 109 AD2d 711, 66 NY2d 959; *Matter of Phelps v Phelps*, 277 AD2d 736.) III. The decision of the Workers' Compensation Board is supported by substantial evidence and should not be disturbed. (*Matter of Hollis v Marriott Hotel*, 210 AD2d 714, 87 NY2d 859, 1008, 88 NY2d 920; *Matter of Donohue v Scandinavian Airlines*, 134 AD2d 660; *Matter of Beehm v Educational Opportunity Ctr.*, 272 AD2d 808; *Matter of Angelino v 660 Park Ave. Corp.*, 28 AD2d 798; *Matter of Baumgarten v New York State Banking Dept.*, 279 AD2d 741; *Matter of Stamoulis v Anorad Corp.*, 292 AD2d 657, 98 NY2d 609, 729; *Matter of Hercules v United Artists Communications*, 176 AD2d 998.) IV. Rescission of the Workers' Compensation Law Judge's finding of permanent partial disability with no finding of reduced earnings was not improper and should be upheld. (*Matter of Virtuoso v Glen Campbell Chevrolet*, 292 AD2d 731, 98 NY2d 608; *Matter of Schneider v Buffalo Crushed Stone Co.*, 43 AD2d 780.)

OPINION OF THE COURT

READ, J.

These appeals call for us to decide whether section 114-a (1) of the Workers' Compensation Law authorizes the Workers' Compensation Board to disqualify a claimant from receiving wage replacement benefits where the forfeited compensation is not "directly attributable" to a false statement or representation.¹ We hold that section 114-a (1) affords the Board discretion to impose such a penalty; however, the records below in these

1. These appeals pertain only to the forfeiture of wage replacement benefits. In *Matter of Rodriguez v Burn-Brite Metals Co.* (1 NY3d 553

(n. cont'd)

two cases are inadequate for us to determine whether the Board properly exercised its discretion.

I.

A. *Losurdo*

Appellant James Losurdo sought workers' compensation benefits for an injury to his left knee, which occurred on September 12, 1994, while he was working for his employer, Asbestos Free, Inc. At a hearing held on May 15, 1997, Losurdo denied having previously injured his left knee. The Workers' Compensation Law Judge (WCLJ) found that accident, notice and causal relationship were established for Losurdo's injury, and awarded him wage replacement benefits.

The employer's carrier requested review of the WCLJ's decision. The carrier argued that medical records demonstrated a preexisting injury to Losurdo's left knee, and sought apportionment. The carrier also requested a fraud investigation pursuant to section 114-a (1) because at the hearing Losurdo denied a preexisting injury. At the new hearing, Losurdo professed that he had honestly not recalled any previous injury to his left knee when he testified in 1997. He admitted that the medical records refreshed his memory about the previous injury. On September 8, 1999, the WCLJ found that Losurdo had not violated section 114-a (1), and that no apportionment was necessary, citing *Matter of Peziol v VAW of Am.* (245 AD2d 877, 877 [3d Dept 1997] ["(I)nasmuch as claimant was able to effectively perform his job despite his noncompensable preexisting [] condition, apportionment does not apply"]).

On July 27, 2001, the Board modified the WCLJ's decision by finding that Losurdo had made "a misstatement of fact" concerning the injury site, which was material and violated section 114-a (1) "notwithstanding the fact that the claimant's compensable injury is not, as a matter of law, apportionable with his prior injuries." The Board rescinded all wage replacement awards after May 16, 1997; disqualified Losurdo from any future wage replacement benefits; and closed the case. The Board did not in any way contradict the establishment of the claim or the existence of a compensable injury. The Appellate Division affirmed (302 AD2d 703 [3d Dept 2003]), holding that the Board's determination of a statutory violation was sup-

[2003] [decided today]), we hold that section 114-a (1)'s forfeiture penalty does not extend to medical benefits.

ported by substantial evidence, and that its interpretation of section 114-a (1) was reasonable. The Appellate Division did not independently review the penalty imposed.

B. Machado

Appellant Florencia² Machado sought workers' compensation benefits for a back injury that he sustained on June 13, 1989, while working as an auto mechanic for his employer, Pleasantville Ford, Inc. The WCLJ found that accident, notice and causal relationship were established for the injuries sustained, and awarded Machado compensation for total disability. In 1995, Machado was found to be partially disabled, and his wage replacement award was consequently reduced. Machado protested, claiming that he was totally disabled.

To investigate Machado's claim of total disability, the employer's carrier arranged for surveillance, which revealed that Machado was driving a taxi. At a new hearing requested by the carrier and held on September 26, 1996, Machado denied that he had "continued to do any work" since the accident. The carrier countered with the testimony of its investigator and the surveillance tape.

The WCLJ found that Machado was permanently partially disabled as a result of his work-related injury, notwithstanding his stint as a taxi driver. Alluding to the reduced earnings provisions in Workers' Compensation Law § 15 (3) (w), he disqualified Machado from all wage replacement benefits received from January through September of 1996 because Machado's income could not be determined for this period of time. The WCLJ also found that Machado had stopped working on September 26, 1996, and reinstated wage replacement benefits subsequent to that date at the rate for partial disability.

On November 30, 2000, the Board reversed the WCLJ's decision. The Board stated that section 114-a (1) contains two penalties—one mandatory and the other discretionary. Finding that Machado had received compensation attributable to his false statements and representations, the Board agreed with the WCLJ that section 114-a (1) required forfeiture of wage replacement benefits received by Machado from January through September of 1996. In addition, the Board disqualified Machado from receiving any wage replacement benefits subsequent to September 1996, and closed the case.

2. Appellant's name appears with various spellings in the record. We use the spelling in the papers submitted to us on this appeal.

The Appellate Division held that the Board's determination of statutory violation was supported by substantial evidence (305 AD2d 704 [3d Dept 2003]), and concluded that under section 114-a (1), the Board may cut off the entire monetary award or a portion of it. The Appellate Division's review of the penalty was limited to the observation that "[i]nasmuch as the penalty imposed by the Board is specifically authorized by the statute, we decline to disturb it" (*id.* at 706).

II.

Section 114-a (1), which was added to the Workers' Compensation Law in 1996 as part of remedial legislation to repeal *Dole v Dow Chem. Co.* (30 NY2d 143 [1972]) and to curtail fraud, provides as follows:

"If for the purpose of obtaining compensation pursuant to section fifteen of this chapter, or for the purpose of influencing any determination regarding any such payment, a claimant knowingly makes a false statement or representation as to a material fact, such person shall be disqualified from receiving any compensation directly attributable to such false statement or representation. In addition, as determined by the board, the claimant shall be subject to a disqualification or an additional penalty up to the foregoing amount directly attributable to the false statement or representation."

Preliminarily, we address the requirement that section 114-a (1) comes into play only when a claimant makes a false statement or representation as to a "material fact." Pointing to *People v Hunter* (34 NY2d 432 [1974]), appellant Losurdo insists that a false statement or representation is material only if it enables a claimant to receive compensation to which he was not otherwise entitled. But section 145 of the Social Services Law, the statute at issue in *Hunter*, differs markedly from section 114-a (1). Section 145 (1) makes it a crime to deliberately conceal a "material fact" when applying for public assistance benefits, providing that "[a]ny person who by means of a false statement or representation . . . obtains or attempts to obtain . . . public assistance or care to which he is not entitled . . . shall be guilty of a misdemeanor." (Emphasis added.) Thus, in *Hunter* we held that "[b]y definition, the fact concealed would not be material unless it allowed the defendant to obtain benefits to which he would not otherwise be entitled" (34 NY2d at 436 [internal quotation marks omitted]).

Section 114-a (1) places no comparable limitation on materiality. Accordingly, the “usual and commonly understood meaning” of the word “material” is all that the statute intends (*Matter of Orens v Novello*, 99 NY2d 180, 186 [2002] [citations omitted]; see also *Matter of Flow v Mark IV Constr. Co.*, 288 AD2d 779, 780 [3d Dept 2001] [holding that phrase “material fact” in section 114-a (1) is not unconstitutionally vague, “has a common understanding and is used, without definition, in many other statutory schemes”]). We hold that a fact is material for purposes of section 114-a (1) so long as it is “significant or essential to the issue or matter at hand” (see *Black’s Law Dictionary* 611 [7th ed 1999]); therefore, a false statement need not affect the dollar value of an award to be material within the meaning of section 114-a (1). Losurdo’s denial of a previous injury to his left knee was significant to his claim of entitlement to workers’ compensation benefits and therefore was material.

Next, section 114-a (1) provides, as relevant here,³ that if the Board determines that a claimant has made a false statement or representation as to a material fact, “such person *shall* be disqualified from receiving any compensation *directly attributable* to such false statement or representation” (emphasis added). The language is carefully crafted in that imposition of the penalty is mandatory (“shall”) and a strong link must be established between the false statement or representation and the forfeited compensation (“directly attributable”).

[1] Further, “[i]n addition”⁴ to the mandatory penalty, section 114-a (1) grants the Board discretion to impose “disqualification or an additional penalty” on a claimant who violates the statute. The “additional penalty” may not exceed the amount “directly attributable to the false statement or representation” (i.e., the amount of the mandatory penalty). Alternatively, the Board may impose “disqualification” which, by its plain meaning, allows forfeiture of all or a portion of wage replacement benefits. Thus, while the mandatory penalty requires a link between the falsehood and the forfeited compensation, the Board

3. Section 114-a (1) also specifies that the false statement or representation must be made “knowingly” and either “for the purpose of obtaining compensation” or “for the purpose of influencing any determination regarding” compensation. Whether these prerequisites for violation of the statute were met is not an issue in these appeals.

4. Appellant Machado argues that because he is not subject to a mandatory penalty, the Board cannot exercise its discretionary power to penalize him for his false statement. This argument is without merit as it ignores the Legislature’s use of the phrase “[i]n addition.”

may impose a discretionary penalty for violation of the statute whether or not the claimant is subject to the mandatory penalty (i.e., regardless of whether the false statement or representation enabled the claimant to receive compensation) (*see* Minkowitz, Practice Commentary, McKinney's Cons Laws of NY, Book 64, Workers' Compensation Law § 114-a, 2004 Pocket Part, at 68). Nothing in section 114-a (1) limits disqualification to cases where the false statement or representation negates the existence of a compensable injury. To the contrary, section 114-a (1) allows for penalties to be imposed where a compensable injury exists.

Both Losurdo and Machado contend that their disqualifications are not authorized by section 114-a (1) because they received no compensation "directly attributable" to a false statement. Losurdo argues that because his misstatement did not affect the Board's apportionment decision, no compensation is "directly attributable" to it, and thus no compensation is subject to forfeiture. Machado argues that because he has a nonschedule impairment, he can receive compensation for reduced earnings pursuant to Workers' Compensation Law § 15 (3) (w) even if he returns to work. Thus, his purported false statement did not enable him to receive any compensation to which he was not otherwise entitled, and so none of his compensation is subject to forfeiture.

These arguments have merit to the extent they relate to the mandatory penalty in section 114-a (1). Appellants, however, ignore the Board's discretionary power under section 114-a (1), which, if exercised properly, supports disqualification even though the forfeited compensation is not directly attributable to a claimant's false statement or representation.

III.

[2] We agree with the Appellate Division that substantial evidence supports the Board's findings that a violation of section 114-a (1) took place in both *Losurdo* and *Machado* (*see Matter of Phelps v Phelps*, 277 AD2d 736, 738 [3d Dept 2000]). We cannot determine from the records below, however, whether the Board imposed the disqualification penalties in these cases in accordance with section 114-a (1). In order for a reviewing court to assess whether section 114-a (1) has been properly applied, the administrative record must, at a minimum, reflect whether a mandatory or discretionary penalty was imposed. If mandatory, the record must demonstrate a link between the false state-

ment or representation and the forfeited compensation to show that the compensation was “directly attributable” to the false statement or representation. If the Board exercises its discretionary power, the record must reflect that the additional penalty does not exceed the mandatory penalty, or, in the case of disqualification, provide some basis for appellate review.

In *Losurdo*, the forfeited compensation was not “directly attributable” to a false statement because notwithstanding Losurdo’s denial of a preexisting injury, the Board found that his injury was not apportionable and was, in fact, compensable under the statute. But in such a case, the statute does not require the Board to condone a claimant’s misrepresentations and continue wage replacement benefits undiminished. While the mandatory penalty does not apply to Losurdo, section 114-a (1) vests the Board with discretion to disqualify him from wage replacement benefits so long as the penalty is not disproportionate to his offense (*see Matter of Harp v New York City Police Dept.*, 96 NY2d 892, 894 [2001]). On remand, the Board must reconsider whether or not blanket disqualification is justified and provide some explanation for its determination in this regard.

The Board properly applied section 114-a (1) in *Machado* to the extent that he was disqualified from receiving compensation from January through September of 1996. This compensation was directly attributable to Machado’s false statement about his employment in that his earnings from employment affected his entitlement to reduced earnings compensation. The record does not, however, demonstrate whether the forfeiture of Machado’s compensation subsequent to September 1996 was intended as a mandatory or as a discretionary penalty. Perhaps the Board’s reversal of the WCLJ’s decision was intended to overrule the finding of a permanent partial disability, and thus was a finding that Machado was not disabled and so was not entitled to any wage replacement, not even under the reduced earnings provision. In such a case, Machado’s false statement concerning his ability to work would result in a mandatory penalty. Alternatively, if the WCLJ’s finding of a permanent partial disability stands, then the Board’s penalty can only be sustained if it was an exercise of discretion under section 114-a (1), and the record demonstrates that disqualification from all future wage replacement benefits is not disproportionate to Machado’s offense.

Accordingly, the orders in *Losurdo* and *Machado* should be reversed, with costs, and these matters remitted to the Appel-

late Division, Third Department, with directions to remand to the Workers' Compensation Board for further proceedings in accordance with this opinion.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSENBLATT and GRAFFEO concur.

In *Matter of Losurdo v Asbestos Free*: Order reversed, etc.

In *Matter of Machado v Pleasantville Ford*: On review of submissions pursuant to section 500.4 of the Rules of the Court of Appeals (22 NYCRR 500.4), order reversed, etc.

[804 NE2d 392, 772 NYS2d 228]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v AR-
THUR MILLS, Appellant.

Argued September 18, 2003; decided October 28, 2003

SUMMARY

APPEAL, by permission of a Justice of the Appellate Division of the Supreme Court in the Fourth Judicial Department, from an order of that Court, entered November 15, 2002. The Appellate Division affirmed a judgment of the Oneida County Court (Michael L. Dwyer, J.), which had convicted defendant, upon a jury verdict, of criminally negligent homicide.

People v Mills, 302 AD2d 141, affirmed.

HEADNOTES

Crimes — Timeliness of Prosecution — Waiver of Statute of Limitations Defense

1. Defendant waived the defense of the five-year statute of limitations for criminally negligent homicide by requesting that the trial court submit that crime to the jury as a lesser included offense of depraved indifference murder, the crime for which he was indicted. The evidence before the grand jury about defendant's involvement in a child's death more than 20 years ago was legally sufficient to support the depraved indifference charge (Penal Law § 125.25 [2]). A defendant requesting the submission of a lesser included offense waives his or her statute of limitations defense if the indictment is based on legally sufficient evidence. This rule eliminates the danger of prosecutorial overcharging to circumvent the statute of limitations.

Crimes — Witnesses — Spousal Privilege

2. The trial court in defendant's murder trial properly submitted into evidence inculpatory statements regarding the victim's death that defendant made to his wife while choking and threatening her. The spousal privilege codified in CPLR 4502 (b), which encompasses confidential statements induced by the marital relationship, does not apply to communications or threats made during the course of physical abuse.

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By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 291, 292, 295, 296; Witnesses §§ 296, 299.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:2057, 172:2086, 172:3484, 172:3487.

LAFAVE, et al., CRIMINAL PROCEDURE (3d ed), § 18.5.

McKINNEY'S, CPLR 4502 (b); Penal Law § 125.25 (2).

NY JUR 2d, Criminal Law §§ 1699, 1705, 3857; Evidence and Witnesses §§ 856, 857, 859.

ANNOTATION REFERENCE

Waivability of bar of limitations against criminal prosecution. 78 ALR4th 693.

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POINTS OF COUNSEL

Frank J. Nebush, Jr., Public Defender, Utica (Esther Cohen Lee of counsel), for appellant. I. The charge in the indictment of murder in the second degree was used by the prosecution to circumvent the statute of limitations for the crime of criminally negligent homicide, for which defendant was convicted, and the trial court did not have jurisdiction to sentence defendant for that lesser offense, since the statute of limitations for that crime had run. (*People v Gulston*, 181 Misc 2d 644; *People v Di Pasquale*, 161 App Div 196; *People v Lohnes*, 76 Misc 2d 507; *People v Legacy*, 4 AD2d 453; *People v Soto*, 76 Misc 2d 491; *People v Dickson*, 133 AD2d 492; *People v O'Neil*, 107 Misc 2d 340; *Spaziano v Florida*, 468 US 447; *People v Simpson*, 175 AD2d 851; *People v Holliday*, 74 AD2d 993.) II. Since defendant's wife, Jane Mills, had asserted the marital privilege at the trial, and had vehemently insisted that she did not want to testify against her husband because she still loved him, and since the defense had objected to the introduction of her testimony on that ground, the wife should not have been forced by the prosecution and the court, upon pain of being held in contempt of court and jailed, to testify about admissions that her husband had allegedly made to her about this incident. (*People v Lifrieri*, 157 Misc 2d 598; *Poppe v Poppe*, 3 NY2d 312; *People v Melski*, 10 NY2d 78; *People v Dudley*, 24 NY2d 410; *People v Fields*, 38 AD2d 231; *People v Fediuk*, 66 NY2d 881; *People v Edwards*, 151 AD2d 987; *People v Branch*, 224 AD2d 926; *People v Naylor*, 120 AD2d 940; *People v Knapper*, 191 AD2d 207.) III. Since defendant's wife, Jane Mills, had informed the prosecutor that she did not wish to testify before the grand jury about admissions that her husband had allegedly made to her on the ground that they were protected by the marital privilege, the prosecutor did not have the right to force her, upon pain of being jailed, to testify without first seeking a court order. (*Matter of A & M*, 61 AD2d 426; *People v Easter*, 90 Misc 2d 748.) IV. When defendant's wife, Jane Mills, testified at the trial that she could not recall

the admissions that her husband had allegedly made to her in their bedroom, the prosecutor was not allowed to impeach that testimony by reading her testimony given at a pretrial hearing in the matter and asking her if she had given that testimony, since that procedure violated the rules established in CPL 60.35. (*People v Broadwater*, 116 AD2d 1022; *People v Estrada*, 142 AD2d 512.) V. Since there had been insufficient evidence produced at the trial to support defendant's conviction for criminally negligent homicide, the defense's motion to dismiss the indictment at the close of People's case should have been granted by the court. (*People v Haney*, 30 NY2d 328; *People v Boutin*, 75 NY2d 692.)

Michael A. Arcuri, District Attorney, Utica (Carl J. Boykin of counsel), for respondent. I. The People properly indicted defendant for murder in the second degree. (*People v Helliger*, 96 NY2d 462; *People v Boettcher*, 69 NY2d 174; *Fuller v United States*, 407 F2d 1199, 393 US 1120; *People v Dickson*, 133 AD2d 492; *People v Austin*, 63 App Div 382, 170 NY 585; *People v Blake*, 121 App Div 613, 193 NY 616; *People v Di Pasquale*, 161 App Div 196; *People v Legacy*, 4 AD2d 453; *People v Lohnes*, 76 Misc 2d 507; *Spaziano v Florida*, 468 US 447.) II. Defendant's threats to his wife were not "privileged" statements. (*People v Capobianco*, 218 AD2d 707, 86 NY2d 841; *People v Branch*, 224 AD2d 926, 87 NY2d 1017; *People v Fediuk*, 66 NY2d 881; *People v Dudley*, 24 NY2d 410.) III. The prosecutor properly informed defendant's wife of the possible result of her failure to comply with her grand jury subpoena. (*People v Wiggins*, 89 NY2d 872; *People v Natal*, 75 NY2d 379, 498 US 862; *Matter of Ferrara v Hynes*, 63 AD2d 675; *People v Johnson*, 275 AD2d 949, 95 NY2d 965; *Matter of Beach v Shanley*, 62 NY2d 241; *People v Ianniello*, 21 NY2d 418.) IV. The prosecutor's direct examination of defendant's wife comported with Criminal Procedure Law § 60.35. (*People v Tonge*, 93 NY2d 838; *People v Saez*, 69 NY2d 802; *People v Logan*, 261 AD2d 172, 93 NY2d 1003; *People v Fitzpatrick*, 40 NY2d 44; *People v Andujar*, 290 AD2d 654, 98 NY2d 648; *People v Roman*, 201 AD2d 933, 83 NY2d 914.) V. Sufficient evidence supported defendant's conviction for criminally negligent homicide. (*People v Bleakley*, 69 NY2d 490; *People v Contes*, 60 NY2d 620; *People v Carr-El*, 99 NY2d 546; *People v Ford*, 66 NY2d 428; *People v Haney*, 30 NY2d 328; *People v Boutin*, 75 NY2d 692; *People v Whitlatch*, 294 AD2d 909, 98 NY2d 703.)

OPINION OF THE COURT

GRAFFEO, J.

Defendant Arthur Mills was indicted in March 2000 for murder in the second degree (Penal Law § 125.25 [2] [depraved indifference murder]) in connection with his role in the 1978 drowning death of 12-year-old Raymond Umber. Although the drowning at Oneida Lake was originally determined to be an accident, a police investigation was instigated after defendant's wife and his brother each came forward and gave statements to the police implicating defendant.

In a pretrial motion, defendant requested that relevant lesser included offenses be submitted to the jury.¹ Noting that such motions are customarily addressed at the close of evidence, County Court nonetheless granted defendant's request to the extent that the trial evidence would support any lesser included charges. Because murder in the second degree (a class A-I felony) (*see* CPL 30.10 [2] [a]) has no statute of limitations, the court recognized that the passage of time between the crime and the indictment—more than 20 years—would become an issue only if defendant sought to have a lesser included offense that was subject to a limitations period submitted to the jury. The court therefore expressly conditioned its willingness to consider defendant's request to charge any lesser included offenses supported by the evidence upon defendant's "understanding that, if convicted of any lesser included offense, he has waived his objection on statute of limitation[s] grounds."

At the charge conference, defense counsel asked that the lesser included offense of criminally negligent homicide, a class E felony with a five-year statute of limitations (*see* Penal Law § 125.10; CPL 30.10 [2] [b]), be submitted to the jury.² The trial court reiterated its position that the request constituted a

1. CPL 300.50 provides, in part, that the trial court may submit lesser included offenses as an alternative to the highest offense in the indictment where there is "a reasonable view of the evidence which would support a finding that the defendant committed such lesser offense but did not commit the greater" (CPL 300.50 [1]). The statute further establishes that "[i]f the court is authorized by subdivision one to submit a lesser included offense and is requested by either party to do so, it must do so. In the absence of such a request, the court's failure to submit such offense does not constitute error" (CPL 300.50 [2]).

2. Defendant's pretrial motion included manslaughter, which is subject to a five-year statute of limitations, among the lesser included offenses he might request. At the close of proof, however, defense counsel requested only that criminally negligent homicide be submitted to the jury. Of course, the People could not have requested that the jury be charged with respect to any of the

(n. cont'd)

waiver of any statute of limitations defense to the lesser included charge, indicating that it would not entertain a postverdict motion by defendant should the jury convict him of that offense. Defense counsel persisted in his charge-down request and stated that defendant reserved his right to appeal such a conviction on statute of limitations grounds. Consistent with its view of its obligations under CPL 300.50 and over the People's objection, the court instructed the jury to consider criminally negligent homicide as a lesser included offense of depraved indifference murder. The jury acquitted defendant of second-degree murder but convicted him of the lesser crime.

The trial court later denied defendant's motion to set aside the jury verdict and sentenced defendant to $1\frac{1}{3}$ to 4 years. Defendant has completed his term of incarceration and is presently under parole supervision.

On defendant's appeal, a divided Appellate Division affirmed the conviction, reasoning that defendant had waived his right to assert any statute of limitations defense when he asked the trial court to charge the jury on the lesser included offense of criminally negligent homicide. One of the two dissenting Justices who voted to reverse the conviction on statute of limitations grounds granted defendant leave to appeal.

Although the lesser included offense was charged to the jury at defendant's request, he now asks this Court to vacate the verdict. Defendant asserts that his conviction should be reversed and the indictment dismissed because the second-degree murder indictment was not supported by legally sufficient evidence. He contends that the prosecution overcharged him with depraved indifference murder in order to secure an indictment from the grand jury as a means of circumventing the five-year statute of limitations applicable to lesser degrees of homicide (*see* CPL 30.10 [2] [a], [b]).

The People respond that defendant's demand that the trial court provide the jury with the option of convicting him of criminally negligent homicide, while purporting to reserve his statute of limitations defense to that charge, placed the court in an untenable position given its statutory obligations under CPL 300.50 (2). The People emphasize that defendant obtained a substantial benefit by insisting on the charge-down—reducing his potential sentence exposure from 15 years to life to 1 to 4

lesser included offenses, including second-degree manslaughter, because they were time-barred.

years in prison (*see* Penal Law § 70.00)—and he should not be heard to complain about that benefit on appeal or permitted to manipulate the jury into exercising leniency.

New York courts have long recognized that the statute of limitations defense is not jurisdictional and can be forfeited or waived by a defendant (*see People v Kohut*, 30 NY2d 183, 191 [1972]; *People v Blake*, 193 NY 616 [1908], *affg* 121 App Div 613, 616-617 [1st Dept 1907]; *People v Dickson*, 133 AD2d 492, 495 [3d Dept 1987]; *People v Brady*, 257 App Div 1000, 1000 [2d Dept 1939]). Lesser included offenses may be submitted as an alternative to the greatest offense in the indictment “if there is a reasonable view of the evidence which would support a finding that the defendant committed such lesser offense but did not commit the greater. . . . Any error respecting such submission, however, is waived by the defendant unless he objects thereto before the jury retires to deliberate” (CPL 300.50 [1]; *see People v Ford*, 62 NY2d 275, 283 [1984]). “[B]y affirmatively requesting that the trial court submit the lesser charge to the jury, defendant waive[s] his right to challenge the submission of the lesser charge on appeal” (*People v Richardson*, 88 NY2d 1049, 1051 [1996], citing *People v Ford*, 62 NY2d at 283).

[1] We hold that where an indictment is based on legally sufficient evidence defendant’s statute of limitations defense is forfeited or waived by his request to charge the lesser included offense. This rule eliminates the danger of prosecutorial overcharging to circumvent the statute of limitations. Here the evidence before the grand jury was legally sufficient to support the depraved indifference charge.

A person is guilty of depraved indifference murder when “[u]nder circumstances evincing a depraved indifference to human life, he recklessly engages in conduct which creates a grave risk of death to another person, and thereby causes the death of another person” (Penal Law § 125.25 [2]). Legally sufficient evidence is defined as “competent evidence which, if accepted as true, would establish every element of an offense charged” (CPL 70.10 [1]). In the context of grand jury proceedings, “legal sufficiency means prima facie proof of the crimes charged, not proof beyond a reasonable doubt” (*People v Bello*, 92 NY2d 523, 526 [1998]; *see People v Mayo*, 36 NY2d 1002, 1004 [1975]). Courts assessing the sufficiency of the evidence before a grand jury must evaluate “whether the evidence, viewed most favorably to the People, if unexplained and uncontradicted—and deferring all questions as to the weight or quality of the evidence—would

warrant conviction” (*People v Carroll*, 93 NY2d 564, 568 [1999]; see *People v Swamp*, 84 NY2d 725, 730 [1995]).

Defendant’s brother, the primary witness who appeared before the grand jury to relate the events surrounding Raymond Umber’s death, testified that on the afternoon of July 7, 1978 he (then age 16) had accompanied defendant (then age 17) and three friends to the Sylvan Beach pier to go swimming. In order to access the pier, the group had to climb over a fence separating the beach area from the pier. As they were leaving the area, 12-year-old Umber was climbing the fence and walking toward the pier. Once defendant’s brother climbed back over the fence, defendant was the only member of their group left on the pier side with Umber. At that point, defendant told his brother that he planned to “push the bastard in,” referring to Umber, and then ran some distance down the pier to do so. Defendant’s brother observed defendant push Umber from behind at about shoulder level and saw the victim fall to the pier, striking his head on the concrete before sliding into the water.

According to defendant’s brother, when he and the others in the group saw or heard defendant push Umber into the water, they “yelled for him to help him, and then [defendant] went to me, he was swimming like in an under-water motion, and then he told us to run and we just took off.” Based on this gesture, the group was “under the impression [the victim] was swimming,” and, therefore, none of them attempted to help Umber or sought any assistance for him. As they were running to a friend’s home, defendant shook his head, indicating to his brother that the victim was not, in fact, swimming, as defendant’s earlier gesture had led him to believe. When the group arrived at the house, defendant’s brother inquired if Umber was swimming, and defendant responded no. Defendant then threatened that if any of them reported the incident they would all go to jail because they were present at the scene. Defendant’s brother and the other witnesses who testified before the grand jury explained that as a result of defendant’s continuing threats and directions to keep silent none of the group alerted the authorities to the victim’s plight.

This evidence, viewed in the light most favorable to the People, satisfies the threshold legal sufficiency standard (see *People v Bello*, 92 NY2d at 526). Defendant’s act of pushing the young victim with enough force to cause him to hit his head on the concrete pier and then fall into the water and defendant’s abandonment of the submerged victim, paired with the testi-

mony that defendant misled his friends regarding the victim's peril, discouraged them from offering assistance and subsequently threatened his friends into remaining silent once they learned the truth, establish a prima facie case of depraved indifference murder (see *People v Kibbe*, 35 NY2d 407 [1974], writ of habeas corpus granted with conditions sub nom. *Kibbe v Henderson*, 534 F2d 493 [1976], rev'd 431 US 145 [1977]).³ Thus, defendant has failed to substantiate his allegation that the indictment was improperly obtained.

[2] Defendant also contends that the trial court erred in admitting the testimony of his wife over his objection that his statements to her regarding the victim's death were protected by the marital privilege. This contention is meritless.

CPLR 4502 (b) provides that "[a] husband or wife shall not be required, or, without consent of the other if living, allowed, to disclose a confidential communication made by one to the other during marriage." The privilege, which is "[d]esigned to protect and strengthen the marital bond, . . . encompasses only those statements that are 'confidential,' that are induced by the marital relation and prompted by the affection, confidence and loyalty engendered by such relationship" (*Poppe v Poppe*, 3 NY2d 312, 315 [1957], rearg denied 3 NY2d 941 [1957]; see *Matter of Vanderbilt [Rosner—Hickey]*, 57 NY2d 66, 73 [1982]). Communications or threats made during the course of physical abuse are not entitled to be cloaked in the privilege because the maker of the statement is not "relying upon any confidential relationship to preserve the secrecy of his acts and words" (*People v Dudley*, 24 NY2d 410, 415 [1969]; see *People v Patterson*, 39 NY2d 288, 304 [1976], aff'd 432 US 197 [1977]; *People v Edwards*, 151 AD2d 987, 987 [4th Dept 1989], lv denied 74 NY2d 808 [1989]).

Here, there is ample record support for the undisturbed finding of the trial court that defendant's statements to his wife were not confidential. Defendant's wife gave a statement to the police in which she described how defendant was choking and threatening her while he told her about the crime. During this episode, defendant stated that he was so mad that he could kill

3. Although depraved indifference murder often involves acts directed at a number of victims (see e.g. *People v Russell*, 91 NY2d 280 [1998]; *People v Gomez*, 65 NY2d 9 [1985]; *People v Fenner*, 61 NY2d 971 [1984]), we note that Penal Law § 125.25 (2) encompasses depraved indifference murder of a single victim (see e.g. *People v Best*, 85 NY2d 826 [1995]; *People v Kibbe*, 35 NY2d 407 [1974], supra; *People v Poplis*, 30 NY2d 85 [1972]).

her “just like he did with that kid.” Under these circumstances, County Court properly concluded that defendant’s inculpatory statements were not made in the context contemplated by the privilege (see *People v Edwards*, 151 AD2d at 987). We have reviewed defendant’s remaining contentions related to his wife’s testimony and conclude that they are meritless.

Accordingly, the order of the Appellate Division should be affirmed.

G.B. SMITH, J. (dissenting). Because defendant did not waive or forfeit his right to a defense based upon the statute of limitations, I dissent and would vacate defendant’s conviction.

Defendant was indicted for depraved indifference murder in violation of Penal Law § 125.25 (2). He was found not guilty of that charge, however, and was convicted on the charge of criminally negligent homicide (Penal Law § 125.10). Defendant was sentenced to 1¹/₃ to 4 years in prison and he has served that sentence. The evidence was that in 1978, defendant, then 17 years old, pushed a boy 12 years old into water and cement in an area where defendant and some other youths had been swimming. The charges were not brought until 21 years later when the defendant’s brother, angered that defendant was having an affair with the brother’s wife, went to the police and an investigation resulted.

Defendant was convicted not of depraved indifference murder, but of criminally negligent homicide. Prior to trial, defendant, acting on the basis of an indication from the trial court that it would not consider a charge on a lesser included offense unless the defendant moved for it prior to trial, moved for a charge on the lesser included offenses of manslaughter and criminally negligent homicide. The People opposed the motion as premature. The court ruled that it would base the decision on the trial evidence. Following the trial, the defendant requested a charge on criminally negligent homicide as a lesser included offense of depraved indifference murder. Defendant did not request a charge on the lesser included offense of manslaughter in the second degree.¹ The trial judge requested that the defendant waive the statute of limitations for criminally negligent homi-

1. Neither the trial court nor the People noted or argued that the lesser included offense to depraved indifference murder (Penal Law § 125.25 [2]) was manslaughter in the second degree (Penal Law § 125.15 [1]) rather than criminally negligent homicide (Penal Law § 125.10). Penal Law § 125.25 (2) states, “A person is guilty of murder in the second degree when: . . . 2. Under circumstances evincing a depraved indifference to human life, he recklessly

(n. cont’d)

cide. The defendant refused to do so but asserted that he was entitled to the charge. The court gave the charge as a lesser included offense and ruled that by requesting the charge, defendant waived his right to object to a conviction and sentence. Following trial, defendant moved pursuant to CPL 330.30 and 30.10 to set aside the conviction of criminally negligent homicide on the ground that it violated the statute of limitations. Defendant again asserted that he did not waive the statute of limitations. The trial court denied the motion.

On this appeal the prosecution contends that when the defendant requested the charge of criminally negligent homicide, he waived the defense of the statute of limitations. Defendant, however, specifically refused to waive the statute of limitations. Thus, no waiver with respect to the statute of limitations occurred. Moreover, there was no forfeiture, that is, a loss of a statutory right to assert the bar of the statute of limitations, merely by a request to charge a lesser included offense.²

If there was a reasonable view of the evidence that defendant committed the lesser crime, he was entitled to the instruction on criminally negligent homicide. CPL 300.50 (2) states that if the defendant requests a charge on a lesser included offense and if there is a reasonable view of the evidence that the defendant committed the lesser included offense but did not commit the greater offense, the court “must” give that charge. By contrast, a defendant who objects to the lesser included charge must so state before it is given or he or she waives the right to object to it being given (CPL 300.50 [1]). In *People v Richardson* (88 NY2d 1049 [1996]) and *People v Ford* (62 NY2d 275 [1984]),

engages in conduct which creates a grave risk of death to another person, and thereby causes the death of another person.” Penal Law § 125.15 (1), a lesser included offense of depraved indifference murder, states, “A person is guilty of manslaughter in the second degree when: 1. He recklessly causes the death of another person.” Penal Law § 125.10, a lesser included offense of manslaughter, second degree, states, “A person is guilty of criminally negligent homicide when, with criminal negligence, he causes the death of another person.”

2. Arguably, the trial court should have refused to give the charge on criminally negligent homicide without first giving a charge on manslaughter in the second degree. The court charged the jury that for it to convict defendant of murder in the second degree, the People had to prove that defendant engaged in reckless conduct indicating a depraved indifference to human life. A charge on the lesser included offense of manslaughter in the second degree would require the People to prove that defendant recklessly caused the death of another person. If the jury found the defendant not guilty of both murder in the second degree and manslaughter in the second degree, the charge of criminally negligent homicide would have been appropriate.

both cited by the majority for the proposition that defendant's conviction and sentence can stand because he has waived the statute of limitations in this case, the defendants argued that the charge on the lesser included offense should not have been given, but failed to object to the charge at trial. Because each defendant acquiesced in the charge when it was given, he waived objection to the charge and could not be heard to complain about his conviction of the lesser offense. Those cases do not address the issue currently before us, namely the effect of the statute of limitations on the conviction of and sentence upon the lesser included charge. Moreover, other cases cited by the majority (*People v Kohut*, 30 NY2d 183 [1972]; *People v Blake*, 193 NY 616 [1908], *affg* 121 App Div 613 [1st Dept 1907]; *People v Dickson*, 133 AD2d 492 [3d Dept 1987]) all stand for the proposition that a defendant waives the statute of limitations if he does not raise it at an appropriate time, an issue not before us.

It is clear that the evidence before the grand jury was sufficient to indict defendant for depraved indifference murder. At the same time, defendant was entitled to argue that the evidence was not sufficient to convict him of that offense but only of a lesser included offense, criminally negligent homicide. Once the defendant was convicted only of criminally negligent homicide, the statute of limitations precluded that conviction and the sentence imposed.

I agree with the majority that there is no validity to the defendant's contention that his wife could not testify against him because of the marital privilege. Defendant's confession to his wife was made during the course of his abuse of and threats to his wife. Therefore, the marital privilege did not apply.

Accordingly, I would reverse the conviction of the defendant.

Chief Judge KAYE and Judges CIPARICK, ROSENBLATT and READ concur with Judge GRAFFEO; Judge G.B. SMITH dissents and votes to reverse in a separate opinion.

Order affirmed.

[803 NE2d 757, 771 NYS2d 484]

RUPERT BLAKE et al., Appellants, v NEIGHBORHOOD HOUSING
SERVICES OF NEW YORK CITY, INC., Respondent.

Argued November 19, 2003; decided December 23, 2003

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered January 7, 2003. The Appellate Division affirmed a judgment of the Supreme Court, Bronx County (Barry Salman, J.), entered upon a jury verdict in favor of defendant, which had dismissed the complaint.

Blake v Neighborhood Hous. Servs. of N.Y. City, 301 AD2d 366, affirmed.

HEADNOTES**Labor — Safe Place to Work — Fall from Ladder — Proximate Cause**

1. In an action pursuant to Labor Law § 240 (1) to recover for personal injuries plaintiff sustained when he fell from a ladder, plaintiff was not entitled to an order setting aside a jury verdict in defendant's favor and directing a verdict in his favor. The jury found that the ladder was so constructed and operated as to give him proper protection and that his negligence was the sole proximate cause of his accident. An accident alone does not establish a Labor Law § 240 (1) violation or causation. Strict or absolute liability is necessarily contingent on a violation of the statute proximately causing an injury.

Labor — Safe Place to Work — Fall from Ladder — Agency Liability

2. In an action pursuant to Labor Law § 240 (1) to recover for personal injuries plaintiff sustained when he fell from a ladder, defendant lender was not an agent of the owner for purposes of liability under the statute. Although defendant coordinated home repair work for its borrowers, it did not involve itself with the details of how individual contractors would perform their jobs. It did not supervise the contractor; it never instructed workers on how to undertake repairs, and it took only a de minimis role in ensuring that the contractor would complete the financed repairs.

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By the Publisher's Editorial Staff

AM JUR 2d, Employment Relationship §§ 301–305, 316, 332.
McKINNEY'S, Labor Law § 240 (1).
NY JUR 2d, Employment Relations §§ 231–233, 235.
NEW YORK PATTERN JURY INSTRUCTIONS—CIVIL, PJI
2:217.

ANNOTATION REFERENCE

See ALR Index under Occupational Safety and Health.

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POINTS OF COUNSEL

Kelner & Kelner, New York City (*Gail S. Kelner* of counsel), for appellants. I. Sole proximate cause is not a defense to the imposition of liability under Labor Law § 240 (1) arising out of defendant's violation of its statutory obligation to properly place and secure the ladder. (*Weininger v Hagedorn & Co.*, 91 NY2d 958; *Carlos v W.H.P.* 19, 280 AD2d 419; *Kijak v 330 Madison Ave. Corp.*, 251 AD2d 152; *McMahon v 42nd St. Dev. Project*, 188 Misc 2d 25; *Secord v Willow Ridge Stables*, 179 Misc 2d 366; *Bland v Manocherian*, 66 NY2d 452; *MacNair v Salamon*, 199 AD2d 170; *Rocovich v Consolidated Edison Co.*, 78 NY2d 509; *Quigley v Thatcher*, 207 NY 66; *Gordon v Eastern Ry. Supply*, 82 NY2d 555.) II. Defendant failed to fulfill its statutory obligation under Labor Law § 240 (1). (*Brown v Sagamore Hotel*, 184 AD2d 47; *Hauff v CLXXXII Via Magna Corp.*, 118 AD2d 485; *Gordon v Eastern Ry. Supply*, 82 NY2d 555; *Guillory v Nautilus Real Estate*, 208 AD2d 336; *Acosta v Bentley Apts.*, 298 AD2d 124; *Rocovich v Consolidated Edison Co.*, 78 NY2d 509; *Ross v Curtis-Palmer Hydro-Elec. Co.*, 81 NY2d 494; *Franklin v Dormitory Auth.*, 291 AD2d 854; *Lacey v Turner Constr. Co.*, 275 AD2d 734; *Cordero v Kaiser Org.*, 288 AD2d 424.) III. Comparative negligence is not a defense to absolute liability under Labor Law § 240 (1). (*Stolt v General Foods Corp.*, 81 NY2d 918; *Hagins v State of New York*, 81 NY2d 921; *Gordon v Eastern Ry. Supply*, 82 NY2d 555; *Bland v Manocherian*, 66 NY2d 452; *Panek v County of Albany*, 99 NY2d 452.)

Carol R. Finocchio, New York City, *Lisa M. Comeau* and *Law Office of Patrick Colligan* for respondent. I. Plaintiffs' motion for a directed verdict was properly denied, and plaintiffs were not entitled to judgment as a matter of law merely because the top portion of the extension ladder retracted. As such, the issues of proper protection and proximate cause were for the jury, which, given the evidence before it, was entitled to resolve the issue in Neighborhood Housing Services of New York City's favor. (*Blum v Fresh Grown Preserve Corp.*, 292 NY 241; *Cross v Finch Pruyn & Co.*, 281 AD2d 836; *Amo v Little Rapids Corp.*, 268 AD2d 712; *Landry v Di Sarro Constr. Co.*, 149 AD2d 859.) II. Alternatively, the judgment should be affirmed because

plaintiffs' proof was legally insufficient to establish that Neighborhood Housing Services of New York City was the agent for the owner. (*Matter of Delta Air Lines v New York State Div. of Human Rights*, 90 NY2d 882; *Parochial Bus Sys. v Board of Educ. of City of N.Y.*, 60 NY2d 539; *Russin v Picciano & Son*, 54 NY2d 311; *Campanella v St. Luke's Roosevelt Hosp.*, 247 AD2d 294; *Kerr v Rochester Gas & Elec. Corp.*, 113 AD2d 412; *Kwok-sze Wong v New York Times Co.*, 297 AD2d 544; *Musselman v Gaetano Constr. Corp.*, 285 AD2d 868; *Everitt v Nozkowski*, 285 AD2d 442; *Serpe v Eyris Prods.*, 243 AD2d 375; *Sikorski v Springbrook Fire Dist.*, 225 AD2d 1041.)

Andrew Zajac, Jericho, Michael J. Caulfield, Dawn C. DeSimone, Elizabeth Anne Bannon and Kathleen D. Foley for Defense Association of New York City, Inc., amicus curiae. I. Plaintiff is not entitled to have the affirmed findings set aside and judgment as a matter of law entered in his favor. (*Narducci v Manhasset Bay Assoc.*, 96 NY2d 259; *Smith v Hooker Chems. & Plastics Corp.*, 89 AD2d 361; *Brown v Christopher St. Owners Corp.*, 87 NY2d 938; *Smith v Shell Oil Co.*, 85 NY2d 1000; *Abbateello v Lancaster Studio Assoc.*, 307 AD2d 788; *Rogala v Van Bourgondien*, 263 AD2d 535; *Rocovich v Consolidated Edison Co.*, 78 NY2d 509; *Jastrzebski v North Shore School Dist.*, 223 AD2d 677, 88 NY2d 946; *Mayancela v Almat Realty Dev.*, 303 AD2d 207; *Lozada v State of New York*, 267 AD2d 215.) II. Neighborhood Housing Services of New York City is not liable because there was no proof that it acted as an agent for the owner of the premises, nor did it control the means and methods of plaintiff's work. (*Russin v Picciano & Son*, 54 NY2d 311; *Sikorski v Springbrook Fire Dist.*, 225 AD2d 1041.)

Sullivan Papain Block McGrath & Cannavo, New York City (*Brian J. Shoot* of counsel), and *Nancy Kramer* for New York State Trial Lawyers Association, amicus curiae. Where a statutorily listed device caused injury because it had *not* been "constructed, placed and operated as to give proper protection," the violation of Labor Law § 240 (1) cannot be excused simply because it was *plaintiff* who negligently chose, placed, or set up the device in issue. (*Weininger v Hagedorn & Co.*, 91 NY2d 958; *Gordon v Eastern Ry. Supply*, 82 NY2d 555; *Panek v County of Albany*, 99 NY2d 452; *Rocovich v Consolidated Edison Co.*, 78 NY2d 509; *Zimmer v Chemung Performing Arts*, 65 NY2d 513; *Haimes v New York Tel. Co.*, 46 NY2d 132; *Bland v Manocherian*, 66 NY2d 452; *Klein v City of New York*, 89 NY2d 833; *Corrado v Allied Bldrs.*, 186 Misc 2d 780; *Secord v Willow Ridge Stables*, 179 Misc 2d 366.)

OPINION OF THE COURT

ROSENBLATT, J.

We are presented with the question whether a plaintiff who was injured while using a ladder may prevail in a Labor Law § 240 (1) action even when a jury finds that the ladder was so constructed and operated as to give him proper protection and he was the sole cause of his injury. In deciding the appeal, it is necessary for us to address the concept of strict (or absolute) liability and the predicates for its application under Labor Law § 240 (1).

At the time of the injury, plaintiff operated his own contracting company, and was working alone on a renovation job at a two-family house in the Bronx. Defendant Neighborhood Housing Services of New York City (NHS), a not-for-profit lender, provided low-interest financing to facilitate the project. Acting on the homeowner's application, NHS dispatched a rehabilitation specialist to the premises to assess the scope of the work and the amount of the loan. NHS prepared a work estimate and gave the homeowner a list of contractors, from which she chose plaintiff. At the job site, plaintiff set up an extension ladder, which he owned and used frequently. He acknowledged that the ladder was steady, had rubber shoes and was in proper working condition. When plaintiff began scraping rust from a window, however, the upper portion of the ladder retracted and he suffered an ankle injury.

Plaintiff sued the homeowner and NHS alleging a violation of Labor Law § 240 (1). All parties moved for summary judgment. Plaintiff contended that NHS was strictly liable as a statutory agent under the section for having failed to provide a proper workplace and mandated safety equipment. In his deposition, however, plaintiff stated that the ladder was securely placed and not broken or defective. He also said there was no need to have anyone hold the ladder while he was using or ascending it. NHS cross-moved, asserting it could not be liable because it was not a general contractor or agent within the meaning of the Labor Law and did not direct, control or supervise the method or manner of plaintiff's work. It challenged plaintiff's section 240 (1) claim as conclusory, citing the lack of any evidence as to the alleged deficiency of the ladder or work site. NHS also claimed that plaintiff's actions alone caused the injury. Owing to the

statutory exclusion,¹ Supreme Court granted the homeowner's motion but denied NHS summary judgment, concluding there were questions of fact as to whether NHS directed or controlled the work. The court also denied plaintiff's motion as to liability under Labor Law § 240 (1). The Appellate Division affirmed (262 AD2d 244 [1st Dept 1999]).

At trial, plaintiff again conceded that he could not identify a defect in the ladder, that it was stable and there was no reason to have it steadied during use. He also revealed that he was not sure if he had locked the extension clips in place before ascending the rungs. At the close of the case, the court asked the jury to indicate on the verdict sheet whether NHS had "the authority to direct, supervise and control Mr. Blake's work" at the residence. The jury answered yes. In response to the second inquiry ("Was the ladder being used by plaintiff Rupert Blake so constructed, operated as to give proper protection to plaintiff?"), the jury again said yes, leading to the inescapable conclusion that the accident happened not because the ladder malfunctioned or was defective or improperly placed, but solely because of plaintiff's own negligence in the way he used it.

The trial court denied plaintiff's motion to vacate the jury's verdict and direct one in his favor. The Appellate Division affirmed, stating that "a factual issue was posed as to whether plaintiff's injury was caused by some inadequacy of the ladder or was solely attributable to the manner in which plaintiff used the ladder" and that there were no grounds to disturb the jury's factual determinations (301 AD2d 366, 367 [2003]). We affirm.

Plaintiff claims that Labor Law § 240 (1) is a strict (or absolute) liability statute and that the court should have set aside the jury's verdict. In reviewing our scaffold law jurisprudence, several themes are relevant to this case, including the statute's history and purpose and plaintiff's claims relating to strict or absolute liability. We also address the issue of plaintiff's actions being the sole proximate cause of the accident and whether NHS can be held liable as an agent under the statute.

A. THE HISTORY AND PURPOSE OF LABOR LAW § 240 (1)

The first scaffold law, an ancestor of our Labor Law § 240 (1), was enacted 118 years ago, in response to the Legislature's

1. In 1980, the Legislature amended Labor Law § 240 (1) by excepting "owners of one and two-family dwellings who contract for but do not direct or control the work" (L 1980, ch 670, § 1; see generally *Bartoo v Buell*, 87 NY2d 362 [1996]; *Mandelos v Karavasidis*, 86 NY2d 767 [1995]).

concern over unsafe conditions that beset employees who worked at heights (see L 1885, ch 314). In promulgating the statute, the lawmakers reacted to widespread accounts of deaths and injuries in the construction trades. Newspapers carried articles attesting to the frequency of injuries caused by rickety and defective scaffolds. In 1885 alone, there were several articles detailing both the extent of these accidents and the legislation directed at the problem.²

The lawmakers enacted the 1885 statute when personal injury suits of this type were based on common-law duties of a master to a servant (see e.g. *Vosburgh v Lake Shore & Mich. S. Ry. Co.*, 94 NY 374 [1884]; *Devlin v Smith*, 89 NY 470 [1882]). For that reason, the Legislature aimed this first scaffold law (“AN ACT for the protection of life and limb”) at “[a] person employing or directing another.” (L 1885, ch 314, § 1.) Although the statute’s wording has evolved, the original, core language is still with us. The Legislature eventually added other devices,³ but the first statute contained the very words “scaffolding, hoists, stays, ladders” still found in Labor Law § 240 (1). Moreover, the law covered, as it does today, “erection, repairing, altering or painting” of structures. Most tellingly, the lawmakers fashioned this pioneer legislation to “give proper protection” to the worker. Those words are at the heart of the statute and have endured through every amendment.

Even though the first scaffold law exposed violators to civil and criminal responsibility, it fell short of the mark because the employer could escape liability by blaming the employee’s coworkers (see e.g. *Kimmer v Weber*, 151 NY 417, 421 [1897]; *Butler v Townsend*, 126 NY 105, 111 [1891]). This was changed with an 1897 amendment to the scaffold law, as part of a larger Labor Law initiative dealing with factories, bakeries, tenement-made articles, and the employment of women and children (see L 1897, ch 415, § 18).⁴ The amendment did two things: it placed the onus directly on the employer, and it prompted our Court to interpret the law as creating a presumption of employer liability

2. See generally *Provisions of the Bills which have Now Become Laws*, New York Times, May 26, 1885, at 5; *Under the New Law*, New York Times, July 2, 1885, at 8; *The Employer Held Responsible*, New York Times, July 7, 1885, at 8; *Three Men Killed*, New York Times, July 15, 1885, at 3; *Carried Down with the Scaffold*, New York Times, Sept. 1, 1885, at 8; *Maimed by a Breaking Scaffold*, New York Times, Nov. 29, 1885, at 3.

3. See L 1921, ch 50, § 240.

4. In the interim, the Legislature enacted additional requirements for scaffolds more than 20 feet from the ground (see L 1891, ch 214), and authorized

(n. cont’d)

when a scaffold (or ladder) collapses. We recognized that sound scaffolds and ladders do not simply break apart (*see Stewart v Ferguson*, 164 NY 553 [1900]). The Legislature looked to employers (and later, contractors and owners) as the entities best able to control the workplace and provide for its safety, casting them in liability for their failure to obey the law.⁵ The objective was—and still is—to force owners and contractors to provide a safe workplace, under pain of damages.

The 1897 statute⁶ was a giant step forward, but it still left employers free to invoke the plaintiff's contributory negligence (*see Gombert v McKay*, 201 NY 27, 31 [1911]; *see also* L 1910, ch 352). Indeed, throughout all the scaffold law's amendments, including the present section 240 (1), the statutory language has never explicitly barred contributory negligence as a defense. Our Court, however, did so in 1948, reasoning that the statute should be interpreted that way if it is to meet its objective (*see Koenig v Patrick Constr. Corp.*, 298 NY 313, 316-317 [1948]). Since then we have steadfastly held that contributory negligence will not exonerate a defendant who has violated the statute and proximately caused a plaintiff's injury (*see e.g. Zimmer v Chemung County Performing Arts*, 65 NY2d 513, 521 [1985]; *Stolt v General Foods Corp.*, 81 NY2d 918 [1993]). At no time, however, did the Court or the Legislature ever suggest that a defendant should be treated as an insurer after having furnished a safe workplace. The point of Labor Law § 240 (1) is to compel contractors and owners to comply with the law, not to penalize them when they have done so.

B. STRICT (OR ABSOLUTE) LIABILITY

Plaintiff asserts, in essence, that despite the jury's findings he is entitled to recover because Labor Law § 240 (1) provides for strict (or absolute) liability. In addressing this contention, we note that the words strict or absolute liability do not appear in Labor Law § 240 (1) or any of its predecessors. Indeed, it was the Court—and not the Legislature—that began to use this

police to inspect scaffolding, with misdemeanor consequences for violating the scaffold law (*see* L 1892, ch 517).

5. In 1969, the Legislature amended section 240 (1) to place the responsibility on “[a]ll contractors and owners and their agents” in place of “[a] person employing or directing another to perform labor of any kind” (L 1969, ch 1108, § 1).

6. Later reconstituted in Laws of 1909 (ch 36), as amended by Laws of 1911 (ch 693); and as Labor Law § 240 (1) by virtue of Laws of 1921 (ch 50), as amended by Laws of 1947 (ch 683).

terminology in 1923 (under an earlier version of the statute [see L 1921, ch 50]), holding that employers had an “absolute duty” to furnish safe scaffolding and would be liable when they failed to do so and injury resulted (*Maleeny v Standard Shipbuilding Corp.*, 237 NY 250, 253 [1923]; see also *Amberg v Kinley*, 214 NY 531, 545 [1915] [Collin, J., dissenting]). We used a similar phrase 25 years later in *Koenig* (298 NY at 318 [a duty “absolutely imposed”]). In *Connors v Boorstein* (4 NY2d 172, 175 [1958]) the Court, for the first time, worded the concept as “absolute liability” under section 240 (1). We did so again in *Major v Waverly & Ogden* (7 NY2d 332, 336 [1960] [“absolute statutory liability”]) and *Duda v Rouse Constr. Corp.* (32 NY2d 405, 408 [1973] [“absolute liability”]).

The Court has also described liability under Labor Law § 240 (1) as “absolute” in the sense that owners or contractors not actually involved in construction can be held liable (see *Haimes v New York Tel. Co.*, 46 NY2d 132, 136 [1978]), regardless of whether they exercise supervision or control over the work (see *Ross v Curtis-Palmer Hydro-Elec. Co.*, 81 NY2d 494, 500 [1993]). Intending the same meaning as absolute liability in Labor Law § 240 (1) contexts, the Court in 1990 introduced the term “strict liability” (*Cannon v Putnam*, 76 NY2d 644, 649 [1990]) and from that point on used the terms interchangeably.

Throughout our section 240 (1) jurisprudence we have stressed two points in applying the doctrine of strict (or absolute) liability. First, that liability is contingent on a statutory violation and proximate cause. As we said in *Duda* (32 NY2d at 410), “[v]iolation of the statute alone is not enough; plaintiff [is] obligated to show that the violation was a contributing cause of his fall,” and second, that when those elements are established, contributory negligence cannot defeat the plaintiff’s claim. Section 240 (1) is, therefore, an exception to CPLR 1411, which recognizes contributory negligence as a defense in personal injury actions (see *Mullen v Zoebe, Inc.*, 86 NY2d 135, 143 [1995]; *Bland v Manocherian*, 66 NY2d 452, 461 [1985]).

It is imperative, therefore, to recognize that the phrase “strict (or absolute) liability” in the Labor Law § 240 (1) context is different from the use of the term elsewhere. Often, the term means “liability without fault” (see generally 3 Harper, James

7. See also *Panek v County of Albany* (99 NY2d 452, 457 [2003] [“the section imposes absolute liability on owners, contractors and their agents for any breach of the statutory duty that proximately causes a plaintiff’s injury”]).

and Gray, Torts § 14.1 *et seq.* [2d ed 1986]), as where a person is held automatically liable for causing injury even though the activity violates no law and is carried out with the utmost care. Illustrations include blasting activities (*see Spano v Perini Corp.*, 25 NY2d 11, 15 [1969]), keeping wild animals (*see Arbegast v Board of Educ.*, 65 NY2d 161, 164-165 [1985]) and discharging petroleum (*see Navigation Law* § 181 [1]; *White v Long*, 85 NY2d 564, 568 [1995]; *State of New York v Green*, 96 NY2d 403, 405 [2001]; *see generally* Prosser and Keeton, Torts § 78 [5th ed 1984]). We also refer to strict liability when discussing products liability arising out of a defective design or the failure to warn (*see Sukljian v Charles Ross & Son Co.*, 69 NY2d 89, 94 [1986]; *Sage v Fairchild-Swearingen Corp.*, 70 NY2d 579, 585 [1987]). In these instances, manufacturers of defective products may be held “strictly liable” for injury caused by those products, regardless of privity, foreseeability or reasonable care (*see Sprung v MTR Ravensburg*, 99 NY2d 468, 472 [2003]).

Courts also speak of strict liability in commercial settings, as where the Uniform Commercial Code fastens “strict liability” on a bank that charges against its customer’s account any “item” that is not “properly payable” (UCC 4-401 [1]; *Monreal v Fleet Bank*, 95 NY2d 204, 207 [2000]).

Given the varying meanings of strict (or absolute) liability in these different settings, it is not surprising that the concept has generated a good deal of litigation under Labor Law § 240 (1). The terms may have given rise to the mistaken belief that a fall from a scaffold or ladder, in and of itself, results in an award of damages to the injured party. That is not the law, and we have never held or suggested otherwise. As we stated in *Narducci v Manhasset Bay Assoc.* (96 NY2d 259, 267 [2001]), “[n]ot every worker who falls at a construction site, and not any object that falls on a worker, gives rise to the extraordinary protections of Labor Law § 240 (1).” Also, the Appellate Division had recognized as much in *Beesimer v Albany Ave./Rte. 9 Realty* (216 AD2d 853, 854 [3d Dept 1995]), stating: “the mere fact that [a plaintiff] fell off the scaffolding surface is insufficient, in and of itself, to establish that the device did not provide proper protection” (*see also Alava v City of New York*, 246 AD2d 614,

615 [2d Dept 1998] [“a fall from a scaffold does not establish, in and of itself, that proper protection was not provided”]).⁸

[1] Put differently, an accident alone does not establish a Labor Law § 240 (1) violation or causation. This Court has repeatedly explained that “strict” or “absolute” liability is necessarily contingent on a violation of section 240 (1). In *Melber v 6333 Main St.* (91 NY2d 759, 762 [1998]), we noted that “we have held that the statute establishes absolute liability for a breach which proximately causes an injury.” In *Zimmer* (65 NY2d at 522), we found that “a violation of section 240 (1) . . . creates absolute liability” and that “[t]he failure to provide any safety devices is such a violation.” Moreover, causation must also be established. As the Court held in *Duda* (32 NY2d at 410 [1973]), the “plaintiff was obligated to show that the violation [of section 240 (1)] was a contributing cause of his fall.” Here, plaintiff has shown no violation of Labor Law § 240 (1).

In support of his claim, plaintiff argues that comparative negligence is not a defense to absolute liability under the statute. This is true (*see Raquet v Braun*, 90 NY2d 177, 184 [1997]; *Bland v Manocherian*, 66 NY2d 452, 461 [1985]). But we are not dealing here with comparative fault, by which a culpable defendant is able to reduce its responsibility upon a finding that the plaintiff was also at fault. That would be impermissible

8. In cases involving ladders or scaffolds that collapse or malfunction for no apparent reason, we have (ever since *Stewart v Ferguson*, 164 NY 553 [1900], *supra*) continued to aid plaintiffs with a presumption that the ladder or scaffolding device was not good enough to afford proper protection. See *Panek v County of Albany* (99 NY2d 452, 458 [2003] [summary judgment appropriate for the plaintiff where it was uncontroverted that a ladder collapsed beneath him, causing the fall]); *Styer v Walter Vita Constr.* (174 AD2d 662 [2d Dept 1991]); *Olson v Pyramid Crossgates Co.* (291 AD2d 706 [3d Dept 2002]). Once the plaintiff makes a prima facie showing the burden then shifts to the defendant, who may defeat plaintiff’s motion for summary judgment only if there is a plausible view of the evidence—enough to raise a fact question—that there was no statutory violation and that plaintiff’s own acts or omissions were the sole cause of the accident. If defendant’s assertions in response fail to raise a fact question as to these issues, the plaintiff must be accorded summary judgment (*see Klein v City of New York*, 89 NY2d 833, 835 [1996]). On the other hand, defendant may be granted summary judgment if the record establishes conclusively that no Labor Law § 240 (1) violation was shown to have been a proximate cause of the accident and that the accident was therefore caused solely by plaintiff’s conduct (*see e.g. Stark v Eastman Kodak Co.*, 256 AD2d 1134 [4th Dept 1998]; *Custer v Cortland Hous. Auth.*, 266 AD2d 619, 621 [3d Dept 1999]). Given the procedural posture of the case before us, we address neither the propriety of Supreme Court’s denial of plaintiff’s motion for summary judgment nor whether defendant should have been granted summary judgment or a directed verdict.

under section 240 (1). Here, there is no comparative culpability. As the jury implicitly found, the fault was entirely plaintiff's. The ladder afforded him proper protection. Plaintiff's conduct (here, his negligence) was the sole proximate cause of the accident.

C. PLAINTIFF'S CONDUCT AS THE ACCIDENT'S SOLE PROXIMATE CAUSE

Plaintiff argues that he is entitled to recover in the face of a record that shows no violation and reveals that he was entirely responsible for his own injuries. There is no basis for this argument. Even when a worker is not "recalcitrant,"⁹ we have held that there can be no liability under section 240 (1) when there is no violation and the worker's actions (here, his negligence) are the "sole proximate cause" of the accident. Extending the statute to impose liability in such a case would be inconsistent with statutory goals since the accident was not caused by the absence of (or defect in) any safety device, or in the way the safety device was placed.

In *Weininger v Hagedorn & Co.* (91 NY2d 958, 960 [1998]), we held that "Supreme Court erred . . . in directing a verdict in favor of plaintiff, at the close of his own case, on the issue of proximate cause" where "a reasonable jury could have concluded that plaintiff's actions were the sole proximate cause of his injuries, and consequently that liability under [section] 240 (1) did not attach." Contrary to plaintiff's claim, the Appellate Division has held (both before and after *Weininger*) that a defendant is not liable under Labor Law § 240 (1) where there is no evidence of violation and the proof reveals that the plaintiff's own negligence was the sole proximate cause of the accident. Under Labor Law § 240 (1) it is conceptually impossible for a statutory violation (which serves as a proximate cause for a plaintiff's injury) to occupy the same ground as a plaintiff's sole proximate cause for the injury. Thus, if a statutory violation is a proximate cause of an injury, the plaintiff cannot be solely to blame for it. Conversely, if the plaintiff is solely to blame for the injury, it necessarily means that there has been no statutory violation. That is what we held in *Weininger*, a holding the Ap-

9. Labor Law § 240 (1) does not extend to a "recalcitrant worker," meaning one whose refusal to use available safety devices results in injury (see *Hagins v State of New York*, 81 NY2d 921, 923 [1993]). Plaintiff was not a recalcitrant worker.

pellate Division has consistently understood and applied.¹⁰ The Pattern Jury Instructions reflect a like-minded interpretation of *Weininger* (see PJI3d 2:217 [2003]).¹¹ We reaffirm that holding today.

As in *Weininger*, the record now before us fully supports the jury's findings that there was no statutory violation and that plaintiff alone, by negligently using the ladder with the extension clips unlocked, was fully responsible for his injury.

Plaintiff relies heavily on *Bland v Manocherian* (66 NY2d at 457). There, the jury found that the ladder in question was not "placed so as to give proper protection to the plaintiff" and that "improper placement of the ladder [was] a proximate cause of the accident" (*id.*). We held that "[t]he jury was clearly entitled to find that, under the circumstances, defendants failed to satisfy the responsibilities imposed by section 240 (1) in that they had not 'erected' or 'placed' the ladder from which plaintiff fell in such a manner, or with such safeguards, as necessary to provide plaintiff with 'proper protection' while he was working on defendants' building" (*id.* at 460).

In reaching this conclusion, we noted the nature of the work the plaintiff had to perform while on the ladder and the conditions at the work site. "[P]ressure would have to be applied to

10. See *Meade v Rock-McGraw, Inc.* (307 AD2d 156, 159 [1st Dept 2003]) ["That the ladder was inadequately secured was due to plaintiff's improper use of it, which would not give rise to a Labor Law violation"]; *Heffernan v Bais Corp.* (294 AD2d 401, 403 [2d Dept 2002] [defendant raised a question of fact as to whether scaffold failure resulted solely from plaintiff's negligence]); *Musselman v Charles A. Gaetano Constr. Corp.* (277 AD2d 691, 692 [3d Dept 2000] ["although contributory negligence is not a defense to a valid Labor Law § 240 (1) claim . . . liability will not attach if the worker's action were the sole proximate cause of his or her injuries"]); *Gomes v State of New York* (272 AD2d 440 [2d Dept 2000] [affirming Court of Claims' dismissal after crediting the State's expert testimony that plaintiff's misuse of an extension ladder was responsible for his accident in which his arm became caught between the rungs when the ladder retracted downward]); *Bahrman v Holtsville Fire Dist.* (270 AD2d 438, 439 [2d Dept 2000] [question of fact as to whether plaintiff's fall occurred due to his own misuse of a safety device and whether such conduct was the sole proximate cause of his injuries]); *Stark v Eastman Kodak Co.* (256 AD2d 1134 [4th Dept 1998] [where ladder was not defective and did not move, plaintiff's actions were the sole proximate cause of his injury thus making summary judgment appropriate in favor of defendant, not plaintiff]); *Vencebi v Waldorf Astoria Hotel Corp.* (143 AD2d 1004, 1005 [2d Dept 1988] [jury question whether accident occurred because scaffold moved or because of plaintiff's method of climbing onto it]).

11. "If you conclude that the plaintiff's action was the only substantial factor in bringing about the injury, you will find for the defendant on [section 240 (1) liability]."

the sashes and, at the same time, the windows forcibly twisted loose, all while plaintiff was standing on a ladder” (*id.*). Further, and also in contrast to the case before us, there was testimony that “the floor upon which the ladder was placed was bare, highly polished and shiny” and that “no safety equipment, safety belts, hard hats, scaffolding or anything else, was used to protect plaintiff from falling through the fourth floor window or to secure the ladder to insure that it remained steady and erect while plaintiff was applying pressure to that window” (*id.*).

Bland, then, does not support plaintiff’s position or stand for the proposition that regardless of the facts every ladder injury leads ineluctably to liability under section 240 (1). In *Bland*, there were affirmed findings of fact, supported by the evidence, from which the jury could find that defendants had failed to satisfy their section 240 (1) responsibilities. Here, in contrast, the affirmed findings of fact were supported by the record, enabling the jury to conclude that there was no violation of the Labor Law. The record in *Bland* fairly suggested that better safety devices could have prevented the accident. In our case, the ladder was undisputedly in proper working order, and no further devices were necessary.

To be sure, we have long held that “this statute is one for the protection of work[ers] from injury and undoubtedly is to be construed as liberally as may be for the accomplishment of the purpose for which it was thus framed” (*Quigley v Thatcher*, 207 NY 66, 68 [1912]). But to impose liability for a ladder injury even though all the proper safety precautions were met would not further the Legislature’s purpose. It would, instead, be a sweeping and dramatic turnabout that the statute neither permits nor contemplates. As we recognized in a related context, the language of Labor Law § 240 (1) “must not be strained” to accomplish what the Legislature did not intend (*Martinez v City of New York*, 93 NY2d 322, 326 [1999]). If liability were to attach even though the proper safety devices were entirely sound and in place, the Legislature would have simply said so, or made owners and contractors into insurers. Instead, the Legislature has enacted no-fault workers’ compensation to address workplace injuries where, as here, the worker is entirely at fault and there has been no Labor Law violation shown.

D. AGENCY UNDER SECTION 240 (1)

Lastly, this case presents the question whether defendant NHS could be liable as an agent of the owner under Labor Law

§ 240 (1). That section imposes liability only on contractors, owners or their agents. NHS is clearly not a contractor or an owner. An agency relationship for purposes of section 240 (1) arises only when work is delegated to a third party who obtains the authority to supervise and control the job. Where responsibility for the activity surrounding an injury was not delegated to the third party, there is no agency liability under the statute (*Russin v Picciano & Son*, 54 NY2d 311, 318 [1981]).

[2] NHS lacked the requisite indicia of agency. Although defendant here coordinated home repair work, it did not involve itself with the details of how individual contractors would perform their jobs. Instead, NHS acted as a lender: it is a non-profit organization that provides low-interest loans. The homeowner retained primary control over decisions on how the renovation project would proceed. NHS did not supervise the contractor; it never instructed workers on how to undertake repairs, and it took only a de minimis role in ensuring that the contractor would complete the financed repairs.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, GRAFFEO and READ concur.

Order affirmed, with costs.

[803 NE2d 766, 771 NYS2d 493]

JON H. HAMMER, Appellant, v AMERICAN KENNEL CLUB et al.,
Respondents.

Argued November 19, 2003; decided December 23, 2003

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered February 27, 2003. The Appellate Division, with two Justices dissenting, affirmed a judgment of the Supreme Court, New York County (Barbara R. Kapnick, J.), which had granted defendants' motions to dismiss the complaint.

Hammer v American Kennel Club, 304 AD2d 74, affirmed.

HEADNOTES

Animals — Animal Rights — Dog Tail Docking for Dog Shows — No Private Right of Action to Enforce Animal Cruelty Laws

1. Agriculture and Markets Law § 353, a penal statute prohibiting animal cruelty, does not grant plaintiff, who wished to enter his dog and compete without penalty in breed contests, a private right of action to preclude defendant kennel and breed clubs from using a standard that encourages him to “dock” his dog’s tail. The Legislature has established that enforcement authority lies with police and societies for the prevention of cruelty to animals and violations would be handled in criminal proceedings. The statute does not, either expressly or impliedly, incorporate a method for private citizens to obtain civil relief. In light of the comprehensive statutory enforcement scheme, recognition of a private civil right of action is incompatible with the mechanisms chosen by the Legislature.

Animals — Animal Rights — Dog Tail Docking for Dog Shows — No Private Right of Action to Enforce Animal Cruelty Laws

2. Plaintiff’s claim that defendant kennel and breed clubs discriminated against him by excluding him from meaningful participation in breed competitions because he was unwilling to dock his dog’s tail could not be maintained in the absence of a private right of action under Agriculture and Markets Law § 353, a penal statute prohibiting animal cruelty.

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By the Publisher’s Editorial Staff

AM JUR 2d, Animals §§ 28, 31.

McKINNEY’S, Agriculture and Markets Law § 353.

NY JUR 2d, Animals §§ 63, 69.

ANNOTATION REFERENCE

What constitutes offense of cruelty to animals—modern cases. 6 ALR5th 733.

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POINTS OF COUNSEL

Joseph P. Foley, Irvington, *Jon H. Hammer*, New York City, and *Leslie K. Anker* for appellant. I. The Appellate Division erred in holding that plaintiff could not maintain a private cause of action based upon section 353 of the Agriculture and Markets Law. (*Abounader v Strohmeier & Arpe Co.*, 243 NY 458; *Carrier v Salvation Army*, 88 NY2d 298; *Stoganovic v Dinolfo*, 92 AD2d 729; *Larson v Albany Med. Ctr.*, 173 Misc 2d 508, 252 AD2d 936; *Hoxie's Painting Co. v Cato-Meridian Cent. School Dist.*, 76 NY2d 207; *Sheehy v Big Flats Community Day*, 73 NY2d 629.) II. The Appellate Division erred in holding plaintiff was not entitled to declaratory judgment and injunctive relief against these defendants. (*Matter of Saunders v State of New York*, 129 Misc 2d 45; *Dun & Bradstreet v City of New York*, 276 NY 198; *Aerated Prods. Co. v Godfrey*, 263 App Div 685, 290 NY 92; *New York Foreign Trade Zone Operators v State Liq. Auth.*, 285 NY 272; *Bunis v Conway*, 17 AD2d 207, 1036, 12 NY2d 645; *De Veau v Braisted*, 5 AD2d 603, 5 NY2d 236, 363 US 144.) III. Canine tail docking for cosmetic purposes is a clear violation of New York State criminal law. (*People v Keyes*, 75 NY2d 343; *People v Voelker*, 172 Misc 2d 564; *Bunis v Conway*, 17 AD2d 207.) IV. The courts may intervene in the public procedure of a private not-for-profit monopoly enterprise. (*Simons v Berry*, 240 NY 463; *Martin v PGA Tour, Inc.*, 994 F Supp 1242; *Crouch v National Assn. for Stock Car Auto Racing, Inc.*, 845 F2d 397; *Thompson v Knights of Maccabees*, 189 NY 294; *Steinberg v Goldstein*, 51 Misc 2d 825, 27 AD2d 955.)

Seward & Kissel, LLP, New York City (*Dale C. Christensen, Jr.*, *John J. Galban* and *Jonathan D. Matkowsky* of counsel), for American Kennel Club, Inc., respondent. I. The Appellate Division correctly concluded that section 353 of the Agriculture and Markets Law does not expressly or impliedly authorize civil remedies for its alleged violation. (*Carrier v Salvation Army*, 88 NY2d 298; *Stoganovic v Dinolfo*, 92 AD2d 729, 61 NY2d 812; *Larson v Albany Med. Ctr.*, 173 Misc 2d 508, 252 AD2d 936; *Gomariz v Foote, Cone & Belding Communications*, 228 AD2d 316; *Hoxie's Painting Co. v Cato-Meridian Cent. School Dist.*, 76 NY2d 207; *Jones v Beame*, 56 AD2d 778, 45 NY2d 402; *Walz v Baum*, 42 AD2d 643, 33 NY2d 517; *People v Bunt*, 118 Misc 2d

904; *People v Arcidicono*, 75 Misc 2d 294, 79 Misc 2d 242; *Sheehy v Big Flats Community Day*, 73 NY2d 629.) II. The Appellate Division correctly concluded that plaintiff failed to state a claim for unlawful discrimination or “arbitrary and capricious” conduct. (*Dunn v Fishbein*, 123 AD2d 659; *Schneider v Ambach*, 135 AD2d 284; *McGovern v Local 456, Intl. Bhd. of Teamsters, Chauffeurs & Warehousemen & Helpers of Am., AFL-CIO*, 107 F Supp 2d 311.) III. The Appellate Division correctly concluded that any declaration as to plaintiff’s potential criminal liability under section 353 of the Agriculture and Markets Law would be purely advisory. (*DiCanio v Incorporated Vil. of Nissequogue*, 189 AD2d 223; *Matter of Saunders v State of New York*, 129 Misc 2d 45; *Pokoik v Village of Ocean Beach*, 184 AD2d 499; *Reed v Littleton*, 275 NY 150; *New York Foreign Trade Zone Operators v State Liq. Auth.*, 285 NY 272; *Dun & Bradstreet v City of New York*, 276 NY 198; *People v Voelker*, 172 Misc 2d 564; *People v Bunt*, 118 Misc 2d 904; *Bunis v Conway*, 17 AD2d 207; *De Veau v Braisted*, 5 AD2d 603, 5 NY2d 236.) IV. Contrary to plaintiff’s contention, the Appellate Division misinterpreted the rule of judicial noninterference in the internal governance of private organizations. (*Lafond v Deems*, 81 NY 507; *Thornton v American Kennel Club*, 182 AD2d 358; *Matter of Gilheany v Civil Serv. Empls. Assn.*, 59 AD2d 834; *New York State Soccer Football Assn. v United States Soccer Football Assn.*, 18 Misc 2d 112; *Hatley v American Quarter Horse Assn.*, 552 F2d 646; *Jackson v American Yorkshire Club*, 340 F Supp 628; *People v Rogers*, 183 Misc 2d 538; *Crouch v National Assn. for Stock Car Auto Racing, Inc.*, 845 F2d 397.) V. The dissent erred in concluding that the amended complaint states a cause of action based on the alleged denial of privileges of membership in the American Kennel Club. (*Thompson v Knights of Maccabees*, 189 NY 294; *Steinberg v Goldstein*, 51 Misc 2d 825, 27 AD2d 955; *Matter of Henry v American Kennel Club*, 269 App Div 1; *Simons v Berry*, 240 NY 463; *People v Voelker*, 172 Misc 2d 564.)

Hartman & Craven LLP, New York City (*Debra I. Resnick* of counsel), for Brittany Club of America, respondent. I. The Appellate Division correctly determined that appellant has no standing or a right to a judicial declaration that tail docking violates section 353 of the Agriculture and Markets Law. (*Stoganovic v Dinolfo*, 92 AD2d 729, 61 NY2d 812; *Mark G. v Sabol*, 93 NY2d 710; *Carrier v Salvation Army*, 88 NY2d 298; *Sheehy v Big Flats Community Day*, 73 NY2d 629; *Larson v Albany Med. Ctr.*, 173 Misc 2d 508, 252 AD2d 936; *People v Arcidicono*, 75 Misc 2d 294, 79 Misc 2d 242; *Hoxie’s Painting Co. v Cato-*

Meridian Cent. School Dist., 76 NY2d 207; *County of Albany v American Socy. for Prevention of Cruelty to Animals*, 112 Misc 2d 829; *Walz v Baum*, 42 AD2d 643, 33 NY2d 517; *Jones v Beame*, 56 AD2d 778, 45 NY2d 402.) II. The Appellate Division correctly determined that appellant failed to state a claim that the Brittany tail standard is discriminatory or that respondent's conduct was arbitrary and capricious. (*Dunn v Fishbein*, 123 AD2d 659; *Mason v American Theatre Wing*, 165 Misc 2d 432; *Silver v Equitable Life Assur. Socy. of U.S.*, 168 AD2d 367; *Bogan v New London Hous. Auth.*, 366 F Supp 861; *Miramax Films Corp. v Motion Picture Assn. of Am.*, 148 Misc 2d 1.) III. The Appellate Division correctly concluded that any declaration as to potential criminal liability under section 353 of the Agriculture and Markets Law would be purely advisory. (*DiCanio v Incorporated Vil. of Nissequogue*, 189 AD2d 223; *Pokoik v Village of Ocean Beach*, 184 AD2d 499; *Reed v Littleton*, 275 NY 150; *New York Foreign Trade Zone Operators v State Liq. Auth.*, 285 NY 272; *Dun & Bradstreet v City of New York*, 276 NY 198; *Bunis v Conway*, 17 AD2d 207; *De Veau v Braisted*, 5 AD2d 603; *People v Rogers*, 183 Misc 2d 538; *Jessup v American Kennel Club, Inc.*, 61 F Supp 2d 5, 531 US 1072; *People v Voelker*, 172 Misc 2d 564.) IV. The court should not become involved in the internal governance of the American Brittany Club. (*Freeman v Sports Car Club of Am., Inc.*, 51 F3d 1358; *Matter of Gerard v Section III of N.Y. State Pub. Athletic Assn.*, 210 AD2d 938; *Thornton v American Kennel Club*, 182 AD2d 358; *Matter of Caso v New York State Pub. High School Athletic Assn.*, 78 AD2d 41; *Crouch v National Assn. for Stock Car Auto Racing, Inc.*, 845 F2d 397; *Hatley v American Quarter Horse Assn.*, 552 F2d 646; *Jackson v American Yorkshire Club*, 340 F Supp 628; *Martin v PGA Tour, Inc.*, 994 F Supp 1242, 532 US 661; *Thompson v Knights of Maccabees*, 189 NY 294; *Steinberg v Goldstein*, 51 Misc 2d 825, 27 AD2d 955.) V. The amended complaint fails to state a cause of action based on the alleged denial of a privilege of membership in the American Brittany Club. (*People v Voelker*, 172 Misc 2d 564.)

Kellner Chehebar & Deveney, New York City (Douglas A. Kellner of counsel), for Labrador Retriever Club, Inc. and others, amici curiae. I. The Court should not change breed standards. II. The Court should avoid interference in the operations of private associations. (*Lafond v Deems*, 81 NY 507; *Crouch v National Assn. for Stock Car Auto Racing, Inc.*, 845 F2d 397; *Koszela v National Assn. of Stock Car Auto Racing, Inc.*, 646 F2d 749; *Mercury Bay Boating Club v San Diego Yacht Club*, 76

NY2d 256.) III. The Court should avoid interference with the constitutionally protected right of free association. (*National Assn. for Advancement of Colored People v Patterson*, 357 US 449; *National Assn. for Advancement of Colored People v Button*, 371 US 415; *Bates v City of Little Rock*, 361 US 516; *Boy Scouts of Am. v Dale*, 530 US 640; *Roberts v United States Jaycees*, 468 US 609; *Eu v San Francisco County Democratic Cent. Comm.*, 489 US 214; *Tashjian v Republican Party of Conn.*, 479 US 208.) IV. Tail docking is an accepted, legal practice. (*People v Rogers*, 183 Misc 2d 538.)

OPINION OF THE COURT

GRAFFEO, J.

Plaintiff Jon H. Hammer is the owner of a purebred Brittany Spaniel dog with a 10-inch-long natural tail. Defendant American Kennel Club (AKC) sponsors competitions that utilize a breed standard promulgated by defendant American Brittany Club (ABC). The standard penalizes Brittany Spaniels with tails longer than four inches. The issue in this appeal is whether Agriculture and Markets Law § 353 grants plaintiff, who wishes to enter his dog and compete without penalty in breed contests, a private right of action to preclude defendants from using a standard that encourages him to “dock” his Brittany Spaniel’s tail. Because we conclude that it would be inconsistent with the applicable legislative scheme to imply a private right of action in plaintiff’s favor, we affirm the Appellate Division order dismissing the complaint.

Defendant ABC is the national parent club for Brittany Spaniels and is one of 148 different breed clubs affiliated with defendant AKC. As explained in AKC’s official publication, “The Complete Dog Book,” members of breed clubs vote to adopt particular standards, which are then submitted to the AKC for approval and use in AKC-sanctioned competitions, such as the Westminster Kennel Club show. According to defendants, these standards represent the “ideal” for each breed and establish guidelines for dog show judges, breeders and purchasers of purebred dogs.

Defendants’ standard for Brittany Spaniels provides that dogs should be “[t]ailless to approximately four inches, natural or docked. The tail not to be so long as to affect the overall balance of the dog. . . . Any tail substantially more than four inches shall be severely penalized.” Notably, unlike other deviations from the standards, such as height and coloration, a longer tail does not disqualify a dog from competition.

In 2001, plaintiff commenced this action against defendants for declaratory and injunctive relief. The gravamen of plaintiff's complaint is that the Brittany Spaniel breed standard encourages owners to violate Agriculture and Markets Law § 353, a penal statute prohibiting animal cruelty, because it is cruel to dock a dog's tail. Plaintiff claims that defendants discriminate against him by excluding him from meaningful participation in AKC competitions because he is unwilling to dock his dog's tail. He therefore seeks a declaration that the breed standard violates New York law and an injunction precluding defendants from using the allegedly illegal standard in judging breed competitions.

AKC and ABC moved separately to dismiss the action, arguing that plaintiff lacked standing to secure civil relief for the alleged violation of section 353. Supreme Court consolidated the motions and granted defendants relief, dismissing the complaint. The Appellate Division affirmed, with two Justices dissenting, and we now affirm.

Where a penal statute does not expressly confer a private right of action on individuals pursuing civil relief, recovery under such a statute "may be had only if a private right of action may fairly be implied" (*Sheehy v Big Flats Community Day*, 73 NY2d 629, 633 [1989]; see also *Carrier v Salvation Army*, 88 NY2d 298, 302 [1996]). This inquiry entails consideration of three factors: "(1) whether the plaintiff is one of the class for whose particular benefit the statute was enacted; (2) whether recognition of a private right of action would promote the legislative purpose; and (3) whether creation of such a right would be consistent with the legislative scheme" (*Carrier*, 88 NY2d at 302). In assessing whether a private right of action can be implied, we have acknowledged that

"the Legislature has both the right and the authority to select the methods to be used in effectuating its goals, as well as to choose the goals themselves. Thus, regardless of its consistency with the basic legislative goal, a private right of action should not be judicially sanctioned if it is incompatible with the enforcement mechanism chosen by the Legislature or with some other aspect of the over-all statutory scheme" (*Sheehy*, 73 NY2d at 634-635; see *Hoxie's Painting Co. v Cato-Meridian Cent. School Dist.*, 76 NY2d 207, 212 [1990]).

Article 26 of the Agriculture and Markets Law regulates the treatment of animals and contains provisions previously codi-

fied in the former Penal Code, Penal Law and Code of Criminal Procedure. Plaintiff relies on section 353 of that article, which states that a person who “cruelly beats or unjustifiably injures, maims, mutilates or kills any animal” or permits such treatment of any animal is guilty of a misdemeanor, contending that this criminal statute also creates a civil private right of action.

[1] The Legislature explicitly addressed the enforcement of animal protection statutes in two provisions. Section 371 of the Agriculture and Markets Law requires police officers and constables to enforce violations of article 26 and further authorizes “any agent or officer of any duly incorporated society for the prevention of cruelty to animals” to initiate a criminal proceeding. In addition, section 372 enables magistrates to issue search and arrest warrants “[u]pon complaint under oath . . . that the complainant has just and reasonable cause to suspect that any of the provisions of law relating to or in any wise affecting animals are being or about to be violated.” Through the adoption of these two sections, the Legislature established that enforcement authority lies with police and societies for the prevention of cruelty to animals and violations would be handled in criminal proceedings.¹

This is not a criminal action and plaintiff is not asking law enforcement officials to charge defendants with violations of the law subject to criminal penalties. Indeed, plaintiff has not alleged that these organizations are cruelly or unjustifiably injuring or maiming any dogs and admittedly does not intend to conform his dog’s tail length to the breed standard. Therefore, neither plaintiff nor defendants have engaged in any conduct that violates the law as plaintiff interprets it.²

[1, 2] The statute does not, either expressly or impliedly, incorporate a method for private citizens to obtain civil relief. In light of the comprehensive statutory enforcement scheme, recognition of a private civil right of action is incompatible with the mechanisms chosen by the Legislature (*see Sheehy*, 73 NY2d at 634-635; *see also Walz v Baum*, 42 AD2d 643, 644 [3d Dept 1973], *lv denied* 33 NY2d 517 [1973]). Inasmuch as plaintiff concedes that his claims sounding in discrimination cannot be maintained in the absence of a private right of action under the

1. The Legislature has prohibited or regulated other physical alterations of animals, including the cutting of horse tails (*see* Agriculture and Markets Law § 368) and the clipping of dogs’ ears (*see* Agriculture and Markets Law § 365).

2. It is therefore unnecessary for us to determine here whether dog tail docking violates section 353 of the Agriculture and Markets Law.

Agriculture and Markets Law, those claims were also properly dismissed.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSENBLATT and READ concur.

Order affirmed, with costs.

[804 NE2d 402, 772 NYS2d 238]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v ROBERT JOHNSON, Appellant.

Argued November 20, 2003; decided December 22, 2003

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered November 14, 2002. The Appellate Division affirmed a judgment of the Supreme Court, New York County (John A.K. Bradley, J.), which had convicted defendant, upon a jury verdict, of assault in the first degree and resisting arrest.

People v Johnson, 299 AD2d 213, affirmed.

HEADNOTE

Crimes — Harmless and Prejudicial Error — Excited Utterances

An out-of-court, hearsay statement made by an assault victim at the hospital where he was being treated for his injuries was improperly admitted at trial as an excited utterance. An out-of-court statement is properly admissible under the excited utterance exception to the hearsay rule when made under the stress of excitement caused by an external event, and not the product of studied reflection and possible fabrication. Among the factors to be considered by a trial court is the period of time between the startling event and the out-of-court statement, and serious injury may be a significant factor in determining whether the declarant remains under the stress of a startling event. Here, it cannot be said that the declarant's capacity for reflection and deliberation remained stilled by the time of his final statement to the police. The challenged declaration was made—in narrative form and in response to prompting—a full hour after the startling event, and the declarant had become more relaxed. Nevertheless, the error in admitting the statement as an excited utterance was harmless beyond a reasonable doubt in view of the overwhelming evidence of defendant's guilt, including other statements at the assault scene which did qualify as excited utterances.

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AM JUR 2d, Evidence §§ 865, 884, 885.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:3102–172:3106.

NY JUR 2d, Criminal Law §§ 1932–1934.

ANNOTATION REFERENCE

When is hearsay statement “excited utterance” admis-

sible under Rule 803 (2) of Federal Rules of Evidence. 155 ALR Fed 583.

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Query: excited /2 utterance /s police /4 question! & criminal

POINTS OF COUNSEL

Legal Aid Society Criminal Appeals Bureau, New York City (Laura Lieberman Cohen, Andrew C. Fine and Laura R. Johnson of counsel), for appellant. The nontestifying complainant's hearsay statement at the hospital was improperly admitted as an excited utterance, thereby violating appellant's right to confront the witnesses against him, because the statement was made one hour and 20 minutes after the incident, after the complainant was treated and found to be calm, alert, and able to follow complex commands; the statement was a paragraph-long narrative made in response to police questioning, and the remaining evidence was legally insufficient to prove appellant's guilt beyond a reasonable doubt. The court's erroneous admission of the hearsay statement as an excited utterance deprived appellant of his due process right to a fair trial and to confront the witnesses against him. (*People v Brown*, 70 NY2d 513; *People v Marks*, 6 NY2d 67; *People v Nieves*, 67 NY2d 125; *People v Vasquez*, 88 NY2d 561; *People v Edwards*, 47 NY2d 493; *People v Sostre*, 51 NY2d 958; *People v Caviness*, 38 NY2d 227; *People v Norton*, 79 NY2d 808; *People v Fratello*, 92 NY2d 565; *Lilly v Virginia*, 527 US 116.)

Robert M. Morgenthau, District Attorney, New York City (Walter J. Storey and Susan Axelrod of counsel), for respondent. The trial court properly admitted Val Grey's hospital statement as an excited utterance. (*People v Brown*, 70 NY2d 513; *People v Tonge*, 93 NY2d 838; *People v West*, 56 NY2d 662; *People v Robinson*, 36 NY2d 224; *People v Edwards*, 47 NY2d 493; *People v Marks*, 6 NY2d 67; *People v Cotto*, 92 NY2d 68; *People v Nieves*, 67 NY2d 125; *People v Brooks*, 71 NY2d 877; *People v Vasquez*, 88 NY2d 561.)

OPINION OF THE COURT

Chief Judge KAYE.

Defendant appeals his convictions of assault in the first degree and resisting arrest, asserting that an out-of-court, hearsay

statement made by the victim of the assault was improperly admitted at trial as an excited utterance. The Appellate Division affirmed. Because we conclude that the trial court's error was harmless beyond a reasonable doubt, we also affirm.

On February 5, 2000, Police Officer Jerrold Lutz and his partner came to the aid of Val Grey, a homeless man who had been stabbed twice in the eye. When the police arrived on the scene, defendant, also homeless, was holding in his right hand an ice pick with traces of blood on it while struggling with the victim, who had pinned defendant's right arm against a wall. Upon seeing the police, the victim screamed, "[H]e stabbed me, he stabbed me." The police arrested defendant¹ and Grey staggered to a nearby laundromat, where he wiped the blood from his eye with a wet paper towel. One to two minutes later, Lutz entered the laundromat and the victim asked the officer whether "his eye was still intact." Grey, accompanied by Lutz, was then taken to Bellevue Hospital by ambulance. Throughout the ride, as emergency medical technicians began to treat him, Grey continued to state that he had been stabbed, and continued to express concern that he had lost his eye, asking repeatedly whether it was still there.

Grey was given further treatment upon his arrival at the hospital. Finally, approximately one hour after the stabbing, he was interviewed by Lutz and made, in substance, the following statement to the officer about the circumstances leading up to the stabbing:

"[H]e was traveling down the stairway, at the subway station, and he saw a steel garbage can come rolling down the stairs next to him. He informed me that he was under the impression that that garbage can was intended to hit him. He then went back up the stairs to confront whoever threw the garbage can down the stairs. He did not see who threw it. [He stated he was informed by passersby that Mr. Johnson had thrown the can down (sic) the stairs.]^[2] Mr. Johnson was standing approximately fifteen or so yards away. Approximately. Mr. Grey then went and confronted Mr. Johnson. A struggle ensued. Which resulted in Mr. Grey being stabbed."

1. Defendant resisted arrest and punched Lutz's partner in the face. He was subdued only after being wrestled to the ground by the police. Defendant suffered no injury.

2. The double hearsay contained in the bracketed portion of the statement was not admitted before the jury.

Later that night, the victim's cognitive function began to deteriorate, resulting in the need for emergency brain surgery. After several months of treatment in Bellevue's rehabilitation program, Grey left the hospital without being discharged. Despite a diligent search by the police and prosecution, Grey could not be located for trial and the People sought to introduce his hearsay statements as excited utterances. On this appeal, defendant does not challenge Grey's statements at the scene, in the laundromat or in the ambulance, but claims that the final statement to the officer, quoted above, should not have been received in evidence.

The trial court held a hearing on the People's motion to introduce the statements at trial, at which Lutz testified. According to the testimony adduced at the hearing, when the police first approached defendant and the victim, who were then struggling with each other, the victim was bleeding heavily from his eye. The victim was "very agitated, very excited, he was confused about what was happening." Specifically, "[h]is speech was very high pitched, he was screaming at times. He was very unsteady in his movement." Similarly, when the officer entered the laundromat approximately one to two minutes later, the victim's demeanor had not changed in any way. Still distraught, the victim stated that he thought he had lost his eye and he asked the officer whether his eye had been "cut out." The victim "continued to be very agitated" and kept asking the officer how this happened. The victim "was having a little bit of difficulty hearing" the officer. "He was distracted by the amount of pain he was in. He was moaning." He was also "giving a lot of attention to his left eye. He was very distracted by what was happening to it."

By the time the officer spoke with the victim in the hospital, however, Grey's demeanor had become more relaxed in that "[h]e wasn't moving, he wasn't fidgeting, he was lying still." Moreover, Grey's hospital records, also introduced into evidence at the hearing, reflected that at the time of his admission he was awake, alert and oriented; he was able to follow complex instructions; and his speech was fluent.

Discussion

The familiar common-law hearsay exception for excited utterances, formerly called spontaneous declarations, has been recognized by this Court for nearly a century (*see People v Del Vermo*, 192 NY 470, 483-487 [1908]). The principle is easily

stated. An out-of-court statement is properly admissible under the excited utterance exception when made under the stress of excitement caused by an external event, and not the product of studied reflection and possible fabrication. “Underlying this exception is the assumption that a person under the influence of the excitement precipitated by an external startling event will lack the reflective capacity essential for fabrication and, accordingly, any utterance he makes will be spontaneous and trustworthy” (*People v Edwards*, 47 NY2d 493, 497 [1979]). Accordingly, “under certain circumstances of physical shock, a stress of nervous excitement may be produced which stills the reflective faculties and removes their control. . . . [An excited] utterance is made under the immediate and uncontrolled domination of the senses, and during the brief period when considerations of self-interest could not have been brought fully to bear by reasoned reflection” (*People v Marks*, 6 NY2d 67, 71 [1959], quoting 6 Wigmore, Evidence § 1747 [I] [3d ed]).

Stating the rule is simple. Determining a declarant’s mental state—that is, whether at the time the utterance was made a declarant was in fact under the stress of excitement caused by an external event sufficient to still his or her reflective faculties—is considerably more difficult.³

Among the factors to be considered by a trial court is the period of time between the startling event and the out-of-court statement. As we have several times noted, there can be no definite or fixed period of time within which the declaration must have been made, and each case must depend upon its own circumstances. “The test is whether the utterance was made before there has been time to contrive and misrepresent, i.e., while the nervous excitement may be supposed still to dominate and the reflective powers to be yet in abeyance” (*People v Brown*, 70 NY2d 513, 518 [1987] [internal quotation marks omitted]). Ultimately, “the time for reflection is not measured in minutes or seconds, but rather is measured by facts” (*People v Vasquez*, 88 NY2d 561, 579 [1996] [internal quotation marks omitted]). Nor does the fact that statements are made in response to po-

3. Regrettably, there is no simple, sure-fire test such as that once proposed by the late Irving Younger: “How do you recognize an excited utterance? I can tell you. If hearsay is offered and it begins with ‘My God,’ and ends with an exclamation point, it is an excited utterance” (Younger, *An Irreverent Introduction to Hearsay*, at 33 [ABA Section of Litig Monograph Series No. 3, 1977]). Neither exclamation nor punctuation can be determinative. Rather, courts must take into account that a variety of circumstances may determine whether a declarant remains under the stress of a startling event.

lice questioning, “standing alone—any more than do other specific circumstances—defeat the admissibility of the responses as excited utterances” (*Brown*, 70 NY2d at 522).

While any serious injury may be a significant factor in determining whether the declarant remains under the stress of a startling event, it is not the only factor (see Steven Zeidman, *Who Needs an Evidence Code?: The New York Court of Appeals’s Radical Re-Evaluation of Hearsay*, 21 Cardozo L Rev 211, 220-221 [1999]). There is, in short, no “injury” exception to the hearsay rule. Indeed, we have never held that any statement made by an injured victim about the event leading to the injury, however long after the trauma, constitutes an excited utterance merely because the victim continues to suffer pain caused by the injury. Even in the case of serious injury, the test remains what it has always been: whether the declarant is capable of studied reflection and therefore capable of fabrication.

On the combined facts before us, we cannot say that the declarant’s capacity for reflection and deliberation remained stilled by the time of his final statement to the police. The challenged declaration was made—in narrative form and in response to prompting—a full hour after the startling event (*cf. People v Cotto*, 92 NY2d 68, 79 n 3 [1998] [statement made in ambulance less than 10 minutes after declarant was shot admissible as excited utterance]; *Edwards*, 47 NY2d at 498 [statement made in response to a “simple inquiry”]). Moreover, the declarant had become more relaxed. According to his uncontroverted medical records, he was awake, alert and oriented; he was able to follow complex instructions; and his speech was fluent. In this condition, despite pain, clearly declarant was no longer without the ability to engage in reasoned reflection upon the content of his statement. Indeed, when asked by the prosecutor whether there had been “any pauses or a long time to reflect” when the victim explained his version of events to the officer at the hospital, Lutz responded, “There were moments of reflection.”

Given the victim’s disappearance, this case had to proceed to trial in the absence of a live complaining witness subject to cross-examination.⁴ Where the only direct evidence of a defendant’s guilt is in the form of hearsay testimony, courts must be especially vigilant to ensure that only evidence that

4. Six other witnesses did testify at trial: two police officers, the treating neurosurgeon, the victim’s physical therapist, and an assistant district attorney and her trial preparation assistant.

risers to the level of “inherent reliability” (*Edwards*, 47 NY2d at 499) underlying such firmly rooted hearsay exceptions as excited utterances is admitted at trial (*see* 6 Frumer and Biskind, *Bender’s New York Evidence—CPLR § 24.03* [1], at 24-8 [2003] [factors in determining whether a declaration constitutes an excited utterance include “the fact that the complainant was subject to cross-examination”]).

Nevertheless, we conclude that the error here was harmless beyond a reasonable doubt.⁵ Even without the victim’s final statement, eyewitness police testimony established that defendant was holding a blood-stained ice pick while struggling with the victim, who was bleeding heavily from his eye. The victim’s immediate cries—“[h]e stabbed me, he stabbed me”—properly admitted as excited utterances and not challenged on this appeal, proved the identity of defendant as the perpetrator of the crime. Moreover, Grey had been stabbed twice, negating any possibility of accident. Finally, inasmuch as defendant did not argue self-defense at trial, the People had no burden to disprove that defense beyond a reasonable doubt (*see* Penal Law § 25.00 [1]). Indeed, during the charge conference, the court—“just to make one thing a hundred percent clear”—stated for the record that there had been no evidence of justification. Defense counsel responded, “That is correct.” In short, the evidence of defendant’s guilt was overwhelming.

Finally, we have no disagreement with the bulk of the dissent: The right of confrontation is indeed a fundamental right; face-to-face cross-examination of witnesses is greatly to be preferred; and the hospital statement here—unlike the earlier statements—was erroneously admitted. We disagree only as to harmless error on these indisputable facts: Defendant stabbed the victim in the eye with an ice pick; as the medical evidence established, the victim was stabbed twice, negating any possible accident; defense counsel made it “a hundred percent clear” at trial that he was not arguing self-defense, or justification; and, although six other witnesses testified and were subject to cross-examination, the victim had vanished months earlier and could

5. Since the right to confront witnesses (*see* US Const Amend VI; NY Const, art I, § 6) may be implicated when a hearsay statement is introduced at trial, we apply a constitutional standard of harmless error (*see People v Crimmins*, 36 NY2d 230, 237 [1975]; *Chapman v California*, 386 US 18 [1967]). But we cannot agree with the dissent that a per se violation of the Confrontation Clause is dispositively established whenever a declarant fails to testify at trial and therefore is not subject to cross-examination.

not be located. On these facts, the conviction should be sustained.

Accordingly, the order of the Appellate Division should be affirmed.

G.B. SMITH, J. (dissenting). Defendant's argument on this appeal is that a statement by the complainant in a hospital in answer to police questioning was not an excited utterance and violated his federal and state rights to confront witnesses and to due process. Because defendant's conviction violated his federal and state constitutional rights to confront witnesses and to due process, I dissent.

Defendant was convicted of assault in the first degree and resisting arrest resulting from the stabbing of the complainant in the eye with an ice pick. The complainant did not testify before the grand jury or at the trial. The evidence was that two police officers came upon the defendant and the complainant while they were struggling with each other and defendant was holding the ice pick. Both men were homeless, the complainant smelled of alcohol and defendant appeared to be slightly intoxicated.

The only evidence of how the struggle between defendant and the complainant occurred resulted from statements of the complainant which were all admitted by the trial court as excited utterances. The first statement, made as the police approached the two men, was, "He stabbed me." The second statement, made after the police had subdued defendant and after the complainant had wandered into a nearby laundromat, was that he had lost his eye and a question as to whether or not his eye was still there. In the third statement in the ambulance on the way to the hospital, complainant again said he was stabbed and continued to question whether he would lose his eye. The fourth statement, made at the hospital in response to police questioning about an hour after the incident, without quoting, was substantially as follows: Complainant stated that while he was in a subway station, a garbage can was thrown down the stairs. Complainant felt that the can was thrown at him. He ran up the stairs and someone told him that defendant had thrown the can. He confronted the defendant and during the struggle he was stabbed in his eye. He could not say how the stabbing occurred.

The trial court admitted all of the statements as excited utterances and defendant was convicted. The Appellate Division

affirmed, stating, “The evidence clearly established that all of the victim’s statements were made while he was still under the influence of the stress caused by his serious injuries (*see People v Brown*, 70 NY2d 513; *People v Edwards*, 47 NY2d 493).” (299 AD2d 213, 214 [2002].) A Judge of this Court granted defendant leave to appeal.

At the time of the trial, defendant argued that his right to confront witnesses¹ and to a fair trial would be violated by the admission of all of the statements as excited utterances. On this appeal, he argues only that the statement made to the police in the hospital should not have been admitted and that its admission denied him the constitutional rights to confront witnesses and to a fair trial.

Analysis of this case must begin with *Pointer v Texas* (380 US 400 [1965]). There, the Supreme Court of the United States, after noting that the Sixth Amendment right to counsel and the Fifth Amendment right against self-incrimination had been made obligatory on the states by the Fourteenth Amendment stated, “We hold today that the Sixth Amendment’s right of an accused to confront the witnesses against him is likewise a fundamental right and is made obligatory on the States by the Fourteenth Amendment” (380 US at 403). The Court went on to state the following with respect to cross-examination:

“It cannot seriously be doubted at this late date that the right of cross-examination is included in the right of an accused in a criminal case to confront the witnesses against him. And probably no one, certainly no one experienced in the trial of lawsuits, would deny the value of cross-examination in exposing falsehood and bringing out the truth in the trial of a criminal case” (*id.* at 404).

In *Pointer*, the Supreme Court reversed petitioner’s conviction for robbery because the testimony of the complainant at a preliminary hearing had been used at the trial held after the complainant had moved to California and did not intend to return to Texas. The petitioner did not have an attorney at the preliminary hearing and was denied the right to cross-examine the complainant.

1. Both the Sixth Amendment to the United States Constitution and article I, § 6 of the New York State Constitution give a defendant the right to confront witnesses against him or her. The Fourteenth Amendment to the Constitution and article I, § 6 of the New York State Constitution assure the right to due process and a fair trial.

The right to confront witnesses, in essence, the right to cross-examine them, is a sacred right enshrined not only in the Sixth Amendment of the United States Constitution and article I, § 6 of the New York State Constitution but is ancient and is mentioned in a number of works that predate the Constitution, such as the Bible, and Shakespeare's Henry VIII (*see Lilly v Virginia*, 527 US 116, 140, 141 [1999] [Breyer, J., concurring]). The right of confrontation permits the accused to face his accusers—to test their credibility, their trustworthiness and their veracity. Cross-examination is important because it is instrumental in “exposing falsehood and bringing out the truth in the trial of a criminal case” (*Pointer v Texas*, 380 US at 404). A Confrontation Clause violation may also constitute a violation of the right of due process and fair trial guaranteed by the Fourteenth Amendment and article I, § 6 of the New York State Constitution.

“The right to cross-examination, protected by the Confrontation Clause, . . . is essentially a ‘functional’ right designed to promote reliability in the truth-finding functions of a criminal trial. The cases that have arisen under the Confrontation Clause reflect the application of this functional right” (*Kentucky v Stincer*, 482 US 730, 737 [1987]). According to *Kentucky v Stincer*, those cases reflect two broad and nonexclusive categories—first, that the Confrontation Clause is violated when hearsay evidence is admitted as substantive evidence against a defendant without an opportunity to question the declarant at trial and, second, when an out-of-court statement is admitted at trial without adequate indications of trustworthiness (*id.*).

In dealing with the relationship between the Confrontation Clause and hearsay evidence, the Supreme Court has stated, “The historical evidence leaves little doubt, however, that the Clause was intended to exclude some hearsay” (*Ohio v Roberts*, 448 US 56, 63 [1980], citing *California v Green*, 399 US 149, 156-157 nn 9, 10 [1970]). The Court in *Ohio v Roberts* went on to explain that the Confrontation Clause contained a preference for face-to-face cross-examination of witnesses (*id.*). Nevertheless, hearsay evidence was admissible but was restricted in two ways. First, the Sixth Amendment established a rule of necessity where usually the prosecution had to produce the declarant or demonstrate his or her unavailability (448 US at 65). Second, once the witness was shown to be unavailable, the hearsay statement was admissible only if its trustworthiness was such that it did not depart from the rule of face-to-face confrontation (*id.*).

Ohio v Roberts concluded that hearsay evidence could be admitted only if it bears “adequate ‘indicia of reliability’ ” (448 US at 66). “Reliability can be inferred without more in a case where the evidence falls within a firmly rooted hearsay exception. In other cases, the evidence must be excluded, at least absent a showing of particularized guarantees of trustworthiness” (*id.*). In *Ohio v Roberts* the Court held that the testimony of a witness at a preliminary hearing, where the witness had been subject to cross-examination, could be admitted into evidence at trial where that witness had failed to honor several subpoenas to appear.

In *Idaho v Wright* (497 US 805, 820 [1990]) the Supreme Court referred to excited utterances, dying declarations and statements made for medical treatment as firmly rooted hearsay exceptions which would normally be admitted without other indicia of reliability. But the Court went on to add that such statements had to be so trustworthy that little could be added by cross-examination (497 US at 821). There, the Court held that statements concerning sexual abuse made to a doctor by a three-year-old girl did not bear a sufficient indication of reliability and were improperly admitted into evidence.²

In this case, the defendant’s rights under the Confrontation Clause as articulated in *Kentucky v Stincer* were violated by the hearsay evidence admitted as substantive evidence without an opportunity for cross-examination and the admission of hearsay evidence without sufficient indications of trustworthiness. Defendant was convicted on the basis of a hospital statement that the majority agrees was inadmissible. Contrary to the decision of the majority, I cannot conclude that the error was harmless beyond a reasonable doubt and that the introduction of the hospital statement did not contribute to the conviction (*Chapman v California*, 386 US 18 [1967]).

2. In *White v Illinois* (502 US 346 [1992]), the Supreme Court upheld the conviction of a defendant for aggravated criminal sexual assault, residential burglary and unlawful restraint based upon the spontaneous declarations and statements given for medical treatment of the four-year-old victim. The four-year-old victim had experienced emotional difficulty upon being brought to the courtroom on two occasions. The trial court was not asked to and did not make a finding that the child was unavailable to testify. The defendant did not attempt to call the witness to testify. In ruling that the child’s statements could be introduced, the Court held that the Confrontation Clause had not been violated. Thus, it is evident that in some cases an excited utterance can be admitted without violating the right to confront witnesses. It is also clear that the statements were made by a four-year-old girl and that there was other evidence of sexual misconduct against her.

In *Chapman* the Supreme Court concluded that there are some constitutional errors which may be considered harmless:

“We conclude that there may be some constitutional errors which in the setting of a particular case are so unimportant and insignificant that they may, consistent with the Federal Constitution, be deemed harmless, not requiring the automatic reversal of the conviction” (*id.* at 22).

That a constitutional error can be harmless is not the only relevance of the *Chapman* case. As important is the Supreme Court’s determination of when an error is harmless. The Court stated:

“We prefer the approach of this Court in deciding what was harmless error in our recent case of *Fahy v. Connecticut*, 375 U. S. 85. There we said: ‘The question is whether there is a reasonable possibility that the evidence complained of might have contributed to the conviction.’ *Id.*, at 86-87. . . . There is little, if any, difference between our statement in *Fahy v. Connecticut* about ‘whether there is a reasonable possibility that the evidence complained of might have contributed to the conviction’ and requiring the beneficiary of a constitutional error to prove beyond a reasonable doubt that the error complained of did not contribute to the verdict obtained” (386 US at 23-24).

There are situations in which the fundamental interests served by the right to confront witnesses are not significantly impaired by the admission of a hearsay statement that falls under an exception (*cf. Lilly v Virginia*). In this case, however, the challenged statement does not even fall within a hearsay exception. The introduction of that statement violated defendant’s right of cross-examination and was prejudicial in that it gave only the complainant’s version of the events without cross-examination. Moreover, the complainant could not say how the stabbing occurred. Defendant had no burden at the trial and was presumed innocent.

The statements made at the scene, in the laundromat and in the ambulance, even assuming their admission was normally proper under *Ohio v Roberts* and *Idaho v Wright*, did not bear a sufficient indication of reliability. The complainant had a motive to lie because he went looking for the person who had thrown a trash can and sought a confrontation. Moreover, the fact that

the complainant smelled of alcohol is an indication that he may have been under the influence of alcohol and “militates against finding that his statements were so inherently reliable that cross-examination would have been superfluous” (*Lilly v Virginia*, 527 US 116, 139 [1999]).

The evidence leaves little doubt that defendant stabbed the victim. The same cannot be said of the evidence that defendant did so intentionally. How the confrontation proceeded and how the stabbing occurred, whether deliberately or accidentally during a struggle, are unknown. Had the complainant been subject to cross-examination, questions surrounding the incident would have been answered and the jury might have gotten a more complete picture of the confrontation.

I would reverse the conviction.

Judges CIPARICK, ROSENBLATT, GRAFFEO and READ concur with Chief Judge KAYE; Judge G.B. SMITH dissents and votes to reverse in a separate opinion.

Order affirmed.

[805 NE2d 92, 773 NYS2d 1]

BANKERS TRUST CORPORATION, Formerly Known as BANKERS
TRUST NEW YORK CORP., Appellant, v NEW YORK CITY
DEPARTMENT OF FINANCE et al., Respondents.

Argued October 16, 2003; decided November 25, 2003

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered November 19, 2002. The Appellate Division (1) reversed, on the law, an order and judgment (one paper) of the Supreme Court, New York County (Marcy S. Friedman, J.), which had granted plaintiff's motion for summary judgment to the extent of declaring that plaintiff was entitled to certain tax refunds, and denied defendants' cross motion for summary judgment dismissing the complaint, (2) denied plaintiff's motion for summary judgment, (3) granted defendants' cross motion for summary judgment, and (4) declared that plaintiff was not entitled to certain tax refunds.

Bankers Trust Corp. v New York City Dept. of Fin., 301 AD2d 321, modified.

HEADNOTE

Administrative Law — Failure to Exhaust Administrative Remedies — Challenge to Taxing Agency's Statutory Authority to Deny Tax Refund

Plaintiff corporation's declaratory judgment action challenging the denial by defendant New York City Department of Finance of certain tax refund claims plaintiff made following changes to its state tax returns should have been dismissed for plaintiff's failure to exhaust its exclusive statutory remedy. Plaintiff argued that the Department improperly applied the relevant statute in computing a refund. Administrative Code of the City of New York § 11-681 (2), which provides for review of a taxpayer's liability for the subject taxes by the tax appeals tribunal, was plaintiff's exclusive remedy. Plaintiff did not challenge the relevant tax statute as unconstitutional or wholly inapplicable, the two exceptions to the exclusive remedy requirement.

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By the Publisher's Editorial Staff

AM JUR 2d, Administrative Law §§ 505–507; AM JUR 2d, Declaratory Judgments §§ 50, 83, 84, 86.

CARMODY-WAIT 2d, Proceeding Against a Body or Officer § 145:60; CARMODY-WAIT 2d, Declaratory Judgments §§ 147:11, 147:15, 147:43.

NY JUR 2d, Administrative Law § 325; NY JUR 2d, Article 78 and Related Proceedings §§ 19, 20, 32, 34; NY JUR 2d, Declaratory Judgments and Agreed Case § 16.

ANNOTATION REFERENCE

See ALR Index under Administrative Law; Declaratory Judgments or Relief; Exhaustion of Remedies.

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POINTS OF COUNSEL

Hutton & Solomon LLP, New York City (*Kenneth I. Moore*, *Stephen L. Solomon* and *Roger S. Blane* of counsel), for appellant. I. The Department of Finance may not raise extraneous issues in auditing the state correction. (*People ex rel. International Salt Co. v Graves*, 267 NY 149; *Central Trust Co. of N.Y. v Falck*, 177 App Div 501, *affd sub nom. Central Trust Co. of N.Y. v Rogers*, 223 NY 705; *Apex Air Frgt. v O’Cleireacain*, 210 AD2d 7; *Duffy v Horton Mem. Hosp.*, 66 NY2d 473.) II. The Department of Finance does not have an equitable right of setoff. (*Lewis v Reynolds*, 284 US 281; *Matter of Capital Cities Communications v State Tax Commn.*, 65 AD2d 25; *Matter of Morton Bldgs. v Chu*, 126 AD2d 828, 70 NY2d 725; *Bull v United States*, 295 US 247; *Stone v White*, 301 US 532; *United States v Dalm*, 494 US 596.) III. The Department of Finance may not reallocate Bankers Trust’s income. IV. The Department of Finance is bound by its own agreements.

Michael A. Cardozo, *Corporation Counsel*, New York City (*Robert J. Firestone* and *Rita D. Dumain* of counsel), for respondents. I. The Appellate Division correctly ruled that Administrative Code of the City of New York § 11-678 (3) does not bar the City from adjusting Bankers Trust’s worldwide entire net income in determining whether Bankers Trust overpaid its tax. (*Jones v Liberty Glass Co.*, 332 US 524; *Castle Oil Corp. v City of New York*, 89 NY2d 334; *Lewis v Reynolds*, 284 US 281, 599; *People v Tran*, 80 NY2d 170; *People v Dethloff*, 283 NY 309; *People v Cruz*, 48 NY2d 419; *Matter of Medical Socy. of State of N.Y. v State of New York Dept. of Health*, 83 NY2d 447; *United States v Dalm*, 494 US 596; *Bull v United States*, 295 US 247; *Matter of American Can Co. v State Tax*

Commn., 13 AD2d 175.) II. The Appellate Division’s ruling that Bankers Trust is not required to exhaust its “exclusive” remedies with the Tax Appeals Tribunal, where it does not allege the bank tax to be wholly inapplicable, is contrary to prior rulings of this Court. (*Matter of First Natl. City Bank v City of N.Y. Fin. Admin.*, 36 NY2d 87; *Dun & Bradstreet v City of New York*, 276 NY 198; *Richfield Oil Corp. of N.Y. v City of Syracuse*, 287 NY 234; *Kurcsics v Merchants Mut. Ins. Co.*, 49 NY2d 451; *Watergate II Apts. v Buffalo Sewer Auth.*, 46 NY2d 52; *Apex Air Frgt. v O’Cleireacain*, 210 AD2d 7, 86 NY2d 712; *Matter of Herberg v Perales*, 180 AD2d 166; *GTE Spacenet Corp. v New York State Dept. of Taxation & Fin.*, 201 AD2d 429; *Reader’s Digest Assn. v Friedlander*, 100 AD2d 871.) III. The consent and waiver forms do not preclude the City from determining whether Bankers Trust overpaid its tax before issuing it a refund.

Eliot Spitzer, Attorney General, New York City (Caitlin J. Halligan, Michelle Aronowitz, Andrew D. Bing and Patrick J. Walsh of counsel), for State of New York, amicus curiae. The Appellate Division correctly held that the City did not violate the prohibition against changing the taxpayer’s “allocation of income or capital” because the prohibition refers to a taxpayer’s allocation percentage only. (*Matter of Siemens Corp. v Tax Appeals Trib.*, 89 NY2d 1020; *Matter of American Tel. & Tel. Co. v State Tax Commn.*, 61 NY2d 393; *Lorillard Tobacco Co. v Roth*, 99 NY2d 316; *People ex rel. International Salt Co. v Graves*, 267 NY 149.)

OPINION OF THE COURT

G.B. SMITH, J.

In this action, the New York City Department of Finance denied a tax refund to plaintiff, Bankers Trust Corporation, based upon certain adjustments it made to plaintiff’s reported income. The Appellate Division agreed with the trial court that the doctrine of exhaustion of administrative remedies was inapplicable but reversed on the merits, concluding that the City had properly denied the refund. We conclude that Administrative Code of the City of New York § 11-681 (2), providing for review by the Tax Appeals Tribunal, was plaintiff’s exclusive remedy and we accordingly modify the order of the Appellate Division.

I.

At the time of this action, Bankers Trust was a bank holding company with headquarters in New York City and more than

800 subsidiaries and affiliates across the United States and worldwide. It paid state and city taxes for income derived from doing business in both.

The calculation of state and city taxes owed begins with and is based upon “entire net income,” which is generally defined as income reported to the federal government (Tax Law § 1453 [a]; Administrative Code of City of NY § 11-641 [a]). In 1985, the state and city tax laws were amended to permit “a deduction in determining entire net income” of “seventeen percent of interest income from subsidiary capital” (Tax Law § 1453 [e] [11] [1]; Administrative Code § 11-641 [e] [11] [i]). A subsidiary is defined as a corporation in which the taxpayer owns over 50% of the voting shares (Tax Law § 1450 [d]; Administrative Code § 11-602 [2]). Bankers Trust claimed a deduction for the years 1986 and 1987.¹

In 1992, the State and City, after audits, disallowed the deduction to the extent it applied to interest income from second- or lower-tier subsidiaries. As the name suggests, a second-tier subsidiary is owned by a subsidiary in which the taxpayer owns over 50% of the voting stock. A third-tier subsidiary would be owned by the second-tier subsidiary and so on. After the disallowance, Bankers Trust signed a consent and waiver form with the City, agreeing to a deficiency for the years 1985, 1986 and 1987, and paying the amount. The agreement provided that it did not preclude Bankers Trust from filing a claim contesting the assessment and seeking a refund. The State entered into a similar agreement covering the same years and in April 1997, the City and Bankers Trust again entered into a similar agreement covering the year 1993.

In May 1993, in a different case, the New York State Tax Appeals Tribunal affirmed a determination of an administrative law judge (ALJ), holding that interest income from a second-tier subsidiary is deductible “where a corporation controls all aspects of a second tier subsidiary’s operation and management” (*Matter of Racal Corp.*, 1993 WL 181623, *8, 1993 NY

1. In 1986, Bankers Trust’s entire net income was \$351,273,989. With the 17% deduction Bankers Trust claimed for that year in its state and city tax forms, entire net income was reduced to \$326,948,726. The portion of that income derived from business done within the city, or the allocation percentage, was 58.1232%. Multiplying the adjusted net income by the allocation percentage yields \$190,033,062. Multiplying this number by the tax rate of nine percent yields a tax of \$17,102,976. Since Bankers Trust paid \$18,375,451, it claimed it was owed \$1,272,475. The following year, Bankers Trust again claimed the deduction.

Tax LEXIS 208, *23 [DTA No. 807631, TSB-D-93(5)C]). Several months later, Bankers Trust filed claims for refunds with the State Department of Taxation and Finance, seeking the 17% deduction for the year 1985. In March 1996, the Tax Appeals Tribunal affirmed an ALJ's determination that Bankers Trust failed to offer sufficient proof that it fully controlled all aspects of the second-tier subsidiaries at issue. Nevertheless, the next year, August 1997, Bankers Trust and the State entered into a closing agreement in which the State essentially agreed to withdraw and cancel notices of deficiency under the franchise tax on banking corporations (Tax Law art 32) for the years 1986 through 1994.

Bankers Trust then filed a claim with the City reporting the terms of the agreement with the State, pursuant to Administrative Code § 11-646 (e), and seeking a refund for the years 1986, 1987 and 1993, of approximately \$1.2 million, \$1.3 million, and \$3.8 million, respectively. The City disallowed the refunds, thus giving rise to this action.

The threshold issue is whether plaintiff is excused from having to exhaust its exclusive statutory remedy, which for us is determinative.

II.

During the initial audits, the City had allowed Bankers Trust deductions for home office and foreign branch administrative expenses associated with the second-tier subsidiaries. After the changes by the State were reported, however, the City disallowed those deductions pursuant to Internal Revenue Code (26 USC) § 482 (dealing with the prevention of tax evasion) on the ground that since Bankers Trust fully controlled the second-tier subsidiaries, those expenses should be deductible by the subsidiaries for the management services provided to them by Bankers Trust.²

Bypassing its exclusive administrative remedy, Bankers Trust commenced a declaratory judgment action in the Supreme Court seeking a refund for the years 1986, 1987 and 1993, arguing that the City should have conformed its city taxable income in

2. As a result of the "[a]llocated expenses," as the City put it in its notice, Bankers Trust's entire net income for 1986 was \$415,092,737. Multiplying that number by 58.1232% (the allocation percentage) yields \$241,265,182. The tax (of nine percent) due on that amount is \$21,713,866, which is more than the \$18,375,451 Bankers Trust paid for that year. The same is the case for the years 1987 and 1993.

accordance with the changes made by the State and should have allowed the deductions without analyzing any other issues. Following plaintiff's motion for summary judgment, Supreme Court agreed with Bankers Trust that it was not required to exhaust administrative remedies because the issue was the interpretation and application of statutes that did not involve the special expertise of the relevant agencies, and the exhaustion of administrative remedies would cause irreparable harm.

On the merits, Bankers Trust relied on Administrative Code § 11-678 (3), which governs a taxpayer's claim for a refund after a change by the state or federal government. The section provides that the claim must be filed "within two years from the time such report or amended return was required to be filed with the commissioner of finance." (*Id.* ¶ [b].) In addition, the statute provides that the refund

"(c) shall be computed without change of the allocation of income or capital upon which the taxpayer's return (or any additional assessment) was based, and

"(d) shall not exceed the amount of the reduction in tax attributable to such decrease or increase in federal or New York state taxable income, alternative minimum taxable income or other basis of tax or federal or New York state tax or to such federal or New York state change or correction or renegotiation, or computation or recomputation of tax" (Administrative Code § 11-678 [3] [c], [d]).

The mirror image of this rule is section 11-674 (3) (c), (g), which governs the City's assessment as a result of a change by the state or the federal government. Between these two sections is section 11-677 (1), which provides that:

"The commissioner of finance, within the applicable period of limitations, may credit an overpayment of tax and interest on such overpayment against any liability in respect of any tax imposed by any of the named subchapters of this chapter or on the taxpayer who made the overpayment, and the balance shall be refunded out of the proceeds of the tax."

Supreme Court agreed with Bankers Trust that the City reallocated Bankers Trust's income when it reaudited the returns. The court rejected the City's claim that the reaudit was lawful under section 11-677 (1) since the City was bound to determine

whether Bankers Trust had actually overpaid taxes for the relevant years before issuing any refund. The court thus granted Bankers Trust's motion for summary judgment.

On appeal, the Appellate Division agreed with Supreme Court on the procedural issue, but reversed on the merits. On exhaustion of administrative remedies, the Court found that Bankers Trust's challenge involved statutory interpretation and was "based on the general nature of the adjustments, and does not require us to determine their accuracy by delving into the underlying facts or computations on which they were based." (301 AD2d 321, 328 [2002].) On the merits, the Court disagreed with the motion court that there had been a change in the allocation of income. The Court found that the phrase "allocation of income" referred to "allocation percentage." While the City had shifted income from the subsidiaries to Bankers Trust, there had been no change in the allocation percentage. The court also agreed with the City that it had to determine whether Bankers Trust had overpaid taxes before issuing a refund.

We conclude that plaintiff failed to utilize its exclusive administrative remedy, and we do not address the merits.

III.

Actions by taxing officers can be reviewed only in the manner prescribed by statute (*National Bank of Chemung v City of Elmira*, 53 NY 49, 59 [1873]; *Dun & Bradstreet v City of New York*, 276 NY 198 [1937]; *Matter of First Natl. City Bank v City of N.Y. Fin. Admin.*, 36 NY2d 87 [1975]). In this case, Administrative Code § 11-681 (2) provides as follows:

"The review of a decision of the tax appeals tribunal provided by this section shall be the exclusive remedy available to any taxpayer for the judicial determination of the liability of the taxpayer for the taxes imposed by the named subchapters."

There are two exceptions to the exclusive remedy requirement: "[w]hen a tax statute . . . is alleged to be unconstitutional, by its terms or application, or where the statute is attacked as wholly inapplicable" (*First Natl. City Bank*, 36 NY2d at 92; *Richfield Oil Corp. of N.Y. v City of Syracuse*, 287 NY 234, 239 [1942]). In these two circumstances, "the invalidity or total inapplicability affects the entire statute, including the limitations and restrictions on the remedy provided in it" (*First Natl. City Bank*, 36 NY2d at 92-93).

To challenge a statute as wholly inapplicable, the taxpayer must allege that the agency had no jurisdiction over it or the matter that was taxed. As we stated in *National Bank of Chemung*, “[a]ssessors must have jurisdiction over the person and subject-matter. The person must be an inhabitant of the town, and the property must be taxable. Otherwise, the assessment is illegal and void” (53 NY at 59). In *National Bank of Chemung*, the assessors had imposed a tax on the capital stock of the bank in direct violation of a statute providing that such property was not taxable. In *Dun & Bradstreet*, the City of New York had the authority to impose a tax on certain public utility companies and on the sale of tangible personal property. Since the plaintiff was not a public utility company and did not sell tangible personal property, the City acted without jurisdiction (see also *Richfield Oil Corp. of N.Y. v City of Syracuse*, 287 NY 234 [1942]; *Socony-Vacuum Oil Co. v City of New York*, 247 App Div 163 [1936], *affd* 272 NY 668 [1936]).

Where the statute at issue in a dispute does not provide how judicial review may be obtained, resort must be made to the judicially-created rule that administrative remedies must be exhausted. The judicial doctrine of exhaustion of remedies is subject to exceptions not available when the statute has an exclusive remedy provision. The exceptions include when exhaustion of administrative remedies would be futile or would cause irreparable harm (*Watergate II Apts. v Buffalo Sewer Auth.*, 46 NY2d 52, 57 [1978]). Courts lack the discretion to rely on these exceptions where the Legislature itself has specifically delineated the exclusive steps a party must undertake in order to seek judicial relief.

Here, the statute includes an exclusive remedy provision. Yet neither the motion court nor the Appellate Division determined that the statute was unconstitutional or wholly inapplicable. It is true that in its complaint, Bankers Trust argued that the City acted “wholly beyond the [City’s] authority.” However, the proper characterization of Bankers Trust’s argument is that the Department improperly applied the relevant statute in computing a refund. Bankers Trust also argued that it would incur irreparable harm. Bankers Trust, however, did not dispute that it was subject to the tax on banking corporations, and that the City had the authority to audit the refund claims. The argument that the City misapplied a certain provision in calculating a refund is not the same as arguing that the banking corporation tax is wholly inapplicable to Bankers Trust.

In determining that the plaintiff was not required to exhaust its exclusive statutory remedy, the Appellate Division relied on *Watergate II Apts.*, a case involving the judicially-created exhaustion of remedies doctrine—not, as here, the statutory exclusive remedy provision. In *Watergate*, moreover, the plaintiff there argued that sewer rent charges imposed by the Buffalo Sewer Authority were actually taxes, and that the Authority lacked the power to impose taxes. The argument that the Authority lacked the power to impose the charges would have made the statute wholly inapplicable. Bankers Trust did not make a similar argument here.

Accordingly, the order of the Appellate Division should be modified, with costs to defendants, by deleting the declaration in favor of defendants and substituting a provision dismissing the complaint, and, as so modified, affirmed.

Chief Judge KAYE and Judges CIPARICK, ROSENBLATT, GRAFFEO and READ concur.

Order modified, etc.

[805 NE2d 1037, 773 NYS2d 735]

**ASPRO MECHANICAL CONTRACTING, INC., et al., Respondents, v
FLEET BANK, N.A., Appellant.**

Argued January 7, 2004; decided February 12, 2004

SUMMARY

APPEAL, by permission of the Court of Appeals, from a judgment of the Supreme Court, Kings County (Lewis L. Douglass, J.), entered February 25, 2003. The Supreme Court, pursuant to the parties' stipulation, awarded plaintiffs damages against defendant in the total sum of \$1,904,923.48. The appeal brings up for review a prior nonfinal order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered May 20, 2002. The Appellate Division had affirmed an order of the Supreme Court, Kings County (Gerald S. Held, J.), which granted plaintiffs' motion for summary judgment on the issue of liability and denied defendant's cross motion for summary judgment dismissing the complaint.

Aspro Mech. Contr. v Fleet Bank, 293 AD2d 97, affirmed.

HEADNOTE**Liens — Trusts for Laborers and Materialmen — Diversion of Trust Assets**

Defendant mortgagee bank, having taken an assignment of a turnkey contract of sale as security for a construction loan, was liable as a statutory trustee under Lien Law article 3-A for the unpaid claims of plaintiff subcontractors. The funds owed under the contract were trust assets subject to the rights of trust beneficiaries, and the direct payment of the sale proceeds to defendant rendered defendant a statutory owner-trustee obligated to administer the trust solely in the interest of the beneficiaries. Defendant's application of the trust assets to repay its construction loan—without acknowledging its status as trustee and providing notice to trust beneficiaries of the transfer—constituted a breach of its fiduciary duty. The filing by defendant of a notice of lending regarding its use of the trust assets to repay itself would have satisfied defendant's duty to provide notice to the trust beneficiaries of its use of trust assets to discharge the debt.

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By the Publisher's Editorial Staff

AM JUR 2d, Mechanics' Liens §§ 69, 256, 274.

CARMODY-WAIT 2d, Establishment, Discharge, and Enforcement of Mechanics' Liens §§ 97:169–97:174, 97:177, 97:179.

McKINNEY'S, Lien Law art 3-A.

NY JUR 2d, Mechanics' Liens §§ 359, 361, 364, 369, 372.

ANNOTATION REFERENCE

See ALR Index under Mechanics' Liens.

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Database: NY-ORCS

Query: lien /3 3-a & trust /s subcontractor /p mortgagee

POINTS OF COUNSEL

Cleary, Gottlieb, Steen & Hamilton, New York City (*Evan A. Davis, Mitchell A. Lowenthal* and *Rupa Mitra* of counsel), for appellant. I. Defendant-appellant was not required to file a notice of lending. (*United Lakeland A.C. Co. v Ahneman-Christiansen, Inc.*, 33 Misc 2d 606, 18 AD2d 1022; *Heard v Cuomo*, 80 NY2d 684; *Matter of ELRAC, Inc. v White*, 299 AD2d 546; *Matter of Kamhi v Planning Bd. of Town of Yorktown*, 59 NY2d 385.) II. The lower courts failed to construe the statute in light of all its purposes, including its purpose to strike a balance. (*Matter of Judge Rotenberg Educ. Ctr. v Maul*, 91 NY2d 298; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Matter of Duell v Condon*, 84 NY2d 773; *Le Drugstore Etats Unis v New York State Bd. of Pharm.*, 33 NY2d 298; *New York State Bridge Auth. v Moore*, 299 NY 410.)

Zisholtz & Zisholtz, LLP, Mineola (*Stuart S. Zisholtz* of counsel), for respondents. I. Appellant failed to file a notice of assignment and a notice of lending. (*National Sur. Corp. v Fishkill Natl. Bank*, 61 Misc 2d 579, 37 AD2d 537; *Lincoln Natl. Bank of City of N.Y. v Pierce Co.*, 228 NY 359; *American Blower Corp. v James Talcott, Inc.*, 10 NY2d 282; *Adirondack Trust Co. v Bien & Assoc.*, 168 Misc 2d 919; *Edison Elec. Illuminating Co. of Brooklyn v Frick Co.*, 221 NY 1; *General Ins. Co. of Am. v Tilcon N.Y.*, 294 AD2d 195.) II. Appellant diverted trust funds. (*Canron Corp. v City of New York*, 214 AD2d 115; *Raisler Corp. v Uris 55 Water St. Co.*, 91 Misc 2d 217; *Eljam Mason Supply v I.F. Assoc. Corp.*, 84 AD2d 720; *Glens Falls Ins. Co. v Schwab Bros. Trucking*, 55 Misc 2d 324; *New York Natl. Bank v Primalto Dev. & Constr. Co.*, 270 AD2d 22; *Caristo Constr. Corp. v Diners Fin. Corp.*, 21 NY2d 507; *West-Fair Elec. Contrs. v Aetna Cas. & Sur. Co.*, 87 NY2d 148; *Naiztat Iron Works v Tri-Neck Constr. Corp.*, 62 Misc 2d 228; *Glazer v Alison Homes Corp.*, 62 Misc 2d 1017; *Schwadron v Freund*, 69 Misc 2d 342.) III. Appellant's attempt to raise new issues on appeal should not be

countenanced. (*Sacks v Stewart*, 75 AD2d 536; *Fonda v Nationwide Mut. Fire Ins. Co.*, 99 AD2d 680; *Broida v Bancroft*, 103 AD2d 88.)

OPINION OF THE COURT

GRAFFEO, J.

In 1989, Berry Street Corporation entered into a turnkey contract of sale with the New York City Housing Authority (NYCHA) whereby Berry Street would acquire title to three parcels of land in Brooklyn, construct residential buildings on the parcels and convey title to the improved property to NYCHA. The contract specified periodic payments from NYCHA to Berry Street and its general contractor as the improvements were completed.

Norstar Bank made a construction loan to Berry Street in 1992 as evidenced by a building and project loan agreement, building loan mortgage and project loan mortgage. The loan agreement and mortgages were filed with the Kings County City Register's Office in accordance with section 22 of the Lien Law and the mortgages contained the requisite Lien Law § 13 covenant stating that the mortgages were subject to the trust provisions of that section.

As additional security for the loan, Berry Street simultaneously assigned all of its right, title and interest in the turnkey contract to Norstar (hereinafter referred to as Fleet, Norstar's successor in interest and the defendant here). In conjunction with the assignment, NYCHA agreed to make payments directly to Fleet until Fleet notified NYCHA that Fleet's loans to Berry Street were fully repaid. The filed mortgages revealed that Berry Street had assigned its turnkey contract to Fleet; however, the specific rights and responsibilities assigned were not disclosed. The assignment itself was not filed.

NYCHA purchased the three sites and their improvements from Berry Street over the course of three years. Because Berry Street had not yet fully repaid the construction loan to Fleet, NYCHA paid the purchase amounts for each improved parcel directly to Fleet. Fleet applied these amounts to the debt owed it by Berry Street under the loan agreement and eventually discharged its mortgages on the properties.

Plaintiffs—individuals and entities who had subcontracted with Berry Street to provide labor, services and materials for the project—commenced a special proceeding to recover Lien

Law article 3-A trust funds allegedly diverted by Fleet and NYCHA. Fleet moved to dismiss the special proceeding, arguing that its status in the transaction was solely that of a lender-mortgagee and not a trustee subject to article 3-A of the Lien Law. Plaintiffs opposed the motion and cross-moved to amend the petition to add claims pertaining to Berry Street's assignment of its turnkey contract rights to Fleet, which plaintiffs alleged they learned of only upon receipt of NYCHA's answer in the special proceeding.

Supreme Court denied Fleet's motion to dismiss and granted plaintiffs' cross motion to file an amended petition. Ultimately, the special proceeding was dismissed without prejudice, and plaintiffs commenced this action pursuant to Lien Law § 77.¹ In the complaint, plaintiffs alleged that they were owed monies on their subcontracts and that Fleet had diverted trust funds by paying itself prior to paying plaintiffs' claims. Plaintiffs urged that Fleet's failure to file a notice of assignment or a notice of lending deprived Fleet of any affirmative defenses it might otherwise have had and sought to recover for Fleet's "violation of [its] fiduciary relationship under the trust."

After denial of its motion to dismiss the new action, Fleet answered and raised numerous affirmative defenses. As it had contended during the special proceeding, Fleet again asserted that it was "not a statutory trustee and the funds paid to Fleet do not constitute trust assets" and that plaintiffs' claims were barred by virtue of Fleet's "superior mortgage interest." Plaintiffs moved for summary judgment on the issue of liability and Fleet cross-moved for summary judgment dismissing the complaint.

Supreme Court granted plaintiffs' motion, denied Fleet's cross motion and ordered a trial on damages.² On Fleet's appeal, the Appellate Division affirmed, holding that Fleet's repayment to itself of the loans made to Berry Street was a diversion of trust assets. The parties stipulated to damages and judgment was entered for plaintiffs in the amount of \$1,904,923.48. Fleet now appeals the judgment, bringing up for review the Appellate Division's order of affirmance.

In this appeal, Fleet no longer disputes that the payments it received via the assignment constituted article 3-A trust assets

1. Upon plaintiffs' motion, the action was certified as a class action.

2. Supreme Court granted NYCHA's motion for summary judgment dismissing the claims against it so it is no longer a party in this action.

and concedes its trustee status as a result of the assignment. Fleet now argues that its self-payment—at a time when it contended that the funds were not trust assets—was nevertheless permissible because it used the money to pay its properly recorded secured loans, which were superior to plaintiffs' claims pursuant to the Lien Law's statutory priority provisions.

The Lien Law Trust Provisions

Article 3-A of the Lien Law creates “trust funds out of certain construction payments or funds to assure payment of subcontractors, suppliers, architects, engineers, laborers, as well as specified taxes and expenses of construction” (*Caristo Constr. Corp. v Diners Fin. Corp.*, 21 NY2d 507, 512 [1968]; see Lien Law §§ 70, 71). We have repeatedly recognized that the “primary purpose of article 3-A and its predecessors [is] ‘to ensure that “those who have directly expended labor and materials to improve real property [or a public improvement] at the direction of the owner or a general contractor” receive payment for the work actually performed’ ” (*Matter of RLI Ins. Co. v New York State Dept. of Labor*, 97 NY2d 256, 264 [2002] [quoting *Canron Corp. v City of New York*, 89 NY2d 147, 155 (1996)]; see also *West-Fair Elec. Contrs. v Aetna Cas. & Sur. Co.*, 87 NY2d 148, 156-157 [1995]). As the Law Revision Commission noted in its 1959 Report recommending numerous amendments to the law,

“enactment of the trust fund provisions was prompted by the frequency of cases in which laborers and materialmen were in fact not paid. The trust concept was intended precisely to forbid that an owner, contractor or subcontractor act merely as entrepreneur and was intended to require that he act, instead, as fiduciary manager of the fixed amounts provided for the operation” (1959 Report of NY Law Rev Commn, at 214, reprinted in 1959 NY Legis Doc No. 65, at 30).

To ensure this end, the Lien Law establishes that designated funds received by owners, contractors and subcontractors in connection with improvements of real property are trust assets and that a trust begins “when any asset thereof comes into existence, whether or not there shall be at that time any beneficiary of the trust” (Lien Law § 70 [1], [3]; see *City of New York v Cross Bay Contr. Corp.*, 93 NY2d 14, 19 [1999]). Funds received by an owner under building loan contracts and building loan

mortgages are trust assets and the statute requires owner-trustees to apply such assets for payment of the “cost of improvement” (*see* Lien Law § 70 [5]; § 71 [1]). Cost of improvement is defined in the Lien Law to encompass “expenditures incurred by the owner in paying the claims of a contractor, an architect, engineer or surveyor, a subcontractor, laborer and materialman, arising out of the improvement, . . . and shall also include . . . sums paid to discharge building loan mortgages whenever recorded” (*id.* at § 2 [5]). The use of trust assets for a nontrust purpose—that is, a purpose outside the scope of the cost of improvement—is deemed “a diversion of trust assets, whether or not there are trust claims in existence at the time of the transaction, and if the diversion occurs by the voluntary act of the trustee or by his consent such act or consent is a breach of trust” (Lien Law § 72).

The Lien Law further imposes duties upon trustees in the operation of the trust. A statutory trustee must maintain books and records of the trust including entries for trust assets receivable, trust accounts payable, trust funds received and trust payments made with trust assets, and make those records available for inspection by beneficiaries (*see id.* at §§ 75, 76). In addition, the records must reflect any “[t]ransfers in repayment of or to secure advances made pursuant to a ‘Notice of Lending’ ” (*id.* at § 75 [3] [E]). The statute expressly vests discretion in the trustee “to determine the order and manner of payment of any trust claims and to apply any trust asset to any purpose of the trust” (*id.* at § 74 [1]).

Of special importance in this case, the Lien Law also incorporates a mechanism for trustees to alert beneficiaries to the distribution of trust assets to repay advances made by lenders (*see* Postner & Rubin, New York Construction Law Manual § 9.76, at 362). Trustees or lender-transferees may file a “Notice of Lending” to “protect the lender’s right to repayment from trust funds” (*id.*; *see* Lien Law § 73). Such notice must be filed in the county clerk’s office in the “lien docket” or other official record and indexed by the name of the trustee to whom the advances are made (*see* Lien Law § 73 [3] [a]). The notice is to be filed within five days of the payment and sets forth the names and addresses of the persons making the advances and to whom or on whose behalf they are made, the date of any advances made prior to the filing for which the filing is intended to be effective and “the maximum balance of advances outstanding to be permitted by the lender pursuant to the notice” (*see id.* at [3] [b] [6]).

These filing provisions promote the legislative intent to assure “public notice of any transaction of the owner, contractor or subcontractor that may lead to depletion of funds available for future trust claims, even where the depletion merely repays advances that were in fact used to pay trust claims accruing at an earlier [d]ate” (1959 Report of NY Law Rev Commn, at 216). Such record notice provides “persons who furnish materials and services in reliance on the trust assets receivable by the trustee at a later stage of the improvement . . . notice that those assets have been anticipated for current expense” (*id.*).

Pursuant to section 73 of the Lien Law, the proper filing of a “Notice of Lending” is an affirmative defense to an action charging a trustee with a diversion of trust assets or an action to recover diverted assets from a transferee. In an action against a trustee, the notice of lending evidences that the alleged diversion “was made as security for or in consideration of or in repayment of advances made to him as trustee or on his behalf as trustee . . . , and that such advances were actually applied for a purpose of the trust” (*id.* at § 73 [2]).

Application of the Statute

Under Lien Law article 3-A, the funds NYCHA owed Berry Street under the turnkey sale contract were trust assets subject to the rights of trust beneficiaries and it is undisputed that plaintiffs, as subcontractors on the project, are trust beneficiaries (*see* Lien Law §§ 70, 71). Berry Street assigned its rights under the NYCHA contract to Fleet and, as a result, NYCHA’s direct payment of the sale proceeds to Fleet rendered Fleet a statutory owner-trustee. As a statutory trustee, Fleet was obligated to act “as fiduciary manager” of the funds (1959 Report of NY Law Rev Commn, at 214). Fleet therefore owed the beneficiaries a duty of loyalty and was required “to administer the trust solely in the interest of the beneficiaries” (2A Fratcher, Scott on Trusts, at § 170 [4th ed]; Restatement [Third] of Trusts § 170 [1]).

In these circumstances, Fleet’s application of the trust assets to repay its loans to Berry Street—without acknowledging its status as trustee and providing notice to trust beneficiaries of the transfer—constituted a breach of its fiduciary duty. Fleet asserts that the inclusion of the reference to the assignment in its mortgages was the equivalent of record notice to potential claimants of Fleet’s priority interest in the trust assets. There is no question that by complying with the filing and covenant

requirements of Lien Law § 13 (2) and § 22, Fleet's building loan mortgages obtained priority over subsequently filed mechanics' liens.

This argument overlooks the important fiduciary considerations adopted by the Legislature to safeguard trust beneficiaries. Potential trust beneficiaries might have been able to ascertain Fleet's claim of priority as a secured mortgage lender but nothing in the mortgage documents identified Fleet as a trustee of the article 3-A assets. Indeed, Fleet's own posture during the early stages of this litigation denied that the assignment rendered it a trustee. In essence, Fleet seeks to escape the effect of the assignment by arguing that plaintiffs should have appreciated the implications that Fleet itself refuted. Even if plaintiffs had surmised Fleet's role as the trustee by examining the mortgage documents, those filings would not have informed beneficiaries that Fleet planned to use trust assets to repay itself.

We conclude that the filing by Fleet of a notice of lending—although not necessarily the only device available—would have satisfied Fleet's fiduciary duty to provide notice to the trust beneficiaries of its use of trust assets to discharge Berry Street's debt. Such a filing would fulfill the legislative purposes of article 3-A and eliminate any taint of self-dealing by a trustee who is also a trust beneficiary. Notably, had Fleet filed a notice of lending regarding its use of the trust assets to repay itself, the beneficiaries could have ascertained that (1) the trust assets were being depleted and (2) Fleet was a trustee acting as both transferor and transferee of those funds (*see* 1959 Report of NY Law Rev Commn, at 216; Lien Law § 73). Nothing in the filings relied upon by Fleet imparted this information to trust beneficiaries.³ Hence, Fleet failed to file any document that served as adequate notice to beneficiaries of its status as a trustee and its depletion of trust funds to repay its loans.

Although Fleet breached its fiduciary obligation, the issue of damages for such a breach is not before us because the parties stipulated to damages prior to this appeal. Thus, we have no occasion to address the conclusion reached by the lower courts that Fleet's repayment to itself invalidated its statutory priority

3. Moreover, there is no information in the record indicating whether Fleet complied with the statutory record-keeping obligations of trustees (*see* Lien Law § 75). Such compliance seems unlikely considering Fleet's initial posture in this litigation.

as a secured mortgage lender and rendered Fleet liable to plaintiffs for the full amount of the transferred trust funds.

Accordingly, the judgment appealed from and the order of the Appellate Division brought up for review should be affirmed, with costs.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSENBLATT and READ concur; Judge R.S. SMITH taking no part.

Judgment appealed from and order of the Appellate Division brought up for review affirmed, with costs.

[806 NE2d 131, 774 NYS2d 106]

BURNELL G. CARNEY et al., by L. DAVID ZUBE, as Chapter 11
Trustee, Appellants, v JAMES V. PHILIPPONE, Respondent.

Argued January 6, 2004; decided February 12, 2004

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 3 (b) (9) and Rules of the Court of Appeals (22 NYCRR) § 500.17, to review two questions certified to the New York State Court of Appeals by the United States Court of Appeals for the Second Circuit. The following questions were certified by the United States Court of Appeals and accepted by the New York State Court of Appeals: “(1) Under the Onondaga County Tax Act, is an owner’s right to redeem his property, after its sale for taxes, strictly limited to two years even when the tax sale purchaser fails to send the owner a notice to redeem during that period? Or does the right of redemption survive until six months after the tax sale purchaser sends a notice to redeem, even if that six-month period ends more than two years after the tax sale?,” and “(2) Does the term ‘occupant’ in section 8 of the Onondaga County Tax Act include an individual who operates a business on a property but does not reside there? If an individual is both an owner and an occupant, does he have three years following a tax sale in which to redeem the property?”

HEADNOTES

Taxation — Tax Liens, Tax Sales and Tax Titles — Right of Redemption under Onondaga County Tax Act

1. Under the Onondaga County Tax Act, an owner’s right to redeem his or her property, after its sale for taxes, is limited to two years, and an occupant’s right is limited to three years. Six months prior to the expiration of the applicable period a tax sale purchaser—before he or she can request a deed for the property—must give the owner or occupant a six-month notice to redeem. The six-month notice requirement of Onondaga County Tax Act § 6 can neither lengthen nor shorten the redemption periods for owners and occupants provided for in Onondaga County Tax Act § 8.

Taxation — Tax Liens, Tax Sales and Tax Titles — Right of Redemption under Onondaga County Tax Act

2. Under Onondaga County Tax Act § 8, which prescribes a two-year redemption period for owners and a three-year redemption period for occupants after their property is sold for taxes, an owner’s right to redeem his or her property is limited to two years whether or not that person is also an occupant.

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AM JUR 2d, State and Local Taxation §§ 914, 915, 919-921, 924, 926, 927.

CARMODY-WAIT 2d, Foreclosure of Tax Lien on Real Property §§ 99:25, 99:28, 99:29.

NY JUR 2d, Taxation and Assessment §§ 623, 627, 628.

NEW YORK REAL PROPERTY SERVICE §§ 63:30, 63:49.

ANNOTATION REFERENCE

See ALR Index under Redemption; Taxes.

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Query: sale /4 tax! /3 property /p redeem redemption /s owner /p occupant

POINTS OF COUNSEL

Hinman, Howard & Kattell, LLP, Binghamton (*Philip J. Kramer* of counsel), for appellants. I. Examination of the Onondaga County Tax Act and the more significant amendments to it since 1937 leads to the conclusion that in the relevant time frame (1993-1997) the owners' right to redeem from a tax "sale" was at least three years plus any additional time necessary to comply with the required six-month notice provisions. II. The contention raised by defendant Philipppone and, to some extent, in the decision of the United States District Court that the passage of the two-year period of time for an owner to redeem set forth in section 8 of the Onondaga County Tax Act automatically takes away the owner's title and right to redeem is without merit. (*Young v Engelstein*, 98 Misc 2d 843, 74 AD2d 1, 53 NY2d 973; *Matter of County of Nassau [Gelb-Siegel]*, 24 NY2d 621; *Corvetti v Fidelity Natl. Tit. Ins. Co. of N.Y.*, 258 AD2d 32, 94 NY2d 753; *McHugh v Appler*, 173 AD2d 910.) III. The argument that because the Carneys were "owners" they could not also be "occupants" as that term is used in the Onondaga County Tax Act in effect assumes the Legislature was unaware of terms such as "resident" or "person dwelling on the property."

Costello, Cooney & Fearon, PLLC, Syracuse (*Robert J. Smith* and *Nicole M. Marlow* of counsel), for respondent. I. The inconsistencies in the Onondaga County Tax Act can be reconciled, giving effect to both sections 6 and 8 and fulfilling

the legislative intent by construing section 6 as a notice requirement, which does not extend the statutorily prescribed redemption periods established by section 8 of the Tax Act. (*Cabell v Markham*, 148 F2d 737, 326 US 404; *Matter of Allstate Ins. Co. v Shaw*, 52 NY2d 818; *Matter of Thomas v Bethlehem Steel Corp.*, 95 AD2d 118, 63 NY2d 150; *Matter of Cohen v Board of Appeals of Vil. of Saddle Rock*, 100 NY2d 395; *Matter of Long v Adirondack Park Agency*, 76 NY2d 416; *Mennonite Bd. of Missions v Adams*, 462 US 791; *Congregation Yetev Lev D'Satmar v County of Sullivan*, 59 NY2d 418; *Matter of McCann v Scaduto*, 71 NY2d 164; *Maloney v Stone*, 195 AD2d 1065; *Matter of Notre Dame Leasing v Rosario*, 308 AD2d 164.) II. The Carneys are not occupants within the purview of section 8 of the Onondaga County Tax Act. (*Witherhead v Ort*, 223 App Div 626, 249 NY 567; *Interco Realty Corp. v Perkins*, 49 AD2d 189.)

OPINION OF THE COURT

Chief Judge KAYE.

Two questions involving the Onondaga County Tax Act have been certified to this Court by the United States Court of Appeals for the Second Circuit. While the answers require analysis and elaboration, one conclusion is plain on its face: piecemeal amendments to the statute have resulted in seeming inconsistencies, and the Act would benefit from comprehensive legislative review. The issues now before us center on when the right to redeem property expires after a tax sale under the Act. Resolution of this issue is relevant to whether property owners Burnell G. Carney and Alice Carney can maintain a malpractice action against their lawyer, James V. Philippone, for failing to advise them to file for bankruptcy before the redemption period expired.

I.

The Carneys owned valuable real estate in Manlius, New York on which they operated Sunnyside Nursing Home and Sunnyside Adult Home. In 1993, they failed to pay \$61,834.29 in real estate taxes. As a result, the county proceeded with a tax sale and, pursuant to the Onondaga County Tax Act, on October 1, 1993, sold and itself purchased a tax sale certificate, which entitled the county to a tax deed and possession of the property upon the expiration of the owner's redemption period. The following year, the Carneys again failed to pay their real estate taxes, and the county sold and purchased another tax certificate for the 1994 taxes. The county resold both certificates to Tax Certificate Associates, Inc. (TCA).

Still in financial straits, in September 1994 the Carneys borrowed \$300,000 from Adirondack Capital Management, Inc. (ACM), secured by a mortgage on the property. Richard and Diane Corvetti were the principals of ACM. After the Carneys defaulted on the mortgage, ACM commenced a foreclosure action in November 1995. To settle the action, the Carneys agreed to deliver to ACM a deed to the property—to be held in escrow as security against further defaults—in lieu of foreclosure. In May or June of 1996, after again defaulting on the mortgage, the Carneys retained James V. Philippone as their attorney to handle the litigation with ACM. In July 1996, Philippone negotiated a settlement with ACM whereby the Carneys agreed to transfer title to the nursing home portion of the property to a newly formed corporation, SNH Corporation, while themselves retaining title to the adult home portion of the property.¹

As of 1996, the Carneys had yet to pay their taxes and redeem their property. As a result, TCA—the tax certificate holder—sent the Carneys a six-month notice to redeem, pursuant to section 6 of the Onondaga County Tax Act. The notice apprised the Carneys that “[i]n the event the tax lien shall not be redeemed on or before six months from the mailing of this notice, the holder will request a deed of said property from the Commissioner of Finance.” In order to protect their own interest in the property, on December 24, 1996, the Corvettis purchased the tax sale certificates from TCA, and two days later sent a similar six-month notice to redeem to the Carneys. On June 26, 1997, the Corvettis asked the county to issue them the deed.

Approximately one month later, on July 24, 1997, on the advice of Philippone, the Carneys filed for protection under chapter 11 of the Bankruptcy Code. Because the county had not yet issued the deed to the Corvettis, the county notified them that, in light of the automatic stay resulting from the bankruptcy proceedings, it could not convey the deed (*see* Bankruptcy Code [11 USC] § 362). As a result, the Corvettis applied to the Bankruptcy Court, which lifted the stay, thereby permitting the county to issue the tax deed to the Corvettis, who then sold the property. The Bankruptcy Court found that under the Onondaga County Tax Act, the Carneys had two years from October 1, 1993 to redeem the property by paying all taxes and

1. SNH was formed by ACM and Richard Corvetti for the purpose of taking title to the nursing home parcel. The parties intended that SNH would sell the nursing home property in order to satisfy the mortgage, and the Carneys and ACM would each receive 50% of the net proceeds.

interest due and, the two-year period having long passed before they filed their bankruptcy petition, they had no further interest in the property.

Three years later, in May 2000, the Carneys' chapter 11 Trustee brought an action against Philippone claiming that he committed malpractice by not advising his clients to seek bankruptcy protection until July 24, 1997—after the period for redemption had run. The Trustee claimed that the period of redemption expired June 26, 1997—six months after the Corvettis and TCA served the Carneys with redemption notices—and that had the Carneys filed under chapter 11 before that time, they might have retained their property rights. Philippone sought summary judgment or dismissal of the Trustee's action, contending that the period of redemption had expired before he was retained to represent the Carneys.

The United States District Court for the Northern District of New York granted Philippone summary judgment dismissing the complaint (*Carney v Philippone*, US Dist Ct, ND NY, Scullin, Ch. J., 5:01-CV-557 [June 5, 2002]). The court concluded that it was collaterally estopped by the Bankruptcy Court's finding that the Carneys had lost their interest in the property by October 1, 1995, months before they hired Philippone, and that any alleged malpractice therefore could not have been a proximate cause of their losses. Even if not bound by collateral estoppel, the District Court agreed with the Bankruptcy Court's interpretation of section 6 of the Act: that the statutory redemption period was two years, measured from the tax certificate sale, unless shortened by a six-month notice of redemption. The court rejected as "nonsensical" the Carneys' argument that a six-month notice of redemption is *absolutely* required:

"Were that true, § 6 would render § 9 inoperative. Section 9 clearly states: '[N]o other, further or different notice of the expiration of the time to expire shall be required to be published, served upon or given to any person whatever.' § 9. The Court finds that § 9 makes it very clear that the six-month notice of redemption is not the exclusive method for a tax certificate holder to obtain absolute title. Running of the applicable two- or three-year time limit is also sufficient."

On the Trustee's appeal, the United States Court of Appeals for the Second Circuit observed that collateral estoppel did not

apply and that the Carneys' right of redemption was governed by sections 6, 8 and 9 of the Act. But the court found "textual ambiguities" and "nettlesome inconsistencies" in these sections, which it was "unable to harmonize" (332 F3d 163, 165, 169, 171 [2d Cir 2003]):

"Section 8 permits an 'owner' to redeem within two years of a tax sale, whereas an 'occupant' can redeem within three years of such a sale 'and not thereafter.' Section 6, however, can be read to provide that, even if two or three years pass after a tax sale, a certificate holder must still serve a notice to redeem upon the owner and occupant before the county can convey title. Section 6 also implies that, following service of this notice, the owner and occupant will have another six months to redeem the property. Thus, under one section of the statute—Section 8—the right to redeem appears to be cleanly cut off after three years, in the case of occupants, and two years, in the case of owners. However, another section of the same statute—Section 6—apparently provides that a right to redeem is *never* terminated until six months after a notice to redeem has been served. If the six-month notice is never served, does a right to redeem exist in perpetuity? To complicate matters, the Tax Act does not define 'occupant.' Consequently, it is unclear whether this term applies to the Carneys, who ran a nursing home and an adult home on their property, or whether 'occupant' is synonymous with 'resident' " (*id.* at 169).

The court posited three different dates under the Act when the Carneys' right to redeem might expire: first, six months after they received notice from the Corvettis; second, two years after the October 1, 1993 tax sale; and third, if the Carneys were "occupants," three years after the tax sale (*id.* at 171). If the first or third option applied, then Philipppone was the Carneys' lawyer during the relevant time period, and a malpractice action might lie. Finding it difficult to determine which of these three interpretations of a state statute to adopt, the court certified two questions to us:

"(1) Under the Onondaga County Tax Act, is an owner's right to redeem his property, after its sale for taxes, strictly limited to two years even when

the tax sale purchaser fails to send the owner a notice to redeem during that period? Or does the right of redemption survive until six months after the tax sale purchaser sends a notice to redeem, even if that six-month period ends more than two years after the tax sale?

“(2) Does the term ‘occupant’ in section 8 of the Onondaga County Tax Act include an individual who operates a business on a property but does not reside there? If an individual is both an owner and an occupant, does he have three years following a tax sale in which to redeem the property?” (332 F3d at 172.)

II.

Our answers to the certified questions are guided by two overarching principles. First, our role is to discern and implement the will of the Legislature and attempt—by reasonable construction—to reconcile and give effect to all of the provisions of the subject legislation. Second, statutes authorizing tax sales are to be liberally construed in the owner’s favor because tax sales are intended to collect taxes, not forfeit real property (*see* 13 Warren’s Weed, New York Real Property, Tax Sales § 1.03 [4th ed]).

The Period of Redemption

As noted by the Second Circuit, three sections of the Act are relevant to fixing the period of redemption: sections 6, 8 and 9.

Section 8 (entitled “Redemption”) provides tax-delinquent owners and occupants with a right of redemption for real property purchased at tax sales:

“The owner, or any other person at any time within two years from the last day of [the tax] sale, and the occupant or holder of any mortgage duly recorded at the time of the sale thereof at any time within three years after the sale and not thereafter, may redeem any property sold for taxes . . . by paying to the county commissioner of finance, for the use of the county, or if such purchaser be a private purchaser for the use of such purchaser or those claiming under him, as the case may be, the sum mentioned in the certificate of sale with interest thereon at the rate of twelve percent per annum to be calculated from the date of such certificate.”

Section 9 (“Unredeemed land”) provides for notice by publication to tax-delinquent owners and occupants. The County Commissioner of Finance shall,

“at least three months before the expiration of the time allowed for the redemption of lands sold by him for taxes, cause a notice to be published once in each week for two weeks successively in at least one newspaper published in said county, containing a list of the lands in such county sold for taxes and unredeemed specifying particularly every parcel unredeemed, and the amount necessary to redeem the same, calculated to the last day in which such redemption can be made, and stating that, unless such lands are redeemed by a specified day, they will be conveyed to the county, or if such purchaser be a private purchaser, to such private purchaser.”

Under section 9, until notice of the expiration of the time to redeem is published, the time to redeem does not expire. Additionally, section 9 provides that “[n]o other, further or different notice of the expiration of the time to redeem shall be required to be published, served upon or given to any person whatever.”

Finally, section 6 (“Publication”) provides:

“Before making such application the owner of a tax sale certificate acquired subsequent to the effective date of this act shall serve a notice to redeem by certified or registered mail, return receipt requested, upon the record owner, mortgagee, if any, and occupant, if any, of the real property affected by said tax sale certificate.”

Notice pursuant to section 6 must describe the property, declare the amount due, specify the relevant interest rates and fees, and contain a “statement that in order to redeem said property the total amount due must be paid to the Onondaga county commissioner of finance within six months from the date of mailing of said notice.” (§ 6 [d].)

Background of the Act

The history of the Act illuminates the issues. The Onondaga County Tax Act was adopted in 1937 to provide for the collection of taxes and procedures for handling tax delinquent property in the county (*see* L 1937, ch 690). The initial redemption period for owners, occupants or any other person was two years

after the last day of the tax sale; mortgage holders were given one year after the recording of the conveyance to redeem their property (*see* L 1937, ch 690, § 8). Only notice by publication was required.

In 1964, the Act was amended to bring the redemption periods for occupants and mortgage holders into alignment with the Real Property Tax Law (*see* Mem for the Governor, Bill Jacket, L 1964, ch 768, at 1). The time for redemption for occupants and mortgage holders increased to three years after the last day of the tax sale (*compare* L 1964, ch 768, § 2, *with* RPTL 1022, 1024 [McKinney's Cons Laws of NY, Book 49A, 1960 ed]). The 1964 amendments did not, however, mirror the Real Property Tax Law in all respects. Most significantly, the Legislature did not include a provision of the Real Property Tax Law that had the effect of shortening the redemption period for an occupant or mortgage holder if personally served with a notice to redeem before expiration of the statutory period (*see* Mem for the Governor, Bill Jacket, L 1964, ch 768, at 2-3).² In amending the Onondaga County Tax Act, the Legislature appears to have considered—and rejected—this option (*see* Letter from County of Onondaga Dept of Law, Apr. 2, 1964, Bill Jacket, L 1964, ch 768, at 9 [“In Onondaga County we are not interested in shortening the redemption period and therefore do not provide for personal service”]).³

In 1971, section 6 of the Act was amended to provide for personal service of a notice to redeem. “Great inequities and substantial enrichment ha[d] occurred, especially in Onondaga County, because the actual owner, even though an occupier of the land, did not realize that the taxes were unpaid, and consequently lost their property” (*see* Letter from Senator Tarky Lombardi, Jr., May 17, 1971, Bill Jacket, L 1971, ch 1092,

2. RPTL 1022 permitted holders of tax sale certificates or anyone claiming under them after expiration of one year from date of sale to *reduce* this period of redemption by serving written notice on the person occupying the property either personally or by leaving the same at the residence of the occupant. The notice stated (1) the sale and conveyance of the property, (2) the person to whom made, (3) the amounts required for redemption and (4) that unless such amounts are paid to the county treasurer for the benefit of the grantee or those claiming under him *within six months* after filing notices of the service, the conveyance in question would become absolute and the occupant and all others be forever barred from redeeming the property (*see* RPTL 1022 [McKinney's Cons Laws of NY, Book 49A, 1960 ed]).

3. The 1964 amendments were passed after a similar bill was vetoed by the Governor (*see* Senate Intro 3398, Print 3661 [1963]), because it shortened the period of redemption for an occupant or owner from two years to one year.

at 2). The bill “intended to prevent taxpayers from losing their property or mortgagees from losing their security interest without notice or knowledge of the possibility” (*id.*). It sought to afford due process by setting up procedures for notice to taxpayers beyond “mere publication” of a list of the affected properties in a local newspaper, requiring “the purchaser of a tax sale certificate to make a diligent search for the identity and whereabouts of the people who are interested in the property and to give such persons notice of the tax lien, the right to redeem and the consequences of failure to do so” (Letter from County of Onondaga Dept of Law, May 19, 1971, Bill Jacket, L 1971, ch 1092, at 7).⁴

Reading the words of the Act against this statutory background, we are persuaded that the Legislature’s primary purpose in its most recent relevant amendment to the Act was to provide actual notice to property owners, consonant with the requirements of due process.⁵ Thus, we conclude that a tax certificate holder must give an owner or occupant a six-month notice to redeem, as provided in section 6, and that without such notice there can be no transfer of the property to the tax certificate holder. The provision of section 9, that no other notice of the time to redeem shall be required, was implicitly amended by

4. The Trustee contends that additional 1971 amendments to section 6 eliminated the two- and three-year redemption periods provided in section 8. The relevant amendments provide that the Commissioner of Finance may sell and assign any certificate of sale of lands bid in for the county at any time before the expiration of “three years after the date of the tax sale” (L 1971, ch 1092, § 1). If any parcel sold for taxes is not redeemed within “said three year time limit in the manner set forth in section eight,” the Commissioner shall execute to the purchaser a conveyance (*id.*). The Trustee argues that this amendment makes clear that the time when a tax certificate holder can apply for a deed is no longer tied to the two- and three-year redemption period in section 8—it is now three years, regardless of the interest in the property. This argument is unsupported by the legislative history, and unpersuasive. The amendment merely suggests that three years is the outer limit within which redemption may occur under section 8. The amendment sought to remedy an anomaly in the law that prevented the county from selling a tax sale certificate on a vacant lot between the second and third year after the tax sale (*see* Letter from Senator Lombardi, May 17, 1971, Bill Jacket, L 1971, ch 1092, at 2-3).

5. In 1994, the New York State Legislature adopted the Uniform Delinquent Tax Enforcement Act, which provided for a uniform system of tax collection throughout the state (*see* RPTL 1100-1186). Onondaga County opted out of the Real Property Tax Law in April 1994, by Local Law No. 4 (1994), which authorized the continuation of the enforcement of the collection of real property taxes according to the Onondaga County Tax Act.

the later, clearly deliberate requirement of personal service of a notice to redeem.

But how does this requirement fit within the balance of the Act? When must personal service of the mandatory six-month notice to redeem be made?

[1] Section 8 of the Act provides that owners may redeem within two years and occupants within three years—“and not thereafter.” The section 8 redemption periods were not amended in 1971 when the requirement of personal service of a six-month notice to redeem was added. What is clear from the statute’s history, however, is that the Legislature was most definitely not interested in shortening the redemption period—it earlier rejected that opportunity. Thus, the provision for personal service of the six-month notice to redeem cannot shorten the two- and three-year time frames prescribed by section 8. By the same token, in order to give effect to the phrase “*and not thereafter*” in section 8, the six-month notice requirement cannot lengthen the two- and three-year redemption periods. Accordingly, we conclude that an owner must be served with a notice to redeem six months before expiration of the two-year redemption period; an occupant must be served with a notice to redeem six months before expiration of the three-year redemption period.

The Second Circuit’s understandable concern that the right to redeem might exist in perpetuity, or that a cloud on title could endlessly hover over the property, is addressed by application of the time periods clearly specified in section 8. Moreover, as a final outside date, section 6 of the Act provides that “[i]f application for a conveyance is not made within five years from the last day of the tax sale, the tax sale certificate . . . shall become void and no claim may thereafter be maintained on such certificate” (L 1967, ch 677, § 1).

Thus, we answer the Second Circuit’s first question as follows. An owner’s right to redeem is limited to two years. Eighteen months into that period, a tax sale purchaser—before it can request a deed for the property—must give notice to the owner.

Occupant or Owner

Addressing the second certified question, section 8 of the Act prescribes different redemption periods based on an individual’s interest in the property. This distinction was introduced in 1964, in order to bring the Act more into line with the Real Property

Tax Law (*see* L 1964, ch 768, § 2). At the time, “occupant” was defined in the Real Property Tax Law as “a person who has lawfully entered and is in possession of the real property to the exclusion of every other person” (RPTL 1022 [7] [McKinney’s Cons Laws of NY, Book 49A, 1960 ed]). This definition appears to include a person who operates a business on the property but does not reside there. There is no indication that the Legislature intended the term occupant to be synonymous with residency.

[2] While the statutory history does not set forth the rationale for the distinction between owners and occupants, a reasonable explanation for allowing a longer period for occupants is that tax notices routinely are directed to the property owner; significant additional time may pass before a mere occupant discovers a tax delinquency. Applying that rationale, we conclude that an owner should be held to the two-year period to redeem property, whether or not that person is also an occupant. Thus, as to the Second Circuit’s two-part second question, we answer the first part in the affirmative, and the second part in the negative.

Finally, were there a shred of doubt as to the desirability of a comprehensive review of the statute by the Legislature, we trust that this writing, together with the writings of the Bankruptcy Court, the District Court and the Second Circuit, are sufficient to dispel it.

Accordingly, the certified questions are answered in accordance with this opinion.

Judges G.B. SMITH, CIPARICK, ROSENBLATT, GRAFFEO and READ concur; Judge R.S. SMITH taking no part.

Following certification of questions by the United States Court of Appeals for the Second Circuit and acceptance of the questions by this Court pursuant to section 500.17 of the Rules of Practice of the Court of Appeals (22 NYCRR 500.17), and after hearing argument by counsel for the parties and consideration of the briefs and the record submitted, certified questions answered in accordance with the opinion herein.

[806 NE2d 138, 774 NYS2d 113]

In the Matter of DONALD P. GUIDO, Appellant, v GLENN S. GOORD,
as Commissioner of Correctional Services, et al., Respon-
dents.

Argued January 8, 2004; decided February 12, 2004

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered December 5, 2002. The Appellate Division affirmed a judgment of the Supreme Court, Albany County (Thomas J. McNamara, J.), which, in a proceeding pursuant to CPLR article 78, dismissed the petition brought to review a determination of respondent Commissioner of Correctional Services denying petitioner's application for credit for jail time served in another state.

Matter of Guido v Goord, 300 AD2d 703, reversed.

HEADNOTES

Prisons and Prisoners — Jail Time Credit — Detention in Another State

1. To the extent that *Matter of Peterson v New York State Dept. of Correctional Servs.* (100 AD2d 73 [2d Dept 1984]), *Matter of Keffer v Reid* (100 AD2d 549 [2d Dept 1984]), and their progeny have established a rule that Penal Law § 70.30 (3) only authorizes credit for time spent in another custody's jurisdiction if a New York detainer is the sole cause of detention, they should no longer be followed.

Prisons and Prisoners — Jail Time Credit — Detention in Another State

2. Petitioner, who was in custody in Florida at the time New York lodged a warrant against him in connection with the charges for which he was convicted, was entitled to jail time credit against his New York sentence for the time he spent in custody in Florida on charges that were ultimately dismissed. It was not necessary that the New York warrant be the sole cause of petitioner's Florida detention for petitioner to receive the credit. For the purpose of calculating jail time credit, Penal Law § 70.30 (3) makes no distinction between inmates who are detained in New York and those who are detained by sister states or the federal government.

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By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 833, 835.

CARMODY-WAIT 2d, Criminal Procedure § 172:4103.

McKINNEY'S, Penal Law § 70.30 (3).

NY JUR 2d, Criminal Law §§ 2835, 2837.

ANNOTATION REFERENCE

Right to credit for time spent in custody prior to trial or sentence. 77 ALR3d 182.

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POINTS OF COUNSEL

New York State Defenders Association, Albany (*Alfred O'Connor* of counsel), for appellant. Petitioner is entitled to 411 days of additional jail time credit pursuant to Penal Law § 70.30 (3) because New York authorities lodged a warrant against him during the pendency of his pretrial incarceration in Florida on charges that culminated in acquittal and dismissal. (*Matter of Hawkins v Coughlin*, 72 NY2d 158; *People v Cerilli*, 80 NY2d 1016; *Matter of Auerbach v Board of Educ.*, 86 NY2d 198; *Matter of Peterson v New York State Dept. of Correctional Servs.*, 100 AD2d 73; *Matter of Keffer v Reid*, 100 AD2d 549; *Matter of Chang v Goord*, 295 AD2d 231; *Matter of Bentley v Demsky*, 250 AD2d 886; *Matter of Birden v Department of Correctional Servs.*, 134 AD2d 843; *People v Vitale*, 80 Misc 2d 36; *Matter of Vitale v Wilkes*, 49 AD2d 702.)

Eliot Spitzer, Attorney General, Albany (*Denise A. Hartman*, *Caitlin J. Halligan*, *Daniel Smirlock* and *Nancy A. Spiegel* of counsel), for Glenn S. Goord, respondent. The Department of Correctional Services has credited petitioner with all the jail time to which he is entitled. (*Matter of Bottom v Goord*, 96 NY2d 870; *Middleton v State of New York*, 54 AD2d 450, 43 NY2d 678; *Matter of Torres v Bennett*, 271 AD2d 830; *Matter of Peterson v New York State Dept. of Correctional Servs.*, 100 AD2d 73; *Matter of Chang v Goord*, 295 AD2d 231; *Matter of Bentley v Demskie*, 250 AD2d 886, 92 NY2d 884, 525 US 1044; *Matter of Birden v Department of Correctional Servs.*, 134 AD2d 843; *Matter of Witteck v Superintendent of Wallkill Correctional Facility*, 65 AD2d 249, 48 NY2d 858; *Bingham v New York City Tr. Auth.*, 99 NY2d 355; *People ex rel. Fredericks v Mann*, 219 AD2d 763, 87 NY2d 803.)

OPINION OF THE COURT

ROSENBLATT, J.

Penal Law § 70.30 (3) entitles an inmate to jail time credit against a New York sentence for a period spent in custody on charges culminating in an acquittal or dismissal. The narrow question before us is whether the same credit must be accorded for periods of time spent in another state's custody, when the New York charge was not the sole cause of the inmate's out-of-state detention.

On March 9, 1989, petitioner was arrested in Pinellas County, Florida, on charges in that county and on outstanding arrest warrants for other charges in Sarasota County, Florida. Seven days later and while petitioner was being detained in the Pinellas County Jail, New York lodged a warrant against him in connection with charges in Herkimer County, New York. On March 12, 1990, a jury acquitted petitioner on the Pinellas County charges. Authorities then transferred petitioner, who was still in detention, to Sarasota County, where he remained in custody until the Sarasota charges were dismissed on April 22, 1990. On April 23, 1990, petitioner was extradited to New York to stand trial on the Herkimer charges. Herkimer County held petitioner as a detainee through the pendency of his trial. Upon petitioner's conviction for the Herkimer County crimes, the trial court sentenced him to concurrent indeterminate terms of imprisonment of 12½ to 25 years and 3½ to 7 years.

After receiving him into its custody on March 5, 1991, the Department of Correctional Services (DOCS) credited petitioner with the 316 days of jail time he spent in Herkimer County's custody following his extradition. On May 15, 2000, petitioner wrote the inmate records coordinator at Elmira Correctional Facility, seeking an additional 411 days of jail time credit for the period of his Florida detention. The inmate records coordinator replied that DOCS could not credit petitioner for any jail time that had not been certified by the sheriff in the county of conviction. After requesting such certification from the Herkimer County Sheriff and receiving no response, petitioner commenced this CPLR article 78 proceeding to compel the Herkimer County Sheriff and the Commissioner of DOCS to grant him 411 days of jail time credit.

Supreme Court dismissed the petition, reasoning that petitioner was entitled to credit under Penal Law § 70.30 (3) only if the New York warrant was the sole cause of petitioner's

Florida detention. The Appellate Division affirmed. We granted petitioner leave to appeal, and now reverse.

Penal Law § 70.30 (3) specifies the conditions under which DOCS may award jail time credit to New York inmates. In pertinent part, the provision states:

“*In any case where a person has been in custody due to a charge that culminated in a dismissal or an acquittal, the amount of time that would have been credited against a sentence for such charge, had one been imposed, shall be credited against any sentence that is based on a charge for which a warrant or commitment was lodged during the pendency of such custody*” (emphasis added).

Petitioner contends that the plain language of Penal Law § 70.30 (3) entitles him to jail time credit for the 411 days he spent in Florida custody, before his extradition to New York. DOCS counters that the statute authorizes credit only for time spent in New York custody and for time spent in another jurisdiction’s custody when a New York detainer is the sole cause of the detention. In advancing this interpretation of Penal Law § 70.30 (3), DOCS relies almost exclusively on a line of Appellate Division cases, beginning with *Matter of Peterson v New York State Dept. of Correctional Servs.* (100 AD2d 73 [2d Dept 1984]).

In *Peterson*, the petitioner sought to apply jail time (accrued during a pretrial detention on federal charges for which he was eventually convicted and sentenced) against two subsequent New York sentences that were to run concurrently with the federal sentence. The Appellate Division rejected the petition on the ground that the New York detainer was not the sole cause of the federal detention (*see id.* at 80). It held that a New York inmate was entitled to jail time credit for the federal detention only if (1) bail was set on the federal charge, (2) the inmate had the financial ability to meet the bail set on the federal charge, and (3) the inmate’s failure to post bond or otherwise secure his or her release resulted solely from the lodging of a New York detainer (*see id.*). Likewise, in *Matter of Keffer v Reid* (100 AD2d 549 [2d Dept 1984]), the Appellate Division applied *Peterson*’s reading of Penal Law § 70.30 (3) to an inmate who sought jail time credit for a New Jersey detention. In *Keffer*, as in *Peterson*, the inmate’s New York sentence ran concurrently with the out-of-state sentence.

Over the last two decades, *Peterson* and *Keffer* have engendered a robust progeny. The Appellate Division has applied the

Peterson test to both concurrent sentences and detentions culminating in acquittal or dismissal (see *Matter of Chang v Goord*, 295 AD2d 231 [1st Dept 2002];¹ *Matter of Bentley v Demskie*, 250 AD2d 886 [3d Dept 1998]; *Matter of Birden v Department of Correctional Servs.*, 134 AD2d 843 [4th Dept 1987]).

[1, 2] Notwithstanding the widespread acceptance garnered by *Peterson* and its offspring, those cases have established a rule that conflicts with the plain statutory language, and they should no longer be followed.² Penal Law § 70.30 (3) makes no distinction whatsoever between inmates who are detained in New York and those who are detained by sister states or the federal government. Indeed, the statute expressly provides that inmates should receive jail time credit “[i]n any case” where they were held in “custody due to a charge that culminated in a dismissal or an acquittal,” as long as the warrant giving rise to the New York sentence was “lodged during the pendency of such custody.” “In any case” means in *any* case, and we cannot conclude that by saying “any” the Legislature meant some and not others (see *People v Cerilli*, 80 NY2d 1016 [1992]). In short, Penal Law § 70.30 (3) does not contemplate the place of detention as a factor DOCS should consider when computing jail time credit.³

Accordingly, the order of the Appellate Division should be reversed, with costs, and the matter remitted to Supreme Court for further proceedings in accordance with this opinion.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, GRAFFEO and READ concur; Judge R.S. SMITH taking no part.

Order reversed, etc.

1. Reversed today in *Matter of Chang v Goord* (1 NY3d 603 [2004]).

2. Its reliance on *Peterson* in this case aside, DOCS concedes that one of the *Peterson* court’s key holdings, that Penal Law § 70.30 (2-a) does not authorize jail time credit for time spent in custody in foreign jurisdictions, was incorrect.

3. Although we reject the *Peterson* court’s reading of Penal Law § 70.30 (3), we note and petitioner concedes that inmates may not secure jail time credit for an out-of-state or federal detention unless they provide a certified record of that detention. The Department of Correctional Services has no obligation to collect such documentation on behalf of an inmate.

[806 NE2d 473, 774 NYS2d 465]

In the Matter of NEIL D. LEVIN, as Superintendent of Insurance of the State of New York, Respondent, v NATIONAL COLONIAL INSURANCE COMPANY, Respondent, and CHASE MANHATTAN BANK, N.A., Appellant.

Argued January 7, 2004; decided February 12, 2004

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered July 18, 2002. The Appellate Division (1) reversed, on the law, so much of an order of the Supreme Court, New York County (Sheila Abdus-Salaam, J.), as directed the conservator to distribute trust fund assets to the New York trustee, (2) directed distribution of trust fund assets to the liquidator of National Colonial Insurance Company, and (3) remanded the matter for further proceedings.

Matter of Levin v National Colonial Ins. Co., 296 AD2d 354, affirmed.

HEADNOTE

Insurance — Liquidation of Insurer

Supreme Court improperly exercised jurisdiction over a trust fund, established pursuant to New York Insurance Regulation 41 (11 NYCRR part 27), to resolve competing claims to the trust remainder brought by the trustee and respondent, an insolvent insurer undergoing liquidation in Kansas. The trust, which constituted a “special deposit” under the Uniform Insurers Liquidation Act (UILA; *see* Insurance Law § 7408 [b] [9]), was required in order for respondent to do business in New York; it was created for the benefit of policyholders and beneficiaries of policies written in a state in which respondent was not authorized to carry out an insurance business. Since neither the trustee nor respondent was the holder or beneficiary of a policy protected under the trust, their claims to the trust remainder could not be adjudicated by Supreme Court under the UILA’s special deposit authority. In order to promote the UILA’s goal of orderly and equitable liquidation proceedings, the domiciliary state is the proper forum in which to adjudicate competing claims to the trust remainder.

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AM JUR 2d, Insurance §§ 93, 111, 119.

COUCH ON INSURANCE (3d ed) §§ 6:13, 6:15, 6:17.

McKINNEY’S, Insurance Law § 7408 (b) (9).

11 NYCRR part 27.

NY JUR 2d, Insurance §§ 302, 367.

ANNOTATION REFERENCE

See ALR Index under Insurance and Insurance Companies.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: insurer /s liquidat! /p trust /2 fund /s jurisdiction

POINTS OF COUNSEL

Eileen J. Berkman, New York City, *Alyssa Kelman* and *E. Regan Adams* for appellant. I. The New York trial court clearly had jurisdiction to decide the merits of this case. (*Ambiance, Inc. v Commodore Gen. Ins. Co.*, 553 F Supp 285; *In re Koreag, Controle et Revision S.A.*, 961 F2d 341, 506 US 865; *G.C. Murphy Co. v Reserve Ins. Co.*, 54 NY2d 69; *Matter of Transit Cas. Co.*, 79 NY2d 13; *Matter of Guardian Cas. Co.*, 161 Misc 859; *Matter of Union Indem. Ins. Co.*, 89 NY2d 94; *Stephens v American Home Assur. Co.*, 811 F Supp 937, 70 F3d 10; *Federal Trade Commn. v Metropolitan Communications Corp.*, 977 F Supp 295.) II. The Kansas order should not be given full faith and credit. (*Matter of Luna v Dobson*, 97 NY2d 178; *Lawlor v National Screen Serv. Corp.*, 349 US 322; *Kearns v General Motors Corp.*, 94 F3d 1553, 520 US 1186.) III. The public policy of the Insurance Law will be advanced by the reinstatement of the trial court order. (*Simonds v Simonds*, 45 NY2d 233; *In re Koreag, Controle et Revision S.A.*, 961 F2d 341; *Matter of Union Indem. Ins. Co.*, 89 NY2d 94; *Matter of Midland Ins. Co.*, 167 AD2d 75, 79 NY2d 253; *Stephens v American Home Assur. Co.*, 811 F Supp 937, 70 F3d 10.)

Cozen O'Connor, New York City (*Francine L. Semaya* and *William K. Broudy* of counsel), for National Colonial Insurance Company, respondent. I. This Court is required to give full faith and credit to the order of the Kansas liquidation court approving the classification and disposition of Chase's claim. (*Underwriters Natl. Assur. Co. v North Carolina Life & Acc. & Health Ins. Guar. Assn.*, 455 US 691; *G.C. Murphy Co. v Reserve Ins. Co.*, 54 NY2d 69; *Tolfree v New York Tit. & Mtge. Co.*, 72 F2d 702; *United States v Bank of N.Y. & Trust Co.*, 296 US 463; *American Cast Iron Pipe Co. v Statesman Ins. Co.*, 343 F Supp 860; *Matter of Bean v Stoddard*, 207 App Div 276; *Matter of New York Tit. & Mtge. Co.*, 163 Misc 454; *Matter of National*

Tit. Guar. Co., 152 Misc 523.) II. The order of the Kansas liquidation court approving the classification and disposition of Chase's claim is a final order and must be given res judicata effect. (*Matter of Farmland Dairies v Barber*, 65 NY2d 51; *Underwriters Natl. Assur. Co. v North Carolina Life & Acc. & Health Ins. Guar. Assn.*, 455 US 691.) III. Because there are no special deposit claims or secured claims pending against the National Colonial Insurance Company (NCIC) trust account, the assets of the NCIC trust account must be paid to the domiciliary liquidator. IV. Public policy requires that Chase not benefit from its wrongdoing. (*Matter of Rothko*, 43 NY2d 305; *Town of Evans v Catalino*, 88 AD2d 780; *Simonds v Simonds*, 45 NY2d 233; *Bankers Sec. Life Ins. Socy. v Shakerdge*, 49 NY2d 939.)

Jack A. Franceschetti, New York City, and *Steven R. Harris* for Superintendent of Insurance of the State of New York, respondent. The Appellate Division decision incorrectly placed control of the trust fund assets with the Kansas liquidator. (*Tol-free v New York Tit. & Mtge. Co.*, 72 F2d 702; *United States v Bank of N.Y. & Trust Co.*, 296 US 463; *American Cast Iron Pipe Co. v Statesmen Ins. Co.*, 343 F Supp 860; *Matter of Bean v Stoddard*, 207 App Div 276; *Matter of New York Tit. & Mtge. Co.*, 163 Misc 454; *Matter of National Tit. Guar. Co.*, 152 Misc 523.)

OPINION OF THE COURT

READ, J.

In this appeal we are asked whether Supreme Court properly exercised jurisdiction over a trust fund, established pursuant to New York Insurance Department Regulation 41, to resolve competing claims to the trust remainder brought by JPMorgan Chase Bank (sued herein as Chase Manhattan Bank, N.A.), the trustee, and National Colonial Insurance Company (NCIC), an insolvent insurer undergoing liquidation in Kansas. For the reasons that follow, we conclude that Supreme Court did not have jurisdiction in this regard, and that the remainder of the trust should be transferred to NCIC's liquidator in Kansas.

I.

In 1989, NCIC, an insurer organized under the laws of the State of Kansas, sought to write excess and surplus line insurance policies in New York. As a condition of doing business as an unauthorized insurer, Regulation 41 (11 NYCRR part 27) required that NCIC establish a trust fund with Chase, a quali-

fied financial institution. The trust fund, governed by a trust agreement, was exclusively available for payment of claims under policies issued to a resident of, or with respect to property situated in, a state in which NCIC was not licensed to conduct an insurance business. NCIC funded the trust by depositing \$750,000 with Chase as trustee.

The trust agreement specified that, upon its termination and payment of outstanding liabilities, the remainder would be distributed to NCIC. In the event NCIC was found insolvent pursuant to the laws of Kansas, the trustee was to disburse the trust fund at the direction of the Superintendent of Insurance of the State of New York in accordance with the provisions of article 74 of the Insurance Law.

On September 21, 1990, the Kansas Insurance Department notified NCIC that the trust agreement did not comply with Kansas law and needed to be amended to insert certain mandatory language. Chase proposed alternative wording and advised that, “[i]n the event [this wording] is deemed unacceptable, [NCIC] will have to identify a new trustee and arrange for the transfer . . . of the trust assets.” On March 8, 1991, NCIC advised Chase that the Kansas Insurance Department had rejected its proposed alternative wording; and on October 4, 1991, Chase notified NCIC that it could not accept the amendment to the trust agreement required by the Kansas Insurance Department. On June 11, 1992 and at NCIC’s direction, Chase electronically transferred the trust’s assets (NCIC’s original deposit of \$750,000 plus interest, for a total of \$917,846) to NCIC’s bank accounts. In so doing, Chase violated several of the trust agreement’s express terms (as well as Regulation 41), including the five-year irrevocability period, the minimum funding provision and the requirement to notify the Superintendent upon the trust’s termination.

By an order entered on July 16, 1993, the District Court of Shawnee County, Kansas, declared NCIC insolvent, placed NCIC in liquidation and appointed the Kansas Commissioner of Insurance as statutory liquidator of the estate. The liquidation order directed the Kansas liquidator to “take possession of [NCIC’s] property, business and affairs,” and vested him with “title to all [NCIC’s] property, assets, [and] contracts.” This order also enjoined and restrained all persons “from bringing, or further prosecuting” any actions or claims against NCIC or its “property or assets.” The Kansas court retained jurisdiction “for the purpose of granting such other and further relief as the nature

of this cause or the interest of the policyholders, reinsureds, creditors or stockholders of [NCIC], or the members of the public may require.” At the time the liquidation order was entered, the trust was unfunded, Chase having transferred all the trust’s assets to NCIC’s bank accounts the previous year.

By letter dated October 7, 1993, the New York State Insurance Department demanded a “complete explanation” from Chase as to why the bank had released the full amount of the trust funds to NCIC. Further, the Department requested Chase to “[k]indly advise what action [Chase] intends to take to restore the missing funds which were untimely released or to indemnify any claimants that do or will have monies due them under the terms of the trust agreement.” In January 1994, Chase responded by replenishing the trust fund with \$750,000 of its own.

On April 19, 1994, the Superintendent petitioned Supreme Court for an order authorizing him to take possession of the trust as conservator under article 74 of the Insurance Law. Chase filed an affidavit in the proceeding claiming entitlement to any funds remaining in the trust after valid policyholder and beneficiary claims had been satisfied. NCIC in liquidation (NCICL) also filed an affidavit, arguing that the trust remainder, if any, was part of the estate’s general assets.

Chase took the position that it was entitled to any remainder because the trust’s funds were comprised solely of monies that it had contributed. NCICL characterized this fact as “irrelevant”:

“[Chase] was obligated to maintain the trust in accordance with its terms and with Regulation 41. Simply because [Chase] breached its duty and was forced to return funds improperly transferred does not establish a claim to any funds remaining after all valid claims are paid. Once [Chase] transferred the funds back into the trust the funds became the property of the estate of NCIC. [Chase] ceased to have any claim to the funds.”

Notwithstanding its posture in the New York proceeding, on July 18, 1994 Chase filed a \$750,000 proof of claim with the Kansas liquidator.

On December 20, 1994, Supreme Court issued an order granting the Superintendent possession of the trust as conservator pursuant to Insurance Law § 7406. The New York order

“enjoined and restrained [all persons] from bringing or further prosecuting *in the State of New York*” (emphasis added) any action or claim against NCIC or the trust; and generally restrained all individuals from doing anything that might “waste” the trust or “allow or suffer the obtaining of preferences, judgments, attachments, garnishments or other liens, or the making of any levy against” the trust while in the Superintendent’s possession and control as conservator. The order further directed the Superintendent to petition Supreme Court, on notice to Chase and the Kansas Insurance Commissioner, “for further direction should trust funds remain upon the satisfaction of all outstanding claims by NCIC’s insureds and beneficiaries.”

In February 2000, the Kansas court approved the Kansas liquidator’s recommended allowances for claims to NCIC’s estate. The Kansas order included Chase, with a claim of \$750,000, as a Class IV general unsecured creditor of the estate. Chase did not file an objection to the Kansas order, or take any further action in Kansas to pursue its claim of ownership of the trust remainder.

On May 31, 2000, the Kansas liquidator prepared an unaudited Statement of NCIC’s Net Assets in Liquidation. The report included as a “potential recoverable” \$987,229 in a “State of New York Special Deposit.” The Kansas liquidator noted that “a dispute surrounding release of this deposit to the NCIC estate may arise.”

In December 2000, the Superintendent, as conservator of the trust, brought this special proceeding under article 74 of the Insurance Law. The Superintendent advised Supreme Court that Chase and the Kansas liquidator both claimed entitlement to the trust remainder, and sought an order directing its distribution. He relied on an affidavit dated November 21, 2000, in which the Kansas liquidator averred that “(i) there are no pending claims upon and (ii) there will be no claims upon the Trust Fund currently in the possession of and conserved by the Conservator.”

Supreme Court determined that the funds deposited by Chase had not become a part of NCIC’s estate. Applying principles of trust law and equity, Supreme Court entered an order directing that the trust remainder be distributed to Chase because otherwise NCIC would enjoy an “unjust windfall.” The Appellate Division reversed on the law, ordering distribution of the trust to the Kansas liquidator, reasoning that “[t]he Kansas

court had and has jurisdiction over the proper disposition of this trust asset and the liquidator in that proceeding should determine distribution of such asset” (296 AD2d 354, 354-355 [1st Dept 2002]). We granted Chase leave to appeal and now affirm.

II.

In 1939, the National Conference of Commissioners on Uniform State Laws endeavored to resolve some of the complexities of liquidating an insolvent insurance company with assets in multiple states by approving the Uniform Insurers Liquidation Act (UILA). New York adopted the UILA in 1940 “with the main purpose in mind of providing a uniform system for the orderly and equitable administration of the assets and liabilities of defunct multistate insurers” (*G.C. Murphy Co. v Reserve Ins. Co.*, 54 NY2d 69, 77 [1981]; see Insurance Law §§ 7408-7415). As NCIC is a “defunct multistate insurer[],” any analysis of New York’s authority to administer its assets must begin with the UILA.¹

Section 7410 (b)² of the UILA, entitled “Conduct of delinquency proceedings against insurers not domiciled in this state,” sets forth the procedures that New York follows when assets of

1. Because of the similarities between New York and Kansas law, Kansas qualifies as a “reciprocal state” for purposes of the UILA (see Insurance Law § 7408 [b] [6] [defining “Reciprocal state” as “any state other than this state in which in substance and effect the provisions of this act are in force, including the provisions requiring that the insurance commissioner or equivalent insurance supervisory official be the receiver of a delinquent insurer”]; see Kan Stat Ann §§ 40-3605—40-3658).

2. The text of section 7410 (b) provides that

“[t]he domiciliary receiver for the purpose of liquidating an insurer domiciled in a reciprocal state, shall be vested by operation of law with the title to all of the property, contracts, and rights of action, and all books and records of the insurer located in this state, and shall have the immediate right to recover balances due from local agents and obtain possession of any books and records of the insurer found in this state. He shall also be entitled to recover the other assets of the insurer located in this state except that upon the appointment of an ancillary receiver in this state, the ancillary receiver shall during the ancillary receivership proceedings have the sole right to recover such other assets. The ancillary receiver shall, as soon as practicable, liquidate from their respective securities those special deposit claims and secured claims which are proved and allowed in the ancillary proceedings in this state, and shall pay the necessary expenses of the proceedings. All remaining assets he shall promptly transfer to the domiciliary receiver.”

a nondomiciliary insolvent insurer are located both within and without New York, and when receivers³ have been appointed in both New York and the domiciliary state. This provision—and the UILA generally—recognizes the authority of the domiciliary state and its receiver over all of the insolvent insurer’s assets, including those located in New York. Nonetheless, when a New York receiver has been appointed, New York has the primary right to exercise control over certain assets located within the state, even if a domiciliary receiver also exists. Under section 7410 (b), New York’s authority includes the right to liquidate “special deposit claims” from these assets.

The UILA defines a “[s]pecial deposit claim” as “any claim secured by a deposit made pursuant to statute for the security or benefit of a *limited class* of persons, but not including any general assets” (§ 7408 [b] [9] [emphasis added]; *compare* § 7408 [b] [7] [defining “(g)eneral assets” as “(a)ssets held in trust and assets held on deposit for the security or benefit of *all* policyholders, or *all* policyholders and creditors in the United States” (emphasis added)]).⁴

Here, the trust was required in order for NCIC to do business in New York; it was created for the benefit of policyholders and beneficiaries of policies written in a state in which NCIC was not authorized to carry out an insurance business. Thus, the trust benefitted a limited class of people, and so was a special deposit (*see e.g. Murphy*, 54 NY2d at 75 n 2 [“The history of the Uniform Insurers Liquidation Act indicates that the term ‘special deposit’ was intended to mean security deposits exacted from a foreign insurer as a condition precedent to doing business in a State for purposes of providing a general fund for the protection of resident policyholders. . . . Such ‘special deposits’

3. The UILA defines “[r]eceiver” as “receiver, liquidator, rehabilitator, or conservator as the context may require” (§ 7408 [b] [11]).

4. Kansas law defines “[g]eneral assets” as
 “all property . . . not specifically mortgaged, pledged, *deposited* or otherwise encumbered for the security or benefit of specified persons or classes of persons. As to specifically encumbered property, ‘general assets’ includes all such property or its proceeds *in excess of the amount necessary to discharge the sum or sums secured hereby*. Assets held in trust and on deposit for the security or benefit of all policyholders or all policyholders and creditors, *in more than a single state*, shall be treated as general assets” (Kan Stat Ann § 40-3607 [i] [emphasis added]).

Thus, Kansas designates the remainder of a special deposit as a general asset of the estate, which is consistent with New York’s treatment of “[g]eneral assets” and “[s]pecial deposit claim[s].”

are required in this State. (Insurance Law, §§ 103-104 [now §§ 1319-1320].)”; *see also State ex rel. Ingram v Reserve Ins. Co.*, 303 NC 623, 629, 281 SE2d 16, 20 [1981] [“Deposits pursuant to Article 20 constitute a *trust* for the benefit of North Carolina policyholders and are not *assets* of the insolvent insurance company” (emphasis in original)]; *Commissioner of Ins. v Equity Gen. Ins. Co.*, 346 Mass 233, 239, 191 NE2d 139, 143 [1963] [statutory deposit by foreign insurance company is “a deposit for the benefit of all or specified Florida policyholders, and thus within . . . the term ‘special deposit’ ”].

New York’s policy regarding its authority over statutory special deposits, and its ability to conserve these assets for the beneficiaries of a Regulation 41 trust, is consistent with the policy in Kansas, which adopted the National Association of Insurance Commissioners’ (NAIC) Insurers Rehabilitation and Liquidation Model Act in 1991 (*see* Kan Stat Ann §§ 40-3605—40-3658). The Model Act’s 1991 provisions concerning interstate relations mimic those of the UILA (*see* NAIC Model Laws, Regulations and Guidelines, 555-1, Insurers Rehabilitation and Liquidation Model Act § 55 legislative history). Thus, Kansas recognizes the right of an ancillary receiver to “liquidate from its securities those special deposit claims and secured claims which are proved and allowed in the ancillary proceedings” when a domiciliary receiver also exists (*compare* Kan Stat Ann § 40-3651 [c] *with* Insurance Law § 7410 [b]; *see also* Kan Stat Ann § 40-3650 [a]).

Indeed, the actions of the Kansas liquidator were entirely consistent with this view of New York’s jurisdiction. He listed the Regulation 41 trust as a “Statutory Deposit” on his unaudited Statement of NCIC’s Net Assets in Liquidation, and indicated that a “dispute” concerning the trust remainder existed. Moreover, nothing in the liquidation order contravenes New York’s jurisdiction over the Regulation 41 trust. Kansas exercised jurisdiction over NCIC’s assets; NCIC’s interest in the trust fund was a contingent, remainder interest.

Notwithstanding the appointment of the Kansas liquidator and the liquidation proceeding underway in Kansas, the New York conservator had authority under the UILA to “recover” the Regulation 41 trust fund, and “liquidate” from it any claims made under covered policies (*see* Insurance Law § 7410 [b]). Jurisdiction over the trust did not rest exclusively with Kansas, as the Appellate Division determined; however, neither Chase nor NCIC was the holder or beneficiary of a policy protected under

the trust. Accordingly, their claims to the trust remainder could not be adjudicated by Supreme Court under the UILA's special deposit authority. We must therefore consider whether Supreme Court otherwise properly exercised jurisdiction to resolve Chase's and NCIC's competing claims to the trust remainder.

III.

As we recognized in *Matter of Transit Cas. Co. (Digirol—Superintendent of Ins.)* (79 NY2d 13, 20 [1992]), which presented us with an issue concerning notice, “[o]n this and many other aspects of the liquidation process the [UILA] is silent because it was not intended as a comprehensive scheme displacing all State laws, substantive and procedural, relating to liquidation of insolvent insurance companies.” We are now again faced with a question on which the UILA is silent: should competing claims to ownership of a trust remainder be adjudicated in the domiciliary state's courts or in the courts of the state where the trust's ancillary receiver was appointed? Unlike the matter of notice at issue in *Transit Casualty*, this question implicates one of the core “embarrassments” that the UILA was designed to remedy—“the ineffective administration of the liquidation process caused by differences in the laws of the various States regarding the title and right to possession of the property of a defunct nonresident insurer” (*Murphy*, 54 NY2d at 76, 77).

The UILA's only statement bearing on the trust remainder is that, after liquidating “those special deposit claims and secured claims which are proved and allowed in the ancillary proceedings in [New York], and . . . pay[ing] the necessary expenses of the proceedings,” the ancillary receiver “shall promptly transfer [the remainder] to the domiciliary receiver” (Insurance Law § 7410 [b]). Thus, while silent regarding adjudication of competing claims of ownership of a trust remainder, the UILA provides a procedure to follow generally. We therefore conclude that in order to promote the UILA's goal of orderly and equitable liquidation proceedings, the domiciliary state is the proper forum in which to adjudicate competing claims to the trust remainder.

The Kansas liquidator included the trust remainder as an asset of NCIC's estate even though the remainder's value was contingent at the time. By entertaining Chase's claim of ownership, Supreme Court delayed the orderly administration of claims in Kansas. Once the conservator determined that there

were no special deposit claims, Supreme Court should have “promptly transfer[red]” the trust remainder to the Kansas liquidator. While the highly unusual facts of this case, involving withdrawal of the settlor’s deposit to the trust and its replacement by the trustee, may complicate the UILA’s plan for efficient administration, they should not be allowed to override it.

This approach is consistent with the modern trend in insurance liquidation as evidenced by the Model Act. In 1994, the Model Act was revised in a manner that substantially curtails the ancillary receiver’s authority.⁵ Specifically, the current version of the Model Act requires that, upon entry of a final order of liquidation, all special deposits “shall be delivered to the domiciliary liquidator” and held as a “general asset for the benefit of all creditors,” and limits the ancillary receiver’s authority to proceedings that “support” the domiciliary proceeding (*see* NAIC Model Laws, Regulations and Guidelines, 555-1, Insurers Rehabilitation and Liquidation Model Act § 57). These changes were intended “to discourage the retention of special or statutory deposits by nondomiciliary states in the event of a multi-state insolvency.” (*Id.* § 57 legislative history.) Further, the “basic principle behind the amendments is that insurers should be rehabilitated or liquidated in their state of domicile pursuant to the laws in that state, and that the domiciliary commissioner is in the best position to carry out that function” (*id.*).

Finally, Chase protests that it was barred by the New York order from bringing or prosecuting its claim to ownership of the trust remainder in the Kansas proceeding. The order, however, restrained Chase only from pursuing such a claim in New York while the trust was in the conservator’s possession and control.⁶ We have no way to know whether Chase’s ownership claim would have been entertained if, as was the case in New York, Chase had raised the issue in an affidavit in the Kansas proceeding.⁷

5. Kansas adopted the Model Act in 1991, and has not amended its law to incorporate these 1994 revisions.

6. We note that Chase filed its proof of claim with the Kansas liquidator before the New York order was entered.

7. The Appellate Division relied on full faith and credit to determine that New York lacked jurisdiction to resolve Chase’s claim. We find full faith inapplicable here, and instead rest our holding that Supreme Court lacked jurisdiction on the provisions of the UILA. Our decision today does not foreclose Chase from pressing a claim to ownership of the trust remainder in the ongoing Kansas liquidation proceeding.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge KAYE and Judges CIPARICK, ROSENBLATT and GRAFFEO concur; Judges G.B. SMITH and R.S. SMITH taking no part.

Order affirmed, with costs.

[806 NE2d 480, 774 NYS2d 472]

In the Matter of K.L., Appellant. GLENN MARTIN, M.D., as Director of the Department of Psychiatry at Queens Hospital Center, Respondent; ATTORNEY GENERAL OF THE STATE OF NEW YORK, Intervenor-Respondent.

Argued January 7, 2004; decided February 17, 2004

SUMMARY

APPEAL, on constitutional grounds, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered February 3, 2003. The Appellate Division affirmed an order and judgment (one paper) of the Supreme Court, Queens County (Luther V. Dye, J.), which directed respondent K.L. to receive and accept assisted outpatient treatment for 180 days.

Matter of K.L., 302 AD2d 388, affirmed.

HEADNOTES

Mental Health — Assisted Outpatient Treatment — Constitutionality of Kendra's Law — Due Process

1. Mental Hygiene Law § 9.60 (Kendra's Law) does not violate due process by failing to require a finding of incapacity before a psychiatric patient may be ordered to comply with assisted outpatient treatment. A showing of incapacity is not required because the statute does not permit forced medical treatment. The statute's procedure for obtaining an assisted outpatient treatment order provides all the process that is constitutionally due. It requires a specific finding by clear and convincing evidence that the patient is in need of assisted outpatient treatment in order to prevent a relapse or deterioration which would be likely to result in serious harm to the patient or others, and the treatment must be the least restrictive alternative.

Mental Health — Assisted Outpatient Treatment — Constitutionality of Kendra's Law — Equal Protection

2. Mental Hygiene Law § 9.60 (Kendra's Law) does not violate equal protection by failing to require a finding of incapacity before a psychiatric patient may be ordered to comply with assisted outpatient treatment. Although persons subject to guardianship proceedings and involuntarily committed psychiatric patients must be found incapacitated before they can be forcibly medicated against their will, a court-ordered assisted outpatient treatment plan cannot authorize forcible medical treatment, absent incapacity. Accordingly, the statute does not treat similarly situated persons differently.

Mental Health — Assisted Outpatient Treatment — Constitutionality of Kendra's Law — Due Process

3. Mental Hygiene Law § 9.60 (Kendra's Law) does not violate due process by failing to provide for notice and a hearing prior to the temporary removal to a hospital of a patient who has not complied with court-ordered assisted outpatient treatment. Although the involuntary detention of a psychiatric

patient for up to 72 hours constitutes a substantial deprivation of liberty, the risk of erroneous deprivation is minimal and would not be reduced with a pre-removal hearing. Moreover, the state has a strong interest in immediately removing from the streets noncompliant patients previously found to be at risk of a relapse or deterioration likely to result in serious harm to themselves or others. The state has a further interest in warding off the longer periods of hospitalization that tend to accompany relapse or deterioration. A preremoval judicial hearing would significantly reduce the speed with which the patient can be evaluated and then receive care and treatment.

Mental Health — Assisted Outpatient Treatment — Constitutional-ity of Kendra's Law — Search and Seizure

4. Mental Hygiene Law § 9.60 (Kendra's Law) does not violate the constitutional prohibition against unreasonable searches and seizures (*see* US Const 4th Amend; NY Const, art I, § 12) by failing to specify that a physician must have probable cause or reasonable grounds to believe that a noncompliant assisted outpatient is in need of involuntary hospitalization before he or she may seek the patient's removal. The requirement that a determination regarding a patient's need for care and treatment be reached in the "clinical judgment" of a physician necessarily contemplates that the determination will be based on the physician's reasonable belief that the patient is in need of such care.

TOTAL CLIENT-SERVICE LIBRARY® REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Mentally Impaired Persons §§ 71, 113, 114, 116.
McKINNEY'S, Mental Hygiene Law § 9.60; McKINNEY'S,
NY Const, art I, § 12.
NY JUR 2d, Infants and Other Persons Under Legal Disability §§ 75, 79, 103.

ANNOTATION REFERENCE

See ALR Index under Incompetent and Insane Persons.

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POINTS OF COUNSEL

Mental Hygiene Legal Service, Mineola (Dennis B. Feld, Sidney Hirschfeld and Lisa Volpe of counsel), for appellant. I. Due process and equal protection require a finding of incapacity before an individual may be stripped of the fundamental right to control the course of his own medical treatment in a non-emergency situation. (*Schloendorff v Society of N.Y. Hosp.*, 211 NY 125; *Matter of Storar*, 52 NY2d 363; *Rivers v Katz*, 67 NY2d

485; *Matter of Fosmire v Nicoleau*, 75 NY2d 218; *Matter of Buttonow*, 23 NY2d 385; *Matter of St. Luke's-Roosevelt Hosp. Ctr. [Marie H.—City of New York]*, 89 NY2d 889; *Matter of Coates*, 9 NY2d 242; *People ex rel. Morriale v Branham*, 291 NY 312; *Matter of Harry M.*, 96 AD2d 201; *People v Bailey*, 21 NY2d 588.) II. Appellant must be afforded notice and an opportunity to be heard prior to being detained for a 72-hour observation period pursuant to Mental Hygiene Law § 9.60 (n). (*Morrissey v Brewer*, 408 US 471; *Matter of Pannell v Jones*, 36 NY2d 339; *C.R. v Adams*, 649 F2d 625; *Lewis v Donahue*, 437 F Supp 112; *Mathews v Eldridge*, 424 US 319; *Addington v Texas*, 441 US 418; *O'Connor v Donaldson*, 422 US 563; *Humphrey v Cady*, 405 US 504; *Savastano v Nurnberg*, 77 NY2d 300; *Mental Hygiene Legal Servs. v Ford*, 92 NY2d 500.) III. In order to comply with the Fourth Amendment of the United States Constitution and article I, § 12 of the New York Constitution, Mental Hygiene Law § 9.60 (n) must be read to require that the clinician have a reasonable belief that the individual subject to an assisted outpatient treatment order is in need of hospitalization. (*Glass v Mayas*, 984 F2d 55; *Kerman v City of New York*, 261 F3d 229; *Ahern v O'Donnell*, 109 F3d 809; *Villanova v Abrams*, 972 F2d 792; *Monday v Oullette*, 118 F3d 1099; *Mathews v Eldridge*, 424 US 319; *Humphrey v Cady*, 405 US 504; *O'Connor v Ortega*, 480 US 709; *New Jersey v T.L.O.*, 469 US 325; *Marshall v Barlow's, Inc.*, 436 US 307.)

Michael A. Cardozo, Corporation Counsel, New York City (Stephen J. McGrath, Leonard Koerner and Francis F. Caputo of counsel), for respondent. I. Assisted outpatient treatment orders under Kendra's Law do not violate due process, as interpreted in *Rivers v Katz* (67 NY2d 485 [1986]). (*Matter of Urcuyo*, 185 Misc 2d 836; *Addington v Texas*, 441 US 418; *Matter of Donaldson v Daley*, 206 AD2d 298; *Matter of Guia G. [Maimonides Med. Ctr.]*, 173 Misc 2d 111; *McCabe v Life-Line Ambulance Serv.*, 77 F3d 540, 519 US 911; *Matter of Seltzer v Hogue*, 187 AD2d 230; *Project Release v Prevost*, 722 F2d 960; *Matter of Mausner v William E.*, 264 AD2d 485; *Matter of Mary Ann D.*, 179 AD2d 724; *Matter of McConnell*, 147 AD2d 881, 74 NY2d 759.) II. The procedure for inpatient evaluation after noncompliance with assisted outpatient treatment is constitutional. Respondent's equal protection claim is meritless. (*Project Release v Prevost*, 722 F2d 960; *Charles W. v Maul*, 214 F3d 350; *McCabe v Life-Line Ambulance Serv.*, 77 F3d 540; *Addington v Texas*, 441 US 418; *Doby v DeCrescenzo*, 171 F3d 858; *Matter of Urcuyo*, 185 Misc 2d 836; *Matter of George L.*, 85 NY2d

295; *Matter of Seltzer v Hogue*, 187 AD2d 230; *Matter of Consilvio v Diana W.*, 269 AD2d 310; *Matter of Anthony M. v Sanchez*, 229 AD2d 322.)

Eliot Spitzer, Attorney General, New York City (*Sachin S. Pandya, Caitlin J. Halligan and Michael S. Belohlavek* of counsel), in his statutory capacity under Executive Law § 71. I. An assisted outpatient treatment order does not deprive a person of his or her liberty to refuse medical treatment, and thus does not trigger heightened scrutiny under the New York Constitution's Due Process Clause. (*Pringle v Wolfe*, 88 NY2d 426; *People ex rel. Carter v Rice*, 135 NY 473; *Rivers v Katz*, 67 NY2d 485; *Matter of Storar*, 52 NY2d 363; *Schloendorff v Society of N.Y. Hosp.*, 211 NY 125; *Matter of Fosmire v Nicoleau*, 75 NY2d 218; *Matter of Westchester County Med. Ctr. [O'Connor]*, 72 NY2d 517; *Matter of Urcuyo*, 185 Misc 2d 836; *Matter of VonderHeide*, 72 NY2d 658; *People v Marrero*, 69 NY2d 382.) II. K.L.'s constitutional challenges to the temporary removal authority of section 9.60 (n) of the Mental Hygiene Law are meritless. (*Matter of New York State Inspection, Sec. & Law Enforcement Empls. v Cuomo*, 64 NY2d 233; *Cherry v Koch*, 126 AD2d 346; *Cohen v State of New York*, 94 NY2d 1; *People v David W.*, 95 NY2d 130; *Mathews v Eldridge*, 424 US 319; *Mental Hygiene Legal Servs. v Ford*, 92 NY2d 500; *Parham v J.R.*, 442 US 584; *Savastano v Nurnberg*, 77 NY2d 300; *Project Release v Prevost*, 722 F2d 960; *Morrissey v Brewer*, 408 US 471.)

Disability Advocates, Inc., Albany (*Cliff Zucker* of counsel), *New York Lawyers for the Public Interest, Inc.*, New York City (*John A. Gresham* of counsel), *New York Civil Liberties Union* (*Beth Haroules* of counsel), and *Judge David L. Bazelon Center for Mental Health Law*, Washington, D.C. (*Michael Allen* of counsel), for New York Lawyers for the Public Interest, Inc., and others, amici curiae. I. No treatment order under Mental Hygiene Law § 9.60 may be issued without a judicial finding of lack of capacity to make treatment decisions. (*Schloendorff v Society of N.Y. Hosp.*, 211 NY 125; *Rivers v Katz*, 67 NY2d 485; *Matter of Fosmire v Nicoleau*, 75 NY2d 218; *Vitek v Jones*, 445 US 480; *Humphrey v Cady*, 405 US 504; *Addington v Texas*, 441 US 418; *O'Connor v Donaldson*, 422 US 563; *Kerman v City of New York*, 261 F3d 229; *Bankert by Bankert v United States*, 937 F Supp 1169; *Matter of Francis S.*, 206 AD2d 4, 87 NY2d 554.) II. The science supporting the *Rivers v Katz* decision (67 NY2d 485 [1986]) has only become clearer in the intervening years. III. The enforcement procedure in Mental Hygiene Law

§ 9.60 (n) requires judicial construction to be constitutional. (*Vitek v Jones*, 445 US 480; *Humphrey v Cady*, 405 US 504; *Glass v Mayas*, 984 F2d 55; *O'Connor v Donaldson*, 422 US 563; *People v Bora*, 83 NY2d 531; *People v Reynolds*, 71 NY2d 552; *Kerman v City of New York*, 261 F3d 229; *Charles W. v Maul*, 214 F3d 350; *Project Release v Prevost*, 722 F2d 960; *Jackson v Indiana*, 406 US 715.)

OPINION OF THE COURT

Chief Judge KAYE.

On January 3, 1999, Kendra Webdale was pushed to her death before an oncoming subway train by a man diagnosed with paranoid schizophrenia who had neglected to take his prescribed medication. Responding to this tragedy, the Legislature enacted Mental Hygiene Law § 9.60 (L 1999, ch 408 [Kendra's Law]), thereby joining nearly 40 other states in adopting a system of assisted outpatient treatment (AOT) pursuant to which psychiatric patients unlikely to survive safely in the community without supervision may avoid hospitalization by complying with court-ordered mental health treatment.

In enacting the law, the Legislature found that “there are mentally ill persons who are capable of living in the community with the help of family, friends and mental health professionals, but who, without routine care and treatment, may relapse and become violent or suicidal, or require hospitalization” (L 1999, ch 408, § 2). And in mandating that certain patients comply with essential treatment pursuant to a court-ordered written treatment plan, the Legislature further found that “there are mentally ill persons who can function well and safely in the community with supervision and treatment, but who without such assistance, will relapse and require long periods of hospitalization. . . . [S]ome mentally ill persons, because of their illness, have great difficulty taking responsibility for their own care, and often reject the outpatient treatment offered to them on a voluntary basis. Family members and caregivers often must stand by helplessly and watch their loved ones and patients decompensate” (*id.*).

Studies undertaken in other jurisdictions with AOT laws have found that outpatients subject to court orders had fewer psychiatric admissions, spent fewer days in the hospital and had fewer incidents of violence than outpatients without court orders (*see* Mem of Off of Atty Gen, Bill Jacket, L 1999, ch 408, at 13; Marvin S. Swartz et al., *Can Involuntary Outpatient Commitment*

Reduce Hospital Recidivism?: Findings From a Randomized Trial With Severely Mentally Ill Individuals, 156 Am J Psychiatry 1968 [1999]). Kendra's Law was thus adopted in an effort to "restore patients' dignity, and . . . enable mentally ill persons to lead more productive and satisfying lives" (L 1999, ch 408, § 2), while at the same time reducing the risk of violence posed by mentally ill patients who refuse to comply with necessary treatment.

In October 2000, a petition was filed seeking an order authorizing assisted outpatient treatment for respondent K.L. Respondent suffered from schizoaffective disorder, bipolar type, and had a history of psychiatric hospitalization and noncompliance with prescribed medication and treatment, as well as aggressiveness toward family members during periods of decompensation. The treatment prescribed in the proposed order included a regimen of psychiatric outpatient care, case management, blood testing, individual therapy and medication. Pursuant to the plan, respondent was required in the first instance to orally self-administer Zyprexa. If, however, he was "non-compliant with above," the plan required that he instead voluntarily submit himself to the administration of Haldol Decanoate by medical personnel.

Respondent opposed the petition, challenging the constitutionality of Kendra's Law in a number of respects. Supreme Court and the Appellate Division rejected each of respondent's constitutional arguments, as do we.

I.

Before a court may issue an order for assisted outpatient treatment, the statute requires that a hearing be held at which a number of criteria must be established, each by clear and convincing evidence. The court must find that (1) the patient is at least 18 years of age; (2) the patient suffers from a mental illness; (3) the patient is unlikely to survive safely in the community without supervision, based on a clinical determination; (4) the patient has a history of lack of compliance with treatment for mental illness that has either (a) at least twice within the last 36 months been a significant factor in necessitating hospitalization, or receipt of services in a forensic or other mental health unit of a correctional facility or a local correctional facility, not including any period during which the person was hospitalized or incarcerated immediately preceding the filing of the petition, or (b) resulted in one or more acts of

serious violent behavior toward self or others or threats of, or attempts at, serious physical harm to self or others within the last 48 months, not including any period in which the person was hospitalized or incarcerated immediately preceding the filing of the petition; (5) the patient is, as a result of his or her mental illness, unlikely to voluntarily participate in the recommended treatment pursuant to the treatment plan; (6) in view of the patient's treatment history and current behavior, the patient is in need of assisted outpatient treatment in order to prevent a relapse or deterioration which would be likely to result in serious harm to the patient or others; and (7) it is likely that the patient will benefit from assisted outpatient treatment (*see* Mental Hygiene Law § 9.60 [c]). The court must also find by clear and convincing evidence that the assisted outpatient treatment sought is the least restrictive treatment appropriate and feasible for the patient (*see* Mental Hygiene Law § 9.60 [j] [2]).

If an assisted outpatient later fails or refuses to comply with treatment as ordered by the court; if efforts to solicit voluntary compliance are made without success; and if in the clinical judgment of a physician, the patient may be in need of either involuntary admission to a hospital or immediate observation, care and treatment pursuant to standards set forth in the Mental Hygiene Law,¹ then the physician can seek the patient's temporary removal to a hospital for examination to determine whether hospitalization is required (*see* Mental Hygiene Law § 9.60 [n]).

II.

Respondent contends that the statute violates due process because it does not require a finding of incapacity before a psy-

1. Under Mental Hygiene Law § 9.27, a person may be involuntarily admitted to a hospital upon the certification of two physicians when he or she is in need of involuntary care and treatment, defined as having "a mental illness for which care and treatment as a patient in a hospital is essential to such person's welfare and whose judgment is so impaired that he is unable to understand the need for such care and treatment" (Mental Hygiene Law § 9.01). Under Mental Hygiene Law §§ 9.39 and 9.40, persons in need of immediate observation, care and treatment may be admitted to a hospital on an emergency basis when they have a mental illness which is likely to result in serious harm to themselves or others, defined as a "substantial risk of physical harm to himself as manifested by threats of or attempts at suicide or serious bodily harm or other conduct demonstrating that he is dangerous to himself, or . . . a substantial risk of physical harm to other persons as manifested by homicidal or other violent behavior by which others are placed in reasonable fear of serious physical harm" (Mental Hygiene Law § 9.39 [a] [1], [2]).

chiatric patient may be ordered to comply with assisted outpatient treatment. He asks that we read such a requirement into the law in order to preserve its constitutionality.

In *Rivers v Katz* (67 NY2d 485 [1986]), we held that a judicial finding of incapacity to make a reasoned decision as to one's own treatment is required before an involuntarily committed patient may be forcibly medicated with psychotropic drugs against his or her will. Mental Hygiene Law § 9.60, however, neither authorizes forcible medical treatment in the first instance nor permits it as a consequence of noncompliance with court-ordered AOT.²

Nevertheless, respondent urges that, under *Rivers*, a showing of incapacity is required before a psychiatric patient may be ordered by a court to comply with any assisted outpatient treatment. Although respondent—in asking us to read a requirement of incapacity into the statute—disclaims any effort to strike down the law, such a reading would have the effect of eviscerating the legislation, inasmuch as the statute presumes that assisted outpatients are capable of actively participating in the development of their written treatment plans, and specifically requires that they be afforded an opportunity to do so (*see* Mental Hygiene Law § 9.60 [i] [1]). Indeed, the law makes explicit that “[t]he determination by a court that a patient is in need of assisted outpatient treatment under this section shall not be construed as or deemed to be a determination that such patient is incapacitated pursuant to article eighty-one” of the Mental Hygiene Law (governing guardianship proceedings) (Mental Hygiene Law § 9.60 [o]).

Respondent concedes that a large number of patients potentially subject to court-ordered assisted outpatient treatment would be ineligible for the program if a finding of incapacity were required. In enacting Kendra's Law, the Legislature determined that certain patients capable of participating in their own treatment plans could remain safely in the community

2. Inasmuch as the statute does not—and could not, absent a showing of incapacity—authorize the forcible administration of psychotropic drugs, any AOT order purporting to contain such a direction would exceed the authority of the law. Respondent's treatment plan contained no such illegal direction. Any persistent refusal to comply with the directive that he voluntarily submit to the administration of Haldol would not have resulted in his being forcibly medicated. Rather, the sole consequence would have been that a physician might then have determined that respondent may have been in need of involuntary hospitalization. In that event, respondent could have been temporarily removed to a hospital for examination (*see* Mental Hygiene Law § 9.60 [n]).

if released subject to the structure and supervision provided by a court-ordered assisted treatment plan. Such a plan may enable patients who might otherwise require involuntary hospitalization to live and work freely and productively through compliance with necessary treatment.

[1] Since Mental Hygiene Law § 9.60 does not permit forced medical treatment, a showing of incapacity is not required. Rather, if the statute's existing criteria satisfy due process—as in this case we conclude they do—then even psychiatric patients capable of making decisions about their treatment may be constitutionally subject to its mandate.

While “[e]very human being of adult years and sound mind has a right to determine what shall be done with his own body” (*Schloendorff v Society of N.Y. Hosp.*, 211 NY 125, 129 [1914]) and to “control the course of his medical treatment” (*Matter of Storar*, 52 NY2d 363, 376 [1981]), these rights are not absolute. As we made clear in *Rivers*, the fundamental right of mentally ill persons to refuse treatment may have to yield to compelling state interests (67 NY2d at 495). The state “has authority under its police power to protect the community from the dangerous tendencies of some who are mentally ill” (*Addington v Texas*, 441 US 418, 426 [1979]). Accordingly, where a patient presents a danger to self or others, the state may be warranted, in the exercise of its police power interest in preventing violence and maintaining order, in mandating treatment over the patient's objection. Additionally, the state may rely on its *parens patriae* power to provide care to its citizens who are unable to care for themselves because of mental illness (*see Rivers*, 67 NY2d at 495-496).

The restriction on a patient's freedom effected by a court order authorizing assisted outpatient treatment is minimal, inasmuch as the coercive force of the order lies solely in the compulsion generally felt by law-abiding citizens to comply with court directives. For although the Legislature has determined that the existence of such an order and its attendant supervision increases the likelihood of voluntary compliance with necessary treatment, a violation of the order, standing alone, ultimately carries no sanction. Rather, the violation, when coupled with a failure of efforts to solicit the assisted outpatient's compliance, simply triggers heightened scrutiny on the part of the physician, who must then determine whether the patient may be in need of involuntary hospitalization.

Of course, whenever a physician determines that a patient is in need of involuntary commitment—whether such a determination came to be made after an assisted outpatient failed to comply with treatment or was reached in the absence of any AOT order at all—the patient may be hospitalized only if the standards for such commitment contained in the Mental Hygiene Law are satisfied. These standards themselves satisfy due process (*see Project Release v Prevost*, 722 F2d 960 [2d Cir 1983]). If, however, the noncompliant patient is not found to be in need of hospitalization, the inquiry will be at an end and the patient will suffer no adverse consequence. For as the statute explicitly provides, “Failure to comply with an order of assisted outpatient treatment shall not be grounds for involuntary civil commitment or a finding of contempt of court” (Mental Hygiene Law § 9.60 [n]). Moreover, any restriction on an assisted outpatient’s liberty interest felt as a result of the legal obligation to comply with an AOT order is far less onerous than the complete deprivation of freedom that might have been necessary if the patient were to be or remain involuntarily committed in lieu of being released on condition of compliance with treatment.

In any event, the assisted outpatient’s right to refuse treatment is outweighed by the state’s compelling interests in both its police and *parens patriae* powers. Inasmuch as an AOT order requires a specific finding by clear and convincing evidence that the patient is in need of assisted outpatient treatment in order to prevent a relapse or deterioration which would be likely to result in serious harm to self or others, the state’s police power justifies the minimal restriction on the right to refuse treatment inherent in an order that the patient comply as directed. Moreover, the state’s interest in the exercise of its police power is greater here than in *Rivers*, where the inpatient’s confinement in a hospital under close supervision reduced the risk of danger he posed to the community.

In addition, the state’s *parens patriae* interest in providing care to its citizens who are unable to care for themselves because of mental illness is properly invoked since an AOT order requires findings that the patient is unlikely to survive safely in the community without supervision; the patient has a history of lack of compliance with treatment that has either necessitated hospitalization or resulted in acts of serious violent behavior or threats of, or attempts at, serious physical harm; the patient is unlikely to voluntarily participate in the recommended treat-

ment plan; the patient is in need of assisted outpatient treatment in order to prevent a relapse or deterioration which would be likely to result in serious harm to the patient or others; and it is likely that the patient will benefit from assisted outpatient treatment.

In requiring that these findings be made by clear and convincing evidence and that the assisted outpatient treatment be the least restrictive alternative, the statute's procedure for obtaining an AOT order provides all the process that is constitutionally due.

[2] Nor does Mental Hygiene Law § 9.60 violate equal protection by failing to require a finding of incapacity before a patient can be subjected to an AOT order. Although persons subject to guardianship proceedings and involuntarily committed psychiatric patients must be found incapacitated before they can be forcibly medicated against their will, a court-ordered assisted outpatient treatment plan simply does not authorize forcible medical treatment—nor, of course, could it, absent incapacity. The statute thus in no way treats similarly situated persons differently (*see City of Cleburne, Tex. v Cleburne Living Ctr.*, 473 US 432, 439 [1985]).

III.

Respondent next challenges the detention provisions of Kendra's Law, contending that the failure of the statute to provide for notice and a hearing prior to the temporary removal of a noncompliant patient to a hospital violates due process.

Under Mental Hygiene Law § 9.60 (n), when an assisted outpatient who persists in the failure or refusal to comply with court-ordered treatment may, in the clinical judgment of a physician, be in need of involuntary hospitalization, the physician may seek the removal of the patient to a hospital for an examination to determine whether hospitalization is indeed necessary. If the assisted outpatient refuses to take medication—or refuses to take or fails a blood test, urinalysis, or alcohol or drug test—as required by the court order, the physician may consider this refusal or failure when determining whether such an examination is needed. A noncompliant patient thus removed under Kendra's Law may then be retained in the hospital for observation, care and treatment, and further examination, for up to 72 hours, in order to permit a physician to determine whether the patient has a mental illness and is in need of involuntary hospital care and treatment pursuant to the provisions of the

Mental Hygiene Law. A patient who at any time during the 72-hour period is determined not to meet the standards for involuntary admission and retention and does not consent to remain must be immediately released.

When the state seeks to deprive an individual of liberty, it must provide effective procedures to guard against an erroneous deprivation. A determination of the process that is constitutionally due thus requires a weighing of three factors: the private interest affected; the risk of erroneous deprivation through the procedures used and the probable value of other procedural safeguards; and the government's interest (see *Mathews v Eldridge*, 424 US 319, 335 [1976]).

[3] While we disagree with the Appellate Division's determination that the involuntary detention of a psychiatric patient for up to 72 hours does not constitute a substantial deprivation of liberty, we nevertheless conclude that the patient's significant liberty interest is outweighed by the other *Mathews* factors. In the context of the entire statutory scheme, the risk of an erroneous deprivation pending the limited period during which an examination must be undertaken to determine whether a persistently noncompliant patient is in need of involuntary care and treatment is minimal. For before a court order authorizing an AOT plan is issued, there must already have been judicial findings by clear and convincing evidence that the patient is unlikely to survive safely in the community without supervision; has a history of noncompliance resulting in violence or necessitating hospitalization; and is in need of assisted outpatient treatment in order to prevent a relapse or deterioration which would be likely to result in serious harm. Nor is a court better situated than a physician to determine whether the grounds for detention—persistent noncompliance and the need for involuntary commitment—have been met. A preremoval hearing would therefore not reduce the risk of erroneous deprivation.

In addition, the state's interest in immediately removing from the streets noncompliant patients previously found to be, as a result of their noncompliance, at risk of a relapse or deterioration likely to result in serious harm to themselves or others is quite strong. The state has a further interest in warding off the longer periods of hospitalization that, as the Legislature has found, tend to accompany relapse or deterioration. The statute advances this goal by enabling a physician to personally examine the patient at a hospital so as to determine whether the

patient, through noncompliance, has created a need for inpatient treatment that the patient cannot himself or herself comprehend. A preremoval judicial hearing would significantly reduce the speed with which the patient can be evaluated and then receive the care and treatment which physicians have reason to believe that the patient may need. Indeed, absent removal, there is no mechanism by which to force a noncompliant patient to attend a judicial hearing in the first place.

Respondent contends that a comprehensive psychiatric examination can be easily performed in less than 72 hours after removal. But since the temporary detention permitted by the statute comports with due process, it is not for us to determine whether the 72-hour limit is ideal, or necessary, or wise. As long as the time period satisfies constitutional requirements—which it does—it is not for this Court to substitute its judgment for that of the Legislature.

[4] Finally, we find no violation of the constitutional prohibition against unreasonable searches and seizures (*see* US Const 4th Amend; NY Const, art I, § 12) in the statute's failure to specify that a physician must have probable cause or reasonable grounds to believe that a noncompliant assisted outpatient is in need of involuntary hospitalization before he or she may seek the patient's removal. It is readily apparent that the requirement that a determination that a patient may need care and treatment must be reached in the "clinical judgment" of a physician necessarily contemplates that the determination will be based on the physician's reasonable belief that the patient is in need of such care.

Accordingly, the order of the Appellate Division should be affirmed, without costs.

Judges G.B. SMITH, CIPARICK, ROSENBLATT, GRAFFEO and READ concur; Judge R.S. SMITH taking no part.

Order affirmed, without costs.

[806 NE2d 491, 774 NYS2d 483]

In the Matter of ALIJAH C. and Others, Alleged to be Abused
and/or Neglected Children. CHEMUNG COUNTY DEPARTMENT
OF SOCIAL SERVICES, Respondent; ANITA C., Respondent.
ANDREW M. ROTHSTEIN, as Law Guardian, Appellant.

Argued January 6, 2004; decided February 19, 2004

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered February 27, 2003. The Appellate Division affirmed an order of the Family Court, Chemung County (David M. Brockway, J.), which had granted respondent's motion to dismiss the abuse petition as to respondent's deceased child.

Matter of Alijah C., 302 AD2d 838, reversed.

HEADNOTE

Parent and Child — Abused or Neglected Child — Deceased Child

Respondent's deceased six-month-old child, who drowned in a bathtub when left unattended by respondent, was properly the subject of an abuse petition filed against respondent pursuant to Family Court Act article 10. Section 1012 (e) of the Family Court Act defines an abused child as a child less than 18 years old "whose parent . . . (i) inflicts or allows to be inflicted upon such child physical injury by other than accidental means *which causes* or creates a substantial risk of death" (Family Ct Act § 1012 [e] [i] [emphasis added]). Thus, the language of the statute plainly contemplates that abuse petitions will be brought on behalf of deceased children. Further, the Legislature's express incorporation of the Social Services Law definition of "repeatedly abused" into the Family Court Act reflects its intent to create a child-protective system wherein the adjudication of a deceased child as abused or severely abused becomes paramount in termination of parental rights proceedings as to surviving children (*see* Family Ct Act § 1051 [e]). The Legislature has demonstrated an intent to bring deceased children within the ambit of the Family Court Act in order to protect the health and safety of children whose siblings have died at the hands of a parent or caretaker.

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By the Publisher's Editorial Staff

AM JUR 2d, Infants § 16; AM JUR 2d, Parent and Child § 16.
CARMODY-WAIT 2d, Proceedings Involving Abused and Neglected Children, Juvenile Delinquents, and Persons in Need of Supervision §§ 119A:56, 119A:92.
LAW AND THE FAMILY NEW YORK (2d ed) § 9:75.
McKINNEY'S, Family Ct Act art 10.

NY JUR 2d, Domestic Relations §§ 1703, 1735, 1767–1769.

ANNOTATION REFERENCE

Physical abuse of child by parent as ground for termination of parent's right to child. 53 ALR3d 605.

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Query: child /3 abuse /s protect! /s sibling

POINTS OF COUNSEL

Andrew M. Rothstein, Elmira, *Law Guardian*. The death of a child due to abuse or neglect should not terminate a Family Court Act article 10 proceeding regarding such child. (*Matter of Stephanie WW.*, 213 AD2d 818; *Matter of Umer K.*, 257 AD2d 195; *Matter of Lambert*, 119 Misc 2d 326.)

Adam M. Gee, Elmira, for Chemung County Department of Social Services, respondent. I. The severe abuse petition relating to a deceased child was improperly dismissed. (*Matter of Stephanie WW.*, 213 AD2d 818; *Matter of Christopher W.*, 299 AD2d 268; *Matter of Anthony S.*, 280 AD2d 302; *Matter of Child Welfare Admin. [Tia C.] v Marsha C.*, 225 AD2d 766; *Matter of Baby Girl W.*, 245 AD2d 830.) II. The decision of the court below dismissing the severe abuse petition involving a deceased child should be reversed.

John H. Van Wert, Elmira, for Anita C., respondent. The Family Court does not have authority to exercise jurisdiction over a deceased subject child in a Family Court Act article 10 abuse proceeding. (*Matter of Lambert*, 119 Misc 2d 326; *Matter of Stephanie WW.*, 213 AD2d 818.)

OPINION OF THE COURT

CIPARICK, J.

On June 2, 2001, respondent mother left six-month-old Antonio unattended in the bathtub while she went outdoors to look for her two other children, six-year-old Alijah and two-year-old Alonzo. She left Antonio alone in a floating foam bath seat in 8 to 10 inches of water. At the time, a friend was visiting and sitting in the living room, adjacent to the bathroom. However, mother did not seek her friend's assistance in supervising Antonio while she looked for her other children. On her return—by mother's account, three minutes later—she

found Antonio submerged in the water and unconscious. Mother called 911, and the child was transported to the hospital. The child died four days later from severe brain damage caused by lack of oxygen due to the drowning.

Thereafter, petitioner Department of Social Services (DSS) filed a petition against mother pursuant to Family Court Act article 10, alleging that she committed acts of “abuse” and “severe abuse” against Antonio and that she derivatively neglected her other children, Alijah and Alonzo. Mother consented to a finding of neglect as to each of the surviving children and moved to dismiss the abuse petition filed on behalf of Antonio—the deceased child. The Law Guardian and DSS opposed the motion.

Family Court granted mother’s motion to dismiss the petition as to Antonio, holding that “where an abuse petition is filed on behalf of a deceased child, the purpose of filing the petition can no longer be served and therefore such a petition must be dismissed as moot.” Thereafter, a dispositional order was entered adjudicating the surviving children neglected and releasing the children to the custody of their maternal grandmother. The Law Guardian appealed Family Court’s order dismissing the abuse petition as to the deceased child.

The Appellate Division affirmed (302 AD2d 838 [2003]), relying on *Matter of Stephanie WW*. (213 AD2d 818 [3d Dept 1995]), which held that a neglect petition cannot be brought on behalf of a deceased child because the subject child is no longer in need of the protections of article 10 of the Family Court Act. Finding no distinction between neglect and abuse petitions, in this context, the Appellate Division concluded that a deceased child may not be the subject of an abuse petition. We disagree and now reverse.

Discussion

The Law Guardian and DSS contend that the dismissal of the abuse petition as to Antonio harms the surviving children because they will not have the protection afforded by Social Services Law § 384-b. Under section 384-b, mother’s rights may be terminated based on “repeated abuse” if she abuses one of the surviving children within five years after Antonio’s death. By contrast, mother argues that Family Court is without jurisdiction to entertain an abuse petition brought on behalf of a deceased child because the purpose of Family Court Act article 10—“to help protect children from injury or mistreatment and

to help safeguard their physical, mental, and emotional well-being” (Family Ct Act § 1011)—can no longer be served where an abuse petition names a deceased child.

We reject mother’s reading of the statute as contrary to the language and intent of the Legislature in dealing with the abuse of children. First, section 1012 (e) of the Family Court Act defines an abused child as “a child less than eighteen years of age whose parent . . . (i) inflicts or allows to be inflicted upon such child physical injury by other than accidental means *which causes* or creates a substantial risk of death” (Family Ct Act § 1012 [e] [i] [emphasis added]).¹ The language of the statute plainly contemplates that abuse petitions will be brought on behalf of deceased children as it is satisfied where the person responsible for the subject child either causes the death or creates a substantial risk of death of the child (*see* Besharov, Practice Commentaries, McKinney’s Cons Laws of NY, Book 29A, Family Ct Act § 1012, at 308).

Further, the statute provides that, in addition to making a finding of abuse, a court “may enter a finding of severe abuse or repeated abuse” as defined in Social Services Law § 384-b (8) (a) and (b), based on clear and convincing evidence, which shall be admissible in a proceeding to terminate parental rights (Family Ct Act § 1051 [e]; *see also* Family Ct Act § 1012 [j] [defining aggravated circumstances as where a child has been severely or repeatedly abused]).² Thus, pursuant to the statutory scheme, a child shall be adjudicated severely abused if:

“the child has been found to be an abused child as a result of reckless or intentional acts of the parent committed under circumstances evincing a depraved indifference to human life, which result in serious physical injury to the child as defined in subdivision ten of section 10.00 of the penal law” (Social Ser-

1. Compare the definition of abuse with that of neglect, which requires that a child’s “physical, mental or emotional condition” be impaired or be “in imminent danger of becoming impaired” or that a child be abandoned (*see* Family Ct Act § 1012 [f] [i], [ii]). We underscore that the issue before us is limited to abuse. We do not consider whether a deceased child can be the subject of a neglect petition (*see Matter of Stephanie WW*, 213 AD2d 818 [3d Dept 1995]).

2. As to quantum of proof, *see* Family Court Act § 1046 (b) (i) and (ii), providing that a determination that a child is abused must be based on a preponderance of the evidence and, by contrast, a determination of severe or repeated abuse is to be supported by clear and convincing evidence.

vices Law § 384-b [8] [a] [i]; *see also* Family Ct Act § 1051 [e]).

Serious physical injury includes “physical injury which creates a substantial risk of death, or *which causes death* or serious and protracted disfigurement” of the child (Penal Law § 10.00 [10] [emphasis added]). In drafting these sections, the Legislature clearly demonstrated an intent to bring deceased children within the ambit of the Family Court Act in order to protect the health and safety of children whose siblings have died at the hands of a parent or caretaker.³

The Legislature’s express incorporation of the Social Services Law definition of “repeatedly abused” into the Family Court Act further reflects its intent to create a child-protective system wherein the adjudication of a deceased child as abused or severely abused becomes paramount in termination of parental rights proceedings as to surviving children (*see* Family Ct Act § 1051 [e]). Social Services Law § 384-b (4) (e) provides that parental rights shall be terminated upon a showing that the parent “repeatedly abused” the subject child. The statute defines a child as “‘repeatedly abused’ ” where, as pertinent here:

“(i) the child has been found to be an abused child . . . as a result of such parent’s acts . . . and

“(ii) (A) *the child or another child for whose care such parent is or has been legally responsible has been previously found, within the five years immediately preceding the initiation of the proceeding in which such abuse is found, to be an abused child, as defined in . . . the family court act, as a result of such parent’s acts*” (Social Services Law § 384-b [8] [b] [i], [ii] [A] [emphasis added]).

We thus reject the contention that a deceased child cannot be the subject of an abuse petition. Clearly, siblings of a child killed by abuse are within the class of children the Legislature sought to protect in enacting Social Services Law § 384-b, enhancing

3. Our discussion is not limited to siblings, as presented in this case, but includes half-siblings and children under the care of a person who has abused another child for whom such person has been “legally responsible” (*see* Family Ct Act § 1012 [g] [defining “Person legally responsible” to include “the child’s custodian, guardian, (or) any other person responsible for the child’s care at the relevant time”]; *see also* *People v Carroll*, 93 NY2d 564, 569 [1999]).

the protective purposes of article 10 of the Family Court Act.⁴ As one commentator has stated, “[i]t is logical and appropriate to assume that acts of abuse or neglect committed against one child in the household jeopardize all children similarly situated” (Sobie, 2003 Supp Practice Commentary, McKinney’s Cons Laws of NY, Book 29A, Family Ct Act § 1012, 2004 Pocket Part, at 98).

As we recently stated in *Matter of Marino S.* (100 NY2d 361, 375 [2003]), that “[i]t would be unthinkable to interpret the Social Services Law so that a derivative finding [of abuse] can be made when a parent assaults a sibling, but not when the parent rapes a sibling or seriously injures her under circumstances evincing a depraved indifference to her life,” it would similarly be unthinkable to read article 10 of the Family Court Act so that it triggers termination of parental rights proceedings to protect surviving children only where a parent inflicts serious physical injury short of death on another child, but not where abuse is so severe that the child dies. Moreover, if the petition is dismissed, there may be no judicial determination as to the facts and circumstances surrounding the child’s death. While evidence of the event may be relevant in some future proceeding, any subsequent inquiry will be bereft of findings that should be a matter of record rather than left to be reconstructed. The petition alleging that mother committed acts of “abuse” and “severe abuse” against Antonio causing his death should thus be allowed to proceed to ensure the safety and welfare of the surviving children.

Accordingly, the order of the Appellate Division should be reversed, without costs, and mother’s motion to dismiss the abuse petition as to the deceased child denied.

Chief Judge KAYE and Judges G.B. SMITH, ROSENBLATT, GRAFFEO and READ concur; Judge R.S. SMITH taking no part.

Order reversed, etc.

4. Chapter 7 (§ 9) of the Laws of 1999 amended Social Services Law § 384-b to include the following statement of legislative intent: “The legislature recognizes that the health and safety of children is of paramount importance” (Social Services Law § 384-b [1] [a]).

[806 NE2d 488, 774 NYS2d 480]

BANCO POPULAR NORTH AMERICA, Respondent, v VICTORY TAXI
MANAGEMENT, INC., Defendant, and Jafa ALBAZ, Appellant.

Argued January 8, 2004; decided February 19, 2004

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered November 19, 2002. The Appellate Division affirmed, insofar as appealed from, a judgment of the Supreme Court, New York County (Walter B. Tolub, J.), which had granted plaintiff's motion for summary judgment in lieu of complaint and awarded plaintiff damages against defendants Victory Taxi Management, Inc. and Jafa Albaz, jointly and severally, in the total sum of \$153,579.84.

Banco Popular N. Am. v Victory Taxi Mgt., 299 AD2d 223, affirmed.

HEADNOTE

Judgments — Summary Judgment — Motion for Summary Judgment in Lieu of Complaint

In an action initiated by the filing of a motion for summary judgment in lieu of a complaint (*see* CPLR 3213) to recover the outstanding balance on retail installment contracts defendant allegedly cosigned, defendant failed to present evidence sufficient to establish a genuine issue of fact regarding the authenticity of her signatures on the contracts. There were no factual assertions supporting defendant's claim of forgery, and defendant did not demonstrate that her prelitigation conduct was consistent with a denial of genuineness. Although defendant did offer an expert opinion in support of her claim even though not required to do so, the initial report from her handwriting expert was not in admissible form. Moreover, the expert's subsequent affidavit, in which he opined that defendant "cannot be identified as the writer of the questioned signatures," did not state with reasonable professional certainty that defendant's signature was not authentic.

TOTAL CLIENT-SERVICE LIBRARY® REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Summary Judgment §§ 3, 7, 12, 22, 31, 33.
CARMODY-WAIT 2d, Summary Judgment §§ 39:127, 39:130,
39:134, 39:137, 39:150.
McKINNEY'S, CPLR 3213.
NY JUR 2d, Summary Judgment and Pretrial Motions to
Dismiss §§ 68–71, 74, 75, 83.
SIEGEL, NY Prac §§ 288, 289.

ANNOTATION REFERENCE

See ALR Index under Summary Judgment.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: 3213 /p genuine /3 issue & co-sign!

POINTS OF COUNSEL

Stephen David Fink, Forest Hills, for appellant. The motion for summary judgment in lieu of complaint should be denied. (*Coleman v Norton*, 289 AD2d 130; *Bankers Trust Co. v Fassler*, 49 AD2d 855; *Spilky v Bernard H. La Lone, Jr., P.C.*, 227 AD2d 741; *Poughkeepsie Sav. Bank v Tyson*, 170 AD2d 818; *Pasqualini v Tedesco*, 248 AD2d 604; *Seoulbank, N.Y. Agency v D & J Export & Import Corp.*, 270 AD2d 193; *CI Sys. [Israel] v Melamed*, 290 AD2d 266; *Krill v Aziz*, 186 AD2d 81.)

Sankel, Skurman & McCartin, LLP, New York City (*Claudio Dessberg* of counsel), for respondent. Summary judgment is warranted as against appellant Jafa Albaz. (*Cross v Cross*, 112 AD2d 62; *Tittman v Rappaport*, 287 AD2d 709; *Spilky v Bernard H. La Lone, Jr., P.C.*, 227 AD2d 741; *Bankers Trust Co. v Fassler*, 49 AD2d 855; *Machinery Funding Corp. v Loman Enterprises.*, 91 AD2d 528; *Krill v Aziz*, 186 AD2d 81; *Krupp v Aetna Life & Cas. Co.*, 103 AD2d 252; *Consolidated Edison Co. v Jet Asphalt Corp.*, 132 AD2d 296; *Gala Trading v Adrienne, Inc.*, 174 AD2d 478; *Sprung v Jaffe*, 3 NY2d 539.)

OPINION OF THE COURT

GRAFFEO, J.

At various times over the course of a year, defendant Victory Taxi Management, Inc. purchased 14 taxicabs with financing provided by plaintiff Banco Popular North America. Victory subsequently discontinued business operations and defaulted on the loans, owing Banco Popular more than \$160,000 under the terms of its vehicle retail installment contracts. After Banco Popular demanded payment in full, the parties agreed that Victory would sell 10 of its vehicles to offset the debt. The proceeds of these sales—\$25,000—was paid to Banco Popular to reduce Victory's outstanding principal loan balance.

Banco Popular then initiated this action by filing a motion for summary judgment in lieu of a complaint (*see* CPLR 3213) against Victory and defendant Jafa Albaz, seeking to recover the remaining monies owed. The bank asserted that Albaz had

cosigned 13 of the 14 installment contracts and was therefore personally liable upon the default. Albaz submitted an affidavit in opposition to the motion in which she claimed that her signature on the bank documents had been forged. Albaz also relied upon a report from a purported handwriting expert who opined that “Albaz can not be identified as the writer of the questioned signatures” after comparing facsimile copies of the installment contracts with numerous documents bearing Albaz’s signature (the comparison documents were not included in any submissions to the trial court).

Supreme Court granted Banco Popular’s motion for summary judgment against both defendants, concluding that neither Albaz’s affidavit nor the report of the handwriting examiner—which was unsworn and inadmissible—was sufficient to create an issue of fact regarding the authenticity of the signatures. Albaz moved to reargue and renew her opposition to summary judgment after her expert examined the original loan documents and prepared a sworn affidavit. Supreme Court rejected her argument, noting that there was no change in the document examiner’s inconclusive opinion, which remained inadequate to raise a triable issue of fact. The Appellate Division affirmed the award of summary judgment to Banco Popular, and having granted leave to appeal, we now also affirm.

CPLR 3213, which allows actions based upon an instrument for the payment of money only to be commenced with a motion for summary judgment rather than a complaint, “provide[s] a speedy and effective means” for resolving “presumptively meritorious” claims (*Interman Indus. Prods. v R.S.M. Electron Power*, 37 NY2d 151, 154 [1975]; see Siegel, Practice Commentaries, McKinney’s Cons Laws of NY, Book 7B, CPLR C3213:1). A party utilizing this accelerated judgment procedure prevails “if, upon all the papers and proof submitted, the cause of action . . . shall be established sufficiently to warrant the court as a matter of law in directing judgment” for the plaintiff (CPLR 3212 [b]). A defendant can defeat a CPLR 3213 motion by offering evidentiary proof sufficient to raise a triable issue of fact (see *Mallad Constr. Corp. v County Fed. Sav. & Loan Assn.*, 32 NY2d 285, 290 [1973]). The issue here is whether Albaz presented evidence sufficient to establish a genuine issue of fact regarding the authenticity of her signatures on the retail installment contracts.

“[A]verments merely stating conclusions, of fact or of law, are insufficient” to “defeat summary judgment” (*Mallad Constr.*

Corp. v County Fed. Sav. & Loan Assn., 32 NY2d at 290; see *Ehrlich v American Moninger Greenhouse Mfg. Corp.*, 26 NY2d 255, 259 [1970]). Something more than a bald assertion of forgery is required to create an issue of fact contesting the authenticity of a signature. Here, there is an absence of factual assertions supporting a claim of forgery and Albaz has not demonstrated that her prelitigation conduct was consistent with a denial of genuineness. Hence, Albaz's affidavit was alone inadequate to raise an issue of fact necessitating a trial.

Although an expert's opinion is not required to establish a triable issue of fact regarding a forgery allegation, where an expert is used to counter the moving party's prima facie proof, the expert opinion must be in admissible form and state with reasonable professional certainty that the signature at issue is not authentic. In this case, Albaz's handwriting examiner's unsworn letter report was not "evidentiary proof in admissible form" (*Zuckerman v City of New York*, 49 NY2d 557, 562 [1980]; see *Grasso v Angerami*, 79 NY2d 813, 814 [1991]). Furthermore, the examiner's subsequent affidavit submitted on reargument was also insufficient to avoid summary judgment in plaintiff's favor because the examiner's opinion was the equivalent of stating that he was not able to determine whether Albaz was the signatory on the documents. Albaz's submissions therefore did not overcome Banco Popular's prima facie showing of entitlement to judgment as a matter of law.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSENBLATT and READ concur; Judge R.S. SMITH taking no part.

Order affirmed, with costs.

[806 NE2d 970, 774 NYS2d 857]

LONGWOOD CENTRAL SCHOOL DISTRICT, Appellant, v SPRINGS
UNION FREE SCHOOL DISTRICT, Respondent.

Argued January 6, 2004; decided February 17, 2004

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered December 16, 2002. The Appellate Division (1) reversed insofar as appealed from, on the law, an order of the Supreme Court, Suffolk County (Richard M. Klein, J.), which had denied defendant's motions for summary judgment dismissing the complaint in three consolidated actions and granted plaintiff's cross motions for summary judgment, (2) granted defendant's motions for summary judgment, (3) denied plaintiff's cross motions for summary judgment, and (4) dismissed the complaint.

Longwood Cent. School Dist. v Springs Union Free School Dist., 300 AD2d 450, reversed.

HEADNOTE

Schools — Students — Residence

In an action seeking tuition reimbursement for four public school students who lived in a rented home with their mother in defendant school district before moving into a homeless shelter and then foster homes located within plaintiff school district, the students resided in defendant school district within the meaning of Education Law § 3202 (4) (a) for purposes of determining which district should bear the cost of the students' instruction. The term "resided" in Education Law § 3202 (4) (a) requires an intent to remain in a place permanently. Even after their eviction from the home within defendant school district, the children were presumed to have the same residence until a new residence—a physical location plus an intent to remain—was established. The series of temporary stayovers that followed the eviction did not rebut the presumption that they resided within defendant school district within the meaning of the statute.

TOTAL CLIENT-SERVICE LIBRARY® REFERENCES

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AM JUR 2d, Schools §§ 245–248.

McKINNEY'S, Education Law § 3202 (4) (a).

NY JUR 2d, Schools, Universities, and Colleges §§ 293–295.

ANNOTATION REFERENCE

See ALR Index under Schools and Education.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: education /3 3202 /2 4 /p reside! /5 district

POINTS OF COUNSEL

Ingerman Smith, L.L.P., Northport (*Neil M. Block* of counsel), for appellant. I. The term “resided” in Education Law § 3202 (4) (a) should be interpreted as permanent residence or domicile. (*Catlin v Sobol*, 155 AD2d 24, 77 NY2d 552; *State of New York v Collins*, 78 AD2d 295; *Matter of Seitelman v Lavine*, 36 NY2d 165; *Commercial Mut. Ins. Co. v Wagschall*, 256 AD2d 300; *Unanue v Unanue*, 141 AD2d 31; *Daley v Daley*, 257 AD2d 593; *Three Vil. Cent. School Dist. v Brentwood Union Free School Dist.*, 167 AD2d 385, 77 NY2d 806; *Matter of Jeter v Ellenville Cent. School Dist.*, 41 NY2d 283.) II. The Appellate Division erred in concluding the school district in which the shelter is located is responsible for the subject children’s tuition, since they could have attended the schools in which the shelter is located. (*Matter of Delgado v Freeport Pub. School Dist.*, 131 Misc 2d 102; *Vaughn v Board of Educ.*, 64 Misc 2d 60.) III. The Appellate Division’s interpretation of the term “resided” in Education Law § 3202 (4) (a) as meaning mere physical presence creates an absurd result. (*Board of Educ., Commack Union Free School Dist. v Port Jefferson Union Free School Dist.*, 134 AD2d 315; *Matter of Newcomb*, 192 NY 238.)

Costa & Cuthbertson, LLP, Melville (*Mark A. Cuthbertson* and *Thomas L. Costa* of counsel), for respondent. I. The Appellate Division correctly held that the word “resided” in Education Law § 3202 (4) (a) includes residence of a temporary nature. (*Board of Educ., Commack Union Free School Dist. v Port Jefferson Union Free School Dist.*, 134 AD2d 315; *Matter of Delgado v Freeport Pub. School Dist.*, 131 Misc 2d 102; *Vaughn v Board of Educ.*, 64 Misc 2d 60; *Matter of Newcomb*, 192 NY 238; *Thompson v Mundheim*, 180 Misc 1002, 266 App Div 1001; *People v Bolden*, 81 NY2d 146; *Matter of Hosley v Curry*, 85 NY2d 447; *Laufer v Hauge*, 140 AD2d 671; *Matter of Larkin v Herbert*, 185 AD2d 607; *Antone v General Motors Corp.*, 64 NY2d 20.) II. Longwood’s reliance on *Catlin v Sobol* (77 NY2d 552 [1991]), Opinions of the Commissioner of Education and the presumptive validity of the Department of Social Services certifications is misplaced. (*Matter of Jeter v Ellenville Cent. School Dist.*, 41 NY2d 283; *Three Vil. Cent. School Dist. v Brentwood Union Free School Dist.*, 167 AD2d 385, 77 NY2d 806.)

III. Affirmance of the Appellate Division's decision will not lead to "absurd" results. (*Catlin v Sobol*, 77 NY2d 552; *Matter of Delgado v Freeport Pub. School Dist.*, 131 Misc 2d 102; *Vaughn v Board of Educ.*, 64 Misc 2d 60.) IV. Even if this Court adopts a domicile standard for Education Law § 3202 (4) (a), Springs Union Free School District is still not liable. (*Matter of Brunner*, 41 NY2d 917; *Matter of Newcomb*, 192 NY 238; *Matter of Palla v Suffolk County Bd. of Elections*, 31 NY2d 36; *Matter of Daly*, 178 Misc 943; *District of Columbia v Murphy*, 314 US 441; *Unanue v Unanue*, 141 AD2d 31; *Orozco v Sobol*, 674 F Supp 125.)

OPINION OF THE COURT

ROSENBLATT, J.

On this appeal, we decide which of two school districts must bear the educational costs for children who, immediately before their placement in foster care, lived in a homeless shelter with their mother. The question is governed by Education Law § 3202 (4) (a), and the outcome turns on where the children "resided" within the meaning of the statute. Because the term is undefined, we must determine whether it means mere physical location or also includes an element of permanency. We hold that, under the statute, physical presence alone does not qualify as "residence," and therefore conclude that the Springs Union Free School District—the children's last permanent residence—is responsible for their instructional costs.

The mother of the four children for whom reimbursement is sought rented a home within the Springs school district beginning in December 1991, where the family lived until they were evicted in July 1993. Over the next couple of months, the children moved to various temporary housing arrangements at motels or stayed with relatives. For part of this time, the mother was incarcerated for a parole violation. In August 1993, the family moved into Shelter Plus, a homeless shelter located in Lake Grove. While there, the children did not attend school. In September and October 1993, the Suffolk County Department of Social Services placed all four of the children in foster care, and the children attended school in the Longwood district. Each child's DSS-2999 form (which notifies a school district of a foster child placed within its district) listed the "district of origin" as Springs.

Longwood filed a notice of claim with Springs for the cost of the children's education. Upon nonpayment, Longwood com-

menced three actions seeking tuition reimbursement for the 1994-1995, 1995-1996 and 1996-1997 school years. Both parties moved for summary judgment. Supreme Court consolidated the actions and granted Longwood's motion. Interpreting the term "resided" in Education Law § 3202 (4) (a) to include an intent to remain permanently, the court determined that the mother's last permanent home was in the Springs district and therefore held it liable for the education costs. Springs appealed. The Appellate Division reversed, concluding that the mother's temporary residence at Shelter Plus obligated the district within which the shelter was located to pay for the education of her children. Longwood appealed, and we now reverse.

Education Law § 3202 (4) (a) states that

"the cost of instruction of pupils placed in family homes at board by a social services district or a state department or agency shall be borne by the school district in which each such pupil *resided* at the time the social services district or state department or agency assumed responsibility for the placement, support and maintenance of such pupil" (emphasis added).

Springs interprets "resided" to mean mere physical location, and thus views the family's transient stay at Shelter Plus as absolving it from any obligation to cover the cost of the children's education. Conversely, Longwood argues that "resided" must include an intent to remain in a place permanently. Under Longwood's view, a brief stay at a shelter does not amount to residence, and that the family's last permanent residence is what counts. We agree with Longwood and conclude that the term "resided" in Education Law § 3202 (4) (a) requires an intent to remain in a place permanently.

Within the general scheme of Education Law § 3202, this Court and the Department of Education have consistently interpreted residence as akin to domicile. Domicile requires bodily presence in a place with an intent to make it a fixed and permanent home (see *Matter of Newcomb*, 192 NY 238, 250 [1908]). An existing domicile is assumed to continue until a new one is acquired, and Education Law § 3202 creates a rebuttable presumption that children share the domicile of their parent (see *Catlin v Sobol*, 77 NY2d 552, 560 [1991]). Section 3202, which "sets out the framework for determining when and under what circumstances a school district is obligated to provide free education" (*id.* at 559), is designed to allocate costs sensibly be-

tween school districts and to avert burdening them with the costs of educating nonresident children.

Section 3202 (1) begins with the promise of free education, by which a student is “entitled to attend the public schools maintained in the district in which such person resides without the payment of tuition.” It is axiomatic under this provision that “residence is established by one’s physical presence as an inhabitant within the district, combined with an intent to remain” (*Appeal of Stokes*, 32 Ed Dept Rep 93, 95 [Decision No. 12,769] [1992]; *see also Appeal of Daniels*, 37 Ed Dept Rep 537 [Decision No. 13,926] [1998]; *Appeal of Varghese*, 34 Ed Dept Rep 455 [Decision No. 13,380] [1995]; *Appeal of Bonfante-Ceruti*, 31 Ed Dept Rep 38 [Decision No. 12,561] [1991]). Thus, every school district must “provide tuition-free education only to students whose parents or legal guardians reside within the district” (*Stokes*, 32 Ed Dept Rep at 94). Accordingly, while each child is guaranteed a free education, the intent-to-remain element in “resides” provides a limit on which pupils may receive a free education from a particular school district.

This Court adopted a similar interpretation of residence under Education Law § 3202 (4) (b), which provides that children cared for in free family homes or family homes at board are deemed residents of the district where the home is located only if the home is their “actual and only residence.” Recognizing that the domicile of a child is assumed to be the domicile of the parent, we held that “actual and only residence” meant “permanent domicile,” such that a showing of a surrender of parental control is required in order to impose the cost of education on the district in which the family home is located (*see Catlin*, 77 NY2d at 560).

The history of Education Law § 3202 (4) (a) reveals a theme similar to that of section 3202 (1) and (4) (b)—to distribute fairly the costs of education among school districts. Section 3202 (4) (a) was designed to “relieve school districts of the obligation which exists in certain cases . . . to bear the financial burden of educating nonresident children” (State Ed Dept Mem, Bill Jacket, L 1973, ch 867, at 6; *see also Matter of Jeter v Ellenville Cent. School Dist.*, 41 NY2d 283, 285 [1977]). This “charge-back” solution provided “continuity of responsibility within the educational system” for children who could not be placed within their “original communities” (State Dept of Mental Hygiene Mem, L 1973, ch 867, at 12, 13). Section 3202 (4) (a)’s legislative history also recognized that the enactment would facilitate

foster care placement because the costs of education would not shift based on the placement of a child into a foster home (see Budget Report, Bill Jacket, L 1973, ch 867, at 17).

The Department of Education has also interpreted “resided” in the context of Education Law § 3202 (4) (a) to mean “physical presence as an inhabitant of the district combined with an intent to remain” (*Appeal of Haldane Cent. School Dist.*, 32 Ed Dept Rep 156, 159 [Decision No. 12,790] [1992]). In *Haldane*, the children lived with their mother in a truck on a campground in the Pine Bush School District before DSS assumed custody. Haldane, the school district which the children attended while in foster care, sought to charge Pine Bush for the tuition costs. In dismissing the appeal, the Commissioner concluded that “there is no indication whatsoever that the family intended to establish a residence at the [Pine Bush] campground” (*id.*). The Commissioner reasoned that “[s]ince a residence is not lost until another residence is established through both intent and action expressing such intent . . . petitioner needs to establish, with the assistance of DSS, the children’s last permanent residence before they were found at the campground” in order to ascertain which school district would be responsible for the children’s tuition costs (*id.*).

Here, when the Department of Social Services assumed responsibility for their care, the children’s residence, as we have defined it, was in the Springs district. Even after eviction, the children are presumed to have the same residence until a new residence—a physical location plus an intent to remain—is established. The series of temporary stayovers that followed the eviction, including the time at Shelter Plus, did not rebut the presumption that Springs was their residence within the meaning of section 3202 (4) (a). Thus, we also reject Springs’s alternative argument that the mother was domiciled at Shelter Plus.

Viewing residence as physical presence plus an intent to remain also generates predictability and avoids arbitrariness. A child’s physical presence in a district for a very short time before placement in foster care would otherwise obligate that district to cover the costs of education for the months or years the child remains in foster care. Moreover, this outcome avoids penalizing communities that are hospitable to homeless shelters. If, for purposes of Education Law § 3202 (4) (a), “residence” would result from a brief stay at a shelter, communities that offer shelters would have to bear the cost of educating nondomiciliary children with whom they had no other ties.

Accordingly, the order of the Appellate Division should be reversed, with costs, and the order of Supreme Court reinstated.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, GRAFFEO and READ concur; Judge R.S. SMITH taking no part.

Order reversed, etc.

[807 NE2d 259, 775 NYS2d 210]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v CHRISTOPHER SLAVIN, Appellant.

Argued January 8, 2004; decided February 17, 2004

SUMMARY

APPEAL, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered November 18, 2002. The Appellate Division affirmed a judgment of the Suffolk County Court (Charles F. Cacciabauda, J.), which had convicted defendant, upon a jury verdict, of attempted murder in the second degree (two counts), assault in the first degree, assault in the second degree, and aggravated harassment in the second degree (two counts).

People v Slavin, 299 AD2d 499, affirmed.

HEADNOTE

Crimes — Evidence — Privilege against Self-Incrimination — Photographs of Defendant's Tattoos

The trial court did not violate defendant's privilege against self-incrimination by allowing the People to introduce photographs of upper body tattoos, taken over defendant's objection, as evidence of motive for committing a hate crime. Defendant was not "compelled . . . to be a witness against himself" (US Const 5th Amend) within the meaning of the privilege since the tattoos were physical characteristics, not testimony forced from his mouth. The privilege does not necessarily bar compelling the disclosure of evidence that a criminal defendant created voluntarily in the past, even if the evidence betrays incriminating assertions of fact or belief. Although the jurors may have inferred defendant's motive from the existence of the tattoos, the tattoos were not compelled testimony within the scope of the privilege. Nor does the act-of-production doctrine come into play in this case, since the People knew about defendant's tattoos at the time of his arrest.

TOTAL CLIENT-SERVICE LIBRARY® REFERENCES

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AM JUR 2d, Criminal Law §§ 1138, 1151; AM JUR 2d, Evidence § 951.

CARMODY-WAIT 2d, Criminal Procedure § 172:3078.

LAFAVE, et al., CRIMINAL PROCEDURE (3d ed) § 20.4.

NY JUR 2d, Criminal Law §§ 542, 544, 1972.

ANNOTATION REFERENCE

Propriety of requiring criminal defendant to exhibit self,

or perform physical act, or participate in demonstration, during trial and in presence of jury. 3 ALR4th 374.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: privilege /3 self-incrimination /p display! exhibit!
/s tattoo

POINTS OF COUNSEL

Robert J. Del Col, Huntington, *David Besso* and *Stephen Preziosi* for appellant. I. Can the People obtain, pursuant to CPL 240.40, and thereafter admit evidence of tattoos, not relevant to establish physical appearance, physical condition or identity, but rather for their “testimonial value” and in a “communicative context”? (*Matter of Abe A.*, 56 NY2d 288; *People v Herr*, 203 AD2d 927.) II. Does the issuance of an order that permits the gathering of corporeal evidence only relevant for its testimonial value and insights into the purported “subjective thought process” of an appellant violate the Fifth Amendment protection against self-incrimination? (*Saccente v Toterhi*, 35 AD2d 692; *People v Alpern*, 217 AD2d 853; *People v Baez*, 131 AD2d 687; *Schmerber v California*, 384 US 757; *People v Hager*, 69 NY2d 141; *Gilbert v California*, 388 US 263; *Counselman v Hitchcock*, 142 US 547; *People v Berg*, 92 NY2d 701; *People v Segal*, 78 AD2d 523.) III. Should the trial court, before permitting the introduction of such inflammatory and prejudicial evidence and the testimony of an “expert on hate groups and white supremacy,” have conducted a hearing and followed the criteria set forth in *People v Molineux* (168 NY 264 [1901]) and *People v Ventimiglia* (52 NY2d 350 [1981]), or in the alternative, established its own procedural safeguard against undue prejudice? (*People v Torres*, 72 AD2d 754; *People v Jones*, 278 AD2d 246; *People v Hudy*, 73 NY2d 40; *People v Siu Wah Tse*, 91 AD2d 350; *People v Hamlin*, 71 NY2d 750; *United States v Yarbrough*, 852 F2d 1522; *People v Burke*, 170 AD2d 1021; *People v Kocyla*, 167 AD2d 938; *People v Ingram*, 71 NY2d 474; *People v Alvino*, 71 NY2d 233.) IV. Did the prosecutorial misconduct that occurred, both pretrial and at trial, rise to the level necessary to dismiss the indictment or warrant a new trial for appellant? (*People v Rodney*, 85 NY2d 289; *Pennsylvania v Muniz*, 496 US 582; *People v Huston*, 88 NY2d 400; *Schmerber v California*, 384 US 757; *Gilbert v California*, 388 US 263; *People v Pelchat*, 62 NY2d 97; *People v Di Falco*, 44 NY2d 482; *People v Darby*, 75 NY2d 449; *People v Sayavong*, 83 NY2d 702; *People v Wilkins*, 68 NY2d

269.) V. The errors complained of cannot be considered harmless beyond a reasonable doubt and require either dismissal of the indictment or a new trial for appellant. (*People v Contes*, 60 NY2d 620; *Jackson v Virginia*, 443 US 307, 444 US 890; *People v Thompson*, 72 NY2d 410; *People v O'Doherty*, 70 NY2d 479; *People v Colp*, 147 AD2d 964; *People v Dunleavy*, 41 AD2d 717; *People v Potwora*, 44 AD2d 207; *People v Rosario*, 127 AD2d 209; *People v Gaimari*, 176 NY 84; *People v Garafolo*, 44 AD2d 86.)

Thomas J. Spota, District Attorney, Riverhead (*Michael Blakey* of counsel), for respondent. I. Arrest photographs showing appellant's tattoos were lawfully obtained and used to prove intent and motive. (*People v Rodriguez*, 64 NY2d 738; *R.A.V. v City of St. Paul, Minn.*, 505 US 377; *Dawson v Delaware*, 503 US 159; *Wisconsin v Mitchell*, 508 US 476; *People v O'Sullivan*, 96 Misc 2d 52; *Texas v Johnson*, 491 US 397; *Bery v City of New York*, 97 F3d 689; *Yurkew v Sinclair*, 495 F Supp 1248; *Barclay v Florida*, 463 US 939; *Katz v United States*, 389 US 347; *People v Scott*, 79 NY2d 474.) II. No prosecutorial misconduct occurred. (*People v Rodney*, 85 NY2d 289; *People v Colavito*, 87 NY2d 423; *People v Brewster*, 63 NY2d 419; *Virag v Hynes*, 54 NY2d 437; *People v Avant*, 33 NY2d 265; *People v Oakley*, 28 NY2d 309; *People v Kuss*, 32 NY2d 436; *People v Neilson*, 115 AD2d 972; *People v Reimann*, 266 App Div 505; *People v Wood*, 66 NY2d 374.) III. Guilt was proved beyond a reasonable doubt and harmless error analysis is available. (*People v Contes*, 60 NY2d 620; *People v Cintron*, 95 NY2d 329; *People v Benzinger*, 36 NY2d 29; *People v Crimmins*, 36 NY2d 230; *Arizona v Fulminante*, 499 US 279; *People v Carmona*, 82 NY2d 603; *Matter of Gladys H.*, 235 AD2d 841; *People v Perez*, 160 AD2d 637, 76 NY2d 793; *People v Figueroa*, 158 AD2d 308; *People v McCullough*, 141 AD2d 856.)

OPINION OF THE COURT

READ, J.

We are called upon to decide whether the trial court violated defendant's Fifth Amendment privilege against self-incrimination by allowing the People to introduce photographs of upper body tattoos, taken over defendant's objection, as evidence of motive for committing a hate crime. We conclude that defendant was not "compelled . . . to be a witness against himself" (US Const 5th Amend) within the meaning of the privilege. The tattoos were physical characteristics, not testimony

forced from his mouth (see *Schmerber v California*, 384 US 757, 764-765 [1966]; *People v Berg*, 92 NY2d 701, 704 [1999]). However much the tattoos may have reflected defendant's inner thoughts, the People did not compel him to create them in the first place (compare *United States v Hubbell*, 530 US 27, 35-36 [2000]).

I.

In the early morning hours of September 17, 2000, defendant and an accomplice lured two Mexican "day laborers" into a car with the false promise of work, and drove them to an abandoned building in Suffolk County on Long Island. During the drive, defendant asked the two men whether they were Mexicans. Almost immediately after arriving at the building, defendant and his accomplice launched an unprovoked and brutal attack on their two unsuspecting victims. Defendant struck both men in the head with a metal post-hole digger, while his accomplice stabbed one of them several times. The two victims, one of whom was bleeding profusely, contrived to escape their assailants by fleeing onto the Long Island Expressway. There, a passing motorist rescued them.

The extensive police investigation that followed the attack quickly focused on defendant and his accomplice. Defendant's accomplice turned himself in about a month after the crime. Three weeks later, defendant, accompanied by counsel, surrendered at the District Attorney's office. Counsel informed the authorities that defendant would not be making any statements, and rejected the District Attorney's request for "voluntary exemplars." During arrest processing, law enforcement officials—over defendant's objections—took photographs of his various tattoos. Defendant's two victims did not observe the tattoos during the attack.

On the back of defendant's neck, just below his hairline, his skin was tattooed in black with the letters "A.C.A.B." ("All Cops Are Bastards"). On defendant's right upper arm, the letters "F.T.W." ("Fuck The World") were tattooed in red, and the letters "NYHC" ("New York Hard Core" or "New York Hate Corps") were tattooed in black. A tattoo on defendant's right upper chest pictured a Nazi swastika in black, crosscut with a white fist and encircled by the Celtic cross in red and black. The tattoo on defendant's torso above his waistline depicted a cartoonish figure with a large nose, wearing a skullcap and a coat with money protruding from a pocket. This figure was kneeling

with hands raised in supplication at the approach of a skinhead with an outstretched, outsized foot. The skinhead wore “Doc Martin” boots, rolled up pants and red suspenders. Clutching an axe and a square-shaped bottle, his visage was sinister and clownlike, with a protuberant red nose.

Defendant’s upper left arm also bore several elaborate tattoos, including an American flag above the Nazi swastika below a cloud; another Celtic cross; a skinhead holding a club and restraining a leashed pit bull wearing a spiked collar; a bald eagle; two lightning bolts, the symbol for the Nazi “SS”; a skinhead wearing suspenders on a bare chest and holding a flaming torch as he stepped upon human skeletal remains; and a tank crushing human skulls as it emerged from a city on fire. The tattoos on defendant’s left forearm featured an arrow projecting from a cloud or waterbody; a Viking ship with many shields along its side; and two burly Viking figures, one of which was blowing a horn.

In securing an indictment of defendant, the People presented the arrest photographs of these tattoos to the grand jury. Arguing that his rights under the Fourth, Fifth, and Sixth Amendments had been violated, defendant moved to dismiss the indictment and, failing that, to preclude the use of the photographs at trial. The trial court rejected defendant’s motion.

In finding no Fourth Amendment violation, the trial court remarked that it was “hard for [him] to believe that this defendant had a legitimate expectation of privacy during [his arrest] processing, especially one recognized by society, a point [he] does not attempt to argue.” He also cited CPL 160.10 (3), which provides that whenever fingerprinting of an arrestee is required or allowed, “the photograph . . . of the arrested person or the defendant, as the case may be, may also be taken.” As for defendant’s Sixth Amendment claim, the trial court held that arrest processing was not a “critical stage” mandating the presence of counsel.

In rejecting defendant’s Fifth Amendment claim, the trial court relied largely on *Schmerber v California* (384 US 757 [1966], *supra*). There, the Supreme Court held that the privilege against self-incrimination protects an “accused only from being compelled to testify against himself, or otherwise provide the State with evidence of a testimonial or communicative nature” (*id.* at 761). Accordingly, in *Schmerber* the Court concluded that the compelled withdrawal of blood from a drunk

driving suspect did not violate the privilege because the “blood test evidence, although an incriminating product of compulsion, was neither [the suspect’s] testimony nor evidence relating to some communicative act or writing by the [suspect]” (*id.* at 765). Extrapolating from *Schmerber*, the trial court found that defendant’s tattoos were not testimonial evidence, but simply physical characteristics, and that the privilege does not bar the introduction of photographs resulting from the compelled exhibit of a suspect’s body.

In addition to denying defendant’s motion, the trial court also granted the People’s motion to take a second set of photographs pursuant to CPL 240.40. This provision vests a trial court with the discretion to order a defendant to provide “non-testimonial evidence,” including having to “[p]ose for photographs not involving reenactment of an event” (CPL 240.40 [2] [b] [iv]). The trial court determined that the tattoos were relevant to defendant’s motive for committing the charged hate crime of second-degree aggravated harassment. At the time, this provision made it a crime for a person “with intent to harass, annoy, threaten or alarm” to “[s]trike[], shove[], kick[], or otherwise subject[] another person to physical contact, or attempt[] or threaten[] to do the same because of the race[,] color, religion or national origin of such person” (Penal Law § 240.30 [3], as enacted by L 1982, ch 191, § 1).¹

Before jury selection, defendant moved to preclude the introduction of the second set of photographs, reiterating his objection under the Fifth Amendment and disputing relevancy. The trial court again denied defendant’s motion.

At trial, the People introduced the photographs of defendant’s tattoos through the testimony of a friend, who identified them as depicting tattoos that he had observed on defendant’s body prior to the attack. The People also presented a witness who was qualified as an expert in bias and hate crimes. This expert testified as to the customary meaning of the letters, symbols and pictures represented in defendant’s tattoos. The trial court directed the expert not to testify that defendant belonged to or shared the views of any particular group; he also instructed the expert not to offer testimony as to what defendant may have been thinking during the attack. In allowing the expert’s testimony, the court again rejected various Fifth Amendment and relevancy arguments raised by defendant.

1. Penal Law § 240.30 (3) now encompasses a broader range of prohibited conduct (*see* L 2000, ch 107, § 3).

The jury convicted defendant of two counts of attempted second-degree murder; one count of first-degree assault and one count of second-degree assault; and two counts of second-degree aggravated harassment. The Appellate Division affirmed, and a Judge of this Court granted defendant leave to appeal.

II.

Defendant argues that the photographs were introduced to establish his motive for committing a hate crime by disclosing his subjective thoughts and beliefs on the issue of race. And that, he claims, constituted compelled “testimonial” evidence forbidden by the Fifth Amendment privilege against self-incrimination. We disagree. Although the jurors may have inferred defendant’s motive from the existence of the tattoos, the tattoos were not compelled testimony within the scope of the privilege.

As an initial matter, the privilege does not preclude a criminal defendant from being required to exhibit physical characteristics or to provide physical exemplars. Indeed, “a person can be forced to produce ‘real or physical evidence’ ” (*People v Berg*, 92 NY2d at 704, quoting *Schmerber v California*, 384 US at 764). Further, “there is a significant difference between the use of compulsion to extort communications from a defendant and compelling a person to engage in conduct that may be incriminating” (*United States v Hubbell*, 530 US at 34-35). In the latter situation, the privilege is not violated because “ ‘the prohibition of compelling a man in a criminal court to be witness against himself is a prohibition of the use of physical or moral compulsion to extort communications from him, not an exclusion of his body as evidence when it may be material’ ” (*id.* at 35 n 9, quoting *Holt v United States*, 218 US 245, 252-253 [1910]).

There is no doubt that defendant’s tattoos were, as the trial court concluded, “physical characteristics.” Nor is there any dispute that the People took the photographs of the tattoos over defendant’s objections. The issue thus becomes whether the privilege is implicated here because this particular “real or physical evidence” (*Schmerber v California*, 384 US at 764) may have also reflected defendant’s thought processes. In this regard, we consider it dispositive that there is no Fifth Amendment protection for the contents of preexisting documents. Indeed, it is a “settled proposition that a person may be required to produce specific documents [in response to a subpoena] even though

they contain incriminating assertions of fact or belief because the creation of those documents was not ‘compelled’ within the meaning of the privilege” (*United States v Hubbell*, 530 US at 35-36).

Thus, the privilege does not necessarily bar compelling the disclosure of evidence that a criminal defendant created voluntarily in the past, even if the evidence betrays “incriminating assertions of fact or belief” (*id.* at 35; *see also United States v Doe*, 465 US 605, 610-611 [1984], citing *Fisher v United States*, 425 US 391 [1976] [privilege does not protect contents of documents created voluntarily]).

Nor, as the dissent implies, does the act-of-production doctrine come into play in this case. This doctrine derives from the distinction drawn by the Supreme Court in *Fisher* between the testimonial aspects of the content of evidence and its production, which “has communicative aspects of its own, wholly aside from . . . content[]” (*Fisher v United States*, 425 US at 410). The Court identified those communicative aspects of the act of production as the tacit concession that papers produced in response to a subpoena duces tecum exist; are in the defendant’s possession and control; and are those described in the subpoena. Whether a particular production of documents involves a tacit testimonial communication of these facts would “depend on the facts and circumstances of particular cases or classes thereof” (*id.*). In *Fisher* itself, the act of production did not run afoul of the privilege because the Government already knew about the subpoenaed papers’ existence and location.

Here, the People obviously knew about defendant’s tattoos at the time of his arrest;² therefore, defendant was not required to disclose the existence of his tattoos or to describe them. Simply put, defendant was not at any time compelled to “restate, repeat, or affirm the truth of the[] contents” of the tattoos (*United States v Doe*, 465 US at 612). Thus, even if requiring

2. Defense counsel certainly seems to have understood the District Attorney’s request for “exemplar evidence” to have been aimed at obtaining photographs of defendant’s tattoos. How the authorities learned about defendant’s tattoos is not clear from the record before us. Only the tattoo on the back of defendant’s neck would have been plainly visible when he was wearing a long-sleeved shirt. The lead detective on the case, however, was a member of Suffolk County Police Department’s Bias Crimes Unit and so, at the very least, likely understood what this tattoo (the letters “A.C.A.B.”) signified. Further, the People had interviewed several of defendant’s former girlfriends during their investigation of the crime.

him to take his shirt off³ and pose for arrest photographs is considered analogous to the act of production of subpoenaed documents, the People were not relying on defendant's "truth-telling" to discover the existence of his tattoos (*Fisher v United States*, 425 US at 411 ["Under these circumstances . . . 'no constitutional rights are touched. The question is not of testimony but of surrender' "], quoting *In re Harris*, 221 US 274, 279 [1911]).

Nothing that occurred here implicated defendant's privilege against self-incrimination. The People legally took two sets of photographs (initially, during arrest processing; later, by court order) of tattoos that defendant created voluntarily, long before he committed his crime.⁴ (His friend testified that defendant had acquired the most recent tattoo at least five years earlier.) The People did not force defendant to reveal his thoughts and beliefs; they presented an expert witness who testified about the customary meaning of the images depicted by defendant's tattoos. The trial court instructed the expert not to opine as to what defendant may have been thinking during the attack.

In sum, the tattoos may have been incriminating in the sense of potentially reflecting defendant's "subjective knowledge or thought processes" (*People v Hager*, 69 NY2d 141, 142 [1987]), but defendant created this evidence of his own accord, without any compulsion from the People. Defendant was therefore not "compelled . . . to be a witness against himself" (US Const 5th Amend) within the meaning of the privilege (see *United States v Hubbell*, 530 US at 35-36; see also *Matter of Grand Jury Subpoena Duces Tecum Dated Dec. 14, 1984, Y., M.D., P.C. v*

3. Defendant is pictured wearing trousers in the photographs attached to his motion to preclude and in those photographs admitted into evidence.

4. Even if, as the dissent contends, the trial court erroneously authorized the taking of the second set of photographs, defendant suffered no prejudice as a result because neither set of photographs violated his Fifth Amendment privilege. Accordingly, the first set of photographs would have been admissible at trial. Moreover, assuming that the second set of photographs did not fit within the meaning of "non-testimonial evidence" obtainable by court order pursuant to CPL 240.40, "the admissibility of evidence in the face of the Self-Incrimination Clause does not turn on the presence or absence of" statutory authorization (*People v Berg*, 92 NY2d at 706). Indeed, "if evidence is constitutionally permissible, the absence of authorization in a statute does not make it impermissible" (*id.*).

Kuriansky, 69 NY2d 232, 242 [1987], *cert denied* 482 US 928 [1987]).⁵

Accordingly, the order of the Appellate Division should be affirmed.

CIPARICK, J. (dissenting in part). Because I believe that by being forced to submit to the photographing of his tattoos, the defendant was compelled to be a witness against himself in violation of his Fifth Amendment privilege against self-incrimination, I respectfully dissent.

The Fifth Amendment protects a person from being “compelled in any criminal case to be a witness against himself” (US Const 5th Amend) and encompasses testimonial or communicative evidence (*see Schmerber v California*, 384 US 757, 761 [1966]). In order to be considered testimonial, “an accused’s communication must itself, explicitly or implicitly, relate a factual assertion or disclose information” (*Doe v United States*, 487 US 201, 210 [1988]; *see also People v Berg*, 92 NY2d 701, 704 [1999]). “Evidence is ‘testimonial or communicative’ when it reveals a person’s subjective knowledge or thought processes” (*People v Hager*, 69 NY2d 141, 142 [1987] [citations omitted]). The privilege against self-incrimination seeks, at least in part, “to spare the accused from . . . having to share his thoughts and beliefs with the Government” (*Doe*, 487 US at 213).

Inasmuch as neither of defendant’s victims saw his tattoos, the tattoos were not offered for the purpose of identification, but as evidence of motive. It is certainly true that, typically, corporeal evidence falls outside the scope of the Fifth Amendment because a person’s physical characteristics are neither testimonial nor communicative. But when, in a case such as this one, corporeal evidence is offered for its testimonial value, the privilege against self-incrimination is clearly implicated. Today the Court ignores that critical distinction.

Typically, “[a] mere handwriting exemplar, in contrast to the content of what is written, like the voice or body itself, is an identifying physical characteristic outside [the protection of the Fifth Amendment]” (*Gilbert v California*, 388 US 263, 266-267 [1967]; *see also United States v Dionisio*, 410 US 1, 6-7 [1973]). But when “the content of the exemplars was testimonial or communicative matter” (*Gilbert*, 388 US at 267), a handwriting sample will be protected. Similarly, defendant’s tattoos were of-

5. We also reject defendant’s claims under the Fourth and Sixth Amendments (*see Schmerber v California*, 384 US at 765-766, 771-772).

ferred here not as identifying characteristics, but for the message they conveyed and to prove defendant's thoughts and state of mind at the time the crimes were committed. It was thus the meaning and content of the tattoos, established through expert testimony, and not the fact that a particularly shaped and colored marking was located on a particular part of defendant's body, that gave this evidence its relevance. Indeed, the People do not argue otherwise.

In being forced to remove his clothing and reveal tattoos that were used as proof of his subjective beliefs, defendant was thus compelled to provide evidence of a testimonial nature. The Court recognizes the communicative quality of defendant's tattoos (majority op at 399), but nonetheless concludes that defendant was not compelled to incriminate himself within the meaning of the Fifth Amendment, relying on a line of Supreme Court cases applicable to subpoenas for documents.

The analogy is dubious at best.¹ Surely the forced strip search of a defendant constitutes a far greater invasion into privacy rights than a subpoena for documents. But even if I were to accept the analogy, still I would conclude that defendant's privilege against self-incrimination was violated. In ruling otherwise, the Court has misunderstood the import of the Supreme Court's relevant precedent.

The Court's reference to the proposition that one may be required to disclose documents that contain incriminating evidence when the individual was not "compelled" to create those documents (*see* majority op at 398-399, quoting *United States v Hubbell*, 530 US 27, 35-36 [2000]; *United States v Doe*, 465 US 605, 610-611 [1984]; *Fisher v United States*, 425 US 391 [1976]) tells only half the story. What the Court fails to recognize is that the content of incriminating documents may nevertheless be privileged if a subpoena forces the defendant to "restate, repeat, or affirm the truth of their contents" (*United States v Doe*, 465 US at 612; *see also Hubbell*, 530 US at 36 n 18), and that the act of production of testimonial evidence can have independent testimonial or communicative significance (*see Fisher*, 425 US at 410), such as when, by producing the documents, "the witness would admit that the papers existed, were in his possession or control, and were authentic" (*Hubbell*, 530 US at 36-37 n 19).

1. As the Supreme Court has often stated, "one of the several purposes served by the constitutional privilege against compelled testimonial self-incrimination is that of protecting personal privacy" (*see e.g. Fisher v United States*, 425 US 391, 399 [1976]).

[citations omitted]). If such an admission is itself incriminating, its compulsion will violate the Fifth Amendment. The Court's conclusion that the privilege does not bar compelling the production of evidence that a criminal defendant voluntarily created in the past (majority op at 399) thus mischaracterizes the holding of *Hubbell*.

Here, defendant's tattoos were used to demonstrate his current beliefs or state of mind. Since they were offered for the purpose of proving defendant's motive for the attacks, the tattoos were being used to show his "subjective knowledge or thought processes" (*Hager*, 69 NY2d at 142), and constituted testimonial evidence. Although defendant was not compelled to ink these images onto his skin, he was forced at the time of arrest to reveal his tattoos, obtained years before, which—in requiring him to impliedly affirm and adopt the message they conveyed as reflective of his *current* racist beliefs—compelled him to perform an act with independent testimonial significance.

I cannot agree, moreover, with the Court's conclusion that the photographs originally taken of defendant's tattoos upon his arrest were in any event permitted because they were obtained during normal arrest processing. The record reflects that all of defendant's tattoos—with the exception of one on the back of his neck (the initials "A.C.A.B.," likely meaningless to most people)—were located on areas of defendant's body covered by his everyday clothing. "[W]hat he seeks to preserve as private, even in an area accessible to the public, may be constitutionally protected" (*Katz v United States*, 389 US 347, 351 [1967]).

Nor, despite the People's contention, could these purported "arrest photographs" be justified as part of the routine booking procedures to which all arrestees are subject (*see* CPL 160.10 [3]). Typical arrest photographs consist of front and side view "mug shots" of the face, necessary for the administrative purpose of identifying those in the custody of the police. Here, defendant, over his objection, was required to remove articles of his clothing to allow authorities to photograph his naked torso. We have never held that strip searches are, without more, automatically justified by a lawful arrest or permitted as a routine part of the booking process (*see People v More*, 97 NY2d

209 [2002]).² Nor could we (*see e.g. Weber v Dell*, 804 F2d 796 [2d Cir 1986], *cert denied sub nom. County of Monroe v Weber*, 483 US 1020 [1987]). It is neither administratively necessary nor routine for the police to take such photographs which, here, were clearly taken as part of an investigative search for evidence.

In any event, the photographs actually introduced at defendant's trial were those secured pursuant to the CPL 240.40 order issued by County Court, not those taken at the time of his arrest. But these, too, were unlawfully obtained. The statute provides that "[u]pon motion of the prosecutor, and subject to constitutional limitation, the court . . . may order the defendant to provide non-testimonial evidence" (CPL 240.40 [2] [b]). CPL 240.40 could not authorize the photographs of defendant's tattoos both because they were testimonial in nature, revealing his subjective thoughts, and because they violated defendant's Fifth Amendment privilege against self-incrimination. Inasmuch as the Court concedes that defendant's tattoos reflected his subjective knowledge or thought processes (*see majority op at 400*), it is hard to imagine how the Court can escape the conclusion that the testimonial photographs admitted at defendant's trial were obtained in violation of the statute pursuant to which they were secured and therefore had to have been suppressed.

Defendant's heinous crimes and despicable beliefs do not exempt him from the protections of the Constitution or the law. The admission at defendant's trial of evidence of his tattoos, obtained by compulsion, to demonstrate his subjective beliefs and thought processes plainly violated his privilege against self-incrimination. Nevertheless, inasmuch as proof of defendant's guilt of attempted murder and assault was overwhelming, the

2. The Court notes that County Court rejected defendant's Sixth Amendment claim because "arrest processing was not a 'critical stage' mandating the presence of counsel" (majority op at 396). But since arrest processing does not permit compelled self-incrimination, forcing defendant to strip in an effort to gain testimonial evidence was not part of any routine booking procedure constituting a noncritical stage. In any event, a defendant only has no right to counsel at a noncritical stage in the absence of a request (*see People v Shaw*, 72 NY2d 1032, 1033 [1988]). Here, defendant's retained counsel had already entered the case and informed the prosecutor that defendant would make no statements and that defendant specifically rejected the People's request that he provide "voluntary exemplars," including photographs of his body. After counsel left, however, defendant, over his objection, was stripped and the tattoos on his body were photographed. Testimonial evidence of defendant's tattoos was thus obtained in violation of defendant's actually invoked right to counsel.

error with respect to his conviction of those felony charges was harmless beyond a reasonable doubt (*see People v Crimmins*, 36 NY2d 230, 237 [1975]). But because the proof that defendant's actions were motivated by the ethnicity of his victims was, in the absence of evidence of his tattoos, minimal, I would reverse his conviction of aggravated harassment in the second degree.

Judges G.B. SMITH, ROSENBLATT and GRAFFEO concur with Judge READ; Judge CIPARICK dissents in part and votes to modify in a separate opinion in which Chief Judge KAYE concurs; Judge R.S. SMITH taking no part.

Order affirmed.

[806 NE2d 973, 774 NYS2d 860]

In the Matter of LEGION OF CHRIST, INCORPORATED, Appellant, v
TOWN OF MOUNT PLEASANT et al., Respondents.

Argued January 13, 2004; decided February 19, 2004

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered March 10, 2003. The Appellate Division affirmed an order and judgment (one paper) of Supreme Court, Westchester County (Peter P. Rosato, J.), which had (1) denied petitioner's motion for partial summary judgment, (2) granted respondents' cross motion for summary judgment dismissing the petitions insofar as they sought a declaration that the property was exempt from taxation, (3) adjudged that petitioner's use of the property was unlawful in the absence of a special use permit and thus the property was fully taxable for tax years 1997 forward, (4) lifted a stay of respondent Town of Mount Pleasant's enforcement of its tax liens, and (5) extended the time limit for petitioner to redeem the tax liens on the property.

Matter of Legion of Christ v Town of Mount Pleasant, 303 AD2d 507, reversed.

HEADNOTE**Taxation — Exemptions — Real Property Taxes — Construction or Improvements Contemplated in Good Faith**

Petitioner, a nonprofit religious organization seeking a real property tax exemption pursuant to Real Property Tax Law § 420-a (3) (a) for an unimproved parcel of land it intended to develop and use in connection with religious training, education, and outdoor activities, was not required to obtain a special use permit as a condition precedent to obtaining an exemption. The proper inquiry should have been whether the development of the property for tax exempt purposes was contemplated in good faith. Although an application for a special use permit may be a relevant factor in determining good faith, nonprofit organizations are not required to acquire or apply for special permits in order to be eligible for the statutory exemption.

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By the Publisher's Editorial Staff

AM JUR 2d, State and Local Taxation §§ 296, 297, 307, 316.

McKINNEY'S, RPTL 420-a (3) (a).

NY JUR 2d, Buildings, Zoning, and Land Controls § 380; NY

JUR 2d, Taxation and Assessment §§ 167, 171–178, 180, 181, 185.

NEW YORK REAL PROPERTY SERVICE § 60:15.

ANNOTATION REFERENCE

Prospective use for tax-exempt purposes as entitling property to tax exemption. 54 ALR3d 9.

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Query: 420-a /s exempt! /s property /s religio! & unimproved vacant

POINTS OF COUNSEL

Shamberg Marwell Hocherman Davis & Hollis, P.C., Mount Kisco (*John S. Marwell*, *Adam L. Wekstein* and *Geraldine N. Tortorella* of counsel), and *Bleakley Platt & Schmidt, LLP*, White Plains (*Hugh D. Fyfe* of counsel), for appellant. I. In violation of all applicable law and the Constitution, the Appellate Division decision conditioned a bona fide religious organization's entitlement to the mandatory exemption of RPTL 420-a (3) on the receipt of land use approvals deemed necessary by the local taxing authorities. (*Matter of Korean Joong Bu Presbyt. Church of N.Y. v Incorporated Vil. of Old Westbury*, 303 AD2d 755; *McGann v Incorporated Vil. of Old Westbury*, 293 AD2d 581, 98 NY2d 728, 99 NY2d 532; *Matter of Colella v Board of Assessors of County of Nassau*, 266 AD2d 286, 95 NY2d 401; *Congregation K'h'al Torath Chaim v Town of Ramapo*, 72 AD2d 804; *Matter of Board of Foreign Missions of M.E. Church v Board of Assessors of City of Yonkers*, 244 NY 42; *People ex rel. National Academy of Design v Feitner*, 31 Misc 565; *Matter of Metropolitan Life Ins. Co. v Boland*, 281 NY 357; *Williams Institutional Colored M.E. Church v City of New York*, 275 App Div 311, 300 NY 716; *People ex rel. Doctors Hosp. v Sexton*, 267 App Div 736, 295 NY 553; *Matter of Brown v Wing*, 93 NY2d 517.) II. The proposed use of the property is permitted without a special permit as a "place of worship" under the zoning ordinance and is tax exempt. (*Matter of Carroll v Ingram*, 59 AD2d 85, 43 NY2d 642, 44 NY2d 948; *People v Eulo*, 63 NY2d 341; *Matter of Stefco Realty Corp. v Commerdinger*, 29 Misc 2d 587; *Matter of Tonis v Board of Regents of Univ. of State of N.Y.*, 295 NY 286; *Matter of Briar Hill Lanes v Town of Ossining Zoning Bd. of Appeals*, 142 AD2d 578; *Matter of Kamhi v Planning Bd. of Town of Yorktown*, 59 NY2d 385; *Matter of Toys "R" Us v Silva*, 89 NY2d 411; *Matter*

of *Allen v Adami*, 39 NY2d 275; *Jewish Reconstructionist Synagogue of N. Shore v Incorporated Vil. of Roslyn Harbor*, 38 NY2d 283, 39 NY2d 744, 426 US 950; *Matter of Diocese of Rochester v Planning Bd. of Town of Brighton*, 1 NY2d 508.)

Thacher Proffitt & Wood LLP, White Plains (*Lino J. Sciarretta*, *Kevin J. Plunkett* and *Stefanie A. Bashar* of counsel), for respondents. I. The Legion of Christ, Incorporated cannot use the property as proposed without a special permit and is thus not entitled to a real property tax exemption. (*Matter of Retail Prop. Trust v Board of Zoning Appeals of Town of Hempstead*, 98 NY2d 190; *Matter of Oxford Group-Moral Re-Armament, MRA v Sweet*, 309 NY 744; *Matter of United States Columbarium Co. v Tax Commn. of City of N.Y.*, 19 Misc 2d 256; *Matter of Colella v Board of Assessors of County of Nassau*, 266 AD2d 286, 95 NY2d 401; *Jewish Mental Health Socy. v Village of Hastings-on-Hudson*, 255 App Div 77, 279 NY 764; *McGann v Incorporated Vil. of Old Westbury*, 293 AD2d 581, 98 NY2d 728; *Matter of Korean Joong Bu Presbyt. Church of N.Y. v Incorporated Vil. of Old Westbury*, 303 AD2d 755; *Town of Mount Pleasant v Legion of Christ*, 266 AD2d 532; *Congregation K'hal Torah Chaim v Town of Ramapo*, 72 AD2d 804; *Economic Opportunity Commn. of Nassau County v Village of Hempstead*, 148 AD2d 570, 74 NY2d 608.) II. The Legion of Christ, Incorporated's proposed use is for a "religious institution" under the Town of Mount Pleasant Zoning Code. (*People v Finnegan*, 85 NY2d 53; *People v Correa*, 248 AD2d 630, 93 NY2d 821; *People v Gaskins*, 171 AD2d 272; *Matter of OnBank & Trust Co.*, 90 NY2d 725; *McGann v Incorporated Vil. of Old Westbury*, 186 Misc 2d 661, 293 AD2d 581.)

Anthony J. Vlatas, Washington, D.C., and *Anthony R. Picarello, Jr.*, for The Becket Fund for Religious Liberty, amicus curiae. I. Requiring local land use permits as a condition of tax exemption for religious groups would needlessly introduce a prolific source of religious discrimination into the administration of the tax laws. (*City of Boerne v Flores*, 521 US 507; *Employment Div., Dept. of Human Resources of Or. v Smith*, 494 US 872; *Church of the Lukumi Babalu Aye, Inc. v Hialeah*, 508 US 520; *Board of Trustees of Univ. of Ala. v Garrett*, 531 US 356.) II. Religious discrimination in the application of the tax laws would violate multiple, overlapping protections of the First and Fourteenth Amendments to the United States Constitution. (*City of Cleburne, Tex. v Cleburne Living Ctr.*, 473 US 432; *Pace Resources, Inc. v Shrewsbury Twp.*, 808 F2d 1023; *Village of*

Willowbrook v Olech, 528 US 562; *Wolff v McDonnell*, 418 US 539; *Dent v West Virginia*, 129 US 114; *State of Wash. ex rel. Seattle Tit. Trust Co. v Roberge*, 278 US 116; *Nectow v City of Cambridge*, 277 US 183; *Village of Euclid, Ohio v Ambler Realty Co.*, 272 US 365; *Moore v City of E. Cleveland, Ohio*, 431 US 494; *Schad v Borough of Mount Ephraim*, 452 US 61.)

OPINION OF THE COURT

CIPARICK, J.

We are called upon by this appeal to interpret the contemplation in “good faith” component of RPTL 420-a (3) (a), and determine whether the courts below improperly imposed a precondition on the taxpayer before authorizing a religious use tax exemption.

Taxpayer petitioner Legion of Christ, Incorporated is a religious order of the Roman Catholic Church and a nonprofit corporation within the meaning of RPTL 420-a (1). As described in its certificate of incorporation, it was formed to provide religious instruction and education as well as residence, government and direction for its members.

In December 1996, Legion purchased an unimproved 168-acre parcel of land (the subject property) and a contiguous 97-acre parcel improved with structures from its prior owner, International Business Machines (IBM). As described in its application for real property tax exemption, Legion intended to use the subject property “in connection with the training and education of Catholic laity, priests and seminarians at the Legion’s Conference Center on the adjacent” 97-acre parcel. Legion planned to develop the property into a “campus-like environment” where members could enjoy “quiet reflection, meditation, reading, studying and group discussions.” In addition, the property was to be developed “for outdoor religious activities”—including an outdoor chapel, a rosary path, Stations of the Cross and a grotto. There would also be recreational sites such as sport fields, picnic areas and gardens.

The subject property is located in the OB-1 General Office Building District of respondent Town of Mount Pleasant. Pursuant to the Town Zoning Code, the principal use of property within the OB-1 zone for a church or other place of worship is permitted as of right. However, a special use permit is required to develop property in the district for other forms of religious activity.

In May 1997, while the subject property was still unimproved, Legion applied for tax exempt status for the subject property

under RPTL 420-a, which governs tax exemption for the real property of nonprofit religious organizations. In support of its application, Legion attached (1) its certificate of incorporation, (2) a site plan prepared by its retained land use planning specialist, (3) a proposed schedule for the plan and (4) a resolution from its Board of Directors—designating \$260,000 in corporate funds for the project, authorizing trainees to provide the necessary labor and appointing a project manager. Upon review, the Assessor of the Town of Mount Pleasant denied Legion real property tax exemption.

Thereafter, Legion filed a complaint with respondent Board of Assessment Review. After a hearing, the Board denied the complaint and upheld the taxable status of the property. The Board reasoned that:

“no formal plans, building permits, special permits or other occurrences legally required to make use of the property as described in the Map of the Property submitted with the Complaint have been filed, applied for or undertaken. Mere ownership of the property and proposed plans which are not ‘crystallized’ in the form of an application for approval do not, in and of themselves, mandate tax-exempt status of the property.”

Legion commenced this tax certiorari proceeding pursuant to article 7 of the Real Property Tax Law against the Town of Mount Pleasant, its Assessor and Board of Assessment Review (collectively the Town), seeking to annul the denial of the exemption. It moved for summary judgment declaring the subject parcel tax exempt and for a stay of enforcement of the tax liens placed on the property. The Town cross-moved for summary judgment declaring the property fully taxable and to lift the stay of its enforcement of the tax liens.

Supreme Court denied Legion’s motion and granted the Town’s cross motion, adjudging the subject property fully taxable for the tax years 1997 through 2001, lifting the stay and extending the time for Legion to redeem the tax liens on the property. The court recognized that the exempt nature of Legion was not at issue and “the purposes for which petitioner uses or plans to use the subject property are exempt under the statute.” The court found that the uncompleted parts of the plan—for example, the grotto in honor of Mary and the outdoor open-air chapel—were “contemplated in good faith.” Nonetheless, it

concluded that Legion's "use of the subject parcel for its religious institution's activities [is] unlawful in the absence of the required special permit."

The Appellate Division affirmed. It reasoned that because Legion's intended principal use of the property was for religious institutional purposes, its proposed use of the property was illegal absent a special use permit and such "illegal" use barred tax exemption (303 AD2d 507, 508 [2003]). We now reverse and remit to the Appellate Division.

Discussion

Real Property Tax Law § 420-a establishes a mandatory tax exemption for real property of nonprofit corporations. To qualify for exemption under section 420-a, a party must demonstrate first, that the nonprofit corporation is "conducted exclusively for religious, charitable, hospital, educational, or moral or mental improvement of men, women or children purposes, or for two or more such purposes" and second, that the property is "used exclusively for carrying out thereupon one or more of such purposes" (RPTL 420-a [1] [a]). Where the property for which exemption is being sought is unimproved, as it is here, and, therefore, not being used to further any of the enumerated objectives, it is still possible for nonprofit organizations to receive tax exemption for their land. Section 420-a (3) of the Real Property Tax Law provides, in pertinent part:

"Such real property from which no revenue is derived shall be exempt though not in actual use therefor by reason of the absence of suitable buildings or improvements thereon if (a) the construction of such buildings or improvements is in progress or is in *good faith contemplated* by such corporation or association . . ." (RPTL 420-a [3] [emphasis added]).

To demonstrate that the improvements are in "good faith contemplated" within the meaning of section 420-a, the applicant seeking an exemption must have "concrete and definite plans for utilizing and adopting the property for exempt purposes within the reasonably foreseeable future" (*Congregation K'hal Torath Chaim v Town of Ramapo*, 72 AD2d 804, 805 [2d Dept 1979] [quoting 4 Ops Counsel SBEA No. 52, at 90 (1975)]; see also 10 Ops Counsel SBRPS No. 72 [1998]; *Economic Opportunity Commn. of Nassau County v Village of Hempstead*, 148 AD2d 570, 572 [2d Dept 1989]).

The parties dispute whether Legion's improvements were in good faith contemplated to facilitate the religious use of the property. Legion argues that an application for a special use permit, while at times a relevant factor in determining good faith, cannot properly be made a prerequisite to real property tax exemption under section 420-a (3) (a). The Town contends that Legion's failure to apply for a special use permit for the relevant tax years—1997 through 2001—refutes any claim that it had a “concrete or definite plan” to develop the property for religious institutional purposes. It further argues that Legion's intended use of the property was illegal absent a special use permit and, therefore, Legion was barred from tax exemption. While generally tax exemption statutes must be construed against the taxpayer, they should not be so narrowly interpreted as to defeat their settled purpose to encourage, foster and protect religious institutions as a public benefit (*see Matter of Yeshivath Shearith Hapletah v Assessor of Town of Fallsburg*, 79 NY2d 244, 249 [1992]; *see also People ex rel. Watchtower Bible & Tract Socy. v Haring*, 8 NY2d 350, 358 [1960]).

The Town's reliance on *Matter of Oxford Group-Moral Re-Armament, MRA v Allen* (309 NY 744 [1955] [arising under the predecessor statute to section 420-a]) is misplaced. *Oxford* involved land that was already developed and actually being used for exempt purposes in violation of the municipal zoning law, not property that was vacant or otherwise unimproved, as is the case here. *Oxford* provides no support for the proposition that nonprofit organizations must acquire or apply for special permits to qualify for tax exemption on the basis of good faith. The additional requirement imposed by the Appellate Division that an applicant must possess a special use permit is also not found in section 420-a. We, therefore, reject the proposition that a special use permit is required as a condition precedent to a real property tax exemption pursuant to Real Property Tax Law § 420-a (3) (a).

An application for a special use permit may well be a factor in determining good faith. A zoning authority may look to other criteria to determine if in fact a public benefit improvement is contemplated and is the subject of concrete or definite plans. The inquiry necessarily is fact-specific. Moreover, each taxable year is distinct and separate for purposes of RPTL 420-a (3) (a) exemption eligibility. With each application for renewal, the boundaries of good faith take on new dimensions. As years pass, the taxpayer may reasonably be required to show some concrete

act toward developing or otherwise improving the property to carry out the tax exempt purpose. Property must not be allowed to lie idle indefinitely at the expense of the locality and its citizens. This “landbanking” has the effect of diminishing the tax base of a locality and increasing the tax burden for schools and other municipal operations.

The Appellate Division erred in determining that the proposed use was illegal absent the acquisition of a special use permit. The Court therefore did not undertake a review of the issue of “good faith contemplat[ion]” and instead concluded the principal use of the property was to be for “religious institution[al] purposes, not for worship” (303 AD2d at 508). The proper inquiry should have been whether the development of the property for tax exempt purposes was “in good faith contemplated.” As the Appellate Division never reached that issue, we remit to it for that purpose.* In light of our determination, we need not consider Legion’s other arguments.

Accordingly, the order of the Appellate Division should be reversed, with costs, and the case remitted to that Court for further proceedings in accordance with this opinion.

R.S. SMITH, J. (dissenting in part). I agree that the Appellate Division committed an error of law in holding that the absence of a special permit barred petitioner’s application for a real property tax exemption. On my view of the record, however, that error was the sole basis on which the application was or could have been denied. I therefore see no need to remit for further proceedings, and would simply grant petitioner’s motion for summary judgment annulling the denial of the tax exemption.

Petitioner presented to the respondent Board of Assessment Review (BAR) and to the courts below a development plan, pre-

* We disagree with the dissent’s conclusion that “the parties’ submissions to Supreme Court contain nothing that places petitioner’s good faith in doubt” and that the Board did not “find the petitioner was not intending to use the property in the way it said it was, or even suggest there was any doubt about petitioner’s intention” (dissenting op at 414). Specifically, in its affidavit in support of its cross motion for summary judgment and its reply affidavit in further support of that cross motion, the Town argued both that a special use permit was a prerequisite to tax exemption and that Legion’s failure to submit an application for a special use permit refuted that Legion had a concrete plan to develop the property. The Town has consistently argued that the improvements proposed by Legion have not been the subject of concrete or definite plans to meet the good faith component of RPTL 420-a (3) (a).

pared by an outside land use planner, to use the property for outdoor religious activities, including Stations of the Cross, a grotto of Our Lady, an outdoor chapel and a rosary path. It is not disputed that the property, if so used, would be entitled to a tax exemption, so the only possible issue is whether the proposed use was “in good faith contemplated” within the meaning of RPTL 420-a (3) (a). I see no basis in the record for doubting that it was.

No evidence suggests, and no one has advanced the theory, that petitioner’s plan for the property was a sham designed to preserve a tax exemption, and that the petitioner was in fact planning to leave the property unimproved or to develop it in some nonexempt way. The sole fact on which the BAR and the courts below relied in denying the exemption was that petitioner had not fulfilled applicable legal requirements for its proposed use—principally, that it had not applied for or obtained a special permit. But petitioner’s reason for not applying was that it did not believe a special permit to be required; in petitioner’s view, the proposed use would constitute a “[c]hurch [or] other place[] of worship” under the applicable zoning ordinance. Whether petitioner is right or wrong about this, its decision not to apply for a special permit does not, under these circumstances, create any doubt about its good faith in contemplating the development described in its submission.

The BAR denied a tax exemption solely because “no formal plans, building permits, special permits or other occurrences legally required to make use of the property . . . have been filed, applied for or undertaken.” The BAR did not find the petitioner was not intending to use the property in the way it said it was, or even suggest there was any doubt about petitioner’s intention. Similarly, the parties’ submissions to Supreme Court contain nothing that places petitioner’s good faith in doubt. Supreme Court specifically found: “whatever parts of the . . . plan [submitted by petitioner] have not been completed . . . are contemplated in good faith.”

This finding was not challenged by respondents on appeal; it was not disturbed by the Appellate Division; and it was not (and could not be) questioned in this Court. Indeed, it seems that the parties and the lower courts have operated on the assumption that petitioner’s right to a tax exemption turns entirely on the issue of whether a special permit is a prerequisite to the exemption. Since we unanimously rule in petitioner’s favor on this issue, I see no basis for denying summary judgment to petitioner.

Accordingly, I would reverse and grant petitioner's motion for summary judgment, and I respectfully dissent from so much of the Court's opinion as does otherwise.

Chief Judge KAYE and Judges G.B. SMITH, ROSENBLATT, GRAFFEO and READ concur with Judge CIPARICK; Judge R.S. SMITH dissents in part in a separate opinion.

Order reversed, etc.

[807 NE2d 268, 775 NYS2d 219]

ALLSTATE INSURANCE COMPANY, as Subrogee of AMY M. WALKER,
Appellant, v DANIEL J. STEIN, Respondent. (And Two Other
Actions.)

Argued January 13, 2004; decided February 19, 2004

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered May 2, 2003. The Appellate Division, with two Justices dissenting, modified, on the law, an order of the Supreme Court, Niagara County (Lane, J.), which, among other things, had denied a motion by Daniel J. Stein to dismiss action No. 3. The Appellate Division's modification consisted of granting the motion and dismissing that action as time-barred.

Allstate Ins. Co. v Stein, 305 AD2d 972, affirmed.

HEADNOTE**Limitation of Actions — When Cause of Action Accrues — Subrogation Rights of Insurer**

In an action by an insurance company as subrogee of an accident victim to whom the insurance company has paid additional personal injury protection (APIP) benefits, the statute of limitations runs from the date of the accident, not from the date when the first APIP benefits were paid, and the insurer's action is therefore time-barred. The insurer's subrogation action is governed by the same statute of limitations applicable to the underlying personal injury action. The insurer's claim herein involved traditional equitable subrogation, not a liability created by statute, and the risk that the insurer's claim may be time-barred before the right of subrogation exists is inherent in subrogation. The insurer's plight resulted from its own failure to insist on a resolution of its subrogation claim against the tortfeasor for APIP payments as part of a global settlement of the personal injury claims.

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By the Publisher's Editorial Staff

AM JUR 2d, Insurance §§ 1768, 1775.

CARMODY-WAIT 2d, Limitation of Actions §§ 13:134, 13:227.

COUCH ON INSURANCE (3d ed) § 234:67.

NY JUR 2d, Insurance §§ 2173, 2194, 2340.

SIEGEL, NY Prac § 40.

ANNOTATION REFERENCE

See ALR Index under Limitation of Actions; Subrogation.

FIND SIMILAR CASES ON WESTLAW®

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Query: subrogat! /s insurer & limitation /s date /5 accident benefit

POINTS OF COUNSEL

Chelus, Herdzik, Speyer, Monte & Pajak, P.C., Buffalo (Gregory V. Pajak and Kevin E. Loftus of counsel), for appellant. The Appellate Division, Fourth Department, incorrectly held that the statute of limitations for Allstate's additional personal injury protection subrogation action had expired. (*Matter of Motor Veh. Acc. Indem. Corp. v Aetna Cas. & Sur. Co.*, 89 NY2d 214; *Aetna Life & Cas. Co. v Nelson*, 67 NY2d 169; *Cardinell v Allstate Ins. Co.*, 258 AD2d 853; *Hartford Acc. & Indem. Co. v CNA Ins. Cos.*, 99 AD2d 310; *Scavone v Kings Craft Corp.*, 55 AD2d 807.)

Bouvier, O'Connor, LLP, Buffalo (Norman E.S. Greene of counsel), for respondent. I. Institution by Allstate of the subrogation action against Daniel J. Stein is barred by the statute of limitations as untimely, given the background facts and circumstances of this action. (*Matter of Motor Veh. Acc. Indem. Corp. v Aetna Cas. & Sur. Co.*, 89 NY2d 214; *Matter of Allstate Ins. Co. [Clarendon Natl. Ins. Co.]*, 259 AD2d 971; *Matter of Prudential Prop. & Cas. Ins. Co. [Bacchus]*, 226 AD2d 384; *Nationwide Mut. Ins. Co. v Schwartz*, 172 Misc 2d 503; *Aetna Life & Cas. Co. v Nelson*, 67 NY2d 169; *Country Wide Ins. Co. v Osathanugrah*, 94 AD2d 513; *Liberty Mut. Ins. Co. v Clark*, 296 AD2d 442; *Seven Sixty Travel v American Motorists Ins. Co.*, 98 Misc 2d 509; *State Farm Mut. Auto Ins. Co. v Regional Tr. Serv.*, 79 AD2d 858; *Blacharsh v Hartford Ins. Group*, 104 AD2d 839.) II. Since Allstate's insureds provided an unrestricted general release to the defendant Stein which was acquiesced in by Allstate, any alleged subrogation right by Allstate has been waived and is otherwise barred by execution of the release. (*Weinberg v Transamerica Ins. Co.*, 62 NY2d 379; *Matter of Allstate Ins. Co. [Liberati]*, 280 AD2d 922; *New York Cent. Mut. Fire Ins. Co. v Danaher*, 290 AD2d 783.)

OPINION OF THE COURT

R.S. SMITH, J.

This appeal concerns the timeliness of an action by an insurance company as subrogee of an accident victim to whom the insurance company has paid additional personal injury protection (APIP) benefits. The question presented is whether the statute of limitations runs from the date of the accident or the date

when the first APIP benefits were paid. We hold that the statute runs from the date of the accident, and that the insurer's action is therefore time-barred.

Factual Background

On May 24, 1995, a vehicle operated by Daniel Stein struck a vehicle being operated by Amy Walker and injured her. New York's No-Fault Law required that Walker have insurance coverage providing "[f]irst party benefits" consisting of reimbursement, to the extent specified by statute, for "[b]asic economic loss" (health expenses, loss of earnings, and other reasonable and necessary expenses) (Insurance Law § 5102 [a], [b]; § 5103 [a]). As the term "no-fault" implies, these first party benefits were payable to Walker regardless of who was at fault, and neither Walker nor her insurer could recover them from Stein (Insurance Law § 5104 [a]).

As authorized by New York Insurance Department Regulations (11 NYCRR) § 65-1.3 (though not required by statute), Walker had also purchased an APIP endorsement from Allstate Insurance Company covering her for "extended economic loss"—i.e., economic loss exceeding the time and dollar limits of the "basic economic loss" that is subject to mandatory no-fault coverage. Recovery of "extended economic loss" from third parties is not restricted by the no-fault statute.

On August 2, 1996, Walker began an action against Stein in Supreme Court, alleging that she had sustained a serious injury, which would permit her to recover noneconomic loss without violating the no-fault statute (Insurance Law § 5104 [a]), and also seeking to recover economic loss other than her basic economic loss. Thus, Walker sought to recover from Stein the same "extended economic loss" that was covered by the APIP endorsement in her Allstate policy.

By June 29, 1998, Walker's basic no-fault coverage had evidently been exhausted, and Allstate made its first payment of APIP benefits to Walker. Allstate alleges that by May of 2001 it had paid more than \$42,000 to Walker in APIP benefits. By making those payments, Allstate became subrogated to a portion of Walker's claim against Stein.

On February 20, 2001, counsel for the parties in Walker's action against Stein appeared, along with counsel for Allstate, at a conference before Supreme Court. Walker's counsel stated that Walker and Stein had agreed on a \$300,000 settlement of the action. Counsel for Stein stated that the release Stein expected

to get from Walker “cuts off any rights that Allstate would have against either Mr. Stein or [Stein’s insurance carrier]” and requested a “clarification . . . to that effect” from Allstate’s counsel. Allstate’s counsel, without commenting directly on the request for clarification, stated that Walker “has been made aware of the possible subrogation claim in the amount of 43 thousand dollars . . . and that she understands that in entering into this release.” Counsel for Walker added his own “clarification” stating that Walker is “giving a general release to the defendant [and] . . . is reserving whatever rights or obligations or defenses she or her husband may have to any party to this proceeding, including Allstate Insurance Company, and I’m not conceding on the record that there’s a right of subrogation or anything else.”

Thus, it seems that the three parties represented at the conference had three different, and inconsistent, understandings of the settlement: Stein understood that he was getting a complete release, good against both Walker and Allstate; Allstate understood that it was preserving what it called a “subrogation claim,” though its counsel’s statement may be read as implying a claim against Walker for part of the \$300,000, rather than against Stein for some additional amount; and Walker apparently understood that she would keep the whole \$300,000, and did not recognize that Allstate was entitled to anything. Walker’s counsel added that “[W]e’re all going to let the law . . . determine what rights and obligations, if any, anyone has,” and the court echoed this comment: “[I]t’s clear on the record that all three parties are saying that they intend to fully enforce their rights to the full extent of the law and defenses that they might have.”

On February 23, 2001, Walker’s counsel delivered to Stein’s counsel an unqualified general release in Stein’s favor, executed by Walker and her husband, but not by Allstate. Stein resisted paying Walker the full \$300,000 in return for this release. He paid Walker \$200,000, and sought to require Walker and Allstate to resolve the allocation of the remaining \$100,000 between themselves: first, Stein offered a \$100,000 draft payable to both Walker and Allstate; he later began an interpleader action. Walker rejected the \$100,000 draft and caused a judgment in the amount of \$100,000 to be entered against Stein. Stein moved to vacate the judgment.

Despite its counsel’s comments at the settlement hearing, Allstate apparently made no effort to recover from Walker any por-

tion of the \$300,000 settlement. However, on May 4, 2001 Allstate, “as Subrogee of Amy M. Walker,” began its own action against Stein. This action, the third to be brought (after Walker’s original lawsuit and Stein’s interpleader action), is the one whose timeliness is now in issue. Allstate’s complaint alleged that Walker had been injured through Stein’s negligence; that as a result of those injuries, she had suffered losses for which Allstate paid her compensation in the form of APIP benefits; that Allstate had become Walker’s subrogee under the terms of its policy and the applicable insurance regulations; and that Allstate was therefore entitled to recover from Stein the APIP benefits it had paid. Stein moved to dismiss Allstate’s action based on, among other grounds, the statute of limitations.

Supreme Court resolved the three-cornered dispute by allowing Walker’s judgment against Stein to stand, dismissing Stein’s interpleader complaint and denying Stein’s motion to dismiss Allstate’s action. Stein appealed to the Appellate Division, which, by a three-two vote, reversed the denial of Stein’s motion to dismiss, holding that Allstate’s claim was barred by the statute of limitations. Allstate appeals as of right (CPLR 5601 [a]).

Discussion

Stein contends that Allstate, as Walker’s subrogee, stands in Walker’s shoes and was therefore required to bring suit by May 24, 1998, three years after the date of Walker’s accident, and almost three years before Allstate in fact sued.¹ Allstate contends that, by making APIP payments to Walker, it acquired a new cause of action against Stein on June 29, 1998 and was permitted to sue until three years after that date.²

In deciding the issue in Stein’s favor, the Appellate Division majority analyzed the question, we think correctly, as follows:

“Allstate’s subrogation action is governed by the same statute of limitations applicable to action No. 1, the personal injury action commenced by the Walkers against Stein. That is consistent with the principles that a subrogation claim is derivative of

1. CPLR 214 (5) imposes a three-year statute of limitations for most personal injury actions.

2. Allstate relies on CPLR 214 (2), providing a three-year limitation period for “an action to recover upon a liability, penalty or forfeiture created or imposed by statute.”

the underlying claim and that the subrogee possesses only such rights as the subrogor possessed, with no enlargement or diminution. It is likewise consistent with the principle that a defendant in a subrogation action has against the subrogee all defenses that he would have against the subrogor, including the same statute of limitations defense that could have been asserted against the subrogor” (305 AD2d 972, 974 [2003] [citations omitted]).

Allstate does not dispute that the above quotation correctly states the law applicable to subrogation generally. It contends, however, that the right asserted by Allstate in this case is not an ordinary subrogation right, but a creature of statute (as implemented by Insurance Department regulation), and that this case is therefore analogous to *Matter of Motor Veh. Acc. Indem. Corp. v Aetna Cas. & Sur. Co.* (89 NY2d 214 [1996] [MVAIC]) and *Aetna Life & Cas. Co. v Nelson* (67 NY2d 169 [1986]).

MVAIC concerned the right of the Motor Vehicle Accident Indemnification Corporation (MVAIC) to recover from the insurer of a vehicle no-fault benefits that MVAIC had paid after the vehicle’s insurer denied coverage. In that case, the defendant insurer claimed that MVAIC’s right was “in the nature of subrogation” and that MVAIC thus had no greater rights than its insured and was subject to the same statute of limitations (*MVAIC*, 89 NY2d at 220). This Court held otherwise, stating that MVAIC’s entitlement to reimbursement was “created or imposed by statute, but for which [it] would not exist” (*id.* at 221).

The *MVAIC* court relied on *Aetna Life & Cas. Co. v Nelson*, which concerned the attempt of a no-fault insurer to enforce a statutory lien pursuant to Insurance Law § 673 (2) (now § 5104 [b]). Noting that the statute of limitations contained in CPLR 214 (2) “only governs liabilities which would not exist but for a statute” (67 NY2d at 174), this Court in *Aetna* held that the liability there at issue was in that category. We stated that the statute creating that liability

“does not codify common-law principles; it creates new and independent statutory rights and obligations in order to provide a more efficient means for adjusting financial responsibilities arising out of automobile accidents” (*id.* at 175 [citation omitted]).

This case is different from *MVAIC* and *Aetna* because it involves a traditional equitable subrogation, not a liability created by statute. Indeed, no statute even refers to APIP benefits, much less a subrogation claim by an APIP carrier against a tortfeasor. Allstate relies not on a statute but on an Insurance Department regulation, 11 NYCRR 65-1.3, which sets forth a form of APIP endorsement which is “approved and promulgated” by the Department of Insurance (§ 65-1.3 [a]). The APIP endorsement approved by the Department includes a subrogation clause, as follows:

“In the event of any payment for extended economic loss, the Company is subrogated to the extent of such payments to the rights of the person to whom, or for whose benefit, such payments were made. Such person must execute and deliver instruments and papers and do whatever else is necessary to secure such rights. Such person shall do nothing to prejudice such rights.”

The regulation, however, does not create a new right which did not exist at common law, but merely prescribes the form of a clause that declares Allstate’s pre-existing right. On the facts of this case, Allstate would have a right of subrogation against Stein if there were no applicable regulation, and indeed even if there were no explicit subrogation clause in the insurance policy. Subrogation is a venerable equitable doctrine, not a recent invention of the Insurance Department. Almost 80 years ago, our Court explained the doctrine of subrogation as follows:

“It is so well settled as not to require discussion that an insurer who pays claims against the insured for damages caused by the default or wrongdoing of a third party is entitled to be subrogated to the rights which the insured would have had against such third party for its default or wrongdoing. This right of subrogation is based upon principles of equity and natural justice. We recognize at once the fairness of the proposition that an insurer who has been compelled by his contract to pay to or in behalf of the insured claims for damages ought to be reimbursed by the party whose fault has caused such damages . . .” (*Ocean Acc. & Guar. Corp. v Hooker Electrochemical Co.*, 240 NY 37, 47 [1925]; see also *Aetna Cas. & Sur. Co. v Jackowe*, 96 AD2d

37, 44 [2d Dept 1983] [quoting, in the context of an APIP carrier's subrogation rights, the statement in *Kozlowski v Briggs Leasing Corp.*, 96 Misc 2d 337, 342 (Sup Ct, Kings County 1978): "subrogation is equitable in nature, not dependent on contract"]).

Allstate protests that, if the statute of limitations on its subrogation claim runs from the date of the accident, the claim may be time-barred before the right of subrogation exists, so that the subrogee would never have an opportunity to bring suit on the claim. But this sort of risk is inherent in subrogation; the subrogee acquires only the rights that the subrogor had, and so any subrogee may find its claim defeated by a defense based on the subrogor's action or inaction. In such a case, the subrogee's remedy is against the subrogor, for conduct that has prejudiced the subrogee's right. The APIP endorsement quoted above specifically provides that the subrogor shall "do nothing to prejudice" the insurer's rights of subrogation. This provision too is merely declaratory of longstanding equitable principles (*see e.g. Ocean*, 240 NY at 47).

As the Appellate Division majority pointed out, Allstate's plight here results from its own failure "to insist on the resolution of its subrogation claim against the tortfeasor for APIP payments as part of a global settlement of the personal injury claims" (305 AD2d at 975). Nothing required Allstate to acquiesce, as it did, in a settlement between Walker and Stein in which all the consideration went to Walker and none to Allstate. Allstate was, by virtue of subrogation, entitled to the portion of Walker's recovery that is allocable to her claim for "extended economic loss." At the February 20, 2001 conference Allstate's counsel seemed to recognize this, stating to the court that "the plaintiff has been made aware of the possible subrogation claim in the amount of 43 thousand dollars." But Allstate never followed up the implied threat to recover its \$43,000 from the settlement proceeds that Walker received, choosing instead to bring a time-barred action against Stein.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSENBLATT, GRAFFEO and READ concur.

Order affirmed, with costs.

[806 NE2d 979, 774 NYS2d 866]

JOHN CHAMBERS et al., Respondents, v OLD STONE HILL ROAD ASSOCIATES et al., Appellants.

Argued January 13, 2004; decided February 24, 2004

SUMMARY

APPEALS, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered March 17, 2003. The Appellate Division affirmed, insofar as appealed from, so much of an order and judgment (one paper) of the Supreme Court, Westchester County (James R. Cowhey, J.), as had (1) granted plaintiffs' motion for summary judgment on the first and second causes of action, (2) permanently enjoined defendants from violating the restrictive covenants at issue, and (3) directed defendants to remove a wireless telecommunications service facility from the encumbered property.

Chambers v Old Stone Hill Rd. Assoc., 303 AD2d 536, affirmed.

HEADNOTES**Deeds — Restrictive Covenants — Cellular Telephone Tower — Public Policy**

1. In an action to enforce restrictive covenants limiting development to single-family homes on lots leased by defendant landowner to defendant cellular telephone company for construction of a tower to provide cellular service to the town and surrounding area, enforcement of the covenants did not offend the public policy embodied in the Telecommunications Act of 1996 (TCA). Although the TCA makes it unlawful to prohibit wireless telecommunications services (47 USC § 332 [c] [7] [B] [i] [II]), upholding plaintiffs' contractual rights did not prohibit the provision of wireless telecommunications services in the town. The Town's determination that the selected site might be the best single site solution was not a determination that it was the only site for the tower. Moreover, the Town's authority to grant the special permit for construction of the tower was not negated by the enforcement of the restrictive covenants and removal of the tower. The issuance of the special permit was separate and distinct from plaintiffs' right to enforce the restrictive covenants.

Deeds — Restrictive Covenants — Cellular Telephone Tower — Balancing of Equities

2. In an action to enforce restrictive covenants limiting development to single-family homes on lots leased by defendant landowner to defendant cellular telephone company for construction of a tower to provide cellular service to the town and surrounding area, defendants were not entitled to extinguish the restrictive covenants under RPAPL 1951 (2). Defendants failed to prove that plaintiffs did not derive any actual and substantial benefit from restrict-

ing the land to solely residential use. Nor did defendants' alleged hardships tip the balance of equities in favor of extinguishing plaintiffs' rights. Defendants proceeded with construction of the tower despite knowing about the restrictive covenants and of plaintiffs' intention to enforce them, and they failed to show that the restrictions' purpose in retaining the residential nature of the area was not capable of being accomplished or that there were any changed conditions warranting the granting of relief from the covenants.

TOTAL CLIENT-SERVICE LIBRARY® REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Covenants, Conditions, and Restrictions §§ 175, 176, 196, 251, 253, 256, 257, 259, 260, 263.

McKINNEY'S, RPAPL 1951.

NY JUR 2d, Deeds §§ 116, 150, 154, 156, 159, 168, 169; NY JUR 2d, Telecommunications §§ 68, 184.

NEW YORK REAL PROPERTY SERVICE §§ 21:18, 21:29, 21:48-21:58.

ANNOTATION REFERENCE

Who may enforce restrictive covenant or agreement as to use of real property. 51 ALR3d 556.

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POINTS OF COUNSEL

Snyder & Snyder, LLP, Tarrytown (*David L. Snyder* and *Leslie J. Snyder* of counsel), for New York SMSA Limited Partnership, appellant. I. Because the decisions below are contrary to well-established public policy, they must be reversed. (*Matter of Cellular Tel. Co. v Rosenberg*, 82 NY2d 364; *Omnipoint Communications, Inc. v City of White Plains*, 175 F Supp 2d 697; *Crane Neck Assn. v New York City/Long Is. County Servs. Group*, 92 AD2d 119, 61 NY2d 154, 469 US 804; *Quinones v Board of Mgrs. of Regalwalk Condominium I*, 242 AD2d 52; *Board of Mgrs., Artist Lake Condominium v Rios*, 166 Misc 2d 381; *Bell v Gitlitz*, 65 Misc 2d 998, 38 AD2d 656; *Reno v American Civ. Liberties Union*, 521 US 844; *Lucas v Planning Bd. of Town of LaGrange*, 7 F Supp 2d 310; *Memphis Light, Gas & Water Div. v Craft*, 436 US 1; *Burgess v City of Houston*, 718 F2d 151.) II. The tower is not a "building" and hence is not prohibited by the covenant. (*Matter of Bell Atl. NYNEX Mobile v Lonergan*, 172 Misc 2d 317, 251 AD2d 660; *Proper v Southwestern Bell*

Mobile Sys., 266 AD2d 607; *Matter of Jaffee v RCI Corp.*, 119 AD2d 854; *Thrun v Stromberg*, 136 AD2d 543; *Kaufman v Fass*, 302 AD2d 497; *Blueberries Gourmet v Aris Realty Corp.*, 291 AD2d 520; *E.M.R. Mgt. Corp. v Halstead Harrison Assoc.*, 299 AD2d 393; *Sunrise Plaza Assoc. v International Summit Equities Corp.*, 152 AD2d 561, 75 NY2d 703; *Battista v Pine Is. Park Assn.*, 28 AD2d 714; *Premium Point Park Assn. v Polar Bar*, 306 NY 507.) III. The decisions below should be reversed because, in refusing to grant relief from the covenant under RPAPL 1951, the court applied an incorrect standard, relied on impermissible evidence and failed to perform the requisite balancing test. (*Orange & Rockland Util. v Philwold Estates*, 52 NY2d 253; *Deak v Heathcote Assn.*, 191 AD2d 671; *Matter of Zimmerman v Seven Corners Dev.*, 237 AD2d 892; *Board of Educ., E. Irondequoit Cent. School Dist. v Doe*, 88 AD2d 108; *Rosenman Colin Freund Lewis & Cohen v Edelman*, 165 AD2d 533; *Town of Tonawanda v Ayler*, 68 NY2d 836; *Clintwood Manor v Adams*, 29 AD2d 278, 24 NY2d 759; *Bardach v Mayfair-Flushing Corp.*, 49 Misc 2d 380, 26 AD2d 620, 18 NY2d 580; *Goldstein v Rosenberg*, 191 App Div 492; *Pulitzer v Campbell*, 146 Misc 700.) IV. As a matter of law and equity, plaintiffs-respondents were not entitled to a mandatory injunction requiring removal of the tower. (*Goodfarb v Freedman*, 76 AD2d 565; *Forstmann v Joray Holding Co.*, 244 NY 22; *Village Greens Residents Assn. v Karolewicz*, 83 AD2d 550; *Syracuse Supply Co. v Railway Express Agency*, 45 Misc 2d 1000, 27 AD2d 635, 20 NY2d 718; *DiMarzo v Fast Trak Structures*, 298 AD2d 909; *Bell v Gitlitz*, 38 AD2d 656; *Sunrise Plaza Assoc. v International Summit Equities Corp.*, 288 AD2d 300; *Medvin v Grauer*, 46 AD2d 912; *Generalow v Steinberger*, 131 AD2d 634; *Horton v Niagara, Lockport & Ontario Power Co.*, 231 App Div 386.)

Banks Shapiro Gettinger Waldinger & Brennan, LLP, Mount Kisco (*Mona D. Shapiro* of counsel), for Old Stone Hill Road Associates, appellant. I. As a matter of law, because enforcement of the restrictive covenant would frustrate an important state and federal policy, it should not be enforced. (*Crane Neck Assn. v New York City/Long Is. County Servs. Group*, 61 NY2d 154; *Matter of Cellular Tel. Co. v Rosenberg*, 82 NY2d 364; *Quinones v Board of Mgrs. of Regalwalk Condominium I*, 242 AD2d 52; *Matter of Consolidated Edison Co. of N.Y. v Hoffman*, 43 NY2d 598; *Cellular Phone Taskforce v Federal Communications Commn.*, 205 F3d 82, 531 US 1070; *Sprint Spectrum, L.P. v Willoth*, 176 F3d 630; *Town of Amherst v Omnipoint Communications Enters., Inc.*, 173 F3d 9; *Nextel Partners, Inc. v Town of*

Amherst, 251 F Supp 2d 1187.) II. As a matter of law, the restrictive covenant may not be enforced to the extent that its enforcement would violate 47 USC § 332 (c) (7). (*Hillsborough County v Automated Med. Labs., Inc.*, 471 US 707; *Gibbons v Ogden*, 9 Wheat [22 US] 1; *Jones v Rath Packing Co.*, 430 US 519; *Fidelity Fed. Sav. & Loan Assn. v de La Cuesta*, 458 US 141; *English v General Elec. Co.*, 496 US 72; *Hines v Davidowitz*, 312 US 52; *Freightliner Corp. v Myrick*, 514 US 280; *Free v Bland*, 369 US 663; *Town of Amherst v Omnipoint Communications Enters., Inc.*, 173 F3d 9; *Sprint Spectrum, L.P. v Willoth*, 176 F3d 630.) III. As a matter of law, the restrictive covenant may not be enforced to the extent that its enforcement would violate 47 USC § 253. (*TCG N.Y., Inc. v City of White Plains*, 305 F3d 67; *New Jersey Payphone Assn., Inc. v Town of W. N.Y.*, 299 F3d 235; *City of Auburn v Qwest Corp.*, 260 F3d 1160; *Cippollone v Liggett Group, Inc.*, 505 US 504; *Shaw v Delta Air Lines, Inc.*, 463 US 85; *Medtronic, Inc. v Lohr*, 518 US 470; *Matter of Friends of Shawangunks v Knowlton*, 64 NY2d 387.)

Wilson, Elser, Moskowitz, Edelman & Dicker LLP, White Plains (Steven M. Silverberg and Katherine Zalantis of counsel), for respondents. I. Wireless telecommunications providers (not municipalities) select locations for wireless telecommunications facilities by entering into private agreements with landowners. Consequently, landowners (and not municipalities) are the first step in the process of locating wireless telecommunications facilities. (*Omnipoint Communications Enters., L.P. v Township of Nether Providence*, 232 F Supp 2d 430; *Matter of Consolidated Edison Co. of N.Y. v Hoffman*, 43 NY2d 598; *Matter of Consolidated Edison Co. of N.Y. v Lindsay*, 24 NY2d 309.) II. The Town Board's granting of the special permit does not prevent plaintiffs from enforcing the restrictive covenant. (*Matter of Friends of Shawangunks v Knowlton*, 64 NY2d 387.) III. The restrictive covenant does not violate a statutory or general public policy. (*Crane Neck Assn. v City of New York/Long Is. County Servs. Group*, 61 NY2d 154, 469 US 804; *Quinones v Board of Mgrs. of Regalwalk Condominium I*, 242 AD2d 52; *Board of Mgrs., Artist Lake Condominium v Rios*, 166 Misc 2d 381; *Sprint Spectrum, L.P. v Willoth*, 176 F3d 630; *Omnipoint Communications Enters., L.P. v Zoning Hearing Bd. of Easttown Twp.*, 331 F3d 386; *Second Generation Props., L.P. v Town of Pelham*, 313 F3d 620; *Matter of Cellular Tel. Co. v Rosenberg*, 82 NY2d 364; *Kemp v Rubin*, 298 NY 590; *Bell v Gitlitz*, 65 Misc 2d 998, 38 AD2d 656.) IV. The premises (the Adams Lane site) is not the only site for the facility. Consequently, removal of the facility is not equiv-

alent to a prohibition of service. (*New York SMSA Ltd. Partnership v Town of Clarkstown*, 99 F Supp 2d 381; *Airtouch Cellular v City of El Cajon*, 83 F Supp 2d 1158; *Sprint Spectrum, L.P. v Board of County Commrs. of Jefferson County*, 59 F Supp 2d 1101; *SiteTech Group Ltd. v Board of Zoning Appeals of Town of Brookhaven*, 140 F Supp 2d 255; *Cellular Tel. Co. v Town of Oyster Bay*, 166 F3d 490; *Suffolk Outdoor Adv. Co. v Hulse*, 43 NY2d 483.) V. The restrictive covenant is not vague. (*Goodfarb v Freedman*, 76 AD2d 565; *Matter of Bell Atl. NYNEX Mobile v Lonergan*, 172 Misc 2d 317, 251 AD2d 660; *Proper v Southwestern Bell Mobile Sys.*, 266 AD2d 607; *Jaffee v RCI Corp.*, 119 AD2d 854; *Mambretti v Poughkeepsie Galleria Co.*, 288 AD2d 443; *Battista v Pine Is. Park Assn.*, 28 AD2d 714; *Sprint Spectrum, L.P. v Board of Zoning Appeals of Town of Brookhaven*, 244 F Supp 2d 108; *Premium Point Park Assn. v Polar Bar*, 306 NY 507; *Verstandig's Florist v Board of Appeals of Town of Bethlehem*, 229 AD2d 851; *Mairs v Stevens*, 294 NY 806.) VI. The restrictive covenant is not unenforceable under RPAPL 1951. (*Farr v Newman*, 14 NY2d 183; *Southwestern Bell Mobile Sys., Inc. v Todd*, 244 F3d 51; *Second Generation Props., L.P. v Town of Pelham*, 313 F3d 620; *Orange & Rockland Util. v Philwold Estates*, 52 NY2d 253; *Deak v Heathcote Assn.*, 191 AD2d 671; *Garrett v Village of Asharoken*, 185 AD2d 873; *Cody v Fabiano & Sons*, 246 AD2d 726, 91 NY2d 814; *Fanning v Grosfent*, 58 AD2d 366; *Matter of Zimmerman v Seven Corners Dev.*, 237 AD2d 892; *Pulitzer v Campbell*, 146 Misc 700.) VII. Plaintiffs are entitled to a mandatory injunction requiring demolition of the facility. (*Goodfarb v Freedman*, 76 AD2d 565; *Westmoreland Assn. v West Cutter Estates*, 174 AD2d 144; *Jones v Fowler*, 201 AD2d 878.) VIII. A court's enforcement of the restrictive covenant would not have the effect of prohibiting service. (*Omni-point Communications Enters., L.P. v Township of Nether Providence*, 232 F Supp 2d 430; *Anderson v Regan*, 53 NY2d 356; *People ex rel. Burby v Howland*, 155 NY 270; *Shelley v Kraemer*, 334 US 1; *Cippollone v Liggett, Inc.*, 505 US 504; *New York SMSA Ltd. Partnership v Town of Clarkstown*, 99 F Supp 2d 381; *Cellular Tel. Co. v Town of Oyster Bay*, 166 F3d 490; *Metronic, Inc. v Lohr*, 518 US 470; *Sprietsma v Mercury Mar.*, 537 US 51.) IX. The Town cannot protect its purported interests through its amicus brief. (*Russell v Board of Plumbing Examiners of County of Westchester*, 74 F Supp 2d 349, 242 F3d 367; *Rochdale Vil. v Harris*, 172 Misc 2d 758; *First Citizens Bank & Trust Co. v Saranac Riv. Power Corp.*, 246 App Div 672; *Central Hanover Bank & Trust Co. v Saranac Riv. Power Corp.*, 243

App Div 843; *Matter of Glenel Realty Corp. v Worthington*, 4 AD2d 702; *Matter of Greater N.Y. Health Care Facilities Assn. v DeBuono*, 91 NY2d 716; 15 E. 11th Apt. Corp. v Elghanayan, 232 AD2d 289.)

Bleakley Platt & Schmidt, LLP, White Plains (*Robert D. Meade* of counsel), for Town of Pound Ridge, amicus curiae. Any removal of the facilities at issue in this action should be coordinated with the replacement of emergency communications apparatus of the Town of Pound Ridge located thereon.

OPINION OF THE COURT

Chief Judge KAYE.

Starting in 1957, nearly 50 years ago, the owner of a large tract of land in the Town of Pound Ridge, Westchester County, began conveying parcels with restrictive covenants to limit development on this land to single-family homes. Plaintiffs and defendant Old Stone Hill Road Associates are the current owners of several of these lots that are subject to covenants in a deed within the chain of title, duly recorded, prohibiting “any building except detached residential dwelling houses each for the occupancy and use of one family” and “any trade or business whatsoever.” Appellants, Stone Hill and its lessee, now seek to avoid enforcement of these covenants.

In November 1998, Stone Hill leased about 2,000 square feet on one lot, with a right of access on an adjacent lot, to defendant New York SMSA Limited Partnership doing business as Verizon Wireless. The purpose was for SMSA to construct a facility—an antenna mounted on a 120-foot monopole with a two-story, 660-square-foot equipment storage shed disguised as a barn located at the base and parking space for maintenance vehicles—to provide cellular telephone service in the town and surrounding area. The lease to SMSA touched off a series of events leading to the present litigation, which essentially pits private contractual rights against what defendants claim is the public policy of the Telecommunications Act of 1996 (TCA) (47 USC § 151 *et seq.*, as added by Pub L 104-104, 110 US Stat 56) regarding wireless telecommunications facilities.

In April 2000, after considering 18 alternative sites over a period of 15 months, the Town Board approved SMSA’s application for a special permit to construct the facility on Stone Hill’s property. Several of these sites had been evaluated in combination with other locations so that they could be compared with the proposed single site on Stone Hill’s property. Since the Stone

Hill site was in an exclusively residential area, the Town Board initially expressed a preference for the Town's own "Highway Garage/DPW" site. In fact, the Stone Hill site was taken off the Town Board agenda during the review process, but placed back on the agenda for consideration just before the Board issued the special permit.

Regardless, the Board ultimately rejected all of the alternatives, in part because adequate coverage could not be secured on a single site and might in the future require construction at an additional location. Plaintiffs initiated two lawsuits: the present action to enforce the restrictive covenants brought in March 2000, and a CPLR article 78 proceeding to challenge the Town's approval of the special permit brought in May 2000.

Thereafter, in June 2000, SMSA obtained a building permit and immediately began construction, which was substantially complete in September 2000. Plaintiffs meanwhile moved for partial summary judgment on their claims for an injunction based on the restrictive covenants. Supreme Court on November 19, 2001, decided both cases. The court issued a permanent injunction against violation of the restrictive covenants, ordered removal of the facility and dismissed defendants' counterclaim to extinguish the restrictive covenants pursuant to RPAPL 1951 (*Chambers v Old Stone Hill Rd. Assoc.*, Sup Ct, Westchester County, Nov. 19, 2001, Cowhey, J., Index No. 00-04475). Separately, the court dismissed the article 78 proceeding, holding that the Town had acted properly; in the court's words, "upon a review of the record, it is plain that the DPW site [the alternative site urged by plaintiffs] cannot provide the necessary adequate coverage and adequate capacity to the Town" (*Matter of Sorkin v Simpkins*, Sup Ct, Westchester County, Nov. 19, 2001, Cowhey, J., Index No. 7498/00).

On defendants' appeal, the Appellate Division affirmed, concluding that the restrictive covenants evinced an intent to limit the area to residential use, and rejecting defendants' hardship claim because "[w]here, as here, the servient property owner's hardships are largely self-created, they do not tip the balance of the equities in favor of extinguishing the restrictive covenants" (303 AD2d 536, 537 [2d Dept 2003]). The Court also rejected defendants' public policy arguments, stating that the TCA "does not expressly or impliedly preempt the power of private citizens to enforce restrictive covenants or otherwise limit the judicial enforcement of those private agreements" (*id.* at 538).

Defendants now place two arguments before us. First, they assert that enforcement of the restrictive covenants offends public policy, which should trump plaintiffs' contractual rights. Second, they claim that the hardships to defendants outweigh the benefits to plaintiffs, and that the restrictive covenants must therefore be extinguished under RPAPL 1951. We conclude that Supreme Court and the Appellate Division correctly rejected both arguments.

Restrictive covenants will be enforced when the intention of the parties is clear and the limitation is reasonable and not offensive to public policy (*see e.g. Reed, Roberts Assoc. v Strauman*, 40 NY2d 303, 307 [1976]; *Silverstein v Shell Oil Co.*, 33 NY2d 950, 950-951 [1974], *affg* 40 AD2d 34, 36 [3d Dept 1972]; *Bovin v Galitzka*, 250 NY 228, 231-232 [1929]). Here, the intention of the restrictive covenants was clearly to preserve the residential character of the neighborhood by limiting the area to residential use, which limitation is reasonable. Plainly too, these covenants do not offend public policy.

Public Policy

[1] Congress enacted the Telecommunications Act of 1996 to encourage development and reduce regulation of telecommunications technologies (47 USC § 151). Section 332 of the TCA furthers this purpose by making it unlawful to prohibit wireless services: "The regulation of the placement, construction, and modification of personal wireless service facilities by any State or local government or instrumentality thereof . . . shall not prohibit or have the effect of prohibiting the provision of personal wireless services" (47 USC § 332 [c] [7] [B] [i] [II]). Asserting that the restrictive covenants offend the public policy embodied in the statute, defendants claim that enforcing the covenants will essentially prohibit personal wireless services in the Town of Pound Ridge. Additionally, defendants urge that, if the Appellate Division is affirmed and the tower removed, the Town's authority will be negated. Neither argument has merit.

Upholding plaintiffs' contractual rights in no way denies wireless telecommunications services in the Town of Pound Ridge. The Town Resolution stated that the Stone Hill site "has the best chance of being the only site necessary to meet the needs and demands for wireless telecommunication services for the Town of Pound Ridge." But despite defendants' insistence, the Town's determination that the Stone Hill site might be the best single-site solution is not a determination that the Stone Hill

site was the only site for the facility (see e.g. *SiteTech Group Ltd. v Board of Zoning Appeals of Town of Brookhaven*, 140 F Supp 2d 255, 264-265 [ED NY 2001] [upholding a zoning board's denial of a special permit on the ground that there were alternative sites even though the alternative sites would not have completely closed the gaps in service and would have required additional antennas]). The Town, as amicus, concedes the existence of another site or sites on which to locate the facility. Indeed, up to the very day the Town Board selected Stone Hill, alternative sites like the Highway Garage/DPW site were under active consideration. In short, these covenants do not prohibit or have the effect of prohibiting the provision of wireless telecommunications services in the Town of Pound Ridge.

Additionally, defendants assert that the Town's authority to grant the special permit will be negated if the restrictive covenants are enforced and the tower removed. The Town's issuance of the special permit to construct the facility is, however, separate and distinct from plaintiffs' right to enforce the restrictive covenants, a right only plaintiffs can enforce. As we observed in *Matter of Friends of Shawangunks v Knowlton* (64 NY2d 387, 392 [1985]):

“The use that may be made of land under a zoning ordinance and the use of the same land under an easement or restrictive covenant are, as a general rule, separate and distinct matters, the ordinance being a legislative enactment and the easement or covenant a matter of private agreement.”

The Court went on to make clear that “a particular use of land may be enjoined as in violation of a restrictive covenant, although the use is permissible under the zoning ordinance and the issuance of a permit for a use allowed by a zoning ordinance may not be denied because the proposed use would be in violation of a restrictive covenant” (*id.* [citations omitted]; see also 2 Salkin, *New York Zoning Law and Practice* § 34:02 [4th ed] [“enforcement (of a zoning ordinance) will be enjoined for a violation of a restrictive covenant”]). In approving a special permit, a municipality determines only that the application complies with the municipality's standards and conditions contained in the zoning ordinance (see *Matter of North Shore Steak House v Board of Appeals of Inc. Vil. of Thomaston*, 30 NY2d 238, 243-244 [1972]; *Matter of Mobil Oil Corp. v Oaks*, 55 AD2d 809, 809-810 [4th Dept 1976]; 2 Salkin, *New York Zoning Law and Practice* § 30:01 [4th ed]).

Thus, in separately dismissing the article 78 proceeding challenging the Town's permit and enforcing the restrictive covenants—both on the same day—Supreme Court correctly refused to allow the Town Board's decision that the Stone Hill lot was an appropriate site for the facility to override plaintiffs' right to enforce the restrictive covenants. Defendants and the Town cannot negate the restrictive covenants by ignoring them and proceeding with the permit process and construction.

Finally, in arguing that the restrictive covenants offend public policy, defendants misread *Crane Neck Assn. v New York City/Long Is. County Servs. Group* (61 NY2d 154 [1984]). In *Crane Neck*, the property in issue—leased to the government for use as a home for mentally disabled adults—was subject to a restrictive covenant that allowed only single-family dwellings. There, however, Mental Hygiene Law § 41.34 (f) explicitly preempted local laws and ordinances, defining a community residence for this purpose as a family unit. This Court extended the statute's explicit preemption to private covenants restricting the use of property to single-family dwellings because those agreements posed the same deterrent to effective implementation of the state policy favoring residences for the mentally disabled as the preempted local laws and ordinances. By contrast, Congress expressly recognized the importance of local land use authority in TCA § 332 (c) (7) (A), which makes clear that nothing in the Act “shall limit or affect the authority of a State or local government . . . over decisions regarding the placement . . . of personal wireless service facilities.” Thus, here there is no comparable public policy being transgressed, indeed no preemption that might motivate the Court to extend a statutory mandate to extinguish private rights.

Balancing the Equities

[2] Similarly, we reject defendants' argument that the restrictive covenants should be extinguished under RPAPL 1951 (2), which provides:

“When relief against such a restriction is sought in an action to quiet title or to obtain a declaration with respect to enforceability of the restriction . . . if the court shall find that the restriction is of no actual and substantial benefit to the persons seeking its enforcement or seeking a declaration or determination of its enforceability, either because the

purpose of the restriction has already been accomplished or, by reason of changed conditions or other cause, its purpose is not capable of accomplishment, or for any other reason, it may adjudge that the restriction is not enforceable by injunction”

As we underscored in *Orange & Rockland Util. v Philwold Estates* (52 NY2d 253, 266 [1981]), “the issue is not whether [the party seeking the enforcement of the restriction] obtains *any* benefit from the existence of the restriction but whether in a balancing of equities it can be said to be, in the wording of the statute, ‘of *no* actual and *substantial benefit*’ ” (emphasis in original). Equally clear is that the party claiming that a restriction is unenforceable bears the burden of proving it (see e.g. *Deak v Heathcote Assn.*, 191 AD2d 671, 672 [2d Dept 1993]).

Here, Supreme Court found, and the Appellate Division agreed, that “defendants have failed to meet their burden of proof and no credible evidence has been put forward by defendants that the landowners do not derive any actual and substantial benefit from restricting the land to solely residential use. To the contrary, plaintiffs have shown that the properties have benefitted from such restriction.” Given ample support in the record, this affirmed factual finding is beyond the scope of our review.

Nor do defendants’ alleged hardships tip the balance of equities in favor of extinguishing plaintiffs’ rights. Here too, Supreme Court and the Appellate Division properly balanced the equities. In particular, the courts discounted SMSA’s alleged hardship because it proceeded with construction of the facility with knowledge of the restrictive covenants and of plaintiffs’ intention to enforce them. Its difficulty was thus “largely self-created” (303 AD2d at 537). As for defendant Stone Hill’s argument that it was unable to sell the property for residential use, Supreme Court found that the “[d]efendants have failed to show that the restrictions[’] purpose in retaining the residential nature of the area was not capable of being accomplished or that there were any changed conditions that would warrant granting defendants relief from the restrictive covenant.” These

affirmed findings, too, are supported by the record and beyond the scope of our review.¹

Addressing the dissent, for at least three reasons, the Second Circuit's decision in *Sprint Spectrum, L.P. v Willoth* (176 F3d 630 [1999])—the nub of the dissent—is inapposite. First, at issue here is the enforceability of the restrictive covenants, not the “separate and distinct” authority of the Town to grant the permit (*Matter of Friends of Shawangunks v Knowlton*, 64 NY2d 387, 392 [1985]). Second, the TCA's ban applies to “State or local government[s] or instrumentalit[ies],” not individual citizens' efforts to enforce their rights.

Third, *Sprint* involved a conflict between the TCA's ban on prohibiting service by state and local governments on the one hand and a town's rejection of an application on the other. *Sprint* did not implicate private contract rights. Indeed, the Second Circuit made clear that it did “not read the TCA to allow the goals of increased competition and rapid deployment of new technology to trump all other important considerations” (176 F3d at 639). That there are relatively large setbacks, few dwellings and considerable topographic relief in the Stone Hill area (dissenting op at 440)—a consequence of the longstanding bargained-for covenants—is not a reason for now situating a 120-foot monopole, 660-square-foot equipment shed and parking space for maintenance vehicles in the neighborhood. On this record, neither “least intrusive means” nor the Restatement of Property supports such a result.² As Supreme Court and the Appellate Division correctly concluded, the TCA does not preempt the power of private citizens to enforce their contractual rights, or limit judicial enforcement of those rights.

Finally, we note that the Town urges that it would need time to relocate the antenna without interruption of service vital to public health and safety. Plaintiffs have consented to “a reasonable time period” for relocation.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

READ, J. (dissenting). The Town Board of the Town of Pound

1. Supreme Court additionally rejected defendants' laches argument, finding no credible evidence that plaintiffs unreasonably delayed bringing their action. Neither that argument, nor mootness, was advanced in our Court.

2. See Restatement (Third) of Property (Servitudes) § 3.1, Comment *i* (“The policies favoring freedom of contract, freedom to dispose of one's property, and protection of legitimate-expectation interests nearly always weigh in favor of the validity of voluntarily created servitudes.”).

Ridge has determined that siting a wireless telecommunications tower at the Stone Hill site provides the least intrusive means to close a significant gap in personal wireless services in the town. Under these circumstances, the restrictive covenant limiting development on the Stone Hill site to a single-family residence must yield to public policy as expressed in the Telecommunications Act of 1996 (TCA), codified at 47 USC § 151 *et seq.* For this reason, I respectfully dissent, and would reverse the order of the Appellate Division.

I view this case from the essential standpoint of section 332 of the TCA (47 USC § 332). The relevant language of this provision makes it unlawful for state or local authorities to regulate the placement, construction or modification of personal wireless service facilities in such a way as to “prohibit or *have the effect of prohibiting* the provision of personal wireless services” (47 USC § 332 [c] [7] [B] [i] [II] [emphasis added]). In considering whether to grant New York SMSA Limited Partnership, doing business as Verizon Wireless, (SMSA) a special permit for the Stone Hill site or for the Highway Garage/DPW site alone or in combination with another site, the Town Board and the Town Planning Board were properly guided (in fact, constrained) by the interpretation given to the TCA’s antiprohibition ban by the United States Court of Appeals for the Second Circuit in *Sprint Spectrum, L.P. v Willoth* (176 F3d 630 [2d Cir 1999]).¹

In that case, Sprint filed three separate applications with the Planning Board for the Town of Ontario, New York, asking for site plan approval to construct three separate cell sites, each accommodating a 150-foot tall monopole tower. During a 17-month review period punctuated by public hearings and the submission and consideration of draft and final environmental impact statements, Sprint consistently resisted entertaining alternatives with respect to the number, height and placement of towers. Confronted with a choice between three towers or none, the Ontario Planning Board denied all three applications on environmental grounds. Sprint sued, asserting federal and state claims, lost in the District Court and appealed.

Sprint claimed a right by virtue of the antiprohibition clause to construct as many towers as were, in its business judgment,

1. There is no question that the local authorities were aware of and conducted their review of SMSA’s applications so as to conform with *Sprint*: when making its recommendations to the Town Board concerning SMSA’s application for a special permit for the Stone Hill site, the Planning Board cited *Sprint* and quoted its operative language when explaining the Town’s obligations under the TCA.

necessary for its effective competition with other telecommunications carriers, wireless or not. The Town interpreted the clause as prohibiting only general bans, never individual decisions on specific applications. In an opinion by Circuit Judge (currently, Chief Judge) Walker, the Second Circuit rejected both “extreme positions” (*Sprint*, 176 F3d at 641) as obviating the meaning of many of the TCA’s other provisions and as inconsistent with the statute’s public policy goals: to promote the rapid deployment of new technology and foster competition and innovation in the telecommunications marketplace while at the same time preserving local land use control, subject to certain limitations.

Commenting that “[i]t would be [a] gross understatement to say that the [TCA] is not a model of clarity” (*Sprint*, 176 F3d at 641, quoting *AT & T Corp. v Iowa Util. Bd.*, 525 US 366, 397 [1999]), Judge Walker next engaged in a “detailed parsing of the statutory language, including layers of highly technical definitions” (*Sprint*, 176 F3d at 641). At the end of this exegesis, he concluded that the antiprohibition clause prevents localities from regulating personal wireless service facilities in such a way as to preclude users in a remote location from connecting to the national telephone network. “In other words, local governments must allow service providers to fill gaps in the ability of wireless telephones to have access to land-lines” (*id.* at 643).

In view of the foregoing, the Second Circuit held in *Sprint* that “the [TCA]’s ban on prohibiting personal wireless services precludes denying an application for a facility that is the *least intrusive means for closing a significant gap* in a remote user’s ability to reach a cell site that provides access to land-lines” (*id.* [emphasis added]).² Applying this holding to the facts, the Court determined that Sprint’s applications were not for the least

2. *Sprint* is a leading case nationally, although its holding is not universally accepted. The Third Circuit shares the Second Circuit’s interpretation of the antiprohibition clause (see *APT Pittsburgh Ltd. Partnership v Penn Twp. Butler County of Pa.*, 196 F3d 469, 480 [3d Cir 1999] [The provider must show “that the manner in which it proposes to fill the significant gap in service is the least intrusive on the values that the denial sought to serve.” In order to make this showing, the provider must demonstrate that “a good faith effort has been made to identify and evaluate less intrusive alternatives, e.g., that the provider has considered less sensitive sites, alternative system designs, alternative tower designs, placement of antennae on existing structures, etc.”]). The Fourth Circuit has declined to adopt the Second and Third Circuits’ interpretation, although it now seems to accept, at least in theory, that an individual zoning decision is capable of violating the antiprohibition ban (compare *360° Communications Co. of Charlottesville v Board of Supervi-*

intrusive facilities and therefore the Town's denial of them did not violate the TCA.

Under the Second Circuit's holding in *Sprint*, a provider must therefore make two showings in order to demonstrate that a permit denial prohibits or effectively prohibits service within the meaning of the TCA: that there is a significant gap in service coverage that the application seeks to fill, and that the application implements the least intrusive means necessary to fill the gap and provide the service. Put in another way, when a provider makes these showings, the TCA requires the locality to issue any necessary permits; a locality that nonetheless denies the necessary permits thereby effectively prohibits the provision of personal wireless services in violation of section 332 of the TCA.

In this case, it is undisputed that there was a significant gap in wireless coverage needing to be closed when SMSA filed its application. Further, the record fully supports the Town Board's conclusion that siting a tower at the Stone Hill site represented the least intrusive means for closing this significant gap.

Specifically, in January 1999, SMSA applied for a special permit under the Town's local law entitled "Wireless Telecommunications Services Facilities," which amended the zoning law to establish special standards and requirements for such uses, subject to special permit approval. The Town Board subsequently requested additional information, held a public hearing

sors of Albemarle County, 211 F3d 79, 86, 87 [4th Cir 2000] [noting that "whether a single denial of a site permit could ever amount in effect to the prohibition of wireless services is a . . . difficult question" and expressing the view that "(a) community could rationally reject the least intrusive proposal in favor of a more intrusive proposal that provides better service or that better promotes commercial goals of the community"] with *AT & T Wireless PCS, Inc. v City Council of City of Va. Beach*, 155 F3d 423 [4th Cir 1998] [the anti-prohibition ban applies only to blanket prohibitions and general bans or policies, and not to individual zoning decisions]). The Seventh Circuit has declined to adopt the Second and Third Circuits' least-intrusive-means formulation (see *VoiceStream Minneapolis, Inc. v St. Croix County*, 342 F3d 818, 834 [7th Cir 2003] ["(T)he provider must show that its 'existing application is the only feasible plan' and that 'there are no other potential solutions to the purported problem'" (quoting *Second Generation Props., L.P. v Town of Pelham*, 313 F3d 620, 630, 635 [1st Cir 2002])]). The Seventh Circuit "agree[s] with the First Circuit's formulation of the statutory requirement and hold[s] that, so long as the service provider has not investigated thoroughly the possibility of other viable alternatives, the denial of an individual permit does not 'prohibit or have the effect of prohibiting the provision of personal wireless services'" (*VoiceStream*, 342 F3d at 834-835, quoting 47 USC § 332 [c] [7] [B] [i] [II]).

and, in April 1999, forwarded SMSA's application to the Town Planning Board, as required by the zoning law.

The Town Planning Board discussed the application at numerous meetings, solicited additional information from SMSA and engaged special counsel as well as technical consultants to assist in its review. As part of that review, the Planning Board studied alternative sites.

In November 1999, the Town Planning Board issued an "Advisory Review and Recommendation." At the outset, the Board noted that siting a wireless communications facility in Pound Ridge, while necessary, was made particularly difficult by certain "givens": "Pound Ridge is overwhelmingly residential, topographically varied, and relatively rural in character"; and "[m]uch of the Town's minimal commercial area, normally more compatible for [wireless telecommunications services facility] locations, is either low in elevation or within 2500 feet of an historic district, both of which make siting problematic."

In light of these factors, the Board made findings as follows:

"In its effort to identify *the least intrusive means of closing the existing gap in wireless service*, the [Planning] Board evaluated not only [the Stone Hill site] as proposed and as modified through the proceedings, but also a number (18) of alternative sites, eventually narrowed down to eight" (emphasis added).

Further, "[o]n balance, the [Stone Hill site], having been given more thorough consideration by [SMSA], seems to meet many of the Town's criteria, except in one glaring area—residential location on a residential lot" (emphasis in original). Based on its evaluation of alternatives, the Planning Board recommended a preferred ranking of the DPW/Highway Garage site alone; followed by the DPW/Highway Garage site in combination with another site; and, finally, the Stone Hill site, "but only with all of the [Planning Board's] suggested mitigation."

Based on the Town Planning Board's findings and recommendations, the Town Board amended its site inventory list and received and reviewed an application from SMSA for a special permit for the DPW/Highway Garage site. SMSA thus made two special permit applications—one for the Stone Hill site; one for the DPW/Highway Garage site—with the understanding that only one application would be approved and that the other would be withdrawn as a condition of this approval. The Board

then undertook a detailed review of SMSA's application for the DPW/Highway Garage site, just as it had already done for the Stone Hill site. At the end of this review, the Board held a joint public hearing on the applications for both sites.

In April 2000, the Town Board adopted a resolution, including a negative declaration under the State Environmental Quality Review Act, with respect to the Stone Hill site.³ The Board identified the Stone Hill site as "the technologically best available site" in the town in terms of coverage, and therefore as the site with the "best chance of being the only site necessary to meet the needs and demands for [the town's] wireless telecommunication services." The Board also noted that most of the tower would not be directly visible from adjoining residences; and that the Stone Hill site "enjoys relatively large setbacks and few neighbors and is also separated from residences on adjoining lots by considerable topographic relief." Indeed, the Stone Hill site was the potential site with the *fewest* existing dwellings within a 1,000-foot radius. The Stone Hill site's only disadvantage was that "with the exception of the primary electric distribution lines which cross [it] within a 100 foot wide utility easement, the property is a vacant residential parcel in a residential area." Finally, the Board required SMSA to undertake numerous mitigation steps as a condition of the special permit, including landscaping and other aesthetic measures. The tower and its nearby equipment building, disguised as a barn, occupy roughly 2,000 square feet on 9.5 acres of land

3. The majority stresses that the Stone Hill site was, in fact, "taken off" the Town Board's "agenda" during the review process only to be "placed back on the agenda" shortly before the Board issued the special permit (majority op at 430). Plaintiffs did not mention the restrictive covenant until the very end of the Board's tandem review of SMSA's two applications. When plaintiffs sued, defendants accordingly asserted laches as a defense. To counter this defense, plaintiffs protested that they had "believed" that the Stone Hill site "was no longer being considered" and "therefore . . . felt no need to take any action" any sooner than they did; and that the DPW/Highway Garage site was "the only application outstanding" or "on the table" as late as February 2000. The record belies these "beliefs," insofar as they may be interpreted to suggest that the Board resurrected the Stone Hill site at the eleventh hour after having previously abjured any continuing interest in it. The Stone Hill site may have dropped off the Board's "agenda" between November 1999 and February 2000, but only in the sense that the Board was reviewing SMSA's application for the DPW/Highway Garage site during this time period, having already reviewed SMSA's application for the Stone Hill site.

otherwise undeveloped except for the primary electric distribution lines and telephone poles.⁴

In short, SMSA, unlike Sprint, did not resist alternative sites or mitigation measures put forward by the local authorities, and, in fact, went so far as to apply for a special permit for a suggested alternative site. The Stone Hill site—the best site technologically; the site with the fewest residential neighbors; the only site with the potential to function as a sole site—represented the least intrusive means to close the acknowledged significant gap in the town’s personal wireless services. The Board’s denial of the special permit, under these circumstances, would have effectively prohibited the provision of personal wireless services within the meaning of section 332 of the TCA, as interpreted by the Second Circuit in *Sprint*. A restrictive covenant—a private contract—cannot thwart a land use that federal law carrying out national telecommunications policy requires local authorities to approve.

In *Crane Neck Assn. v New York City/Long Is. County Servs. Group* (61 NY2d 154, 166 [1984]), we addressed a restrictive covenant the enforcement of which would have “frustrated” a state policy encouraging placement of the mentally disabled in the community. We focused on Mental Hygiene Law § 41.34 (f), which deems a community residence a “family unit[] for the purposes of local laws and ordinances.” This provision was prompted by resistance to the siting of group homes in the form of injunctive actions based upon local ordinances limiting the use of property to single-family residences. In light of the State’s purpose in enacting the statute and because “[p]rivate covenants . . . pose the same deterrent to the effective implementation of the State policy as the local laws and ordinances that had actually been the subject of . . . legal challenges” (*id.* at 164), we concluded that the covenant could not be equitably enforced as a matter of public policy.

Similarly, the proliferation of cell towers has prompted resistance and legal challenges on the grounds of unsightliness, perceived health risks and decreased property values. Indeed, respondents in this case have, at one time or another, opposed placement of the tower on the Stone Hill site for each of these

4. The original Stone Hill site is a 4.5-acre parcel. Access to the tower and equipment shed is over an adjacent five-acre parcel, owned by the same landowner. In approving the special permit, the Town Board directed SMSA and the landowner to record a restrictive covenant limiting the adjacent parcel’s use to open space and passive recreation.

reasons. As the Second Circuit recognized in *Sprint*, while not allowing “the goals of increased competition and rapid deployment of new technology to trump all other important considerations, including the preservation of the autonomy of states and municipalities” (*Sprint*, 176 F3d at 639), the Congress in the TCA chose to compromise and accommodate competing aims. Specifically, Congress preserved local control over the placement, construction and modification of personal wireless service facilities, but subject to important limitations intended to make sure that rational siting decisions were not checked or delayed by local zoning regulation or litigation. These limitations include the antiprohibition ban. The majority suggests that *Crane Neck* is inapposite because Mental Hygiene Law § 41.34 (f) “explicitly preempted local laws and ordinances, defining a community residence . . . as a family unit” (majority op at 433) while the TCA preserves local land use control. Congress, however, expressly and completely preempted local land use regulation insofar as it prohibits or effectively prohibits the provision of personal wireless service facilities. As was the case in *Crane Neck*, private individuals are here attempting to accomplish by restrictive covenant that which a statute (in this case, a federal statute implementing our national telecommunications policy) unequivocally forbids a locality from doing in the exercise of its police powers to regulate local land use.

Of course, as I noted at the outset, the majority and I disagree as to whether enforcement of the covenant would effectively prohibit delivery of wireless services in the town within the meaning of section 332 of the TCA. The majority does not consider the antiprohibition ban implicated here because alternative locations for siting the tower exist, even though no single site can replace the Stone Hill site, and any other potential site (18 sites were reviewed originally; one alternative site—the DPW/Highway Garage site—was reviewed intensively) is less optimal technologically, less secluded and otherwise less beneficially suited to the use. This reading of section 332 verges on limiting it to general bans. In any event, the majority’s interpretation plainly conflicts with *Sprint*.

Finally, unlike the majority, I find merit in SMSA’s related argument that enforcement of the covenant would impermissibly nullify the Town’s ability to regulate local land use. The Town Board thoroughly examined and balanced the interests and concerns of the affected property owners with those of the entire town before issuing the special permit to SMSA. When

respondent challenged the permit in an article 78 proceeding, Supreme Court held in the Town's favor. While as a general rule restrictive covenants and zoning comfortably coexist and zoning does not destroy a preexisting private covenant (*see generally Matter of Friends of Shawangunks v Knowlton*, 64 NY2d 387 [1985]), this case is unusual. The covenant directly conflicts with a special permit issued to provide a public utility in a way that takes into account the best interests of the community as a whole and furthers national telecommunications policy. As a consequence of this covenant's enforcement, multiple (and more intrusive) towers will now have to be sited in order to replace the Stone Hill site and serve the community's needs for personal wireless services. In line with the approach advanced in the Restatement (Third) of Property (Servitudes), which considers public policy, broadly defined, as an independent basis for invalidating servitudes, I would hold that this restrictive covenant violates public policy and so is invalid and therefore unenforceable (*see* Restatement [Third] of Property [Servitudes] § 3.1, Comments *e*, *f*; *see also* Restatement [First] of Property [Servitudes] § 568, Comment *d*).

Accordingly, I would reverse the order of the Appellate Division.

Judges G.B. SMITH, CIPARICK, ROSENBLATT, GRAFFEO and R.S. SMITH concur with Chief Judge KAYE; Judge READ dissents and votes to reverse in a separate opinion.

Order affirmed, with costs.

[807 NE2d 254, 775 NYS2d 205]

ANDREA COLLIER, as Parent and Natural Guardian for MATTHEW COLLIER, an Infant, Appellant, v CHARLES ZAMBITO et al., Respondents.

Argued January 8, 2004; decided February 17, 2004

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered November 15, 2002. The Appellate Division order, insofar as appealed from, with two Justices dissenting, (1) reversed, on the law, an order of the Supreme Court, Cayuga County (Peter E. Corning, J.), which had denied defendants' motion for summary judgment dismissing the complaint, (2) granted the motion, and (3) dismissed the complaint.

Collier v Zambito, 299 AD2d 866, affirmed.

HEADNOTE

Animals — Liability for Animal Bite — Knowledge of Vicious Propensity

Summary judgment was properly granted to defendants in an action to recover for injuries sustained by the 12-year-old infant plaintiff when he was bitten by defendants' pet dog while a guest at defendants' home. The evidence submitted by plaintiff was insufficient to raise an issue of fact as to whether the dog had vicious propensities that were known, or should have been known, to defendants. The dog was confined in defendants' home only because he would bark when guests were at the house, and there was no evidence that the dog's behavior was ever threatening or menacing.

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By the Publisher's Editorial Staff

AM JUR 2d, Animals §§ 107, 108.

NY JUR 2d, Animals §§ 155–157.

NEW YORK PATTERN JURY INSTRUCTIONS—CIVIL, PJI 2:220.

PROSSER AND KEETON, TORTS (5th ed) § 33.

ANNOTATION REFERENCE

See ALR Index under Dogs.

FIND SIMILAR CASES ON WESTLAW®

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POINTS OF COUNSEL

Karpinski, Stapleton, Galbato & Tehan, P.C., Auburn (David G. Tehan of counsel), for appellant. The Appellate Division erred in ruling that plaintiff failed to raise an issue of fact as to whether defendants knew or should have known of the dog's vicious propensities. (*Cullipher v Traffic Markings*, 259 AD2d 992; *Silliman v Twentieth Century-Fox Film Corp.*, 3 NY2d 395; *Andre v Pomeroy*, 35 NY2d 361; *St. Paul Indus. Park v New York State Urban Dev. Corp.*, 63 AD2d 822; *Robinson v Strong Mem. Hosp.*, 98 AD2d 976; *Plennert v Abel*, 269 AD2d 796; *Smith v Farner*, 229 AD2d 1017; *Rider v White*, 65 NY 54; *GTF Mktg. v Colonial Aluminum Sales*, 66 NY2d 965; *Winegrad v New York Univ. Med. Ctr.*, 64 NY2d 851.)

Williamson, Clune & Stevens, Ithaca (Allan C. VanDeMark of counsel), for respondents. The Appellate Division, Fourth Judicial Department, correctly ruled that as there was no evidence that defendants' dog had a propensity to bite and as defendants had no knowledge that their dog had vicious propensities, there can be no liability. (*Plennert v Abel*, 269 AD2d 796; *Smith v Farner*, 229 AD2d 1017; *Elmore v Wukovits*, 288 AD2d 875; *Shannon v Schultz*, 259 AD2d 937; *Roupp v Conrad*, 287 AD2d 937; *Wilson v Livingston*, 305 AD2d 585; *Altman v Emigrant Sav. Bank*, 249 AD2d 67; *Mitura v Roy*, 174 AD2d 1020; *Gill v Welch*, 136 AD2d 940; *Fontanas v Wilson*, 300 AD2d 808.)

OPINION OF THE COURT

CIPARICK, J.

Defendants Charles and Mary Zambito own Cecil, a beagle-collie-rottweiler mixed breed dog that they keep as a family pet. Defendants customarily confined Cecil to the kitchen area, behind a gate, when they were away from home and when visitors came, because he would bark. On the night of December 31, 1998, 12-year-old Matthew Collier was a guest of the defendants' son, Daniel. He had been to the defendants' home on several previous occasions, and on that evening had been upstairs with Daniel and several other children. When Matthew came downstairs to use the bathroom, the dog began to bark. Mary Zambito placed Cecil on a leash and, when Matthew emerged from the bathroom, invited him to approach to allow the dog to smell him, as the dog knew him from prior visits. As the boy approached, Cecil lunged and bit Matthew's face. There

is no dispute that the dog's attack was unprovoked. The parties testified at their examinations before trial that, to their knowledge, Cecil had never previously threatened or bitten anyone.

At Supreme Court, defendants moved for summary judgment to dismiss plaintiff's complaint for failure to state a cause of action. Specifically, defendants argued that plaintiff did not demonstrate that the dog had vicious propensities or that the defendants knew or should have known of the dog's alleged vicious propensities. Plaintiff cross-moved for summary judgment on the issue of liability. Supreme Court denied both motions, finding that plaintiff established an issue of fact as to whether the defendants knew or should have known of Cecil's alleged vicious propensities. The court held that defendants' implied knowledge of such propensities could be inferred by defendants' confinement of Cecil in the kitchen.

The Appellate Division reversed, on the law, finding that plaintiff failed to raise an issue of fact as to whether the defendants were aware or should have been aware of their dog's alleged vicious propensities (299 AD2d 866 [2002]). The Court further found no evidence that Cecil actually had vicious propensities of the type that resulted in Matthew's injury. Two Justices dissented and would have voted to affirm, finding that plaintiff raised an issue of fact as to "whether defendants knew or should have known of Cecil's dangerous propensities and, if so, whether defendant was negligent in initiating the contact between plaintiff's son and Cecil" (299 AD2d at 868). We now affirm.

Discussion

For at least 188 years (*see e.g. Vrooman v Lawyer*, 13 Johns 339 [1816]), the law of this state has been that the owner of a domestic animal who either knows or should have known of that animal's vicious propensities will be held liable for the harm the animal causes as a result of those propensities (*see Hosmer v Carney*, 228 NY 73, 75 [1920]; *see also* Restatement [Second] of Torts § 509). Vicious propensities include the "propensity to do any act that might endanger the safety of the persons and property of others in a given situation" (*Dickson v McCoy*, 39 NY 400, 403 [1868]).

Knowledge of vicious propensities may of course be established by proof of prior acts of a similar kind of which the owner had notice (*see Benoit v Troy & Lansingburgh R.R. Co.*, 154 NY 223, 225 [1897]; *see also* 5A-5 Warren, Negligence in New York

Courts § 5.04 [6] [2003]). In addition, a triable issue of fact as to knowledge of a dog's vicious propensities might be raised—even in the absence of proof that the dog had actually bitten someone—by evidence that it had been known to growl, snap or bare its teeth. Also potentially relevant is whether the owner chose to restrain the dog, and the manner in which the dog was restrained (*see Hahnke v Friederich*, 140 NY 224, 226 [1893]; *see also Rider v White*, 65 NY 54, 55-56 [1875]). The keeping of a dog as a guard dog may give rise to an inference that an owner had knowledge of the dog's vicious propensities (*see Hahnke*, 140 NY at 227).

In addition, an animal that behaves in a manner that would not necessarily be considered dangerous or ferocious, but nevertheless reflects a proclivity to act in a way that puts others at risk of harm, can be found to have vicious propensities—albeit only when such proclivity results in the injury giving rise to the lawsuit. But nothing in our case law suggests that the mere fact that a dog was kept enclosed or chained or that a dog previously barked at people is sufficient to raise a triable issue of fact as to whether it had vicious propensities.

The evidence submitted by plaintiff was simply insufficient to raise an issue of fact as to whether Cecil had vicious propensities that were known, or should have been known, to defendants. Cecil was kept as a family pet, not as a guard dog. Although the dog was restricted to the kitchen area, uncontroverted deposition testimony indicated that he was confined only because he would bark when guests were at the house. There was no evidence that Cecil was confined because the owners feared he would do any harm to their visitors.* There was no evidence that the dog's behavior was ever threatening or menacing. Indeed, the dog's actions—barking and running around—are consistent with normal canine behavior. Barking and running around are what dogs do.

The infant plaintiff testified that he had met Cecil on previous occasions and was not afraid of the dog. Although he testified that Cecil was “[v]ery wild” when he had seen the dog on those previous occasions, he later clarified that what he meant was that the dog “[r]uns around a lot, . . . [and has] a lot of energy.” The parties were also unaware of any prior incidents

* The dissent's suggestion that one could “reasonably conclude that defendants confined Cecil to the kitchen because they were aware of a potential danger” is simply unsupported by the record (dissenting op at 450).

in which the dog had attempted to bite or attack anyone, and defendants had received no previous complaints about the dog's behavior. Plaintiff herself testified that Cecil had always been "friendly." The fact that the owner invited Matthew to approach the dog would seem to demonstrate that she did not conceive of the possibility that the dog would attack the boy.

Finally, plaintiffs are not unduly burdened by the requirement of proof that a defendant know or should know of an animal's vicious propensities. Once such knowledge is established, an owner faces strict liability for the harm the animal causes as a result of those propensities (see *Strunk v Zoltanski*, 62 NY2d 572, 575-576 [1984]). This disposition does not entitle dog owners to an automatic "one free bite." There could certainly be circumstances where, although a dog has not yet bitten a person, its vicious nature is apparent. In that situation, the owner's success in keeping the dog confined or restrained in the past would not insulate the owner from liability. The behavior exhibited by Cecil in this particular case simply does not rise to that level and summary judgment was properly granted dismissing the complaint.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

G.B. SMITH, J. (dissenting). Because a question of fact exists as to whether defendants knew or should have known of the potential of the dog to harm others, I dissent.

Plaintiff Andrea Collier commenced this action against defendants Charles Zambito and Mary Zambito seeking damages for injuries sustained by her 12-year-old son, Matthew, when defendants' dog, a mixed beagle/collie/rottweiler, bit him in the face while he was a guest at their home.

At the examination before trial, Matthew testified that he had visited defendants' home on five or six prior occasions as he was a friend of defendants' son. During those visits Matthew observed that the dog, Cecil, was "[v]ery wild," that he had a lot of energy and that he ran around a lot within the confines of the kitchen, which had a three-foot gate preventing the dog from going to other parts of the house. Cecil had never bitten or threatened Matthew. The one time Matthew's mother saw Cecil, he seemed "very active, running around the house, jumping up on the furniture and down. He seemed friendly."

On the day of the incident, Matthew was one of seven boys who had been invited to the house. As Matthew was passing

through the kitchen after going to the nearby bathroom, he noticed Ms. Zambito standing with the dog. At her request, he extended his hand so that Cecil could smell him, but instead Cecil lunged at him, biting him on the face.

In her deposition, Ms. Zambito testified that she told Matthew that Cecil “knows you, let him smell you.” She had opened the kitchen gate and was holding Cecil by a leash when he lunged at Matthew. The family had acquired Cecil seven months earlier when he was a puppy. Around members of the family, Cecil was mild, but when Ms. Zambito arrived home, he would excitedly jump all over her. Around others, Cecil would get excited and bark. But he had not jumped on anyone other than family members because he was confined to the kitchen whenever they had visitors. When Cecil was not inside the house, the Zambitos chained him to a pole in the backyard. Cecil did not interact with other dogs. Ms. Zambito’s testimony regarding Cecil’s demeanor was echoed by Mr. Zambito and their son Dan.

Supreme Court denied defendants’ and plaintiff’s respective motions for summary judgment, finding that Cecil’s behavior and the practice of confining him “may be sufficient evidence to give rise to implied knowledge of Cecil’s propensity for viciousness.”

Over the dissent of two Justices, the Appellate Division reversed, concluding that defendants met their burden by testifying that Cecil “had no history of biting or behaving in a threatening manner toward anyone.” (299 AD2d 866, 866 [2002].) To the dissent, Cecil engaged in “aggressive and intimidating behavior,” which gave rise to an issue of fact. (*Id.* at 867.)

The prevailing view under American common law, as stated by Oliver Wendell Holmes, Jr. in *The Common Law*, was that “a man is bound at his peril to keep his cattle from trespassing, and he is liable for damage done by his dog or by any fierce animal, if he has notice of a tendency in the brute to do the harm complained of.” Expounding on the meaning of viciousness and notice, this Court stated in *Dickson v McCoy* (39 NY 400 [1868]) that

“[b]y vicious propensity, is included a propensity to do any act that might endanger the safety of the persons and property of others in a given situation. . . . [T]he owner is not liable for permitting his domestic animal to be at large when he has no

reason to apprehend that any injury to others will result therefrom. If he has such reason, he is liable” (*id.* at 403).

In *Rider v White* (65 NY 54 [1875]), the issue of vicious propensity was properly submitted to the jury even though there was no evidence that the dogs ever attacked or injured anyone. There was evidence that the seven large dogs “ran out furiously at passers-by, indicating a disposition to inflict an injury upon them” (*id.* at 56). It was also shown that the owners had posted “beware of dogs” signs, had warned someone to beware, and that one of the dogs was kept in chains a portion of the time.

In *Strunk v Zoltanski* (62 NY2d 572, 574 [1984]), there was an issue of fact as to whether the landlord, who did not live on the premises, could be found liable based on the landlord’s observation of a tied-down German Shepherd dog that was “‘barking very loudly, jumping up and down, growling and acting ferocious.’”

It is true that Cecil did not bite or threaten anyone. Reasonable people could conclude that defendants had no notice that Cecil was prone to viciousness. The question then is whether, viewing the evidence in the light most favorable to the plaintiff, any reasonable person could conclude that Cecil had a “propensity to do any act that might endanger the safety” of someone like Matthew. There are good reasons for answering the question in plaintiff’s favor.

First, the nature of the attack is itself significant. Unprovoked and with Ms. Zambito beside him, Cecil lunged straight for Matthew’s face after barking at him, causing a serious injury (*see Wilson v Livingston*, 305 AD2d 585, 586 [2d Dept 2003]; *Brophy v Columbia County Agric. Socy.*, 116 AD2d 873 [3d Dept 1986]; *Perrotta v Picciano*, 186 App Div 781 [1st Dept 1919]). Cecil was pulled back by Ms. Zambito and put into a nearby room by Mr. Zambito.

Second, the manner in which the Zambitos confined Cecil may reflect an awareness that Cecil posed a threat to visitors. Of course dogs run around and bark. But not all dogs are kept away from visitors simply because they run around and bark. One could reasonably conclude that defendants simply did not want visitors to feel uncomfortable. But one could also reasonably conclude that defendants confined Cecil to the kitchen because they were aware of a potential danger. Plaintiff should be given the benefit of this favorable inference. That Cecil never

actually bit or threatened anyone should not be dispositive. As Ms. Zambito implied, Cecil had never been given the opportunity to do so. But on the one occasion when Ms. Zambito did let Cecil out of the kitchen so that he could smell Matthew, Cecil attacked.

Third, in assessing the level of threat posed by a dog, due consideration must be given to the age of the victim. When a child is involved, a dog's potential danger increases and an owner needs to be more careful. Children are more vulnerable to dog attacks than adults. Here, Ms. Zambito exposed a 12 year old to a dog who was kept away from all visitors and continually barked at the child prior to attacking him. While Ms. Zambito's conduct may have been well-intentioned, a jury could reasonably conclude that it was ill-considered in light of the attendant risk of injury.*

Accordingly, defendants' motion for summary judgment should be denied.

Chief Judge KAYE and Judges GRAFFEO and READ concur with Judge CIPARICK; Judge G.B. SMITH dissents and votes to reverse in a separate opinion in which Judge ROSENBLATT concurs; Judge R.S. SMITH taking no part.

Order affirmed, with costs.

* We note that, by contrast, a number of states have statutorily eliminated the requirement that a plaintiff prove that the dog owner knew or should have known of the dog's vicious tendencies. In adopting a strict liability approach, these states decided that dog owners as opposed to wholly innocent victims—here a child—should bear the risks of dog ownership (*see e.g.* Ariz Rev Stat § 11-1025; Cal Civ Code § 3342; Fla Stat Ann § 767.04; Iowa Code Ann § 351.28; Mich Comp Laws Ann § 287.351; Minn Stat Ann § 347.22; Mont Code Ann § 27-1-715; Neb Rev Stat § 54-601; NJ Stat Ann § 4:19-16).

[807 NE2d 869, 775 NYS2d 757]

RAY EVANS et al., Appellants, v FAMOUS MUSIC CORPORATION,
Respondent.

Argued January 6, 2004; decided February 24, 2004

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered February 6, 2003. The Appellate Division (1) reversed, on the law, insofar as appealed from, an order of the Supreme Court, New York County (Richard B. Lowe, III, J.), which had denied defendant's motion for summary judgment dismissing plaintiffs' breach of contract cause of action and granted plaintiffs' cross motion for partial summary judgment as to liability on their breach of contract cause of action, (2) denied plaintiffs' cross motion, and (3) granted defendant's motion for summary judgment dismissing the breach of contract cause of action.

Evans v Famous Music Corp., 302 AD2d 216, affirmed.

HEADNOTE

Contracts — Breach or Performance of Contract — Income Apportionment in Music Royalty Contracts

In a breach of contract action involving music royalty contracts detailing the manner in which income from the exploitation of songs was to be apportioned between plaintiff songwriters and defendant music publisher, the contract provision obligating defendant to pay half of "all net sums actually received . . . less all deductions for taxes" did not require defendant to pay plaintiffs half of any tax savings to defendant from the use of the foreign tax credit. Plaintiffs received royalties under the contracts for many years without demanding a showing of any credits, and the contracts were fully capable of being performed without the interpretation now sought by plaintiffs. Moreover, it was industry custom and practice for music publishing companies sharing tax credits with songwriters to include an explicit clause in their contracts regarding the shared credits, and the language in the parties' contracts was insufficient to impose such an obligation upon defendant.

TOTAL CLIENT-SERVICE LIBRARY® REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Contracts §§ 716, 724, 726; AM JUR 2d, Copyright and Literary Property §§ 160, 183, 186.

NY JUR 2d, Contracts §§ 420, 432; NY JUR 2d, Literary and Artistic Property § 32.

ANNOTATION REFERENCE

See ALR Index under Contracts; Royalties.

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POINTS OF COUNSEL

McLaughlin & Stern, LLP, New York City (*David Blasband* of counsel), for appellants. I. The Appellate Division erred in reversing motion court's conclusion that the songwriters' contracts unambiguously require Famous Music Corporation to share the benefits of the foreign tax credit with the songwriters. (*Wendel Found. v Moredall Realty Corp.*, 282 NY 239; *Rudd v 176 W. 87th St. Owners Corp.*, 283 AD2d 202; *Fairfax Co. v Whelan Drug Co.*, 105 AD2d 647; *1100 Ave. of Ams. Assoc. v Bryant Imports*, 234 AD2d 101; *S.B.S. Assoc. v Weissman-Heller, Inc.*, 190 AD2d 529; *Ran First Assoc. v 363 E. 76th St. Corp.*, 297 AD2d 506; *Keasby & Mattison Co. v Rothensies*, 133 F2d 894, 320 US 739; *Greenfield v Philles Records*, 98 NY2d 562; *Woodmere Academy v Steinberg*, 41 NY2d 746; *Uribe v Merchants Bank of N.Y.*, 91 NY2d 336.) II. Even if the contracts are ambiguous, rules of contract interpretation compel the construction urged by the songwriters. (*Jacobson v Sassower*, 66 NY2d 991; *Rentways v O'Neill Milk & Cream Co.*, 308 NY 342; *Fleischman v Furgueson*, 223 NY 235; *A.J. Cerasaro, Inc. v State of New York*, 97 AD2d 598; *City of New York v Brooklyn Union El. R.R. Co.*, 182 App Div 507; *Continental Cas. Co. v Rapid-American Corp.*, 80 NY2d 640; *Matter of Gerseta Corp. v Silk Assn. of Am.*, 220 App Div 293; *Matter of Reuters Ltd. v Dow Jones Telerate*, 231 AD2d 337; *Schlanger v Hayman*, 185 App Div 599; *McDonald v Acker, Merrall & Condit Co.*, 192 App Div 123.)

Loeb & Loeb, LLP, New York City (*Jonathan Zavin* and *Alyson M. Weiss* of counsel), for respondent. I. The plain language of the contracts does not entitle plaintiffs to receive the "benefit" of any foreign tax credits. (*Uribe v Merchants Bank of N.Y.*, 91 NY2d 336; *731 W. Lake Rd. v Boheen*, 58 AD2d 1038; *Morlee Sales Corp. v Manufacturers Trust Co.*, 9 NY2d 16; *Matter of Caruso v Ward*, 146 AD2d 22; *Breed v Insurance Co. of N. Am.*, 46 NY2d 351; *Rodolitz v Neptune Paper Prods.*, 22 NY2d 383; *8-14 W. 38th St. Corp. v W. & J. Sloane*, 181 AD2d 545.) II. Plaintiffs' contract construction is contrary to the decisions of other courts to have considered this issue. (*Surge Licensing v Copyright Promotions*, 258 AD2d 257; *Croce v Kurnit*, 737 F2d 229; *Fairfax Co. v Whelan Drug Co.*, 105 AD2d 647; *Wendel*

Found. v Moredall Realty Corp., 282 NY 239; *Mir v Mir*, 135 AD2d 690; *Albany Sav. Bank, FSB v Halpin*, 117 F3d 669; *DeVanzo v Newark Ins. Co.*, 44 AD2d 39, 37 NY2d 733; *Matter of Caruso v Ward*, 146 AD2d 22; *Greenfield v Philles Records*, 98 NY2d 562.) III. Even if the contracts are ambiguous, the undisputed evidence of the parties' intent compels the construction urged by Famous Music Corporation. (*Federal Ins. Co. v Americas Ins. Co.*, 258 AD2d 39; *Town of Pelham v City of Mount Vernon*, 304 NY 15; *Continental Cas. Co. v Rapid-American Corp.*, 80 NY2d 640; *Mallad Constr. Corp. v County Fed. Sav. & Loan Assn.*, 32 NY2d 285; *Schechter Assoc. v Major League Baseball Players Assn.*, 256 AD2d 97; *Edelman v Robert A. Becker, Inc.*, 194 AD2d 507; *AJ Contr. Co. v Trident Mgrs.*, 234 AD2d 195; *731 W. Lake Rd. v Boheen*, 58 AD2d 1038; *Bernstein v Felske*, 143 AD2d 863; *Mocca Lounge v Misak*, 94 AD2d 761.)

Paul, Weiss, Rifkind, Wharton & Garrison LLP, New York City (Carey R. Ramos and Lauren A. McMillen of counsel), for National Music Publishers' Association Inc., amicus curiae. I. Appellants' novel interpretation of their long-standing contracts cannot be what the contracting parties intended. (*Nassau Ch., Civ. Serv. Empls. Assn. v County of Nassau*, 77 AD2d 563; *Shirai v Blum*, 239 NY 172; *Kasen v Morrell*, 6 AD2d 816; *Matter of Reuters Ltd. v Dow Jones Telerate*, 231 AD2d 337; *Rooney v Columbia Pictures Indus., Inc.*, 538 F Supp 211; *Zodiac Enters. v American Broadcasting Cos.*, 56 NY2d 738.) II. Appellants' novel interpretation, if adopted, would be inequitable to parties who have been successfully dealing with each other under the contracts at issue for over 40 years. (*John Doris, Inc. v Guggenheim Found.*, 209 AD2d 380; *Lindsey v Normet*, 405 US 56; *Lang v Pataki*, 176 Misc 2d 676; *Bartsch v Metro-Goldwyn-Mayer, Inc.*, 391 F2d 150.)

OPINION OF THE COURT

G.B. SMITH, J.

This action involves the interpretation of a provision in six music royalty contracts detailing the manner in which income from the exploitation of songs must be apportioned between the plaintiff songwriters and defendant Famous Music Corporation. Specifically, the question is whether the contract provision obligates Famous to share with plaintiffs certain tax savings resulting from foreign tax credits. We answer the question in the negative.

I.

Ray Evans, Henry Mancini, Johnny Mercer and Richard Whiting are legendary writers of American popular music, particularly music for movies. Famous is a music publisher that Paramount Pictures (Famous's predecessor-in-interest) established in 1928 to market music from its films. Famous today is a subsidiary of Viacom.

On August 9, 1945, plaintiff Ray Evans entered into a six-month employment contract with Paramount as a staff writer, composer and arranger. Paramount also agreed to pay Evans additional income based on the exploitation of any songs or music he composed pursuant to the contract. On August 31, 1960, Henry Mancini entered into a similar contract with Paramount, the second contract in issue in this case. Mancini's services under the contract dealt with the movie "Breakfast At Tiffany's" and its accompanying song, "Moon River," for which Johnny Mercer wrote the lyrics pursuant to the third contract in this action. Mancini entered into two additional contracts—the fourth and fifth at issue—one for the movie "Hatari," the other in 1981 with Paramount for the movie "Mommie Dearest."

Finally, the sixth contract before us, dated November 9, 1959, was entered into between Paramount and the widow and two daughters of Richard Whiting for works he had composed. The contract is a settlement agreement resolving past royalty disputes. The contract is dated November 1959, and covers numerous songs co-authored by Richard Whiting.¹

All six contracts contain the following substantially identical provision, which requires that Famous pay the songwriters

"[f]or both words and music an amount equal to fifty per centum (50%) of all net sums actually received by the Corporation with respect to such song or musical composition from any other source or right now known or which may hereafter come into existence (except small performing rights and except as provided in the next following paragraph hereof), less all expenses and charges in connection with administering said rights or collecting such sums . . . and less all deductions for taxes."

1. Except for Ray Evans, plaintiffs are successors-in-interest to the songwriters. Famous is the assignee of the rights to exploit the songs under the contracts at issue.

Basing their lawsuit on this provision, plaintiffs allege that Famous breached its obligation to reimburse them for their proportional share of tax credits Famous received for the payment of foreign taxes. The complaint alleges that for the years it realized profit for the overseas exploitation of its music, Famous paid taxes to the foreign governments involved and regularly received the benefit of foreign tax credits on its United States tax returns. Plaintiffs claim that under the above-quoted provision, they are entitled to half of the value of the foreign tax credits Famous received.

Famous moved for summary judgment arguing that (1) the plain meaning of the provision does not support plaintiffs' right to recover the damages they seek; (2) because of past custom and practice in the industry, plaintiffs are not entitled to recovery; and (3) had the parties intended for the plaintiffs to receive such a benefit—which involves a complex calculation dependent on numerous factors—they would have explicitly provided for it in their contracts. In support of the motion, Famous submitted the affidavit of its Executive Vice President of Finance and Administration, highlighting the uncertainty and complexity surrounding the foreign tax credit, and explaining that it was inconsistent with the performance of the parties and industry practice involving similar contracts for publishing companies to credit or share the benefit of any foreign tax credit.

Plaintiffs cross-moved for partial summary judgment, offering the affidavit of a certified public accountant explaining how foreign tax credits operate. Plaintiffs also submitted the affidavit of the Executive Director of the Songwriters Guild of America (SGA), stating that, in 1997, he wrote to Famous and other companies inquiring about the use of foreign tax credits, but received no adequate answer. Famous then responded with the affidavit of a certified public accountant who specializes in the recording/entertainment industry. The accountant was not aware of any music publishing company that interpreted the standard term "all net sums received" or "all net sums actually received" to include the value or benefit of a foreign tax credit. He opined that, in order for a company to make payments relating to tax credits, it would have to agree specifically to do so. He further stated that the calculation of foreign tax credits on a song-by-song basis "would be extremely difficult and impractical, if not impossible."

Supreme Court granted plaintiffs' motion for partial summary judgment, holding Famous liable under the contracts. The

court reasoned that since Famous suffers no loss when a tax payment is credited, “there is no justification for deducting the foreign tax payments from the gross receipts when calculating the ‘net sums’ upon which plaintiffs’ royalty payments are based.” The court found the contractual provisions at issue unambiguous and saw no need to rely on extrinsic evidence. In addition, the court held that the complexities surrounding computation of the foreign tax credits did not relieve Famous of its contractual obligation to share the benefits with plaintiffs. The Appellate Division reversed, concluding that “the benefit of any foreign tax credit was not contemplated by the parties” since the contracts identified the payments plaintiffs were entitled to, but omitted any mention of foreign tax credits. (302 AD2d 216, 217 [2003].) We now affirm.

II.

Unlike many of its trading partners, the United States taxes its citizens and residents on their worldwide income. The foreign tax credit was enacted in 1918 to prevent American companies from being taxed both by the United States and by the foreign country in which the income is generated. Without the credit, United States companies doing business abroad would be at a distinct disadvantage with foreign companies that are not taxed on their foreign income. Generally, where the foreign tax liability is lower than the United States tax liability, the taxpayer will still have a United States tax liability. Where the foreign tax liability is higher than the United States tax liability, the taxpayer will have excess credit. Excess credits may also result from limits on the use of credits.

Application of the foreign tax credit is complex, even by tax standards. As Famous and amicus National Music Publishers’ Association emphasize, there are numerous technicalities surrounding the use of the credit. For example, the credit cannot be used to decrease United States taxes on United States source income (Internal Revenue Code [IRC] [26 USC] § 904 [a]). Credits and foreign source income must be categorized into different so-called “baskets” which may not be combined (IRC § 904 [d] [1]). The credit is elective, and excess credit may be carried back two years and forward five years. These technicalities make the foreign tax credit “one of the most intricate and convoluted features of the entire U.S. tax system” (Kaplan, *Federal Taxation of International Transactions*, at 81 [West Publishing 1988]; see also Graetz, *The David R. Tillinghast*

Lecture, Taxing International Income: Inadequate Principles, Outdated Concepts, and Unsatisfactory Policies, 54 Tax L Rev 261, 264 [2001]). Here, the calculation is even further complicated by inserting Viacom (the entity that would take the credit) into the picture, by classifying royalties as either passive income or general limitation income, by calculating the credit limit allowed under each basket, by carrying over and back excess credits, by potential redeterminations years later, and by a host of other factors.

While a highly complex tax matter, the law issue before us is a simple and familiar one: how should the parties' contract be interpreted? To phrase it differently, does the obligation to pay half of "all net sums actually received . . . less all deductions for taxes" require Famous to pay half of any tax savings to Famous resulting from the use of the foreign tax credit?

It is well settled that our role in interpreting a contract is to ascertain the intention of the parties at the time they entered into the contract. If that intent is discernible from the plain meaning of the language of the contract, there is no need to look further. This may be so even if the contract is silent on the disputed issue. Illustrative is *Greenfield v Philles Records* (98 NY2d 562 [2002]), a case involving a contract between recording artists and their producer. There, the issue was whether the producer could use the master recordings for synchronization and other new technologies even though the contract did not explicitly authorize it. Reading the contract as a whole, and consistent with the rules of contract interpretation, we held that the broad grant of ownership rights, without reservation, included the right to synchronization and other newly developed formats. Had the contract been susceptible to more than one reasonable interpretation, it would have been ambiguous.

The contractual provision in the case before us establishes a mechanism for calculating the sharing of income received from the exploitation of songs. The calculation begins with "all net sums actually received" by Famous from "any other source or right now known or which may hereafter come into existence." From "all net sums actually received," Famous must deduct certain expenses and taxes, and half of the remainder belongs to the artists.

Plaintiffs argue that the language "from any other source or right now known or which may hereafter come into existence" encompasses a foreign tax credit. This clause addresses the

means of exploitation. Yet the credit is not income that Famous receives in exchange for the right to use the songs. The credit is given by the United States government because of a tax policy, not in return for the use of songs. While the credit diminishes tax liability, it is not the same as cash or its equivalent.

Plaintiffs also argue that while the contracts specify certain usages that require no payment to the songwriters as well as expenses that must be deducted, they do not exclude benefits from the foreign tax credit. The argument is based on the maxim that the expression of one thing is the exclusion of another. The maxim, however, does not fit neatly within plaintiffs' interpretation since it would involve placing into the contract a term that was excluded. The argument is a double-edged sword. The contracts provide that the sums specifically provided "represent the total amount which" the songwriters are entitled to. Yet the foreign tax credit is not included. While it is clear that Famous obligated itself to deduct taxes, it is not equally clear that it obligated itself to make payments to the songwriters in the event that the foreign tax credit proved beneficial.

Faced with this ambiguity, we turn to extrinsic evidence for guidance as to which interpretation should prevail. The evidence strongly favors Famous. To begin with, the songwriters have received royalties under these contracts for periods of time ranging from 23 to 59 years, and have never demanded a showing of any credits. When a demand was made, it came in 1997, through a third party, the SGA.² The contracts are fully capable of being performed—and have been for decades—without the interpretation now sought by plaintiffs. It is no answer that plaintiffs claim to have been unaware that tax credits were being taken by Famous or that Famous was evasive as to whether there were any. Foreign tax credits have existed since 1918.

Industry custom and practice also favors Famous. Plaintiffs did not refute the accountants' assertions that the language used in the contracts was insufficient to impose on Famous the

2. The record contains several letters between the SGA and Famous. In its initial response, Famous stated that "[a]ny foreign taxes incurred by these subpublishers or withheld from payments due these subpublishers by foreign societies will not even support a claim for foreign tax credit by our company, because these foreign taxes have not been directly imposed or withheld in our name." In addition Famous argued that even if it owned the subsidiary, the taxes would not be paid on the songwriter's name so that the songwriter would not be entitled to the credit. The last letter by Famous states that only with respect to Japanese taxes can Famous obtain the foreign tax credit, and even then Famous could not pass along any credit to the songwriters.

obligation of sharing any benefits resulting from the use of the foreign tax credit with the songwriters. Moreover, when music publishing companies have shared credits with songwriters, they have done so pursuant to an explicit clause.

The industry practice and custom reflects to some extent the generally greater bargaining power of music publishing companies. It also reflects the unlikelihood that a music publisher would assume an onerous obligation without explicitly agreeing to do so, particularly when the obligation is fraught with uncertainty, including how the determination of the benefit should be conducted, how much of the benefit (if any) is attributable to the songwriter, and when and how the benefit would be shared.

In light of the extrinsic evidence, the reasonable interpretation of the contracts before us is that they do not require the sharing of any benefit resulting from defendant's use of the foreign tax credit.

The reasonable expectation of the parties, the wording of the contracts and the industry practice all demonstrate that the foreign tax credits should not result in additional compensation to plaintiffs.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

READ, J. (dissenting). These form contracts obligate respondent Famous Music Corporation, a major music publisher, to pay appellants, a well-known songwriter and the heirs of other well-known songwriters (collectively Songwriters), specified amounts for identified formats in which their work is published in the United States and Canada (e.g., regular piano copies) with identified exclusions (e.g., certain television and film synchronization rights), plus 50% of "all net sums actually received by [Famous] . . . from any other source or right now known or which may hereafter come into existence . . . less all expenses and charges . . . and less all deductions for taxes." Thus, Famous agreed to pay the Songwriters listed royalties plus a catchall royalty consisting of half of any net profit actually realized by Famous from exploitation of Songwriters' musical compositions in ways or places neither specifically delineated in nor excluded by the contract. This contractual scheme is absolutely clear and unambiguous.

To exploit Songwriters' compositions abroad, Famous entered into subpublishing contracts with foreign music publishers. The

foreign subpublishers administer Famous's catalog of songs and collect the royalties; deduct a fee (usually a percentage of the royalties collected) and the taxes imposed by the foreign country; and account to Famous for the balance. Famous pays half of this balance to Songwriters under the catchall royalty provision. Thus, Famous and Songwriters effectively each pay half of the foreign taxes. In certain instances, however, Famous takes a foreign tax credit on its United States income taxes for the full amount of foreign taxes paid on both its own and Songwriters' behalf.¹ Songwriters seek their one-half share of any deductions for foreign taxes actually reimbursed to Famous in this way. This case, then, turns on the meaning of the phrase "less all deductions for taxes."

As we stated in *Greenfield v Philles Records* (98 NY2d 562, 571 [2002]), "[i]f the contract is more reasonably read to convey one meaning, the party benefitted by that reading should be able to rely on it; the party seeking exception or deviation from the meaning reasonably conveyed by the words of the contract should bear the burden of negotiating for language that would express the limitation or deviation" (quoting *Boosey & Hawkes Music Publs., Ltd. v Walt Disney Co.*, 145 F3d 481, 487 [2d Cir 1998]). The word "deduction" means "something that is or may be subtracted" (Merriam-Webster's Collegiate Dictionary 301 [10th ed]). "[L]ess all deductions for taxes" is therefore more naturally read to encompass subtractions for taxes for which Famous is—and remains—out of pocket. If these subtractions are subsequently reimbursed, they are not, in fact, subtractions at all. By disregarding reimbursed tax payments, Famous is calculating the catchall royalty in contravention of a clear and unambiguous contractual scheme, which calls for the parties to split net profits evenly. That the parties in 1945 (the date of the Evans contract) did not identify precise elements (i.e., foreign tax credits) that might bear on how to calculate "all deductions for taxes" in future decades does not render their intent ambiguous.

Finding the contract ambiguous, though, the majority gleans intent from the parties' course of dealing. Principally, the majority considers it critical that Songwriters did not demand "a showing of any credits" until 1997, and then, only by letter from the Songwriters Guild of America (majority op at 459). For the majority, it is not enough that Famous was being "evasive."

1. This occurs when the subpublisher pays the foreign taxes in Famous's name directly, as is most notably the case in Japan.

The availability of foreign tax credits under the Internal Revenue Code long predates these contracts; however, Famous does not contend that it was taking advantage of foreign tax credits in Japan or elsewhere when these contracts were signed. The record does not establish when Famous first began employing these credits to reimburse itself for foreign taxes effectively paid by Songwriters. The record does, however, show that Songwriters were unaware that Famous was doing this until shortly before the litigation began. Moreover, Famous was not just “evasive”; Famous repeatedly and emphatically denied using foreign tax credits in response to point-blank inquiries made by the Guild on Songwriters’ behalf.² As we stated in *Continental Cas. Co. v Rapid-American Corp.* (80 NY2d 640, 651 [1993]), “[i]f ambiguity exists, [t]o show a practical construction . . . there must have been conduct by the one party expressly or inferentially claiming as of right under the doubtful provision [i.e., Famous], *coupled with knowledge thereof and acquiescence therein, express or implied, by the other* [i.e., Songwriters]’ ” (citations omitted and emphasis added).

Further, “[i]n New York, all contracts imply a covenant of good faith and fair dealing in the course of performance” (see *511 W. 232nd Owners Corp. v Jennifer Realty Co.*, 98 NY2d 144, 153 [2002]). The covenant of good faith and fair dealing

“embraces a pledge that ‘neither party shall do anything which will have the effect of destroying or injuring the right of the other party to receive the fruits of the contract.’ While the duties of good faith and fair dealing do not imply obligations ‘inconsistent with other terms of the contractual relationship’ they do encompass ‘any promises which a reasonable person in the position of the promisee would be justified in understanding were included’ ” (*id.* [citations omitted]).

This is particularly true in relationships where the parties “do not deal as equals either in terms of access to information or business acumen and thus, . . . often lack equal bargaining power” (*id.* at 154).

2. In answer to letters from the Guild, Famous represented that it did not employ foreign tax credits, and was, in fact, legally unable to do so. Only after an audit by the Guild did Famous finally acknowledge its use of foreign tax credits with regard to taxes paid in Japan. Famous’s royalty statements to Songwriters did not indicate that Famous was utilizing foreign tax credits and, indeed, did not even show that Songwriters were paying foreign taxes.

Although Songwriters were well-established artists, they were not dealing as equals in terms of access to information with regard to Famous's use of these allegedly extremely complicated foreign tax credits. Famous was therefore under a heightened obligation to honor any promises that Songwriters were justified in relying upon—including the implied promise that “all deductions for taxes” would, in fact, encompass actual, unreimbursed outlays for taxes. The majority, in effect, converts a good faith requirement to account for deductions into a negotiable contract “benefit” that is forfeited if not spelled out in prescient detail and diligently policed.

The majority also contends that the contracts should be construed in accordance with music industry custom and practice by which music publishers apparently now may pay artists a share of foreign tax credits, but only pursuant to an explicit clause.³ Of course, custom and usage cannot be used to contradict, alter or vary the terms of an unambiguous contract. Furthermore, Famous cannot establish, as it must, that “the party sought to be bound [Songwriters] [were] aware of the custom, or that the custom's existence was ‘so notorious’ that [they] should have been aware of it” (*British Intl. Ins. Co. Ltd. v Seguros La Republica, S.A.*, 342 F3d 78, 84 [2d Cir 2003]). Again, there is no suggestion that what might constitute music industry custom and practice today was the same when these contracts were signed as long as 60 years ago. Further, I agree with Supreme Court that “the fact that defendants have been successful in breaching a material term of their royalty contracts for years hardly justifies a continuation of such behavior based on custom and usage.”

Accordingly, I would reverse the order of the Appellate Division.

Chief Judge KAYE and Judges CIPARICK, ROSENBLATT and GRAFFEO concur with Judge G.B. SMITH; Judge READ dissents and votes to reverse in a separate opinion; Judge R.S. SMITH taking no part.

Order affirmed, with costs.

3. That the music publishing companies are concededly capable of allocating reimbursed foreign tax payments belies Famous's argument that these calculations are too difficult to make.

[807 NE2d 273, 775 NYS2d 224]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v WALTER GONZALEZ, Respondent.

Argued February 19, 2004; decided March 25, 2004

SUMMARY

APPEAL, by permission of a Justice of the Appellate Division of the Supreme Court in the Fourth Judicial Department, from an order of that Court, entered February 7, 2003. The Appellate Division modified, on the law, a judgment of the Monroe County Court (Frank P. Geraci, Jr., J.), which had convicted defendant, upon a jury verdict, of murder in the second degree, criminal possession of a weapon in the second degree, and criminal possession of a weapon in the third degree. The modification consisted of reversing that part of the judgment convicting defendant of murder in the second degree, vacating the sentence imposed thereon, and dismissing the count of the indictment charging second degree depraved indifference murder. The Appellate Division affirmed the judgment as modified.

People v Gonzalez, 302 AD2d 870, affirmed.

HEADNOTE

Crimes — Murder — Depraved Indifference Murder

In a murder prosecution arising out of defendant's shooting of the victim 10 times at close range, even after the victim had fallen to the ground, the evidence was legally insufficient to support defendant's second degree depraved indifference murder conviction (*see* Penal Law § 125.25 [2]). The only reasonable view of the evidence was that defendant intentionally killed the victim. Depraved indifference murder differs from intentional murder in that it results not from a specific, conscious intent to cause death, but from an indifference to or disregard of the risks attending defendant's conduct. Where, as here, a defendant's conduct is specifically designed to cause the death of the victim, it cannot be said that the defendant is indifferent to the consequences of his or her conduct.

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AM JUR 2d, Homicide §§ 41, 44, 45, 87.

McKINNEY'S, Penal Law § 125.25 (2).

NY JUR 2d, Criminal Law §§ 3787, 3790, 3796, 3798, 3799.

ANNOTATION REFERENCE

Validity and construction of statute defining homicide by conduct manifesting depraved indifference. 25 ALR4th 311.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: murder /6 depraved /2 indifference /s intentional
/p evidence /s insufficient

POINTS OF COUNSEL

Howard R. Relin, District Attorney, Rochester (Wendy Evans Lehmann of counsel), for appellant. The trial court properly denied defendant's motion for a trial order of dismissal, since there was sufficient evidence to permit the jury to conclude that he acted recklessly under circumstances evincing a depraved indifference to human life, and accordingly the Appellate Division erred in reversing defendant's conviction for depraved indifference murder. (*People v Sanchez*, 98 NY2d 373; *People v Tankleff*, 199 AD2d 550, 84 NY2d 92; *People v Cole*, 233 AD2d 247, 89 NY2d 984; *People v Crawford*, 295 AD2d 361, 98 NY2d 696; *People v Salcedo*, 304 AD2d 309; *People v Flowers*, 289 AD2d 504, 97 NY2d 754; *People v Lyons*, 280 AD2d 926, 96 NY2d 802; *People v Alston*, 298 AD2d 702, 99 NY2d 554; *People v Hafeez*, 100 NY2d 253; *People v Fink*, 251 AD2d 751, 92 NY2d 924.)

Edward J. Nowak, Public Defender, Rochester (Timothy P. Donaher of counsel), for respondent. Given the dearth of evidence supporting the depraved indifference murder count, the trial court erred in not granting defense counsel's motion for a trial order of dismissal seeking to dismiss that count. (*People v Hafeez*, 100 NY2d 253; *People v Williams*, 84 NY2d 925; *People v Hines*, 97 NY2d 56; *People v Lynch*, 95 NY2d 243; *People v Roe*, 74 NY2d 20; *People v Register*, 60 NY2d 270, 466 US 953; *People v Gomez*, 65 NY2d 9; *People v Russell*, 91 NY2d 280; *People v Gallagher*, 69 NY2d 525; *People v Sanchez*, 98 NY2d 373.)

OPINION OF THE COURT

Chief Judge KAYE.

On January 25, 2000, defendant entered a Rochester barber shop and whispered something to another person in the shop. Although both left quickly, defendant soon returned, kicked in the door, stepped inside, pulled a gun from his waistband and shot the victim in the chest from a distance of six to seven feet. As the victim fell to the floor, defendant fired again, shooting him in the head. Defendant then leaned over the prone body and fired eight more shots into the victim's back and head. De-

fendant waved the gun at the only eyewitness—the barber—warned him not to say anything and walked out the door. Medical testimony established that defendant shot the victim once in the chest, once in the face from 6 to 18 inches away, six times in the back of the head from approximately six inches away, and twice in the back. Any one of the shots could have been fatal.

After his arrest, defendant made a written statement in which he claimed that he had been afraid of the victim, who had repeatedly threatened him because the victim's niece had accused him of raping her. Defendant said that he became tense and panicked when he saw the victim in the barber shop. Defendant further stated that he had been carrying a gun for protection, but had “blanked out” as a result of fear and could not recall the shooting. The next day, he “couldn't believe what had happened.” Later, on the way to booking, a police officer asked him, “Well, if you had blacked out, why are you having these nightmares? . . . Could you be having these nightmares because you shot him?” Defendant replied, “Of course I shot him.”

Defendant was indicted for both intentional and depraved indifference murder, as well as for criminal possession of a weapon in the second and third degrees. At the conclusion of the People's proof, defendant moved for a trial order of dismissal, arguing that the evidence was legally insufficient to establish his guilt of depraved indifference, as opposed to intentional, murder. Supreme Court denied the motion and submitted both counts to the jury in the alternative. The jury acquitted defendant of intentional murder but convicted him of depraved indifference murder and two counts of criminal possession of a weapon. The Appellate Division, with one Justice dissenting, reversed the murder conviction, concluding that the evidence was legally insufficient to establish depraved indifference, and affirmed the weapon possession convictions, for which defendant is serving 15 years in prison. We now affirm.

Discussion

A defendant is guilty of depraved indifference murder in the second degree when “[u]nder circumstances evincing a depraved indifference to human life, he recklessly engages in conduct which creates a grave risk of death to another person, and thereby causes the death of another person” (Penal Law § 125.25 [2]). “A person acts recklessly with respect to a result or to a circumstance described by a statute defining an offense

when he is aware of and consciously disregards a substantial and unjustifiable risk that such result will occur or that such circumstance exists. The risk must be of such nature and degree that disregard thereof constitutes a gross deviation from the standard of conduct that a reasonable person would observe in the situation” (Penal Law § 15.05 [3]).

As the Appellate Division correctly concluded, in this case “defendant was guilty of an intentional shooting or no other” (*People v Wall*, 29 NY2d 863, 864 [1971]). A defendant acts intentionally with respect to a result “when his conscious objective is to cause such result” (Penal Law § 15.05 [1]). The only reasonable view of the evidence here was that defendant intentionally killed the victim by aiming a gun directly at him and shooting him 10 times at close range, even after he had fallen to the ground.

Depraved indifference murder differs from intentional murder in that it results not from a specific, conscious intent to cause death, but from an indifference to or disregard of the risks attending defendant’s conduct. Depraved indifference murder is exemplified by a defendant—unconcerned with the consequences—who fires into a crowd (*see e.g. People v Jernatowski*, 238 NY 188 [1924]); drives an automobile down a crowded sidewalk at high speed (*see People v Gomez*, 65 NY2d 9 [1985]); shoots a partially loaded gun at a person’s chest during a game of Russian roulette (*see People v Roe*, 74 NY2d 20 [1989]); abandons a helplessly intoxicated person on a snowy highway at night (*see People v Kibbe*, 35 NY2d 407 [1974]); or repeatedly beats a young child over a period of several days (*see People v Poplis*, 30 NY2d 85 [1972]).

When a defendant is in that sense indifferent to whether death will likely result from his or her conduct—including with respect to a single victim—depraved indifference may be manifest. But where, as here, a defendant’s conduct is specifically designed to cause the death of the victim, it simply cannot be said that the defendant is indifferent to the consequences of his or her conduct.

The prosecution’s speculative argument—that the jury may have concluded that defendant recklessly fired the first shot spontaneously or impulsively and then decided to intentionally shoot nine more times—is unsupported by any reasonable view of the evidence and thus no rational jury could have accepted it. “From this record there exists no valid line of reasoning that

could support a jury's conclusion that defendant possessed the mental culpability required for depraved indifference murder" (*People v Hafeez*, 100 NY2d 253, 259 [2003]).

The People also maintain that the evidence was sufficient to support a conclusion that defendant acted recklessly by consciously disregarding the risk that if he came across someone he intended to shoot while carrying a gun, he might intentionally shoot that person, or that if he did, that person would die. But a person cannot act both intentionally and recklessly with respect to the same result. "The act is either intended or not intended; it cannot simultaneously be both" (*People v Gallagher*, 69 NY2d 525, 529 [1987]). Because "guilt of one necessarily negates guilt of the other," intentional and depraved indifference murder are inconsistent counts (*id.*).

Depraved indifference murder does not mean an extremely, even heinously, intentional killing. Rather, it involves a killing in which the defendant does not have a conscious objective to cause death but instead is recklessly indifferent, depravedly so, to whether death occurs. When defendant shot his victim at close range, he was not recklessly creating a grave risk of death, but was creating a virtual certainty of death born of an intent to kill. There is no record evidence that defendant "consciously disregarded" that certainty. Indeed, firing 10 times did not establish extremely reckless homicide under Penal Law § 125.25 (2). Rather, it confirmed the intent to kill. The People's tautology, if accepted, would improperly convert every intentional homicide into a depraved indifference murder.

Our decision in *People v Sanchez* (98 NY2d 373 [2002]) is not to the contrary. In *Sanchez*, depraved indifference murder was established by "the sudden shooting of a victim by a defendant who reached around from behind a door and fired into an area where children were playing, presenting a heightened risk of unintended injury" (*Hafeez*, 100 NY2d at 259). The defendant's conduct in firing from behind a partly closed door established his indifference to the grave risk of death posed by his actions. Here, by contrast, the only conclusion reasonably supported by the evidence was that defendant shot to kill his intended victim.

When a defendant's conscious objective is to cause death, the depravity of the circumstances under which the intentional homicide is committed is simply irrelevant. Nor can the wanton disregard for human life inherent in every intentional homicide convert such a killing into a reckless one. To rise to the level of

depraved indifference, the reckless conduct must be “ ‘so wanton, so deficient in a moral sense of concern, so devoid of regard of the life or lives of others, and so blameworthy as to warrant the same criminal liability as that which the law imposes upon a person who intentionally causes the death of another’ ” (*People v Russell*, 91 NY2d 280, 287 [1998], quoting *People v Fenner*, 61 NY2d 971, 973 [1984]).

In arguing that the jury might have concluded that defendant acted out of fear and anger, and therefore without intent, the People confuse recklessness with extreme emotional disturbance. A defendant who commits murder because of uncontrollable emotion may be entitled to raise an affirmative defense to murder, but the extreme emotional disturbance defense “does not negate intent. The influence of an extreme emotional disturbance explains the defendant’s intentional action, but does not make the action any less intentional” (*People v Patterson*, 39 NY2d 288, 302 [1976], *affd* 432 US 197 [1977]; *accord People v Fardan*, 82 NY2d 638, 644 [1993] [extreme emotional disturbance defense “recognizes that defendant intended to kill his victim but, by legislative prerogative, the accused is viewed as being less blameworthy”]). Indeed, when there is a finding that the defendant acted under extreme emotional disturbance, the offense is reduced from intentional murder in the second degree to intentional—not reckless—manslaughter in the first degree (see Penal Law § 125.25 [1] [a]; § 125.20 [2]).

In short, because the depraved indifference murder count was unsupportable as a matter of law, the trial court erred in allowing the jury to consider it. It may well be that, had the jury not been invited to consider depraved indifference murder, it would have convicted defendant of intentional murder. But the choice to proceed on both theories does not exempt this case from the dictates of the law. Inasmuch as this “was a quintessentially intentional attack directed solely at the victim” (*Hafeez*, 100 NY2d at 258), the trial court erred in denying defendant’s motion for a trial order of dismissal as to the depraved indifference count.

Accordingly, the order of the Appellate Division should be affirmed.

Judges G.B. SMITH, CIPARICK, ROSENBLATT, GRAFFEO, READ and R.S. SMITH concur.

Order affirmed.

[807 NE2d 876, 775 NYS2d 765]

VERMONT TEDDY BEAR CO., INC., Respondent, v 538 MADISON
REALTY COMPANY, Appellant.

Argued February 10, 2004; decided March 25, 2004

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered June 3, 2003. The Appellate Division, with two Justices dissenting, affirmed a judgment of the Supreme Court, New York County (Herman Cahn, J.), which had awarded plaintiff damages against defendant in the sum of \$170,161.29, plus interest, upon an order granting plaintiff's motion for summary judgment.

Vermont Teddy Bear Co. v 538 Madison Realty Co., 308 AD2d 33, reversed.

HEADNOTE

**Landlord and Tenant — Lease — Termination of Commercial Lease
Following Casualty — Necessity of Written Notice of Restoration**

Defendant commercial landlord, having received plaintiff tenant's notice of its intent to terminate the lease if the substantially damaged premises were not restored within one year, was not required under the lease to furnish plaintiff with written notice of restoration within the one-year period. Defendant's failure to furnish written notice of restoration, therefore, did not terminate the lease. Although the lease required defendant to provide plaintiff with written notice of restoration in order to reinstate plaintiff's liability for rent, the written notice component dealt exclusively with plaintiff's liability for rent. There was neither an explicit requirement that the owner give the tenant notice that the rental premises had been restored, nor any provision allowing the tenant to terminate the lease based on the lack of such notice. A written restoration notice requirement for tenancy termination of the lease should not be judicially inserted in the unambiguous agreement.

TOTAL CLIENT-SERVICE LIBRARY® REFERENCES

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AM JUR 2d, Landlord and Tenant §§ 224, 229-232.

DOLAN, RASCH'S NEW YORK LANDLORD AND TENANT IN-
CLUDING SUMMARY PROCEEDINGS (4th ed) §§ 25:6, 25:28,
25:30.

NY JUR 2d, Landlord and Tenant §§ 114, 827-830.

NEW YORK REAL PROPERTY SERVICE §§ 70:73, 70:74.

ANNOTATION REFERENCE

See ALR Index under Landlord and Tenant; Termination
and Expiration.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: written /2 notice /s restor! /p lease & inten! /s terminat!

POINTS OF COUNSEL

Jay Goldberg, PC, New York City (*Jay Goldberg* of counsel), and *Greenberg Traurig, LLP* (*Israel Rubin* and *James W. Perkins* of counsel), for appellant. I. The court below improvidently affirmed the grant of summary judgment based upon numerous unresolved issues of fact. (*Sillman v Twentieth Century-Fox Film Corp.*, 3 NY2d 395; *Financial & Real Estate Consulting Co. v State of New York*, 63 AD2d 802, 45 NY2d 837; *Greenberg v Bar Steel Constr. Corp.*, 22 NY2d 210.) II. The majority below violated the plain meaning rule by engrafting a new condition not contained in the lease. (*W.W.W. Assoc. v Giancontieri*, 77 NY2d 157; *Laba v Carey*, 29 NY2d 302; *Rowe v Great Atl. & Pac. Tea Co.*, 46 NY2d 62; *Reiss v Financial Performance Corp.*, 97 NY2d 195; *Morlee Sales Corp. v Manufacturers Trust Co.*, 9 NY2d 16; *Raner v Goldberg*, 244 NY 438; *Matter of Loew's Buffalo Theatres*, 233 NY 495; *Uribe v Merchants Bank of N.Y.*, 91 NY2d 336; *Schmidt v Magnetic Head Corp.*, 97 AD2d 151; *Nisho Iwai Europe PLC v Korea First Bank*, 99 NY2d 115.) III. The court below erred because its ruling amounted to a forfeiture. (*Lyon v Hersey*, 103 NY 264; *J.N.A. Realty Corp. v Cross Bay Chelsea*, 42 NY2d 392; *Jones v Gianferante*, 305 NY 135; *Oppenheimer & Co. v Oppenheim, Appel, Dixon & Co.*, 86 NY2d 685; *Teitlebaum Holdings v Gold*, 48 NY2d 51.) IV. The court below erred when enforcing a new written notice condition that was futile because The Vermont Teddy Bear Co. had already conceded it was liable for rent. (*Kooleraire Serv. & Installation Corp. v Board of Educ. of City of N.Y.*, 28 NY2d 101; *Jacob & Youngs v Kent*, 230 NY 239.)

Reed Smith LLP, New York City (*Andrew B. Messite* of counsel), for respondent. I. The Appellate Division's interpretation of the lease was the only plausible interpretation. (*Andre v Pomeroy*, 35 NY2d 361; *Dougherty v Kinard*, 215 AD2d 521; *Hay Group Inv. Holding B.V. v Saatchi & Saatchi Co.*, 223 AD2d 458; *Lake Constr. & Dev. Corp. v City of New York*, 211 AD2d 514; *Financial & Real Estate Consulting Co. v State of New York*, 63 AD2d 802; *Rowe v Great Atl. & Pac. Tea Co.*, 46 NY2d 62; *Helmsley-Spear, Inc. v New York Blood Ctr.*, 257 AD2d 64; *Kass v Kass*, 91 NY2d 554; *Ruttenberg v Davidge Data Sys.*

Corp., 215 AD2d 191; *McErlean v Mendelson*, 256 AD2d 391.) II. The Appellate Division's ruling did not create a forfeiture. (*Jones v Gianferante*, 305 NY 135; *J.N.A. Realty Corp. v Cross Bay Chelsea*, 42 NY2d 392; *Oppenheimer & Co. v Oppenheim, Appel, Dixon & Co.*, 86 NY2d 685.) III. No triable issue existed as to the purported restoration of the premises. (*Gala Trading v Adrienne, Inc.*, 174 AD2d 478; *Hirsch v Berger Import & Mfg. Corp.*, 67 AD2d 30, 47 NY2d 1008; *Chase v Skoy*, 146 AD2d 563, 73 NY2d 995; *Glick & Dolleck v Tri-Pac Export Corp.*, 22 NY2d 439; *Matter of Union Indem. Ins. Co. of N.Y.*, 89 NY2d 94; *Thomas v Hampton Express*, 208 AD2d 824.) IV. Written notice was not "futile." (*Kooleraire Serv. & Installation Corp. v Board of Educ. of City of N.Y.*, 28 NY2d 101.)

OPINION OF THE COURT

GRAFFEO, J.

After substantial damage occurred to its retail store, the tenant in this case terminated its lease on the ground that the building owner had failed to provide timely written notice that the premises had been restored and were ready for occupancy. The courts below agreed with the tenant that the lease required the owner to give such notice. Because our longstanding contract interpretation principles prohibit us from adding a missing term to an unambiguous lease, we reverse the order of the Appellate Division and deny the tenant's motion for summary judgment.

Beginning in October 1996, plaintiff Vermont Teddy Bear Co., Inc. (VTB) leased first-floor retail space at 538 Madison Avenue in Manhattan from defendant 538 Madison Realty Company. The parties executed a Real Estate Board of New York standard form store lease and annexed a rider to the document. The lease term was for 10 years, with escalating rental payments beginning at \$300,000 per year. On December 7, 1997, during the second year of the lease term, a wall of 540 Madison Avenue—a building adjacent to the leased premises—collapsed. The disaster caused considerable damage to 538 Madison Avenue and temporarily shut down the area.¹ In light of the extensive damage, the New York City Department of Buildings issued a "Vacate Order" that remained in effect for several months and required the discontinuance of occupancy at 538 Madison Avenue.

1. In *532 Madison Ave. Gourmet Foods v Finlandia Ctr.* (96 NY2d 280 [2001]), we addressed negligence claims against the owners of 540 Madison Avenue in connection with this incident.

The effect of damage or destruction to the rental premises on the parties' lease agreement is addressed in article 9 of the contract, which states that

“[i]f the demised premises are totally damaged or rendered wholly unusable by fire or other casualty, then the rent and other items of additional rent . . . shall be proportionately paid up to the time of the casualty and thenceforth shall cease until the date when the premises shall have been repaired and restored by Owner, . . . subject to Owner's right to elect not to restore the same”

This provision further establishes that “[t]enant's liability for rent shall resume five (5) days after written notice from Owner that the premises are substantially ready for Tenant's occupancy.”²

The rider that was incorporated in the lease contained a provision relating to casualty loss. Specifically, paragraph 3 of the rider gave VTB a limited tenancy termination option in the event of a fire or casualty. If VTB wished to invoke this termination right, the rider required it to

“provide Landlord within thirty (30) days of the fire or casualty, a written notice of Tenant's election to terminate the Lease if the Premises are not restored within one (1) year after Owner's receipt of such Tenant's notice. In the event the Premises are not restored within such one (1) year period the Lease shall be deemed terminated as of the end of the 12 mos. period and both Landlord and Tenant shall be released from all obligations which may arise after the Termination Date.”

After the wall collapsed, VTB exercised its option under paragraph 3 of the rider and notified 538 Madison by letter dated December 16, 1997 that it intended to terminate the lease if the premises were not restored within one year.³ In response, 538 Madison demanded assurances that VTB intended to

2. By agreeing to the standard form provision regarding a casualty loss, VTB waived the option set forth in Real Property Law § 227 that permits a lessee of a destroyed property to “quit and surrender possession of the leasehold premises, and of the land so leased or occupied; and he or she is not liable to pay to the lessor or owner, rent for the time subsequent to the surrender.”

3. The letter also indicated that VTB had previously advised 538 Madison of its intention to vacate the premises after the 1997 holiday season for busi-

(n. cont'd)

continue its tenancy pursuant to the terms of the lease. Despite this demand, VTB removed its remaining possessions from the store in July 1998 and surrendered its keys.

One year having elapsed since the casualty, VTB declared the lease terminated in December 21, 1998 correspondence to the owner stating: “[a]s of today’s date we have not received any notice from Landlord advising Tenant that restoration of the Premises has been completed or advising Tenant to reoccupy the Premises or to recommence the payment of rent under the Lease.” In addition, VTB demanded return of its \$150,000 security deposit and the portion of its prepaid December 1997 rent for the balance of that month after the casualty. 538 Madison promptly rejected termination of the lease, asserting that VTB was aware that the premises had been substantially restored by July 1998 and the lease remained in effect.

In May 1999, VTB initiated this action seeking a declaration that its termination of the lease was effective and a judgment for the return of its security deposit and prepaid rent. 538 Madison answered, raising several counterclaims, and subsequently moved to dismiss the complaint. Supreme Court denied the motion, concluding that issues of fact existed with respect to whether and when the premises were restored. Following discovery, VTB moved for summary judgment. In its opposition to the motion, 538 Madison contended that the lease did not obligate it to provide written notice of restoration to avoid termination. Supreme Court granted the motion, dismissing 538 Madison’s affirmative defenses and counterclaims and directing entry of judgment in VTB’s favor in the amount of \$170,161.29 plus interest.

A divided Appellate Division affirmed. The majority acknowledged that paragraph 3 of the rider “contains no explicit requirement of written notice of the completed restoration” (308 AD2d 33, 36 [1st Dept 2003]), but nevertheless concluded that article 9’s written notice provision pertaining to resumption of rental payment obligated 538 Madison to issue notice of restoration to prevent termination. Two Justices dissented and voted to deny the motion for summary judgment, reasoning that “the majority’s holding sanctions the judicial rewriting of the parties’ lease by imposing a written notice requirement on the landlord that does not exist under the plain terms of that

ness reasons unrelated to the casualty. VTB therefore requested the owner’s assistance in obtaining a successor tenant.

document” (*id.* at 42). The dissent asserted that a question of fact regarding the restoration of the premises further precluded a grant of summary judgment in VTB’s favor. 538 Madison now appeals as of right (*see* CPLR 5601 [a]).

When interpreting contracts, we have repeatedly applied the “familiar and eminently sensible proposition of law [] that, when parties set down their agreement in a clear, complete document, their writing should . . . be enforced according to its terms” (*W.W.W. Assoc. v Giancontieri*, 77 NY2d 157, 162 [1990]; *see Reiss v Financial Performance Corp.*, 97 NY2d 195, 198 [2001]). We have also emphasized this rule’s special import “in the context of real property transactions, where commercial certainty is a paramount concern, and where . . . the instrument was negotiated between sophisticated, counseled business people negotiating at arm’s length” (*Matter of Wallace v 600 Partners Co.*, 86 NY2d 543, 548 [1995] [internal quotation marks and citations omitted]). In such circumstances, “courts should be extremely reluctant to interpret an agreement as impliedly stating something which the parties have neglected to specifically include” (*Rowe v Great Atl. & Pac. Tea Co.*, 46 NY2d 62, 72 [1978]). Hence, “courts may not by construction add or excise terms, nor distort the meaning of those used and thereby make a new contract for the parties under the guise of interpreting the writing” (*Reiss*, 97 NY2d at 199 [internal quotation marks and citation omitted]).

In this case, neither party claims that the lease is ambiguous or incomplete. Instead, 538 Madison argues that article 9 and rider paragraph 3 do not require it to send VTB written notice of restoration to prevent termination of the lease; it merely must repair and restore the premises for reoccupancy within the contractual time period. 538 Madison urges that strict construction of the parties’ unambiguous agreement demonstrates that the written notice requirement applies only to reinitiating VTB’s liability for rent. Similarly relying on the plain meaning of the lease, VTB asserts that, when article 9’s written notice provision is read together with the termination right in paragraph 3 of the rider, the only reasonable interpretation is that notice of restoration is required. Thus, VTB submits that its termination was effective because 538 Madison failed within one year of VTB’s invocation of its termination option to provide written notice that the premises had been restored.

In the absence of any ambiguity, we look solely to the language used by the parties to discern the contract’s meaning. According

to rider paragraph 3, a tenant's casualty-based termination will occur only in one circumstance—when, after receiving notice of the tenant's intent to terminate the tenancy, the owner fails to restore the premises within the prescribed one-year time frame. There is neither an explicit requirement that the owner give the tenant notice that the rental premises have been restored, nor any provision allowing the tenant to terminate the lease based on the lack of such notice.

Reading the lease's casualty-related provisions together does not alter our determination. Article 9's written notice component deals exclusively with the tenant's liability for rent, and there is no indication in rider paragraph 3 that the parties intended that written notice requirement to affect the owner's ability to prevent termination of the lease merely by restoring the premises in a timely fashion. Indeed, article 9 expressly provides that, in the event of a casualty, the lease "shall continue in full force and effect except as hereinafter set forth."

Assuming that the premises had been timely restored, it would presumably have been in 538 Madison's financial interest to provide written notice of the completed restoration as soon as possible in order to trigger VTB's obligation to pay rent. The logic of this proposition, however, does not justify judicial insertion of a contract term. The parties could have negotiated and included an explicit notice requirement regarding completion of restoration within the time period set forth in paragraph 3 of the rider (*see Rowe*, 46 NY2d at 72). They did not do so. We therefore conclude that the lease was not terminated by virtue of 538 Madison's failure to furnish written notice of restoration and VTB's motion for summary judgment on this theory should have been denied.

Nor is VTB entitled to summary judgment on its alternative argument that the restoration was incomplete. Pursuant to the contract, VTB could have properly terminated the lease if 538 Madison did, in fact, fail to restore the premises within one year. On this record, however, we cannot determine whether the lease terminated or continued in effect at the expiration of that period because a threshold issue of fact remains as to whether the restoration was substantially complete within one year of VTB's notice to 538 Madison.

Accordingly, the order of the Appellate Division should be reversed, with costs, and VTB's motion for summary judgment should be denied.

VT. TEDDY BEAR v 538 MADISON [1 NY3d 470] 477

Opinion by GRAFFEO, J.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSEN-
BLATT, READ and R.S. SMITH concur.

Order reversed, etc.

[807 NE2d 865, 775 NYS2d 754]

METLIFE AUTO & HOME, as Subrogee of MICHAEL BASIL, Appellant, v JOE BASIL CHEVROLET, INC., et al., Respondents, et al., Defendants.

Argued January 7, 2004; decided February 24, 2004

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered December 30, 2002. The Appellate Division affirmed an order of the Supreme Court, Erie County (John A. Michalek, J.), which had granted defendant Royal Insurance Company's motion to dismiss the complaint and all cross claims against it, and denied plaintiff's motion to strike defendant Royal Insurance Company's affirmative defense or, in the alternative, for summary judgment against defendant Royal Insurance Company.

MetLife Auto & Home v Basil Chevrolet, 303 AD2d 30, affirmed.

HEADNOTE

Torts — Spoliation of Evidence — Third-Party Spoliation Claim

In an action to recover for damage to a home that was caused by a fire which originated in a car parked in the home's attached garage, the homeowner's insurance carrier failed to state a cause of action for third-party negligent spoliation of evidence and impairment of a claim based upon the failure of defendant, the vehicle's insurer, to preserve the vehicle. Defendant, which took possession of the vehicle after indemnifying its insured, had no duty to preserve it, and no relationship existed between the homeowner's insurer and defendant that would have given rise to such a duty. Moreover, the homeowner's insurer made no effort to preserve the car by court order or written agreement. The burden of forcing a party to preserve evidence when it has no notice of an impending lawsuit, and the difficulty of assessing damages militate against establishing a cause of action for spoliation where, as here, there was no duty, court order, contract, or special relationship.

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AM JUR 2d, Damages § 570; AM JUR 2d, Evidence § 244; AM JUR 2d, Torts § 32.

NY JUR 2d, Disclosure §§ 344, 353, 354; NY JUR 2d, Torts §§ 17, 19, 21.

ANNOTATION REFERENCE

Negligent spoliation of evidence, interfering with prospective civil action, as actionable. 101 ALR5th 61.

FIND SIMILAR CASES ON WESTLAW®

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Query: negligen! /s spoliation /3 evidence /s third-party

POINTS OF COUNSEL

Regan & Regan, Buffalo (*Lawrence J. Regan* of counsel), for appellant. I. Royal had a duty to preserve the fire-damaged vehicle and should therefore be accountable to MetLife as its breach of that duty has proximately damaged MetLife. (*Glanzer v Shepard*, 233 NY 236; *Palsgraf v Long Is. R.R. Co.*, 248 NY 339; *Palka v Servicemaster Mgt. Servs. Corp.*, 83 NY2d 579; *Sporty v Honeywell, Inc.*, 274 AD2d 321; *Ripepe v Crown Equip. Corp.*, 293 AD2d 462; *McAllister v Renu Indus. Tire Corp.*, 202 AD2d 556; *Coley v Ogden Mem. Hosp.*, 107 AD2d 67; *Pirocchi v Liberty Mut. Ins.*, 365 F Supp 277.) II. Spoliation of evidence as an independent tort should be recognized in New York on the facts presented in this case. (*Weigl v Quincy Specialties Co.*, 158 Misc 2d 753; *Curran v Auto Lab Serv. Ctr.*, 280 AD2d 636; *DiDomenico v C & S Aeromatik Supplies*, 252 AD2d 41; *Fada Indus. v Falchi Bldg. Co.*, 189 Misc 2d 1; *Atlantic Mut. Ins. Co. v Sea Transfer Trucking Corp.*, 264 AD2d 659; *Squitieri v City of New York*, 248 AD2d 201; *Kirkland v New York City Hous. Auth.*, 236 AD2d 170; *Mudge, Rose, Guthrie, Alexander & Ferdon v Penguin A.C. Corp.*, 221 AD2d 243; *Tawedros v St. Vincent's Hosp.*, 281 AD2d 184; *Battalla v State of New York*, 10 NY2d 237.) II. The spoliation doctrine is one based on fairness and justice and is not based upon what the spoliated evidence would have shown or whom it may have benefited. (*Puccia v Farley*, 261 AD2d 83; *Mudge, Rose, Guthrie, Alexander & Ferdon v Penguin A.C. Corp.*, 221 AD2d 243; *Sage Realty Corp. v Proskauer Rose*, 275 AD2d 11; *New York Cent. Mut. Fire Ins. Co. v Turnerson's Elec.*, 280 AD2d 652; *Liz v Zinsser & Co.*, 253 AD2d 413; *Kirkland v New York City Hous. Auth.*, 236 AD2d 170; *Cabasso v Goldberg*, 288 AD2d 116; *Yi Min Ren v Professional Steaming-Cleaning*, 271 AD2d 602; *Freedman & Son v A.I. Credit Corp.*, 226 AD2d 1002; *Story Parchment Co. v Paterson Parchment Paper Co.*, 282 US 555.) IV. The order of the Appellate Division should be reversed to allow discovery to proceed into the nature and circumstances surrounding Royal's spoliation. (*Weigl v Quincy Specialties Co.*, 158 Misc 2d 753; *DiDomenico v C & S Aeromatik Supplies*, 252 AD2d 41; *Anteri v NRS Constr. Corp.*, 117 AD2d 696; *Ricco v Deepdale Gardens Apts. Corp.*, 113 AD2d 822; *Hyosung [Am.] v Woodcrest Fabrics*, 106 AD2d 298.) V. Summary judgment should

be granted against Royal and Joe Basil Chevrolet, Inc. by virtue of Royal's spoliation of evidence. (*Zuckerman v City of New York*, 49 NY2d 557.)

Kenney, Shelton, Liptak & Nowak, L.L.P., Buffalo (*Nelson E. Shule, Jr.*, *Joanneke K.M. Brentjens* and *Michael C. O'Neill* of counsel), for Joe Basil Chevrolet, Inc., respondent. I. The Appellate Division correctly held that New York does not recognize spoliation as an independent cause of action as to a nonparty. (*Huber v Henley*, 669 F Supp 1474; *Pharr v Cortese*, 147 Misc 2d 1078.) II. The "pitfalls" associated with the independent tort of spoliation outweigh any benefits of its recognition. (*Foster v Lawrence Mem. Hosp.*, 809 F Supp 831; *Baliotis v McNeil*, 870 F Supp 1285; *Edwards v Louisville Ladder Co.*, 796 F Supp 966.) III. Should the Court find that spoliation of evidence is an independent tort, Joe Basil Chevrolet, Inc. is not liable for the actions of Royal. (*Kirkland v New York City Hous. Auth.*, 236 AD2d 170; *Batas v Prudential Ins. Co. of Am.*, 281 AD2d 260; *Hartford Acc. & Indem. Co. v Michigan Mut. Ins. Co.*, 93 AD2d 337.)

Gibson, McAskill & Crosby, LLP, Buffalo (*Victor Alan Oliveri* and *Timothy J. Graber* of counsel), for Royal Insurance Company, respondent. I. MetLife failed to state a cause of action against Royal either under principles of negligence law or as an independent tort. (*Foncette v LA Express*, 295 AD2d 471; *Marro v St. Vincent's Hosp. & Med. Ctr. of N.Y.*, 294 AD2d 341; *Sage Realty Corp. v Proskauer Rose*, 275 AD2d 11, 96 NY2d 937; *Yi Min Ren v Professional Steam-Cleaning*, 271 AD2d 602; *Fada Indus. v Falchi Bldg. Co.*, 189 Misc 2d 1; *Weigl v Quincy Specialties Co.*, 158 Misc 2d 753; *Black Radio Network, Inc. v NYNEX Corp.*, 44 F Supp 2d 565; *Pharr v Cortese*, 147 Misc 2d 1078; *Steinman v Barclays Bank*, 276 AD2d 436; *Fairclough v Hugo*, 207 AD2d 707.) II. New York's public policy is furthered by placing the burden for preserving evidence on the party seeking its preservation. III. MetLife has failed to present any reason for this Court to recognize a cause of action for third-party spoliation against Royal. (*Matter of Granger & Sons v State of New York Facilities Dev. Corp.*, 207 AD2d 596; *Mulligan v Lackey*, 33 AD2d 991; *Glanzer v Shepard*, 233 NY 236; *Palsgraf v Long Is. R.R. Co.*, 248 NY 339; *Palka v Servicemaster Mgt. Servs. Corp.*, 83 NY2d 579; *Sporty v Honeywell, Inc.*, 274 AD2d 321; *Weigl v Quincy Specialties Co.*, 158 Misc 2d 753.)

OPINION OF THE COURT

G.B. SMITH, J.

The primary issue here is whether New York State should

recognize a cause of action for third-party negligent spoliation of evidence and impairment of a claim or defense as an independent tort. We decline to recognize it on these facts.

In March 2000, a fire started in a 1999 Chevrolet Tahoe owned by defendant Joe Basil Chevrolet, Inc., and used, with permission, by Michael Basil. At the time of the fire, the vehicle was parked in the garage attached to the home of Faith and Michael Basil in Clarence, New York. The fire caused over \$330,000 in property damage to their home. Plaintiff-appellant, MetLife, Michael Basil's homeowners' insurance carrier, paid the homeowners' claim.

Fire and sheriff investigators determined that the fire originated on the driver's side of the vehicle dashboard. After indemnifying Chevrolet, Royal (Chevrolet's insurance carrier) took possession of the vehicle, and a representative of Royal agreed in a telephone conversation to preserve the vehicle. Representatives of MetLife, defendant General Motors Corporation (which manufactured the vehicle), Speaker Shop, Inc. (which installed a remote starting device in the dashboard) and Royal arranged for a joint inspection and testing of the vehicle in early November 2000 at the lot where Royal stored the vehicle. Before an inspection took place, Royal notified the parties that the vehicle had been disassembled and disposed of and that scientific analysis and examination were no longer possible.

As Michael Basil's subrogee, MetLife then commenced this action for money damages. MetLife brought the first three causes of action for negligence, breach of warranty and strict liability against Chevrolet, GMC and Speaker Shop. The fourth cause of action, the sole cause at issue on this appeal, brought solely against Royal, alleged that "as a result of the negligence, carelessness and recklessness of [Royal], invaluable, necessary and important evidence has been destroyed and lost[,] thereby irrevocably impairing [MetLife's] right to pursue successfully the defendants, Joe Basil Chevrolet, Inc., General Motors Corporation and Speaker Shop, Inc."

In lieu of answering, Royal moved to dismiss MetLife's complaint, as well as all cross claims interposed against it, arguing that MetLife failed to state a cognizable cause of action. MetLife cross-moved to dismiss Royal's affirmative defenses or for summary judgment as against defendants Royal and Chevrolet. Supreme Court granted Royal's motion to dismiss the complaint, holding that no action against a third party for spoliation of evidence exists in New York, and the Appellate Division

affirmed. The Court concluded that Supreme Court properly dismissed the complaint because no cause of action exists in New York for “third-party spoliation” of evidence/impairment of claim or defense, either under the principles of negligence law or as an independent tort. This Court granted leave to appeal.¹ We now affirm.

On this appeal MetLife argues that Royal had a duty to preserve the damaged vehicle and that Royal’s failure to preserve the vehicle supports a cause of action for spoliation of evidence as an independent tort. Even if there were no duty to preserve the evidence, MetLife argues, Royal assumed that duty by agreeing in a telephone conversation that it would preserve the evidence and MetLife detrimentally relied on that promise. Defendants counter that a cause of action for spoliation should not be recognized as an independent tort or under a contract theory, that the burden of preserving evidence should be upon the party seeking its preservation and that no policy reason exists for making a third party liable for spoliation of evidence. There is no allegation in this case that the vehicle was deliberately destroyed in order to prevent an examination. Rather the allegation is that the evidence was destroyed “as a result of the negligence, carelessness and recklessness of the defendant.”

DISCUSSION

A cause of action for spoliation of evidence is a relatively recent phenomenon in the law (see Benjamin T. Clark, *The License to Spoliate Must Be Revoked: Why Missouri Should Recognize a Tort for Third-Party Spoliation*, 59 J Mo B 308 [2003]; Stefan Rubin, *Tort Reform: A Call for Florida to Scale Back Its Independent Tort for the Spoliation of Evidence*, 51 Fla L Rev 345 [1999]; Bart S. Wilhoit, *Spoliation of Evidence: The Viability of Four Emerging Torts*, 46 UCLA L Rev 631 [1998]).²

One traditional method of dealing with spoliation of evidence in New York has been CPLR 3126 where sanctions, including

1. Although claims remain pending as to the other defendants, all claims and cross claims asserted by or against defendant Royal have been dismissed.

2. In *Smith v Superior Ct.* (151 Cal App 3d 491, 496, 198 Cal Rptr 829, 832 [1984]), the Court of Appeal held that the facts warranted a new tort “to cover the intentional spoliation of evidence.” In two recent cases, however, the Supreme Court of California has rejected a cause of action for the intentional spoliation of evidence by a party to the litigation and by a third party (*Cedars-Sinai Med. Ctr. v Superior Ct.*, 18 Cal 4th 1, 954 P2d 511 [1998]; *Temple Community Hosp. v Superior Ct.*, 20 Cal 4th 464, 976 P2d 223 [1999]). While some

(n. cont’d)

dismissal, have been imposed for a party's failure to disclose relevant evidence (see e.g. *New York Cent. Mut. Fire Ins. Co. v Turnerson's Elec.*, 280 AD2d 652 [2d Dept 2001]).

Similarly, the Appellate Divisions have held that spoliation of evidence by an employer may support a common-law cause of action when such spoliation impairs an employee's right to sue a third-party tortfeasor. For example, in *DiDomenico v C & S Aeromatik Supplies* (252 AD2d 41 [2d Dept 1998]), the Appellate Division invoked the rule against plaintiff's employer, United Parcel Service, after the employee's eye was damaged by a caustic liquid sprayed from a package he was handling. DiDomenico had requested the cooperation of UPS in identifying the manufacturer, packer and shipper of the caustic liquid that injured him. UPS not only failed to preserve the package containing the liquid but also delayed in providing appropriate records. As a result, DiDomenico could not sustain an action against the manufacturer and the manufacturer could not defend itself against a claim.

The Appellate Division struck the answer of UPS pursuant to CPLR 3126, noting that

“Separate and apart from CPLR 3126 sanctions is the evolving rule that a spoliator of key physical evidence is properly punished by the striking of its pleading. This sanction has been applied even if the destruction occurred through negligence rather than wilfulness, and even if the evidence was destroyed before the spoliator became a party, provided it was on notice that the evidence might be needed for future litigation” (252 AD2d at 53; see also *Kirkland v New York City Hous. Auth.*, 236 AD2d 170 [1st Dept 1997]).

The case at bar is substantially different from *DiDomenico* in that at no time did MetLife seek or obtain a court order to compel the preservation of the vehicle. As MetLife acknowledges, it could have sought pre-action disclosure or a temporary restraining order. It also could have bought the car from Royal, offered to pay the costs associated with preservation or commenced suit and issued a subpoena duces tecum to Royal. MetLife did none of these things.

In other instances, New York courts have specifically rejected a cause of action for spoliation of evidence (*Monteiro v R.D.*

states, following *Smith*, have recognized a cause of action for spoliation of evidence, others have not.

Werner Co., 301 AD2d 636 [2d Dept 2003] [municipal employer had no duty to preserve a scaffold which allegedly caused plaintiff's injuries and the municipality was not on notice that an action was contemplated against a third party]; *Ripepe v Crown Equip. Corp.*, 293 AD2d 462 [2d Dept 2002] [employer had no duty to preserve a pallet jack which had rolled over the plaintiff's foot and no cause of action for spoliation of evidence could be brought because it was not on notice that the evidence would be needed for litigation]; *Curran v Auto Lab Serv. Ctr.*, 280 AD2d 636 [2d Dept 2001] [plaintiff could not bring a third-party action against his employer for failure to preserve a truck destroyed in an accident because the employer was not on notice to preserve it]).

In this case it is clear that Royal had no duty to preserve the vehicle. There is no dispute that Royal owned the vehicle. Moreover, no relationship existed between MetLife and Royal that would give rise to such a duty. Additionally, MetLife made no effort to preserve the evidence by court order or written agreement. Although MetLife verbally requested the preservation of the vehicle, it never placed that request in writing or volunteered to cover the costs associated with preservation. The burden of forcing a party to preserve when it has no notice of an impending lawsuit, and the difficulty of assessing damages militate against establishing a cause of action for spoliation in this case, where there was no duty, court order, contract or special relationship.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge KAYE and Judges CIPARICK, ROSENBLATT, GRAFFEO and READ concur; Judge R.S. SMITH taking no part.

Order affirmed, with costs.

[808 NE2d 340, 776 NYS2d 205]

NEW YORK TELEPHONE COMPANY, Appellant, v NASSAU COUNTY
et al., Respondents. (Action No. 1.)

In the Matter of NEW YORK WATER SERVICE CORPORATION, Ap-
pellant, v NASSAU COUNTY et al., Respondents. (Proceeding
No. 1.)

In the Matter of LONG ISLAND WATER CORPORATION, Appellant,
v NASSAU COUNTY et al., Respondents. (Proceeding No. 2.)

Argued February 11, 2004; decided March 30, 2004

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered September 16, 2002. The Appellate Division order, insofar as appealed from, modified so much of an order of the Supreme Court, Nassau County (Edward G. McCabe, J.), as, upon reargument, adhered to a prior order of that Supreme Court which, in a declaratory judgment action consolidated with CPLR article 78 proceedings, had directed that a trial be held with respect to the calculation of the damages sustained by plaintiff and petitioners as a result of the improper assessment of real property in noncountywide special districts, and denied defendants' cross motion in the action for summary judgment dismissing the complaint and respondents' motion to dismiss the proceedings. The modification consisted of deleting the provisions that adhered to the original determination directing that a trial be held with respect to the calculation of the damages sustained by plaintiff and petitioners as a result of the improper assessment of real property in noncountywide special districts, and adding provisions thereto granting (1) defendants' cross motion in the action for summary judgment dismissing the complaint, and (2) respondents' motion to dismiss the proceedings to the extent of precluding the payment of tax refunds.

New York Tel. Co. v Nassau County, 297 AD2d 663, reversed.

HEADNOTE

Taxation — Tax Refund — Financial Hardship on Municipality Awarding Refund

Having found that petitioner and plaintiff utilities' county tax assessments were invalid, the Appellate Division abused its discretion in denying tax refunds to the utilities due to the hardship that would allegedly result for the

county, in the absence of a determination of the refund amounts and the financial impact the refunds would have on the county. The refund amounts and the financial impact must be determined at a hearing, upon submission of proof.

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AM JUR 2d, State and Local Taxation §§ 380, 689, 707, 717, 721, 975, 978.

CARMODY-WAIT 2d, Judicial Review of Assessments and Taxes § 146:147.

NY JUR 2d, Taxation and Assessment §§ 301, 371, 388, 391, 442.

NEW YORK REAL PROPERTY SERVICE §§ 61:41, 62:50.

ANNOTATION REFERENCE

See ALR Index under Taxes.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: assessment & hardship /s refund

POINTS OF COUNSEL

Cullen and Dykman Bleakley Platt LLP, Brooklyn (*Peter J. Mastaglio, Karen I. Levin, Robert J. Sorge and Jo-Ellen P. Holbrook* of counsel), for New York Telephone Company, appellant. I. The record contains no support for the Second Department's order. (*Crawford v Merrill Lynch, Pierce, Fenner & Smith*, 35 NY2d 291; *Garza v VICO Util.*, 150 AD2d 522; *Broida v Bancroft*, 103 AD2d 88; *Matter of Bowery Sav. Bank v Board of Assessors*, 80 NY2d 961.) II. In modifying the Supreme Court's order, the Appellate Division misapplied and disregarded the relevant law. (*Gandolfi v City of Yonkers*, 101 AD2d 188, 62 NY2d 604, 995; *Matter of Andresen v Rice*, 277 NY 271; *Matter of Hellerstein v Assessor of Town of Islip*, 37 NY2d 1; *Foss v City of Rochester*, 65 NY2d 247; *Matter of Bauer v Board of Assessment Review*, 114 Misc 2d 640, 91 AD2d 1097; *Hurd v City of Buffalo*, 41 AD2d 402, 34 NY2d 628; *Lemon v Kurtzman*, 411 US 192; *Waldert v City of Rochester*, 44 NY2d 831, 439 US 922; *Jones v City School Dist. of City of Geneva*, 44 NY2d 831; *Bethlehem Steel Corp. v Board of Educ.*, 44 NY2d 831.) III. In modifying the Supreme Court's order, the Second Department has created new and troubling public policy and case law. (*Grant Co. v Srogi*, 52 NY2d 496; *City of Rochester v Chiarella*, 58 NY2d 316,

cert denied sub nom. Quality Packaging Supply Corp. v City of Rochester, 464 US 828; *Mercury Mach. Importing Corp. v City of New York*, 3 NY2d 418, 942; *Long Is. Light. Co. v Office of Supervisor of Town of N. Hempstead*, 233 AD2d 300, 89 NY2d 1029.) IV. In modifying the Supreme Court's order, the Second Department has denied appellant its due process and equal protection rights under the Constitutions of both the United States and the State of New York. (*McKesson Corp. v Division of Alcoholic Beverages & Tobacco*, 496 US 18; *Iowa-Des Moines Natl. Bank v Bennett*, 284 US 239; *Carpenter v Shaw*, 280 US 363; *Montana Natl. Bank of Billings v Yellowstone County, Mont.*, 276 US 499; *Ward v Board of County Commrs. of Love County, Okla.*, 253 US 17; *Atchison, Topeka & Santa Fe Ry. Co. v O'Connor*, 223 US 280; *Central Sav. Bank v City of New York*, 280 NY 9, 306 US 661; *Newsweek, Inc. v Florida Dept. of Revenue*, 522 US 442; *Reich v Collins*, 513 US 106; *City of Cleburne, Tex. v Cleburne Living Ctr.*, 473 US 432.)

Huber Lawrence & Abell, New York City (*Theodore F. Duver* of counsel), for New York Water Service Corporation and another, appellants. I. Under New York law, a taxpayer who pays under protest a disputed tax, which is later determined to be illegal, is entitled to a refund of the overpayment. (*Grant Co. v Srogi*, 52 NY2d 496; *City of Rochester v Chiarella*, 58 NY2d 316, *cert denied sub nom. Quality Packaging Supply Corp. v City of Rochester*, 464 US 828; *Mercury Mach. Importing Corp. v City of New York*, 3 NY2d 418; *Adrico Realty Corp. v City of New York*, 250 NY 29; *City of Rochester v Chiarella*, 100 AD2d 46, 65 NY2d 92; *Gandolfi v City of Yonkers*, 101 AD2d 188, 62 NY2d 604, 882, 995.) II. The record does not support the Second Department's conclusion that refunds would cause a "significant financial impact." (*Matter of Long Is. Light. Co. v Assessor for Town of Brookhaven*, 202 AD2d 32, 85 NY2d 809.) III. The Second Department's attempt to apply case law which is factually inapposite is erroneous. (*Matter of Andresen v Rice*, 277 NY 271; *Matter of Hellerstein v Assessor of Town of Islip*, 37 NY2d 1; *Foss v City of Rochester*, 65 NY2d 247; *Matter of Bauer v Board of Assessment Review*, 114 Misc 2d 640, 91 AD2d 1097; *Matter of Teuchtler v Board of Assessors of Town of Cape Vincent*, 94 Misc 2d 167; *Hurd v City of Buffalo*, 41 AD2d 402, 34 NY2d 628; *Lemon v Kurtzman*, 411 US 192.)

Lorna B. Goodman, County Attorney, Mineola (*Elizabeth D. Botwin* of counsel), for respondents. I. Article 18 of the Real Property Tax Law applies to the Nassau County assessment roll

for all purposes. (*Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Matter of Fappiano v New York City Police Dept.*, 95 NY2d 738; *Matter of Raritan Dev. Corp. v Silva*, 91 NY2d 98; *Bluebird Partners v First Fid. Bank*, 97 NY2d 456; *Tran v New Rochelle Hosp. Med. Ctr.*, 99 NY2d 383; *Matter of Colt Indus. v Finance Adm'r of City of N.Y.*, 54 NY2d 533; *Tilles Inv. Co. v Gulotta*, 288 AD2d 303, 98 NY2d 605; *Matter of Chasalow v Board of Assessors of County of Nassau*, 202 AD2d 499, 83 NY2d 759; *Matter of Hellerstein v Assessor of Town of Islip*, 37 NY2d 1; *Matter of Aaron J.*, 80 NY2d 402.) II. The class system of article 18 of the Real Property Tax Law is constitutional. (*Matter of Consolidated Edison Co. of N.Y. v State Bd. of Equalization & Assessment*, 67 NY2d 783; *Foss v City of Rochester*, 65 NY2d 247; *Matter of Colt Indus. v Finance Adm'r of City of N.Y.*, 54 NY2d 533; *Tilles Inv. Co. v Gulotta*, 288 AD2d 303, 98 NY2d 605; *Trump v Chu*, 65 NY2d 20; *Port Jefferson Health Care Facility v Wing*, 94 NY2d 284; *Town of Tonawanda v Alyer*, 68 NY2d 836; *Matter of Walker v Board of Assessors*, 66 NY2d 702; *Matter of Slewett & Farber v Board of Assessors of County of Nassau*, 54 NY2d 547.) III. The Appellate Division properly exercised its discretion to award prospective relief. (*Foss v City of Rochester*, 65 NY2d 247; *Matter of Hellerstein v Assessor of Town of Islip*, 37 NY2d 1; *Matter of Andresen v Rice*, 277 NY 271; *Matter of Bowery Sav. Bank v Board of Assessors*, 80 NY2d 961; *Long Is. Light. Co. v Assessor of Town of Brookhaven*, 154 AD2d 188.) IV. The water companies' appeal is untimely. (*Ressis v Herman*, 69 NY2d 1017; *Monaghan v Yang*, 69 NY2d 945.)

OPINION OF THE COURT

G.B. SMITH, J.

The primary issue here is whether the Appellate Division abused its discretion when it held that, owing to the County's financial situation, certain utilities were not entitled to county tax refunds, even though the Court found that they had been improperly assessed a tax. We reverse the order of the Appellate Division and remit for a hearing both on the amount of refund due and on any financial hardship the County would suffer as a result of requiring payment to the utilities.

Under article 18 of the Real Property Tax Law, Nassau County is a "special assessing unit" for real property taxation. The County's real property is divided into four classes: classes one and two include all residential property, class three includes utility property and class four includes commercial property.

Plaintiff New York Telephone Company (NYNEX)¹ owns class three and class four property in Nassau County, which is subject to county, town, village, school district and countywide special district taxes. Some of this property is also located in countywide and noncountywide “special districts.”² As part of the 1997 tax assessment process, the County imposed special ad valorem levies on noncountywide special districts—including property owned by NYNEX. The County assessed the real property in the noncountywide special districts using the same method as countywide assessments under RPTL article 18.

In April 1997, NYNEX commenced an action seeking a declaration that this method of assessing real property in noncountywide special districts violated the RPTL, enjoining the County from assessing noncountywide property in this manner and demanding a tax overpayment refund. After joinder of issue, NYNEX moved for summary judgment on the issue of liability, and the County cross-moved for summary judgment dismissing the complaint. NYNEX commenced a second action seeking similar relief for the 1998 tax year.

Petitioners New York Water Service Corporation and Long Island Water Corporation (collectively, the Water Companies) owned class three special franchise property in Nassau County in countywide and noncountywide special districts.³ As in the NYNEX action, the County imposed special ad valorem levies on those properties in the noncountywide special districts. In April 1997, the Water Companies each initiated a CPLR article 78 proceeding to recover tax overpayments due to the County’s alleged unauthorized assessment method. Thereafter, the Water Companies and the County stipulated that the proceedings would also cover the 1998-2000 tax years.

Supreme Court granted the County’s motion to consolidate the various suits, and (1) granted the relief requested by the

1. New York Telephone Company is now known as Verizon New York, Inc., a wholly owned subsidiary of NYNEX Corp., which is a wholly owned subsidiary of Verizon Communication. “County” as used herein includes the various defendant entities related to Nassau County.

2. A special district is a “county improvement district . . . established for the purpose of carrying on, performing or financing one or more improvements or services intended to benefit the health, welfare, safety or convenience of the inhabitants of such district or to benefit the real property within such district, and in which real property is subject to special ad valorem levies or special assessments for the purposes for which such district was established” (RPTL 102 [16]).

3. Special franchise property is property owned by utilities located in easements in public streets.

plaintiffs and petitioners (collectively the utilities), (2) enjoined the County from assessing real property in noncountywide special districts pursuant to RPTL article 18 and (3) referred the issue of damages to trial. Upon reargument, the court adhered to its decision.

The Appellate Division modified the order of the Supreme Court to the extent of precluding payment of the refunds, and, as modified, affirmed, stating:

“Although the tax assessments were invalid, NYNEX and the Water Companies are not entitled to retroactive monetary relief. The record reveals that the payment of tax refunds will have a significant financial impact in many non-Countywide special districts, where taxes have been paid, tax liens matured, budgets adopted, and expenditures made, all in reliance on the ad valorem levies. Under these circumstances, the courts should exercise restraint and not act so as to ‘cause disorder and confusion in public affairs even though there may be a strict legal right.’ Accordingly, the Supreme Court improvidently exercised its discretion in authorizing tax refunds and directing a trial to determine their amount.”⁴ (297 AD2d 663, 666 [2002] [citations omitted].)

The Appellate Division denied the utilities’ motions to reargue or for leave to appeal. This Court granted the utilities’ motions for leave to appeal, and we now reverse. We do not reach the propriety of the tax assessment. The County did not appeal that portion of the Appellate Division order.

DISCUSSION

The sole question before us is whether the Appellate Division erred in denying tax refunds to the utilities because of the financial impact such refunds would have on the County when the amount of the refunds had not been established, nor proof

4. As the Appellate Division noted, the Legislature subsequently amended RPTL article 18 to include noncountywide special districts in “adjusted base proportion” calculations, thereby allowing prospective application of article 18 to noncountywide special districts in a manner similar to the methodology previously employed for other classifications (*see* L 2001, ch 191).

submitted demonstrating the impact the refunds would have on the County.⁵

In some circumstances, notwithstanding that a party prevailed on the merits, this Court has refused to grant the relief requested based on the effect it would have on the municipality. For example, in *Foss v City of Rochester* (65 NY2d 247, 260 [1985]), plaintiff challenged the constitutionality of section 305 and article 19 of the Real Property Tax Law as well as Local Law No. 6 (1983) of the City of Rochester on the ground that they deprived him of due process and of the equal protection of the law. Although the Court determined that article 19 and Rochester Local Law No. 6 violated the Equal Protection Clauses of the Federal and State Constitutions, it refused to require a retroactive refund because of the practical reality that the government had “relied upon the revenues derived from implementing [RPTL article 19] and would suffer an undue burden if it had to refund the taxes collected” (65 NY2d at 260).

Retroactive relief, similarly, was denied in *Matter of Hellerstein v Assessor of Town of Islip* (37 NY2d 1 [1975]), where the Town’s assessment rolls were held invalid, because the result could bring financial chaos to the Town. In *Matter of Andresen v Rice* (277 NY 271, 282 [1938]), this Court invalidated a statute that provided for the appointment of State Police officers without a competitive examination but declined to grant the relief requested because it would “cause disorder and confusion in public affairs.”

Here, Supreme Court declined to hear evidence of hardship. Thus, the amount of refund to which the utilities are entitled—including any financial impact on the County of requiring payment—must be determined at a hearing, upon submission of proof.

Accordingly, the order of the Appellate Division, insofar as appealed from, should be reversed, with costs, and the cases remitted to Supreme Court for further proceedings in accordance with this opinion.

5. NYNEX estimates its refund to be approximately 10 million dollars, less than one half of one percent of the taxes the County collected for that year. The Water Companies estimate that their refund would be approximately one million dollars each.

Chief Judge KAYE and Judges CIPARICK, ROSENBLATT,
GRAFFEO, READ and R.S. SMITH concur.

Order, insofar as appealed from, reversed, etc.

[808 NE2d 334, 776 NYS2d 199]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v DANA W.
TYLER, Respondent.

Argued February 19, 2004; decided March 30, 2004

SUMMARY

APPEAL, by permission of the Chief Judge of the Court of Appeals, from an order of the Monroe County Court (Patricia D. Marks, J.), entered December 23, 2002. The County Court (1) reversed a judgment of the Webster Town Court (Thomas J. DiSalvo, J.), which had convicted defendant, upon his plea of guilty, of speeding in violation of Vehicle and Traffic Law § 1180 (b), and (2) dismissed the simplified traffic information.

HEADNOTE

Crimes — Information — Simplified Information — Timely Request for Supporting Deposition

Defendant's request for a supporting deposition, made the day after defendant received his traffic ticket and more than one week prior to his arraignment, was timely, and triggered the commencement of the 30-day period for service of the supporting deposition. CPL 100.25 (2) does not force a defendant to wait until arraignment to request a supporting deposition. Rather, a defendant may request one when "charged by a simplified information" (CPL 100.25 [2]), and here defendant was charged when he was ticketed. Service of the supporting deposition upon defendant 30 days after his arraignment, but more than 30 days after his initial request for the supporting deposition, was untimely.

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AM JUR 2d, Automobiles and Highway Traffic § 1045; AM
JUR 2d, Indictments and Informations § 86.
CARMODY-WAIT 2d, Criminal Procedure §§ 172:828,
172:857, 172:859.
LAFAYE, et al., CRIMINAL PROCEDURE (3d ed) §§ 19.1, 19.3.
MCKINNEY'S, CPL 100.25 (2).
NY JUR 2d, Criminal Law §§ 887, 901-903.

ANNOTATION REFERENCE

See ALR Index under Indictments and Informations.

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deposition /5 request! /s “thirty days”

POINTS OF COUNSEL

Howard R. Relin, District Attorney, Rochester (Kelly Christine Wolford and Daniel P. Majchrzak, Jr., of counsel), for appellant. Respondent improperly and prematurely requested a supporting deposition. Thus County Court erred in concluding that the ticketing trooper failed to timely serve a supporting deposition pursuant to CPL 100.25 (2). (*People v Perry*, 87 NY2d 353; *People v Ney*, 191 Misc 2d 185; *People v Maran*, 174 Misc 2d 327; *People v DeLuca*, 166 Misc 2d 313; *People v Guerrerio*, 181 Misc 2d 517; *Matter of Knight-Ridder Broadcasting v Greenberg*, 70 NY2d 151; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Brothers v Florence*, 95 NY2d 290; *People v Lippman*, 156 Misc 2d 333; *People v Key*, 45 NY2d 111.)

Muldoon & Getz, Rochester (Gary Muldoon of counsel), for respondent. Because the supporting deposition was served 39 days after defendant’s request was received by the court, the supporting deposition was not timely served and filed, and the simplified traffic information was therefore defective. (*People v Titus*, 178 Misc 2d 687, 92 NY2d 986; *People v Guerrerio*, 181 Misc 2d 517; *People v Ney*, 191 Misc 2d 185; *People v Brewer*, 91 NY2d 999; *People v McGettrick*, 139 Misc 2d 403; *Matter of Sulli v Appeals Bd. of Admin. Adjudication Bur.*, 55 AD2d 457; *People v Perry*, 87 NY2d 353; *People v Lippman*, 156 Misc 2d 333; *People v Shipp*, 137 Misc 2d 495; *People v Jennings*, 69 NY2d 103.)

OPINION OF THE COURT

READ, J.

This case began on April 21, 2002, when defendant was ticketed for speeding. The front of the ticket directed defendant to appear in Webster Town Court on May 14, 2002, thus serving as an “appearance ticket” under CPL 150.10.

As is relevant here, Part “B” on the ticket’s reverse side instructed defendant how to enter a plea of not guilty by mail. Part “B” included a “notice”—mandated by CPL 150.10 (2) and 100.25 (4)—informing defendant that he was entitled to receive a supporting deposition if he requested it “within thirty days from the date [he was] directed to appear in court as set forth on this appearance ticket”; and asking him to check a box

to indicate whether or not he requested a supporting deposition. Part “B” directed defendant to mail the ticket to Town Court within 48 hours of its receipt; and specified that Town Court would advise him of a trial date by mail.

Defendant completed Part “B,” signing it, entering his address and checking “Yes” to indicate that he requested a supporting deposition. Rather than mail the ticket within 48 hours, however, he hand delivered it to the office of the Town Court’s clerk on April 22, 2002, the day after he was ticketed. The clerk accepted defendant’s not guilty plea and request for a supporting deposition, and rescheduled his return date from May 14 to May 1, 2002.¹ At his arraignment on May 1, 2002, defendant reiterated his not guilty plea as well as his request for a supporting deposition, which he received on May 31, 2002.

Defendant subsequently moved to dismiss the information, alleging that the supporting deposition was not timely served within 30 days after his initial request for it on April 22, 2002. Town Court denied the motion, construing CPL 100.25 (2) to preclude defendant from asking for a supporting deposition before May 14, 2002, the date he was originally directed to appear in court, or, at the earliest, May 1, 2002, when he was actually arraigned. On defendant’s appeal, County Court, Appellate Term, reversed. County Court concluded that defendant had made a timely request for a supporting deposition on April 22, 2002; therefore, the supporting deposition served on May 31, 2002—39 days later—was untimely. We agree.

As County Court recognized, CPL 100.25 (2)² does not force a defendant to wait until arraignment to request a supporting de-

1. Whether the clerk changed the return date immediately or sometime later is not clear.

2. Under CPL 100.25 (2),

“[a] defendant charged by a simplified information is, upon a timely request, entitled as a matter of right to have filed with the court and served upon him . . . a supporting deposition of the complainant police officer To be timely, such a request must . . . be made before entry of a plea of guilty to the charge specified and before commencement of a trial thereon, but not later than thirty days after the date the defendant is directed to appear in court as such date appears upon the simplified information and upon the appearance ticket issued pursuant thereto. . . . Upon such a request, the court must order the complainant police officer or public servant to serve a copy of such supporting deposition upon the defendant or his attorney, within thirty days of the date such request is received by the court, or at least five days before trial, whichever is earlier; and to

(n. cont’d)

position. The statute provides that a defendant may request one when “*charged* by a simplified information” (CPL 100.25 [2] [emphasis added]), and defendant was “charged” when he was ticketed.³ Further, defendant satisfied all the conditions for a “timely request”: he asked for the supporting deposition “before entry of a plea of guilty to the charge specified and before commencement of a trial thereon, but not later than thirty days after the date” he was “directed to appear in court as such date appear[ed] upon the simplified information and upon the appearance ticket issued pursuant thereto” (CPL 100.25 [2]).

The People rely on subdivisions (3) and (4) of CPL 100.25 to argue that a “timely request” for a supporting deposition cannot be made before the return date set forth on the appearance ticket. We read these subdivisions, however, as merely specifying the outside time limit within which a request must be made. In short, while a defendant cannot ask for a supporting deposition later than 30 days after the return date on the appearance ticket, nothing in CPL 100.25 or elsewhere prohibits a request prior to this return date so long as the defendant has not pleaded guilty and trial has not started.

Accordingly, the order of County Court should be affirmed.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSENBLATT, GRAFFEO and R.S. SMITH concur.

Order affirmed.

file such supporting deposition with the court together with proof of service thereof.”

3. CPL 100.25 (2) formerly “expressly provide[d] that a defendant is only entitled to a supporting deposition after he has been ‘arraigned upon a simplified information’ ” (see *People v Perry*, 87 NY2d 353, 355 [1996]). After *Perry* was decided, the Legislature amended the statute to replace “arraigned upon” with “charged by” (see L 1996, ch 67, § 2).